Annual report 2021

Belfius

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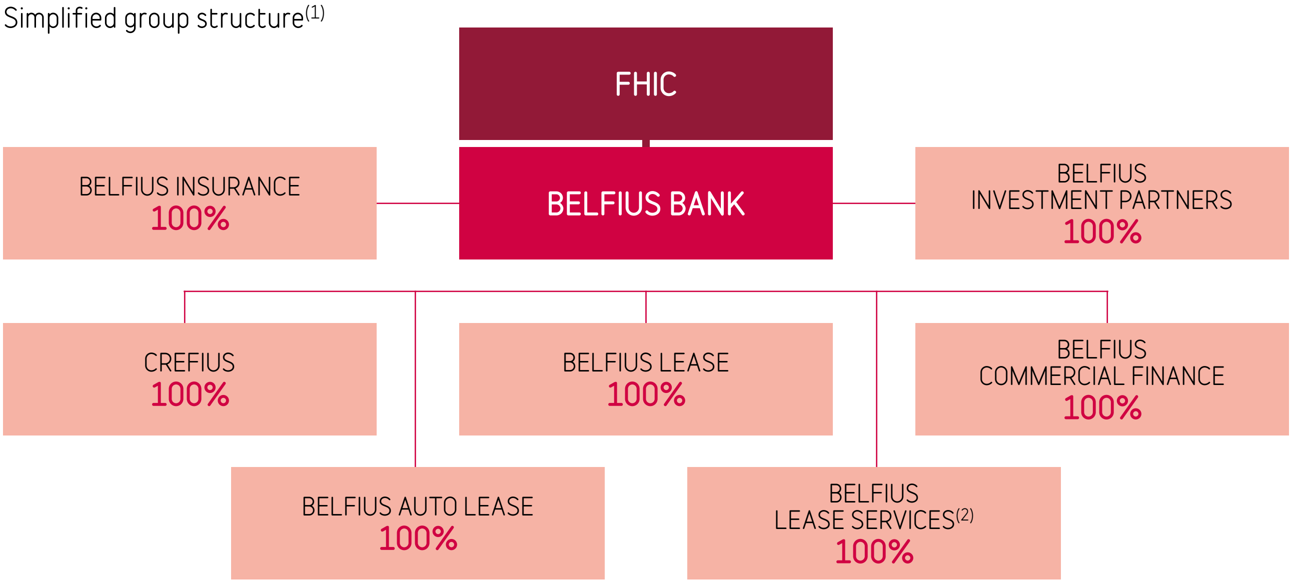
Contents

Profile of Belfius

Belfius is a Belgian banking and insurance group wholly owned by the Belgian federal state through the Federal Holding and Investment Company (FHIC). At the end of 2021, the total consolidated balance sheet amounted to EUR 192 billion.

Simplified group structure[1]



Our main commercial subsidiaries

1. Belfius Insurance

Insurance company marketing life and non-life insurance products, savings products and investments for individuals, the self-employed, liberal professions, companies and the public and social sector. At the end of 2021, total consolidated balance sheet of Belfius Insurance amounted to EUR 22 billion[3].

2. Crefius

Company servicing and managing mortgage loans. At the end of 2021, total balance sheet of Crefius amounted to EUR 23 million[4].

3. Belfius Auto Lease

Company for operational vehicle leasing and car fleet management, maintenance and claims management services. At the end of 2021, total balance sheet of Belfius Auto Lease amounted to EUR 447 million[4].

4. Belfius Lease

Company for financial leasing and renting of professional capital goods. At the end of 2021, total balance sheet of Belfius Lease amounted to EUR 1,043 million[4].

5. Belfius Lease Services

Financial leasing and renting of professional capital goods to the self-employed, companies and liberal professions. At the end of 2021, total balance sheet of Belfius Lease Services amounted to EUR 2,193 million[4].

6. Belfius Commercial Finance

Company for financing commercial loans to debtors, debtor in-solvency risk cover and debt recovery from debtors (factoring). At the end of 2021, total balance sheet of Belfius Commercial Finance amounted to EUR 1,045 million[4].

7. Belfius Investment Partners

Company for administration and management of investment funds. At the end of 2021, total balance sheet of Belfius Investment Partners amounted to EUR 160 million[4] and assets under management amounted to EUR 22.5 billion.

(1) For more details, see the list of subsidiaries of the consolidated financial statements in this annual report.
(2) Belfius Lease Services operates under the same brand (logo) as Belfius Lease.
(3) For more details, cf. the annual report 2021 of Belfius Insurance.
(4) Total IFRS balance sheet before consolidation adjustments.

Our activities

Belfius is a Belgian bank-insurer serving all segments of the Belgian economy, including the retail, SME, public sector and corporate markets. As of 31 December 2021, it was the second largest retail bank-insurer in Belgium, with more than 3.7 million customers; the third largest bank for SMEs, with approximately 0.35 million professional customers; the largest bank in the public sector, with almost 100% penetration; and the third largest bank for corporates, serving approximately 50% of the Belgian market of companies with a turnover equal to or above EUR 10 million. Belfius serves approximately 30% of the Belgian population.

Belfius' integrated business model is based on creating and leveraging synergies across these client segments, as well as its products and businesses. Belfius organises its commercial activities into its Individuals segment and Entrepreneurs, Enterprises & Public segment.

1. Individuals

Belfius Bank offers **individuals** a comprehensive range of retail, private banking, wealth management and insurance products and services. Belfius Bank serves its 3.4 million customers through its integrated omni-channel distribution network, which includes 527 branches, its modern interaction platform Belfius Connect, and a large number of automatised self-banking machines. Belfius has also been developing a **digital strategy** and is now a **leader in mobile banking**, with over 1.79 million active mobile users.

Belfius Insurance, a subsidiary of Belfius Bank, offers insurance products to its customers through the Belfius Bank branches and multi-channel distribution network, through the tied agent network of DVV insurance, as well as through Corona Direct Insurance. Through its Elantis and DVV brands, Belfius Insurance also offers mortgage loans and consumer loans to its customers.

2. Entrepreneurs, Enterprises & Public

The **Business** segment brings together the self-employed, the liberal professions (a.o. lawyers, doctors, accountants, etc..) and the SMEs with a turnover up to EUR 10 million. This segment is mainly served by our branch network.

Belfius' **corporate banking** activities are focused on large- and medium-sized corporates which have a decision-making centre in Belgium as well as corporates offering services to the public sector.

Belfius offers services to the Belgian **public and social sectors** (including hospitals, schools, universities and retirement homes). It provides these clients with a wide and integrated range of products and services, including credit lending, treasury management, insurance products, financial markets products and financial IT tools.

Belfius Insurance also sells insurance products to its public and social sector clients. Specific life insurance solutions are offered, especially pension insurance in the first and second pension pillars for civil servants and investment products in Branch 26 (life insurance with a capital guarantee and guaranteed minimum return, to which a variable profit participation feature may be added). Finally, the development of the insurance policies specifically dedicated to the "Business" segment is one of the strategic development axes for both Life and Non-Life segments.

Our staff members

At the end of 2021, Belfius' operations provided employment for 6,531 staff members, and there were approximately 3,400 persons working in the Bank's and Insurer's independent networks.

Key figures

Consolidated statement of income

(In millions of EUR)	2017 IAS 39	2018 IFRS 9	2019 IFRS 9	2020 IFRS 9	2021 IFRS 9
INCOME	2,355	2,361	2,489	2,614	2,703
EXPENSES	(1,369)	(1,426)	(1,452)	(1,465)	(1,477)
GROSS INCOME	986	935	1,036	1,149	1,226
Impairments on financial instruments and provisions for credit commitments	(33)	(66)	(111)	(453)	1
Impairments on tangible and intangible assets	9	(2)	(7)	(17)	(2)
NET INCOME BEFORE TAX	963	867	918	679	1,226
Tax (expense) income	(357)	(217)	(252)	(147)	(290)
NET INCOME AFTER TAX	606)	650	666	532	936
Non-controlling interests	0	1	(1)	0	1
NET INCOME GROUP SHARE	606	649	667	532	935
of which					
Bank	435	445	461	319	716
Insurance[1]	171	205	207	212	219

(1) Contribution of the Belfius Insurance group to the consolidated statement of income.

Consolidated balance sheet

(In millions of EUR)	31/12/17 IAS 39	31/12/18 IFRS 9	31/12/19 IFRS 9	31/12/20 IFRS 9	31/12/21 IFRS 9
TOTAL ASSETS	167,959	164,165	172,439	187,991	192,151
TOTAL LIABILITIES	158,438	154,206	161,933	177,258	180,658
TOTAL EQUITY	9,521	9,960	10,506	10,733	11,493

Consolidated balance sheet

(In millions of EUR)	31/12/20 IFRS 9	31/12/21 IFRS 9
TOTAL ASSETS	187,991	192,151
of which		
Cash and balances with central banks	25,434	31,640
Loans and advances due from credit institutions	11,912	10,411
Loans and advances	98,108	102,679
Debt securities & equity instruments	28,849	27,195
Unit linked products insurance activities	3,813	4,246
Derivatives	12,188	8,909
TOTAL LIABILITIES	177,258	180,658
of which		
Cash and balances from central banks	14,174	15,418
Credit institutions borrowings and deposits	5,008	3,591
Borrowings and deposits	95,338	104,404
Debt securities issued and other financial liabilities	24,402	23,145
Unit linked products insurance activities	3,813	4,246
Derivatives	18,310	14,019
TOTAL SHAREHOLDERS' EQUITY	10,209	10,963
of which		
Shareholders' core equity	9,815	10,560
Gains and losses not recognised in the statement of income	393	403
TOTAL EQUITY	10,733	11,493
of which		
Total shareholders' equity	10,209	10,963
Additional Tier-1 instruments included in equity	497	497
Non-controlling interests	28	33

Ratios[1]

	31/12/17 IAS 39	31/12/18 IFRS 9	31/12/19 IFRS 9	31/12/20 IFRS 9	31/12/21 IFRS 9
Return on equity (ROE)	7.0%	7.5%	7.4%	5.6%	9.2%
Return on assets (ROA)	0.35%	0.39%	0.40%	0.29%	0.48%
Cost- income ratio (C/I ratio)	58.1%	60.4%	58.4%	56.0%	54.6%
Asset quality ratio	1.99%	2.05%	1.96%	2.02%	1.95%
Coverage ratio	63.3%	61.6%	62.3%	60.0%	60.4%
Liquidity Coverage Ratio (LCR)[2]	132%	135%	130%	158%	195%
Net Stable Funding Ratio (NSFR)	116%	116%	116%	128%	136%

(1) Unaudited.
(2) 12-month average.

Solvency ratios

	31/12/17 IAS 39	31/12/18 IFRS 9	31/12/19 IFRS 9	31/12/20 IFRS 9	31/12/21 IFRS 9
CET 1- ratio[1]	15.9%	16.0%	15.9%	17.1%	16.4%
Tier 1- ratio[1]	15.9%	17.0%	16.7%	18.0%	17.1%
Total capital ratio[1]	18.1%	19.6%	19.2%	20.4%	19.8%
Leverage ratio	5.5%	6.0%	6.0%	6.9%	7.1%
Solvency II – ratio (before dividend)	230%	219%	212%	212%	200%
Solvency II – ratio (after dividend)	219%	203%	212%	200%	190%

(1) For the determination of the Capital ratios under Basel III, the regulatory authority asks Belfius Bank to apply a prudential deconsolidation of Belfius Insurance and to apply a risk weighting of 370% on the equity instruments held by Belfius Bank in Belfius Insurance after deduction of goodwill. This is commonly known as "Danish compromise".

ESG as a business driver[1]

(In billions of EUR)	2020	2021
Total volume in funds of the future	1.11	2.11
Total volume of investments managed based on the Portfolio21 criteria under management	13.5	12.3
% art 8 & 9 in outstanding active investments offer submitted to SFDR (except mandates)	-	79%

(1) Unaudited

Human capital

	2020			2021		
Staff members	Male	Female	Total	Male	Female	Total
TOTAL	3,349	3,125	6,474	3,363	3,168	6,531

Ratings of Belfius Bank as at 24 March 2022

	Stand-alone rating[1]	Long-term rating	Outlook	Short-term rating
Fitch	a-	A-	Stable	F1
Moody's	baa1	A1	Stable	Prime-1
Standard & Poor's	a-	A	Stable	A-1

(1) Intrinsic creditworthness.

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Management report

Message from the chairmen

With a figure of EUR 935 million, in 2021 Belfius achieved its best net result since it came into existence ten years ago. It is a result that enables Belfius to evolve into a very solid and sustainable partner for the Belgian economy and for society in Belgium. Belfius has now more than doubled its net result in the space of ten years and for the first time is approaching the profit milestone of EUR 1 billion. In 2021, Belfius Bank saw its contribution to this splendid net result more than double, to EUR 716 million. The share of Belfius Insurance in the profit also continued to rise, reaching EUR 219 million. Once again, this high net profit for Belfius is the result of a strong growth in revenue, strictly controlled operating overheads and historically low cost of risk.

Overall, Belfius saw its total income rise by 3.4% to a record of EUR 2,703 million. The bank's net interest income and net commission income both increased, while revenue from the insurance activities remained virtually stable.

Even with its ambitious growth strategy and associated investments in Belgian talent, innovation and digital, Belfius has always kept costs under strict control over the years. In 2021, that resulted in the lowest Cost-Income ratio since the creation of Belfius: 54.6% compared with 64.5% in 2012.

In 2021, Belfius saw the cost of risk very positively influenced by the favourable macro-economic recovery and the effectiveness of the policy measures taken. This enabled Belfius to reduce the Covid-19 provisions set aside in 2020 from EUR 331 million to EUR 216 million. As a result of the release of this part of these Covid-19 provisions, the overall cost of risk evolved from EUR -453 million in 2020 to EUR 1.4 million in 2021. Since the beginning of the pandemic, Belfius has helped a total of 34,606 customers to keep their head above water in this time of crisis. Of the customers who requested a moratorium on their payments, 97.1% of Business and Corporate customers, more than 99% of Individuals and even 100% of public and social sector customers have resumed making repayments on their loans (i.e. for moratoriums that have not been extended).

"Belfius gives customers the opportunity to make meaningful investments in a better and more sustainable world".

Marc Raisière — Chairman of the Management Board Belfius Bank

In terms of solvency, the Belfius CET 1 ratio of 16.4% remains at a robust and very high level. Whereas in 2011 it was still under 8%, ten years later and even after the latest EBA stress test, Belfius is now able to claim to be one of the best-capitalised bank and insurance companies in Europe. Belfius' Solvency II ratio is 190%. With a strong increase in its LCR ratio of 195% and a similarly higher NSFR ratio of 136%, Belfius amply exceeds the mandatory liquidity requirements. At the end of 2021, the liquidity reserve stood at EUR 42 billion, with the Group's equity capital also higher, at EUR 11 billion, meaning that Belfius has seen its capital base more than double in ten years.

Based on these solid results, Belfius intends to proceed with a dividend payment of 40% of the profit for the whole financial year 2021. Subject to approval at the next Shareholders' Meeting, a dividend totalling EUR 368.5 million will be paid to the shareholder. This brings the cumulative dividends passed on by Belfius to Belgian society since 2012 to almost EUR 1.7 billion.

Belfius more than ever supporting all segments of the Belgian society

With an increase of 12% in new long-term financing, to EUR 22.3 billion, Belfius provided more support than ever to all segments of the Belgian society in 2021. In the space of ten years, Belfius has seen its production of long-term loans virtually double. Total outstanding loans rose by 5% in 2021 to EUR 102.2 billion, exceeding the EUR 100 billion mark for the first time in Belfius' history.

In the segment for Individuals, a total of EUR 8.7 billion of long-term financing was granted in 2021, which was an increase of 17%. This rise related mainly to a 20% increase in the production of housing loans, totalling EUR 7.7 billion. This sustained commercial dynamic generated a market share of 16.5% for new mortgages, while consumer lending rose slightly to EUR 708 million.

Belfius also made full use of its strength to support the financing capacity of Belgian companies, as well as the public and social sector. To provide assistance where it was needed in the aftermath of the Covid-19 crisis and as an additional stimulus to help with the return of growth plans. With a total of EUR 10.9 billion in new long-term loans for Entrepreneurs and Enterprises ("E&E"), Belfius did 10% better than in 2020 and continued to play its role as a driving force in the Belgian economy. In parallel with its growth figures for lending, Belfius also saw its market share in loans outstanding increase again, for both the Business and Corporate segment, to an estimated level of 17.4% and 18.5% respectively. Belfius also remained the undisputed go-to partner for the public and social sector. In 2021, EUR 2.6 billion in long-term loans were granted to customers in this segment.

In addition to traditional credit financing, Belfius is increasingly opening up alternative financing solutions to customers from these sectors. In 2021, Belfius placed EUR 2.6 billion of new short-term and long-term issues in the market for Corporate customers. The bank also provided EUR 4.9 billion of alternative financing for its (semi-)public customers. And in 2021, Belfius was voted "Euronext Best Bond Finance House of the Year" for the 6th consecutive year. Customers were also able to continue relying on Belfius for the day-to-day management of their cashflow, payments and receipts. This is an area of expertise for which Belfius also won awards in 2021 from the authoritative magazine, Global Finance, as "Best Treasury & Cash Management Bank" and "Best Trade Finance Provider".

More than ever a bank for everyone – and an impressive transformation into a bank for investors

As part of its ongoing efforts to keep improving its service to customers and enhance society, Belfius also helps customers to invest in that society. Total outstanding savings and investments across all segments rose to EUR 179.5 billion, including an unprecedented 10% increase among Individuals to EUR 118.4 billion. After an exceptionally strong increase in savings and investments among Individuals in 2020, organic growth of savings and investments for these customers accounted for a further rise in 2021, reaching EUR 5.7 billion by the end of the year. This growth indicates the sustained confidence of our customers and the successful transformation of Belfius into a bank for investors. There was also strong growth in the segments for Private & Wealth Management, reflected by a 14% increase in customer numbers to a total in excess of 145,000. Outstanding savings and investments in these segments amounted to EUR 53.4 billion, representing a significant increase of 20% compared with the end of 2020 and an increase in outstanding funds in circulation in the Wealth segment of 64%.

More than ever a caring insurer at the side of its customers

In 2021, the insurance business was put to the test even more than usual by the unprecedented floods of July 2021. Even under these extreme circumstances, Belfius more than ever proved itself to be a caring insurer. A great many additional resources were deployed to assist affected customers in the best possible way and to provide compensation for the damage suffered as quickly as possible. The financial impact for Belfius Insurance was considerable, at EUR 181 million. However, thanks to the part born by the regional authorities and the sound reinsurance policies taken out by Belfius Insurance over a number of years as part of its forward-looking risk management policy, the impact on results was restricted to approximately EUR 24 million.

But these exceptional events did not prevent Belfius Insurance from achieving strong results in both Life and Non-Life. Group Non-Life premium receipts were EUR 769 million (+4%). This increase was particularly the case for Belfius Bank (+11%), which saw a rise for the sixth successive year, clearly demonstrating the strength of the Belfius banking and insurance model. Life production exceeded the EUR 2 billion mark, up a strong 12% compared with 2020.

More than ever focusing on innovation

2021 was also a year in which multiple milestones were passed in Belfius' evolution towards taking an innovative and diversified approach to retail banking. After a 5-month trial, in October, Belfius launched the Beats digital flow in the Belfius Mobile app. This launch was the next step in the strategic partnership between Belfius and Proximus. October 2021 also saw the introduction of Banx, the fully digital and sustainable slow banking experience developed in conjunction with Belfius. Digital acceleration also picked up speed in 2021. In total, 63% of the Individuals and E&E customers became digitally active. At the end of 2021, the total number of users of the Belfius apps for smartphones and tablets had risen to more than 1.79 million - up by 13% compared with 2020. Belfius also continued to play the digital card in insurance. After the success of the "app-normal" home and family insurance in 2020, Belfius added the new "app-normal" tenant insurance cover option in 2021 to its range of Non-Life insurance products available in the Belfius app.

"Since the beginning of the pandemic, Belfius has helped 34,606 customers to keep their head above water in this crisis."

Chris Sunt _ Chairman of the Board of Directors Belfius Bank

More than ever ESG is on our radar

The climate and our planet need a different way of doing business. Belfius aims to be a pioneer in this transition by inspiring customers and by firmly embedding sustainability as part of our financing and investment offering. For example, in 2021, Belfius took on a senior role in the issue of ten green, social or sustainable bonds, scoring a bull's eye with the successful initial launch of its own "Green Senior Bond". Belfius also demonstrated its financing capabilities in the public and social sector in 2021 with its involvement in sustainable infrastructure projects worth EUR 1.7 billion, approximately EUR 300 million of which was financed by Belfius. And Belfius helped local authorities in the sustainable renovation of their buildings with the Smart Building & Renovation Solution product, providing funding of EUR 140 million.

With the launch of "meaningful investing", Belfius also gives customers the opportunity to make meaningful investments in a better and more sustainable world. Some of the stand-out products here are the Belfius Future Funds, with new subscriptions to these funds climbing by 28% in 2021 to EUR 934 million. This means they now represent more than 20% of total subscriptions to investment funds. Since mid-2021, customers have also been able to make meaningful investments on the new Re=Bel stock market platform. Re=Bel informs customers about the sustainable nature of their transactions. By the end of 2021, there were already 40,000 customers on the platform, conducting a little over 100,000 transactions totalling EUR 348 million. Just how attractive the platform has proved can be seen from the fact that 73% of share transactions conducted met the sustainability criteria set by Belfius.

Belfius Bank is also setting a good example in the transition to a more sustainable economy. For instance, Belfius is firmly committed to making its fleet of vehicles greener, with electric or plug-in hybrid cars now accounting for over 60% of new orders of 'flex' and company cars within the Belfius Group. Also, Belfius is and remains carbon-neutral for its own activities. In addition, the Belfius policy on diversity continues to bear fruit and the balance between men and women at all levels of the organisation is gradually improving. The proportion of women compared to men in managerial roles rose from 33.7% in 2020 to 36.7% in 2021, taking us another step closer to our target of 44% by 2025.

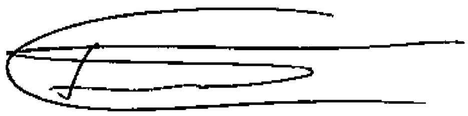
More than ever ready for the next decade

For ten years now, Belfius has been living up its commitment to be a meaningful and inspiring bank-insurer for the Belgian society. This is no coincidence and is the result of a successful blend of a sustainable business model and the correct long-term strategy. It is a strategy based on providing unconditional support for the Belgian economy, focusing on innovation and Belgian talent and always putting the customer first in every situation. Our excellent results allow us to look to the future with ambition and commitment. To a sustainable future in which we will continue to invest in Belgian society and the economy, with strong profitability, a prudent risk policy and powerful capital reserves.

In the year in which Belfius looks back with pride on ten years of hard work, we would like to thank our customers for their trust in us – a trust that inspires us every day to give the best of ourselves. We are also grateful to our shareholder and to the members of our Board of Directors for their confidence and support in developing our ambitious strategy. Finally, we extend our sincere gratitude to our thousands of staff members and to our independent agents and their employees for their ongoing efforts and commitment. And for the Love of our customers, which has already been the case for 10 years or more – and will continue to be so in the future.

Brussels, 24 March 2022

Marc Raisière
Chairman of the Management Board
Belfius Bank



Chris Sunt
Chairman of the Board of Directors
Belfius Bank

2021 highlights

Belfius celebrates its ten years of existence in 2021. We have been faced with ambitious challenges all over this period. "Meaningful and inspiring for Belgian Society. Together." has been our leading theme across these ten years of organic growth and innovative developments. In 2021, Belfius posted a strong commercial performance and excellent financial results, while benefiting from a sound capital position. Macro-economic perspectives evolved favourably in the course of 2021 even though concerns remained. Credit spreads continued to benefit from massive interventions from governments and central banks, while equity markets displayed positive returns.

The consolidated net income amounted to EUR 935 million, which is EUR 403 million higher than in 2020 (EUR 532 million). The main drivers for this material increase are primarily the historically low Cost of Risk, driven by partial net reversal of the 2020 Covid-19 related provisioning, but also the very strong Income (net interest income, fee and commission and Life insurance) and still well-contained Operating Expenses, with an increase of less than 1% despite continued investments in our data and digital transformation journey. The level of Pre-Provision Income, at EUR 1,226 million, has never been higher since Belfius' origins and increased with EUR 77 million compared to last year (despite the continuing low interest rate environment).

Belfius Bank contributed EUR 716 million to the consolidated net profit while Belfius Insurance saw its contribution increase slightly to EUR 219 million.

Sustained commercial activity in all segments in 2021

Belfius has granted a record amount of EUR 22.3 billion in new long-term financing to the Belgian economy. Out of these EUR 22.3 billion, about 50% (EUR 11.2 billon) were granted to entrepreneurs and enterprises i.e. Businesses (SMEs, self-employed and liberal professions) and Corporate customers. Belfius also granted EUR 2.6 billion of new long-term loans to the Public and Social sector and remained the reference partner for those clients. Furthermore, EUR 8.5 billion in new long-term financing were granted to individual customers, including EUR 7.8 billion in mortgage loans. This represents an increase of 18% compared to the end of 2020.

These strong commercial dynamics in terms of financing of the Belgian economy resulted in a continued strong increase of our outstanding stock of loans granted to all segments of the Belgian economy. For the first time in ten years of existence, the global on balance outstanding stock exceeded the **EUR 100 billion level**.

In 2021, **savings and Investments** also performed strongly in a favourable financial market context, reaching an outstanding stock of EUR 179.5 billion, a growth of 9.6% compared to December 2020. The Individuals (IND) segment displayed a strong growth of EUR 10.5 billion driven by non-maturing deposits combined with strong dynamics in Asset Management, Bonds & Equity (both organic growth as well as a positive market effect), while the Entrepreneurs, Enterprises & Public (E&E&P) segment realized a growth of EUR 5.2 billion, mainly driven by non-maturing deposits.

At Group level, **Non-Life GWP** reached EUR 769 million and a growth of +4.4%. This outperformance was mainly achieved thanks to the Belfius bank insurance channel (+11.3%).

Life production reached EUR 2.1 billion. Life reserves were down by 1% at EUR 14.4 billion in December 2021, driven by the Branch 21 reserves (EUR 10.1 billion or -5.5%) while the Branch 23 reserves continued to grow (to EUR 4.2 billion or +12.0%) thanks to higher production and a positive market effect, in line with Belfius' strategy.

With regard to our **digital performance**, Belfius confirmed its acceleration of remote services. The number of active mobile users reached EUR 1.79 million at the end of 2021, up 13.3% compared to year end 2020. Belfius offers a leading and award-winning mobile banking app, while our insurance digital features were ranked #1 in Belgium. These achievements underline the strong relevance of our digital strategy and Belfius will continue to leverage its world-class mobile app as the cornerstone to offer inspiring and innovative **"beyond bank-insurance"** solutions to our customers.

In 2021, Belfius stood at the heart of the **transition towards a sustainable future** for the Belgian society. Belfius is committed to making a difference in the social challenges and to encouraging solutions that contribute to a more sustainable society in Belgium. Belfius' commitments for 2025 proved to be more relevant than ever as a guiding compass for its sustainability strategic goals. From reinventing mobility through equal opportunities and social commitment, to a neutral stance on CO_2, Belfius positions itself as a leading actor in this field.

Excellent financial performance in 2021

Belfius' consolidated net income 2021 reached the outstanding amount of EUR 935 million, driven by strong commercial dynamics in combination with a positive stock market year and a prosperous risk environment.

Total income amounted to EUR 2,703 million in 2021, up 3% compared to 2020 (EUR 2,614 million) thanks to:

- an increase of **net interest income bank** by 2% (EUR 1,623 million in 2021 compared to EUR 1,590 million in 2020) mainly thanks to
  - the excellent commercial loans dynamics in all segments of the Belgian economy, leading to a continued diversification of the loan portfolio at Belfius,
  - the disciplined pricing thereof, as such compensating for the pressure on interest margins on non-maturing deposits stemming from the historically low interest rate environment, and
  - the increased interest income support from the TLTRO;
- excellent growth in **net fee and commission income of the bank**, up by 18% (EUR 732 million in 2021 against EUR 622 million in 2020) thanks to increased revenues from asset management and payment services;
- higher **Life insurance income** up by 11% (EUR 302 million in 2021 against EUR 273 million in 2020), thanks to further increasing recurring income on Life Guaranteed products despite a decreasing portfolio;
- lower **Non-Life insurance income**, down by 14% (EUR 210 million in 2021 against EUR 244 million in 2020), notably due to the strong positive lockdown impact in 2020 for car insurance, a higher average claims cost, the impact of the floods of July 2021 and provision for damages caused by drought;
- **other income** amounted to EUR -165 million in 2021, more negative than in 2020 (EUR -116 million). The year-on-year delta stems mainly from higher bank levies (EUR 256 million in 2021 against EUR 222 million in 2020) and smaller net income on investments.

Costs remained well contained at EUR 1,477 million in 2021, a limited 1% increase against EUR 1,465 million in 2020, driven by an increase in staff expenses, general expenses and network costs, and despite the fact that Belfius continued to invest structurally in IT and digitalization. This led to a noticeable improvement in the cost-income ratio at 54.6% in 2021 compared to 56.0% in 2020.

All in all, the combination of strong income dynamics, favourable financial markets and the lower-for-longer interest rate environment, together with contained operating expenses, notwithstanding continuing investments in commercial activities, ESG, IT and digitalization, led to an increase of 7% in **pre-provision income**, to EUR 1,226 million in 2021 (compared to EUR 1,149 million in 2020).

Belfius made a detailed review of its credit risk portfolio and prudentially managed its IFRS 9 provisions in line with the improving economic environment, leading to a partial net reversal of the 2020 Covid-19 related provisioning and as such a light net reversal of **cost of risk** of EUR +1 million in 2021 compared to a net allowance of EUR -453 million in 2020.

As a result, **net income before taxes** amounted to EUR 1,226 million in 2021 compared to EUR 679 million in 2020.

Tax expenses amounted to EUR 290 million in 2021 compared to EUR 147 million in 2020, mainly due to higher taxable profit. The consolidated effective tax rate (ETR) stood at 24%, slightly below the statutory tax rate (25% in 2021).

As a consequence, **consolidated net income 2021** reached EUR 935 million compared to EUR 532 million in 2020.

Continued investment in the future, with a focus on sustainability

Beyond these excellent financial results, Belfius has continued to invest in its future with a very clear focus on sustainability, a value that has been in our DNA since our origins, and on digitalization. This state of mind is at the core of all the major strategic and innovative initiatives launched by Belfius in 2021:

- **Funds of the future**: from 2019 until the end of December 2021, Belfius launched six funds dedicated to society-related themes: "Belfius Equities Cure" (dedicated to oncology), "Belfius Equities Climate" (environment), "Belfius Equities Wo=Men" (to promote gender equality), "Belfius Equities Be=Long" (dedicated to happy and healthy longevity), "Belfius Equity Move" (for a cleaner, safer and smarter mobility) and "Belfius Equities Become" (focused on the development of children)(1). As of December 2021, these six funds of the future had already attracted EUR 2.1 billion, generating total contribution to charities of EUR 2.13 million since their start;
- **Re=Bel**, our brand-new investment app, was launched on 1 July 2021. This platform, fully integrated into our mobile app, makes investing with a cause accessible to all. With a range of 40,000 shares and over 300 ETFs over 25 markets, Re=Bel assists our customers in their shift to sustainable investing and is as such in line with Belfius TAP(2). As at the end of 2021, Re=Bel onboarded 40,000 customers for a total amount of EUR 348 million of transactions;

(1) In January 2022, Belfius launched "Belfius Equities Re=New", focused on circular economy.
(2) The Transition Acceleration Policy (TAP) is Belfius' policy on controversial or 'sensitive' sectors. It is applied to all Belfius' activities, with a double objective to both encourage and support economic actors in their shift towards more sustainable activities, and to reduce the negative impact of our own activities by discontinuing or limiting support of non-sustainable activities.

- **Banx**: in October 2021, Belfius and Proximus have launched Banx, a digital banking platform imagined by Proximus and powered by Belfius. This digital innovative concept enables fully mobile and sustainable banking services, each user easily gaining insight into the impact of his or her purchases. By using a personal CO_2 footprint dashboard, our clients manage their banking activities more consciously and understand which of their purchases are good for the planet and which are not;
- **Beats**: in March 2021, Belfius announced the launch of an innovative payment and telecom offer for its retail customers in the form of a monthly subscription associating a banking component (account and cards) and a telecom component (internet, mobile, digital television). In addition, Beats also offers a societal angle which enables customers themselves to decide in which areas, together with Belfius, they will support the Society (Health, Planet or People);
- **Green bond**: Belfius issued its inaugural green bond in May 2021, with an issuance of EUR 500 million. The proceeds are invested in eligible assets, under a framework aligned with the four core components of the Green Bond Principles 2018 and validated by Sustainalytics.

Solid solvency ratios and sound liquidity position

In terms of financial solidity, Belfius continues to display sound solvency, liquidity and risk metrics:

- the **CET 1 ratio** stood at 16.37%, 0.74% down compared to December 2020, mainly as a result of our increasing capacity of profit (+158 bps CET 1 ratio), the negative impact of the strong commercial balance sheet growth (-87 bps CET 1 ratio), a foreseeable pay-out ratio (-62 bps on the CET 1 ratio) and the still on-going stricter regulatory impacts (-71 bps);
- this strong and solid CET 1 level is net of a 40% dividend **pay-out ratio**, hence a potential FY 2021 dividend of EUR 368.5 million, thanks to which Belfius continued to support its commercial franchise development;
- the **total capital ratio** stood at 19.8% compared to 20.4% end 2020;
- the **leverage ratio** increased to 7.1%, up 28 bps compared to December 2020;
- insurance activities also posted continued solid solvency metrics, with a **Solvency II ratio** of 190% end of December 2021;
- at the end of 2021, Belfius also showed an excellent liquidity and funding profile with a **LCR of 195%**[1] and a NSFR of 136%;
- **total shareholders' equity** (Net Asset Value) further improved to EUR 11.0 billion at the end of December 2021 (against EUR 10.2 billion at the end of 2020).

(1) 12-month average

Covid-19 crisis

2021 has been the year of Covid-19 pandemic ups and downs. This pandemic, a real life-changer, that had started at the end of February 2020, structurally hit societies' functioning, leading to further societal divide and unease regarding health. However, it has not led to additional material financial market volatility or economic turmoil, in contrast to the year 2020, as both very large monetary and governmental stimulus plans continued.

Since the beginning of the Covid-19 crisis, Belfius has continuously and fully delivered on its societal role by providing the necessary liquidity and by granting deferred payments for individuals, enterprises and SMEs in temporary difficulties, and this with an overall contribution higher than its market share would have suggested.

At the end of 2021, out of the EUR 5.4 billion of loans to corporate and business customers that were granted moratorium since the start of the Covid-19 crisis, EUR 0.08 billion are, as at the end of 2021, still subject to payment holidays. 97.1% of corporate and business loans for which the moratorium came to an end, have resumed their normal payments of formerly deferred amounts. For mortgage loans, almost 100% of the clients have resumed the payments (100% in the public sector).

Floods in July 2021

Perhaps for the first time in history, Belgium experienced a close encounter with climate change. Severe floods occurred back in July 2021, mainly in Wallonia and Limburg. They led to huge infrastructural devastations and very high damage claims for insurers and for Belfius. Although Belfius cannot take away the human suffering, it considers it to be its utmost duty to take all actions to alleviate the material damages suffered by its insured customers. Specific measures have been taken to accelerate the claims handling (greater autonomy for claims experts and picture-based settlements) while advances have been provided swiftly in the case of major insured damage.

Belfius total gross claim cost for the floods of July 2021 in Wallonia and Limburg amounts to EUR 181 million for Corona and Belfius Insurance customers. In total, more than EUR 2 billion of damage was recorded. The financial impact thereof on Belfius Insurance FY 2021 accounts remains manageable, thanks to the strong re-insurance contracts Belfius Insurance had put in place many years ago and the intervention of the Regions.

Strategy Inspire 2025: a purpose and values driven strategy towards 2025

At the end of 2020, Belfius successfully achieved all ambitions set in its "long-term strategy towards 2020".

As such, today, Belfius is a digital leading integrated bank-insurer, present in all segments of the Belgian economy, committed to customer satisfaction and the creation of societal value, with strong commercial and financial results.

As of December 2021, it is the **second largest integrated Belgian bank-insurer**, serving 3.7 million customers, with an overall satisfaction of 95% and a **recognized digital leader** with the 2nd best banking app worldwide, ahead of many fintechs and neobanks.

Belfius' is growing its franchise in Private & Wealth; developing its position as Bank for Investors with a 11.4% growth in clients and 15.3% growth in savings and investments products within this segment in 2021. Also our Business and Corporate Banking is continuously expanding its market position, reaching a market share of >17% and serving over 0.36 million Entrepreneurs and Enterprises as at the end of December 2021. In the Public sector it remains the reference bank in Belgium, with almost 100% penetration.

Belfius is also **one of the most solid banks in Europe**, ranking in the top-10 of most resilient banks in 2021 EBA stress tests.

As a result of this, at the end of 2020, the time was right for Belfius to define an **inspiring new ambition for the future: Belfius' Inspire 2025 strategy**. This strategy is built on a clear and inspiring purpose that is our guide in all important choices and decisions we make: **Belfius, meaningful and inspiring for Belgian society. Together**.

Under this Inspire 2025 strategy, Belfius remains a universal, integrated bank-insurer that generates a positive contribution to all segments of the Belgian economy and Society thanks to its robust "risk management" and strong "financial management".

Belfius' integrated business model, based on creating and leveraging synergies across its client segments, as well as its products and businesses, will continue its expansion into Asset Management and Financial Markets.

Belfius continues to put **the customer at the heart** of everything. For each customer segment, we go the last mile in terms of customer satisfaction. To underline this further, also within our financial reports, we are adjusting our Belfius' segmentation, in order to "start from the customer". As such, our segmentation for our financial and commercial results will be reported centered around two new "commercial segments": the individual customers ("Individuals", abbreviation IND) and the business, corporate and institutional customers ("Entrepreneurs, Enterprises and Public", abbreviation E&E&P).

Individuals and **Entrepreneurs, Enterprises and Public will be the two main cornerstones** that replace the previous Retail and Commercial segment (RC) and Public and Corporate segment (PC). The Group Center, containing the residual results not allocated to the two commercial segments will remain as is. This consists mainly of results from Bond and Derivative portfolio management.

"Belfius' integrated business model will continue its expansion into Asset Management and Financial Markets."

Individuals segmentation

"We put the customer at the heart of everything."

In the Individuals segment, our segmentation has always been based on the customer's financial footprint, both in terms of loans and assets. These days, we understand that the customer's behaviour and aspirations are equally important. In practical terms, this means that the previous Retail and Privilege customers will be subdivided into Savers and Investors, not based on their assets, but on their behaviour. **Savers** are individuals who do little or no investing and who mainly seek a safe haven in their savings booklet. An **Investor**, on the other hand, is someone who mainly invests, who has a certain amount of knowledge about investing and who has a minimum of EUR 7,500 of investments with Belfius.

The Savers and Investors segment remains fundamental for Belfius, in which we focus on an innovative mix of digital and human, through own channels and via strategic partnerships, and a continued support to the most vulnerable in society (e.g. via social accounts, accessible services for elderly/less digital people, etc.). For our top segments, we have chosen a membership approach where clients consciously choose to opt in. The Private Membership is a paying membership while the Wealth membership is upon invitation only.

Belfius will continue to develop a stronger position for the **Private & Wealth segment**, inter alia by its strong position in meaningful investing with a tangible impact on society.

Entrepreneurs, Enterprises and Public segmentation

Within the new Entrepreneurs, Enterprises and Public segment, we have indicated three sub-segments, starting with Business.

The **Business segment** brings together the self-employed, the liberal professions (inter alia lawyers, doctors, accountants, etc.) and SMEs with a turnover up to EUR 10 million. This segment is mainly served by our branch network.

"Belfius is committed to the deployment of its strategy 'Bank For Investors 2025'."

The **Corporate Banking segment** brings together medium and large Belgian companies with a turnover of more than EUR 10 million. This segment is served by our network of corporate bankers. Within the Corporate Banking segment, a new subsegment "Local Corporates" is created, that serves all clients that balance on the border between the Business and Corporate Banking, with a turnover between EUR 10 and 25 million. This segment is served by both our branch network and our corporate network. A special feature of this segment is that is characterized by the merge of the Wealth Management and Corporate Banking sales force into one single team, with Wealth leads provided by Corporate Bankers and vice versa.

Last but not least, the E&E&P segment consists of the **Public and Social Banking** which brings together Regions, Communities, Municipalities, Provinces, CPAS, police areas, health sector, education and social sector customers. This segment is served by our network of dedicated relationship managers. However, some customers are also (or only) served in branches to offer more flexibility and a better service.

Within the E&E&P segment, Belfius will continue to support the Belgian economy, providing an integrated approach for all "Entrepreneurs & Enterprises" and remaining a leader in the Public sector where its roots lie.

As such, going forward, Belfius organizes its commercial activities into these two segments, namely "Individuals" and "Entrepreneurs & Enterprises", remaining fully committed to its customers and their love, and embedding sustainability in all aspects of its strategy.

1. Individuals

The Inspire 2025 strategy for Individuals runs along three main lines:

1.1. Change the paradigm in Retail Banking

One of the challenges to which 'Inspire 2025' aims to provide an answer is the definition of a sustainable future for the mass retail segment through service diversification and optimization through further digitalization:

Subscription based services

In the area of banking services that our customers use every day, we are moving towards a subscription model that focuses on a well-resourced customer relationship from the outset. With Beats, we have evolved from a wide range of accounts, cards and packages to a simple, all-in-one subscription formula that combines in package format banking, insurance and beyond services. Over the coming months and years, Beats will evolve further into a total concept that covers more and more of the banking and non-banking needs of our Individuals, with one ultimate aim in mind: to be Meaningful & Inspiring for Belgian Society. Through Beats, our customers are for instance already able to make a genuine impact on societal issues, close to home and involving a topic that is close to their heart.

Bank and Insurance

We will also continue to focus strongly on our primary role as an integrated bank and insurance company, with our range of mortgage loans acting as the driving force behind our customer relationship. Our integrated bank-insurance model remains a cornerstone for our continued service and revenue diversification. The bank-insurance model has showed its resilience in challenging environments like in 2020 through its strong contribution to Belfius' total net income. As such, our bank-insurance model enables us to continue to assume our commitment to Belgian society.

Further digitalization

The further digitalization of our franchise continues with almost 2 million digitally active customers who log on to one of our digital channels more than once a day. Given that we are still focusing on an omnichannel approach, we continue to invest both in human and digital. Through our digital solutions, we seek to provide our customers with a zero-effort service that supports them in their day-to-day banking and non-banking needs. We also continue enhancing our digital offering into the future so that our customers can benefit from the ultimate Belfius experience: distinctive in-branch advice and service, combined with a unique digital experience.

1.2. Become a Loved Bank for Investors

Belfius is committed on continuing the deployment of its strategy "Bank For Investors 2025", based on four pillars:

Simplify and clarify Belfius' investment offering for our customers

Through an active management of customers and customer-friendly investment solutions based on the Belfius Convictions, Belfius offers an investment approach as customer-friendly as possible and aligned with each customer's preferred level of autonomy. In 2021, Belfius reinforced its Conviction-based approach in managing the investments of its clients: strong and sharp Belfius Convictions as the backbone of its investment strategy and formulating clear advice on asset allocation to clients. This under the lead of Belfius Investment Partners, our own in-house Asset Manager, and in close collaboration with Candriam, our privileged partner in asset management and pioneer in Sustainable Investing.

In 2021 we also revamped our approach to Branch 23 (life insurance without capital guarantee but with a potentially higher return via investment funds) products. A strong rationalization of the underlying funds has set the basis for a further boost of this valuable investing format for the future. Belfius secures financial inclusion by focusing on usability and affordability of relevant bank and insurance offers for everyone, including the more vulnerable (the elderly, disabled, non-digital population, start-ups, etc.). For more information, we refer to the Sustainability Report (see chapter 6.1.5.3 Special attention for more vulnerable customers).

Assisting our customers on how to activate their savings, in low rate-high inflation environment

Most Belgian savers still have potential to invest. For them, Belfius provides access to local account managers and regional insurance and credit specialists to help them identify the best solutions for the build-up, the management and the preservation of their assets. Belfius offers a wide range of banking, insurance and asset management products and services, inspired by the Belfius Convictions, solutions that are meaningful and inspiring, and focus on a wide variety of themes.

Furthermore, in July 2021, Belfius launched **a brand-new brokerage platform**, Re=Bel, fully integrated in the existing digital channels. This platform has set a new standard in user experience, with inspiring themes, meaningful insights and full transparency on the ESG impact of investments. Re=Bel is already gaining very strong traction with our clients, allowing them to activate part of their savings to off-balance investments in a customer-convenient way.

Building a unique positioning in "meaningful investing"

ESG has been deeply rooted in our DNA for a long time. Meaningful Investing is the cornerstone of Belfius' investment strategy, under a holistic approach across all dimensions of our investment activity, from advice to execution-only.

In 2021, Belfius took things one step further, by **developing its proprietary Transition Acceleration Policy (TAP)**. Our Transition Acceleration Policy aims at stimulating positive transition and limit negative impacts of investments, by discontinuing or limiting our own investments and financing to non-sustainable sectors and activities, such as tobacco, fossil fuels, gambling and so on and by showing our customers what potential investments are TAP-compliant or not.

In 2022, we will further align our offering of investment solutions range with our TAP.

Also, at Belfius, we continued to witness material growth in **thematic investing** during 2021. The extension of our offer and strong commercial activity enabled us to double the Assets under Management in this type of funds in less than a year.

Next to the four Funds of the Future already actively distributed before 2021, we launched two more themes in 2021, Belfius Move and Belfius Become.

- Belfius Move is a fund that invests in companies which are creating a cleaner, safer and smarter mobility;
- Belfius Become is a fund that invests in companies which contribute to the development of children.

It is Belfius' aim, with this Funds of the Future offering, to cover all 17 UN Sustainable Development Goals in the future.

Become a true Private and Wealth house

For Private Banking and Wealth Management customers, Belfius already offers a dedicated local Private Banker or a specialist Wealth Manager to identify solutions to structure, optimize, manage and protect their assets, including estate planning. The products and services offering includes discretionary portfolio management, MyPortfolio, a bespoke asset management system, an individual estate analysis called Wealth Analysis and Financial Planning, and real-estate, philanthropic and art solutions.

To improve Private Banking customer experience further, Belfius launched a new and comprehensive Private Membership in 2021. Our Private Banking clients can now choose very consciously for a paying membership that offers a wide range of exclusive products and services, price advantages and an unparalleled experience specifically tailored to their needs and those of their loved ones. A revamped value proposition for Belfius Wealth Management will be on the agenda in 2022 with a clear focus on a new state-of-the-art products and services and further upgrading the whole Wealth Management experience.

Belfius initiates contact with these customers through its innovative Wealth Management Hub and Private Houses with Febelfin-certified Wealth Managers offering a holistic approach.

In 2021, we also launched a deal with Planet First partners, a Private Equity fund that invests with the same philosophy as Belfius, namely "better for the people and better for the planet".

On top of the inflows in portfolio management mandates, marketed together with our privileged partner Candriam, our new solutions in asset management in collaboration with BlackRock and JP Morgan proved to be a big success.

Clients can monitor all their savings and investment products in real time on their mobile and tablet devices in the Belfius applications. Overall, 2021 was a record year for these top segments, both in growth of assets and in growth of number of clients.

1.3. Be efficient in everything we do, to continue to improve customer convenience

Putting these strategic choices into practice goes hand in hand with a review and redesign of our customer service processes.

Our distribution model will evolve as customers seek another interaction model leading to changes in their needs of physical and digital interactions.

Many of the low-value interactions are shifting naturally to our digital channels and increasing numbers of customers are finding their way to our digital self-service offering. Our aim is to take these developments, which have been initiated and/or accelerated by the Covid crisis, forward with us and to perpetuate them in our future interactions with our customers in line with customer demand.

In addition, we want to maintain working by appointment in our physical channels, since this is our best guarantee of being able to deliver top-quality service. We also want to continue to be reached easily by telephone, chat and e-mail, and to offer our customers an even more far-ranging service via remote contacts.

With this in mind, Belfius continues to create the right conditions, both for our customers and our branch staff, so that they can work more digitally, more remotely where needed, or by appointment if desired.

2. Entrepreneurs, Enterprises & Public

The Inspire 2025 Strategy for E&E&P is to Become Lead and Loved Bank for Belgian Entrepreneurs, Enterprises and Public Sector.

Already a leader in the public and social sectors, Belfius also wants to become the "Lead and Loved Bank" for Belgian companies and entrepreneurs. Belfius already offers a complete range of first-class services to meet the professional and private financial needs of these clients.

In order to approach clients in an efficient and optimised manner and to realise this ambition covering the professional and private needs of entrepreneurs, companies and the public sector, and two years after the launch of this ambition, it is clear that Belfius is increasingly positioning itself as a market leader. It is indeed in a strong position with a market share of over 17%.

As part of its "Inspire 2025" strategy, Belfius is focusing its efforts in the E&E&P segment on a number of major priorities which contain a "Love declaration" expressed in four formal commitments:

- First of all, we support the Belgian economy in a committed and client-oriented way by **financing all economic players**, from small businesses to large companies, as well as the public and social sector, such as hospitals, education and other social players. Belfius also intends to continue to play a key role in the structuring and financing of major infrastructure investment projects in Belgium. It wants to remain a strong driver of the Belgian economy with a significant loan volume.
- We continue to develop an excellent range of pertinent products and solutions which **meet both the banking needs of all business clients and the private needs of business owners**, thus ensuring that we have perfectly equipped clients while adding an emotional aspect to our relationship.
  In terms of solutions, we always want to provide a high quality, state-of-the-art range. Offering products other than long-term loans is an essential condition for becoming a lead bank for companies and entrepreneurs. We can fully equip our clients. We cover both the professional needs of companies and the private needs of the individuals behind those companies: the entrepreneur, their family, their network and in particular for the management of their assets. Belfius as a trusted bank for Belgian entrepreneurs, through the management of their private assets, and for their companies, through a complete range of professional services, is our ambition. The combination of both aspects allows us to create value for them, for their families, for their companies and for the Belgian economy.
  We aim both to develop the Private & Wealth relationship with the client's shareholders, directors and management and to deepen the professional relationship with the client in the area of Transaction Banking (operational accounts, national and international payments, trade finance, factoring and the sale of other cross-sell products such as insurance, Equity Capital Market, Debt Capital Market and employee benefits).
  To achieve this, we are constantly creating new value propositions in terms of transaction banking for our corporate clients, expanding our sales force and implementing ever more efficient processes.
- We continue to invest in the **human-digital tandem**. Dedicated relationship managers, combined with a differentiating digital experience which develops a strong intimacy with the client, is our third commitment.
  In addition to our existing strength of quality human service, we want to focus more on the digital aspect. Just as our private clients already do, our professional clients also want to be able to carry out their banking tasks with Belfius remotely. Belfius wants to offer a truly differentiating digital experience, with zero effort for E&E&P clients to access all banking services. Our ambition is to meet and exceed the growing digital expectations of our professional clients similar to those they enjoy as Belfius "individual" clients. We want to become the leading digital bank which inspires and exceeds the expectations of all client segments and achieves efficiencies for both clients and the bank and move from a primarily people-centric model to a meaningful, inspiring and efficient human and digital approach.
  The implementation of a digital roadmap for the corporate and public sector is therefore an integral part of our strategy.
- Finally, as a fourth commitment, we are **creating meaningful and inspiring value propositions which involve sustainability** as an integral part of our strategy. We are truly integrating sustainability into our financing offerings and encouraging our clients to engage in or accelerate an ESG journey. We offer concrete and tangible sustainable solutions built around key societal themes.
  Belfius is also developing an innovative global integrated and multi-modal mobility strategy with various sustainability products and services which meet the current and future needs of companies and their employees, with the help of some of the best partners in Belgium.

But Belfius Inspire 2025 goes beyond this new segmentation. It also covers strategic points of development concerning Belfius Insurance, Human Capital and Technology.

"Our integrated bank-insurance model remains a cornerstone for our continued service and revenue diversification."

A bank-insurer business model

Belfius Insurance is a Belgian insurer at the service of all Belgians through its **three brands**:

- **Belfius Insurance** offering a complete range of banking and insurance solutions to the customers of Belfius;
- **DVV Insurance**, distributing insurance products through an exclusive network of dedicated agents all over the country; and
- **Corona Direct Insurance**, a direct insurer offering innovative solutions such as car/motorcycle insurance per km, fire insurance, family insurance, pet insurance and funeral insurance only through direct/remote channels.

Belfius Insurance is pursuing a strategy of profitable growth for its three brands, in both Life and Non-Life segments, especially with the support of data and digital technology.

Within the **Life segment** Belfius Insurance will develop convenient and meaningful protection products in order to protect its customers against the (financial) risks of life. In addition, the simplification of the B23 products in line with the current ESG challenges will offer return opportunities in response to the persistent low interest rates environment and this is an interesting contractual (life) insurance format, complementary to the existing investment solutions.

In **Non-Life** the investments made in the past in terms of technological developments (like My Bo, etc.) are already today supporting our growth. In addition, Belfius Insurance will implement additional measures (e.g. operational excellence, digital transformation, …) in order to continue fully to meet the expectations of its customers. Finally, the development of the insurance policies specifically dedicated to the "Business" segment will be one of the strategic development axes for both Life and Non-Life segments.

Belfius Insurance, as a major societal player active on the Belgian market and a material investor of its life insurance reserves, will contribute to the resolution of the current ESG challenges, since these are incorporated at all levels of its organization, its activities and its investment policies.

Optimizing the employability of Belfius' staff

At Belfius we believe that people make the difference; they make things happen.

So Belfius nurtures its talents: the human capital that plays a vital role in Belfius' successes.

We plan to continue to give perspective and confidence to Belfius people though the implementation of our strategy "Meaningful & Inspiring for Belgian society. Together".

With this in mind, Belfius has chosen to **provide maximum support** to the "employability" of each of its staff members, and to offer them work conditions that fit their flexibility needs and a work environment and culture in which they feel well and engaged.

We invest in Belfius Human Capital by **going beyond a strict headcount and staff cost management**. This is achieved through the shaping of our human capital for which we anticipate pension leaves, foster talent inflow, transform careers and implement modern learning and collaboration modes.

As a modern, attractive employer, Belfius continues to provide innovative working conditions for its staff (for instance further extension of teleworking via possibility to opt for the "Home Based" status, a status of hybrid work and collaboration based on a balance between teleworking and office work, based on trust, empowerment and autonomy; or the offering of our Staff Assistance Programme) and is convinced that the necessary ingredients are in place to remain in pole position as an employer.

Innovation in Technology

In 2021, the Belfius technology department materially renewed its strategy, even more focused now on delivering sustainable technology platforms that support the implementation of Belfius' Inspire 2025 strategy, and by doing so creating long-term value for customers, staff members, and the Belgian society.

This strategic Technology plan translated into longer-term transformation trajectories (horizon 5-10 years) that will position Belfius' technology platforms for the day after tomorrow.

The main trajectories cover **five technology domains**:

- **Digital**: the ambition to sustain the Belfius mobile leadership position through continuous improvement in user experience, additional end-to-end digital journeys and a growing ecosystem of third-party services following a "one-app" strategy.
- **Data and Artificial Intelligence**: continued commitment to assure privacy and trust in data remains our baseline; building on that, Belfius intends to bring more intelligence into customer-facing and operational processes allowing for more customer zero effort interactions. This will be done by leveraging Belfius' corporate data platform and artificial intelligence foundations, both of which have been designed with data security, transparency and explainability in mind.
- **Platform Modernization**: continued investment in making the core systems more modular, open and interoperable, following a micro-services architecture. Strategic transformation programs for bank and insurance, supported by dedicated delivery teams, will transform existing core systems as well as building new digital engagement capabilities that allow greater levels of agility and scalability.
- **Security**: further reduction of security risk exposure by strengthening the "zero-trust" architecture whereby connections to Belfius networks are never trusted by default. This forward-looking view on security effectively complements recent achievements to increase resilience through stronger segmentation between (sub-)networks, applications, and infrastructure.
- **Cloud**: continued investment in cloud capabilities. Over the last three years Belfius has built solid foundations in cloud operations. Going forward we will accelerate the cloud transformation journey and scale the cloud benefits achieved to date: higher levels of standardization, faster adoption of new technologies and an even more resilient infrastructure.

By shifting on-premises systems to modern cloud-based solutions, changing the application and data platforms, and moving to a new micro-services architecture, Belfius aims to achieve significant improvements in terms of flexibility, agility and efficiency allowing Belfius to live up to customer expectations with excellence.

Against this background of fast-paced and pervasive technology change, Belfius holds true to its core mission of being meaningful and inspiring for the Belgian society. In addition to the aforementioned trajectories, actions have been initiated to reduce the environmental impact of the technology platforms and infrastructure of Belfius, to achieve CO_2 neutrality in due time, and to ensure sustainable digital experiences for the customers.

Also, Belfius will continue to invest in its technology talents by providing training and development programs tailored to modern technology as well as leadership and collaboration skills on the one hand and by attracting new talents on the other.

The technology strategic plan complements the relentless commitment to deliver resilient solutions that scale with the client expectations and the digital ambitions of Belfius. Over the last four years this focused commitment has resulted in **a top-notch mobile app, high customer satisfaction and a reduction of single incident impact time by a factor of 3**, whilst at the same time serving 2.5 times more transaction workload, mainly driven by Belfius Mobile.

In summary, **Belfius fundamentally believes that technology transformation is only possible in a culture of trust**, where people can express their passion for technology and where the beforementioned trajectories shape an environment that will allow Belfius to implement its Inspire 2025 ambitions, by building sustainable technology products and platforms.

Sustainability Report 2021

1. About this report

The 2021 Belfius Sustainability Report is designed to present the Belfius Group's ('Belfius') strategy, business model, governance, risks and opportunities, performance and future outlook with regards to sustainable development. This report is Belfius' opportunity to guide its stakeholders, and any external readers, in their understanding of the group's values, initiatives and overall progress made with regards to sustainability in 2021.

This report's content is determined by economic, environmental and social topics considered from both "impact materiality" and "financial materiality" perspectives in line with the principles of "double-materiality". Significant topics were identified through a two-pronged analysis from the point of view of both the Belfius Group and its stakeholders.

The information and data contained in this report cover the period from 1 January 2021 to 31 December 2021, unless otherwise stated. This report refers to Belfius' activities in Belgium, and the information provided deals with the sustainability performance of both Belfius Bank and its subsidiaries (including Belfius Insurance). Belfius publishes its sustainability reports on an annual basis - reports from previous years can be found on belfius.be

External reporting frameworks

The 2021 Belfius Sustainability Report has been prepared in accordance with Global Reporting Initiative (GRI) Standards (Core Option). The GRI Standards Financial Services Sector Supplement was incorporated into this report.

Belfius' CO_2-neutral® label is issued by CO2logic in collaboration with the independent certification body, Vinçotte.

The double materiality approach for our 2021 materiality assessment was based on information from the SASB (Sustainability Accounting Standards Board) materiality matrix for the banking and insurance sector, the Principles for Responsible Banking, the Principles for Sustainable Insurance, the Sustainable Development Goals (SDGs), the Sector Study report on Sustainability Materiality of SDG Targets and GRI Indicators.

For this sustainability report, the Sustainable Development Goals (SDGs) are used as a reference to highlight important strategic topics and realisations, as they provide us with an important framework for our value creation and material topics.

This year, our report includes climate-related information in view of Task Force on Climate-related Financial Disclosures (TCFD) recommendations. In addition, the United Nations Principles for Responsible Banking (UN PRB) and the United Nations Principles for Sustainable Insurance (UN PSI) reporting, to which Belfius became a signatory in 2020 can be found in the Appendices section. Information regarding Belfius' progress on the United Nations Global Compact principles can also be found in the Appendices section of this report.

For any feedback and questions regarding the Belfius Sustainability Report, please send an e-mail to *esg@belfius.be*.

2. Highlights

21/01

Creation of Fairville. This joint venture between Belfius, Cipal Schaubroeck and Nuhma offers cities and municipalities digital solutions focused on the local economy, sustainability and mobility.

09/03

Hoplr, the digital neighbourhood network, will be able to meet its international ambitions in the field of community support, thanks to the EUR 2 million in funding provided by Belfius, Matexi and CAREvolution.

22/04

Belfius signs the **Responsible Digital Charter** and commits to move towards more sustainable IT systems.

02/05

Start of the #VirtualGames2021, the second edition of the Virtual Games **Special Olympics**, replacing the Special Olympics, of which Belfius is now Diamond Sponsor.

06/05

Belfius becomes partner and exclusive **distributor** on the Belgian market of the new **Planet First Partners** investment fund. The fund offers private equity investments in European companies active in healthy and sustainable consumption, health and the environment.

01/06

Issuance of the **first Belfius Green Bond**. The funds raised (EUR 500 million) are exclusively intended for the (re)financing of sustainable projects: wind farms, installation of solar panels, green real estate, etc.

01/07

Launch of Re=Bel, the new online investment platform with a cause. Re=Bel promotes investments across more than 25 markets that advance society in various fields: health, renewable energies, etc.

15/07

Jane joins forces with the innovative care centre Z-plus, founded by care organisations i-mens, Mederi and Familiehulp to offer smarter and more preventive home care and to enable senior citizens to live longer in their own homes in safety.

21/09

Belfius invites 297 **suppliers** that represent 70% of our total vendor spend **to have their ESG performance assessed** by EcoVadis, an internationally recognised ESG rating company.

22/09

Signature of the **Inclusive Panels charter**. This initiative aims to improve the mix of genders, origins and ages within the panels that speak at events and conferences in Belgium.

05/10

Official **launch of Banx**, a fully digital Belgian banking experience, designed by Proximus and produced by Belfius. Banx allows users to measure the impact of their purchases on the planet.

11/10

Launch of Beats, a personalised, modular and innovative telco-banking offer with a societal component, allowing customers to choose for themselves in which area Belfius will contribute to supporting a more sustainable Belgian society.

12/10

Belfius joins the Partnership for Carbon Accounting Financials. The PCAF provides financial institutions with the tools to assess the emissions of activities financed by loans and investments ("financed emissions").

26/11

Rode Neuzen Dag (Red Nose Day), with the support of Belfius, VTM, Qmusic and Het Laatste Nieuws, collects more than EUR 3 million to train "Sidekick Sams": people who are accessible in schools for young people who need a listening ear.

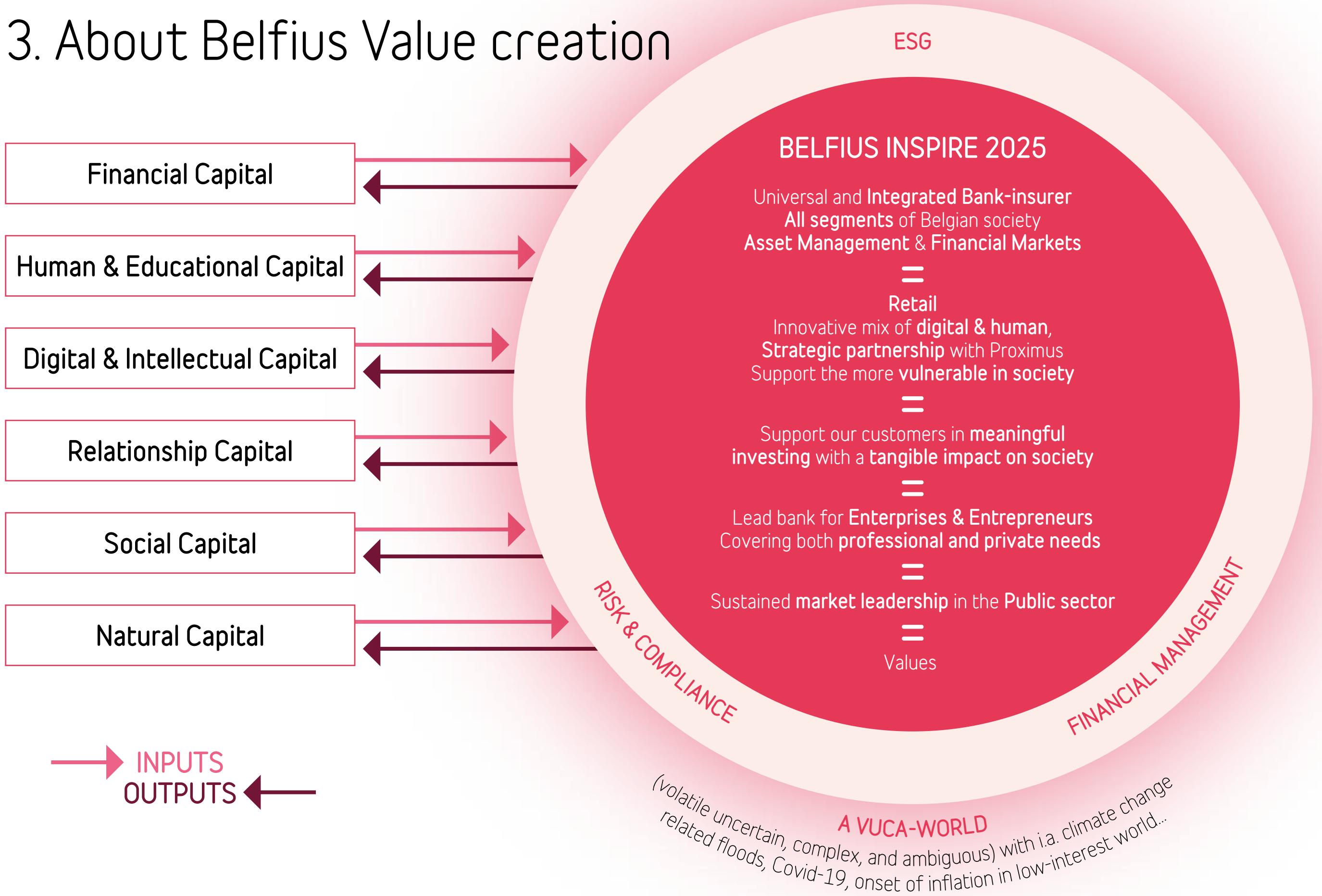
20/12

Belfius signs first letter of commitment to the Science Based Targets initiative - a commitment to reduce its emissions according to robust methodologies in line with the latest climate science and the level of decarbonisation required to meet the objectives of the Paris Agreement.

23/12

Viva for Life raises just over EUR 7.5 million to fight child poverty, with the support of Belfius (EUR 620,545), the RTBF and Cap 48.

3. About Belfius Value creation

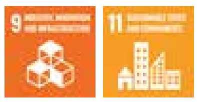


Value created | **Sustainable impact**

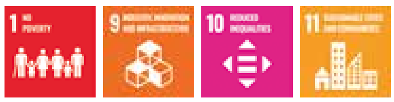
SHAREHOLDERS
EUR 368.5 million dividends in 2021
Equity base increased to EUR 11.0 billion - doubled in 10 years time, thanks to strong financial management discipline and effective risk & compliance, which was again confirmed by 2021 EBA stress test results. As a locally anchored, Belgian bank-insurer with local decision centers and Belgian citizens as customers, Belfius is a key player in the Belgian economic fabric.

BELFIUS AMBASSADORS
Excellent employee engagement score of 86.5%, despite difficult pandemic circumstances and forced large-scale remote working. Belfius continued monitoring wellbeing of its talents; developing the leaders of the future in the financial sector; and making sustainable careers possible. We give our independent networks the tools to build a thriving local business and living, leveraging Belfius' or DVV's franchise and reputation.

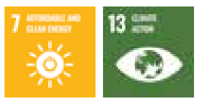
CUSTOMERS
Belfius is truly committed to its customers and their love, putting the customer at the heart of all decisions and processes. As a truly integrated banking & insurance group, we provide single point-of-contact financial solutions to 3.7 million customers, via an innovative mix of accessibility, providing distinctive in-branch advice and service across Belgium, combined with a best-in class, safe and digital service experience.



SOCIETY
Belfius takes great care in being a responsible and law-abiding member of Belgian society (e.g. AML). Solidarity was our motivating driver when we were at the side of our insurance customers who suffered from the July floods. We also continued to engage with the Belgian society through our philanthropic projects with a focus on children and young or vulnerable people (Viva for Life, Rode Neuzen dag, Special Olympics).



PLANET
Guided by the Paris Climate Agreement, we continued to achieve carbon-neutrality of our operations in 2021, committed to the Science Based Target initiative and announced the exclusion of coal extraction in all our activities. While continuously expanding our green product and service offering, our Transition Acceleration Policy guides Belfius' transition to a low-carbon economy.



INPUTS	OUTPUTS
Financial Capital Belfius customers can be assured that their savings will be reinvested almost entirely in Belgian society and economy. EUR 102.3 billion outstanding on savings & current accounts.	**Financial Capital** • Net result EUR 935 million • CET 1 ratio of 16.4% • Solvency II ratio of 190% • Outstanding commercial loans EUR 102.2 billion
Human & Educational Capital As people are Belfius' most valuable asset, we continuously invest in the training and development of talents in Belgium to prepare them for the skills of the future. We prioritize satisfaction and wellbeing of our employees, and embrace a working culture built on diversity and inclusion. We value our dynamic local independent networks for both Belfius and DVV franchise. Whenever possible, we favour working with local partners and suppliers, thereby also enabling the development of their talents in Belgium.	**Human & Educational Capital** • 6,531 employees • EUR 641 million salaries and benefits of employees • 6 average days of training received per FTE • 36.7% women in management or senior/key positions • EUR 221 million network commissions • 85% of suppliers that are Belgium-based
Digital & Intellectual Capital Belfius offers innovative digital solutions beyond traditional banking and insurance products , leveraging an ecosystem of local, strategic partners (Proximus, Immovlan, Skipr, Cyclis). Belfius' world class mobile app offers intuitive, easy-to-use sales and service flows and is a cornerstone of our digital offering and customer experience. To guarantee a safe and secure service we increasingly invest in our information security capabilities.	**Digital & Intellectual Capital** • 1.8 million active mobile users • Top 5 most valuable brands in Belgium (by Brand Finance) • #2 Mobile banking & insurance app in the world (by Sia Partners)
Relationship Capital Human-focused services lie at the heart of our business. From individuals over enterprises & entrepreneurs to public & social entities, we provide services and products tailored to the needs of all segments in Belgian society - always attentive to its more vulnerable members.	**Relationship Capital** • Customer satisfaction score 94.5% • #1 in financing of municipalities, cities, hospitals & care sector • 17.4% and 18.5% market share Business & Corporate • EUR 22.3 billion gross production in long term loans • EUR 179.5 billion outstanding Savings & Investments • 180,000 social products
Social Capital Social commitment has been part of Belfius' DNA since origin, and is fully embedded in our values driven strategy and purpose to be "Meaningful & Inspiring for Belgian society". Together. Guided by the Sustainable Development Goals, we contribute to society both directly through our philanthropic activities and indirectly by giving our customers the opportunity to support the causes of their choice through our product offer.	**Social Capital** • Total tax contribution of EUR 727 million • Claims paid due to natural catastrophies EUR 201 million • Claims paid on debt balance insurance EUR 22 million • 0.6 million clients building up fiscal pensions to face the pension gap
Natural Capital As a leading bank-insurer we manage our impact on natural resources resulting from our operations and financing activities. On top of offering green solutions, we also collaborate with external stakeholders to advise our clients on decreasing their impact on the environment.	**Natural Capital** • First Green bond issue of EUR 500 million • Carbon neutrality for own operations, on a scope of 18 tons of Co_2 • Over EUR 4 billion green or sustainable bonds issued by corporate clients with the support of Belfius • 14% share of electric or hybrid vehicles in Belfius Auto Lease fleet • Over 80% gross production of funds in art. 9 SFDR

4. ESG fully embedded in the Belfius Strategy

COMMITMENTS

WE SUPPORT

ESG RATINGS

Vigeo: 58/100
(April 2021)
Sustainalytics: 20.3
(February 2021)

4.1. ESG at the heart of everything we do

Sustainable business is in our DNA - it is part of our history and is woven into the core of our purpose: "Meaningful & Inspiring for Belgian Society. Together". Using our purpose as a compass, we have defined a clear sustainability strategy with one goal: to inspire our customers to accomplish their sustainability ambitions and, in doing so, to create, together with our customers, the greatest possible impact.

We do this through walking our talk, doing what we say in the area of sustainable business and ensuring maximum positive contribution in everything we do.

In addition, we put our customers in the driving seat of their sustainability ambition and support them with an adapted range of products and services. We also provide a strong framework through partners who help show the way in a complex changing world.

In order to accomplish this strategy, we have defined a number of commitments in recent years which are our compass with regards to our sustainability ambition. The strong evolution in the field of regulations and stakeholder expectations has resulted in a stricter focus on a number of these commitments in 2021, and we also report on them transparently:

1. Be and remain carbon neutral, with an ever-shrinking footprint
2. Opting for 100% green electricity, a choice we have made since 2008
3. Supporting our society year after year through Belgian charities
4. Giving women every opportunity and guaranteeing equal pay
5. Going for a 100% meaningful investment offer
6. Giving absolute priority to future-proof infrastructure for Belgian society

Every day, we do our utmost to not only support, but also actively facilitate, the transition to a low-carbon, resilient and prosperous Belgian society. After all, climate action is more than an environmental issue, it is a crucial social change that we want to help bring about. We are committed to placing sustainable enterprise at the heart of our decisions and to doing our bit to combat climate change. That is why Belfius joined the Science Based Targets initiative (SBTi) and why we are committed to setting our emissions reduction targets in line with the Paris Climate Agreement.

We are aware of the complexity of finding solutions that meet both the needs of our customers and our sustainability objectives. Within this context, we heavily invest in improving our data environment in which ESG data plays a key role. We understand that measurement and transparent reporting are a key to success. This also allows for an open dialogue with our stakeholders, to which we attach great importance.

Strong ESG governance with clear responsibilities at the highest levels and an explicit integration of sustainability in the variable remuneration of senior management, ensures that sustainable enterprise is at the heart of every decision we make. Monitoring of our progress in sustainability through key performance indicators reinforces this.

In the table below, we publish our core KPI dashboard, tracking our commitments.

Belfius ESG dashboard

		2020	2021	Target 2025
CARBON FOOTPRINT (OWN OPERATIONS)	% decrease of carbon footprint (tons of CO_2) of Belfius' internal operations (new scope)	-29% (old scope)	16%	-20% vs 2019
GREEN ELECTRICITY (OWN OPERATIONS)	% of electricity consumption from renewable sources for own operations	100%	100%	100%
GOOD CAUSES	Cumulative Mio EUR support to Belgian good causes since 2015 (pure & commercial charity)	22	25	50
(GENDER) DIVERSITY	% of women in management position	34%	36.7%	44%
MEANINGFUL INVESTMENTS	% of production in investments in scope(1) that is meaningful (SFDR art 8 & 9)	-	83%	100%
MEANINGFUL FINANCING INFRASTRUCTURE	Bn EUR cumulative loan production in meaningful infrastructure projects since 2020	1.7	2.7	5.8

(1) Scope limited to mutual funds (including My Portfolio and pension funds) and Investment - Insurance.

4.2. Materiality assessment

In 2017 we conducted a first assessment to determine which topics should be considered as material (i.e. relevant) for Belfius when defining its sustainability strategy and approach.

In Q4 2021, running through to the beginning of 2022, Belfius conducted a new materiality assessment with a two-fold objective: to confirm that its strategy and sustainability commitments are tackling issues that its stakeholders consider to be relevant, and to identify any additional topics that are a priority for those stakeholders. An independent third party was hired to provide support in conducting this exercise.

We expect to update our materiality assessment every two to three years.

In anticipation of the mandatory application of the Corporate Sustainability Reporting Directive (CSRD), Belfius decided to evaluate its priorities through a "double materiality" lens.

Belfius embedded double materiality into the assessment by considering not only the impact of a particular topic on Belfius, but also the impact Belfius has on that topic. Belfius believes this approach will assist in further understanding which areas it needs to focus on to be able to meet its stakeholders' expectations.

4.2.1. Assessment process

Identification of topics based on actual and potential impacts

To assess an initial set of material topics, Belfius analysed and consolidated information from the SASB (Sustainability Accounting Standards Board) materiality matrix for the banking and insurance sector, the Principles for Responsible Banking, the Principles for Sustainable Insurance, peer review, the Sustainable Development Goals (SDGs) and the Sector Study report on Sustainability Materiality of SDG Targets and GRI Indicators prepared by the Governance & Accountability Institute. This broad research resulted in an initial longlist of 30 topics, which was the basis for further convergence to a final list of 15 topics used to conduct the online survey referred to below. This final list of 15 topics covered environmental, social, governance and economic matters.

Assessment of relevance and impact of topics

An online survey was used to assess the materiality and impact of the 15 topics in question. Following the double materiality view, there were two questions per topic: 1) what is the impact of the topic on Belfius (going from very low, low, over neutral, to high and very high), and 2) what is the impact Belfius has on the topic today (going from very negative, negative over neutral, to positive and very positive).

Using this online double materiality survey, Belfius reached out to different stakeholders from several groups, having in mind their interest in and impact on the Belfius Group.

Belfius' corporate view was represented through a selection of senior executives from all business units. A group of 200 employees pioneering sustainability were also consulted as internal stakeholders. Finally, external stakeholders were also consulted: social and civil organisations, employer federation, consumer organisations, customers, strategic partners, suppliers, trade unions, sustainability experts, academic institutions, sector federations, credit and sustainability rating agencies.

Determination of material topics

The results from the online survey were weighted according to a pre-defined methodology. The views of internal and external stakeholders on the impact of the topics on Belfius were analysed and aggregated on the Y axis (Importance to Society). The views of Belfius' management were put on the X axis (Importance to Belfius' performance). Following the double materiality approach, a colour scheme was included to showcase the impact Belfius has on each topic in addition to its relevance: dark red (merlot) is positive, red (rubis) is neutral. No other colours are used as there are no (very) negative or very positive impacts of Belfius on a topic.

The results were plotted in the materiality matrix and submitted for information and discussion to the Management Boards of Belfius Bank and Belfius Insurance. The final result, which was also presented to the Board of Directors of Belfius Bank and Belfius Insurance, is included in the section below.

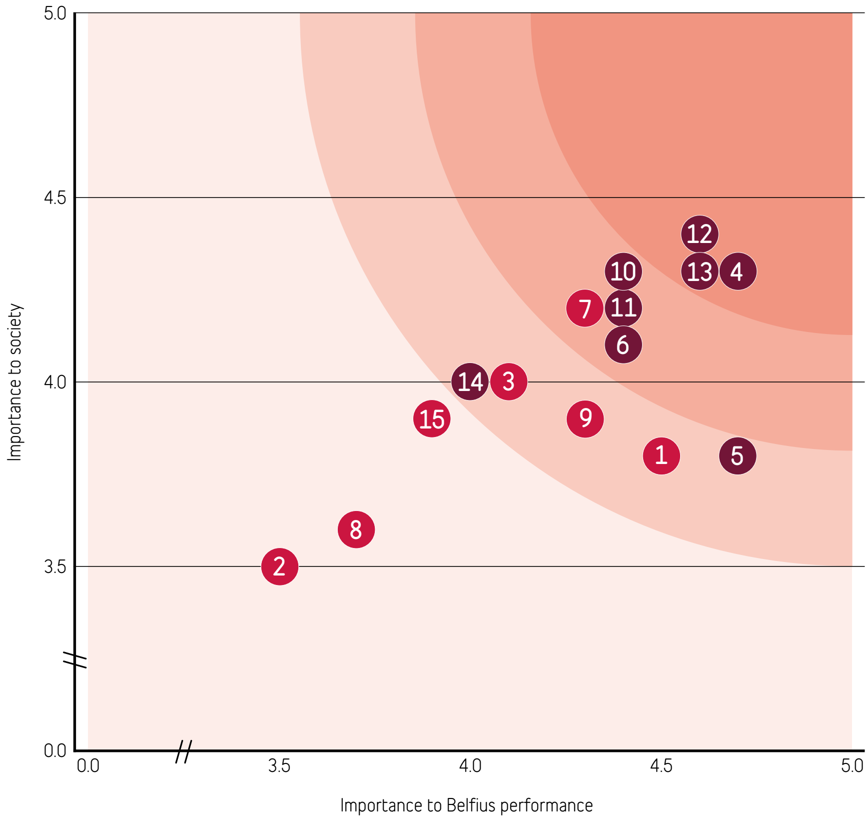
The topics in the bottom left quadrant are regarded as less material to both internal and external stakeholders, as well as to Belfius' own corporate view, while the topics in the top right quadrant are considered most relevant.

4.2.2. Materiality Matrix

When aggregated, none of the topics included in Belfius' assessment and survey scored very low, low or neutral (equivalent to a score of 1 to 3). It can also be observed that there is alignment between the scores on the X and the Y axes: the correlation between Belfius and stakeholders' views is 69%.

It is not possible to make a direct comparison between our 2017 materiality matrix and this new one due to the re-distribution of topics included in both exercises. However, certain areas remain a priority to our stakeholders since 2017, for example: information security and data protection, customer satisfaction, longterm financial stability and sustainability support.

Materiality matrix



Topic	
1	Financial inclusion & access to financial services
2	Financial literacy
3	Transparent communication on products & services
4	Talent attraction & retention
5	Diversity & equal opportunities
6	Community involvement
7	Sustainability transition support & acceleration
8	Managing direct and indirect environmental impact of Belfius Group
9	Future-proof, inclusive & relevant infrastructure
10	Law-abiding and ethical business conduct
11	Resilience & long term oriented financial performance
12	Information security, privacy & data protection
13	Consumer experience & satisfaction
14	Use local digital & innovation power
15	Open dialogue with stakeholders & active engagement

List of topics and link with SDGs

Topic	Definition	SDG contribution	Distinctive initiatives in 2021
FINANCIAL INCLUSION & ACCESS TO FINANCIAL SERVICES	Secure financial inclusion by focusing on usability and affordability of relevant bank and insurance offers for everyone, including the more vulnerable (the elderly, disabled, non-digital population, start-ups, etc.).	1 NO POVERTY 5 GENDER EQUALITY 10 REDUCED INEQUALITIES 11 SUSTAINABLE CITIES AND COMMUNITIES	Universal account, in line with Charter of Universal Banking Service available at Belfius. A witnessed procedure to enable the visually impaired to sign income protection or credit cover.
FINANCIAL LITERACY	Improve the general public's knowledge and skills needed to make important financial decisions.	4 QUALITY EDUCATION	
TRANSPARENT COMMUNICATION ON PRODUCTS & SERVICES	Provide fair, simple, easy-to-understand and transparent information to clients to help them make the right financial and insurance choices.		New terms and conditions in home insurance use plain language
TALENT ATTRACTION & RETENTION	Create a healthy, safe and motivating work environment, focusing on development of talents and well-being of employees, providing meaningful employment.	3 GOOD HEALTH AND WELL-BEING 4 QUALITY EDUCATION 8 DECENT WORK AND ECONOMIC GROWTH	Initiatives to maintain connections during Covid-19. Agreement on a new structural homeworking status with unions.
DIVERSITY & EQUAL OPPORTUNITIES	Promote a culture that fosters diversity and gives equal opportunities and equal pay regardless of gender, race, sexual orientation.	5 GENDER EQUALITY 8 DECENT WORK AND ECONOMIC GROWTH 10 REDUCED INEQUALITIES	Job advertisements were rewritten to highlight Belfius' Diversity & Inclusion commitments. Signatory to Inclusive Panels Charter
COMMUNITY INVOLVEMENT	Make a positive contribution to society, through the product and service offer (e.g. financing of hospitals, thematic investment funds, ...)	3 GOOD HEALTH AND WELL-BEING 8 DECENT WORK AND ECONOMIC GROWTH 11 SUSTAINABLE CITIES AND COMMUNITIES	Launch of Beats, an innovative telco and banking offer with the possibility for customers to support a good cause that is meaningful to them
SUSTAINABILITY TRANSITION SUPPORT & ACCELERATION	Accompany the transition to sustainability by: • Restricting activities with controversial and socially sensitive sectors (loans, investments, insurance, ...). • Expanding the sustainable offer • Providing maximum support to customers in the transition towards a more sustainable economy and society.	7 AFFORDABLE AND CLEAN ENERGY 8 DECENT WORK AND ECONOMIC GROWTH 11 SUSTAINABLE CITIES AND COMMUNITIES 12 RESPONSIBLE CONSUMPTION AND PRODUCTION 13 CLIMATE ACTION	Launch of Rebel, investment app that gives insight in the ESG impact of investments. Integration of Transition Acceleration Policy in processes and procedures
MANAGING DIRECT AND INDIRECT ENVIRONMENTAL IMPACT OF BELFIUS GROUP	Reduce the direct carbon footprint and impact of own operations on biodiversity, oceans, water and waste, as well as the indirect environmental footprint generated throughout core business activities.	7 AFFORDABLE AND CLEAN ENERGY 12 RESPONSIBLE CONSUMPTION AND PRODUCTION 13 CLIMATE ACTION 14 LIFE BELOW WATER 15 LIFE ON LAND	Extension of scope for carbon neutrality label to include Belfius' independent network branches and outsourced IT operational activities

SUSTAINABLE DEVELOPMENT GOALS

Topic	Definition	SDG contribution	Distinctive initiatives in 2021
FUTURE-PROOF, INCLUSIVE & RELEVANT INFRASTRUCTURE	Provide concrete solutions for infrastructure challenges in Belgium, focusing on, amongst others, renewable energy and energy-efficiency of buildings.		46 institutions started new projects with Belfius' Smart Building and Renovation Solution offer. Participation in Hamsterhuren II. Flemish renovation loan included in product offer
LAW-ABIDING AND ETHICAL BUSINESS CONDUCT	Be an honest tax payer. Comply with laws and regulations under all circumstances. Conduct business with integrity across the whole value chain (e.g. integrate ESG considerations, like human rights, in supplier selection). Combat corruption, bribery and fraud.		Start of assessment of suppliers on their sustainability practices and ambitions with EcoVadis. Publication of Belfius' own Human Rights Policy
RESILIENCE & LONG TERM ORIENTED FINANCIAL PERFORMANCE	Set sound objectives on risk management and financial stability to create long-term value for society.		First reporting on climate in TCFD framework
INFORMATION SECURITY, PRIVACY & DATA PROTECTION	Guarantee high performance in terms of IT security. Ensure stable and secure IT systems resilient to outside attacks and cybercrimes. Follow strict privacy rules regarding client and employee data and protect their personal and confidential information.		Update of Privacy Charter
CONSUMER EXPERIENCE & SATISFACTION	Continuously strive to provide a first-class and seamless experience to clients across all available channels (digital, phone, branch, …) and deal effectively with complaints.		94.5% customer satisfaction
USE LOCAL DIGITAL & INNOVATION POWER	Stay on the leading edge in digital and local innovation for the benefit of the customer and society, by leveraging new technologies and Belgian talents.		Launch of Banx, with a CO_2 dashboard of purchases
OPEN DIALOGUE WITH STAKEHOLDERS & ACTIVE ENGAGEMENT	Engage with all stakeholders on sustainability, including companies in which investments are made (directly, or indirectly through customer portfolios).		First double Materiality Assessment for Belfius

Looking beyond the materiality assessment

Belfius is aware that all the topics are important to different stakeholders and will use them all to inform its sustainability strategy and approach, while paying particular attention to those subjects where Belfius can be meaningful and inspiring for Belgian society.

4.3. Engaging with our stakeholders

The table below gives a concise overview of our most important stakeholders, the way in which we entered into dialogue with them in 2021 and the most important topics of conversation.

Stakeholder	How do we enter into dialogue?	Main topics of conversation with stakeholders
CUSTOMERS	• Bank and insurance offices (physical channel) • Digital channels (websites, mobile app) • Belfius Connect - remote financial services (telephone, mail, chat) for all customers • Customer satisfaction surveys • Complaints management process	• Suggestions and complaints from customers • Product transparency • Access to financial services
EMPLOYEES	• A permanent feedback culture between employees and managers • Live information webinars given by top and senior management with Q&A • An annual engagement barometer - a survey that invites employees to make their voices heard on the internal operation of the company • Representation in social bodies and a network of union representatives • A network for psycho-social help • Consultation of a community of 'Belfius changemakers' as a stakeholder in the 2021 materiality analysis	• Fair and competitive remuneration • Coaching and career guidance • Training and education • Pleasant and healthy working conditions (BeTeams) • Physical and mental health of employees • Transparency around strategy, policy and results • Increased involvement of internal and external stakeholders in ESG policy
SOCIAL AND CIVIL SOCIETY ORGANISATIONS, NGOs	• A dialogue with various organisations and NGOs and cooperation with their surveys and assessments • Consultation as a stakeholder in the 2021 materiality analysis	• Interactions on ESG policy, Belfius aims and commitments • Belfius investment policies
SHAREHOLDERS	• Periodic consultation and operational contacts with the Federal Holding and Investment Company (FPIM)	• Transparency around company performance and results • Ad hoc information for answering external questions • Risk management
STRATEGIC PARTNERS	• Regular contact with commercial and non-commercial partners in the field of philanthropy	• The selection of social themes and challenges where Belfius can have the greatest positive impact via its philanthropy programme and its community involvement initiatives
SECTOR FEDERATIONS, EMPLOYER ORGANISATIONS AND UNIONS	• Membership and representation in financial and economic federations (Febelfin, Assuralia, BVK, BLV, BVB, BEAMA), employer organisations, cooperation platforms for innovation and technology • Social bodies and linked subcommittees • Consultation as a stakeholder in the 2021 materiality analysis	• Sharing knowledge with sector federations • Putting social responsibility into practice • New ways of organising work to create a more open and sustainable organisation
GOVERNMENTS AND REGULATORS	• Collaboration in ministerial consultation initiatives at a federal and regional level • A systematic follow-up of regulatory initiatives that have an impact on the financial sector • Periodic consultation with regulators (NBB, FSMA, ECB, EIOPA)	• Compliance with regulations and statutory obligations • Proper financial and non-financial reporting • Transition Acceleration Policy
RATINGS AGENCIES, SUSTAINABILITY EXPERTS, ANALYSTS AND INVESTORS, (FINANCIAL) PRESS	• Press conferences regarding the bank's results with associated investor calls • Active engagement with rating agencies, constructive dialogue on periodical ESG reviews and providing detailed feedback • Day-to-day questions and answers via the bank's press spokesperson	• Transparency around how the business is conducted, proper financial and non-financial communication
(SUPRA)NATIONAL SUSTAINABILITY-LINKED ORGANISATIONS	• Regular discussions with and reporting to the UN Environmental Programme Finance Initiative (UNEP FI) and the Belgian Alliance for Climate Action • Collaborative sessions with sustainable development network The Shift	• Meeting our national and supranational ESG commitments and being transparent on our progress
COUNTERPARTIES WITHIN ASSET MANAGEMENT	• Engagement/active shareholdership by Belfius Investment Partners and Belfius Insurance with third party asset managers and companies • Annual reporting on engagement/active shareholdership and proxy voting by Belfius IP and Belfius Insurance	• Exchange of views on ESG issues, avoidance of controversies, promotion of sustainable investment choices

5. Meaningful growth

5.1. Sustainable investing

5.1.1. Sustainable fund management within Belfius

In recent years, interest in sustainable investing has increased sharply - and yet the growth figures from previous years pale in comparison to those of 2021: at Belfius over 80% of the new production in investment funds (including pension funds and My Portfolio) went to meaningful "dark green" or "light green" funds (see section 5.1.2. for more information).

In parallel with this evolution Belfius is also making its approach and its range of funds more sustainable. Last year we decided to gradually make our entire range more ESG-friendly and no longer promote a two-tiered offering, with funds that undergo ESG screening and other, traditional funds.

Fund management in the Belfius offer is undertaken by:

- Subsidiary company Belfius Investment Partners (Belfius IP): it monitors Belfius' entire fund range to ensure that it is in line with strategic options and sustainability commitments. Belfius IP also manages a whole range of investment funds itself and is the point of contact for external asset managers, including Candriam, our main external partner, but also BlackRock and JP Morgan AM.
  Within the Belfius Group, Belfius IP is also the centre of competence for socially responsible investment.
  In 2019, Belfius IP signed the UNPRI (United Nations Principles for Responsible Investment), thereby making a formal and external commitment to embed sustainability principles in its policy and to strengthen them over time.
  Read more about Belfius IP's approach to sustainable and responsible investment.
- Candriam has always been Belfius' preferred external partner for investment fund management and is responsible for the day-to-day management of most Belfius funds. A pioneer in sustainable investment, Candriam was one of the first fund managers to exclude companies from a number of controversial sectors from its funds and to select companies on the basis of their social behaviour (ESG criteria). Since then, Candriam has become a benchmark for sustainable investment.
  As one of the first European asset managers, Candriam signed the UNPRI in 2005.

5.1.2. Funds and sustainability: a new European frame of reference since 2021

Since March 2021, SFDR (Sustainable Finance Disclosure Regulation) rules require fund managers and distributors in the European Union to provide more information in their prospectus and on their website about how sustainability risks (ESG risks) are taken into account in their decision-making processes and how they deal with the principal adverse impacts (PAI) of their investment decisions.

SFDR, also known as the European rules for sustainability disclosure in the financial sector, is part of the broader European Action Plan for Financing Sustainable Growth that aims, among other things, to direct financial flows to those economic sectors and activities that contribute most to the EU's sustainability goals.

The aim of the SFDR rules is to give investors a better understanding of how managers and distributors of financial products deal with ESG risks and aim to make a sustainable impact. With these rules, the EU wants to create a level playing field, where all funds are subject to the same criteria to be considered "sustainable". This makes investment products more easily comparable for the investor.

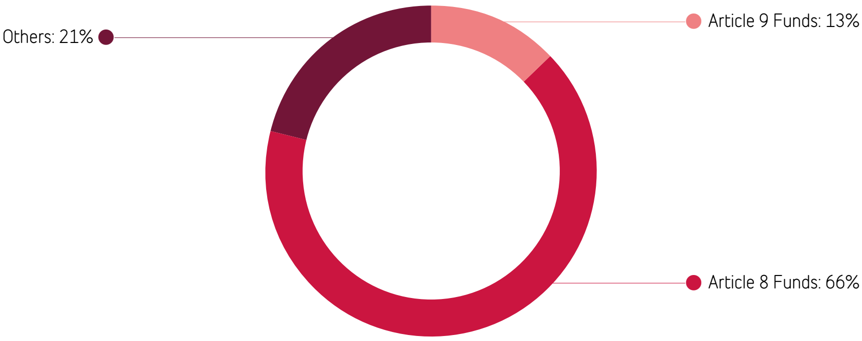
By "sustainable" is meant ESG-resistant. This means that actions are carried out with sufficient respect for the environment and climate (E for Environmental), with attention to the social relationship with fellow humans and animals (S for Social), and with sound corporate governance (G for Governance).

In practice, this means that each investment fund will belong to one of the three following categories, depending on its sustainability ambitions:

- Article 9 Funds ("dark green funds") have an explicitly sustainable objective and aim to have a positive impact. The extent to which these objectives are achieved must be measured and periodically reported to the investor.
- Article 8 Funds ("light green funds") are funds that promote environmental and/or social characteristics in addition to other characteristics. These must also be reported to the investor annually.
- Article 6 Funds are those that have no sustainability ambition, they do not meet the requirements of the two categories mentioned above.

From this reporting year onwards, Belfius also reports in accordance with SFDR classification. A first snapshot of this, as of December 31st 2021, can be found in the graph below.

% art 8 & 9 in outstanding active investments offer submitted to SFDR (except mandates)



OUR COMMITMENT

Going for a 100% meaningful investment offer

5.1.3. Accelerating the transition without detrimental effects

As a bank for investors, Belfius seeks out companies and areas of activity that have the greatest positive impact when creating its range of funds. At the same time, we exclude unsustainable activities from our range of funds using a combination of methods:

Applying exclusions

Sectors, companies or public authorities are excluded on legal, regulatory or sustainability grounds and are therefore ineligible for investment.

At Belfius this is done through:

- a norm-referenced (normative) screening process that excludes companies that violate the principles of the United Nations Global Compact (UNGC) or are involved in serious controversies
- the normative exclusion criteria of Portfolio21 with regards to Belfius Insurance's investment portfolio: more on this in section 5.5.1.
- the Transition Acceleration Policy (TAP), the Belfius Group's own sector policy for all of its activities. This is a policy that aims both to exclude or limit certain activities that we consider unsustainable (e.g. tobacco production and gambling) and to support

activities in a transitional phase (e.g. in the energy sector). Read more about the Transition Acceleration Policy in section 6.1.2.
For investment funds, this means that all investment funds (and not only sustainable funds) are subject to a much more thorough ESG screening than before. Gradually, all actively offered investment products will be made compliant with this policy, with a target date of December 31st 2022.

Incorporating ESG criteria
ESG factors are built into our financial analysis/valuation and financial decision-making in a systematic and documented manner, including through:

- Positive screening: investing only in companies and countries that perform best in terms of sustainable development within their sector or region
- The integration of environmental and/or social criteria into their management and promotion

Pursuing a specific sustainable objective
A method of investment that aims to invest according to the principles of sustainable development and pursues one or more explicit sustainable objectives.

A thematic approach
Thematic investing is investing in areas linked to new and/or long-term trends that are generally expected to contribute to sustainable development and, more specifically, to solutions for environmental, social and governance issues.

Active shareholdership
Active shareholding refers to obtaining beneficial change through strong engagement with the management of investee companies and through voting at the shareholder meetings of listed companies.

Finally, engagement as a shareholder is a powerful tool in a fund manager's ESG management process. In the case of "funds of funds", funds composed of other funds, the focus is on dialogue with the external managers of these underlying funds. Belfius IP constantly monitors its investment portfolios, paying particular attention to ESG criteria when selecting the underlying instruments (funds, trackers) in which external portfolio managers may invest. In the event of deviations, a dialogue with the manager is initiated in order to find a solution. You can find more details on this in the Belfius IP's Engagement Policy.

Similarly, when Belfius IP delegates the management of a fund to an external partner, such as Candriam, the partner's active shareholding is closely monitored. For example, as an asset manager, Candriam invests directly in companies and, as a shareholder of the companies in the portfolio, uses its voting rights at General Meetings to help steer decisions in a sustainable direction. Candriam publishes an annual report on its voting behaviour as a shareholder (proxy voting). You can read more details about this in Candriam's Engagement Policy.

An active and constructive dialogue with the companies in which it invests enables fund managers to make their points of view, concerns and ideas known to the management of those companies and to influence the decisions of company managers. Conversely, this provides an opportunity for companies to make their views known to the fund managers. Through these discussions, managers try to ensure that controversial activities are avoided as much as possible and that preference is given to activities of a sustainable nature.

OUR COMMITMENT

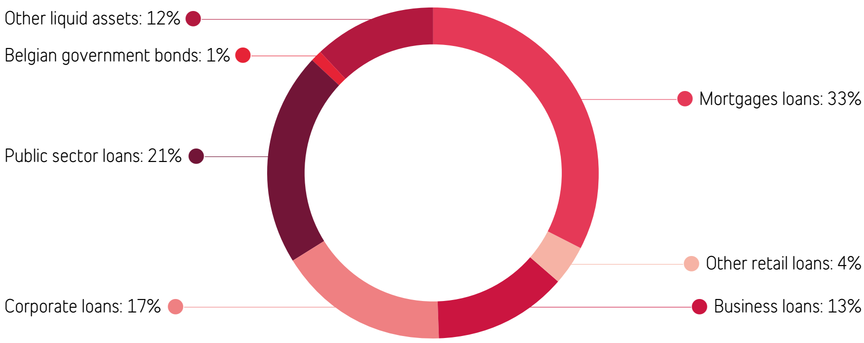
Giving absolute priority
to future-proof infrastructure
for Belgian society

5.2. Sustainable financing solutions

5.2.1. Recirculating into the Belgian economy and community

Leveraging our financing capacity to facilitate projects and initiatives with a positive effect on Belgian society is the essence of our mission. Belfius customers can count on their savings being reinvested almost entirely in the Belgian society and economy in the form of loans to households, the self-employed, SMEs and large companies, municipalities, schools and care centres. The chart below illustrates this.

Allocation savings at bank level



5.2.2. Meeting Belgium's sustainable buildings' challenge head on

Europe wants to be carbon neutral by 2050. As buildings represent a large share of current carbon emissions at the European level, this entails huge challenges and opportunities for the construction and housing markets. Almost all houses and buildings in Belgium will need an energy-saving makeover and at Belfius, many solutions are already available to make a meaningful contribution to Belgium's economy and society in this field.

SBRS (Smart Building and Renovation Solution)

For over 30 years, Belfius Bank has been supporting public and social sector institutions in their real estate projects. A specialised Public Real Estate department advises these institutions beyond simply financing construction projects. A team of architects, engineers and lawyers allows instructing institutions to remain concentrated on their core tasks, rather than on a building project. For each project, the project manager, construction partners and the customer work together to analyse the latest developments in energy, sustainable development, circular economy, IOT (Internet Of Things), etc. to find the perfect balance between price and performance.

- Through its Smart Building and Renovation Solution offer, Belfius engaged with up to 46 institutions in their new projects in 2021 for a total value of EUR 286 million. Public Real Estate supported schools, police stations, fire stations, residential care centres, housing projects for the elderly, shelters for young people, accommodation for the disabled, cultural centres, sports infrastructure projects and administrative centres.

BEEP (Belfius Energy Efficiency Package)

With the Belfius Energy Efficiency Package, Belfius offers a unique financing package to companies, public authorities, educational institutions and social profit organisations stimulating them to invest in reducing their energy needs, switching to alternative energy sources or producing their own energy. For this purpose, Belfius is the only bank in Belgium to have a partnership with the European Investment Bank (EIB) within the framework of the European PF4EE programme (Private Finance for Energy Efficiency). This cooperation with the EIB enables Belfius to support its customers with a tailor-made solution for their financing needs for smaller projects, helping them on their way towards sustainable energy transition.

- In 2021, 20 new projects saw the light of day. These included photovoltaic projects, energy cogeneration projects in apartment buildings, relighting and energy efficiency projects in buildings and biomass cogeneration projects.

Our contract with the EIB has been renewed for projects approved until December 2023. In all, Belfius has now been able to finance 73 projects within this programme with a total project value of approximately EUR 85 million.

ELENA (European Local Energy Assistance)

ELENA is a joint initiative of the EIB and the European Commission within the framework of the European research and innovation programme Horizon 2020. ELENA provides grants for the development of energy efficiency projects in existing buildings and renewable energy programmes for public and social profit clients. Since 2020, Belfius has been the first and only commercial bank to be awarded an ELENA grant to actively assist its public and social profit customers in the development of these projects.

- Since 2020, Belfius and the ELENA initiative enabled more than 30 retrofit projects for a total project cost of EUR 172 million, of which EUR 66 million in 2021;
- Belfius supports 11 cities in the preparation of energy efficiency programmes for their buildings. 5 started in 2020 and 6 started in 2021.

Finally, Belfius actively encourages and supports the development of Energy Performance Contracts via Esco's (Energy Service Companies), even if we see that the market uptake is slow.

Smart cities, climate action and circular economy

Since entering into an initial partnership agreement in 2014 (Smart Cities & Sustainable Development), Belfius went on to renew and extend its partnership agreements with the European Investment Bank (EIB) in 2016 and 2018 with the Smart Cities, Climate Action & Circular Economy programme to support projects in the areas of local energy efficiency, urban development and mobility till 2022.

Programme Smart Cities & Sustainable Development and Smart Cities & Climate Action & Circular Economy (with the EIB) – Summary per line of credit (2014-2021)

	Smart 1.0	Smart 2.0	Smart 3.0
Total amount of projects (in millions of EUR)	485(1)	495(2)	496(3)
Number of projects	59	68	62

(1) of which an EIB line of EUR 200 million.
(2) of which an EIB line of EUR 200 million.
(3) of which an EIB line of EUR 192 million.
At the end of 2021 not all loans had been drawn down for current projects with this third funding envelope. The remaining part of the project amounts is financed by long-term loans granted by Belfius, by advance payments on subsidies, amounts from credit still available, short-term loans and cash loans granted by Belfius (for the use of own resources).

Over the total lifespan of the partnership, a total of 189 projects that impact the daily lives of millions of people in Belgium were financed thanks to the partnership between Belfius and EIB, representing a total investment of nearly EUR 1.5 billion.

Developing energy-efficient real estate with a high social impact

Belfius Immo, a subsidiary of Belfius Bank, spearheads initiatives in the area of affordable and sustainable living.

Through SMDI (Société Mixte de Développement Immobilier), Belfius Immo, in conjunction with its partners SWL (Société Wallonne du Logement) and SRIW (Société Régionale d'Investissement de Wallonie), builds affordable housing in Wallonia.

With Canius I (Specialised Property Investment Fund – "GVBF/FIIS"), Belfius Immo participates as a shareholder in the purchase of new houses and flats according to the "hamster rent" principle. In this case, tenants have the option of purchasing the rented energy-efficient home within a certain period of time (e.g. 4 years) at a pre-set price with a rent refund already paid. In 2021, Belfius Immo participated in Hamsterhuren II (formerly Canius II) which emphasises energetic qualities even more than before.

In pursuance of its mission to be "meaningful", Belfius Immo also develops and seeks out projects with a social impact, such as housing for people with disabilities, including appropriate support services.

Energy-efficient private homes

Belfius helps Belgian households with their energy-saving construction and renovation projects.

With the Green Renovation Loan, Belfius offers a credit formula for investments aimed at improving home insulation, installing double or triple glazing, replacing old boilers with high-efficiency versions, installing a heat pump or solar panels, or having an energy audit carried out, amongst others.

- In 2021, Green Renovation Loans accounted for half of the total number of consumer renovation loans granted.

Green Renovation Loan

	2019	2020	2021
Number of loans	3,784	5,068	4,004
TOTAL AMOUNT (In millions of EUR)	43.8	57.9	57.9

Belfius has been offering the Flemish renovation loan since 2021. This allows people buying a house with poor energy performance to carry out thorough energy renovations within five years by benefiting from an interest subsidy from the Flemish government. Thanks to this interest subsidy, the borrower can fully recover the interest paid on the renovation loan.

Also in Flanders, Belfius launched a cooperation programme with various towns and municipalities for energy audits and energy renovation guidance in 2021.

Beyond mere lending, Belfius has been working with companies active in energy renovation and renewable energy (Izen, Energreen, Klinkenberg) for a number of years now. Belfius customers can turn to these companies for sustainable solutions and information on green renovation loans. Belfius customers can quickly find companies active in renewable energy (solar panels), insulation and EPC certification (energy performance of buildings) through the Belfius Mobile app with Jaimy.

Jaimy, a member of the Belfius Group through Belfius Insurance, manages a platform that allows customers to quickly find a building professional in for instance electricity, heating, plumbing or renovation.

Finally, Belfius is also a pilot bank for the EEMI (Energy Efficient Mortgages Initiative) and is a member of the BVK Commission on Sustainable Loans which aims to design and launch energy-efficient mortgages in Belgium, thereby stimulating and channelling private capital towards investments in energy efficiency.

5.2.3. Investing in renewable energy

Belfius' total investment in renewable energy amounted to around EUR 1.7 billion by the end of 2021. This included project finance and loans, as well as more than 500 leasing contracts currently underway in the areas of biomass, solar energy, onshore and offshore wind energy, energy cogeneration and energy efficiency.

Together, these projects provide enough renewable energy each year to meet the energy needs of more than three million Belgian households and the avoidance of roughly 4.5 million tonnes of CO_2 emissions each year.

- In 2021, Belfius supported renewable energy projects with a total potential capacity of 273 Mw that mainly included the financing of onshore and offshore wind parks.

Belfius is the only Belgian bank to co-finance all eight Belgian offshore wind farms, with a total capacity of 2,262 Mw.

5.2.4. Structuring Sustainable Bonds for our customers

In 2021 the global market for sustainable bonds has grown significantly. There is clearly an increasing interest from both the issuers, who want to finance their sustainable projects and activities, and investors who take sustainable elements into consideration when making investment decisions or set up dedicated sustainable funds. From a regulatory point of view, there have also been important developments such as the publication of the EU (green) Taxonomy and the proposal for an EU Green Bond Standard.

Belfius supports its customers when they want to enter capital markets with sustainable bonds. It offers structuring and advisory services to guide them through the entire process: from their initial thoughts, through to the drafting of the sustainable framework, the interaction with sustainable rating agencies and the placement of bonds with retail or institutional investors. Belfius wants to play a leading role in Belgium in the field of sustainable debt capital markets activity. These services are available for all client types that want to embark on the path of sustainable bond issuance: local and regional authorities, intermunicipal entities, utility companies and corporates. When setting up sustainable frameworks, Belfius follows ICMA (International Capital Market Association) principles and engages with dedicated second party opinion providers to be fully aligned with international best market practices.

In 2021 Belfius supported the following customers for an aggregated amount of Belgian green bonds and sustainability bonds in excess of EUR 4 billion.

Issuer	Sector	Format	Size (in millions of EUR)
GIMV	Investment Company	Sustainability Bond	100
ATENOR	Real Estate	Green Bond	100
FLEMISH COMMUNITY	Regional authority	Sustainability Bond	1,250
VGP	Real Estate	Green Bond	600
COMMUNAUTÉ FRANÇAISE	Regional authority	Social Bond	500
GHELAMCO	Real Estate	Green Bond	50
AEDIFICA	Real Estate	Sustainability Bond	500
CODIC	Real Estate	Green Bond	20
IMMOBEL	Real Estate	Green Bond	125
PROXIMUS	Telecom	Green Bond	750
XIOR	Real Estate	Green Commercial Paper	200
MATEXI	Real Estate	Green Commercial Paper	50
TOTAL AMOUNT			4,245

5.2.5. Encouraging circular economy through vendor leasing

Keeping products, their components and materials in circulation for as long as possible is the main principle of circular economy. Through vendor leasing, Belfius Lease has been playing a leading role for some years now in this domain for production equipment, but also furniture, lighting systems, batteries, bikes etc. In this model, use prevails over possession: the end user pays for the use of the asset according to a pay-as-a-service or pay-per-use principle, while Belfius assumes the financial risk by purchasing the goods that will be offered for lease by its professional customers. Production figures in vendor lease were EUR 138 million in 2021 versus EUR 163 million in 2020.

Belfius Lease teams also participate in reflection around circular economy concepts and the Belgian economy as a whole, mainly within the Sustainable Leasing Commission of BLV/ABL (Association belge de Leasing). Belfius Lease signed the circular economy charter of Febelfin & BLV/ABL.

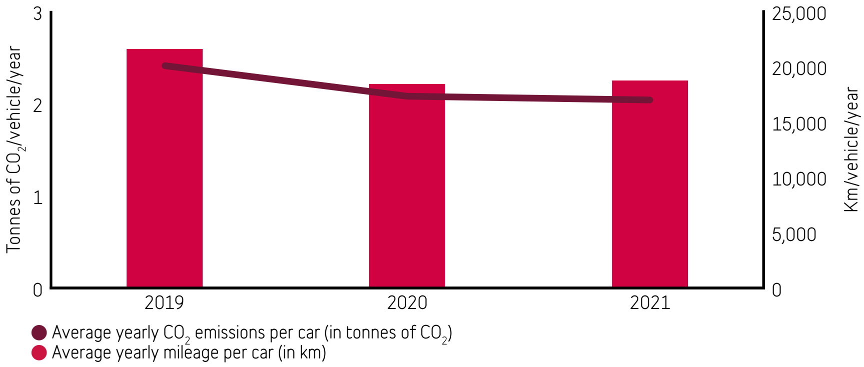
5.2.6. Enabling low carbon mobility

Belfius Lease, through its financial leasing and renting offer, is playing its part in the modal shift towards low carbon mobility, currently managing more than 24,600 leasing contracts for electric bicycles, an increase of 47% vs 2020.

4,431 electric, hybrid or natural gas vehicles are running on Belgian roads under the Belfius Lease banner, an increase of 68% vs 2020. Belfius Lease also continues to favour electrical equipment in the civil engineering sector (forklift trucks, pallet trucks, road equipment, etc.).

With its full-service leasing offer, Belfius is striving for low-carbon mobility. Belfius Auto Lease is committed to reducing the average CO_2 emissions per vehicle of its fleet (in tons /car/year) with 50% by 2025 via two major axes: more green cars with less or zero emission and less kilometres travelled by offering flexible alternatives to car use.

Evolution of the average yearly CO_2 emissions & mileage per car



Compared to 2020, Belfius Auto Lease fleet's average CO_2 emissions were down in 2021 by 1.7%, an evolution that is explained by a slight increase in mileage per car, as well as a 185% increase in the share of electric and hybrid vehicles in new production. Their proportion in the total fleet of Belfius Auto Lease reached 15% in 2021, compared to 9% in 2020.

This is due to the fact that Belfius Auto Lease, in accordance with government measures, applies targeted advantageous pricing that favours the monthly leasing charge for electric cars over cars with traditional combustion engines. In addition, Belfius Auto Lease works with CenEnergy to provide an intelligent electric charging infrastructure to customers wishing to make the shift to electric and/or hybrid cars.

Belfius Auto Lease is also active in the bicycle lease market with Belfius Bike Lease, an all-in offer for all types of bicycles with services such as maintenance, insurance and assistance in collaboration with Cyclis, the Belgian pioneer in this field. In 2021, Belfius Auto Lease won the contract for bicycle leasing for Veneco (collaboration between municipalities in East Flanders), together with Cyclis.

To encourage alternative mobility, Belfius Auto Lease customers can now benefit from the Skipr's MaaS (Mobility as a Service) offer, Belfius Move by Skipr, an all-in mobility solution. The programme combines an app designed to facilitate different travel solutions, a payment card valid for all European mobility providers and a budget management platform for employers with the possibility of launching CO_2 reports.

Belfius offers various credit formulas based on sustainable mobility:

- The Eco Car Loan allows customers to finance the purchase of a car with low CO_2 emissions: a car with CO_2 emissions ≤ 135g/km according to the WLTP standard; or CO_2 emissions ≤ 108g/km according to the NEDC 1.0 standard; or a hybrid or LPG-equipped car.
- The Eco Plus car loan is a specific credit formula for those who want to switch to an electric car, plug-in hybrid car, or a car running on natural gas or hydrogen. With this loan, customers can borrow up to 120% of the purchase price to cover any additional costs, such as the installation of an electric charging station or solar panels.
- For several years now, Belfius has also been offering a bicycle loan as part of its product range.

Eco & Eco Plus car loan

	2019	2020	2021
Number of loans	4,840	4,689	4,326
TOTAL AMOUNT (in millions of EUR)	59.5	53.3	54.6

Bike loan

	2019	2020	2021
Number of loans	1,890	2,355	2,027
TOTAL AMOUNT (in millions of EUR)	6.2	8.0	7.3

5.3. Insurance solutions for new societal challenges

Belfius Insurance offers several products, including life insurance (savings and risk products), non-life insurance (mobility and asset protection) and mortgage loans. In 2021, a number of developments confirmed the role we want to play in meeting the challenges of longer life expectancy and an ageing population, health, housing, mobility and climate change, among others. The growing interest in these products and services that contribute to a more balanced and sustainable model of society shows us that we are on the right track.

5.3.1. Life Insurance

5.3.1.1. Pension

The legal pension has become largely insufficient for a large part of the population[(1)]. At retirement age, many people therefore risk falling below the poverty line[(2)]. The occupational pension improves the prospects of some, but with great disparities, especially between men and women and between employees and the self-employed[(3)]. As a life insurer, Belfius Insurance plays an active role in bridging this gap, and in helping customers to maintain their standard of living and purchasing power after retirement.

Some figures:

- We manage the occupational pensions of approximately 260,000 members (second pillar)
- 320,000 Belgians rely on us to invest their supplementary pension capital (third pillar) to the best of our ability
- To do this, we invest almost EUR 6.5 billion in the Belgian economy
- 6,317 clients received their supplementary pension capital in 2021, thus increasing their ability to maintain a similar standard of living before and after retirement (replacement rate)

Belfius makes its customers as aware as possible of the pension deficit, for example with Yume, a simulation tool integrated into the Belfius Mobile application. Yume provides concrete figures on the future financial situation of each individual and enables them to consider ways of preserving their future standard of living. We will soon be making an even more detailed dashboard available, which can also be used by DVV customers.

Together with Assuralia and the government, we will also continue to proactively propose solutions to various challenges, such as a review of maximum supplementary pension funding.

5.3.1.2. Income protection

Income protection goes beyond pensions as it is at the heart of many other insurance products, such as outstanding balance insurance. In 2021 for example, we were able to help 452 families repay a mortgage at a difficult time for a total amount of EUR 20.6 million.

We insure 391,080 people for their home loans, which is a cross-sell rate of 80% on our mortgages . Nevertheless, clients still too often underestimate the financial risks associated with a loss of income following the death of a household member, or an inability to work (burn-out, accident). We therefore make sure that they are aware of this.

We are also continuing to develop and refine our range of risk cover so that all customers can be well protected against loss of income at any time and at an affordable price. Some examples of what's new in 2021:

- We have updated the terms and conditions of our guaranteed income group insurance to cover health disorders such as chronic fatigue syndrome and fibromyalgia. Other mental health conditions such as major depression and burn-out are covered under certain conditions.
- Since April 2021 we have developed a witnessed procedure to enable the visually impaired to sign necessary contracts for this type of protection. This procedure is already applicable for taking out Belfius credit cover.

(1) Average gross pension per month (assuralia.be)
(2) In 2014, 15.2% of the over-65s belonged to the at-risk-of-poverty group, based on income according to EU-SILC 2015 data.
(3) Number of members - PensionStat.be

- As the latest statistics show, Belfius also continues to play its role with people affected by chronic illness. For several years now, thanks to the Partyka law, these specific customers have been able to take out outstanding balance insurance. The insurer who demands an additional premium of more than 75%, or refuses insurance, must provide objective and reasonable justification. If the client does not agree with the reasoning received, he or she can appeal to the Monitoring Office. The Monitoring Office can either consider that the additional premium or refusal is justified, or make a new proposal.
  Belfius accounts for only 12% of the cases examined by the Monitoring Office, whereas our market share in loans is higher. Moreover, in 79% of these cases, the Monitoring Office validated Belfius' initial decision. Our medical underwriting policy therefore appears to be fair and properly motivated

5.3.1.3. Hospital and Outpatient Insurance

More than 141,000 Belgian citizens benefit from our hospitalisation cover.

The average cost of Covid-related hospitalisations underlined the importance of such cover. According to the Belfius Insurance survey on beliefs and knowledge regarding hospital and outpatient insurance (March 2021), a large part of the public is still unaware of how these covers complement the compulsory insurance of our social security system. 68% of respondents (81% under the age of 26) were surprised by the average extra cost of EUR 700 for a hospital stay due to Covid.

Our outpatient coverage encourages preventive behaviour and we know how important it is to consult in time to avoid deterioration in health. In this way, we contribute to a healthier and better protected society.

5.3.2. Non-life Insurance

5.3.2.1. Home insurance

Home insurance is an essential part of everyday life and helps individuals and households recover from damage or natural disasters, such as the exceptional floods experienced in Belgium in July 2021. In other words, we are helping society to become more resilient to overcome life's hazards.

Some recent examples:

- Our App-Normal Rent insurance and our Cocoon Start product are helping people access rental solutions easily and thus to get a home. In the last half of 2021, 2,300 customers signed up for these new products
- We are simplifying our communication with our customers to help them understand the risks and their cover. Our new terms and conditions use plain language and mention concrete objects (garden furniture, solar panels, etc.), which are more meaningful to the general public
- We have extended the cover of some of our products to help the transition to a fair and low carbon economy. Our Private Life Accident Insurance (Belfius and DVV) for example now includes driver cover for people who do not own the cars they drive. There is growing interest in these products and services that contribute to the shared economy.

We believe that home insurance can - and should - play a role in climate action. We are seizing every opportunity to get our customers to improve the energy efficiency of their buildings and to facilitate their transition to a low carbon economy.

For example:

- With our App-normal home insurance, launched at the end of 2020, owners of new buildings (less than 10 years old) benefit from specific discounts with an additional eco-discount if the building is energy efficient. In the event of a claim, the additional costs of complying with new building standards are taken into account in any compensation.
- We cover all our clients' initiatives to improve the energy efficiency of buildings at no extra cost, including the installation of solar panels, heat pumps, batteries, charging stations, etc.
- Reconstructions in the event of a disaster take into account current building standards at no extra cost - both at Belfius and Corona Direct Insurance, in collaboration with our partner Jaimy. In this way, we help to reduce the carbon footprint of buildings.
- At Corona Direct, the recently launched Home Insurance/m^3 product encourages customers to monitor their energy consumption and reduce their impact on the environment, as the scheme rewards customers who choose to live more frugally, such as those who opt for a tiny house

Floods: a rapid response in full solidarity

2021 was marked by exceptional floods in Belgium during the month of July. This event affected the lives of thousands of people and demonstrated once again the enormous impact of climate on society, and on the insurance sector. Nearly 5,500 clients notified us of a claim - that is more than 10 times the usual monthly average. In addition to the number of people affected, the extent of the damage was unprecedented, with an average claim of more than 10 times the usual figures for a property loss.

Immediately after the floods, Belfius was one of the first to set up a mobile team in the heart of the flooded areas to help customers report their damage, answer questions, make cash advances and, where possible, settle claims immediately with the assessor. DVV advisors were also on the ground to assist their local clients.

Finally, the claims management department dedicated a team to handling flood cases in collaboration with the local agent distribution network and expedited the process by working on Saturdays and setting up a rapid process of surveying, rehousing and providing cash advances and payments for those most in need. More than 175 employees joined the wave of solidarity and empathy and offered their services on a voluntary basis in the evenings and at weekends to support our clients in their journey. Thanks to these efforts, three months after the floods Belfius had already paid or settled (partially) more than 80% of the claims and completely closed more than 55% of the files. By 31/12/2021, 70% of the files related to the floods had been settled and closed. We continue to do everything in our power to help our customers settle their claims as easily as possible. We are also supporting them emotionally as we now offer psychological support services.

The complexity of the claim files to be treated (i.e. destroyed houses, need for numerous price quotes, dependency on same suppliers, requests for counter-expertise) explain the delays in some interventions. We continue to do our utmost to manage all claims as quickly as possible, whatever their nature.

5.3.2.2. Insuring new forms of mobility

Mobility in Belgium is changing and the infrastructure of cities is changing, making way for more sustainable solutions. New mobility offers are already infiltrating our daily lives, such as electric vehicles and bicycles. Belfius is also evolving, with a double ambition:

- To facilitate the transition to a greener fleet (electric vehicles, electric bikes, etc.).
- To support customers in their transition to other, more environmentally friendly forms of mobility (pricing that rewards low mileage by car and insurance regardless of the mode of transport, for total peace of mind).

Our current offer invests heavily in supporting customers who use their bikes:

- Establishment of a partnership with Cyclis, one of the largest bicycle rental companies in Belgium
- Launch of an All Risks Bicycle Insurance, covering all vehicles not subject to motor vehicle liability (i.e. travelling at less than 25km/h independently) in case of theft, material damage and breakdown. Our offer is one of the strongest on the Belgian market, covering elements such as flat batteries for example
- Free bicycle assistance as part of the bicycle offer for our best customers (DVV), or our personal assistance product (Belfius)

In addition, Belfius Car grants premium reductions to customers who limit their ecological footprint (low number of kilometres, low CO_2 emission). The reduction can reach 20% if customers drive less than 17,500 km per year with a vehicle emitting less than 135g of CO_2 per km.

Corona Direct's flagship product, Per-Kilometre Insurance, is also proving its worth in terms of encouraging low mileage and has already convinced more than 100,000 customers. This personalised premium depends on the number of kilometres customers expect to drive in a year - if they drive less, they are reimbursed the difference. This 'pay as you drive' approach results in a fair premium for responsible mobility behaviour.

5.4. Innovative solutions, beyond banking and insurance

Technological innovation is essential for securing and accelerating the transition to a sustainable and inclusive society and we believe that the financial world can make a significant contribution here. Right from the start, Belfius has used its digital expertise to offer innovative digital solutions that go far beyond traditional banking and insurance products by helping citizens in their environmental and social endeavours.

5.4.1. Fairville: local, loyal and digital

In January 2021, Belfius, Cipal Schaubroeck and Nuhma joined forces to bring together four existing initiatives on local loyalty (Onze Stad App, Cirklo, MyWaste and Buck-e) in one single online urban platform: Fairville.

Belfius and its two co-partners strongly believe in Fairville's unique offering and, with this initiative, are supporting digital acceleration in cities and municipalities. Onze Stad App strengthens the local involvement of citizens by distributing information securely, accurately and in real time. Cirklo, MyWaste and Buck-e (applications that were co-designed by The Belfius Studio) reward citizens for their participation in valuable actions such as shopping locally, reducing waste and stimulating sustainable travel. By joining forces, we hope to upscale these four digital solutions.

The four solutions have already proven their worth: participating schools for example have already cycled and walked around the world 44 times using the Buck-e bicycle reward system, which is good for a 351 tonnes CO_2 reduction. And through the Cirklo digital gift voucher, municipalities have already invested more than EUR 22 million in gift vouchers in the local economy since 2020.

5.4.2. Slow banking with Banx

Banx is a banking app built by Belfius on the Belfius Mobile platform and offered by our partner Proximus. Banx is a digital bank that stands out because of its extra sustainable dimension. With Banx we encourage customers to think about their impact on the environment ('slow banking'), for instance through a CO_2-dashboard showing the impact on the planet of their purchasing behaviour..

5.4.3. Birdhouse and W.IN.G: powered by Belfius

Belfius is committed to making Belgian entrepreneurial ideas a success, which is why we have been a key partner of Birdhouse since 2015. This start-up accelerator sets up intensive guidance programs given by experts and successful entrepreneurs in Ghent and Antwerp for selected start-ups.

Belfius finances the cost of the Birdhouse programmes via convertible loans and, in the event of conversion, takes a stake in the capital of these companies. Belfius Insurance has made EUR 10 million of investment capital available via the Birdhouse-Belfius fund to boost the most promising start-ups (covering convertible loans + possible follow-up investments).

In addition to Birdhouse, Belfius also invests in the W.IN.G fund (Wallonia Innovation and Growth). In 2021 Belfius Insurance invested EUR 10 million to support start-ups active in Wallonia in the digital world and deep technology (such as the Internet of Things), together with the Walloon Region.

5.4.4. Hoplr connects local residents

In March 2021, the Belgian start-up Hoplr completed its third capital round, worth an investment of EUR 2 million. Thanks to investment support from Belfius Insurance, among others, Hoplr will be able to achieve its international ambitions with regards to community aid.

Hoplr is a digital neighbourhood connection platform where local residents can get in touch with each other to organise neighbourhood activities, exchange goods, look for a babysitter, report problems, etc. Hoplr allows local residents to connect in a contemporary and accessible way, activating the social capital of the neighbourhood. Today, more than 500,000 families in 2,500 neighbourhoods use Hoplr, 78% of them more than once a week. Hoplr also cooperates with more than 100 local governments in Belgium and the Netherlands, who use the platform for neighbourhood-oriented help, communication and civic participation.

Hoplr's support fits in perfectly with the Belfius purpose: "Meaningful and Inspiring for Belgian Society. Together". By connecting neighbours both online and offline, Hoplr meets the need for social cohesion in our society and, not least in times of Covid, the fight against loneliness and the need for caring for one another.

5.4.5. Jane

With this initiative, Belfius meets the social challenge of an ageing population by helping people with reduced autonomy to live at home for as long as possible using discreetly installed sensors in the home, combined with an artificial intelligence algorithm that "learns" the habits of the elderly person. Family and friends can be alerted when unusual events occur. This saved the lives of seven people in 2021.

5.5. Sustainably managed proprietary portfolios

In addition to its role as a provider of investment solutions to private and institutional investors, Belfius manages its own portfolios of investment instruments and assets for specific activities. Belfius Group's sector policy (TAP, see section 6.1.2.) is also applied to these portfolios and the alignment process will be completed by December 31st 2022.

5.5.1. Portfolio21: sustainable management of insurance reserves (by Belfius Insurance)

Like any insurer, Belfius Insurance keeps sufficient reserves to be able to meet its contractual obligations to pay capital, interest and claims to clients. Prior to the company's TAP criteria, Belfius Insurance had already been applying the principles of Portfolio21 to these reserves since 2006. Portfolio21 is an investment strategy that aims to contribute to sustainable development by transparently adding non-financial criteria to the management process of investment portfolios (read more below).

The screening is done by applying a series of exclusion criteria based on compliance with the following authoritative international norms and standards:

- The ILO (International Labour Organisation): a constructive dialogue is entered into with issuers of securities (companies or countries) that have been criticized for violating human rights in the workplace in order to defend workers' basic rights and improve the situation. The outcome of that dialogue will determine whether a share, bond or investment fund from that issuer has, or still has, its place in the portfolio;

- The Government Pension Fund of Norway: Portfolio21 applies the strictest environmental protection standards of the Norwegian Pension Fund, which in turn bases itself on a number of international environmental conventions, as well as the UN Global Compact. Belfius Insurance does not include any companies that violate these environmental standards in its portfolio.

In addition to this normative screening, Transition Acceleration Policy criteria are then applied (see section 6.1.2.).

As of December 31st 2021, Belfius Insurance's investment portfolio reached a total of approximately EUR 17.6 billion. It is composed of mortgage loans (24.7%), real estate (4.8%, see section 5.5.2.) and investments for the remainder. These EUR 12.3 billion are screened by Portfolio 21 and the Transition Acceleration Policy.

The portfolio has a strong Belgian bias. 68.1% of the total portfolio are Belgian government bonds, Belgian corporate bonds and equity. The rest is invested abroad, mainly to ensure sufficient diversification based on risk management criteria.

Belfius Insurance is an involved shareholder. Thanks to Portfolio21, companies whose business practices are not in line with international standards and the Belfius sector policy are encouraged to adjust their business practices. Each year, Vigeo Eiris enters into dialogue with 15 to 20 companies on behalf of Belfius Insurance. On the basis of this dialogue, an independent Technical Committee decides on the status of the company concerned. Find out more on Belfius Insurance's Engagement Policy and the 2021 Engagement Report.

5.5.2. The Belfius Insurance real estate portfolio

4.8% of the Belfius Insurance investment portfolio (of a total amount of EUR 17.6 billion) is invested in unlisted real estate, either through direct investments in properties or through participation in unlisted real estate funds.

At the end of 2021, our direct real estate portfolio had a market value of EUR 848 million, 67% of which was invested in office buildings and 27% in nursing homes. Around 90% of these properties are located in Belgium, supporting our local economy.

Our direct real estate investments are mainly focused on new or recent properties within walking distance of major railway stations or mobility centres. These acquisitions therefore score well in terms of energy consumption and accessibility by public transport.

In January 2022 for example, Belfius Insurance acquired a new 10,000 m^2 office building from developers Banimmo and Argema within walking distance of the Louvain-la-Neuve railway station. The building is BREEAM Excellent certified. As for the surrounding landscape, it is the subject of an application for the Nature Network label from Natagora, testifying to the efforts made to protect local biodiversity, notably through the planting of indigenous species favourable to pollinators.

In 2021, we for the first time collected consumption data from our office portfolio to estimate CO_2 emissions and their impact on the climate. The analysis, in light of the Paris Agreement's emission reduction targets, enabled us to identify properties that will require investment. By the end of 2021, we now have consumption data for 80% of our office buildings and from 2022 onwards we will extend the analysis to our entire direct real estate portfolio.

Belfius Insurance has been investing in the nursing home segment for almost 10 years. Most of the acquisitions have taken place upon completion of construction work, ensuring a high environmental performance of buildings and qualitative spaces for senior residents. By contributing to the expansion and renewal of infrastructure, we are broadening the quality solutions available to professionals in the sector to accommodate seniors who are losing their independence. To be clear, Belfius Insurance focuses for its activities in the nursing home segment on the real estate part, not on the management of the facilities itself.

On the unlisted real estate fund side, our most recent investment dates back to December 2020 where we supported the launch of the Vicinity Affordable Housing Fund by becoming the lead investor in the Fund. Vicinity aims to provide quality, low or no energy rental housing adapted to today's urban lifestyles with a positive social and environmental impact. Of the ten buildings in operation, two have received the 'Exemplary Building' award from Brussels Environment, a prize that rewards real estate projects that stand out in terms of energy consumption, mobility, ecology and architecture.

Belfius Insurance has participated in Inclusio since its creation in 2015 (consolidated at 6.31%). This real estate investment company specialises in social housing and owns an asylum centre. It aims to respond to the great shortage of social housing in our country by financing new constructions with a social vocation.

5.6. Belfius' Green Bond Framework and inaugural Green Bond issuance

In May 2021 Belfius published its inaugural Green Bond Framework to issue green bonds that finance or refinance loans and investments which enable the transition to a low carbon and climate resilient economy. As Belfius has a strong local presence through its countrywide network and plays a leading role in financing the Belgian economy, we believe that contributing to a low carbon economy will also stimulate our customers and all our stakeholders to further fight climate change. By issuing green bonds, we provide additional visibility to funded projects and assets that carry environmental benefits, and we want to promote further investments into sustainable assets. With the publication of its Green Bond Framework, Belfius also supports the further development of a green bond market in Belgium and across Europe.

The Belfius Green Bond Framework, available on our website, defines the categories eligible for the issuance of green bonds by Belfius:

- Renewable Energy
- Energy Efficiency
- Clean Transportation
- Green Real Estate
- Waste & Water Management

Following the publication of the framework, Belfius issued a first Green Bond in June 2021 for an amount of EUR 500 million and a maturity of six years under its EMTN (Euro Medium Term Note) programme. The issuance was a success with the investor demand being two times higher than the targeted amount. Over 100 institutional investors participated in Belfius' inaugural Green Bond.

The green assets financed through the transaction are composed of renewable energy loans covering wind energy and photovoltaic solar projects and green real estate loans, including green residential mortgages. Dedicated reporting on the Green Bond Framework, the selected green assets and the calculated impact in terms of avoided tonnes of CO_2 per year, will be made available on an annual basis on the Belfius website. The first such reporting will be available in June 2022.

6. Sound corporate governance

6.1. Responsible business conduct

6.1.1. Policies & Charters

As an important financial player in Belgium, Belfius stands in a competitive environment that is exposed to numerous risks such as corruption and bribery. Managing these risks is an integral part of our business. We attach particular attention to being a responsible, honest and professional employer. We also expect our employees to share the same values when engaging with our customers and partners if we are to gain, maintain and justify the trust of our customers and stakeholders, which we believe is fundamental to our activity.

The reliable relationship that is cultivated with and between our employees is also based on integrity, loyalty, transparency, professionalism and mutual respect. To this end, we have established policies relative to these values that are clear and transparent to all:

- Code of Conduct
- Anti-Discrimination Policy
- Whistleblowing Policy

The Code of Conduct reflects basic rules of conduct and is the standard policy from which more detailed policies such as the Anti-Discrimination Policy and the Whistleblowing Policy are developed. These policies are developed by the Compliance functions and are overseen by the Board of Directors. Each policy has procedures that are proactively communicated to employees via internal communication channels, through e-learnings and other forms of training. Contracts with third parties contain clauses describing Belfius' zero tolerance approach towards fraud, bribery and discrimination and impose the same approach for counterparties. The Whistleblowing Policy provides a channel through which employees but also third parties can report possible abuse or malfunctioning within the bank in full discretion.

Belfius scrupulously complies with all laws and regulations in force and respects the rules and practices prevalent in the financial sector. Belfius' policy in this area is outlined in a Compliance Charter and Integrity Policy that allows Belfius to manage several potential risks, of which corruption. These include the following policies concerning specific risk situations:

- Anti-Fraud Policy
- Anti-Bribery Policy
- Anti-Money Laundering (AML) Policy

The policies listed above are approved by the Board of Directors and managed by the Compliance or Non-Financial Risk functions. They are under permanent review and updated as and when needed (e.g. altered legislation, new insights, etc.). A full list of all our Policies & Charters is available on our corporate website in Dutch, French and English.

As any company should, Belfius is aware of its exposure to corruption risks and takes adequate measures to mitigate them. Several fraud detection procedures are in place in addition to legal and regulatory obligations. Gifts and invitations of a substantial value must receive pre-clearance, either from the management or Board members, or from the Compliance Officer. Belfius does not make political donations and does not engage in lobbying activities.

In 2021, our dedicated department identified one case whereby an employee was manipulated and coerced by an external organisation to carry out certain transactions. This incident, involving a non-management employee from an autonomous Belfius agency can, by its nature, be related to corruption. This case was detected at an early stage by the bank's first-line internal control mechanism. The concerned client was fully compensated. No net loss is expected for Belfius.

Additionally, only one case of whistleblowing was recorded in the reporting year. Technically, the report did not in the end fall under the scope of whistleblowing legislation. No clients were involved and no loss was incurred.

We insist on the fact that every employee is protected by laws and regulations and we expect strict compliance with these. Belfius ensures that its staff members are kept up to date with developments pertaining to their field and that they have access to the information they need to carry out their tasks properly.

To this end, Belfius has its own compulsory training programme for all staff on ethical and compliance-related issues:

- Ethics
- Anti-Money Laundering (AML) legislation
- Market abuse
- Privacy (Febelfin training)

Depending on the subject, training courses are updated annually, or at a maximum every two to three years, with ad hoc training cycles organised for certain profiles. Each training is followed by a test leading to a certificate if the results are, depending on the training, at least 70% or 80%. Each employee has his or her own dashboard in which all planned and completed training courses are displayed and monitored by HR and Compliance. Employees who have ad hoc questions can consult either their Compliance Correspondent in their own department, or ask the Compliance Office for advice.

6.1.2. Accelerating the transition with clear guidelines

"Meaningful and inspiring for Belgian society. Together." Pursuing long-term economic and social value, creating shared value for society, our customers and Belfius and thus helping to accelerate the change to a more sustainable society and economy, is the essence of our purpose. This means that we make clear choices about what we do and what we do not do. Choices that are based on a number of principles and policies that carefully define our core business.

First and foremost, we apply the principles of the UN Global Compact. The UN Global Compact, also signed by Belfius, is the leading international convention on sustainable business. It states that sustainable business practice begins with the assumption of core responsibilities in the areas of human rights, labour rights, the environment and anti-corruption. Companies that do not respect these basic principles and are identified as such are not supported by Belfius. To this end, Belfius puts the necessary resources in place to have access to comprehensive and reliable data.

Specifically in the area of human rights, the criteria of Belfius' own Human rights policy apply to all our activities and internal operations.

In the next phase, specific criteria apply to economic sectors and activities as well as to countries and governments.

6.1.2.1. Economic sectors and activities

The Transition Acceleration Policy, or TAP for short, is the Belfius Group's sector policy. With this policy Belfius takes a stance with regards to the economic activities that it considers, in whole or in part, to be unsustainable. In this way, Belfius seeks to accelerate the sustainable transition of its core activities.

At the same time, Belfius also encourages its corporate clients to evolve towards a more sustainable business model where necessary and aims to inform, guide and offer its customers the right solutions for this transition. In this way, the TAP also becomes a lever to maximise our positive impact on the economy and society and, together with our customers, to be 'Meaningful & Inspiring for Belgian Society'. Dialogue with clients and stakeholders is essential in that process.

Belfius specifies in the TAP which activities it will not finance (or only under certain conditions), and explains why:

- Certain activities (tobacco, gambling, coal and lignite mining, unconventional oil and gas extraction, speculative activities related to agricultural commodities) are resolutely excluded;
- For other sectors (conventional oil and gas extraction, electricity production, nuclear energy), specific criteria determine which activities we exclude and which we do want to support towards a sustainable economic transition;
- For yet other sectors (mining of ores and minerals, palm oil and soy cultivation), conditions are imposed that relate to the sustainability policy of companies. This normative filter must guarantee that a company respects the basic rights of workers, local residents, their living environment and livelihood, and the environment.

The TAP applies to all Belfius entities and covers all core business activities involving professional counterparties. TAP criteria have been made as uniform as possible for all activities, and only where the specific nature of those activities really does not allow it have deviations been made e.g. by applying slightly different minimum criteria, but always using the same philosophy.

TAP criteria have been incorporated into existing processes and procedures of Belfius entities, including the customer acceptance policy, credit risk acceptance guidelines, the credit and leasing granting processes, the investment fund screening process, instructions to third-party asset managers, guidelines for transactions on the financial markets, the validation process for new products, services and partnerships. All involved were trained through webinars and a central TAP team is available for advice.

From a risk perspective, the TAP is a crucial tool for managing exposure to various ESG risks through our activities and counterparties. In this respect, companies, and financial institutions in particular, are subject to increasingly stringent regulatory requirements. The TAP is also the main instrument with regards to the management of our investment funds for avoiding or limiting the potentially negative effects of investment decisions ("PAI") according to European SFDR regulations.

The TAP criteria will evolve over time, driven by the evolution of our own sustainability ambition, the results of dialogue with stakeholders, changing regulations, technological developments and new societal expectations.

The full Transition Acceleration Policy text can be found here.

6.1.2.2. Governments

Belfius uses a watch list of countries for the financing of customer transactions involving a foreign public authority or a foreign public company. This list covers, among others, the potential risks of money laundering, terrorist financing and violation of EU or US embargoes, both in terms of the nature of the transactions and the counterparty itself. If Belfius cannot exclude these risks on the basis of credible information and documents, the transaction or customer relationship will be refused.

The composition of our investment funds excludes governments that are considered to be controversial regimes on the basis of an internal Belfius IP blacklist and Candriam's sustainability model for governments.

6.1.3. A fair taxpayer

As a locally established banking and insurance company in Belgium, Belfius plays an important role in society. We take responsibility to contribute to the country's prosperity in order to enable sustainable economic growth and societal development towards more well-being. We understand that effective tax policies can be used to address social, economic and environmental challenges. As a responsible business that promotes the adoption of more sustainable practices, we ensure that our tax strategy is fully aligned with tax legislation and that it meets our stakeholders' expectations on good tax practices.

We communicate our approach regarding the group's tax strategy (including objectives, guidelines and responsibilities in relation to tax management) in full transparency through the Belfius Group Tax Policy. This policy is approved by the Management Board of Belfius Bank, Belfius Insurance and the Boards of Directors of all Belfius subsidiaries. The policy is updated when necessary upon the approval of the aforementioned bodies and is published on the Intranet and on the Belfius website.

Our tax department, with the oversight of the Chief Financial Officer, has a first line role when dealing with the local tax authorities in Belgium.

Tax amounts paid by Belfius as a conglomerate are included in Belfius' financial statements.

Consolidated IFRS figures

(In thousands of EUR)	2019	2020	2021
TOTAL CASH TAXES AND CONTRIBUTIONS	(664,257)	(688,067)	(727,492)
Current taxes(1)	(210,630)	(228,428)	(234,998)
Sector levies(2)	(222,343)	(237,076)	(277,617)
Social sec. employer	(112,012)	(113,221)	(109,118)
Non-deduct VAT	(81,271)	(68,888)	(66,177)
Other indirect taxes	(38,001)	(40,454)	(39,582)

(1) Cf. Note 7.16. to the consolidated financial statements in the annual report of Belfius Bank.
(2) Cf. Note 7.9. to the consolidated financial statements in the annual report of Belfius Bank (Sector Levies & Other levies).

Belfius also plays an important role as a tax collector on behalf of Tax authorities by withholding a number of taxes from customers' accounts. Should a customer have a justified complaint with regards to the withheld amounts however, Belfius has procedures in place to justify withholding, or rectify the situation if needed.

To ensure regulatory compliance regarding taxation, and to mitigate the risks that our business is subject to, our in-house Tax department ensures that internal guidelines and policies remain in line with the latest developments in tax matters. Initiatives and procedures to prevent tax-related risks are continuously developed and adapted, including those related to financial crime and tax evasion. An example of this is the tax risk scoring model which is used in our New Product Approval Procedure amongst others.

Additionally, Belfius complies with all OECD rules on Base Erosion and Profit Shifting (BEPS) that are incorporated into Belgian legislation, as well as the legislation of other jurisdictions where Belfius entities are located. "BEPS" is an OECD action plan against tax avoidance through the abuse of taxation gaps and disparities.

Belfius focuses exclusively on the Belgian market with regards to its commercial activities. For some very specific activities however, entities are maintained in Luxembourg and Ireland:

- Belfius Financing Company SA issues certain securities to external investors. For technical and operational reasons, it has been decided that these issuances take place in Luxembourg. Belfius Insurance Finance manages a portfolio of shares and bonds in Luxembourg in full transparency vis-à-vis the Belgian tax authorities after receiving a positive ruling in Belgium.
- Ireland-based Belfius Ireland controls a historical long-term bond portfolio, however this portfolio is currently being wound down. Belfius' Irish presence does not constitute a case of tax optimisation as there is no shift of taxable base from Belgium to Ireland.

6.1.4. Data privacy & information security

6.1.4.1. Data Privacy

Due to the nature of their activities , financial institutions process an important amount of data. With the adoption of digital technologies in the financial sector, as well as remote working structures accelerated by the pandemic, data privacy has become an increasingly central topic for financial institutions.

As a responsible bank-insurer group, Belfius pays particular attention to the data privacy of its customers and employees and carefully handles and protects all sensitive information generated over the course of our daily operations in strict compliance with applicable legislation. Belfius commits not to sell the personal data and continuously works on transparency in case data were needed to be exchanged for service delivery.

As part of our group's overall vision, respect for privacy, as well as responsibly collecting, using and sharing personal data, are considered fundamental commitments. These are set out in the publicly available Privacy Charter and are reflected internally in a regularly updated privacy policy and associated guidelines.

Data confidentiality and General Data Protection Regulation (GDPR) compliance

Each new customer approach - whether it involves offering products, services, digital tools or information - is subject to a prior GDPR (General Data Protection Regulations, 2018) analysis.

Different actors work together to ensure that our processes are compliant with GDPR: the Data Protection Officer (DPO), the Chief Information Security Officer (CISO), the Digital Officer (DSO), the Chief Data Officer and the Non-Financial Risk Department

(NFR), the Legal Department and the Compliance Department. Projects (new/adapting existing processes) are assessed by multiple stakeholders via the NPAP-procedure (New Product Approval Process). Belfius maintains a record of all processing activities. A GDPR privacy risk assessment is documented for each processing activity. Processing activities are regularly monitored by the DPO or even the internal audit department.

In addition, a network of Privacy Correspondents who work closely with the DPO are available in each department to support and advise employees in matters relating to GDPR.

Changes in legislations (e.g. PSD2, Payment Services Directive) with impact on GDPR, Court of Justice or Data Protection Authority judgements and Data Protection Authority guidelines, amongst others, are analysed by the Legal Department and implemented where applicable.

A GDPR steering meeting takes place at least once every quarter. Privacy Key Risk Indicators and other GDPR-elements are discussed and internally reported to management via several reports.

Employees are also made aware of the issue of privacy protection through mandatory e-learning sessions and through regular communication via channels such as a detailed file on the Intranet and regular messages addressed to either all employees or to more focused groups within the context of specific projects.

GDPR rights and data breaches

The GDPR guarantees customers a series of rights, including access to their personal data. The publicly available privacy charter sets out possibilities to execute GDPR rights. Belfius Bank digital channels make it easy for such rights to be exercised, as shown by the 13,927 requests for access by customers in 2021. In each case, we provided a response within the legal deadline of one month. 98.5% of requests (13,722) concerned right of access to personal data and 99% of these passed through our digital channels and were processed the next working day. The results confirm that Belfius can offer its customers full transparency on personal stored data.

The governance and handling of GDPR rights and GDPR related complaints is described in a separate internal privacy guideline and falls under managerial responsibility. A specific Key Risk Indicator refers to the timely answering of GDPR rights.

The governance and handling of data breaches is described in a separate internal privacy guideline. Our strategy is to analyse and remedy each incident as quickly as possible. The decision to communicate to the Data Protection Authority (DPA) and/or data subjects is part of each breach analysis. No significant data breaches were identified in 2021. Seven minor incidents were reported to the DPA, compared to eight in 2020 and three in 2019. In each case a prompt response was provided and appropriate action was taken.

6.1.4.2. Information security

The digitalisation of the banking landscape goes hand in hand with ever-evolving cyber-risks. For Belfius, the protection of information is essential. We want to guarantee high performance in terms of information security to ensure that our customers trust us in this respect.

A Technology Committee was set up within the Belfius Group in 2021. The Committee advises the Board of Directors on information technology, digital and data matters, including security aspects for all subsidiaries of the Belfius Group.

Risk management governance

The responsibility for the oversight of risks associated with technology, including IT and security risks, remains with the Risk Committee and Audit Committee of the Board of Directors - these are briefed on information security on a quarterly basis. To underline our commitment, Belfius' Risk Appetite, approved by the Board of Directors, includes an Information Security section. An Information Security policy further defines the framework to ensure a consistent and streamlined approach towards information security.

The first line of defense in information security is the Chief Security Officer (CSO), who reports to the Chief Information Officer (CIO). The Chief Information Security Officer (CISO) is responsible for the oversight of information security from the second line of defense and in turn reports to the Chief Risk Officer (CRO).

The Information Security Steering group (ISS), managed by the Chief Information Security Officer (CISO) and chaired by the Chief Risk Officer (CRO), ensures a well-managed and coordinated information security strategy whereby an adequate system of identification, protection, detection, reaction and recovery is put in place in accordance with regulatory requirements regarding Information Security.

A security roadmap

Risk assessments help define what improvements are most needed to reach our ambitions. High-level goals and priorities are translated into concrete projects and plotted on a roadmap which typically spans the course of two years. A separate budget is allocated to this Security Roadmap programme alongside a cyber budget that is used for business-as-usual tasks. The Security Roadmap is presented to and validated by the Board of Directors.

Belfius performs many different internal and external tests on an annual basis. These include Red Team assessments, penetration tests, vulnerability scans and configuration reviews that all go towards providing assurance regarding various aspects of the security organisation, framework and infrastructure. Such tests help to determine the effectiveness of existing controls, identify new risks or vulnerabilities, check compliance with regulatory requirements, etc.

Belfius uses standardised frameworks such as ISO 27001 (Information Security), ISO 27005 (IT Risk Management) and MITRE ATT&CK. Security audits are performed as part of annual internal and external audits. Additionally, information security is part of frequent regulatory audits under their supervision-related tasks. Every two years all Information Security processes are subjected to a maturity assessment by an external party to independently measure information security ambition.

Increase awareness

In order to enhance information security skills and mindset amongst Belfius employees and contractors, awareness, training and testing initiatives (e.g. quarterly phishing mail simulations) are performed on a regular basis. Some security trainings are mandatory for all collaborators and are actively followed-up by Senior Management with the support of the HR department. The percentage of completion is reported to the members of the Information Security Steering group. All new employees are also required to follow training on information security as part of the onboarding process.

For more details on information security and data protection, please refer to the Belfius 2021 Risk Report.

6.1.5. Listening to our customers

Customers are at the heart of the Belfius purpose: "Meaningful & Inspiring for Belgian Society. Together". Customer-orientation is also one of our four core values. Establishing a lasting relationship with customers, engaging with them in a responsible and transparent way, taking their opinions into account and satisfying their demands, is just as important for us as optimising our operational services or financial performance.

Belfius' Customer Acceptance Policy and Transition Acceleration Policy (see section 6.1.2.) underpin our responsible engagement with clients. As a customer-oriented banking and insurance company, we know that consumer protection is of the utmost importance and we apply a three lines of defense approach to this topic.

Customer protection is part and parcel of our Integrity Policy and we strictly comply with all laws and regulations in responsible marketing and sales. Consequently, we pay due attention to and organise trainings on key topics such as MiFID II, Consumer Finance or FSMA Circular Note on advertising and commercialisation of financial products towards non-professional clients.

Belfius also adheres to codes of conduct from various organisations such as:

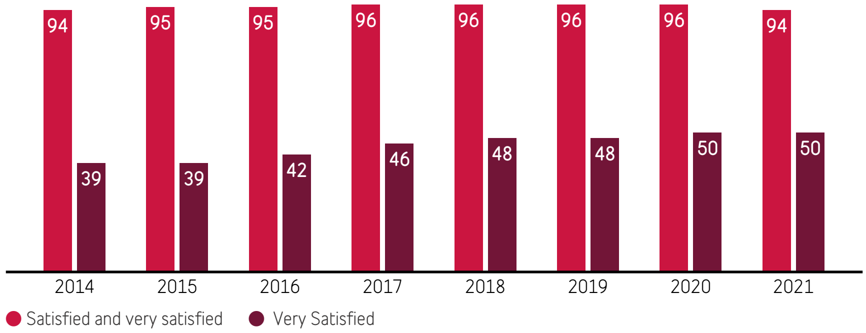
- Febelfin: Belfius Bank adheres to the Belgian financial sector federation code of conduct regarding good customer relations. Through Febelfin, Belfius also adheres to the Belgian Charter for digital inclusion;
- BeCommerce: the code of conduct of the federation of Belgian companies active in e-commerce that aims to enable consumers to make online purchases reliably and securely;
- Assuralia: Belfius Insurance adheres to the federation of insurance companies code of conduct for rapid, high-quality claims handling.

In addition, Belfius is also preparing a dedicated policy on consumer protection and responsible marketing and sales.

6.1.5.1. For your Love, we do more

Belfius Bank attaches great importance to customer satisfaction, which it measures regularly. In 2021 we sent a satisfaction survey to 490,098 individual and business customers. 67,746 participated in the survey and gave Belfius an average score of 94%. On the public, social & corporate side, 538 customers responded out of 5,726 invited to participate and gave an overall score of 95.5%. Overall, Belfius Bank obtained a satisfaction score of 94.5% for 2021

Degree of satisfaction



For our customers' satisfaction, we continue to question and reinvent ourselves. Day after day, we do everything in our power to serve and inspire our customers and earning their "love" is what we aim for at Belfius 100% of the time.

6.1.5.2. Complaint Management

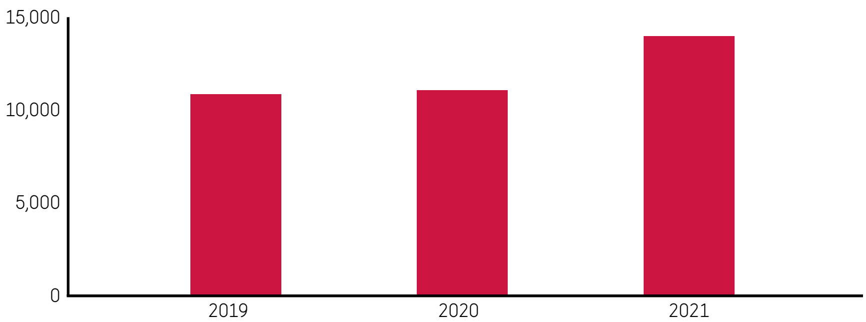
At Belfius we consider each complaint as a key customer moment that contains valuable information to improve our services, products and processes. Consequently, we systematically monitor customer complaints and analyse each case thoroughly to provide effective solutions in conjunction with the Bank's various entities. Belfius has dedicated teams that carry out a step-by-step protocol that guarantees impartiality when processing complaints received.

The 2021 reporting period took into account open complaints, whether they had already been handled, were in the process of being handled, or were awaiting processing.

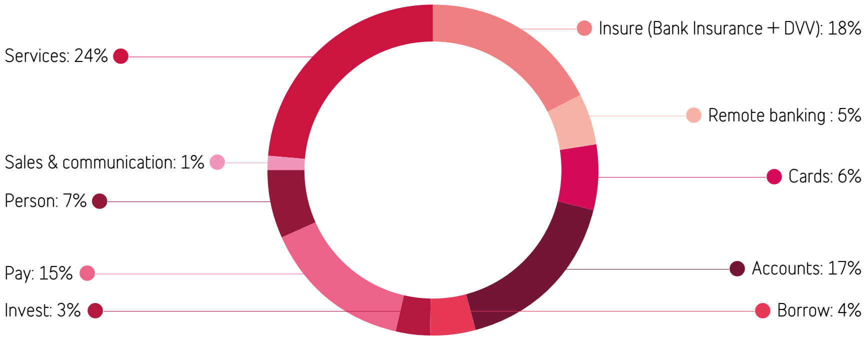
Complaints by topic

In 2021, Belfius recorded 13,969 complaints, which represent an increase of 26% compared to 2020. Our complaints management teams have been operating at 100% capacity to respond as quickly as possible to these complaints, particularly those related to the current health situation.

# of compliants received



Complaints per topic



To facilitate the treatment of these complaints, our complaints management teams categorize complaints by topic.

With regards to the "Insure" topic (referring to all complaints related to our insurance products and services), we noticed a stabilisation compared to the previous year for both Belfius Insurance and DVV brands, despite an increase in the amount of complaints related to claims handling. This increase was partially a consequence of the floods that occurred during the 2021 summer period in Belgium. Elements have been put into place to manage claims in the most efficient way and define appropriate measures so as to avoid receiving similar complaints in the future.

Our branches were exclusively accessible upon appointment in 2021, a new way of working that became the new normal since 2020 when new measures were introduced to help fight the spread of Covid-19.

The need for appointments has led to a flood of telephone calls to our branches for emergencies, everyday needs, or to schedule appointments. Complaints related to branch availability increased significantly in 2021. There was also a significant increase in complaints related to the availability of Belfius Connect, which provides remote financial services (telephone, mail, chat) for all customers. These complaints came from customers looking for answers that they could not receive directly from a branch. In response to this increase in calls to branches and Connect, Belfius is actively studying potential measures.

The health crisis also led to a significant increase in the digitalisation of operations and a significant increase in online purchases. Due to this trend, new fraud scenarios have emerged. The increase in fraud cases has also led to an increase in related complaints. To this end, Belfius regularly carries out awareness campaigns for digital customers regarding the danger of phishing/vishing/smishing.

In addition, we also noticed that this increased use of digital services occasionally led to technical problems which, in turn, have led to complaints ('Remote banking' topic).

Belfius has been adapting its ATM fleet in line with the roll-out of Batopin. The aim of Batopin, a collaboration between Belgium's four major banks (BNP Paribas Fortis, KBC, ING Belgium and Belfius) under a new label, is to optimise cash points coverage in Belgium. This has also generated a number of complaints, as well as concerns from authorities, with whom Batopin is actively engaging. Belfius maintains non-cash ATMs in its branches. Belfius also installed a completely new set of ATM machines. Due to problems in the initial phases however, the "deposit" option led to a malfunction, which in turn generated many complaints ('Pay' topic).

Finally, the various Covid-related lockdowns, combined with changes to ATMs, prevented some customers from collecting their account statements, which were therefore sent by post. This led to associated shipping costs which in turn led to complaints ('Accounts' topic).

Discrimination and privacy complaints

In order to preserve trust and increase transparency in our business, we work towards decreasing the number of complaints around privacy and discrimination. It is our legal duty as a financial institution to protect the confidentiality of our former and existing customers' data through securing their transactions and personal information.

The number of complaints related to discrimination decreased from 34 in 2020 to 26 in 2021. We constantly strive for a zero-tolerance policy regarding discrimination and will continue our internal communications awareness campaigns designed following exchanges with Fedasil, the Red Cross and UNIA.

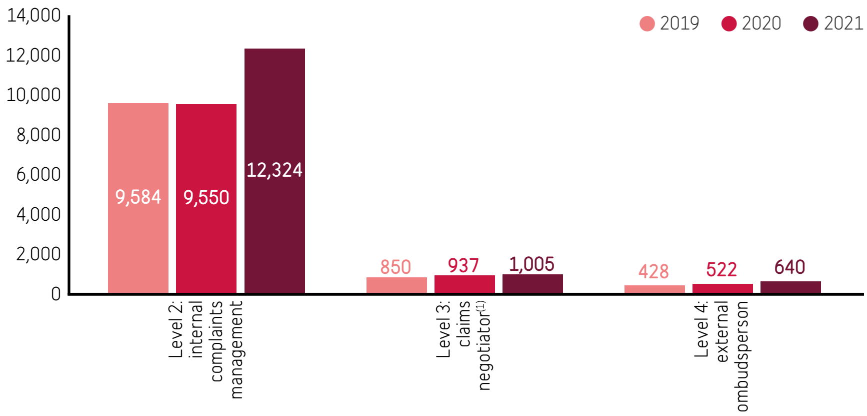
173 complaints dealt with in 2021 concerned privacy, compared to 150 in 2020. The majority of these (128) concerned GDPR legislation. The others were mainly related to identity theft or poorly addressed but unopened mail (thus representing no violation of private information). For the DVV insurance brand, three GDPR complaints were registered in 2021.

111 complaints related to other areas can also be linked to GDPR issues and often concerned access to personal data by an unauthorised third party following a change of address, suspension of power of attorney, etc.

Complaints by level

The number of complaints received increased across all management levels.

Received complaints according to level of management



(1) Level 3 - Negociator Complaints do not apply to DVV Insurance.

6.1.5.3. Special attention for more vulnerable customers

Customers with disabilities

Most Belfius branches are disabled-friendly. The Belfius ATM are equipped with voice controls that allow visually impaired people to withdraw cash on their own. The keyboard itself is embossed and braille has been used so that the person concerned can easily find the different parts of the device (bank card insertion zone, zone for connecting headphones, etc.). Belfius is adapting its ATM network in line with the Batopin roll-out. Each cashpoint installed by Batopin is also equipped with the same support facilities. Wherever possible, cash ATM are easily accessible to wheelchair users, both at Belfius and Batopin.

Customers with no or less access to digital services

Belfius wants to ensure that no one is left behind in the rapid digitalisation of the banking world, the economy, and society as a whole. Although we consider this trend a good thing for society overall and and a guarantee for prosperity, we are also aware that not all of our customers either have access to these services, or have the necessary comfort level or wish to follow this route.

Supporting this group of customers is an important concern for Belfius. As a bank, we wish to remain accessible to the largest number of people.

That's why Belfius committed with sector federation Febelfin to work on a 10 point action plan aimed both at facilitating the transition to online banking, as well as continuing to support non-digital customers. We have already taken first steps in that direction in 2021 by creating "how to" videos to support our customers in performing simple transactions via our digital channels.

Additionally, customers over 70 years of age with a Beats New or Beats Star current account can rely on free manual transfers and free monthly dispatch of paper statements.

Finally, Belfius also offers the Universal account, in line with the principles and terms set out in the Charter of Universal Banking Service. This account was developed to cater to the needs of clients that do not use digital services.

6.2. ESG risk management

ESG risks can be translated as risks related to any negative financial impact on financial institutions stemming from current or prospective impacts of ESG factors on themselves, their counterparties (i.e. companies, individuals or public/sovereign entities), or their assets (including real estate, collateral, bonds, equities, financial instruments etc.).

Within this category, climate-related risks (i.e. financial risks associated with global warming) are currently on the foreground.

Climate change will have a significant and lasting impact on economic growth and prosperity. Consequently, financial institutions' regulators and supervisors have identified the management and supervision of climate-related and environmental risks as a top priority.

Belfius considers all ESG risks as a top risk and they are fully embedded in to our risk taxonomy, not as a separate risk category, but as a driver of more traditional financial and non-financial risks. This is due to the fact that ESG risks could affect the creditworthiness of our customers, impact the value of assets or collateral, create higher volatility on financial markets, or create operational risks, amongst others.

In this way, ESG topics are identified as risk drivers that can affect Belfius' profitability and solvency and form an integral part of risk reflections and recommendations underpinning informed decision-making, strategic planning and adjustments. They also inform a more constructive dialogue with stakeholders (including customers and investors), and the maintenance of a strong corporate reputation.

Consequently, our Risk Appetite Framework (RAF), which already included social and governance key risk indicators, was further enhanced in 2021 with a revision of ESG-related qualitative statements and the inclusion of additional ESG quantitative risk indicators. These statements and indicators pertained to our own operational emissions, the improvement of the Belfius ESG rating and our progress with respect to the execution of the Belfius ESG action plan. The RAF will be further enriched over time with the inclusion ESG-related limits at portfolio or customer level.

As ESG topics are still an emerging risk type, there is currently no standardised nor consistent approach across the financial industry for identifying, measuring and managing these risks. Given that data is often lacking, that methodologies are still immature and that science, technology and regulations are evolving rapidly, a flexible and gradual approach is recommended to tackle these issues and overcome some of the challenges along the way.

Like other financial institutions, we are at the beginning of our journey and will continuously improve our approach and capabilities along the way.

You will find more details on the management of ESG risks in the Belfius 2021 Risk Report.

6.3. ESG Governance

ESG is a key topic for all governance layers of Belfius Group.

Belfius Bank and Belfius Insurance Boards of Directors define and oversee implementation of the (ESG) strategy, objectives, risk appetite and risk approach at the proposal or recommendation of the Management Board. Twice a year the Boards of Directors provide guidance on ESG and review progress on sustainability-related projects and targets to ascertain that sustainability is fully and consistently embedded in all value propositions that deliver our strategy. Important changes to the Transition Acceleration Policy are also discussed at board level.

The Risk Committees at Board of Directors level have advisory powers and responsibilities with regards to the Boards of Directors on setting current and future risk appetite and strategy (including ESG and climate risk), as well as the monitoring of their implementation. As sustainability risks are a top risk at Belfius, the Risk Committees ensure effective oversight of ESG risks on a quarterly basis and monitor progress on the ECB ESG action plan.

Belfius' **Group Committee**, composed of Management Board members of Belfius Bank and Belfius Insurance, manages group strategic matters, including the sustainability strategy and its implementation for the banking and insurance group. It is responsible for the implementation of mandatory ESG regulations and voluntary ESG commitments.

At executive level, both the Belfius Bank CEO and Belfius Insurance CEO sponsor the ESG strategy. An ESG programme and steering group have been set up to monitor the implementation of the ESG strategy, as well as mandatory and voluntary ESG commitments.

Twelve ESG workstreams have been formed, responsibilities for streams have been assigned to members of the Management Board, and each workstream has been assigned a tracker at senior management level. A monthly steering meeting, bringing together the various trackers and covering the whole of the Belfius organisation, closely follows up on the progress of each of these streams. Within the different streams, knowledge and resources are pooled from different departments and legal entities, making this a unique transversal endeavour.

At Belfius Bank, the **Head of Sustainability** is accountable to the CEO. She heads the Central Sustainability Team and is in charge of the overall coordination of the groupwide ESG strategy. She works in close collaboration with Belfius Insurance's Sustainability Manager. Both parties conduct systematic dialogue on ESG affairs with key internal and external stakeholders.

One of these internal stakeholders is the **CSR Commission** - a working group within Belfius Bank's social consultation process that focuses on corporate social responsibility and staff awareness regarding ecological and social topics. The Commission, chaired by the Head of Sustainability and made up of employee representatives from social consultation bodies within the Bank, reports to the Health & Safety Committee (HSC).

Belfius has also set up a dedicated **ESG Risk Competence Centre** within the Strategic Risk Management Department that is in charge of overseeing the implementation of the ESG Programme's risk components. This specialised team reports regularly to the Chief Risk Officer (CRO) and is in charge of developing a comprehensive ESG risk management framework in collaboration with other groupwide risk departments along the "three lines of defense" model.

Finally, an **ESG core data team** was set up to tackle multiple data challenges. This team is composed of representatives from the Central Sustainability Team, the ESG Risk Competence Centre and the newly created ESG Data Centre and Project Office.

As a result of our engagement with voluntary initiatives, as well as the integration of ESG matters into existing or new regulatory requirements by regulators and prudential supervisors, Belfius has attributed responsibilities regarding sustainable finance to existing decision-making structures.

In 2022 however, a newly installed **Strategic Sustainability Committee (SSC)** will drive the execution of our ESG strategy, our ESG framework and the Transition Acceleration Policy, and act as the central hub for operational ESG Governance in line with Group Committee and Board of Directors expectations. The SSC will supervise the execution of transversal ESG topics (e.g. science-based targets), compliance with ESG-specific regulations (e.g. SFDR and Principal Adverse Impacts, EU Taxonomy), and ESG reports. The CEO of Belfius Bank and the CEO of Belfius Insurance are members of the Strategic Sustainability Committee.

7. Focus on climate action

7.1. Adopting Task Force on Climate-related Financial Disclosures (TCFD) recommendations

Climate change is one of the greatest challenges the world has ever faced and there is no doubt it will have a significant and lasting impact on economic growth and prosperity. As a financial institution, we recognise that we have a critical role to play in the transition to a low-carbon and climate-resilient economy.

We believe that there is a need for further transparency around climate-related issues in order to effectively manage the risks presented by them. Released in 2017, recommendations made by the Task Force for Climate-related Financial Disclosures (TCFD) provide a common foundation for companies to better disclose their climate-related financial information and allow their stakeholders to understand how climate-related risks and opportunities are integrated into the risk management and strategic planning processes. Within this context, Belfius is reporting on climate-related information following TCFD recommendations for the first time. Following this milestone, we are working towards improving the transparency and quality of our reporting and further aligning our disclosures with recommendations in the future.

Climate risk falls under the "E" of ESG risks. **ESG risks** are the risks of any negative financial impact on financial institutions stemming from current or prospective impacts of ESG factors on themselves, their counterparties (i.e. companies, individuals or public/sovereign entities), or their assets (including real estate, collateral, bonds, equities, financial instruments, etc.).

Within this category, **climate-related risks** (i.e. financial risks associated with global warming) are currently in the foreground.

Drivers of climate-related risks are usually categorised into physical and transition risks and are subject to various transmission channels:

Risk type	Physical risk	Transition risk
DEFINITION	These risks arise from the physical effects of climate change.	These risks arise from the transition to a low-carbon economy.
DRIVERS	These risks include acute risks (mostly weather-related events and natural disasters such as storms, floods, fires and heatwaves) and chronic risks (incremental pattern changes such as rising sea levels, water stress and biodiversity loss).	These risks include policy risks (such as the introduction of a carbon tax, new energy efficiency requirements for buildings, etc.), technological risks (rendering old technologies obsolete in favour of new ones that are less damaging to the climate), market risks (such as a shift in consumer preferences), legal risks (the risk of litigation for failing to address climate-related issues) and reputational risks.
EXAMPLES OF TRANSMISSION CHANNELS	These risks can impact Belfius directly, but can also have a negative impact on the income and wealth of individual customers and the revenues and profitability of corporate customers. The impact can materialise, amongst others, through: • Damages to production sites and disruption of value chains • Decreased production capacity and/or higher operational costs • Negative impact on workforce and labour productivity • Increase of insurance premia • Decrease in value of real estate assets or investments made	These risks can impact Belfius directly, but can also have a negative impact on the income and wealth of individuals and the revenues and profitability of corporate customers. The impact can materialise, amongst others, through: • Unexpected increases in energy prices and increased costs • Changes in the price of raw materials resulting in decreasing revenues • Reduced production capacity • Repricing of some assets or even the occurrence of stranded assets • Need for huge investments • Lower demand for certain products or services perceived as negatively contributing to climate change • Less possibilities to attract and retain customers, employees and investors

ESG risks, including climate risks, can impact Belfius both directly and indirectly. Focusing on operational and financial resilience is key in a changing environment (rising temperatures, more frequent and significant natural disasters, new climate-related policies, emerging technologies, etc.) and we must ensure that reputational risks, as well as compliance, conduct and litigation risks stemming from ESG topics, remain as low as possible.

Managing the risks we are exposed to through our financing activities (i.e. our exposure to counterparties that may potentially contribute to, or be affected by, climate change) is also essential. In this field, and in line with its mission to be inspiring and meaningful for Belgian society, Belfius is willing to play a prominent role and be a significant actor in the transition in Belgium. This means full attention will be given to both reducing our level of exposure to climate and environmental risks, and supporting our customers in their own transition.

Climate topics are still an emerging risk type, with currently no standardised nor consistent approach across the financial industry for identifying, measuring and managing these risks. A flexible and gradual approach is therefore recommended to tackle these issues and overcome some of the challenges along the way:

- Granular data is often lacking
- Science and technologies are evolving fast
- Regulations are regularly updated and are becoming increasingly stringent
- Several scenarios are plausible and there is still a high degree of uncertainty regarding which risks will materialise, as well as when and how they will materialise
- Some risks will probably only occur in the long term (beyond 10 years), which makes predictions and projections even more difficult
- Methodologies and best practices in the field of ESG risks management are not always mature yet

7.1.1. Governance

We believe that solid governance and the involvement of all levels of our company are key for the robustness of our climate risk management approach. For this reason, the Risk Appetite Framework that is set on a yearly basis by the Board of Directors already integrates qualitative and quantitative ESG indicators. The Board-level Risk Committee, Group Committee and Management Boards maintain oversight on climate-related and environmental risks, with a specific focus on Belfius' ambitious action plan to align with the expectations set by the European Central Bank's (ECB) Guide on climate-related and environmental risks. Quarterly status updates are submitted to the Risk Committee and the Group Committee. Potential deviations and delays are also monitored on a quarterly basis via a dedicated indicator included in our Risk Appetite Framework.

We have already invested in the upstaffing of our central sustainability team, the creation of a dedicated ESG Risk Competence Centre and an ESG data team supported by external advisors.

We have plans to further enhance our capabilities in the coming years, including hiring new expertise, building up our knowledge through trainings and acquiring new tools from external data and service providers.

For more information on ESG Governance, see section 6.3.

7.1.2. Strategy

All three sustainability components (i.e. Environmental, Social and Governance) are at the core of Belfius' mission and vision (i.e. Being Meaningful and Inspiring for Belgian Society):

- Belfius wants to be a leading actor in the transition to a sustainable Belgian economy and society and is committed to actively contributing to the Paris Climate Agreement and the Sustainable Development Goals
- Belfius wants to make its operations as sustainable as possible (e.g. sustainable procurement, sustainable IT, etc.) and set an example as an employer in all fields of sustainable development (equal opportunities, wellbeing, social commitment, mobility, etc.)
- Belfius is also committed to achieving a sustainable balance sheet by investing sustainably, encouraging its customers to do so too, and supporting Belgian businesses in their shift towards sustainable activities in a socially inclusive way

For more information on Belfius' strategy, see chapter "Strategy Inspire 2025" of this annual report. For more information on ESG in Belfius' strategy, see section 4.1.

Our overarching goal is threefold:

- we want to adequately manage ESG risks in order to ensure Belfius is resilient and stays profitable,
- while also limiting our potential negative impact on the world and
- maximising our positive impact and contribution to society.

When assessing ESG risks, we therefore always consider a double materiality:

- Financial materiality, i.e. the impacts of climate change on Belfius (whether directly on our own operations, or indirectly through our financing activities)
- Environmental and social materiality, i.e. the impacts of Belfius on climate change (our positive or negative contribution)

There are overlaps between these two perspectives as, generally speaking, a company with a higher negative impact on the climate will be more exposed to transition risks.

In 2020 we started developing a general ESG framework that set the foundations for a better framing and management of ESG risks. In 2021 we moved forward with the design of a detailed and ambitious ESG action plan aimed at aligning our practices and plans with expectations set by the European Central Bank (ECB) in its Guide for Climate and Environmental Risks, and at integrating ESG considerations in our Risk Management Framework. This roadmap is pluriannual and assumes a gradual enhancement of our expertise - more specifically in the fields of:

- Data: We have set up a dedicated ESG Data Programme that is currently being rolled out to gather granular data. The programme's primary focus lies in the collection of the greenhouse gas (GHG) emissions data of our counterparties and energy performance certificates (EPC) of our real estate assets. A mix of external and internal databases is being used to this end, as well as proxies and estimations to fill the gaps.
- Access to best-in-class resources and tools: we aim to capitalise on scenarios provided by the Network for Greening the Financial System (NGFS), as well as pilot exercises carried out by the United Nations Environment Programme Finance Initiative (UNEP FI). We are also analysing methodologies created by the Partnership for Carbon Accounting Financials (PCAF) and the Paris Agreement Capital Transition Assessment (PACTA), and have already committed to implementing science-based targets.

7.1.2.1. Climate-related risks

Climate-related risks can materialise within different time horizons: short-term (1 to 3 years), medium-term (4 to 10 years) and long-term (beyond 10 years). Given that various scenarios are possible and that they can have an impact on financial stability, we take different time horizons into consideration when identifying Belfius' material climate-related risks.

Financing solutions

Risk type	Risk driver	Description	Transmission channel	Time horizon/impact level		
				ST ≤3 years	MT 4-10 years	LT > 10 years
TRANSITION RISK	POLICY & REGULATION	Increase in cost of GHG emissions due to policy or regulatory changes (tax, quotas...)	Increased cost of own emissions		●	
			Increased cost of emissions of customers		●●●	●●
		Mandatory renovation for energy consuming real estate	Lower household/business wealth, lower collateral value	●	●●	●●●
		Changes in regulation/prudential treatment of climate risk-sensitive assets	Increase in regulatory capital requirements	●	●●	
	TECHNOLOGY	Low-carbon technologies that replace carbon-intensive products/services	Decrease in market value of carbon-intensive assets	●	●●	
	LEGAL/ COMPLIANCE	Legal risk related to compliance with ESG regulations	Administrative penalties/sanctions due to non-compliance	●●	●	
	MARKET DISRUPTION	Changes in customer preference, demand and supply shifts to sustainable products/services	Decrease in market value of non-sustainable assets	●	●●	
		Increase in cost of raw materials	Increase of own energy supply cost	●		
			Increase in energy supply cost of customers	●●		
		Non-compliance with financing/ investment strategy with respect to climate change	Negative perception from the external stakeholders (reputation risk)	●●	●	
PHYSICAL RISK	ACUTE EVENTS	Heatwaves, hurricanes, wildfires, floods	Damage to production sites, disruption value chains (own operations)		●	
			Damage to production sites, disruption value chains (financing activities)	●	●●	
			Lower repayment capacity because of higher insurance premiums	●	●●	
	CHRONIC PATTERNS	Increasing droughts, sea-level rises	Increases in clients' costs, drop in client's production (e.g. agriculture)		●	●●

With regards to our financing activities, identified climate-related and environmental risks may impact our counterparties' risk profiles and our assets' value. These risks take place when climate-related and environmental factors affecting counterparties (companies, individuals or public/sovereign entities) or assets (real estate, collateral, bonds, equities, financial instruments, etc.) have a negative impact on their solvency, financial performance, or value and which could in turn affect the profitability of our financing activities.

One way in which Belfius seeks to capture and manage these risks, especially climate transition risks, is by embedding the Transition Acceleration Policy into our loan origination processes. The TAP imposes restrictions on eight controversial or sensitive sectors, including climate-sensitive sectors (energy, mining, palm oil & soy, and agricultural commodities). We use this policy in combination with the identification of climate opportunities for a transition to a low-carbon economy. You can find further information about our TAP in section 6.1.2.

Insurance activities

Climate risk has always been a specific challenge for the insurance sector, especially on the liabilities in the Property & Casualty (P&C) activities due to the impact of extreme weather events

More concretely, climate-related risks have appeared in Belfius Insurance's Own Risk Self-Assessment's (ORSA) and have integrated the top five risks from 2019 on. Furthermore, in 2021 Belfius Insurance carried out its first detailed climate risk mapping exercise considering the European Insurance & Occupational Pensions Authority's (EIOPA) Opinion on the supervision of the use of climate change risk scenarios in ORSA. This has led to a first view on the most material climate-related risks in Belfius Insurance's activities. On that basis, a first Climate Stress test was performed.

Conclusion is that:

- **Transition risks** on assets appear as the potentially most impactful in the short and medium-term.
  Transition risks on assets are already mitigated today by the Transition Acceleration Policy (TAP) and the progressive embedding of sustainability criteria in the investment process . It is foreseen to improve methods to assess risks on assets in the coming months, starting with the most material areas and probably by using simple methods or qualitative assessments in first instances.
- **Physical risks** (mainly flooding, storms, subsidence, wildfire) are expected to materialize with higher frequency and gravity in the medium and long-term and might then impact insurance activities (P&C and Life) but also assets. We also foresee climate-related physical risks stemming from lack of impactful transition policies.

Until now, the most visible impacts of climate risks are to be found in our Property & Casualty (P&C) activities (mostly households and local authorities such as municipalities or other public actors, all of them being based in Belgium). To manage these risks, Belfius Insurance takes into account (flood) risk maps and the geographical location of insured goods to set the price of property insurance, which can be reviewed on a yearly basis. Additionally, potential impacts of climate events are analyzed and mitigated with a reinsurance program. This one is renewed each year based on a detailed risk analysis of the insured goods.

In the short-term, based on the mitigation actions described above, the impact of climate-related risks for the P&C insurance business is properly mitigated

In the medium to long term however, the increase of frequency and severity of climate events could lead to higher premiums due to exponential claims costs aggravated by inflation and higher reinsurance costs . It might lead to difficulties to offer P&C insurance products at affordable prices. We are closely monitoring these trends within our business strategy to better respond to these future challenges.

The exceptional floods in July 2021 reinforced the relevancy of our analysis carried out in 2021. It should be noticed that for this event, 95% of claims related to Property & Casualty - the other 5% related to Mobility insurance.

Asset Management activities

Belfius Investment Partners (BIP) has a robust approach to factoring in climate-related risks identified as material as part of its product and investment strategy. BIP's product and investment strategy vis-à-vis climate is different for each of its two models of investing: Belfius Investment Partners 'fund of funds' model and the delegated fund model. In the first model, BIP's internal fund selection and portfolio management teams analyse and select Exchange Traded Funds (ETFs) and mutual funds of third-party asset managers. In the second model, external managers are appointed to manage assets. Currently, the external asset managers we collaborate with are Candriam, BlackRock Investment Management and JP Morgan Asset Management.

BIP follows Belfius' overarching Transition Acceleration Policy so as to integrate climate into its investment strategy. The TAP will be applied to all investment products managed by BIP and a progressive implementation of the policy is currently underway, with full compliancy with TAP criteria due by the end of 2022. Exclusions set by the TAP should for instance help us to shield our clients from severe climate-related risks specific to the energy sector by selecting those energy companies that limit their impact on climate.

Secondly, in order to capture opportunities created by trends in capital markets and client preferences, BIP's strategy is to offer investment products with a focus on climate and environmental concerns. Examples of these products are Belfius Equities Climate and Belfius Smart Future.

Finally, BIP integrates climate-related risks and opportunities through its engagement with external partners. We ask that our external asset managers either have, or design, a formal engagement policy. We expect their approach to be based on structural and systematic engagement with investee companies in relation to sustainability aspects that may be material to the financial value of the investment. We also expect that the approach addresses identified principal adverse impacts, especially for financial products that are designed to promote certain environmental or social characteristics and products with explicit sustainable investment objectives. This should be implemented where possible and feasible and in line with the nature of the investments, such as asset class or type of investment instrument, investment style, investment strategy, or investment objectives of the financial product.

BIP also evaluates the business strategies of its external partners with regards to climate risk and opportunity management when engaging with them. BIP's partners integrate climate considerations into their analysis, investment strategy and decision making, as well as their products.

- **Candriam** has a strategy to continuously decrease its exposure to GHG emissions and climate-related risks. Since January 2019, Candriam has put in place an exclusion policy targeting thermal coal extraction and power generation across all directly managed investment portfolios. Short term climate impact is assessed via the monitoring of investee companies' response to climate change and exposure to physical climate risks. Medium to long-term exposure of investee companies to climate change transition, as well as physical risks, are captured through Candriam's proprietary methodology evaluating the alignment of business activities to climate change. Candriam also conducts regular research on the exposure of different sectors to climate change risks and opportunities. Leveraging this research, Candriam also tailors its product development and offering strategies to better capture opportunities stemming from climate-related issues.
- **BlackRock's** Strategic Asset Allocation (SAA) methodology framework integrates climate concerns since 2021. BlackRock uses a long-run climate change model that allows to account for physical damages, energy transition and the impact of public policies in a single and transparent framework. The risks and opportunities posed the by climate change are considered by BlackRock via three channels: Macroeconomic, repricing and fundaments. In developing the climate-aware Capital Market Assumptions, BlackRock re-defined the baseline economic scenario, replacing previous "climate change agnostic" projections with a "green trajectory" that accounts for the impacts of physical climate change damages as well as policies that are expected to be adopted to limit such damages. With regards to repricing we observe that, due to shifting societal preferences, the discount rate BlackRock uses to value sustainable securities is changing. With regards to fundamentals, BlackRock takes a sectoral approach to sustainable investing into consideration that is additional to a regional approach.
- **JP Morgan** considers assets' vulnerability to physical risks, as well as competitiveness considering the level of transition risk. The materiality of physical and transition risks is assessed taking the climate risks and opportunities each sector, region or instrument is exposed to into account.

7.1.2.2. Climate-related opportunities

In addition to risks, the climate also provides some opportunities for Belfius and we have been working towards capturing climate-related opportunities presented through products and services. Through our understanding of shifts in consumer preferences and needs in Belgium, occasionally thanks to local and national incentives provided to consumers, we strategically develop and offer products and services that mitigate and adapt to climate issues. These include, but are not limited to, our green renovation loan, eco car loan, renewable energy loan, discounts on car premiums for decreased driving distance, leased green mobility products and climate-focused investment products (through BIP), amongst others.

Capturing the opportunities presented by the need to develop climate adaptation and risk solutions, our services such as "App-normal" insurance discount for energy-efficient buildings validates the resilience of our portfolio. Belfius' commitments and recognition with regards to climate action, in line with the federal and local ambitions of Belgian authorities, allow us to be a fit business partner for the financing of projects and services in the public sector.

Furthermore, we also leverage opportunities created by the markets regarding climate. In collaboration with international institutional organisations such as the EIB and the European Commission, we have been participating in projects and programmes promoting climate adaptation and climate mitigation. We have also diversified our funding thanks to our green bond issuance in 2021 and we provided our public and corporate customers with advice regarding their own sustainability issuances.

For more details on our strategy regarding climate-related opportunities on products, services and markets, please refer to section 5 of this report.

Climate-related opportunities are not limited to our financing activities however. Climate actions that we have taken regarding our own operations' carbon emissions, such as energy-saving improvements, solar panels, LED installations, carbon credits, heat pumps, Nanogrid, etc. have also allowed us to save energy and resources.

For more details on our approach regarding climate-related opportunities on resource efficiency, please refer to section 8 of this report.

7.1.2.3. The road to scenario analysis

One of the most efficient ways to ascertain our level of climate resilience is to perform dedicated stress tests taking into consideration various climate-related scenarios (impacting temperature rise and transition pathways in different ways) over different time horizons. Such exercises allow us to quantify the potential impacts of certain events relating to climate change and pave the way for risk mitigation solutions.
Climate Stress Tests will undoubtedly become a common feature of financial institutions' stress test framework. At Belfius, climate scenarios will also gradually be embedded into internal stress tests for the financial planning process.

Financing solutions

In 2022, Belfius Bank will participate in the ECB Climate Stress Test, a joint learning exercise with pioneer characteristics primarily designed to enhance the capacity of both banks and supervisors to assess climate risk. This process will be similar to other regulatory stress tests, but will be unlike any other. It will not be a capital adequacy exercise, but will mainly focus on the impact of global warming on a limited set of credit risk parameters and will entail a first estimation of the probabilities and magnitude of potential financial losses arising from climate-related risks.

Bottom-up projections evaluating Belfius Bank's vulnerabilities to climate-related and environmental events are based on ECB economy-wide climate stress tests built on scenarios derived from NGFS studies (the Network of Central Banks & Supervisors for Greening the Financial System), as well as a set of macro-economic parameters and shocks provided by the ECB. A "shock" within this context can be understood as any change to fundamental variables or relationships that have a serious effect on macroeconomic outcomes and economic performance measures.

Transition and physical risks will be assessed separately:

Transition Risk Assessment for mortgages & corporate portfolios		Physical Risk Assessment	
Short-term exercise (3 year)	Long-term exercise (30 years)		
Impact of disorderly transition scenario	Impact of three scenarios (orderly transition, disorderly transition and hot house world)	Impact of labour productivity losses associated with heat and drought	Impact of damages associated with floods
On credit and market risks	On credit risk only	On corporate exposures not secured by real estate	On the value of the collateral in case of mortgage loans and corporate exposures secured by real estate

Insurance activities

As mentioned above, when it comes to Belfius' insurance activities, climate-related risks have been identified within Belfius Insurance's Own Risk Self-Assessment's (ORSA) top five risks since 2019. At the instigation of ORSA, Belfius Insurance executed a first stress test in 2021. The test was calibrated to reveal the potential impact of an adverse scenario mixing physical and transitional impacts on both assets and liabilities.

Computation of the impact of this first stress test was based on a shock calibrated on the basis of three elements:

- A physical event where setup was based on the 1953 Dutch tidal wave. The impact of the wave was made more severe and applied to Belgium
- Transitional effects calibrated on the basis of a disorderly transition due to abrupt measurers taken after the physical event - calibration of financial shocks was based on information made available by European supervisors
- Negative impacts on the economic cycle where the physical event, coupled with an abrupt transition, leads to an economic slowdown - calibration was derived from economic stresses regularly performed by the Belfius Group.

The outcome of this first stress test was that the Belfius Insurance solvency ratio was strong enough to withstand these shocks.

7.1.3. Risk Management

7.1.3.1. Risk identification

Risk identification and assessment are a prerequisite for more detailed risk management actions and processes.

Credit risks

As far as credit risks are concerned, the first objective is to assess the materiality of climate-related risks correlated to Belfius portfolios. This allows us to identify the most vulnerable counterparties and assets and measure our level of exposure to those risks or counterparties and assets.

We carried out **heat maps** in 2021 aimed at detecting sensitivities to climate-related risks within loans and advances to non-financial corporations. The identification of sensitive sectors is based on a cross-check of multiple sources, including Climate Policy Relevant Sectors (CPRS), climate stress methodology provided by the ECB, Pillar 3 disclosures, etc.

		Carrying amount (in millions of EUR) 31/12/21	%
A	Agriculture, forestry and fishing	111	0%
B	Mining and quarrying	44	0%
C	Manufacturing	2,902	8%
D	Electricity, gas, steam and air conditioning supply	1,485	4%
E	Water supply	879	2%
F	Construction	4,474	12%
G	Wholesale and retail trade	5,154	14%
H	Transport and storage	1,215	3%
I	Accommodation and food service activities	709	2%
J	Information and communication	777	2%
K	Financial and insurance activities	1,547	4%
L	Real estate activities	4,995	14%
M	Professional, scientific and technical activities	4,177	12%
N	Administrative and support service activities	1,457	4%
O	Public administration and defence, compulsory social security	321	1%
P	Education	84	0%
Q	Human health services and social work activities	4,804	13%
R	Arts, entertainment and recreation	579	2%
S	Other services	365	1%
LOANS AND ADVANCES NON-FINANCIAL CORPORATION		36,078	
LOANS AND ADVANCES TOTAL		101,382	
TOTAL CLIMATE-SENSITIVE SECTORS (IN MILLIONS OF EUR)		21,258	
CLIMATE-SENSITIVE SECTORS AS % OF LOANS AND ADVANCES TO NON-FINANCIAL CORPORATIONS		59%	
CLIMATE-SENSITIVE SECTORS AS % OF LOANS AND ADVANCES		21%	

Red: climate-sensitive sector

As shown above, we have very limited exposure to some of the most climate sensitive sectors, such as agriculture and mining. Other sensitive industries like manufacturing, wholesale and retail trade and real estate are quite large and would require a deep dive into the activities performed to better identify the impacted sub-industries or companies.

In parallel, we are screening the Belfius Bank balance sheet to identify **exposure to fossil fuel projects** and companies. The first results indicate that Belfius Bank finances 1.7 Bn in activities related to fossil fuels, i.e. about 1% of our total balance sheet. The analysis did not reveal any exposure towards coal, lignite and peat extraction. The methodology used for this fossil fuel value chain screening may not be exhaustive and is constrained by data limitation. Belfius puts effort in continuously improving the quality of its non-financial data and will adapt its methodology accordingly for future reporting.

Unfortunately, most of the exposure (EUR 1.3 billion) is part of the legacy portfolio, a portfolio of long-term international bonds inherited from the Dexia era which is managed separately and will probably have to be carried till maturity.

We also went a step further and performed a more specific assessment **targeting our non-SME corporate exposures** (loans and bonds). The aim of this materiality assessment was to measure the level of exposures related to companies or groups active in climate sensitive activities. Exposures were mapped and evaluated according to different classification approaches in line with EBA (European Banking Authority) recommendations ("Mapping climate risk: Main findings from the EU-wide pilot exercise" – May 2021).

One of the approaches relied on the CPRS (Climate-Policy Relevant Sectors) classification to identify sectors that are particularly sensitive to a disorderly transition. This exercise was complemented with a first estimate of our green asset ratio based on the JRC's (Joint Research Centre) taxonomy alignment coefficients. The conclusion from this high-level materiality assessment is that Belfius has a relative sound balance sheet with sensitive assets and green asset ratios in line with the results obtained by the EBA on the European peers that were part of the study. We expect both methodologies to be refined over time however, including more granular breakdown for CPRS and development of EU Taxonomy eligibility criteria and coefficients for the green asset ratio, which will allow us to compute more precise figures.

The outcomes of these exercises are helping us prioritise actions and feed our business and sustainability strategy. These include decisions regarding how to ensure our business growth is sustainable, what kinds of products and service offerings would be the most valuable, how this can influence pricing and which adaptation and mitigation activities should be pursued, amongst others.

In 2022, our focus will also be on **real estate assets** since mortgage loans constitute a significant share of our financing activities and the bulk of these exposures are secured by real estate assets. We intend to screen our mortgage portfolio and single out exposures and collateral that are highly exposed to transition risks on the one hand, and physical risks on the other.

Although the above-mentioned top down approach is a logical first step (as currently more data are available for sectors than for individual firms) and is a useful means to get quick insights, the added value is limited since sectoral data do not take into account the large differences between firms within a sector (type of companies' production processes and technologies, company specific strategies and dynamics over time, etc.). They must therefore be complemented by bottom-up analyses, i.e. assessments performed at individual firm/asset/exposure level, taking into account the unique characteristics of each firm/asset/exposure.

We are currently deep diving into individual ESG risk profiles with the development of an **in-house scoring methodology** for corporate exposures that takes climate concerns into account, as well as other ESG factors. This methodology will enable us to assign ESG ratings to our counterparties and rank them in function (inter alia) of their exposure to ESG factors, their willingness to take ESG issues into consideration, their ability to assess and measure ESG risks and opportunities, their capacity to monitor ESG risks, their current ESG risks management practices, the results of their mitigation actions, their level of transparency, and their overall performance in this area.

Engaging more deeply with our customers in order to better understand where they stand, what their key issues are, how they plan to transition to a low carbon economy and how Belfius can support them to this end, is also part of the exercise and will feature high on the agenda in 2022 as well.

Operational risks

For several years, attention has been dedicated to the impact of climate-related risks on Belfius' operational resilience. The bi-yearly threat analysis exercise measures the impact of physical risks, including natural disasters on assets (including data centers), with a view on business continuity. If necessary, adequate mitigating actions are then taken to ensure ability to continue or quickly resume critical activities in case of extreme events. It should also be noted that most critical activities are executed simultaneously in different places and that the use of adequate technologies are also limiting the potential impact of climate-related risks on activities.

We have also significantly strengthened our approach regarding our suppliers with the set-up of a specific ESG due diligence screening process. Since 2020, Belfius further detailed and sharpened its commitments towards sustainable procurement. The Procurement Policy has been reviewed with the aim of integrating ESG considerations into the supplier selection process. Furthermore, we collaborated with an external partner to develop a Sustainability Code of Conduct for Suppliers that defines principles to comply with. As part of this process, Belfius launched a vendor assessment and monitoring initiative in late 2021.

Other risks

In order to better identify and assess risks in our investment activities and increase climate disclosures and practices relating to climate, we (through BIP) engage with our asset managers on a range of responsible investment topics such as exclusions, regulatory requirements and active ownership.

- **Candriam** actively engages with investee companies on Belfius' behalf to improve access to climate-related information so as to better assess companies' exposure, support alignment with TCFD recommendations and encourage efforts to improve the disclosure of Scope 3 emissions

- **BlackRock** engages with investee companies regarding their climate risk disclosures and practices by requesting that investee companies disclose a net-zero aligned business plan consistent with their business model and sector. BlackRock also encourages companies to disclose how considerations related to having a reliable energy supply and just transition affects their plans
- **JP Morgan** also implements its investment stewardship priority climate risk. Acting on Belfius' behalf, they encourage investee companies to embed climate-related considerations into corporate strategy and report on their climate risk exposure, as outlined by the TCFD

7.1.3.2. Climate risk management

We are gradually integrating the ESG dimension, including climate, into Belfius **policies, guidelines and processes**, including credit acceptance policies, underwriting standards, pricing guidelines, collateral valuation tools and our suppliers' charters, amongst others.

ESG risks have been included in our Risk Taxonomy as potential drivers of credit, market, operational, strategic, business and reputational and legal risks.

ESG-related considerations have also been embedded into the risk management framework and various transversal processes. Dedicated surveys have been carried out in the yearly RICAP and SARIC exercises for example (risk identification & cartography assessment/self-assessment of risks & internal controls), that include the proper identification and assessment of ESG-related risks across the organisation. Climate and other ESG factors are considered in the relevant product approval processes.

Furthermore, Belfius published a Transition Acceleration Policy (TAP) in 2021 that imposes restrictions and conditions on eight controversial or sensitive sectors and business areas (i.e. tobacco, gambling, weapons, energy, mining, palm oil and soy, and agricultural commodities). This policy is expected to gradually evolve over time to include additional climate risk sensitive sectors.

The TAP is applicable to the whole group, all types of activities, and was immediately applied to new customers. Customers who were not in line with our guidelines were not onboarded since the introduction of our policy, and the TAP is currently being applied to existing customers on a progressive basis as well. Our commitment to the TAP has triggered modifications to other policies and guidelines, such as our credit acceptance policy and investment risk framework.

Finally, the Risk Appetite Framework (RAF), which already included social and governance key risk indicators, was also further enhanced in 2021 with a revision of ESG-related qualitative statements and the inclusion of additional ESG quantitative risk indicators. These included monitoring (with a targeted reduction) of own asset emissions and general ESG indicators such as the improvement of the Belfius ESG rating, or Belfius' progress with respect to the execution of its ESG action plan. Belfius aims to gradually extend the number of key risk indicators to include indirect impacts (through financed activities) and the implementation of additional and more granular targets and limits.

To better implement and integrate climate risks within risk management, the opinions of supervisory authorities such as the ECB and EIOPA are also closely monitored and implemented.

Belfius is also building a complementary **ESG Risk Dashboard** in which additional metrics across several dimensions (including measurement of data availability, share of vulnerable counterparties/assets, progress towards impact targets, etc.) will be included. This tool will lay the foundations for the comprehensive management of ESG risks globally and will be used to both support strategic objectives and ensure the institution's global resilience.

The dashboard, when mature, together with other risk management tools such as climate stress tests, materiality assessments and ESG scorings, is expected to further enrich the Risk Appetite Framework over time, translate into ESG-related limits at portfolio or individual level and lead to adjustments to our TAP, such as the expansion of exclusions and restrictions.

7.1.3.3. Integration of climate risks into overall risk management

Belfius' risk mapping was adjusted in 2021 to reflect the integration of ESG as a new risk driver in the risk taxonomy. The mapping process allocates related responsibilities to the first and second lines of defence for each risk category.

Awareness of the first line of defence towards ESG risks and their identification has recently been raised through the SARIC process, the RICAP exercise, the New Product Approval Process (NPAP) adjustment and different webinars.

The third line of defence is also playing its role with a first internal audit regarding the Belfius ESG action plan performed in 2021. Climate-related risks are therefore being progressively integrated into the organisation with each line of defence in its traditional role, but extended to new risk drivers.

For the second line of defence, a detailed roadmap has been designed as part of the overall ESG action plan submitted to the ECB in May 2021. The roadmap details the actions to be undertaken for the proper and comprehensive risk management of ESG risks, including climate-related ones. A webinar on ESG risks has been set up to raise awareness and share global expectations and planning. Follow-up of the plan's implementation is performed by the ESG Risk Competence Centre to ensure each risk team meets its individual objectives for ESG risk integration.

7.1.4. Metrics and Targets

With regards to its own operations, Belfius already monitors several climate-related or environmental metrics: GHG emissions, energy consumption, water consumption, waste generation, number of green certified buildings, etc. We also disclose the carbon footprint of our own operations (Scope 1, Scope 2 and Scope 3 except financed emissions), calculated with the support of our partner CO2logic in line with GHG Protocol standards. Currently, we have an ambition to decrease our operational carbon footprint covering Scope 1, Scope 2 and Scope 3 emissions (excluding financed emissions) by 20% in 2025, in comparison with our base year emissions of 2019. For more details, please refer to sections 8.1. and 8.2. of this report.

At Belfius, we recognise that the majority of our carbon footprint comes from our financing activities. We understand the magnitude of the challenges posed by climate change and we are aware of the critical role that the financial sector plays in enabling the transition. To this end, we strengthened our climate action by joining the SBTi (the Science Based Targets initiative) at the beginning of 2022 and committed to establish concrete objectives for both our own operations and our financed emissions in line with the Paris Climate Agreement to limit global warming to well below 2°C above pre-industrial levels and pursuing efforts to limit temperature increase to 1.5°C.

Accordingly, we joined PCAF (the Partnership for Carbon Accounting Financials) in 2021 so as to be able to use the PCAF GHG accounting standard to account for carbon emissions associated with our financed emissions. We are currently in the process of collecting data to complete a first computation of financed emissions.

For the upcoming years, Belfius will be working towards significantly improving the disclosure of climate-related metrics and aims to disclose consistent data across absolute, intensity and forward-looking metrics that predict the financial impact of climate-related risks and opportunities that evaluate the alignment of carbon footprint to climate scenarios.

While this exercise is in progress, BIP can communicate some information on carbon emissions of the investment products that are actively advised by Belfius, starting from 2021.

Absolute carbon footprint

(in Mio tonnes CO_2)	2021
Belfius and Candriam labeled funds (incl PSP & My Portfolio), actively advised by Belfius, managed by Candriam	1,060,705
o.w. article 9	147,345

Weighted average carbon intensity

	2021	
(Ton CO_2eq/EUR millions revenues)	Portfolio	Benchmark
Article 9 Belfius and Candriam labeled funds, actively advised by Belfius, managed by Candriam	139	183

7.2. Aligning with the EU Taxonomy

7.2.1. Belfius Taxonomy mandatory reporting

The EU Taxonomy regulation provides a classification of environmentally sustainable economic activities on the EU market according to six environmental objectives: climate change mitigation, climate change adaptation, the sustainable use and protection of water and marine resources, the transition to a circular economy, pollution prevention and control, and the protection and restoration of biodiversity and ecosystems. This legislation and the subsequent Disclosure Delegated Act and Annexes impose sustainability disclosure obligations to actors on the EU market such as financial market participants and companies subject to the Non-Financial Reporting Directive (NFRD).

The implementation of this legislation will be gradual, which should enable involved actors to gather the necessary underlying information on the technical criteria defining sustainability, and to perform the mandatory sustainability calculations. As a credit institution, Belfius Bank will publish its **Green Asset Ratio (GAR)**, or the share of environmentally-sustainable activities complying with the EU Taxonomy criteria over its total assets, in its Sustainability Report when legally required. While Belfius Insurance will not only report the share of environmentally sustainable investments over its total investments, but also the gross premiums written of its non-life insurance revenues contributing to the climate adaptation objective.

In the meantime, the first exercise requires financial undertakings to publish a first set of limited information. In the sections below, the results consolidated for Belfius Bank Group and Belfius Insurance Group are presented.

7.2.1.1. Taxonomy disclosure on Belfius Bank balance sheet

The following table provides Belfius Bank mandatory disclosure. It shows information on the counterparties and instruments that will not be included in the sustainability-calculations in the next few years. The data used to define on-balance sheet assets in this table are aligned with the definitions of the Commission Implementing Regulation (EU) 2021/451 on financial reporting (FINREP) consolidated at group level.

Taxonomy mandatory reporting for Belfius Bank activities

	Total Gross Carrying amount (in bn EUR)	% coverage over total assets	% coverage over basis for GAR calculations
TOTAL ASSETS	177.34	100%	
Of which total exposure to central governments, central banks and supranational issuers	53.21	30%	
Of which trading portfolio	8.75	4.94%	
TOTAL ASSETS CONSIDERED IN THE GAR (EXCLUDING EXPOSURE TO CENTRAL GOVERNMENTS, CENTRAL BANKS AND THE TRADING PORTFOLIO)	115.39	65.06%	100%
Of which total exposure to derivatives not in the trading portfolio	0.83	0.47%	0.72%
Of which on demand inter-bank loan	9.35	5.27%	8.10%
Of which total exposure to undertakings not subject to NFRD	40.64	22.91%	35.22%
Of which non-EU counterparties	9.67	5.45%	8.38%
Of which SMEs or NFCs not subject to NFRD(1)	30.96	17.46%	26.84%

(1) It is worth mentioning that the identification of non-financial undertakings subject to the NFRD may present some challenges, especially in the case of large international groups and holdings due to lack of qualitative data.

As the leading bank for public institutions in Belgium, Belfius' sovereign exposure is unsurprisingly high at 30%. Unfortunately, this exposure will have no influence on our taxonomy alignment report as they are entirely excluded from the GAR calculations. In addition, as a Belgian bank, Belfius has few non-EU counterparties in its portfolio, yet a large exposure to SMEs. The limited reporting obligations for small and medium enterprises and their exclusion from the numerator of the sustainability calculations is expected to have an influence on Belfius' future green asset ratio calculations.

In 2021, Belfius organised seminars for various customer groups around sustainability. These events offered an opportunity to explain the overall principles of the EU Taxonomy and shed light on the expected impact of this piece of legislation on their activities. It also enabled us to start discussing the support Belfius could provide in taking steps towards their ESG ambitions. Besides working with our clients, we organised various webinars and trainings on the EU Sustainable Finance Action Plan for our internal stakeholders. Further trainings on the Taxonomy and related regulations will be rolled out in 2022, enabling Belfius bankers to have better-informed discussion with our clients and ensure robust implementation of the new legislation.

In order to better account for taxonomy-eligible and taxonomy-aligned activities, Belfius is analysing the need to adapt its internal IT system. During 2022, Belfius will start working on the development of further sustainable lending products and project finance, in line with the EU Taxonomy, thereby supporting its customers in improving their own alignment with the sustainability criteria defined by the EU.

Belfius considers the EU Taxonomy as an essential tool to support the climate transition strategy, next to the Science-Based Target setting. The EU Taxonomy will be used as a means to identify climate-solutions and opportunities of financing, and in particular as a metric enabling Belfius Group to better track its contribution to financing assets positively contributing to climate objectives. Future development of the Taxonomy to the six environmental objectives will allow us to further identify environmentally-sustainable activities and increase our exposure to green activities.

In parallel, Belfius aims to limit its risk exposure and the adverse impact it has on several ESG major issues. Hence, the Group is revising its Transition Acceleration Policy and will consider, amongst other, the technical criteria defined as significantly harming the environment, assessing their relevance and practicality of implementation.

7.2.1.2. Taxonomy disclosure on Belfius Insurance balance sheet

Belfius Insurance assets are presented here according to the guidelines of the Taxonomy Disclosure Delegated Act.

Taxonomy mandatory reporting for Belfius Insurance balance sheet

	Total Gross Carrying amount (in bn EUR)	% coverage over total assets	% coverage over basis for GAR calculations
TOTAL ASSETS	17.32	100%	
Of which total exposure to central governments, central banks and supranational issuers	6.82	39.40%	
TOTAL ASSETS CONSIDERED IN THE GAR (EXCLUDING EXPOSURE TO CENTRAL GOVERNMENTS, CENTRAL BANKS AND SUPRANATIONAL ISSUERS)	10.31	59.54%	100%
Of which total exposure to undertakings not subject to NFRD	1.08	6.22%	10.45%
Of which non-EU counterparties	0.60	3.44%	5.79%
Of which SMEs or NFCs not subject to NFRD[1]	0.48	2.78%	4.66%

(1) It is worth mentioning that the identification of non-financial undertakings subject to the NFRD may present some challenges, especially in the case of large international groups and holdings due to lack of qualitative data.

7.2.1.3. Taxonomy disclosure on Belfius Insurance non-life insurance and reinsurance activities

The European Commission has defined specific economic activities that can qualify as sustainable linked with 6 environmental objectives in the EU Taxonomy. One of those objectives is climate adaptation, aiming at reducing or preventing the adverse impact of the current or expected future climate, or the risks of such adverse impact. The Non-Life Insurance activity, or the underwriting of climate-related perils, contributes to climate adaptation by supporting people, households and businesses facing life hazards such as natural catastrophes.

Two business lines foresee climate-related covers, other motor insurance (i.e. omnium car) and fire and other damage to property insurance. These two business lines represent 50.71% of the overall amount of premiums on consolidated level (Belfius Insurance SA and Corona SA). The following tables provide the detailed breakdown of insurance and reinsurance activities that could contribute to climate adaptation according to the EU Taxonomy.

Taxonomy eligibility reporting for non-life insurance and reinsurance activities

	Absolute Premium in Mio consolidated[1]	Proportion of premiums in % consolidated
Non-Life insurance and Reinsurance underwriting Taxonomy - eligible activities	389.88	50.71%
Of which reinsured	9.9	1.29%
Of which reinsured stemming from reinsurance activity	0.36	0.05%
Of which reinsured (retrocession)	0.25	0.03%
Non Taxonomy-eligible activities	379.01	49.29%
TOTAL TAXONOMY ELIGIBLE AND NON-ELIGIBLE NON-LIFE INSURANCE AND REINSURANCE ACTIVITIES	768.88	100%

(1) Belfius Insurance SA and Corona SA (= Belfius Insurance consolidated).

The data provided is the data used for the financial statements on December 31st, 2021. Therefore, no proxies were used. It should also be noted that in keeping with the objective to facilitate reporting during the first two years, when the Line of Business-level analysis had confirmed there was climate-related cover, the full Gross Written Premium (GWP) for that line of business had been reported as eligible.

7.2.2. Belfius Bank and Insurance Taxonomy voluntary reporting

7.2.2.1. Voluntary complementary disclosure on eligibility for the EU Taxonomy

Since eligibility reporting should be based on actual information provided by our underlying counterparties, additional information on eligible activities provided here are based on estimations. Such information is relevant to gain a better understanding of the mandatory eligibility-reporting of next year and the expected size of our GAR, or its limit, in the future alignment-reporting.

Taxonomy voluntary eligibility reporting for Belfius Bank activities

	Total Gross Carrying amount (in Bn EUR)	% coverage over basis for GAR calculations
TOTAL ASSETS COVERED IN THE GAR	115.39	100%
Taxonomy eligible activities	39.94	34.62%
Taxonomy non-eligible activities	12.37	10.72%

In line with the methodology described in Annex V for credit institutions, the eligible activities have been identified based on loans and advances with known use of proceeds to households, and local authorities, as well as large project within the EU. For such products, we capture information on the destination of our financing in our internal systems and do not rely on third-party information. The eligible activities identified at present mainly concern real estate activities and motor vehicle loans for households. Next, financing of public housing was also included in the eligible activities when it could be identified. Finally, the eligible activities include the project finance portfolio. A large part of these projects are related to electricity generation using renewable energy, infrastructure projects for personal mobility or rail transport, as well as some projects on construction of new building.

As eligibility-related information has not yet been disclosed by undertakings subject to the Non-Financial Reporting Directive (NFRD), the identification of eligible activities without known use of proceeds have been voluntarily identified based on information from our external data provider on the estimated taxonomy alignment of counterparties subject to NFRD and completed with a screening according to the EU Taxonomy NACE alternate classification mapping provided by the Platform on Sustainable Finance. However, this selection was based on the primary activity of the counterparty. Disclosure of our counterparties activities, and their relative size, would influence the results presented in this table in the following years.

The eligibility reporting of off-balance sheet exposures, such as our assets under management of Belfius Investment Partner, are not included in this report due to the lack of reported information on the underlying investees, which would only lead to distorted information for this first report.

7.2.2.2. Voluntary complementary disclosure on Belfius Insurance investment activities

In line with the methodology described in Annex IX for insurance and reinsurance undertakings, at the level of the portfolio underlying direct insurance products, investments associated with eligible activities have been identified voluntarily based on direct and indirect investments, including investments in collective investment undertakings and participations, loans and mortgages, and property.

As eligibility-related information has not yet been disclosed by undertakings subject to the Non-Financial Reporting Directive, the identification of eligible activities have been voluntarily identified based on the same methodology as Belfius Bank's portfolio for undertakings subject to NFRD without known use of proceeds. For this first exercise, identification of investments in debt securities such as sustainable bonds or projects with the purpose of financing specific identified activities have not been possible due to lack of quality data.

Taxonomy voluntary eligibility reporting for Belfius Insurance investment activities

	Total Gross Carrying amount (in bn EUR)	% coverage over basis for GAR calculations
TOTAL ASSETS COVERED IN THE GAR	10.31	100%
Taxonomy eligible activities	4.98	48.31%
Taxonomy non-eligible activities	3.1	29.97%

8. Going green in our own operations

The ambition to reduce our carbon footprint for our internal operations by 20% by 2025 (compared to 2019) is being executed in partnership with CO2logic.

In 2019, Belfius was the first banking and insurance company to be awarded the CO_2-neutral® label by CO2logic, a direct result of our efforts to reduce, but also offset, our residual emissions. Since then, we have been pursuing our approach with an ambitious plan to continue reducing these residual emissions. Our plan's results with respect to the various indicators certified for this purpose are presented below.

The Covid crisis that we have been going through for the past two years has accelerated the change that Belfius had already initiated to encourage homeworking and to develop a corporate culture based on trust and autonomy. Consequently, the balance sheet presented below also includes a carbon footprint for homeworking.

In addition, Belfius has decided to expand its scope beyond its main and regional head-quarter buildings and salaried branch network to include the independent branch network and outsourced IT operational activities, all the while maintaining our target of a 20% reduction in emissions between 2019 and 2025.

8.1. The Belfius Group's carbon footprint

Belfius is well aware of the carbon footprint of its operations, including that of its buildings and that related to the mobility of its employees. For several years we have been implementing various actions to better manage this impact. Belfius recognises that, on average, 98-99% of a financial group's carbon impact comes from financed emissions. This is discussed in section 7.1.4.

The carbon footprint of our operations, validated by CO2logic, reflects the greenhouse gas emissions related to the functioning of the Belfius Group according to a financial control consolidation scope.

The calculation method is based on the GHG protocol standard, the most widely used standard in the world for accounting for greenhouse gas emissions and proposed by the Partnership for Carbon Accounting Financials (PCAF). The method covers the seven gases addressed by the Kyoto Protocol: carbon dioxide (CO_2), methane (CH_4), nitrous oxide (N_2O), hydrofluorocarbons (HFCs), perfluorocarbons (PCFs), sulphur hexafluoride (SF_6) and nitrogen trifluoride (NF_3). We convert these different gases into a single unit, a 'CO_2 equivalent', using conversion factors from Ademe, DEFRA, Ecoinvent and the International Energy Agency.

Our emissions depend to a large extent on our consumption of fossil fuels. Their decrease in 2021 (-37% compared to 2019, at constant scope) is mainly linked to the health crisis and the significant increase in homeworking, in addition to our efforts to reduce CO_2 over several years.

The extension of the scope to outsourced IT operations and independent network branches in 2021 brings our current footprint to 18,421 tonnes of CO_2.

Emissions of CO_2 by source (in tonnes of CO_2)

	2019	2020	2021	Evolution from 2019 to 2021
SCOPE 1	**8,581**	**6,831**	**5,491**	**-36.0%**
Gas consumed	3,158	2,644	2,634	-16.6%
Heating oil	64	68	119	87.0%
Vehicles owned (company car, Flex business travel refunds)	4,259	3,020	2,554	-40.0%
Refrigerants	1,100	1,100	184	-83.3%
SCOPE 2	-	-		
Electricity consumed (market-based method)	-	-		
Electricity consumed (location-based method)	*3,663*	*3,113*	*2,407*	*-34.3%*
SCOPE 3	**7,289**	**4,509**	**12,930**	**77.4%**
ICT services			133	
Paper consumed	776	665	621	-20.0%
Water	25	10	4	-83.3%
IT material			2,112	
Waste (paper, cardboard, PMT, unsorted)	120	50	59	-50.6%
Home-work-home travel (impact of homework included)	5,615	1,774	2,312	-58.8%
Business travel	609	116	248	-59.3%
Transporting mail & valuables	145	108	90	-38.0%
Branches independent network Belfius (heating, electricity, refrigerants)			6,104	
Indirect emissions related to scope 1 & 2	-	1,787	1,246	
TOTAL EMISSIONS ACCORDING TO MARKET-BASED METHOD	**15,870**	**11,340**	**18,421**	**16.1%**

- **Scope 1** includes direct emissions related to the gas and oil heating of the Belfius Tower (Brussels), regional headquarters and salaried agencies, as well as fuel related to service vehicles, company cars and business trips made with private vehicles, including leasing. The improvement in the loss of refrigerant gases from buildings' cooling systems can be ascribed to better data collection.
- **Scope 2** covers emissions related to electricity consumed in central and regional buildings and employee branches. Since 2008, our electricity consumption has been fully covered by European guarantee of origin labels certifying that this energy is "green". We continue to exclusively subscribe to this supply method. As in previous years, we also account for the indirect impact of green electricity (related to the production of solar panels, wind turbines, etc.) in scope 3.
- **Scope 3** includes indirect emissions, primarily related to commuting (excluding company cars, included in scope 1) and, to a lesser extent, paper consumables. Scope 3 also includes water consumption, waste and business travel. Since 2020, indirect emissions related to the production process of the resources we consume (gas, fuel oil, vehicles and electricity) and estimated emissions related to homeworking have also been added. From 2021 onwards, scope 3 will also include the carbon footprint of outsourced IT operational activities and the CO_2 emissions of the independent Belfius branch network.

8.2. Offsetting and carbon neutrality

In order to achieve carbon neutrality in our own operations, we first strive to reduce our energy and paper consumption, travel and waste, with the help of CO2logic. The aim is to reduce our carbon footprint by 20% between 2019 and 2025, despite the extension of the scope of operations in 2021.

Beyond this goal, Belfius already takes its responsibility by fully offsetting the remaining incompressible climate impact of its own operations to achieve carbon neutrality (excluding the financed emissions). To do this, we finance climate projects certified by either the Gold Standard or the Verified Carbon Standard in developing countries. For 2021, we have offset 18.4 thousand tonnes of CO_2 by renewing our participation in the financing of two climate projects:

- Drinking water in Rwanda (offsetting 9.2 thousand tonnes of CO_2): our contribution allows us to provide over 5.9 million litres of drinking water to around 2,300 people. This preserves 30 hectares of forest per year, as water no longer has to be boiled on wood fires before consumption.
- Wind farm in India (offsetting 9.2 thousand tonnes of CO_2): Belfius' contribution represents 9.4 thousand MWh of wind energy and covers the consumption of around 8,700 households for one year.

In the long term Belfius aims to create its own climate project to offset its residual emissions.

OUR COMMITMENT

Be and remain carbon neutral, with an ever-shrinking footprint

8.3. Reduction of consumption and waste

8.3.1. Saving energy

Using energy more efficiently and choosing renewable sources are key to combating climate change and reducing the overall environmental footprint of an organisation. Belfius is therefore actively working to reduce the environmental footprint and carbon intensities associated with its operational activities, as well as its upstream and down-stream activities.

We are already in the process of accelerating the replacement of our light fittings with LED models that consume much less energy and we are installing presence sensors in areas that are used intermittently, such as meeting rooms. In the future we will also continue our reduction in heating temperature, which began in 2021.

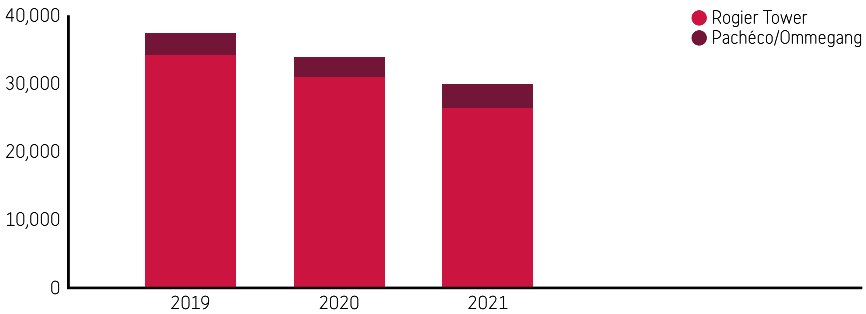
The Covid-19 issue has also influenced air treatment as we have replaced air filters with models that meet current health requirements with better filtration capacity for particles that could carry viruses. These filters also carry an additional gain in terms of energy, with fewer load losses.

In tandem to this, we are tracking possible gas leaks in the cooling systems of all of our buildings - another potential source of emissions.

OUR COMMITMENT

Opting for 100% green electricity

Consumption of primary energy at the central offices in Brussels (in MWhep)



Regional offices are also taken into account: our planned Namur site is already equipped with photovoltaic panels, a green roof, energy-saving equipment and programmable circuits to optimise the site's consumption, as well as a rainwater circuit for sanitary facilities. The building uses no fossil fuels.

In order to reduce energy consumption, lighting in employee and independent branches is almost exclusively LED. Branches are gradually being equipped with solar panels in order to reduce their current use of fossil fuels. Currently, five Belfius branches have solar panels.

Since 2019 salaried and independent branches are also gradually being equipped with Nanogrid. This application makes it possible to constantly monitor energy consumption in the premises and to adjust it in real time, or to carry out the necessary interventions to structurally correct anomalies. Around 90 branches already have this system, saving 30-40% on gas and electricity. All branches should be equipped by 2025.

As with our central buildings, we are also tracking down possible gas leaks in the cooling systems of our branches as another potential source of emissions.

New buildings and major renovation projects use the latest techniques in energy-efficient and socially responsible construction: insulation and ventilation to the latest standards, LED lighting, heat pumps and, where possible, the installation of solar panels. Environmental impact is taken into account with regards to the choice of materials.

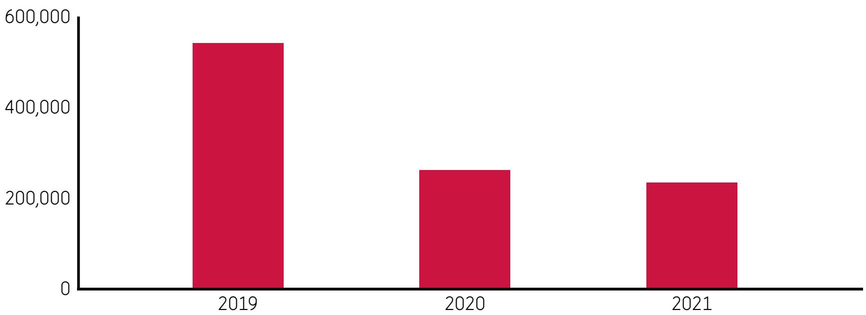
Where appropriate, branches with the highest CO_2 impact are closed and integrated into other more energy-efficient branches or into new construction projects.

8.3.2. Steadily decreasing waste

Belfius pays particular attention to the management of natural resources. To this end, we are working both to limit the production of waste (mainly office waste, but also catering and hygiene waste) and increase recycling. We regularly analyse the feasibility of new waste management and recycling methods.

In 2021, as in 2020, the homeworking measures imposed as part of the Covid crisis had a positive impact on the level of waste to be processed. At our head office, volumes were down by -57% compared to 2019. Belfius aims to maintain this trend and achieve a total reduction of 50% between 2019 and 2025.

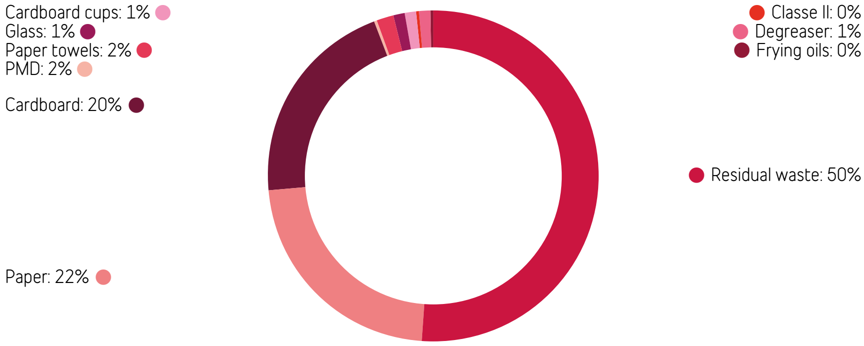
Production waste at the Brussels head office (in kg)



The waste generated at both the Belfius Tower and regional headquarters is sorted using sorting bins installed on all floors. These are collected by the cleaning company. Some of the waste goes into the processing chain of the local municipal services, while other waste is collected by specialised companies.

The graph below shows the distribution of different categories of waste. Electronic equipment (servers, laptops, tablets, telephones, etc.) is not included as Belfius operates through leasing contracts for IT equipment.

Production waste at the Brussels head office



Paper (confidential & non-confidential), cardboard, paper cups and paper towels are recycled.

Belfius is continuing its efforts to limit waste at source. During the few weeks that the company restaurants were able to function normally, our "Too Good to Go" program that makes uneaten meals available to be taken home was particularly effective. The close monitoring of staffing levels in our buildings has also enabled us to manage food stocks more accurately. These measures have proven to be effective in reducing food waste.

Together with a new caterer, we have set ambitious targets for 2022 to further reduce food and non-food waste at Belfius headquarters and at our new building in Namur. These include composting food waste or converting it into biogas, using sustainable products, shorter production chains and eliminating single-use plastic.

By 2025, Belfius also plans to reduce the volume of residual (unsorted) waste and paper to be recycled and to increase the proportion of waste that is recycled, i.a. through internal campaigns to raise awareness amongst employees.

8.3.3. Less and less paper

During 2021, Belfius continued its efforts to reduce the amount of paper used in its operations through various digitalisation projects and innovative digital processes offered to its employees and customers.

Employee awareness, coupled with the widespread use of laptops, has resulted in a 24% reduction of paper used for printing and photocopying versus 2019 - almost all of which is FSC certified.

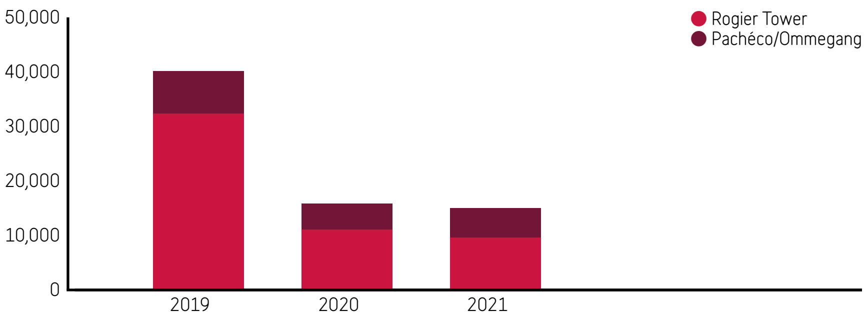
Branches have also reduced their printer fleet by 65% by end 2021, as planned. Finally, Belfius is continuing its efforts to reduce the printing of its customers' account statements through the digitalisation of insurance products and banking services.

8.3.4. Water consumption

The intensive exploitation of water resources and the increased frequency of flooding make water management a major issue in Belgium. For this reason, Belfius constantly monitors the water consumption of its central offices and quickly intervenes in the event of leaks.

In 2020 and 2021, our sharp decrease in water consumption was due to the increase in homeworking generated by Covid measures.

Water consumption at head office in Brussels (in m^3)



8.4. Fleet and commuting

The current health crisis and associated mandatory homeworking have significantly reduced commuting in 2020 and 2021. As a result, CO_2 emissions have decreased by 40% compared to 2019.

In 2022 Belfius will implement a new structural homeworking status. This will allow employees to work mainly from home, which will further reduce commuting and associated CO_2 emissions.

From 2022 onwards, employees entitled to a company car will be directed towards a catalogue of exclusively electric or hybrid cars. Belfius will pay for the installation of a charging point at home, as well as electricity consumption related to recharging.

Head offices and branches will gradually be equipped with additional charging stations. From 2022, the Belfius Tower will have 56 new charging points, in addition to the existing 17. As for the salaried and independent branch networks, each new construction project with a sufficiently large car park will include charging points.

Today, 71.8% of employees at our Brussels headquarters use public transport to get to work and 2.8% make the entire journey by bicycle or on foot. These figures are the result of an ambitious mobility plan that has been in place since the early 2000's, the main ingredients of which are: free public transport and parking at the station, a mileage allowance for cyclists and pedestrians, facilities for cyclists and motorcyclists (secure parking, changing rooms, showers) and a car-sharing bonus. The plan also discourages solo car use, as parking is charged for employees who travel to work in Brussels alone in their car or on a motorbike.

Main mode of transport for home - to - work journeys Belfius Group

	2019	2020	2021
Public transport	57.5%	57.8%	68.4%
Private motorised transport (car, motorbike, carsharing)	38.4%	38.0%	26.0%
Active modes (walking or cycling)	4.1%	4.2%	5.6%

8.5. Sustainable purchasing

At Belfius, we envision including all our stakeholders in our journey towards a sustainable future, so we actively engage with our vendors in this ambitious project. We commit to meet our stakeholders' expectations, while creating value through a sustainable purchasing policy that considers economic, social and environmental dimensions.

In 2021 Belfius worked with 3,712 suppliers, of which 85% were local Belgian companies and the majority of these being service providers. Of these suppliers, 803 operate under established Belfius contracts and are therefore actively monitored in terms of financial health and regulatory compliance. Of these 803 actively monitored suppliers, 297 are strategic and critical suppliers (mostly IT, digital systems and solutions providers) and make up 70% of our global procurement spend. We pay close attention to the fact that our values and commitments are respected throughout the supply chain by including environmental, social and governance (ESG) criteria in our purchasing processes.

In 2021, one contract was ended due to a data breach at a certain supplier and Belfius reported the fact to the Belgian data protection authority.

Since 2020, Belfius has further detailed and sharpened its commitments towards sustainable procurement. Our group reviewed its procurement policy with the aim of integrating ESG considerations into its supplier selection process. Furthermore, for the first time we have collaborated with an external partner to develop a Sustainability Code of Conduct for Suppliers that defines important principles to comply with.

Suppliers of goods and service that Belfius wishes to engage with must:

- Comply with environmental and social laws and regulations
- Sign and comply with our Sustainability Code of Conduct for Suppliers

Since 2021, suppliers are also assessed on their sustainability practices and ambitions, which constitutes an important factor in evaluation and decision making with regards to suppliers.

In order to support this process, Belfius has chosen EcoVadis, a global ESG rating company serving as one of the leading authorities in this domain, to assist vendors in conducting sustainability performance assessments. As a first step in our ESG assessment programme, our target is to evaluate 70% of our total vendor spend by the end of March 2022. The current results are encouraging so far: 90% of covered spend has already been assessed and no supplier has an insufficient score. Belfius intends to follow up closely on the final results.

Walloon Green Deal

As part of the regional Green Deal initiative promoting circular economy via purchasing activities signed in 2019, Belfius committed to launching at least two circular purchasing pilot projects in Wallonia by 2022. These projects are well underway in the area of work apparel laundry and catering.

8.6. Sustainable IT

As part of its sustainability journey, Belfius is assessing its IT systems to meet its green ambitions. Since its creation in 2020, Belfius has been a founding member of the Belgian Institute for Sustainable IT (ISIT-BE). The ambition of ISIT-BE is to bring together companies, organisations and individuals and help them reduce the environmental and social footprint of their IT systems. In 2021 Belfius signed the ISIT-BE charter as a token of its commitment towards more sustainable IT.

Following the principles contained within the charter, the Belfius IT department has defined several sustainable IT objectives that are aligned with broader Belfius ESG commitments and linked to a pragmatic yearly action plan. The 2021 action plan has yielded an initial set of results, most notably:

- A Sustainable IT Manager has been appointed and a Steering Committee representing various IT domains has been set up to determine and follow up on the action plan;
- From 2021 onwards (figures to be published in 2022), the environmental footprint of our IT systems will be integrated into the overall calculation of Belfius CO_2 figures. This means that it will also be offset to achieve CO_2 neutrality;
- The Belfius Sustainability Code of Conduct is being rolled out to all IT service providers, while ESG screening of IT service providers has also been initiated (also see section 8.5.);
- The replacement of desk phones by "softphones" (based on voice over IP technology) is ongoing;
- A detailed impact analysis of our digital channels has been launched.

Our IT infrastructure is to a large extent already operating in an environmentally friendly way since our data centres use hydro-electric energy. To further optimise our use of computer hardware and, as such, reduce its environmental footprint, the following activities are planned for 2022:

- Mainframes will migrate to the newest IBM technology (z15) which consumes significant less energy
- As part of a broader Cloud strategy, some applications will be moved to the Belfius cloud, resulting in a more optimised use of computing and digital storage infrastructure
- A workplace equipment renewal cycle will be launched taking into consideration sustainability criteria
- Ethics and explicability of artificial intelligence techniques being used at Belfius will receive increased focus
- Following the collation of digital channels impact analysis data, focused actions will be launched to ensure sustainable digital experiences for our customers

9. Community involvement

9.1. Teaming up to tackle social issues

Belfius has a strong tradition of supporting social projects - social commitment is in our DNA and at the heart of our strategy. Every year, Belfius staff actively support various charities and other initiatives. In line with our strategy, we work to create a favourable social atmosphere through meaningful and long-term partnerships with organisations in Belgium that work for those who have been given fewer opportunities in life. We implement projects and initiatives to support children, young people and the disadvantaged, and promote access to culture for all.

OUR COMMITMENT

Supporting our society year after year through Belgian charities

9.1.1. Helping young people become more resilient (Red Nose Day)

One out of every five Flemish youths suffer from mental health problems, often with serious consequences - yet tens of thousands of young people do not find the care they need, or have not yet received it.

The Covid crisis has clearly shown how valuable a good relationship between pupils and teachers can be for young people's mental wellbeing. As a consequence, the 2021 Red Nose Day specifically focused on raising funds for a Red Nose Academy that trains teachers to become "Sidekick Sam". A Sidekick Sam is a teacher to whom pupils can open their hearts and to whom they can turn to when they are not feeling well.

To empower teachers to fully assume the role of first point of contact, the Red Nose Academy provides tools and support they did not receive during basic teacher training. These teachings are built around specific topics such as eating disorders, aggression and insecurity, and contain a mix of video materials, written form best practices etc.

In collaboration with VTM, Qmusic and Het Laatste Nieuws, Belfius has supported Red Nose Day from its inception.

Money raised Red Nose Day

(In EUR)	2019	2020	2021
Proceeds from Red Nose Day	4,315,197	N/A	3,061,571

9.1.2. Fighting child poverty (Viva for Life)

Belgium has one of the highest rates of child poverty in Europe. In Wallonia, one in four children grow up in poverty - in Brussels almost one in two does. This social issue affects around 80,000 children in our country. Combatting child poverty must therefore be a strategic priority because we, as Belfius, believe children are the future.

That is why Belfius has been supporting Viva for Life, the biggest end-of-year charity initiative in French-speaking Belgium, that is committed to the fight against child poverty. It is run by the Belgian radio and television station RTBF, in partnership with charity Cap 48 and Belfius, who has been its main sponsor since 2016.

All donations and profits generated through this initiative are managed by Cap 48, which is also responsible for selecting the dozens of supported associations. A total of 151 institutions were supported in 2021 with funds collected in 2020. 57% of donations went to associations for children aged 0-3 years and 43% for children aged 4-6 years. Despite the impact of the Covid-19 pandemic on the Viva for Life initiative, the 2021 edition still managed to raise an impressive EUR 7,512,346, of which EUR 620,545 was contributed by Belfius.

Relative to the Viva for Life campaign, Belfius provides funds for renovation interventions for buildings where relevant organisations are located (on the basis of a call for projects). This includes insulation, energy-saving measures such as appropriate lighting and new heating techniques.

Money raised Viva For Life

(In EUR)	2019	2020	2021
Amount from Belfius[(1)]	461,137	623,345	620,545
Total raised[(1)] for Viva For Life	5,658,352	7,061,534	7,512,346

(1) The "Amount from Belfius" is the amount raised by Belfius through its various programmes, whereas the total raised represents the proceeds raised for Viva For Life in the whole of Wallonia and Brussels.

9.1.3. Supporting the disabled through sport (Special Olympics)

Through Belfius' partnership with Special Olympics Belgium since 2014, we support individuals with intellectual disabilities and encourage their integration into Belgian society through sport. Belfius has been a Diamond Sponsor of this initiative since 2019. Within the context of Covid-19, Special Olympics launched a second edition of its Special Olympics Virtual Games in 2021, which saw the participation of some 7,900 athletes. In order to prepare the athletes, Special Olympics set up a 9-month digital sports programme, supported by media personalities.

9.1.4. Fostering second chance education (Ecole 19)

Since 2018, Belfius has been a sponsor of Ecole 19, a new type of school that trains young people aged 18 to 30 in computer coding. The school does not require a diploma to enter, emphasising the social aspect of this initiative. Ecole 19 is innovative as it is entirely free, there are no teachers, and students progress at their own pace thanks to e-learning and challenges that they must solve alone or in teams to advance in their

learning. The course lasts three years. Ecole 19 now counts a total of 300 active students, has created 70 internships, more than 60 jobs and several students have launched their own start-ups. The school is working to increase the number of female students as the IT sector is experiencing an important gender gap.

9.2. Philanthropy (through our product offer)

9.2.1. Beats

In 2021, Belfius launched Beats, an innovative and combinable banking and telecom offer with a positive impact on Belgian society.

With Beats, Belfius gives its customers the opportunity to mark their choice of one or several societal themes that they consider important. This initiative is a way for Belfius to support projects that are meaningful to its customers:

- Beats for Planet (for clean air for our children) via Airscan. The air quality in and around schools is often particularly poor due to poor ventilation or car traffic and therefore has an impact on the health of our children. Airscan places measuring equipment that monitors many air quality parameters in real time in and around schools with the intention of drawing up an action plan to improve air quality, both outside (CO_2 + fine dust) and inside (which now appears crucial with Covid-19).
- Beats for Health (for the fight against cancer) with My Cancer Navigator. My Cancer Navigator from the Antikankerfonds provides cancer patients with evidence-based information in understandable language, giving them somewhere to go for information and allowing them to choose the most appropriate treatment in consultation with their doctor.
- Beats for People with Red Nose Day (for the mental wellbeing of young people), and Viva for Life (for the wellbeing of children living in poverty).

Since its commercial launch, 148,983 clients have already made a choice: Health is favoured by 28%, followed by Planet (25%) and People (18%). The remainder support all three in equal measure.

9.2.2. Funds of the Future

We offer investment solutions that invest in organisations that aim to tackle social and environmental problems. Belfius adds a further dimension by financially supporting good causes through partnerships with local entities, charities or similar initiatives. Since 2019, EUR 2 million were donated to one of the following selected organisations: Foundation Against Cancer for Cure, South Pole for Climate, Boost for Wo=Men, Tubbe for Be=Long, Responsible Young Drivers for Move and Unicef for Become.

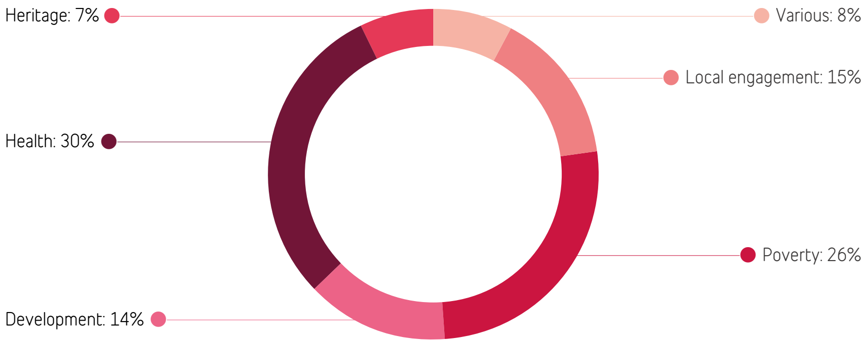
9.2.3. Wealth

The Belfius philanthropy programme offers its wealthier customers a specific framework for including charitable donations as a structural element of their wealth management or estate planning. In this way, Belfius responds to the demand of clients who wish to support certain associations or combat societal problems in a structured manner. Through this programme, Belfius supports its clients in the creation of their own registered fund within an existing structure, such as a public utility foundation or university.

To date, around 1680 funds have been created. In 2021, 233 funds were in operation and more than EUR 6 million were transferred from the estate of Belfius customers to various charities.

Themes chosen by clients range from health, poverty and development aid, to local involvement and heritage preservation, to name but a few.

Allocation of philanthropic funds in 2021



9.3. Social Products

To help the Belgian government's Social Services organisation (CPAS) in their mission, Belfius has developed a series of specific banking products that facilitate access to basic banking services. These products are aimed at those who find themselves in a difficult situation and who are unable to enter the banking system on their own. Belfius has integrated these products into the BelfiusWeb electronic banking application used by the CPAS. In total, Belfius has delivered around 180,000 social products. You can find an overview of our social products our website.

Belfius also offers the Basic Banking Service account and the new Universal account. The Universal account complies with the Universal Banking Service Charter, a charter designed to protect non-digital customers. The Basic Banking Service account consists of a legally regulated service accessible for each consumer legally residing in an EU member state that has difficulty in obtaining a bank account, most often asylum seekers or recognized refugees. Belfius has a leading market share in Belgium in this (46% in 2021 according to a report by Financité).

9.4. Belfius Art

Belfius has been sharing its passion for art with the public for the past decade. Every year, the Belfius Art Gallery on the 32nd floor of the Belfius Tower, our Brussels head-quarters, presents a new thematic selection of some 60 works from our collection. The Belfius Art Collection, with more than 4,000 works, is the largest private collection of Belgian art.

In order to allow as many people as possible to enjoy this exceptional artistic heritage even during Covid times, we proposed virtual tours of past and present exhibitions via our website in 2021, giving many visitors the opportunity to enjoy a digital experience of the Belfius Art Gallery. Our Facebook and Instagram accounts also highlight exhibitions and give the public a glimpse behind the scenes, as well insights on known and lesser known artists from this outstanding collection spanning over five centuries.

Our support of Belgian art also translates to the loan of works from the collection to museums in Belgium and neighbouring countries. In 2021 more than ever, Belfius continued to acquire works by emerging Belgian talents during what was a difficult year for many actors in the cultural scene.

10. Human capital

Led by the company's values and purpose, our employees are the cornerstone of our business' sustainability. Belfius employees continously develop their skills and contribute to the social and economic development of Belgian society, embracing our 2025 purpose: "Meaningful & Inspiring for Belgian Society. Together".

To this end, Belfius continues to create employment opportunities in Belgium with its 5,819 employees(1) who, regardless of their age or function, are offered:

- Sustainable employment and long-term prospects thanks to multiple uninterrupted opportunities to learn and train, as well as active career management and careful support in times of change
- Meaningful work underpinned by managers who are trained, supported and recognised for exemplifying and transmitting the company's purpose and strong values.

Our role as a socially responsible employer and banking and insurance company requires a Fair, Authentic, Customer-oriented and Entrepreneurial attitude – FACE: the four Belfius values. Following the launch of these values in 2019, we are continuously reflecting on how to make them vivid in everything we do at Belfius. Together with our purpose, they are fundamental to Belfius' culture.

From 2022 onwards, concrete actions will be implemented to support and anchor this cultural continuity, which will be key to our success in the years to come.

(1) Belfius Bank and Belfius Insurance active headcount as of 31 December 2021.

10.1. Lifelong learning

At a time when technology and working practices are changing at a rapid pace, working for a banking and insurance group requires evolving skills and knowledge. The health crisis is accelerating these changes. Belfius' learning and development approach aims to facilitate and ensure that Belfius employees continuously learn and develop throughout their careers and lives. We attach great importance to supporting our employees' development with the aim of preparing them for the skills of the future and ensuring their smooth adaption to a more digitalised world.

To give our employees every opportunity to develop in a rewarding work environment, a "Talent Development, Leadership and Change" team is dedicated to the development and management of training (hard and soft skills), talent development and change management. These areas enable us to achieve our HR 2025 ambitions: the management of human capital and the anchoring of a Belfius culture.

In line with this objective, Belfius offers its employees a wide range of training programmes through the "My Development" portal. Despite the distance created by Covid-19, 34,068 days of training (mostly by videoconference) were attended in 2021.

Training days

	Belfius Bank	Belfius Insurance
Average days of training per employee in 2021 (incl. on-the-job & e-learning)	6.1	6.4
Average per female employee	6.3	5.6
Average per male employee	6.0	7.2

These trainings cover soft and technical skills, as well as theoretical knowledge. In addition, to inspire its employees, Belfius regularly organises enriching conferences given by renowned external speakers.

The "My Development" portal also provides access to:

- Share&Learn: an internal platform for every employee to share informative or inspiring content
- GetAbstract: an online service that provides summaries of over 10,000 of the most influential books in the business world on personal development, leadership, business strategy or sales and marketing, to be read in less than 10 minutes
- +Babbel: a language learning platorm to learn new languages. More than 200 employees have already taken a language course via the Babbel application

Belfius also supports a series of development initiatives organised by and for employees. In these Train Your Colleague sessions, employees with specific expertise share with their colleagues. These trainings can go far beyond the hard and soft skills related to banking and insurance activities and include digital and linguistic skills (Linguistic Lunches). In total, 21 training sessions were given in 2022.

Finally, change management is another key element in creating sustainable jobs and opportunities. Since June 2021, a Belfius Change Centre has been created to help everyone in the company to learn about change management through various training courses and tools. Training in this area is available for all staff and management levels through to the Board of Directors.

10.2. A sustainable career policy

In 2019, Belfius Bank introduced a new career policy based on two pillars. On the one hand, a reflection tool is available in the form of a personal online questionnaire, allowing employees to ask themselves the right questions to manage all aspects of their career. On the other, each employee has the opportunity to invite his or her manager at least once every 12 to 18 months to a career interview to discuss his or her future professional plans.

Continuous feedback

In addition, continuous feedback is one of the pillars of our culture. We support managers and directors to give feedback as often as possible following positive or negative performances.

- Positive and exceptional performance is, for example, often rewarded with variable remuneration, a 'spot award' which can be awarded throughout the year
- Negative performance is followed by concrete feedback and an action plan discussed with the manager and the department's HR business partner

During these feedback moments, employees can discuss performance with their supervisor and also identify further development opportunities.

Talent scouting

Each year, HR launches an internal talent scouting exercise during which certain employees are invited to enroll in a talent development programme (Key Potentials, Forward, Future Teamleaders, Talented Employees). Within this exercise, the HR business partner supports departments and their managers in their choice with their added staff knowledge. During this exercise, we ensure that women and men are given equal opportunity.

Talent pipeline for the future

Belfius wishes to significantly invest in the right talents, maintain a permanent recruitment funnel and ensure a talent pipeline for the future. This pipeline is focused on a combination of:

- Rejuvenation: increased inflow of young talents who have the potential to grow and continuously develop what is required to remain relevant through strong strategic partnerships with universities
- Continuous reinforcement of expertise in specific domains

10.3. Strong focus on health and wellbeing, especially in pandemic times

10.3.1. A structured approach to health and wellbeing

Belfius attaches great importance to the general wellbeing, safety and health of all of its staff. Welfare, safety and health concern us all and is a right for each and every one of us.

The Internal Service for Prevention and Protection at Work, assisting employees in applying the legal and regulatory provisions relating to the wellbeing of employees in the performance of their work, was elected by staff during social elections. The Internal Service for Prevention and Protection at Work is convened as soon as the need arises. In 2021, 16 meetings were organised for Belfius Bank and 15 meetings for Belfius Insurance. This service has been more relevant than ever during the Covid-19 pandemic.

The following areas are formally discussed: safety at work, protection of employee health, psycho-social stress (stress and violence, harassment or sexual harassment at work), ergonomics (i.e. adapting the working environment to people), occupational hygiene, embellishment of workplaces and environmental measures that have an impact on wellbeing at work.

Various prevention advisers are also at the service of staff, including a prevention adviser responsible for psycho-social issues. All interactions of the kind are carried out on a fully confidential basis.

Health and wellbeing policies and action, as well as figures related to absenteeism, engagement, Preventing Burnout Test scores, etc. compared to external sectoral and national benchmarks, are presented to the Board of Directors on an annual basis.

Belfius has been following a structured approach regarding employee health and wellbeing for several years. A "wellbeing tool" makes it possible to identify the level of resilience and risk factors on both a collective and individual level, so that targeted measures can be taken. At the individual level, employees receive a confidential report with concrete courses of action and can access internal support from the psychosocial team, as well as external support via an Employee Assistance Program (EAP).

Complementary to internal prevention services, the EAP provides free external assistance to employees and their families for any problem (psychological, relational, financial, legal, etc.), whether of a private or professional nature. This service is accessible 24/7, remotely or face-to-face and is fully confidential. In 2021, 221 Belfius employees, representing 3.84% of our workforce, called on the EAP.

Work-related injuries
At Belfius Bank & Insurance there were 18 accidents at the workplace and 15 accidents on the way to and from work over the course of 2021.

Work-related injuries

	Belfius Bank	Belfius Insurance
Total number of employees with work-related injuries	27	6
Of which a workplace accident	16	2
Of which commuting	11	4

Specific guidelines are communicated to minimise accidents either in the workplace or during a commute. These include reporting an unsafe situation, creating an optimal working environment, detailed safety instructions and recommendations for safe commuting, as well as detailed emergency procedures and/or descriptions of evacuations.

In addition to the hardship caused to employees, the work-related accidents recorded in 2021 represent a loss of productivity of 0.02%.

Loss of productivity

	Belfius Bank	Belfius Insurance
Workable Hours (in thousand)	8,213	1,868
Work accident (expressed in thousands of hours)	1.6	0.4
Loss of productivity	0.020%	0.023%

The loss of productivity is calculated by the quotient of the number of hours of incapacity in the event of an accident and the total number of workable hours. Only employees on the payroll are taken into account.

Right to collective bargaining and freedom of association
In line with the International Labour Organization's (ILO) conventions and local/EU-level regulations, we exhibit the utmost respect and compliance regarding our employees' right to collective bargaining and freedom of association. In 2021, 94.9% of our employees were covered by collective bargaining agreements.

10.3.2. Employee satisfaction and engagement
Over the past eight years, we have been measuring the satisfaction and engagement of our staff members through an annual engagement survey. Engagement remained very high in 2021 with 86.5% of employees "engaged" for our banking and insurance sectors combined. It was observed that employees under the age of 26 scored higher than other age groups in almost all domains and that gender was not a significant parameter with regards to engagement scores.

10.3.3. Maintaining connection during Covid-19
The meaning that everyone finds in work also depends to a large extent on the quality of contacts and collaborations, something that the long period of homeworking that began in March 2020 was likely to undermine.

Thanks to the introduction of an innovative work environment since 2017 that allows for an optimal work-life balance (BeTeams, formerly BeWoW), homeworking had already largely become a habit for the majority of Belfius employees. The constraint of generalised homeworking has not therefore caused any major difficulties on an organisational level and has even been widely accepted, which we can confirm by the number of employees who have chosen a "home-based" status.

A number of supplementary initiatives have nevertheless also contributed to preserving staff wellbeing and facilitating collaboration:

- A "How are you?" survey organised several times a year
- Tips and tricks for homeworking accessible via the Intranet: how to organise your day, keep your energy up, maintain contact, etc.
- Reorganisation of training courses so that they can take place remotely
- Yoga, Zumba, body training, mindfulness and laughter yoga sessions via Skype given by colleagues trained in these fields to compensate for the inaccessibility of the Brussels headquarters' gym (over 200 sessions, with more than 2,000 participants)
- The Spring challenge for the Special Olympics with more than 215,330 km walked, run or cycled by close to 1,400 Belfius colleagues

10.4. Leadership

Leadership plays an essential role in aligning everyone behind a common vision, conveying meaning and inspiration, supporting change and bringing values to life within teams. In addition to the training courses available on MyDevelopment, various initiatives continue to help team leaders develop their leadership skills, in turn supporting the agility of their teams.

With the widespread use of homeworking in 2021, managers were given extensive support in managing their teams remotely, with specific training and tools to optimise team collaboration from a distance. Team leaders (senior and key executives) are closely monitored through coaching and mentoring sessions on demand. Coaching requests have increased significantly between 2020 and 2021 (from 25 to 53). Talented executives are supported in their assumption of the position of team leader via specific training paths (Key Potentials, Forward, Future Team Leaders) to provide them with the best tools to become the managers of tomorrow.

10.5. Sustainability-linked criteria in management remuneration

Belfius also encourages the adoption of Belfius' sustainability values by its managers through their variable remuneration. One third of managers' variable remuneration depends on qualitative objectives related to Belfius' sustainability approach. These objectives are amongst others: customer satisfaction, strong employee engagement, increasing gender diversity at all levels. ESG criteria are part of these objectives and provide even greater support for ESG considerations in management decisions.

10.6. Employee benefits

Remuneration and benefits for employees vary per entity. Overall, Belfius Bank and Belfius Insurance employees have access to benefits that include, but are not limited to, pension, life and health care insurance, disability and invalidity coverage, parental leave, meal vouchers and a cafetaria plan with i.a. mobility options such as car leasing. Differentiation of benefits for employees based on employment contract type is also possible.

- In principle, the same benefits apply for part-time employees as for full-time employees, apart from the fact that some are calculated on a 'pro rata' basis depending on their work regime (e.g. salary, premiums, etc.). 1,236 people currently work on a part-time basis at Belfius Bank & Insurance.
- In principle, some benefits do not apply for fixed-term contract employees. These are mainly linked to the cafeteria plan and leasing contracts. Benefits where the leasing period is longer than the duration of the fixed-term contract do not apply for those fixed-term contract employees. 54 people are currently working under a fixed-term contract at Belfius Bank & Insurance.

10.7. Specific focus on recruitment

10.7.1. Tailored Talent Acquisition strategy

A tailored talent acquisition strategy allows Belfius to face its challenges of tomorrow. The following are the cornerstones of our talent acquisition strategy:

- A significant increase of the inflow of young talents under the umbrella "Young Professionals"
- Developing a stronger Employer & Employee Brand, focusing on Diversity & Inclusion, Attraction of Millennials, and articulating this within each step of an inspiring end-to-end talent acquisition and onboarding journey
- Supporting these journeys through the implementation of new technology as part of the "SHAPE HR" project to increase human experience, operational excellence and efficiency in talent processes. The project also aims to ensure a stable and performing core and to empower Belfius people managers with the proper tools and processes to support and develop the talents of Belfius employees, an essential aspect for retention

A new upgraded recruitment and onboarding tool will be implemented in 2022. This will complement our authentic and warm Belfius onboarding with a digital touch.

10.7.2. Inclusive company culture

We care about an inclusive company culture and we open ourselves to attract and develop the full potential of the best talent. To that end, we have established a partnership with "Capital", which has as a mission to offer a wide range of impactful activities to Brussels youth. Increased inflow of young talents with the potential to grow and continuously develop is crucial for Belfius to remain relevant. This rejuvenation approach calls for more active partnering with Belgian universities and an increased presence within them.

Moreover, due to our diverse customer profile we also approach diversity and inclusion as a major topic at Belfius. We therefore specifically review recruitment policies and recruitment journeys from a diversity perspective and pay specific attention to gender and profile/skills diversity in recruitment.

10.8. An active Diversity and Inclusion (D&I) approach

We believe a diverse and inclusive workplace creates an environment where each employee feels their presence is valued and respected, fostering a culture of engagement and innovation. For that reason, D&I make up one of the core values of Belfius' human resources approach, which we believe also contributes to the social development of Belgian society. With this purpose, the Diversity Manager and the Diversity Steering Group have been working towards creating an ever more inclusive environment at Belfius since 2017. This is an environment that gives the opportunity to all employees to be and to act in line with their personality and share this with their colleagues in an open and authentic way.

With our ambition to position ourselves as an inclusive employer, Belfius specifically reviews recruitment journeys from a diversity perspective. To that end, several aspects of the employer brand, as well as end-to-end talent acquisition and onboarding journeys, are reviewed. Belfius has integrated its D&I approach into the screening of candidates, interview processes and salary proposals, as well as recruitment KPIs. Moreover, Belfius' job advertisements were rewritten from a D&I perspective to highlight Belfius' D&I commitments and to render them more impactful in terms of content, wording and visuals.

Belfius also reviewed its value proposition from a D&I perspective, reflecting Belfius purpose and culture, focused on a continuous learning culture, investing in talent development and career paths, and ensuring a work-life balance. As part of Belfius' objective to reach a younger audience for a diverse and inclusive workforce, Belfius invests in university job fairs and networking events that reinforce the Belfius employer brand.

As a firm believer in the importance of diverse representation (gender, age, origin, language etc.) at conferences and events, we drafted the Inclusive Panels Charter together with diversity experts from different organisations and other leading women professionals from a wide range of sectors. Consequently, we committed to sign the charter because we are convinced that representation matters in terms of offering different points of view on panels, as well as creating a sense of belonging for the audience.

OUR COMMITMENT

Giving women every opportunity and guaranteeing equal pay

10.8.1. Gender diversity

Belfius Group is gradually establishing a better gender balance at all levels of the organisation. The number of women vs men in a managerial position (manager or senior/key position) evolved from 33.7% in 2020 to 36.7% in 2021. Our target is 44% by 2025. Women make up 37.5% of Belfius Bank Board of Directors and 35.7% of Belfius Insurance Board of Directors.

We continue to take an active part in the 'Women in Finance' initiative to improve gender balance in the financial sector. By signing the Financial Sector Diversity Charter in 2019, we are committed to pursuing a set of diversity objectives, making them public and reporting on them annually. The results are published on the Department of Finance website.

Belfius' remuneration policy is gender neutral and non-discriminatory. Our remuneration policy ensures equal access to all available positions within the company, without distinction of gender. Our policy applies a uniform system of remuneration for the same category of employees without distinction of gender. We strive for equal remuneration for equal final responsibilities and equal experience. We also discuss, measure and report evaluations, remunerations and promotions annually within the competent bodies in order to monitor the effective application of non-discriminatory principles in terms of gender. An analysis to measure a possible gender pay gap is carried out every two years and is presented to our social partners (Works Council). The most important conclusion is that the same pay is given under the same conditions, regardless of the gender of the employee.

We support our employees through all stages of their lives and career paths with our parental leave policy that complements our approach to D&I.

Parental leave

	Belfius Bank		Belfius Insurance	
	Male	Female	Male	Female
Total number of employees entitled to parental leave in 2021	608	436	180	207
Total number of employees that took parental leave in 2021	59	61	24	41
Total number of employees that returned to work after parental leave ended	59	61	24	39
Total number of employees that took parental leave in 2021 and are still employed today	58	61	22	37
Retention rate of colleagues that took parental leave in 2021	98%	100%	92%	95%

10.8.2. Generational diversity

Various initiatives are in place to encourage cross-functional collaboration so as to allow younger employees to unfurl their full potential.

The two-day Bridge Builders seminar aims to discover another working environment, develop one's network and, above all, to build bridges. This is done both between generations so as to enable young and more experienced employees to work together on specific topics, and between Belfius and the outside world by collaborating with establishments in the social sector in Brussels.

The Belfius Young Community (BYC) brings together employees under the age of 36 to support them in the early years of their careers. Through its activities, it contributes to broadening the role of young employees so that they can leave their mark on Belfius' corporate culture. In addition to fun, networking and civic commitment, the BYC also contributes to innovation by regularly presenting the results of its work to Management.

10.9. Human Rights & GDPR

Belfius respects the rights of its employees and in turn expects them to respect Belfius' human rights values.

- A Code of Conduct for Belfius employees requires an honest and ethical attitude at work;
- In accordance with Belgian law and its regulations on human rights and labour law, we formally prohibit child and forced labour across all of our activities;
- The Belfius Human rights policy extends to our partners and suppliers, as well as to our employees. We respect the human rights of our employees and we expect each and every one of them to strictly adhere to this policy;
- The health, safety, wellbeing and continuous personal and professional development of our employees are of utmost importance to us;
- We respect the privacy of our employees. We guarantee the protection of their personal data and their privacy. The HR department reviewed all of its processes in 2021 to ensure optimal alignment with GDPR rules. We have also supported project managers in the design of new HR solutions;
- Belfius has a zero-tolerance policy on fraud, corruption and money laundering. Policies related to these subjects are available on our website;
- Discrimination of individuals on the basis of personal characteristics such as gender, skin colour, age, disability or sexual orientation has no place in Belfius' corporate culture. Hence, Belfius applies a zero-tolerance policy towards violence in the workplace linked to personal characteristics, including verbal, physical and sexual harassment.

Human resources

Belfius attaches great importance to its talents: human capital plays a key role in the company's success. Human resources policies help to position Belfius as a highly customer-oriented organisation that is adapted to an ever-changing environment.

As Belfius continues on its strategy *Inspire 2025* "Meaningful & Inspiring for Belgian Society. Together", we have adapted and refined our way of working. In addition, we have adopted a significant policy in relation to Environmental, Social, and Governance, showing our commitment to sustainable employment and meaningful work.

Realising this vis-vis our staff members and our customers, Belfius has adapted its way of working to cope with the ongoing Covid-19 crisis, with a focus on wellbeing and safe spaces. Our staff members continue to embrace this ever-changing workspace and deal with our customers accordingly.

Belfius has refined its vision, knowing that the crisis may take longer than foreseen and conscious of the evolving world around us. Home-based working has given us a chance to develop 'hybrid working', the new standard for all our staff members.

On this new journey upon which we have embarked, towards the future, we radically strive to maintain the human essence. Hybrid working has evolved and allowed us to incorporate our future goals. We differentiate ourselves by the experience we offer to our customers and our staff members.

1. Continuing the implementation of the new corporate culture, implementing micro-behaviours
2. Our staff members: the backbone of our company
3. Investing in our talents through several talent journeys
4. Continuing to invest in well-being
5. Continuing to implement an active diversity and inclusion (D&I) approach

1. Continuing the implementation of the new corporate culture via micro-behaviours

The four Belfius values provide the framework within which our new corporate culture is stimulated day after day. These four values are:

- **Customer orientation**: the satisfaction of our customers is and will remain the reference and the ambition which governs everything we do.
- **Authenticity**: we respect each person's individuality and find differences enriching. Everyone is at his best if he can be himself.
- **Fairness**: we seek to balance the interests of all our stakeholders: our aim is to create long-term value for our customers and our company, as well as for the community and the environment.
- **Entrepreneurial spirit**: we dare to take new paths and to push the limits. We also have a flair for opportunity, which we aim to deliver with passion, determination and integrity.

2. Our staff members: the backbone of our company

Our strategy is a response to the challenges which Belfius, and by extension the entire banking sector, is facing today. Within this framework, Belfius has chosen to support the "employability" of each of its staff members as much as possible in order to face together the challenges of tomorrow.

2.1. Key figures

In 2021, Belfius had 6,531 staff members (3,168 women and 3,363 men), of which 98.7% had permanent contracts. In 84.8% of cases, these were staff members working full-time, which is virtually identical to the situation in previous years (2020: 84.5%, 2019: 84.6%).

The age pyramid shows the distribution of the number of staff members by age group. These figures show that ageing is not only one of the major challenges of the near future (more than 48% of staff members are aged 50 or more), but also offers opportunities in terms of the "employability" of younger staff members, who can thus continue to develop within the organisation.

Movements in the number of active employees in the consolidated Belfius group (headcount)(1)

Type of contract	2020			2021		
	Male	Female	Total	Male	Female	Total
Permanent contract	3,294	3,080	6,374	3,329	3,118	6,447
Fixed-term contract	55	45	100	34	50	84
TOTAL	3,349	3,125	6,474	3,363	3,168	6,531

Movements in the number of active employees working full-time / part-time in the consolidated Belfius group (headcount)(1)

Work regime	2020			2021		
	Male	Female	Total	Male	Female	Total
Full-time	3,228	2,244	5,472	3,244	2,295	5,539
Part-time	121	881	1,002	119	873	992
TOTAL	3,349	3,125	6,474	3,363	3,168	6,531

Movements in the number of active employees per age category in the consolidated Belfius group (headcount)(1)

Age category	2020			2021		
	Male	Female	Total	Male	Female	Total
20y-29y	252	246	498	270	281	551
30y-39y	523	496	1,019	560	499	1,059
40y-49y	876	984	1,860	813	965	1,778
50y-59y	1,322	1,243	2,565	1,277	1,222	2,499
60+	376	156	532	443	201	644
TOTAL	3,349	3,125	6,474	3,363	3,168	6,531

(1) All of the figures relating to staff are for the "active" headcount (unless stated otherwise), i.e. excluding employees taking early retirement, on long-term sick leave, full-time time credits, on secondment.

2.2. Staff satisfaction and engagement

Belfius measures measure the satisfaction and commitment of our staff members annually through the engagement survey. The 2021 results are excellent, despite the Covid-19 crisis. Belfius has achieved high scores, both in terms of staff satisfaction and commitment. At a Group level (Belfius Bank and Belfius Insurance), the survey reveals a level of commitment of 86% (compared to 90% in 2020) and a level of satisfaction of 93% (compared to 96% in 2020).

"Satisfaction indicator" scores from the Engagement Survey (Belfius Bank and Belfius Insurance)[1]

	2020	2021
Belfius Bank	96.7%	92.9%
Belfius Insurance	95.5%	92.7%

"Engagement Indicator" scores from the Engagement Survey (Belfius Bank and Belfius Insurance)[1]

	2020	2021
Belfius Bank	90.9%	87.0%
Belfius Insurance	88.8%	84.7%

(1) All the figures relating to staff are for the "active" headcount (unless stated otherwise), i.e. excluding employees taking early retirement, on long-term sick leave, full-time time credits, on secondment.

2.3. Inflow

To be able to face the challenges of the future, Belfius is convinced that it is necessary to invest today in tomorrow's solutions. For Belfius, as for many other companies, the natural turnover of personnel and the need to recruit new profiles is a challenge. Belfius is constantly on the lookout for new talent, and above all for extremely diverse profiles.

In 2021, 933 internal and external vacancies for permanent positions were published for Belfius Bank and additionally 251 for Belfius Insurance. Among the levers for attracting new talent, Belfius Bank and Belfius Insurance welcomed 46 internships. In addition, the number of new staff members (on indefinite-term contracts) significantly increased: 474 in 2021, compared to 269 in 2020, and 281 in 2019.

"Belfius continues to create many employment opportunities in Belgium regardless of age or gender."

Each year Belfius recruits around twenty to thirty Young Professionals, young people who have just graduated or who already have limited professional experience. Throughout the Belfius organisation, these young staff members work on strategic projects in different departments for four six-month periods.

Number of internal and external vacancies at Belfius Bank and Belfius Insurance, excl. temporary vacancies

	2020	2021
# vacancies	648	1,184

Number of work experience trainees at Belfius Bank and Belfius Insurance (from school)

	2020	2021
Male	30	30
Female	25	16
GRAND TOTAL	55	46

Movements in the number of "arrivals" per age group in the consolidated Belfius group , excl. transfers between entities[1]

Year	Age group	Male	Female	Total
2020	20-29	60	51	111
	30-39	49	36	85
	40-49	41	17	58
	50-59	9	6	15
TOTAL 2020		159	110	269
2021	20-29	102	85	187
	30-39	82	52	134
	40-49	28	41	69
	50-59	20	8	28
TOTAL 2021		232	186	418

(1) All of the figures relating to staff are for the "active" headcount (unless stated otherwise), i.e. excluding employees taking early retirement, on long-term sick leave, full-time time credits, on secondment.

2.4. Outflow

In absolute figures, the number of departures increased last year. The majority of these were staff members in the 60+ age group who were retiring. They account for 144 of the 339 departures, or 33.6% of the total.

At the end of 2021, the 50+ age group represents 48.1% of the active population at a Group level (Belfius Bank and Belfius Insurance). In the future, continuing to invest in new and young talent will more than ever be a cornerstone of our HR strategy.

In 2021, there was a natural attrition at Belfius Bank and Belfius Insurance of 4.01% and 8.54% respectively. Compared to 2020, these percentages are increasing (3.10% for Belfius Bank in 2020 and 6.36% at Belfius Insurance in 2020).

Movements in the number of "departures" per age group in the consolidated Belfius group, excl. transfers between entities(1)

Year	Age group	Male	Female	Total
2020	20-29	18	15	33
	30-39	23	23	46
	40-49	32	20	52
	50-59	23	18	41
	60 and +	53	31	84
TOTAL 2020		149	107	256
2021	20-29	33	31	64
	30-39	41	32	73
	40-49	31	15	46
	50-59	17	25	42
	60 and +	67	47	114
TOTAL 2021		189	150	339

Movements in churn in Belfius Bank en Belfius Insurance, i.e. number of departures in year N / [(# headcounts at 31/12 for year N-1 + # headcounts at 31/12 for year N) / 2](1)

	2020	2021
Belfius Bank	3.10%	4.01%
Belfius Insurance	6.36%	8.54%

(1) All of the figures relating to staff are for the "active" headcount (unless stated otherwise), i.e. excluding employees taking early retirement, on long-term sick leave, full-time time credits, on secondment.

2.5. Internal Mobility

Changes in our environment, such as new technologies, digitisation, early retirement, and so on require our staff members to be flexible. People no longer embark on a "job for life" and having the ability to reinvent and reorient oneself has become the basis for a sustainable career. One of the ways to achieve this is to move to another role/ function within the company. As an employer, Belfius offers a wide range of functions, both in the central and regional departments, and offers a wide variety of job opportunities to potential candidates. In 2021, 336 staff members changed jobs within Belfius Bank (compared to 238 in 2020, 295 in 2019). In 2021, 75 staff members changed jobs within Belfius Insurance (compared to 62 in 2020 and 61 in 2019).

3. Investing in our talents through talent journeys

In an environment which is changing more and more rapidly, a culture of life-long learning is key to supporting Belfius ambitions. Belfius is convinced that this is the best guarantee for its staff members to stay ahead of the latest developments and to increase their employability. Consequently, Belfius provides its staff members with the means they need to continue investing in their personal development and, in doing so, it is nurturing a purposeful and sustainable organisation.

In 2021, Belfius Bank recorded an average of 6.10 days of training per full-time equivalent, and Belfius Insurance 6.41 days. The figures remained similar to those of the previous years. Even if the year 2021 was still strongly impacted by the Covid -19 pandemic, Belfius maintained the frequency and the diversity of its development activities, inter alia thanks to a quality remote offer.

One of the major projects in 2021 was the preparation of the new Private, Business & Retail Banking Academy and its various learning tracks for commercial staff.

A programme was also started to develop a real Change Management culture within Belfius by integrating Change Management and Project Management and stimulating the adaptability of all staff members.

Staff health and well-being are not forgotten in these difficult times of health crisis and remote working.

4. Continuing to invest in well-being

As a modern and attractive employer, Belfius has invested a great deal in recent years in innovative working conditions for its staff members.

Throughout the long period of teleworking which began in March 2020 following the start of the Covid-19 crisis, the health and safety of all staff members remained the priority.

In addition to all the necessary preventive measures, a number of initiatives have been put in place to contribute to and preserve the well-being of everyone. Inter alia, we would like to highlight the following:

- the organisation of the "How are you doing?" survey six times between March and December 2021,
- the systematic sharing of the results, with unions and all staff members, which enabled us to refine our actions where necessary,
- the daily monitoring of absenteeism, and
- the individual follow-up of each staff member who was infected or in direct contact with a person infected by Covid-19.

4.1. A structured approach to well-being

Beyond preventive services for health and well-being at work or the psycho-social unit, Belfius has adopted a structured approach to well-being for its staff members. This initiative has two components:

- A "well-being tool" which each staff member can use at specific times. On the basis of a detailed questionnaire (focused on the staff member's professional and personal situation), this tool proactively identifies the "risks to well-being" through a personal report. It also provides concrete advice and assistance in taking action, as well as an individual barometer measuring professional and personal resistance.
- The Employee Assistance Programme (EAP). Thanks to this programme, staff members can have a "coach" at their disposal at any time, completely anonymously if they wish. Staff members in difficulty (for professional or personal reasons) can thus be supported proactively.

4.2. Absenteeism

Over the years, absenteeism at Belfius has remained relatively stable. The decrease in the absenteeism rate observed in 2020 and 2021 is explained by the generalisation of teleworking as part of the management of the Covid-19 crisis.

For Belfius Bank, the absenteeism rate was 3.90% compared to 3.76% in 2020, 4.49% in 2019 and 4.12% in 2018. For Belfius Insurance, the absenteeism rate was 5.42% in 2021 against 4.98% in 2020, 5.67% in 2019 and 5.76% in 2018.

5. Continuing to implement an active diversity and inclusion (D&I) approach

Belfius believes that **a diverse and inclusive workplace** creates an environment where each staff member feels their presence is valued and respected, fostering a culture of engagement and innovation. For that reason, D&I make up one of the core values of Belfius' human resources approach, which we believe also contributes to the social development of Belgian society. With this purpose, the Diversity Manager and Diversity Steering Group have worked since 2017 towards creating an ever more inclusive environment at Belfius. This provides an environment that gives the opportunity to all its staff members to be and to act in line with their personality and share this with their colleagues in an open and authentic way.

At Belfius, we ambition to position ourselves as an inclusive employer, Belfius specifically reviews recruitment journeys from a diversity perspective. To that end, several aspects of the employer brand as well as the end-to-end talent acquisition and onboarding journeys are reviewed. Thus, Belfius integrated its D&I approach into the screening of candidates, interview processes, salary proposals and recruitment KPIs. Moreover, Belfius job advertisements were rewritten from a D&I perspective to highlight Belfius' D&I commitments and make job ads "impactful" both in content, wording and visuals..

Belfius also reviewed its value proposition taking into account D&I considerations, making Belfius purpose and culture driven, focusing on Belfius' continuous learning culture, investing in talent development and career paths, and ensuring a work-life balance.

Belfius is part of Belfius' objective to reach a younger audience for a diverse and inclusive workforce, Belfius invests in university job fairs and networking events that reinforces Belfius employer brand.

Belfius is a firm believer of the importance of diverse representation (gender, age, origin, language and so on) at conferences and events, together with diversity experts from different organisations and other leading women professionals from a wide range of companies sectors we drafted and committed to sign the Inclusive Panels Charter. Belfius is convinced that representation matters for offering different views at the panels as well as creating a sense of belonging for the audience.

5.1. Gender diversity

Belfius Group is gradually establishing a better gender balance at all levels of the organisation. The arithmetic average of the number of women in a managerial position (manager or senior/key position) evolved from 33.7% in 2020 to 36.7% in 2021. Our target is 44% by 2025.

Belfius continues to take an active part in the "Women In Finance" initiative to improve gender balance in the financial sector. By signing the Financial Sector Diversity Charter in 2019, we are committed to pursuing a set of diversity objectives, making them public and reporting on them annually. The results are published on the Department of Finance website.

Belfius' remuneration policy is **gender neutral and non-discriminatory**. Our remuneration policy ensures equal access to all available positions within the company, without distinction of gender, and applies a uniform system of remuneration for the same category of staff members, again without distinction of gender. We strive for an equal remuneration for equal final responsibilities and equal experience and discuss, measure and report evaluations, remunerations and promotions annually within the competent bodies in order to monitor the effective application of the principles of gender neutrality. An analysis measuring any possible gender pay gap is carried out every two years and is presented to the unions (Works Council). The most important conclusion is that the same pay is paid under the same conditions regardless of the gender of the staff member.

Gender breakdown among members of the Board of Directors of Belfius Bank

2020			2021		
# directors	of whom women	% female	# directors	of whom women	% female
16	6	38%	16	6	38%

5.2. Generational diversity

Various initiatives are in place to encourage cross-functional collaboration so as to allow younger staff members to achieve their full potential.

The two-day **Bridge Builders** seminar aims to discover another working environment, to develop one's network and, above all, to build bridges. This is done both between generations so as to enable young and more experienced staff members to work together on specific topics, and between Belfius and the outside world by collaborating with establishments in the social sector in Brussels.

The **Belfius Young Community (BYC)** brings together staff members under the age of 36 to support them in the early years of their careers. Through its activities, it contributes to broadening the role of young staff members so that they can leave their mark on Belfius' corporate culture. In addition to fun, networking and civic commitment, the BYC also contributes to innovation by regularly presenting the results of its work to Management.

Through our actions to help our customers face the crisis while preserving the well-being of our staff members and the health of Belfius, we have already given substance to our strategy *Inspire 2025*.

Financial results

Preliminary notes to the consolidated financial statements

1. Changes to the consolidation scope

Belfius acquired a 30% equity stake in Immovlan (alongside the Rossel Group (35%) and Roularta Group (35%)) with a view to create a reference real estate platform on the Belgian market. The aim is to combine digital expertise and diversify service offerings in residential real estate. The investment is consolidated using the equity method.

Belfius, together with BNP Paribas Fortis, ING and KBC, founded Batopin in March 2020. Batopin offers an independent neutral network of ATMs which will replace the existing ATMs. After a capital increase in September 2021, Belfius consolidates its stake of 25% in Batopin via the equity method. Belfius' total investment amounts to EUR 4.5 million.

In 2021, Belfius Insurance injected additional capital of EUR 2 million into Jaimy, as such increasing its shareholding to 92.07%. Furthermore, in 2021 Belfius Insurance injected additional capital of EUR 3 million into Jane, as such increasing its shareholding to 92.67%. These investments ensure that the entities can further develop and commercially expand in their respective markets.

Belfius Insurance acquired a 100% stake in the real estate company, Alysea, in February 2021, for a total amount of EUR 37 million.

Belfius Insurance acquired a dedicated fund, Belfius Euro Loans as of June 2021 for an amount of EUR 10 million. Belfius Euro Loans invests in European leveraged loans. Belfius holds 99.99% of the shares, the investment has been fully consolidated since June 2021.

M80 Capital, a participation consolidated via the equity method, was deconsolidated in March 2021 as our shareholders' interest was diluted to 18.7%.

Belfius Insurance acquired a 100% stake in the real estate company, MC^2, in January 2022, for a total amount of EUR 8 million.

Team Cyclis changed its name to Cyclis Bike Lease on 25 February 2021.

2. Fundamentals of the consolidated financial statements

The consolidated financial statements of Belfius are prepared on a going concern basis, in accordance with the International Financial Reporting standards as adopted by the EU.

Analysis of the consolidated balance sheet

Total assets increased by EUR 4.2 billion, or 2.2%, from EUR 188.0 billion for the year ending 31 December 2020, to EUR 192.2 billion as of 31 December 2021. The total assets are composed of EUR 174.3 billion for the Belfius Banking Group (compared with EUR 170.2 billion at 31 December 2020) and EUR 17.8 billion for the Belfius Insurance Group (compared with EUR 17.8 billion at 31 December 2020). These amounts represent the contribution of the Banking and Insurance Groups to the consolidation scope and do not reflect their respective stand-alone total assets.

The increase in assets and liabilities stems primarily from deposits from customers of EUR 9.1 billion due to the organic growth of current and savings accounts and from additional funding received from the participation in the TLTRO III of EUR 1.4 billion. A continuous increase in commercial lending can be noted, partially offset by a decrease in the fair value of the derivatives, mainly due to the impact of higher interest rates as well as reassignments to LCH (London Clearing House).

1. Assets

1.1. Cash and balances with central banks

Cash and balances with central banks increased by EUR 6.2 billion, or 24.4%, to EUR 31.6 billion (31 December 2020: EUR 25.4 billion). Belfius deposits part of its cash at the NBB, within the framework of its liquidity management.

1.2. Loans and advances due from credit institutions

Loans and advances due from credit institutions decreased by EUR 1.5 billion, or -12.6%, to EUR 10.4 billion (31 December 2020: EUR 11.9 billion). The decrease in cash collateral paid of EUR 2.4 billion, in line with the decrease in the fair value of derivatives, was partially offset by an increase in term loans of EUR 0.5 billion and reverse repurchase agreements of EUR 0.4 billion.

1.3. Loans and advances

Loans and advances increased by EUR 4.6 billion, or 4.7%, to EUR 102.7 billion (31 December 2020: EUR 98.1 billion), stemming from an increase in loans of EUR 5.3 billion (mainly mortgage and term loans) in line with our strategy to develop our commercial franchise further and to support the Belgian economy. Cash collateral decreased by EUR 0.3 billion. Financial leases decreased by EUR 0.2 billion stemming from the reclassification of the leasing contracts of Belfius Auto Lease to operating lease of EUR 0.4 billion. Following contractual changes, a classification as finance lease is no longer adequate. This evolution is partially offset by an increase of EUR 0.2 billion of new leasing contracts concluded during the year.

Note that through the consolidation of Belfius Euro Loans, Belfius recognised leveraged loans measured at fair value through other comprehensive income from this dedicated fund for EUR 99 million.

Certain loans do not pass the SPPI test and are therefore measured at fair value through profit or loss. These mostly relate to loans to the public and social sector, with specifically structured interest rate features. The outstanding volume decreased by EUR 0.3 billion to EUR 1.0 billion as at the end of 2021, mainly due to repayments.

The asset quality ratio, indicating the ratio between impaired (stage 3) loans and advances and the gross outstanding loans and advances, decreased from 2.02% at 31 December 2020 to 1.95% at 31 December 2021 (cf. chapter on Risk for additional information).

Summarised consolidated balance sheet

(In millions of EUR)	31/12/20	Contribution Bank into group[1]	Contribution Insurance into group[1]	31/12/21	Contribution Bank into group[1]	Contribution Insurance into group[1]	Evolution
TOTAL ASSETS	187,991	*170,212*	*17,779*	192,151	*174,329*	*17,822*	+4,159
Of which							
Cash and balances with central banks	25,434	*25,434*	*0*	31,640	*31,640*	*0*	+6,207
Loans and advances due from credit institutions	11,912	*11,815*	*97*	10,411	*10,312*	*99*	-1,500
A. Measured at amortised cost	11,912	*11,815*	*97*	10,411	*10,312*	*99*	-1,500
Loans and advances	98,108	*93,448*	*4,660*	102,679	*97,793*	*4,886*	+4,571
A. Measured at amortised cost	96,812	*92,170*	*4,642*	101,541	*96,769*	*4,772*	+4,729
B. Measured at fair value through other comprehensive income	0	*0*	*0*	99	*0*	*99*	+99
C. Measured at fair value through profit or loss	1,296	*1,278*	*18*	1,039	*1,024*	*15*	-257
Debt securities & equity instruments	28,849	*17,263*	*11,586*	27,195	*16,456*	*10,739*	-1,654
A. Measured at amortised cost	22,039	*16,152*	*5,887*	20,840	*15,536*	*5,304*	-1,199
B. Measured at fair value through other comprehensive income	5,170	*201*	*4,969*	4,959	*196*	*4,763*	-211
C. Measured at fair value through profit or loss	1,639	*909*	*730*	1,396	*725*	*671*	-243
Unit linked products insurance activities	3,813	*0*	*3,813*	4,246	*0*	*4,246*	+433
Derivatives	12,188	*12,188*	*0*	8,909	*8,909*	*0*	-3,279
TOTAL LIABILITIES	177,258	*160,239*	*17,019*	180,658	*163,693*	*16,964*	+3,400
Of which							
Cash and balances from central banks	14,174	*14,174*	*0*	15,418	*15,418*	*0*	+1,245
Credit institutions borrowings and deposits	5,008	*5,004*	*4*	3,591	*3,590*	*1*	-1,417
A. Measured at amortised cost	5,008	*5,004*	*4*	3,591	*3,590*	*1*	-1,417
Borrowings and deposits	95,338	*95,338*	*0*	104,404	*104,404*	*0*	+9,066
A. Measured at amortised cost	95,287	*95,287*	*0*	104,355	*104,355*	*0*	+9,068
B. Measured at fair value through profit or loss	51	*51*	*0*	49	*49*	*0*	-2
Debt securities issued and other financial liabilities	24,402	*24,402*	*1*	23,145	*23,145*	*0*	-1,257
A. Measured at amortised cost	16,069	*16,068*	*1*	15,117	*15,117*	*0*	-952
B. Measured at fair value through profit or loss	8,333	*8,333*	*0*	8,029	*8,029*	*0*	-305
Unit linked products insurance activities	3,813	*0*	*3,813*	4,246	*0*	*4,246*	+433
Derivatives	18,310	*18,253*	*57*	14,019	*14,002*	*17*	-4,291
Provisions for insurance activities	12,659	*0*	*12,659*	12,191	*0*	*12,191*	-468
Subordinated debts	1,151	*1,151*	*0*	1,643	*1,643*	*0*	+492
A. Measured at amortised cost	1,151	*1,151*	*0*	1,643	*1,643*	*0*	+492
TOTAL SHAREHOLDERS' EQUITY	10,209	*9,476*	*733*	10,963	*10,138*	*825*	+754
Of which							
Shareholders' core equity	9,815	*9,429*	*387*	10,560	*10,061*	*499*	+745
Gains and losses not recognised in the statement of income	393	*47*	*346*	403	*77*	*326*	+10
TOTAL EQUITY	10,733	*9,973*	*760*	11,493	*10,636*	*857*	+759
of which							
Total shareholders' equity	10,209	*9,476*	*733*	10,963	*10,138*	*825*	+754
Additional Tier-1 instruments included in equity	497	*497*	*0*	497	*497*	*0*	0
Non-controlling interests	28	*0*	*27*	33	*0*	*32*	+5

(1) Information based on non-audited figures

1.4. Debt securities and equity instruments

The Belfius Banking Group contributed EUR 16.5 billion (31 December 2020: EUR 17.3 billion) to the debt securities and equity instruments portfolio and the Belfius Insurance Group contributed EUR 10.7 billion (31 December 2020: EUR 11.6 billion).

The debt securities measured at amortised cost decreased by EUR 1.2 billion, or -5.4%, to EUR 20.8 billion (31 December 2020: EUR 22.0 billion) following redemptions, partially offset by acquisitions.

The financial assets measured at fair value through other comprehensive income decreased by EUR 0.2 billion, or -4.1%, to EUR 5.0 billion (31 December 2020: EUR 5.2 billion). This is ascribed to disposals and redemptions of bonds, as well as negative fair value adjustments on bonds resulting from higher interest rates compared with the 2020 year-end, partially offset by acquisitions and positive fair value adjustments on equity instruments resulting from improved stock markets compared to the 2020 year-end.

Debt securities measured at fair value through profit or loss decreased by EUR 0.2 billion, or -14.8%, to EUR 1.4 billion (31 December 2020: EUR 1.6 billion) due to a decreasing volume of temporary client flow management positions (decrease of EUR 0.3 billion in debt securities partially offset by increase of EUR 0.2 billion in equity instruments) and disposals out of the fund portfolio (EUR 0.1 billion).

1.5. Unit-linked products in insurance activities

Unit-linked products within our insurance activities (Branch 23) increased by EUR 0.4 billion, or 11.3%, to EUR 4.2 billion (31 December 2020: EUR 3.8 billion), resulting from positive fair value adjustments (EUR 0.2 billion) and transfers of customer investments from Branch 21 policies coming to maturity (EUR 0.2 billion) in line with specific commercial actions of 2021.

1.6. Derivatives

Derivatives decreased by EUR 3.3 billion, or -26.9%, to EUR 8.9 billion, (31 December 2020: EUR 12.2 billion), mainly due to the impact of higher interest rates, offsetting for derivatives concluded with LCH and unwinds of some bilateral agreements. The total impact of the offsetting for derivatives concluded with LCH amounted to EUR 8.5 billion at the end of 2021, compared with EUR 7.8 billion at the end of 2020.

2. Liabilities

Total liabilities increased by EUR 3.4 billion, or 1.9%, to EUR 180.7 billion (31 December 2020: EUR 177.3 billion), resulting from an increase in funding sources in "Deposits" from customers and "Cash and balances from central banks" explained by the additional participation in the TLTRO III. This increase was partially offset by a decrease in the fair value of derivatives due to the impact of higher interest rates and offsetting for derivatives concluded with LCH, as well as in "Debt securities issued" following maturities.

2.1. Cash and balances from central banks

Cash and balances from central banks increased by EUR 1.2 billion to EUR 15.4 billion (31 December 2020: EUR 14.2 billion). Belfius drew an additional EUR 1.4 billion TLTRO III in 2021, resulting in a total TLTRO III participation of EUR 15.65 billion as of 31 December 2021.

2.2. Credit Institutions borrowings and deposits

Credit Institutions borrowings and deposits decreased by EUR 1.4 billion, or -28.3%, to EUR 3.6 billion (31 December 2020: EUR 5.0 billion), resulting from a decrease of EUR 1.2 billion in cash collateral received.

2.3. Borrowings and deposits

Borrowings and deposits increased by EUR 9.1 billion, or 9.5%, to EUR 104.4 billion (31 December 2020: EUR 95.3 billion), mainly due to organic growth of demand and savings deposits.

2.4. Debt securities issued and other financial liabilities

Debt securities issued and other financial liabilities decreased by EUR 1.3 billion, or -5.2%, to EUR 23.1 billion (31 December 2020: EUR 24.4 billion).

The debt securities measured at amortised cost decreased by EUR 1.0 billion, or -5.9%, to EUR 15.1 billion (31 December 2020: EUR 16.1 billion), mainly due to the maturity of EUR 1.3 billion in covered bonds and certificates of deposit, partially offset by the issuance of certificates of deposits, EUR 0.5 billion in Preferred Senior bonds and EUR 0.5 billion in Green Non-Preferred Senior bonds.

Debt securities measured at fair value through profit or loss decreased by EUR 0.3 billion, or -3.7%, to EUR 8.0 billion (31 December 2020: EUR 8.3 billion), following maturities of (structured) debt securities for retail customers, partially offset by new issuances.

2.5. Derivatives

Derivatives decreased by EUR 4.3 billion, or -23.4%, to EUR 14.0 billion (31 December 2020: EUR 18.3 billion), mainly due to the impact of higher interest rates, offsetting for derivatives concluded with LCH and unwinds of some bilateral agreements. The total impact of the offsetting for derivatives concluded with LCH amounted to EUR 8.5 billion at the end of 2021, compared with EUR 7.8 billion at the end of 2020.

2.6. Provisions for insurance activities

Gross technical reserves for Life decreased by EUR 629 million, or 6%, to EUR 10.7 billion (31 December 2020: EUR 11.4 billion). In the current low interest rate environment, a continued shift can be noted from Branch 21 products towards alternative investment forms, such as Branch 23 or Branch 44 products. As a result, a substantial part of the Branch 21 investment policies coming to maturity were not reinvested in new Branch 21 investment policies. Furthermore, Belfius has recorded a release of EUR 15 million of technical provisions, in line with the risk appetite framework (RAF).

"With a figure of 935 million euro, Belfius achieved its best net result since it came into existence ten years ago."

A shadow loss was recognised of EUR 320 million in 2021, an increase of EUR 19 million compared with 2020. The increase stems from the decrease in credit spreads over 2021, and the revision of the non-financial assumptions for the calculation of the Best Estimate Life, partially offset by the increase in interest rates and the impact of model changes compared to the end of 2020. For the segregated funds managed by Belfius Insurance, shadow accounting was recognised for EUR 28 million, a decrease of EUR 21 million compared with 2020, mainly explained by the decrease in the fair value of the debt instruments resulting from higher interest rates.

The technical provision for Non-Life products increased by EUR 156 million, or 12%, to EUR 1.5 billion (31 December 2020: EUR 1.3 billion) mainly due to an increase in claims charges relating to the severe July floods that occurred in Wallonia and Limburg estimated at EUR 181 million. Part of the claims charges resulting from the floods will be recovered from the reinsurers (EUR 67 million) and a part will be recovered from the regional authorities (EUR 90 million), resulting in an impact of EUR 24 million for Belfius. The impact on the claims provision amounts to EUR 86 million as Belfius has already paid out claims in an amount of EUR 95 million. Belfius recognised a provision of EUR 10.8 million for damage caused by drought following the publication of interpretative legislation, the risk should be covered retroactively to a certain extent in Property insurance policies. Furthermore, the Non-Life provision increased relating to the growth in the Non-Life portfolio. Note that following the reassessment of the technical provisions in 2020 a release of claims provisions was recognised at EUR 13 million in line with the risk appetite framework.

2.7. Subordinated debts

Subordinated debts increased by EUR 492 million, or 42.8%, to EUR 1.6 billion (31 December 2020: EUR 1.2 billion) following the issuance of EUR 0.5 billion fixed rate Tier 2 subordinated notes.

3. Equity

Total equity increased by EUR 759 million, or 7.1%, to EUR 11.5 billion (31 December 2020: EUR 10.7 billion) mainly attributable to the increase of EUR 745 million in shareholders' core equity and the increase of EUR 10 million in gains and losses not recognised in the statement of income.

3.1. Shareholders' core equity

Shareholders' core equity increased by EUR 745 million, 7.6%, to EUR 10.6 billion (31 December 2020: EUR 9.8 billion). This increase was due mainly to the profit for the period of EUR 935 million and the realised results on equity instruments that are recognised directly in retained earnings (EUR 31 million (after tax), mainly at Belfius Insurance), partially offset by the payment of the dividend over 2020 of EUR 207 million. The payment on Additional Tier 1 amounted to EUR 14 million after tax (considered as dividend under IFRS).

3.2. Gains and losses not recognised in the statement of income

Gains and losses not recognised in the statement of income increased by EUR 10 million, or 2.5%, to EUR 403 million (31 December 2020: EUR 393 million). The contribution of the Belfius Banking Group amounted to EUR 77 million (improved with of EUR 30 million) and the Belfius Insurance Group to EUR 326 million (worsened by EUR 20 million).

The fair value of debt instruments measured at fair value through other comprehensive income decreased with EUR 105 million, or -49.2%, to EUR 109 million (31 December 2020: EUR 214 million) and stems from higher interest rates compared with last year, partially offset by the recognition of a shadow loss of EUR 137 million (after tax) compared with EUR 170 million (after tax) as at the end of 2020.

The fair value of equity instruments measured at fair value through other comprehensive income increased by EUR 58 million, or 47.9%, to EUR 179 million (31 December 2020: EUR 121 million), due to increasing stock markets, partially offset by the recognition of a shadow loss of EUR 116 million (after tax) compared with EUR 66 million (after tax) as at the end of 2020.

Gains (losses) on cash flow hedges decreased by EUR 30 million to EUR -98 million (31 December 2020: EUR -69 million), due mainly to the changes in basis spreads on derivative positions in GBP and USD.

The remeasurement of defined benefit plans increased by EUR 63 million to EUR 132 million (31 December 2020: EUR 69 million), due mainly to the effect of an increase in the discount rate and the return on plan assets, partially offset by increased inflation.

The discretionary participation feature of insurance contracts increased by EUR 24 million, or 40.9%, to EUR 81 million (31 December 2020: EUR 58 million). The total amount of future profit sharing amounted to EUR 161 million. An amount of EUR 63 million was recorded through the statement of income compared with EUR 84 million at year-end 2020. The remaining EUR 98 million (EUR 81 million after tax) is accounted for via equity.

3.3. Additional Tier-1 instruments included in equity

There was no variation in the value of the additional Tier 1 issue.

Analysis of the consolidated statement of income

Summarised consolidated statement of income

(In millions of EUR)	31/12/20 (IFRS 9)	*Contribution Bank into group[1]*	*Contribution Insurance into group[1]*	31/12/21	*Contribution Bank into group[1]*	*Contribution Insurance into group[1]*	Evolution
INCOME	2,614	*2,069*	*544*	2,703	*2,164*	*539*	+90
Of which							
Net interest income	1,992	*1,590*	*402*	2,001	*1,623*	*378*	+10
Net income from financial instruments at fair value through profit or loss	24	*47*	*(23)*	25	*21*	*4*	+1
Net income on investments and liabilities	55	*15*	*40*	15	*14*	*1*	-40
Net fee and commission income	641	*622*	*19*	758	*732*	*25*	+117
Technical result from insurance activities	68	*0*	*68*	73	*0*	*73*	+5
Other income and expense	(220)	*(220)*	*0*	(244)	*(252)*	*9*	-23
EXPENSES	(1,465)	*(1,207)*	*(257)*	(1,477)	*(1,220)*	*(257)*	-12
GROSS INCOME	1,149	*862*	*287*	1,226	*944*	*283*	+77
Impairments on financial instruments and provisions for credit commitments	(453)	*(448)*	*(5)*	1	*1*	*0*	+454
Impairments on tangible and intangible assets	(17)	*(14)*	*(3)*	(2)	*(1)*	*(1)*	+15
NET INCOME BEFORE TAX	679	*400*	*279*	1,226	*944*	*282*	+547
Tax (expense) income	(147)	*(81)*	*(66)*	(290)	*(228)*	*(62)*	-143
Attributable to non-controlling interests	0	*0*	*0*	1	*0*	*1*	+1
NET INCOME GROUP SHARE	532	*319*	*212*	935	*716*	*219*	+403

(1) Information based on non-audited figures

1. Income

Total income increased by EUR 89.6 million, or 3.4%, to EUR 2,703 million (31 December 2020: EUR 2,614 million). Belfius Banking Group contributed EUR 2,164 million (31 December 2020: EUR 2,069 million) and Belfius Insurance Group contributed EUR 539 million (31 December 2020: EUR 544 million).

1.1. Net interest income

Net interest income increased by EUR 9.9 million, or 0.5%, to EUR 2,001 million (31 December 2020: EUR 1,992 million), mainly due to higher volumes in loans combined with a strict pricing discipline despite the pressure of the lower interest rate environment, lower outstandings in Branch 21 and reinvestments at lower market yields. The interest received on TLTRO III funding from the ECB/NBB central bank and accounted for in 2021 amounts to EUR 155 million (against EUR 78 million in 2020, of which EUR 76 million from the TLTRO III). The interest paid on total lending to the ECB/NBB and accounted for in 2021 amounts to EUR 149 million (against EUR 43 million in 2020).

Based on net lending volumes as at 31 December 2021, the conditions of the TLTRO programme have been met and therefore the effective interest rate includes the additional reduction of 50 basis points.

Note that 2020 was positively impacted by the restructuring of a specific corporate leasing file. Furthermore, in 2020 a modification loss of EUR 9.7 million was recognised as a result of the relief granted to vulnerable customers, following the moratorium granted on mortgage loans in light of the Covid-19 crisis. In 2021, no modification loss was recognised.

1.2. Net income from financial instruments measured at fair value through profit or loss

Net income from financial instruments measured at fair value through profit or loss increased by EUR 0.9 million to EUR 25 million (31 December 2020: EUR 24 million). Net trading income increased by EUR 26 million to EUR 70 million for the year ending 31 December 2021, due mainly to the negative impact of the Covid-19 outbreak on credit spreads as well as equity markets in 2020 whereas the markets stabilised in 2021. The net result from financial instruments mandatorily measured at fair value through profit or loss increased by EUR 3 million to EUR -30 million for the year ending 31 December 2021. The net result of hedge accounting decreased by EUR 33 million to EUR -17 million for the year ending 31 December 2021 and was negatively impacted, among other factors, by evolutions on some basis spreads and basis risks. Please note that the derivatives hedging these instruments are considered as trading derivatives the fair value adjustments of which are classified in net trading income.

1.3. Net income on investments and liabilities

Net income on investments and liabilities decreased by EUR 39.7 million, or -72.8%, to EUR 15 million (31 December 2020: EUR 55 million).

Belfius realised capital gains of EUR 15 million on the sale of tangible fixed assets, mainly on the sale of different bank offices (EUR 12 million) and on the sale of a building in Mechelen. Note that capital gains of EUR 42 million were realised in 2020, mainly on the partial sale of the Galilee building.

Furthermore, Belfius Insurance realised EUR 23 million from the sale of bonds in 2020 in order to manage its duration gap while no capital gains on bonds were realised in 2021.

1.4. Net fee and commission income

Net fee and commission income increased by EUR 116.6 million, or 18.2%, to EUR 758 million (31 December 2020: EUR 641 million). The increase was mainly attributed to an increase in commission income on asset management services (+EUR 77 million) resulting from increased subscriptions, higher average outstanding volumes thanks to organic growth, increasing equity markets, and higher (entry and servicing) fees, as well as on payment services (+EUR 23 million).

1.5. Technical result from insurance activities

The technical result from Life and Non-Life insurance activities improved by EUR 5.1 million to a profit of EUR 73 million (31 December 2020: profit of EUR 68 million).

The technical result from Life insurance activities improved by EUR 37 million to a loss of EUR 103 million. Interest guarantees decreased by EUR 24 million due to the declining outstanding volume in Branch 21 Life and a decreasing average guaranteed interest rate on the remaining volumes. Furthermore, Belfius recorded a release of EUR 15 million of Life provisions in 2021, in line with the risk appetite framework in comparison with no release in 2020.

In Non-Life, the technical margin decreased by EUR 32 million, resulting mainly from higher claims charges especially in Auto as previous year was positively impacted by the Covid-19 lockdown. The cost for natural disasters, net of reinsurance amounts to EUR 27.5 million in 2021, compared to EUR 25 million in 2020. The impact of the July floods amounts to EUR 24 million (including ex-gratia payments, allowing for fair and efficient claim-handling for the victims of the floods). The amount has been limited as a result of the reinsurance programmes in place. In addition, Belfius recognised a provision of EUR 10.8 million for damage caused by drought following the publication of interpretative legislation, the risk should be covered retroactively to a certain extent in Property insurance policies. Furthermore, the Non-Life result was positively impacted by the increase of gross earned premiums. Following the reassessment of the technical provisions, a release of claims provisions was recognised in 2020 of EUR 13 million in line with the risk appetite framework.

1.6. Net other income and expenses

Net other income and expenses decreased by EUR 23.3 million, or -10.6%, to a loss of EUR 244 million (31 December 2020: a loss of EUR 220 million).

Belfius recognised an expense of EUR 277 million in 2021 as levies, an increase of EUR 40.5 million compared to 2020, explained by increased bank levies for EUR 32 million (including the contribution to the Single Resolution Board) and the introduction of the tax on securities accounts for EUR 8.5 million. Note that Belfius has opted in the past to pay part of its contribution to the Single Resolution Fund through an Irrevocable Payment Commitment for EUR 17.5 million.

2. Expenses

Expenses increased by EUR 12.2 million, or 0.8%, to EUR 1,477 million (31 December 2020: EUR 1,465 million), stemming from further investments in human capital, digitalisation and innovation efforts. Belfius combines this with strict cost control in other areas, leading to an overall controlled increase in expenses.

2.1. Staff expense

Staff expense increased by EUR 10.9 million, or 1.7%, to EUR 641 million (31 December 2020: EUR 630 million) due mainly to wage drift as well as salary bonus and a Covid-19 premium in the form of consumption vouchers.

2.2. General and administrative expense

General and administrative expense increased by EUR 11.5 million, or 2.4%, to EUR 483 million (31 December 2020: EUR 471 million), in line with our investments in digital and automation mainly for major strategic projects. The increase of EUR 13 million in professional fees is in line with the strong commercial dynamics and due to the use of consultancy services for some major strategic projects. Marketing expenses increased by EUR 8 million following different marketing and brand campaigns in 2021. Note that development costs related to major strategic projects are capitalised, resulting in a net decrease in technology and software costs of EUR 12 million.

2.3. Network costs

Network costs increased by EUR 9.2 million, or 4.3%, to EUR 221 million (31 December 2020: EUR 211 million), in line with increased commercial activities.

2.4. Depreciation and amortisation of fixed assets

Depreciation and amortisation of fixed assets decreased by EUR 19.4 million, or -12.7%, to EUR 133 million (31 December 2020: EUR 152 million) following the accelerated depreciations accounted for at year-end 2020 due to the revised useful Life of internally developed software given the rapid changes in technology and the accelerated uptake of digital services. This decrease was partially offset by the accelerated depreciations accounted for at year-end 2021 as a result of the reassessment of the useful Life of internally developed software.

3. Gross income

Gross income increased by EUR 77.4 million, or 6.7%, to EUR 1,226 million (31 December 2020: EUR 1,149 million). Belfius Banking Group contributed EUR 944 million (31 December 2020: EUR 862 million) and Belfius Insurance Group contributed EUR 283 million (31 December 2020: EUR 287 million).

4. Impairments

4.1. Impairments on financial instruments and provision for credit commitments

Impairments on financial instruments and provisions for credit commitments decreased by EUR 454.5 million to EUR 1 million (31 December 2020: EUR -453 million).

In 2020, the stage 1 and 2 impairments reflected the update of the underlying macroeconomic scenarios and their weighting, in line with EBA guidance, to reflect the changes in the economic environment and prospects following the Covid-19 crisis. Furthermore, Belfius applied management overlays on expected credit losses for certain risk pockets (defined in terms of sectors, groups of companies or individual exposures) in the loan portfolios that were hit, or anticipated to be hit, particularly hard by the Covid-19 pandemic. As customary, impairments were also recognised on a limited number of corporate customers that entered stage 3 during 2020.

In 2021, Belfius updated the underlying macroeconomic scenarios due to general macroeconomic improvement as well as the reassessment of the management overlays, resulting in reversals of part of the stage 1 and 2 impairments accounted for in 2020. As customary, impairments were also recognised on a limited number of defaulted (stage 3) exposures during 2021 and as a result of portfolio evolutions.

Overall, this resulted in a net positive cost of risk of EUR +1 million in 2021 (compared to EUR -453 million in 2020). The ex-ante provisioning of EUR 331 million at year-end 2020 decreased to EUR 216 million at end 2021 and is explained by the update of the macroeconomic factors (decrease of EUR 68 million) and reversals on overlays for specific risk pockets and individual counterparts following the reassessment of the management overlays (decrease of EUR 47 million).

4.2. Impairments on tangible and intangible fixed assets

Impairments on tangible and intangible assets decreased by EUR 14.8 million to EUR 2 million (31 December 2020: EUR 17 million).

In 2020 Belfius recognised an impairment of EUR 12 million on previous refurbishment works carried out for ATMs in bank branch buildings following the project with Batopin, which will centralise the management of ATMs for different Belgian banks. Furthermore, Belfius reassessed its intangible and tangible assets for the Covid-19 impacts, whereby an impairment of EUR 2 million was enacted on the intangible assets of Jaimy.

5. Net income before tax

Net income before tax increased by EUR 546.7 million, or 80.5%, to EUR 1,226 million (31 December 2020: EUR 679 million). Belfius Banking Group contributed EUR 944 million (31 December 2020: EUR 400 million) and Belfius Insurance Group contributed EUR 282 million (31 December 2020: EUR 279 million).

6. Tax expense

The tax expense, including deferred taxes, increased by EUR 142.7 million, or 96.9%, to EUR 290 million (31 December 2020: EUR 147 million), due mainly to higher taxable profit in main entities of Belfius.

An increase in the effective tax rate to 23.7% was observed in 2021, compared with 21.7% in 2020.

Net deferred tax expense increased by EUR 136.2 million to EUR -55 million (31 December 2020: deferred tax gain of EUR 81 million), due mainly to reversal via the income statement of temporary differences related to stage 1 and 2 impairments accounted for in 2020.

7. Net income group share

Total net income amounted to EUR 936 million and the share attributable to non-controlling interests to EUR 1 million. As a result, the net income attributable to Belfius amounted to EUR 935 million (31 December 2020: EUR 532 million).

8. Dividend

The Board of Directors of 24 March 2022, has proposed to the General Assembly of 27 April 2022 an ordinary dividend of EUR 368.5 million in respect of the accounting year 2021, based on a pay-out ratio of 40% on the 2021 result.

9. Post balance sheet events

9.1. Storms February 2022

The three storms Eunice, Dudley and Franklin that took place in Belgium in the weekend of 19 February 2022 are non-adjusting subsequent events and therefore fall outside the scope of these yearly results, however these events will impact the FY2022 non-life insurance results. Although it is too early to provide detailed and precise figures for the financial impact of these storms, Belfius has made a preliminary analysis indicating that the total gross claim cost could be in the region of EUR 40-60 million, based on current indications of the number of claims and the average cost per claim. Considering Belfius' reinsurance program the financial impact of these events will be lower.

9.2. Conflict Russia-Ukraine

Belfius is closely monitoring the geopolitical risks related to the Russia-Ukraine conflict that started at the end of February 2022.

Belfius' direct exposure (Russian, Ukrainian and Belarus counterparties) is below EUR 1 million. The indirect exposure is currently being assessed. First results tend to show that this exposure is very limited. Nevertheless, a workforce is set in place within the Group to monitor and assess the ongoing uncertainties and potential future material knock-on effects (energy prices, global economic slowdown…).

If this conflict would turn into a more pronounced European or a worldwide crisis, Belfius can still rely on its strong solvency and liquidity position as well as prudent covid buffers that can be partially used to absorb economic shocks.

10. Solvency[1]

10.1. Solvency at Bank level

At the end of 2021, CET 1 ratio amounted to 16.37%, a decrease of 74 bps compared with the end of 2020. The CET 1 ratio takes into account the transitory add-back of IFRS9 provisions, amounting to 51 bps.

The decrease in CET 1 ratio is the result of positive effects from higher CET 1 capital (+86 bps) offset by the negative effects from the higher total risk exposure amount (-160 bps).

(1) unaudited

CET 1 capital amounted to EUR 10,658 million, compared with EUR 10,150 million at the end of 2020. The increase in CET 1 capital of EUR 508 million resulted mainly from the increase in regulatory core own funds by EUR 745 million partially offset by the increased correction for foreseeable dividend for EUR 162 million (based on a 40% pay-out ratio) and the decreased add-back of IFRS 9 provisions thanks to the transitional arrangements stated in the CRR for EUR 106 million.

At the end of 2021, total risk exposure[1] amounted to EUR 65,095 million, an increase of EUR 5,786 million compared with EUR 59,309 million at the end of 2020.

The credit risk exposure amount including counterparty credit risk increased by EUR 5,439 million to EUR 49,998 million due to

- commercial growth in Franchise segments (EUR +3,0 billion), and
- more stringent regulatory environment (EUR +2,7 billion) with TRIM decisions affecting the large corporates and banks models and with the implementation of CRR 2 regulation, partially offset by
- a slight decrease on Group Center (EUR -0.2 billion) mainly due to the unwind of an important run-off transaction at the end of the year.

The total risk exposure amount for Danish Compromise increased by EUR 232 million to EUR 9,623 million, due to the increase of the equity value of Belfius Insurance.

The CVA exposure amount decreased by EUR 61 million to EUR 679 million due to decreasing exposures.

The market risk exposure amount declined by EUR 11 million compared with 2020. Covid-19 related volatile interest rate scenarios of 2020 disappeared from the historical window calculation but were replaced by new severe scenario in October generating an equivalent VaR/SVaR average increase.

Operational risk exposure amount increased (EUR +188 million) over the period, in line with the increase in income.

At the end of 2021, the Tier 1 capital ratio amounted to 17.14%, a decrease of 82 bps compared with the end of 2020. This decrease follows the evolution of the CET 1 ratio since there are no new AT 1 elements.

The total capital ratio amounted to 19.83%, a decrease of 54 bps compared with the end of 2020.

10.2. Solvency at Insurer level

The Solvency II-ratio (before dividend) of Belfius Insurance stood at 200% at the end of December 2021, the Solvency II-ratio after dividend stood at 190%. It slightly decreased compared to last year, given that the increase in SCR has not been fully compensated by a same proportionate increase in AFR including a foreseeable dividend of EUR 130 million.

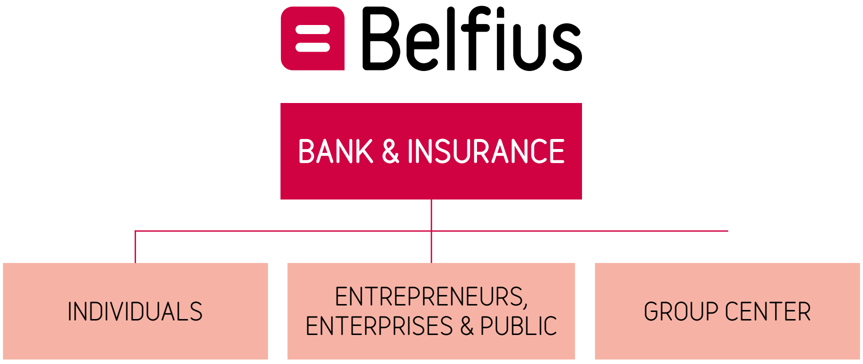
More detailed information is provided in the Capital Management section of this annual report.

(1) Total Risk Exposure Amount (TREA) also known as Risk Weighted Assets (RWA).

Segment reporting

Analytically, Belfius splits its activities and accounts in three segments: Individuals (IND) and Entrepreneurs, Enterprises and Public (E&E&P) and Group Center; with IND and E&E&P being two main cornerstones that replace the previous Retail and Commercial segment (RC) and Public and Corporate segment (PC) and containing the key commercial activities of Belfius.

- **Individuals (IND)**, managing the commercial relationships with individual customers both at bank and insurance level. Within the Individuals segment, we distinguish 4 subsegments: Savers, investors, Private and Wealth.
- **Entrepreneurs, Enterprises and Public (E&E&P)**, managing the commercial relationships with public and social sector, business and corporate clients both at bank and insurance level.
- **Group Center (GC)**, containing the residual results not allocated to the two commercial segments. This mainly consists of results from Bond and Derivative portfolio management.



Key figures of the segment reporting

Balance Sheet

	31/12/20		
(In billions of EUR)	Assets	Liabilities	Equity
Individuals (IND)	50.7	77.6	1.9
Entrepreneurs, Enterprises & Public (E&E&P)	59.0	42.6	4.9
Group Center (GC)	78.3	57.0	3.9
TOTAL	188.0	177.3	10.7
of which banking group	170.2	160.2	10.0
of which insurance group(1)	17.8	17.0	0.8

	31/12/21		
(In billions of EUR)	Assets	Liabilities	Equity
Individuals (IND)	54.6	82.4	1.8
Entrepreneurs, Enterprises & Public (E&E&P)	59.9	44.9	4.4
Group Center (GC)	77.6	53.3	5.2
TOTAL	192.2	180.7	11.5
of which banking group	174.3	163.7	10.6
of which insurance group(1)	17.8	17.0	0.9

(1) Note that the assets, liabilities and equity represent the contribution of the Belfius Insurance group to the consolidated balance sheet.

"Integrated bank-insurer anchored in all segments of the Belgian economy."

The assets and liabilities allocated to Individuals (IND) and Entrepreneurs, Enterprises and Public (E&E&P) reflect the commercial activities of those business lines. Where IND shows an excess of funding, E&E&P is more asset-driven. As a whole, the commercial balance sheet shows a funding excess with a sound 85% loan to deposit ratio at the end of December 2021.

Note that there are no internal sales or purchases between segments, these assets and liabilities within a segment are those generated and originated by the business lines.

The capital allocated to IND and E&E&P corresponds to the normative regulatory capital calculated so that the segment's CET 1 ratio is equal to 13.5% (Belfius' CET 1 minimum operating ratio) taking into account the segment's regulatory risk exposure.

Key figures of the segment reporting

Statement of income

	31/12/20			
(In millions of EUR)	Individuals	Entrepreneurs, Enterprises & Public	Group Center	Total
INCOME	**1,355**	**1,005**	**255**	**2,614**
EXPENSES	**(888)**	**(434)**	**(143)**	**(1,465)**
GROSS OPERATING INCOME	466	571	112	1,149
Cost of risk	(30)	(456)	33	(453)
Impairments on (in)tangible assets	(14)	(2)	0	(17)
NET INCOME BEFORE TAX	421	113	145	679
Tax (expense) income	(90)	(30)	(27)	(147)
NET INCOME AFTER TAX	331	82	118	532
Non-controlling interests	(1)	0	1	0
NET INCOME GROUP SHARE	333	82	117	532
of which banking group	186	33	101	319
of which insurance group[1]	147	49	16	212

	31/12/21			
(In millions of EUR)	Individuals	Entrepreneurs, Enterprises & Public	Group Center	Total
INCOME	**1,453**	**1,069**	**181**	**2,703**
EXPENSES	**(890)**	**(435)**	**(153)**	**(1,477)**
GROSS OPERATING INCOME	563	635	28	1,226
Cost of risk	17	(10)	(6)	1
Impairments on (in)tangible assets	(2)	0	0	(2)
NET INCOME BEFORE TAX	579	625	22	1,226
Tax (expense) income	(133)	(143)	(14)	(290)
NET INCOME AFTER TAX	445	482	8	936
Non-controlling interests	0	0	1	1
NET INCOME GROUP SHARE	446	482	7	935
of which banking group	281	438	(3)	716
of which insurance group[1]	164	44	10	219

(1) Note that the statement of income represents the contribution of the Belfius Insurance group to the consolidated statement of income.

Individuals (IND)

1. Business description Individuals

Belfius Bank is one of the main bank-insurers in Belgium with 3.4 million Individuals served through 527 branches as at the end of 2021, our bank insurance remote service channel Belfius Connect, and a large number of automatic self-banking machines. Belfius Bank is also market leader in mobile banking, with over 1.79 million active mobile users end 2021. Belfius Mobile is the 2nd best mobile banking app on the worldwide market (according to a Sia Partners research). Belfius Bank is the third largest provider of mortgage loans in the Belgian market, with a EUR 40.9 billion outstanding for individuals.In 2021, Belfius Group has a market share of 16.5% based on new mortgage loan production in 2021. Belfius Bank is also the fourth largest provider of savings and investment products in Belgium.

Belfius Insurance offers insurance products to Individuals through the Belfius Bank branch network, as well as through the tied agent network of DVV Insurance. It also offers insurance products through Corona Direct Insurance. Belfius Insurance's business model is increasingly focused on bank-insurance. Belfius Insurance has also integrated the Elantis brand, which offers mortgage loans and consumer loans through independent brokers, booked on the balance sheet of Belfius Insurance, Belfius Bank and a third-party bank.

=

3.4 million
of Individuals

1.1. Customer Segmentation

In the Individuals segment, our segmentation has always been based on the customer's financial footprint, both in terms of loans and assets. These days, we understand that the customer's behaviour and aspirations are equally important. In practical terms, this means that the previous Retail and Privilege customers will be subdivided into Savers and Investors, not based on their assets, but on their behaviour. Savers are individuals who do little or no investing and who mainly seek a safe haven in their savings booklet. An Investor, on the other hand, is someone who mainly invests, has a certain amount of knowledge about investing and who has a minimum of EUR 7,500 of investments with Belfius.

The Individuals segment is further described in the Chapter "Strategy Inspire 2025".

1.2. Our range of banking solutions and services

Subscription-based services - Beats

In order to build a sustainable business model for daily banking, Belfius is continuing to reinvent itself and is committed to diversify revenue further. With Beats, Belfius integrates telco in banking. It is one of the concrete initiatives of our strategic partnership with Proximus.

With the launch of Beats, Belfius evolved towards a membership model that strives for a well-equipped customer relation. With Beats, we evolve from a large offer of payment accounts, cards and daily banking packages to a simple all-in-one (banking, insurance, telco) formula, with a sustainable dimension. Based on customer needs, we propose an integrated offer with three dimensions: banking, telecom and our society.

The roll-out in 2021 took place in a phased approach, with a gradual roll-out in all branches that started in April 2021. In October 2021, Beats was launched on our digital channels.

In 2022 we foresee additional initiatives on different dimensions, such as continued investment in training for our network. Our digital flow will be made less complex to optimize our user experience. And we will evolve to an even more personalized targeting and client communication based on the personal situation and passions of our clients.

Payment products

Payment products are offered in the form of packages of current accounts linked to a debit and credit card, depending on the level of service selected: from the introductory, free Beats Pulse (without credit card) to the Beats Star product. The granting of a credit card is subject to acceptance through an efficient risk management process. Customers can also opt for a Debit Mastercard. All cards include the contactless payment options with card or Android smartphone.

Given the constant evolution of payment systems in a changing European legislative framework (including PSD2), Belfius has invested in solutions to link the cards to a Fitbit or Garmin. Belfius is also a main shareholder of Bancontact Payconiq, a market leader in local card and payment systems in Belgium.

Credit Products

Belfius' main credit products for individuals are mortgage loans, which are offered at a broad range of fixed or variable interest rates. Belfius also offers consumer loans, including car loans, personal loans and renovation loans.

Savings and Investment Products

The year 2021 has been a rich year for Belfius in terms of development of the investment solutions, with a specific focus towards sustainable investment solutions. Belfius adopted a specific ESG policy called the Transition Acceleration Policy. The ambition is that the entire range of investment solutions proactively advised to the Belfius clients will comply with this policy by the end of 2022. In December 2021, Branch 23's flagship offering, KITE, was fully converted to accommodate underlying funds that are compliant with Belfius' Transition Acceleration Policy.

In March 2021, the SFDR regulation entered into force, meaning that investment funds and investment insurance solutions all received an SFDR classification. The core fund of our clients, Candriam Sustainable, which will come under the Belfius flag in 2022, is one of the few global allocation funds on the Belgian market having an Article 9 classification.

Two new thematic funds, the so called "funds of the future", were launched. These funds generate an impact on society. On the one hand, they invest in themes addressing global societal challenges. And on the other hand, a part of the management fees of those funds is transferred to a charity active (locally) in the theme.

A fund investing in companies looking for solutions to improve the problems related to mobility was launched in June 2021. In September 2021, a fund investing in companies seeking to improve the living conditions and development of children around the world completed the range.

For our Private and Wealth segments, the first solutions in illiquid assets have been proposed. A partnership with a new fund has been established, which is a first time for Belfius. This fund, the investment policy of which can be summarized as "Better for the people, better for the planet", has also been awarded an Article 9 classification according to SFDR and fits perfectly with the objective of developing sustainable investment solutions for our clients.

Insurance Products

Belfius Insurance offers its customers a comprehensive range of Life and Non-life insurance products through Belfius Bank's branch network and its digital touchpoints. It also offers these products through the tied agent network of DVV Insurance, as well as through Corona Direct Insurance.

The product range includes Non-life insurance cover: car insurance (third party and comprehensive), third party civil liability insurance, fire insurance, and miscellaneous risks insurance. For Non-life insurance products, the most significant products are property insurance and car insurance, which accounted for 37% and 42% of gross written premiums in Individuals in 2021. Health insurance, workers compensation and other types of insurance accounted for 2%, 2% and 17% of gross written premiums in 2021.

1.3. Distribution Channels

Belfius has an omni-channel business model aimed at striking the right balance between human interactions and efficient, user-friendly digital and remote-access interactions. The innovative digital and remote-access approach is geared towards Savers and Investors, with value-added branch interactions for those customers at key life moments.

Belfius offers its banking and insurance products through its network of 527 branches as at the end of 2021, its digital channels and its Belfius Connect remote service centre. It also offers its insurance products through its network of 312 (end 2021) DVV tied insurance agent branches, its direct insurance subsidiary, Corona Direct Insurance, and its Elantis brand.

527 network branches and 312 DVV insurance agent branches

Branch Network

Belfius Bank serves its customers through 527 branches as at the end of 2021, of which 414 are tied independent agent branches and 113 are own branches. The 527 branches are grouped into 77 organisational "clusters". On average, each cluster operates across 7 branches and has a sales force of approximately 39 persons.

Local empowerment is a key focus, with decision-making organised as close as possible to the customer. Each cluster offers access to specialists in insurance, mortgage loans and consumer finance, a wealth manager, a local private banker, a local corporate and business banker and account management for investors. Incentives for each branch are tied to its financial and/or commercial results, customer satisfaction and legal and regulatory compliance scores.

DVV Insurance, Tied Agent Network

DVV Insurance has a history of more than 90 years in the Belgian Life and Non-life insurance markets, thanks to a network of self-employed agents, selling exclusively DVV's insurance solutions. Through 312 branches, and ~900 dedicated insurance experts as at the end of 2021, DVV Insurance offers individuals, self-employed and small enterprises a complete range of insurance products and mortgage loans.

DVV has a unique brand promise based on empathy, proximity and expertise of its agents' network supported by digital technology. DVV gives a human face to insurance. Personal service and advice by the local intermediary constitute the key added value for its customers.

DVV's strategy is aimed at extending its customer base and rejuvenate its portfolio, relying on a high-quality product range of both Life and Non-life insurance products for personal and business needs. Clear focusses have been set on Business and Life Insurance and the ongoing digitalization, supporting the local DVV agents as contemporary insurance specialists in the daily support of their customers.

In 2021, the DVV tied agent network remained the most important channel for the distribution of Non-life insurance products of Belfius both in the Individuals and in the business segment.

Corona Direct Insurance

Corona Direct Insurance is Belfius' direct insurance subsidiary. It offers its 225,000 customers insurance products through direct channels (e-commerce, telephone and affiliate partners).

The insurance products offered by Corona Direct include family, car, motor, home, funeral and pet. Corona Direct has a digital standardized and innovative product offering at a competitive price, strong customer service and the agility to innovate, including by offering niche products such as kilometre-linked car and motor insurance and "beyond insurance" services. Total incasso including Life represents EUR 93.6 million GWP with GWP Non-life of EUR 67.0 million, still representing the majority of its portfolio.

Belfius Connect

Belfius Connect, the Belfius sales and servicing center supports omni-channel end-to-end sales flows, using different communication channels (including telephone, mail, chat and social media) to interact with customers. While the branches were less accessible at their info points and might welcome customers only by appointment in Covid-19 time, Belfius Connect played a crucial role by remaining available (on working days from 08.00 until 22.00 and on Saturdays from 09.00 until 17.00) to answer customers' questions and accompany them in remote sales flows by guiding them through the digital channels.

Elantis

Since 2012, Belfius Insurance has integrated the Elantis brand, which offers mortgage loans and consumer loans through independent brokers. As of 31 December 2021, Elantis accounted for EUR 0.2 billion of Belfius' outstanding consumer financing and EUR 4.1 billion of Belfius' outstanding mortgage loans. The loans production also gives the opportunity to cross sell with Life insurances and Belfius daily banking products.

1.4. Digital, data and beyond banking

Belfius has proved to be proactive and leading in the mobile digital transformation hence protecting its core, reinforcing its brand, its customer intimacy in a more digital world leading to a transformation of its business model to a strong digital-human collaboration.

"The Belfius Mobile App is leading in the world in convenience, functionalities and user experience design"

The Belfius Mobile app is once more **recognized as leading and award-winning banking app in the world** (e.g. Deloitte, Sia Partners) as such reinforcing customer intimacy, the Belfius brand and leaving less room for neo-banks to disrupt the client relationships of Belfius.

The mobile platform has continued to evolve to address customers' changing mobile needs. Strong customer adoption continues to increase year after year, with 211,000 additional clients using our app in 2021 (bettering the growth of 2020). Amounting to 1.79 million active users, using the app on a daily basis with an average of 36.6 log-ons per month. This growth in mobile activity among its customers that has been significantly higher than that of Belfius' European peers. Belfius Mobile has evolved to be the dominant digital payment and servicing channel leading to over 673 million log-ons in 2021.

Every three months new functionalities are added. The latest releases included:

- a segmented but OneApp experience for all Belfius customer segments;
- Re=Bel, Belfius' investment platform that makes sustainable investing accessible to everyone;
- a renewed investment overview;
- Beats, a truly innovative offer that combines Banking and Telco with a positive impact on Belgian society;
- a specific and simple Home Insurance digital offering for renters, after the first weeks, already 47% of new sales for this sub-product came through digital;
- the integration of Immovlan search & publish features within the App;
- a tool to calculate both your housing budget and the cost of a home;
- Be=Trade, a tool for all corporates trade finance activities;
- Belfius Edge, allowing E&E&P customers to manage their FX risks and needs with high speed and competitive prices.

Digital Sales

... also continued their growth path:

- 40% of new Belfius customers became a customer through a digital channel;
- 67% of pension savings plans were sold digitally of which 85% via mobile;
- 39% of new credit cards were sold through digital channels;
- digital sales contributed to 29% of recurring investment plans sales and digital communications contributed further to branch sales underlining the commercial added value of an innovative digital and omni-channel approach;
- 14% of home insurances were sold digitally. This ratio increases to 26% for renters;
- whilst the MyBo chatbot handling digital claims is already handling 41% of total claims digitally.

The exponentially growing number of digital interactions remains key in the coming months and years in the transition into a convenient digital sales and servicing platform and increase digital sales and service. Using all these digital touchpoints to inspire our customers and trigger end-2-end digital sales transactions thanks to relevant insights based on customers' behaviours, transactional data and preferences (causes, passions). The digital platform, supported by customer analytics, creates numerous opportunities for cross-selling also through proactive customer proposals in the high number of digital touchpoints per month per user at a cost-effective service cost for Belfius.

Data

The past year has dawned the acceleration of building solid data analytics foundations. On top of creating value for the customer and enabling Belfius to operate more efficiently and reduce costs, we have successfully driven change through the creation of a new organization structure that will reinforce the data analytics centre of excellence and develop our ESG and AI data activities.

By adopting the cloud and industrialising data science in an integrated corporate data platform, we continue the data transformation journey to become even more a data-driven company at the service of the love of our customers.

Beyond banking partnerships

In 2021 we made material progress in the execution and governance with respect to our Beyond strategy. This Beyond strategy is giving additional options to Belfius for the future, for instance in terms of cross-sell capacities and full digital distribution power. In 2021, the attention went to the implementation of three partnership agreements with Cyclis Bike Lease, Skipr and Immovlan.

Next to that, the first two realizations of our unique strategic partnership with Proximus saw the light: Beats and Banx.

Beats, a truly innovative offer that combines Banking and Telco with a positive impact on Belgian society.

Banx, a fully digital, Belgian banking experience, imagined by Proximus, powered by Belfius. Banx raises the bar for digital banking and allows users to monitor the impact of their purchases on the planet. The new banking app aims to encourage users to make more conscious and sustainable choices. Moreover, Banx is a Belgian initiative with a strong local anchorage. Today, for example, a dozen local partners can already be discovered in the app, with the aim of bringing together environmentally conscious consumers and local partners to make sustainable banking accessible to all.

Ambition & Strategy 2025 in Digital, Data & Beyond

In 2021, we started implementing our 2025 ambitions adapting Belfius even more to a more digital – human and integrated business model.

The investments in these three domains are key drivers of transformation of Belfius as part of the 2025 strategy. Data, Digital and Beyond will act as performance and efficiency enablers for all segments, enabling Belfius to realize its strategy.

The implementation of efficiency initiatives across Belfius' business lines and the development of Belfius' digital service offering have played a significant role in the improvement of Belfius' financial performance, including through operational efficiency improvements in the branch network, product portfolio and sales force as well as efficiencies delivered by its mobile platform. A key component of Belfius' strategy is to continue to capitalise on these initiatives and further optimise its operating model through ongoing integration and further digitalisation. As such, Belfius is able to maintain a controlled cost base, balancing its cost savings and efficiency gains with further strategic and innovation investments.

Belfius' ambition and strategy in Digital, Data & beyond are further described in the Chapter "Inspire 2025: a purpose and values driven strategy towards 2025".

2. Commercial performance Individuals in 2021

The commercial activity continues to show excellent dynamics despite Covid-19 crisis environment.

At 31 December 2021, **total savings and investments** amounted to EUR 118.4 billion, an increase of 9.8% compared with the end of 2020. The organic growth in 2021 amounted to EUR 5.7 billion, stemming mainly from the large increase in Non-Maturing Deposits (saving and payment accounts) and by strong performance in Mutual Funds & Mandates.

Non-Maturing deposits totalled EUR 61.7 billion at 31 December 2021, up +7.0% from the end of 2020. The payment and savings accounts outstanding reached EUR 13.3 billion (+12.4%) and EUR 48.4 billion (+5.6%) respectively at the end of December 2021.

Asset Management, Bonds and Equity investments (including Branch 23) increased strongly by 17.2% compared to the end of 2020, to EUR 47.9 billion. In particular, Asset Management Services have progressed quite well with an increase of 23.4% in 2021. This strong increase stems from both positive market effect and positive organic growth, particularly in the Funds of the Future. Another development of the investment approach is the launch in 2021 of the Belfius proprietary stock market platform, "Re=Bel". For every investment made through Re=Bel, we inform our customers of the sustainable nature of their transaction.

Other Savings and Investments amounted to EUR 8.7 billion, down 6.0% compared to the end of 2020. It includes mostly the decreasing investments in Branch 21 Life insurance guaranteed products given the low interest rate environment.

Individuals (Unaudited)

(In billions of EUR)	31/12/20	31/12/21	Evolution
TOTAL SAVINGS AND INVESTMENTS	107.8	118.4	+9.8%
NON MATURING DEPOSITS	**57.7**	**61.7**	**+7.0%**
Savings accounts	45.8	48.4	+5.6%
Current accounts	11.9	13.3	+12.4%
ASSET MANAGEMENT, BONDS AND EQUITY	**40.9**	**47.9**	**+17.2%**
Asset Management Services	29.9	36.9	+23.4%
Bonds	8.2	7.6	-7.8%
Equity	2.8	3.5	+24.3%
OTHER SAVINGS AND INVESTMENTS	**9.3**	**8.7**	**-6.0%**
Capital guaranteed products (Branch 21/26)	5.7	5.1	-10.1%
Saving Certificates	0.7	0.6	-20.8%
Term accounts	0.1	0.1	-27.4%
Third Party Products	2.7	2.9	+7.9%

Total loans to customers rose strongly (+7.0%) to EUR 45.1 billion at 31 December 2021. The increase occurred in mortgage loans (+7.7%). Mortgage loans, which account for 91% of all loans for Individuals, amounted to EUR 40.9 billion at the end 2021, while consumer loans and other loans to Individuals stood at EUR 1.7 billion and EUR 2.6 billion respectively.

New long-term loans granted to Individuals clients during 2021 amounted to EUR 8.7 billion compared to EUR 7.4 billion in 2020. Despite the Covid-19 crisis, the new production of mortgage loans has been very satisfactory in 2021 and amounted to EUR 7.7 billion. During the same period, EUR 0.7 billion in consumer loans and EUR 0.3 billion in new long-term business loans were granted.

Individuals (Unaudited)

(In billions of EUR)	31/12/20	31/12/21	Evolution
TOTAL LOANS TO CUSTOMERS	42.2	45.1	+7.0%
Mortgage loans	38.0	40.9	+7.7%
Consumer loans	1.7	1.7	-1.9%
Other loans[1]	2.5	2.6	+3.7%

(1) mainly Professional loans

The **total insurance production** from customers in the Individuals segment amounted EUR 2,232 million in 2021, compared with EUR 1,994 million in 2020, an increase of 12%.

Life insurance production stood at EUR 1,637 million in 2021[1], up 14.6% compared to 2020[2]. Unit-linked (Branch 23) production went up (+23%) thanks to a successful commercial campaign boosting Gross Written Premiums. Traditional Life (Branch 21/26) production decreased (-7%) because of low guaranteed rates and lower transfers due to lower amounts at maturity.

Non-life insurance production in 2021 stood at EUR 595 million, up 5.3% compared to 2020, boosted by the Bank distribution channel (+10%). The premium collection in DVV Insurance amounts to EUR 270 million, (+2% compared to 2020) and in Corona, Belfius' direct insurer, to more than EUR 67 million, up 2% compared to 2020.

The mortgage loan cross-sell ratio for credit balance insurance further decreased to 129% at the end of 2021. The lower cross-sell is mainly due to a switch of production towards more Singles and Private clients. The mortgage loan cross-sell ratio for property insurance slightly decreased to 84%.

Total insurance reserves, in the Individuals segment, amounted to EUR 11.6 billion. Life insurance reserves decreased slightly (-3.3%) since end 2020 to EUR 10.6 billion at the end of 2021. Unit-linked reserves (Branch 23) increased by 11%, while traditional guaranteed Life reserves (Life Branch 21/26) decreased by 11%, demonstrating the continued Life product mix transformation from guaranteed products to unit-linked products. Non-life reserves increased slightly from EUR 0.9 billion in 2020 to EUR 1 billion.

Belfius continues to set the pace in **mobile banking** in Belgium and further developed its digitally supported business model. At the end of 2021, Belfius apps for smartphones and tablets had 1.79 million users (+13%) and were consulted on average 36.6 times per month. The high satisfaction figures show that continuous innovation, focused on user-friendliness and valuable utility for the customer pays off.

(1) of which EUR 679 million Gross Written Premiums and EUR 958 million Transfers/Conversion/Arbitrage.
(2) of which EUR 566 million Gross Written Premiums and EUR 863 million Transfers/Conversion/Arbitrage.

Belfius continues to extend the functionalities of its apps. In 2021, 67% of the new pension saving contracts, 38% of the new credit cards and 39% of the new savings accounts were subscribed via direct channels.

Individuals (Unaudited)

(In billions of EUR)	31/12/20	31/12/21	Evolution
TOTAL LIFE INSURANCE RESERVES(1)	10,900	10,571	-3.0%
Guaranteed products (Branch 21/26)	7,183	6,422	-10.6%
Unit-Linked (Branch 23)	3,718	4,149	+11.6%

(1) Investment products and insurance products.

3. Financial results Individuals in 2021

Individuals net income after tax increased by 34.3% from EUR 331 million in 2020 to EUR 445 million in 2021.

In 2021, **total income** amounted to EUR 1,453 million, up 7.3% compared to the end of 2020, demonstrating the resilience of Belfius Individuals business model in the context of the Covid-19 crisis and in the adverse interest rate environment.

Net interest income of the bank amounted to EUR 547 million, a slight increase of -0.4%, mainly due to the strong loans volume growth with strict pricing discipline and positive impact of TLTRO III advantage partially offset by margin pressure on non-maturing deposits.

Net fee and commission of the Bank increased strongly by 18.6% and amounted to EUR 635 million, thanks to the successful implementation from our Bank for Investor strategy (leading to strong volume growth with increasing entry and management fees (in bps)) and increased payment fees.

The **Life insurance** contribution amounted to EUR 227 million, up 10.3% compared to 2020. Life income benefits from good ALM management and strict pricing policy in combination with decreasing cost of guaranteed interest and mortality profitability.

The **Non-life insurance** contribution strongly decreased by -9.6% and amounted to EUR 172 million due to exceptional floods in July, frequency in mobility higher than last year (strong positive lockdown impact in 2020) and a provision for damage caused by "drought" to be covered by fire insurance in the frame of a new legislation.

The **other income** amounted to EUR -127 million in 2021 compared to EUR -121 million in 2020, EUR 6 million more negative than last year, mainly stemming from higher cost of sector levies bank in 2021.

In 2021, **total expenses** amounted to EUR 890 million, a slight increase of EUR 2 million or +0.2% compared to 2020. Network costs and general expenses in IND were higher in 2021 compared to 2020 while staff expenses and depreciations were lower than last year.

As a result, **gross operating income** increased to EUR 563 million in 2021, up EUR 97 million or +20.8% compared to 2020.

The **cost of risk** consists of a net reversal of EUR 17 million in 2021, a strong improvement of EUR 47 million compared to 2020. The cost of risk in 2021 is largely impacted by net reversals of part of the Covid-19 provision and still low level of stage 3 provision.

The **impairments on (in)tangible assets** amounted to EUR -2 million.

Pre-tax income stood at EUR 579 million, up EUR 157 million or +37.3% compared to 2020.

Tax expenses amounted to EUR 133 million in 2021 compared to EUR 90 million in 2020. This increase is mainly due to higher profit before taxes.

As a result, **Individuals net income Group share** increased by 33.9% and amounts to EUR 446 million in 2021.

There is no special item in Individuals in 2021, so the **adjusted net income Individuals** amounts to EUR 446 million in 2021, up 33.9% compared to adjusted net income Individuals in 2020.

The Individuals **cost-income ratio** amounted to 61.3%, compared to 65.6% in 2020. The Return on Normative Regulatory Equity (RoNRE) stood at 26.2%.

Financial Results IND

(In millions of EUR)	2020	2021
INCOME	**1,355**	**1,453**
Net interest income bank	544	547
Net fee and commissions bank	535	635
Life insurance contribution	205	227
Non-life insurance contribution	190	172
Other	(121)	(127)
COSTS	**(888)**	**(890)**
GROSS INCOME	466	563
Cost of risk	(30)	17
Impairments on (in)tangible assets	(14)	(2)
NET INCOME BEFORE TAXES	421	579
Tax (expense) income	(90)	(133)
NET INCOME AFTER TAXES	331	445
Non controlling interests	(1)	0
NET INCOME GROUP SHARE	333	446
ADJUSTED NET INCOME(1)	333	446

(1) Adjusted results are Alternative Performance Measures and are defined and reconciled in the APM-document on the website: *www.belfius.com*.

Ratios

(in%)	2020	2021
Cost-income ratio(1)	65.6%	61.3%
RoNRE(2)	19.0%	26.2%

(1) Expenses relative to income.
(2) Return on Normative regulatory equity (RoNRE) is calculated by Belfius as the net income as a percentage of the average Normative regulatory equity allocated to the segment.

Normative regulatory equity & risk exposures

(In millions of EUR)	31/12/20	31/12/21
Normative regulatory equity(1)	1,846	1,890
Regulatory risk exposures	13,673	13,997

(1) The Normative regulatory equity of the business line is calibrated. The business line's CET1 ratio is brought at 13.5% taking into account the regulatory risk exposures allocated to the business line.

Entrepreneurs, Enterprises & Public (E&E&P)

1. Business description E&E&P

Belfius offers a complete range of banking and insurance products and services to around **350,000 entrepreneurs, 13,750 enterprises and 10,300 public and social institutions (E&E&P)**. While still leading the public and social sector with more than 160 years of experience in that sector, Belfius is successfully pursuing its strategy of being a "Lead and Loved Bank" in the Entrepreneurs and Enterprises (E&E) segment. Two years after the launch of its ambition, it is clear that the bank is increasingly positioned as a leader in the E&E market and has a solid position with a market share of over 17.5% for E&E.

"Lead & Loved Bank for E&E&P"

1.1. Client segmentation

The E&E&P division's products and services are aimed at entrepreneurs (Business segment), medium and large companies (Corporate segment) and public and social sector entities (Public and Social segment).

- **The Business segment** includes self-employed, liberal professions (e.g. lawyers, doctors, accountants and so on) and SMEs with a turnover of EUR 0 to 10 million.
- **The Corporate Banking segment** comprises medium and large Belgian companies with a turnover of more than EUR 10 million and operating in Belgium in all sectors of activity. Within Corporate Banking, Belfius has created a new segment on the borderline between Business and Corporate Banking, with a turnover of between EUR 10 and 25 million, which has been named the "Local Corporate" segment.
- **The Public and Social segment** includes local public bodies (e.g. municipalities, provinces, police zones and CPAS), supralocal public bodies (e.g. inter-municipal), regional and federal public bodies, health insurance funds and trade unions, actors in health care (hospitals, homes for the elderly), education (universities, schools) and housing, as well as foundations, social secretariats and pension funds.

1.2. Distribution channels

The Public & Social sector commercial network consists of 41 bankers in three regions. These relationship managers focus on specific client segments. Knowing how their clients operate, they are able to identify the banking and insurance solutions that best meet their needs.

The Corporate business network comprises 78 Corporate Bankers in four regions. We also have 38 Corporate Bankers to serve medium-sized companies with a local presence (Local Corporate segment).

The business segment is served by our branch network and by our DVV tied agent network.

In the Public and Corporate segments, the banker (the "hub") is the key contact in the commercial interaction with the client. He or she is the first contact person and maintains a long-term relationship of trust with the client. The bankers can call on internal experts (the "spokes") at any time for the various product and service lines, e.g. investments, Cash Management Services, Trade Finance, Belfius Commercial Finance, insurance, Financial Markets and leasing. A "hub and spokes" approach is at the heart of our service model for Public and Corporate clients.

In addition to the great asset of good human service which we already had, Belfius is also focusing on the digital channels. Just like our individual clients, our professional clients can also do their banking with Belfius remotely. Belfius' digital offer is centred around its completely renewed BelfiusWeb application (desktop and mobile). This application offers the possibility of initiating payments and signing transactions in security, and with no limit on the amount. It also offers the possibility of directly drawing Straight or Roll-Over Loans.

Business clients can carry out all their operations via Belfius Direct net. They also have access to the Belfius mobile application which has been recognised as the best in the world in terms of convenience, functionality, design and user experience.

In 2021, the digital functions have been enriched with new features. First of all there is Smarty, a new fast and secure online platform for application forms (accounts, cards, BelfiusWeb and so on). Available 24 hours a day, 7 days a week, everything is done digitally and saves clients a great deal of time, as they can also sign documents on their smartphone. At the end of October, Belfius also launched its new digital platform BE-Trade, which facilitates the end-to-end processing of international trade operations for clients. Finally, Belfius Edge allows E&E clients to execute foreign exchange transactions digitally directly in the Belfius trading room.

1.3. Our range of banking solutions and services

Belfius wants to remain a strong driver of the Belgian economy with a high loan volume. It also wants to offer a range of first-class services and solutions to meet the professional and private needs of its clients and thus to help them to develop their activities and manage their cash flow.

1. Financing products

Belfius has a formal commitment to support the Belgian economy, not only in good times but also in times of difficulty. Belfius is convinced that rapid credit to healthy companies can be essential, and during the Covid-19 crisis Belfius was able to support a very large number of Belgian companies and businesses which requested a deferral of their loan payments or an increase in their credit lines.

We also support the entire public and social sector, such as hospitals, education and other social actors. In this area, Belfius intends to play a key role in the structuring and financing of large infrastructure investment projects in Belgium.

Belfius offers its E&E&P clients a range of long and short-term loan products to enable them to finance and develop their activities. In particular we can note the following:

- for the business segment, Belfius offers specific solutions for start-ups, doctors and accountancy professionals. The products include tailor-made financing (credit, factoring, leasing), cash management and payment solutions, investments, mobility solutions, Non-life insurance products and professional Life products.
- working capital solutions: to finance working capital needs, Belfius offers a range of solutions such as short-term loans and factoring to optimise and avoid the tying up of liquid assets. Each solution is appropriate for a specific situation, facilitating the financial management of the activities, optimising the accounting or tax situation etc.
- leasing services: through its full subsidiaries, Belfius Lease and Belfius Auto Lease, Belfius offers various financial and operational leasing solutions.

"Belfius wins the 'Bond Finance House of the Year' award for the 6th time, making it the undisputed Number 1 in Debt Capital Markets."

- Debt Capital Markets (DCM) activities: Belfius is widely recognised for its expertise and the accompanying role it plays in the issuance of bonds by Belgian issuers on the financial markets in the (semi-)public and corporate sector. Belfius is the leading bank for DCM in Belgium in terms of the number of transactions. In total, no fewer than 60 bond transactions took place in 2021 for 25 different issuers. In addition, on 18 January 2022, Belfius was awarded the "Bond Finance House of the Year" prize by Euronext Brussels. This prestigious and much sought-after award confirms the strategic role which the Bank plays in advising and offering its clients alternative financing on the capital markets. This is the sixth time that Belfius has won this award, making it the undisputed Number 1 in Debt Capital Markets for Belgian issuers.
- Equity Capital Markets (ECM) activities: Belfius also operates in the equity capital markets, structuring and placing market transactions for its Belgian corporate clients (initial issues, capital increases, private placement of shares). In order to expand its service offering, Belfius entered into a strategic partnership with Kepler Cheuvreux in 2017. In 2021, Belfius was again among the leading ECM banks in Belgium in terms of the number of Belgian corporate transactions executed in Equity Capital Markets.
- real estate financing: the Belfius real estate department has financed more than 1,000 projects, mainly for public and social authorities, over the past 25 years. Belfius offers clients the support of its in-house architects, engineers and project managers specialised in construction and financing. With its unique "Smart Building and Renovation Solutions" (a tailor-made "all-in" formula to help and accompany clients from A to Z in their projects) Belfius financed 46 projects for a total amount of EUR 286 million in 2021.
- infrastructure financing: Belfius plays a key role in the structuring and financing of major infrastructure investment projects in Belgium, including renewable energy projects, as well as semi-public real estate and infrastructure projects, via structured loans, syndicated loans and PPP financing.
- trade and export financing: Belfius offers Belgian companies operating internationally a range of trade and export financing products and services, from documentary credit to buyer credit. Transactions are carried out through an extensive network of correspondents embodying the presence of Belfius in all the major countries of the world.
  Belfius was named "Best Trade Finance Provider 2022 in Belgium" for the second year in a row. This award is a recognition for the efforts made by Belfius to accompany Belgian companies in their daily import and export activities.

2. Payment products

In parallel with its standard banking offer, which includes accounts, debit cards, credit cards and cash pools, Belfius offers payment products which are adapted to the various needs of E&E&P clients, such as prepaid cards, social accounts, online payment solutions with the specialist in this field, Mollie, the exclusive collaboration with Twikey for all needs in the field of direct debits and new methods of requesting payments and e-invoicing.

For Business customers, payment products are offered in the form of payment account packs linked to a debit and credit card attester (Business Pack and Business Pack Plus) at a lower price than each individual product, combined with other benefits (free multi-currency compartments, two instant payments per month included, and discount on CODA reporting fees). In 2022, packages will be introduced for the Corporate and Public & Social Profit segments.

With Payworld, Belfius has a new partner (in addition to Worldline) to equip its clients with a payment terminal. For the time being, it is mainly small retailers, start-ups and doctors who have already been offered a Payworld terminal.

Belfius also positions itself as an account aggregator and offers the management of accounts with other banks and the execution of payment transactions from those accounts.

To its public clients, Belfius offers cash management and liquidity services. The Bank has long been the cashier of all Belgian regional administrations (except of one) and of almost all Belgian municipalities.

Also for its clients which also operate abroad, Belfius offers a wide range of products and tailor-made solutions through its Transaction Banking division.

In addition, Belfius and Commerzbank have entered into a partnership for their cross-border cash management and trade finance activities. Henceforth, Commerzbank clients operating in Belgium will have the opportunity to obtain a complete solution for their Belgian activities via Belfius, and vice versa. This will be done through a dedicated international desk within Belfius. Belfius wants to make a difference for companies, helping them to grow and facilitating their (inter)national development, while strengthening the local economy.

For the second consecutive year, the internationally renowned magazine Global Finance awarded Belfius the title of "Best Bank for Cash Management and Trade Finance activities on the Belgian market". This double recognition once again confirms the expertise of Belfius and its real added value for entrepreneurs and companies in our country, both for the daily management of their financial flows and for the processing of their international trade operations and the development of their activities in Belgium and abroad. These awards attest to the know-how of the Transaction Banking division set up two years ago and the relevance of the offer combining innovative solutions and local service.

Finally, Belfius attaches great importance to the security of transactions, and constantly monitors its internal procedures to prevent fraud. It has also developed an additional security offer for its clients based on three axes, to help companies and public administrations in the prevention, detection and management of fraud risks. Belfius and its partners then carry out an analysis of internal procedures, an IT audit of the client's security systems and an anti-fraud analysis programme.

3. Savings and investment products

Belfius offers two categories of savings and investment products to its E&E&P clients: on-balance sheet products, such as savings accounts, term accounts, savings certificates and bonds issued by Belfius; and off-balance sheet products, including discretionary portfolio management, mutual funds and third-party bonds. Dedicated product managers create savings and investment products which meet their clients' specific needs in terms of risk, structure and maturity.

4. Insurance products

Belfius Insurance offers entrepreneurial clients a complete range of Life and Non-life insurance products via the Belfius Bank branch network.

The product range includes Non-life insurance cover: car insurance, third party liability insurance, property insurance and casualty insurance.

In addition, Life insurance products such as complementary pension plans for the self-employed are offered to professional clients.

Belfius Insurance also markets Life insurance products among its public and social clients. The specific Life insurance solutions mainly concern first and second pillar pension insurance in the public service.

5. People Rewards

Belfius also offers a range of financial and insurance products such as warrants, Belfius Autolease, and Life insurance to all employers who wish to remunerate their employees within the framework of a variable remuneration policy.

Belfius also offers a Long-Term Option Plan. All Belfius Long-Term Option Plans are managed electronically via the web application MyPlansByBelfius.

6. Financial analysis service

Belfius also carries out annual studies to enlighten clients on topics such as the development of local, municipal and provincial finances, with specific variations for each local authority. Special financial analyses are also offered to individual municipalities and hospitals, to help them understand their own finances and see their figures in relation to regional or peer averages. These studies have become the reference management tools for Belfius clients in the public and social sector.

In keeping with tradition, Belfius Bank also presented its State of Local Finances report in June. The 2021 study not only looks at municipal budgets but also at the evolution of local finances and whether local authorities are financially strong enough to contribute to the recovery.

SYMIA is a tool which allows the financial situation of a local authority to be visualised over a period of seven years. It is an application at the service of local authorities and citizens. Using this application, public administrations can visualise the evolution of budgets over the long term, respect the constraints of a balanced budget, measure the financial impact of political choices and inform the citizen. A Covid-19 module has been added to the tool as well as a module on the impact of rising energy costs.

For the 27th time, Belfius deciphered the financial situation of general hospitals in Belgium and analysed the figures for the year 2020, which was impacted by the pandemic. In this study, Belfius examines whether the advances which hospitals received were sufficient to keep the sector afloat.

7. Handover of activities

Belfius has performed a quantitative analysis of the transfer of family businesses to the next generation, analysing a representative sample of 45,000 family businesses. This unique study shows that no fewer than 4 out of 5 businesses which will be passed on within ten years are likely to encounter problems in making this transition. To support business owners, Belfius has developed two important initiatives. On the one hand, it has created Bizz Matcher, an internal platform enabling bankers to put sellers and buyers in touch with each other. On the other hand, it has signed a partnership with the "Instituut voor het Familiebedrijf" (IFB) so that its clients can benefit from cutting-edge expertise in the field of business succession.

"We not only provide objective, high-level analyses, but also support our clients with inspiring solutions."

1.4. Sustainability as a key element of our offers

In view of the energy challenges facing Belgian companies and public institutions, sustainability is an integral part of Belfius strategy. Within this context, the bank is continuing to expand its range of sustainable products and solutions and is developing value propositions based on major societal themes.

Aware of the challenges linked to sustainable mobility, Belfius Auto-Lease is resolutely committed to flexi-mobility and offers its clients a range of flexible, sustainable and innovative mobility solutions, adapted to their specific needs and developed with several leading Belgian partners:

- Belfius Car Lease, a complete range of tailor-made car leasing formulas, aimed at promoting the use of eco-friendly vehicles and including, for example, recharging infrastructures for electric or plug-in vehicles.
- Belfius Bike lease, an operational all-in bicycle leasing formula (in partnership with Cyclis, the pioneer of bicycle leasing in Belgium).
- Belfius Move by Skipr, an innovative digital solution to optimise employee travel while reducing the administrative burden for the employer. This solution includes an app which allows you to plan, book and pay for your trips by combining different means of transport and choosing the most cost effective and ecological route. ...

Belfius Auto-Lease is thus well on its way to achieving the objective of reducing the average CO_2 emissions of its fleet by 50% by 2025.

Belfius Bank and CO2logic have extended their carbon neutrality partnership by adding a new component: improving air quality. Airscan - a subsidiary of CO2logic - and Belfius are equipping a wide range of schools with state-of-the-art measuring devices which analyse indoor and outdoor air quality. Based on these measurements, an action plan is set up with the schools in order to create a healthier environment for the children, and considerably to reduce the carbon footprint.

The modernisation and in-depth renovation of many buildings is unavoidable. Solutions to make them more intelligent and, above all, less energy-consuming and thus reduce our CO_2 emissions are at the forefront of our thinking. It is in this spirit that Belfius offers the Smart Building & Renovation solution, an all-inclusive formula tailored to help and accompany schools, care institutions, companies and local authorities at the various stages, from A to Z, of their projects (from around EUR 1 million), from technical and energy audits to the final acceptance of the building. In doing so, Belfius assists all authorities in one of the main pillars of the National Investment Pact and in Belgium's urgent need to modernise and improve its building stock.

Finally, in 2021, Belfius also played a senior role in no less than 10 Green, Social or Sustainable Bonds.

We should also note the great success of the inaugural issue of the Belfius Green Bond (EUR 500 million over 6 years).

2. Commercial performance E&E&P in 2021

As of 31 December 2021, **total savings and investments** amounted to EUR 61.2 billion, up 9.3% compared to the end of 2020. Non Maturing Deposits (saving and payment accounts) increased by EUR 4.5 billion (+12.5%) to EUR 40.4 billion. Asset Management, Bonds and Equity investments increased by EUR 1.3 billion (+11.6%) to EUR 12.3 billion, sustained by positive market effect and positive organic growth.

Entrepreneurs. Enterprises & Public (Unaudited)

(In billions of EUR)	31/12/20	31/12/21	Evolution
TOTAL SAVINGS AND INVESTMENTS	56.0	61.2	+9.3%
Non maturing deposits	35.9	40.4	+12.5%
Asset Management, Bonds and Equities	11.0	12.3	+11.6%
Other savings and investments(1)	9.1	8.5	-6.4%

(1) Capital guaranteed products (Branch 21/26). Savings certificates. Term accounts and Third party products.

Total outstanding loans increased to EUR 57.0 billion (+3.4%). Outstanding loans to Business customers has grown by EUR 1.0 billion (+7.1%). Outstanding loans Corporate has grown by EUR 1.4 billion (+8.0%). In Public & Social Banking, the decrease of outstanding loans continues and is the result of lower demand, increased competition in the segment and a structural shift towards more alternative financing via the (debt) capital markets.

Entrepreneurs, Enterprises & Public (Unaudited)

(In billions of EUR)	31/12/20	31/12/21	Evolution
OUTSTANDING LOANS	55.2	57.0	+3.4%
Business	13.2	14.2	+7.1%
Public and Social	24.3	23.8	-2.1%
Corporate	17.6	19.0	+8.0%
OFF-BALANCE SHEET COMMITMENTS	25.9	27.5	+6.4%

Belfius granted EUR 13.6 billion (+8.2%) in new long-term loans in the Belgian economy to Business, Corporate and Public and Social sector clients.

In 2021, EUR 4.5 billion in new long-term loans to business clients were granted. The same year, Belfius assisted 16,716 new start-ups.

The production of long-term loans for Corporate customers amounted to EUR 6.4 billion, confirming Belfius' position as one of the top four banks in the segment. Its market share in terms of loans increased from 17.5% in 2020 to an estimated 18.5% at the end of 2021.

In 2021, Belfius granted EUR 2.6 billion of new long-term financing to the public sector. Belfius remains the undisputed leader in this market and responds to every financing tender from public bodies, to which it offers sustainable financing conditions. Belfius manages the cash flow of virtually all local authorities and was awarded 59% (in volumes) of the public sector financing files put out to tender in 2021.

Belfius also strengthened its leading position in the **Debt Capital Markets (DCM)** for (semi-)public and private companies: in 2021, the Bank issued EUR 7.5 billion in innovative financing instruments in the form of short-term issues (average outstanding amount on commercial paper) and long-term issues (Medium Term Notes and bonds).

The E&E&P segment's commercial results in insurance increased in terms of underwriting volumes, in particular for:

- Non-life GWP E&E&P: small increase compared to 2020 (+1.3%) to EUR 174 million thanks to growth in the business segment of both Bancassurance and DVV offsetting a decrease in the Wholesale segment due to the continued implementation of the run-off strategy in Wholesale Brokers and Wholesale Bancassurance;
- Production of E&E&P Life which exceeds 2020 by EUR 14 million to EUR 416 million, thanks to solid growth on business pension and slightly higher GWP on Wholesale Life, with higher production in segregated funds almost offset by lower production in first and second pillar.

Entrepreneurs, Enterprises & Public (Unaudited)

(In millions of EUR)	31/12/20	31/12/21	Evolution
TOTAL PREMIUMS RECEIVED	573	589	+2.9%
Life	401	416	+3.5%
Non-life	172	174	+1.3%

3. Financial results E&E&P in 2021

Net income after tax increased from EUR 82 million in 2020 to EUR 482 million in 2021. Last year's result was impacted by an exceptional increase of cost of risk provision, as a result of the Covid-19 crisis.

In 2021, **total income** E&E&P amounted to EUR 1,069 million, up EUR 65 million or +6.5% compared to 2020.

E&E&P **Net interest income** of the bank amounted to EUR 865 million, up 9.4% compared to 2020. This is due mainly to higher loans volumes at strict pricing and positive impact of TLTRO III advantage.

E&E&P **Net fee and commission income** of the bank increased significantly in 2021 to EUR 104 million (EUR +11 million) mainly thanks to increase payment and loan fees combined with good results in ECM activity.

Life Insurance activity ended at EUR 76 million in 2021, 11.4% higher than in 2020.

Non-life insurance contribution decreased from EUR 54 million in 2020 to EUR 38 million in 2021, as a result of a higher claims.

In 2021, **total expenses** amounted to EUR 435 million, in line with 2020.

As a result, **gross operating income** was EUR 635 million in 2021, an increase of EUR 64 million, or +11.2% compared to 2020.

The **cost of risk** amounted to EUR -10 million in 2021 (compared to EUR -456 million in 2020). This unprecedented situation in 2020 stemmed from an extremely high amount of contracts being moved to stage 2 as a result of the Covid-19 crisis. The impairments on (in)tangible assets was nil this year.

As a result, **Pre-tax income** amounted to EUR 625 million, which was EUR 512 million higher than in 2020.

The **tax charge** amounted to EUR 143 million in 2021 while it was EUR 30 million in 2020.

As a result, the E&E&P **net income Group share** reached EUR 482 million in 2021, while it amounted to EUR 82 million in 2020.

There is **no special item** in E&E&P in 2021, so the adjusted net income E&E&P amounts to EUR 482 million in 2021 compared to EUR 82 million adjusted net income in 2020.

The **cost-income ratio** of the E&E&P segment is 40.6% in 2021. The **Return on Normative Regulatory Equity** (RoNRE) is 11.4%.

Financial Results E&E&P

(In millions of EUR)	2020	2021
INCOME	1,005	1,069
Net interest income bank	791	865
Net fee and commissions bank	93	104
Life insurance contribution	68	76
Non-life insurance contribution	54	38
Other	(1)	(14)
COSTS	(434)	(435)
GROSS INCOME	571	635
Cost of risk	(456)	(10)
Impairments on (in)tangible assets	(2)	0
NET INCOME BEFORE TAXES	113	625
Tax (expense) income	(30)	(143)
NET INCOME AFTER TAXES	82	482
Non controlling interests	0	0
NET INCOME GROUP SHARE	82	482
ADJUSTED NET INCOME(1)	82	482

(1) Adjusted results are Alternative Performance Measures and are defined and reconciled in the APM-document on the website: *www.belfius.com*.

Ratios

(in%)	2020	2021
Cost-income ratio(1)	43.2%	40.6%
RoNRE(2)	2.1%	11.4%

(1) Expenses relative to income.
(2) Return on Normative regulatory equity (RoNRE) is calculated by Belfius as the annualized net income as a percentage of the average Normative regulatory equity.

Normative regulatory equity & risk exposures

(In millions of EUR)	31/12/20	31/12/21
Normative regulatory equity(1)	4,398	4,919
Regulatory risk exposures	32,580	36,435

(1) The Normative regulatory equity of the business line is calibrated. The business line's CET 1 ratio is brought at 13.5% taking into account the regulatory risk exposures allocated to the business line and some CET 1 capital deductions allocated to the business line (to a very limited extent, since the most important part of CET 1 capital deductions are allocated to GC).

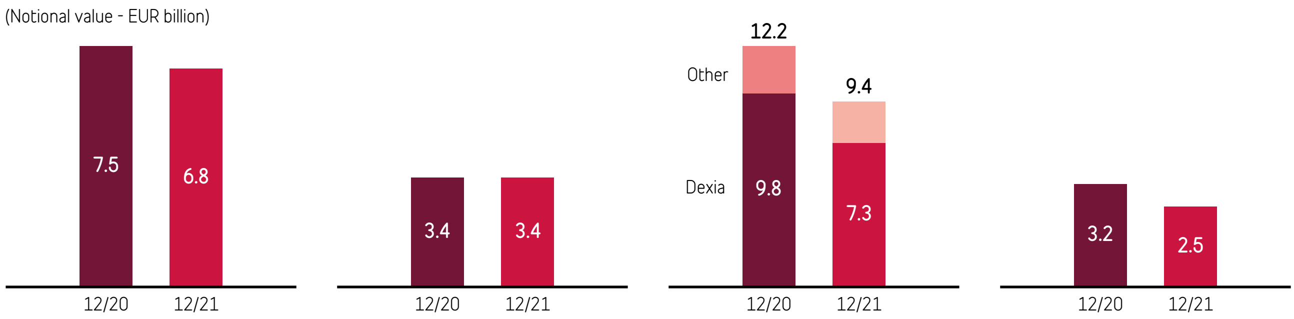
Group Center (GC)

Group Center operates through two sub-segments:

- **Run-off portfolios**, inherited from the Dexia era, which mainly comprise:
  - a portfolio of bonds issued by international issuers, particularly active in the public and regulated utilities sector (which includes UK inflation-linked bonds) and ABS/RMBS, the so-called ALM Yield bond portfolio;
  - a portfolio of credit guarantees, comprising credit default swaps and financial guarantees written on underlying bonds issued by international issuers, and partially hedged by Belfius with monoline insurers (mostly Assured Guaranty); and
  - a portfolio of IR derivatives with Dexia entities as counterparty and with other foreign counterparties.
- **ALM liquidity and rate management and other Group Center activities**, composed of liquidity and rate management of Belfius (including its ALM Liquidity bond portfolio, derivatives used for ALM management and the management of central assets) and other activities not allocated to commercial activities, such as corporate and financial market support services (e.g. Treasury), the management of two former specific loan files inherited from the Dexia era (loans to Gemeentelijke Holding/Holding Communal and Arco entities), and the Group Center of Belfius Insurance.

These portfolios and activities are further described below.

ALM Liquidity	Run-off portfolios		
ALM Liquidity bond portfolio	ALM Yield bond portfolio	IR Derivatives	Credit guarantees



1. ALM Liquidity bond portfolio

The ALM Liquidity bond portfolio is part of Belfius Bank's total LCR liquidity buffer and is well diversified with high credit and liquidity quality.

At the end of 2021, the ALM Liquidity bond portfolio stood at EUR 6.8 billion[1], down EUR 0.7 billion, or -9%, compared with December 2020. At the end of 2021, the portfolio was composed of sovereign and public sector bonds (62%), covered bonds (30%), corporate bonds (7%) and asset-backed securities (1%). Belgian and Italian government bonds in the ALM Liquidity bond portfolio both amounted to EUR 1.5 billion[1] and EUR 0.9 billion[1] respectively.

At the end of 2021, the ALM Liquidity bond portfolio had an average life of 7.8 years, and an average rating of A- (100% of the portfolio being investment grade) compared with A- at year-end 2020.

2. ALM Yield bond portfolio

The ALM Yield bond portfolio of Belfius Bank was used to manage excess liquidity (after optimal commercial use in the business lines) and consisted mainly of high-quality bonds from international issuers.

At the end of 2021, the ALM Yield bond portfolio stood at EUR 3.4 billion[1], up 0.2%, compared with December 2020. At the end of 2021, the portfolio was composed of corporates (72%), sovereign and public sector (12%), asset-backed securities (10%), and financial institutions (6%). Almost 85% of corporate bonds, composed mainly of long-term inflation-linked bonds, are issued by highly regulated UK hospitals, infrastructure companies and utilities such as water and gas distribution companies. These bonds are of satisfactory credit quality and the majority of these bonds are covered by credit protection from a credit insurer (monoline insurer) that is independent from the bond issuer.

At the end of 2021, the ALM Yield bond portfolio had an average life of 19.0 years. The average rating of the ALM Yield bond portfolio stood at A-. 96% of the portfolio was investment grade.

(1) Nominal amount

3. Derivatives with Dexia entities and foreign counterparties

During the period it was part of the Dexia Group, formerly Dexia Bank Belgium (now Belfius Bank), it was Dexia Group's "competence centre" for derivatives (mainly interest rate swaps): this meant that all Dexia entities were able to cover their market risks with derivatives with Dexia Bank Belgium, mainly under standard contractual terms related to cash collateral. The former Dexia Bank Belgium systematically re-hedged these derivative positions externally, as a result of which these derivatives broadly appear twice in Belfius' accounts: once in relation to Dexia entities and once for hedging.

The total outstanding notional amount of derivatives with Dexia entities and interest rate derivatives with international counterparties amounted to EUR 9.4 billion(1) at the end of 2021, down EUR 2.8 billion, or -23%, compared with EUR 12.2 billion at the end of December 2020.

Derivatives with Dexia entities decreased by 26% (or EUR -2.6 billion) to EUR 7.3 billion at the end of 2021. This decrease is due mainly to amortisations. Derivatives with international counterparties decreased by EUR 0.9 billion (or -9%) to EUR 2.2 billion at the end of 2021.

The fair value of Dexia and international counterparty derivatives amounted to EUR 2.1 billion at the end of 2021. After collateralisation, the Exposure At Default (EAD) amounted to EUR 1.2 billion, an increase due to the adoption of the new SA CCR method for measuring derivatives counterparty credit risk, replacing the CEM method.

At the end of 2021, the average rating of the total portfolio stood at BBB and the average residual life of the portfolio stood at 11.9 years(2).

(1) Nominal amount.
(2) Calculated on EAD.

4. Credit guarantees

At the end of 2021, the credit guarantees portfolio amounted to EUR 2.5 billion(1), down EUR 0.7 billion or -22% compared with December 2020. It relates essentially to Financial Guarantees, and Credit Default Swaps issued on corporate/public issuer bonds (98%) and ABS (2%). The good credit quality of the underlying reference bond portfolio, additional protection against credit risk incorporated in the bond itself and the protections purchased by Belfius, mainly from various monoline insurers (US reinsurance companies, essentially Assured Guaranty) resulted in a portfolio that is 97% investment grade in terms of credit risk profile. The final Negative Basis Trade & the Total Return Swaps for an amount of EUR 0.4 billion(1) were unwound in 2021.

At the end of 2021, the average rating of the portfolio stood at BBB+ (compared with A- at year end 2020). The average residual life of the portfolio stood at 10.0 years.

5. Other Group Center activities

Other activities allocated to Group Center include:

- the interest rate and liquidity transformation activity performed within ALM, after internal transfer pricing with commercial business lines, including the use of derivatives for global ALM management;
- the management of two legacy loan files inherited from the Dexia era, i.e. the investment loans to two groups in liquidation, namely Gemeentelijke Holding/Holding Communal and some Arco entities;
- the flow management, including hedge management, of internal and external interest rate derivative flows given that Group Center is the Belfius Competence Centre for interest rate derivatives;
- treasury activities (money market activities); and
- the results including revenue and costs on assets and liabilities not allocated to a specific business line.

The Group Center of Belfius Insurance is also fully allocated to these other Group Center activities. The Belfius Insurance Group Center contains income from assets not allocated to a specific business line, the cost of Belfius Insurance's subordinated debt, the results of certain of its subsidiaries and costs that are not allocated to a specific business line.

6. Financial results GC in 2021

GC net income after tax stood at EUR 7 million in 2021, compared to EUR 117 million in 2020.

In 2021, **total income** amounted to EUR 181 million, that is EUR 74 million less than in 2020. This decrease stems from the net interest income (mainly due to more funding from commercial perimeter to be invested at negative deposit facility rate) and from the other income (mainly due to the capital gains in 2020 following the sale of central buildings, and to higher cost of the bank levies in 2021).

Total expenses increased from EUR 143 million in 2020 to EUR 153 million in 2021.

The **gross operating income** decreased from EUR 112 million in 2020 to EUR 28 million in 2021.

The **cost of risk** stood at EUR -6 million in 2021, compared to EUR 33 million in 2020. In 2021, the cost of risk was impacted by downgrades or revised Loss Given Default on some positions in our bonds portfolio. The main part of the positive amount of 2020 is explained by a reversal on a specific file.

There is no **impairment on (in)tangible assets** in 2021, as in 2020.

Pre-tax income stood at EUR 22 million in 2021 compared to EUR 145 million in 2020.

Taxes amounted to EUR -14 million in 2021 compared to EUR -27 million in 2020. In 2020, we note the positive impact of a EUR 10 million following the recuperation and reversal of tax uncertainties related to fairness tax. In 2021, note that no deferred tax assets are recognized on the negative profit before tax at BIRL due to the uncertainty with regard to future taxable income, which is resulting in an increase of the tax cost of EUR 3 million.

As a result, Belfius' **GC net income group share** amounted to EUR 7 million in 2021, compared to EUR 117 million in 2020.

Excluding special items, the **adjusted net income GC** stood at EUR 12 million in 2021, compared to EUR 103 million in 2020.

Financial Results GC

(In millions of EUR)	2020	2021
INCOME	**255**	**181**
Net interest income bank	254	212
Net fee and commissions bank	(6)	(7)
Life insurance contribution	0	0
Non-life insurance contribution	0	0
Other	7	(24)
COSTS	**(143)**	**(153)**
GROSS INCOME	112	28
Cost of risk	33	(6)
Impairments on (in)tangible assets	0	0
NET INCOME BEFORE TAXES	145	22
Tax (expense) income	(27)	(14)
NET INCOME AFTER TAXES	118	8
Non controlling interests	1	1
NET INCOME GROUP SHARE	117	7
ADJUSTED NET INCOME[1]	103	12

(1) Adjusted results are Alternative Performance Measures and are defined and reconciled in the APM-document on the website: *www.belfius.com*.

Capital management

This chapter is an integrated part of the consolidated annual financial statements.

Capital management at the Bank[1]

1. Prudential supervision

1.1. Minimum Requirement

Belfius Bank reports on its solvency position on a consolidated level and at a statutory level in line with the revised Capital Requirements Regulation and Directive, commonly referred to as CRR 2 and CRD 5:

- the minimum capital requirements ("Pillar 1 requirements") as defined by Article 92 of Regulation (EU) 2019/876 of the European Parliament and of the Council of 20 May 2019 amending Regulation (EU) No 575/2013 (CRR 2);
- the capital requirements that are imposed by the SREP decision (Supervisory Review and Evaluation Process) pursuant to Article 16(2)(a) of Regulation (EU) No 1024/2013 and which go beyond the Pillar 1 requirements ("Pillar 2 requirements");
- the combined buffer requirement as defined in Article 128(6) of Directive (EU) 2019/878 of the European Parliament and of the Council of 20 May 2019 amending Directive 2013/36/EU (CRD 5).

The ECB notified Belfius on 8 April 2020 that banks are able to use capital instruments that do not qualify as Common Equity Tier 1 (such as Additional Tier 1 or Tier 2 instruments) partially to meet Pillar 2 Requirements (P2R – Article 104-a of CRD 5). As a result the P2R total capital buffer of 2% can be split into

- 1.125% to meet CET 1 instruments,
- 0.375% to meet Additional Tier 1 instruments and
- 0.5% to meet Tier 2 instruments.

At the end of 2020 the ECB informed Belfius that the ECB is not issuing a SREP decision for the 2020 Supervisory Review and Evaluation Process cycle and that the previous "2019 SREP Decision" from the end of 2019 and its amendments remains into force. As a result, Belfius had to comply with a minimum CET 1 ratio of 9.625% for 2020.

Minimum CET 1 ratio Requirement

(In %)	2020	2021
Pillar I minimum	4.5%	4.5%
Pillar II requirement	1.125%	1.125%
Capital conservation buffer	2.5%	2.5%
Buffer for (other) domestic systemically important institutions	1.5%	1.5%
Countercyclical buffer	0.00%	0.01%
MINIMUM CET 1 - RATIO REQUIREMENT	9.625%	9.635%

For 2021, Belfius must comply with a minimum CET 1 ratio of 9.635%, which is composed of:

- a Pillar 1 minimum of 4.5%;
- a Pillar 2 Requirement (P2R) of 1.125% (after split of 2% P2R);
- a capital conservation buffer (CCB) of 2.5%;
- a buffer for (other) domestic systemically important institutions (O-SII buffer) of 1.5%; and
- a total countercyclical capital buffer of 0.01%.

(1) unaudited

The countercyclical capital buffer requirement for Belfius increased to 1 bp in June 2021, relating to Belfius' very limited exposures under the countercyclical buffer requirements of Luxembourg.

The ECB has also confirmed the Pillar 2 Guidance (P2G) for Belfius of 1% CET 1 ratio for 2021, setting the minimum requirement at 10.635%.

The consolidated CET 1-ratio of Belfius at the end of 2021 stood at 16.37%, well above the 2021 applicable SREP CET 1 capital requirement mentioned above.

Further to these regulatory requirements, Belfius stated in its Risk Appetite Framework that, in normal market circumstances and under stable regulations, it would strive to respect a minimum operational CET 1 ratio of 13.5%, at solo and consolidated levels.

As a result of the annual "Supervisory Review and Evaluation Process" (SREP) finalised by the ECB at the beginning of 2022, Belfius has to comply for 2022 with a minimum CET 1-ratio of 9.708% (including the countercyclical capital buffer), composed of:

- a Pillar 1 minimum of 4.5%;
- a Pillar 2 Requirement (P2R) of 1.198% (after split of 2.13% P2R);
- a capital conservation buffer (CCB) of 2.5%;
- a O-SII buffer of 1.5% and
- a countercyclical capital buffer (CCyB) of 0.01%.

Belfius has to respect the full combined buffer requirements (capital conservation buffer, countercyclical capital buffer, buffer for systemically important institutions and systemic risk buffer) and the Pillar 2 buffer requirements. The P2R total capital buffer of 2.13% can be split into

- 1.198% to meet CET 1 instruments,
- 0.399% to meet Additional Tier 1 instruments and
- 0.533% to meet Tier 2 instruments.

The increase of P2R from 2% to 2.13% is due to a temporary add-on to complete the coverage of Non Performing Exposures (NPE) which is expected to be achieved over the medium term. On 31 December 2020, Belfius' adjusted amount with respect to the coverage expectations amounts to EUR 76 million (or 0.13% add-on). This recommendation is only applicable to the identified NPE stock on 31 March 2018. To reduce this temporary add-on, measures will be taken by Belfius:

- the sale of NPE assets (write-off/sale),
- the increase of specific provisions and
- the deduction for NPE insufficient loss coverage from CET 1 capital.

Note that the ECB also notified Belfius of a Pillar 2 Guidance (P2G) of 0.75% CET 1 ratio for 2022, a recommended buffer to be held over the minimum requirements set out above, resulting in a minimum CET 1 ratio of 10.458%.

The decrease of the P2G from 1% to 0.75% results from the enhanced resilience of Belfius as highlighted by the recent EBA Stress test published in July 2021.

1.2 Applied methodology

Following the amendments of CRR 2 Article 473a in 2020, Belfius requested and was granted by the ECB the application of transitional measures for the first-time adoption impact and all subsequent impacts of IFRS 9 on the expected credit loss model from 31 December 2020.

As a result, the solvency metrics of 2021 are referenced as "transitional" for both the CET 1 capital and the risk exposure amounts.

The regulator authorised Belfius to apply Article 49 of the CRR and to monitor and report solvency within the prudential scope, where Belfius Insurance is accounted for using the equity method (i.e. not fully consolidated), and to include the capital instruments of Belfius Insurance, subscribed by Belfius Bank, in the total regulatory risk exposure by applying a weighting of 370% (the so-called "Danish Compromise"). Following a modification to Article 18 in the CRR regulations, Belfius notified the ECB that, from 4Q 2020, the IFRS equity value of Belfius Insurance would be recognised in the prudential accounts. This modification resulted in a higher CET 1 capital, partially offset by higher risk exposure amounts – or an impact of +40 bps on the CET 1 ratio.

In addition to the CRR 2/CRD 5 regulations, Belfius is considered as a financial conglomerate with significant banking and insurance activities and is required to comply with the Financial Conglomerate Directive (FICO 2002/87/EC). For this purpose, specific reporting requirements with financial statements, regulatory capital, risk concentration and leverage ratio are sent to the regulator. These calculations and reports are made on the consolidated position of the bank and insurance group.

At the end of 2021, Belfius complied with all requirements requested from a financial conglomerate point of view.

2. Regulatory own funds at a consolidated level

As indicated above, for regulatory reporting purposes, Belfius Insurance group is not consolidated but accounted for using the equity method. As a result, the core shareholders' equity and consolidated net income reported in the consolidated financial statements is equal to those reported in the regulatory reporting used for the regulatory core own funds.

At the end of 2021, the starting point for the regulatory core own funds amounted to EUR 10,560 million and was equal to the core shareholders' equity in the consolidated financial statements. The increase of EUR 745 million compared with the end of 2020 stems mainly from the result of 2021 of EUR 935 million as well as the increased reserves and retained earnings (EUR 341 million) following the integration of last year's result (EUR 532 million) after (first partial) dividend payment (EUR 77 million) and the payment of the remaining (EUR 130 million) dividend over 2020 as an intermediary dividend.

CET 1 capital amounted to EUR 10,658 million, compared with EUR 10,150 million at the end of 2020. The increase in CET 1 capital of EUR 508 million resulted mainly from the increase in regulatory core own funds by EUR 745 million partially offset by the increased correction for foreseeable dividend for EUR 162 million (based on a 40% pay-out ratio) and the decreased add-back of IFRS 9 provisions thanks to the transitional arrangements stated in the CRR for EUR 106 million.

Regulatory own funds

(In millions of EUR)	31/12/20	31/12/21
STARTING POINT FOR THE REGULATORY CORE OWN FUNDS	**9,816**	**10,560**
DEDUCTION OF FORESEEABLE DIVIDEND	**(210)**	**(371)**
TRANSITIONAL MEASURES FOR IFRS 9 PROVISIONS	**413**	**307**
GAINS AND LOSSES NOT RECOGNISED IN THE STATEMENT OF INCOME	**404**	**420**
Remeasurement defined benefit plans	69	132
OCI reserves - portfolios measured at FVTOCI	335	288
Other reserves	(69)	(98)
Prudential filter on the fair value reserves related to gains and losses on cash flow hedges on financial instruments	69	98
DEDUCTIONS AND PRUDENTIAL FILTERS	**(273)**	**(259)**
Investments in securitisation positions	0	0
Deferred tax assets on losses carried forward	0	0
Changes in the value of own credit standing	(2)	(3)
Value adjustments due to the requirements for regulatory prudent valuation	(74)	(62)
Intangible fixed assets	(74)	(54)
Goodwill	(104)	(104)
Shortfall of provisions over expected losses for IRB portfolios	(2)	(2)
Defined Benefit Pension Plan assets	0	(15)
Payment Commitments IPC	(17)	(17)
NPE insufficient loss coverage	0	0
Additional deduction due to CRR Art 3	0	0
COMMON EQUITY TIER 1 CAPITAL (CET 1 CAPITAL)	10,150	10,658
Additional Tier 1 capital instruments	497	497
TIER 1 CAPITAL	10,647	11,155
Tier 2 capital instruments	1,066	1,441
Excess of provisions over expected losses for IRB portfolios	190	148
General credit risk adjustments SA (standard approach)	176	163
TIER 2 CAPITAL	1,433	1,752
REGULATORY OWN FUNDS (AFTER APPROBATION OF RESULT)	12,080	12,907

For prudential purposes, a deduction of the foreseeable dividend of EUR 371.4 million was made, as defined by the dividend and capital policy:

- a calculation of the foreseeable dividend for ordinary shares of EUR 368.5 million based on a pay-out ratio of 40% multiplied by the 2021 consolidated net result reduced by the full year 2021 coupon cost after tax (treated for accounting purposes as dividend) on the AT1 instrument; and
- the remaining AT1 instrument coupon cost after tax (treated for accounting purposes as dividend) since the last coupon date, which has not yet been paid out to AT1 holders (i.e. EUR 2.9 million, which for accounting purposes has not yet been deducted from equity, for the period between 16 October and 31 December 2021).

(In millions of EUR)	
Consolidated net result 2021	935
Correction for coupon for AT1 holders, after tax	(13.7)
Pay-out ratio 2021 (capital and dividend policy)	40%
Foreseeable dividend for ordinary shares	368.5
Paid interim dividend	0
Remaining foreseeable dividend for ordinary shares	368.5
Remaining coupon for AT1 holders for 2021	2.9
TOTAL FORESEEABLE DIVIDENDS TO DEDUCT FROM UNDISTRIBUTED PROFIT	371.4

The transitional measures regarding the first-time adoption impact and all subsequent impacts of IFRS 9 on expected credit losses (Covid-19 related relaxation) amounted to EUR 306 million. As of 31 December 2020, Belfius is allowed to apply transitional measures to add back to its prudential CET 1 capital a portion of the increase of IFRS 9 expected credit loss provisions for the static component (relating to the FTA IFRS 9 on 1 January 2018) and the dynamic components (from 1 January 2018 until 31 December 2021), with the adjusted phasing-in timetable. These transitional arrangements will be applied until 31 December 2024, unless Belfius requests and is granted a reversal. The transitional arrangements decreased by EUR 106 million in 2021 due to the degressive character of the transitional measures (from a 0.7 factor to a 0.5 factor) and the decrease of the stock of IFRS 9 impairments.

The increase in the "gains and losses not recognised in the statement of income" of EUR 16 million stemmed from the remeasurement of defined benefit plans of EUR 63 million mainly due to the effect of a higher discount rate, offset by the decrease in the revaluation of the portfolios of debt and equity instruments of EUR 47 million, mainly related to the Belfius Insurance portfolios, following negative fair value adjustments on bonds due to higher interest rates.

The deductions and prudential filters decreased by EUR 15 million mainly following

- a decrease in the deduction of software and other intangible assets of EUR 20 million related to accelerated depreciations and recently activated software eligible for prudential amortization,
- a decreased prudential filter for regulatory additional valuation adjustments of EUR 12 million due to changes in model risk, offset by the end of Covid-19 related regulatory relaxation measures, partially offset by
- the deduction of Defined Contribution pension plan assets for EUR 15 million due to the evolution of the plan assets and the discount rate.

Note that the deduction of insufficient loss coverage for Non Performing Exposures amounts to EUR 0.3 million, this highlights the fact that the provisions are in line with the expectations set out in the NPE loss coverage regulation (CRR2). The deductions for goodwill and irrevocable payment commitment (IPC) with regard to resolution funds remained stable.

Note that the significant and non-significant investments in own funds instruments of financial entities and the stock of temporary differences in the unrecognized deferred tax assets remain below the thresholds for deduction of the regulatory own funds and are included in the credit risk exposure amount.

Tier 1 capital amounted to EUR 11,155 million, compared with EUR 10,647 million at the end of 2020, the increase of EUR 508 million is closely related to the increase in CET 1 capital. The Tier 1 capital includes the additional Tier 1 issue of EUR 500 million (nominal value) dated February 2018.

Tier 2 capital increased to EUR 1,752 million compared with EUR 1,433 million at the end of 2020. The increase of EUR 319 million was mainly related to the increase of EUR 375 million of the regulatory value of Tier 2 capital instruments following the issuance of fixed rate Tier 2 subordinated notes (EUR 497 million) and the decreased regulatory value of existing Tier 2 capital instruments (EUR 122 million), partially offset by the decreases related to the lower excess of provisions in comparison to expected losses for IRB portfolios due to methodological changes (EUR 43 million) and the lower general credit risk adjustment Standard Approach (EUR 13 million).

We refer to the disclosure in the financial statements regarding subordinated debts for a brief description of the additional Tier 1 and Tier 2 instruments and to the detailed characteristics of these instruments in the Pillar 3 – Risk Report.

At the end of 2021, total regulatory own funds amounted to EUR 12,907 million, compared with EUR 12,080 million at the end of 2020.

3. Regulatory risk exposure at a consolidated level

Total risk exposure (RWA) includes risk-weighted exposures for credit risk, CVA risk, market risk and operational risk. Each of the underlying risks is detailed in the section on Risk Management in this report. Included in the risk exposure amount is an amount stemming from the application of the Danish Compromise, whereby the capital instruments issued by Belfius Insurance and held by Belfius Bank are included in the RWA via a weighting of 370%.

(In millions of EUR)	31/12/20	31/12/21	Evolution
Regulatory credit risk exposure	44,559	49,998	+5,439
Regulatory CVA exposure	740	679	-61
Regulatory market risk exposure	1,373	1,362	-11
Regulatory operational risk exposure	3,245	3,433	+187
Danish Compromise	9,391	9,623	+232
Additional risk exposure (Art 3 CRR)	0	0	0
REGULATORY RISK EXPOSURE	59,309	65,095	+5,786

At the end of 2021, Belfius RWA amounted to EUR 65,095 million, an increase of EUR 5,786 million compared with EUR 59,309 million at the end of 2020.

The credit risk exposure amount including counterparty credit risk increased by EUR 5,439 million to EUR 49,998 million due to:

- strong growth in commercial activities (EUR +3.0 billion). Note that credit quality indicators remained good throughout the year showing the resilience of retail and corporates segments to the Covid 19 crisis;
- a more stringent regulatory environment (EUR +2.7billion) with TRIM decisions affecting the large corporates and banks models and with the implementation of CRR 2 regulation;

- de-risking: a slight decrease on Group Center (EUR -0.2 billion) - excluding regulatory effects - mainly due to the unwind of an important run-off transaction at the end of the year; the RWA for the Danish Compromise increased by EUR 232 million to EUR 9,623 million, due mainly to an increase of the equity value of Belfius Insurance.

The CVA RWA decreased by EUR 61 million to EUR 679 million thanks to decreasing exposures.

The market risk RWA decreased by EUR 11 million over the year. Covid-19 related volatile interest rate scenarios of 2020 disappeared from the historical window calculation but were replaced by new severe scenario in October generating an equivalent VaR/SVaR average increase.

Operational RWA increased (EUR +187 million) over the period, in line with the increase in income.

4. Solvency ratios for Belfius Bank at a consolidated level

At the end of 2021, CET 1-ratio amounted to 16.37%, a decrease of 74 bps compared with the end of 2020. Note that this transitional CET 1-ratio takes into account the transitional IFRS 9 measures with impacts on prudential capital and risk exposure for +51 bps, a decrease by 24 bps compared with the end of 2020

The decrease in CET 1-ratio is the result of positive effects from higher CET 1 capital (+86 bps) offset by the negative effects from the higher total risk exposure (-160 bps). We refer to the comments above for further information.

At the end of 2021, Tier 1 capital ratio amounted to 17.14%, a decrease of 82 bps compared with the end of 2020.

The total capital ratio amounted to 19.83%, a decrease of 54 bps compared with the end of 2020.

Note that without the application of the IFRS 9 transitional measures, the fully loaded CET 1-ratio would amount to 15.86%, the Tier 1 capital ratio amount to 16.63% and the Total Capital ratio would decrease by 52 bps amounting to 19.31%.

	31/12/20 Transitional		31/12/21 Transitional	
CRR 2/CRD 5	DANISH COMPROMISE	DEDUCTION METHOD	DANISH COMPROMISE	DEDUCTION METHOD
Common Equity Tier 1 ratio (CET 1-ratio)	17.11%	17.42%	16.37%	16.57%
Tier 1-capital ratio (T1-ratio)	17.95%	18.05%	17.14%	17.14%
Total Capital Ratio	20.37%	20.05%	19.83%	19.51%

Applying the "Danish Compromise" compared with the deduction method for capital instruments of Belfius Insurance (equity deducted from CET 1 capital and subordinated debt instruments deducted from Tier 2 capital) would have the following impacts: an increase of 20 bps of the CET 1-ratio and a decrease of 32 bps of the Total Capital ratio.

5. Solvency ratios for Belfius Bank at a statutory level

At the end of December 2021, CET 1-capital ratio on Belfius Bank statutory level amounts to 15.00% compared to 16.73% end 2020, a decrease due to the increased credit risk exposures.

At the end of December 2021, the available distributable items on statutory level amounted to EUR 4,749 million.

6. Leverage ratios for Belfius Bank at a consolidated level

The leverage requirement is as from June 2021, a binding CRR 2 requirement. The CRR 2 integrated the leverage ratio in the Pillar I requirement and set the level of minimum requirement at 3%, and a surcharge has also been fixed by the EBA for G-SIB with a mandate to analyse whether some O-SIB (like Belfius) should be given the same or similar additional buffer requirement.

The leverage ratio is defined as the Tier 1 capital (the numerator) divided by the exposure measure (the denominator), computed as balance sheet assets after certain restatements on derivatives, securities financing transactions, off-balance-sheet items and prudential adjustments (for items already deducted from the numerator).

In order to be consistent with the calculation of the regulatory Tier 1 capital (numerator), the calculation of the leverage exposure (denominator) is based on the prudential consolidation perimeter, where Belfius Insurance is accounted for using the equity method.

Furthermore, the application of transitional measures for IFRS 9 provisions from December 2020 has an impact on the numerator (cf. above) and the denominator, the Covid-19 related regulatory measure to temporarily exclude certain exposures to central banks from June 2020 has an impact on the denominator.

The risk of excessive leverage is managed through the Financial Plan process. The leverage ratio as defined in the CRR 2 is further an integrated part of the Risk Appetite Framework for which internal limits and targets are set and which is validated by the Board of Directors. The risk of excessive leverage is included in the Belfius reporting and control processes and is monitored regularly. Any important deviation and/or prudential changes in the leverage ratio is reported to the appropriate committees for management actions.

At the end of 2021, the Belfius transitional leverage ratio stood at 7.13%, an increase of 28 bps compared with the end of 2020 and well above the minimum pillar 1 requirement of 3%, applicable from June 2021 onwards.

The increase is the result of positive effects (+33 bps) from the higher level of Tier 1 capital (see above), offset by a limited negative effect (-5 bps) from the increased total leverage exposure measure, mainly from higher volumes of loans to corporates and mortgage loans, partially offset by a decrease in securities financing transaction exposures due to decreased off-balance commitments and by the temporary Covid-19 related relaxation measures allowing banks to partially exclude certain Central Bank exposures.

(In millions of EUR)	31/12/20 Transitional	31/12/21 Transitional
TIER 1 CAPITAL	**10,647**	**11,155**
Total assets	187,991	192,151
Deconsolidation of Belfius Insurance (equity method)	(16,810)	(16,700)
Adjustment for derivatives	(16,678)	(13,051)
Adjustment for securities financing transactions exposures	9,628	7,478
Adjustment for Central Banks reserves	(25,434)	(31,641)
Adjustment for prudential corrections in calculation of Tier 1 capital	233	131
Off-balance sheet exposures	16,500	18,019
LEVERAGE RATIO EXPOSURE	**155,431**	**156,386**
LEVERAGE RATIO (IN%)	6.85%	7.13%

Without the temporary partial exclusion of certain Central Bank exposures the transitional leverage ratio would decrease by 120 bps.

Please note that the fully phased-in leverage ratio, excluding the transitional measures for IFRS 9 provisions but including the temporary partial exclusion of certain Central Bank exposures would decrease by 18 bps.

7. Minimum requirement for own funds and eligible liabilities

On 3 March 2022, the NBB notified Belfius that, going forward, it is to execute the SRB MREL instruction regarding the minimum requirement own funds and eligible liabilities at the consolidated level of Belfius Bank under BRRD2. For Belfius Bank, the MREL requirement on a consolidated basis is set at 22.73% of Total Risk Exposure Amount (TREA) and 7.87% of Leverage Ratio Exposure (LRE).

Belfius Bank must meet the target no later than 1 January 2024 and must provide for a linear build-up of equity and eligible liabilities towards the requirement. The SRB previously on 28 January 2021 determined an intermediate target of 22.37% of TREA and 6.84% of LRE which must be met by 1 January 2022.

The SRB MREL instruction also provides for a subordination requirement: Belfius Bank must meet at least 16.61% of TREA and 7.87% of LRE by means of subordinated MREL. Own funds used to meet the combined buffer requirement (CBR) set out in Directive 2013/36/EU (at 4.01% of TREA for Belfius currently) are not eligible to meet the requirements expressed in TREA. Belfius Bank must comply with this subordination requirement by 1 January 2024, subject to an intermediate target of 15.25% of TREA and 6.84% of LRE by 1 January 2022 (as previously determined by SRB on 28 January 2021).

With the annual review of MREL requirements by SRB, Belfius currently estimates that its MREL subordination requirement could be lowered from 2024 onwards, to 13.5% of TREA (or 17.51% of TREA including current CBR requirement), based on forward looking assessment of the formula applied by SRB.

Belfius already meets its expected BRRD2 MREL requirements at the end of 2021. Indeed, expressed in TREA, Belfius MREL of EUR 18.8 billion amounted 28.83% to be compared with 26.88% of the 2024 final binding target (including a CBR of 4.01%).

In the same way, Belfius MREL subordination of EUR 15.0 billion amounts 23.1% to be compared with 19.26% of the binding target (including a CBR of 4.01%). Expressed in LRE, Belfius MREL subordination of 9.6% stands in excess of 6.84% MREL requirement.

Capital management at Belfius Insurance[1]

1. Prudential supervision

Belfius Insurance reports to its regulator, the NBB. Inter alia, a quarterly report concerning its solvency margin and liquidity is required, both at a consolidated and at a statutory level.

As part of prudential supervision over systemic insurers, highly detailed information is also provided to the NBB about the company's strategy, its ALM policy and the sufficiency of its technical provisions.

2. Regulatory own funds

The risks that Belfius Insurance faces are reflected in the "Solvency II requirements" which are applicable to all EU-Member States. The own funds of Belfius Insurance available to cover the requirements are determined according to the valuation and eligibility principles defined in the Solvency II regulation, Directive 2009/38/EU.

The regulatory own funds after foreseeable dividend of Belfius Insurance amounted to EUR 2,314 million at the end of December 2021. It was 81% composed of the highest quality capital Tier 1. Tier 2 capital equals EUR 364 million and consists mainly of two subordinated loans granted by Belfius Bank and the Tier 3 capital relates to a deferred tax asset of EUR 80 million. At the end of 2021, one of the subordinated loans was redeemed on the early prepayment date and replaced by a new subordinated Tier 2 loan for the same nominal amount of EUR 100 million.

Compared to December 2020, the regulatory own funds of Belfius Insurance have increased by EUR 64 million, even after a foreseeable dividend of EUR 130 million, thanks to the good performance of the financial markets in 2021 which was partially offset by some refinements on models and assumptions on the liability side. Further, Belfius Insurance noted an increase of the deferred tax assets which are defined as component of the regulatory own funds.

Belfius Insurance consolidated

(In millions of EUR)	31/12/20	31/12/21
AVAILABLE FINANCIAL RESOURCES BEFORE FORESEEABLE DIVIDEND	2,390	2,444
Tier 1	1,786	1,830
IFRS Equity	2,079	2,174
Valuation difference (after tax)	(293)	(344)
Restricted Tier 1	171	170
Tier 2	375	364
Subordinated debt	364	353
Others	11	11
Tier 3	58	80
DTA	58	80
AVAILABLE FINANCIAL RESOURCES AFTER FORESEEABLE DIVIDEND	2,250	2,314
AFR before foreseeable dividend	2,390	2,444
Foreseeable dividend	140	130

(1) unaudited

3. Solvency requirement

The Solvency II Capital Requirement (SCR) is calculated on the base of the consolidated asset and liability portfolio of Belfius Insurance, Corona and those investment entities that are fully consolidated for Solvency II purposes.

The SCR for Belfius Insurance is determined using the "Standard Formula" as defined in the Solvency II regulation, taking into account a volatility adjustment and making use of the transitional measure for equities. In its SCR, Belfius Insurance has to apply the restriction on the use of Loss Absorbing Capacity of Deferred Taxes as prescribed by the NBB.

Belfius Insurance's SCR amounted to EUR 1,219 million at the end of December 2021, an increase of EUR 94 million compared to the end of 2020.

Market risk remains the main contributor to the required capital, due to spread and equity risk, and increased given the good performance of the financial markets. The SCR linked to interest rate risk was rather limited thanks to the ALM management of Belfius Insurance, targeting a limited global duration mismatch between assets and liabilities. A further increase in deferred tax assets, lowered the positive effect related to the use of the Loss Absorbing Capacity of Deferred Taxes in the SCR calculation.

(In millions of EUR)	31/12/20	31/12/21
SOLVENCY CAPITAL REQUIREMENT	1,125	1,219
Market risk	798	863
Credit Risk	179	172
Insurance Risk	701	717
Operational Risk	96	92
Diversification	(528)	(540)
Loss absorbing capacity of technical provisions and deferred taxes	(122)	(87)

4. Solvency ratios at Belfius Insurance

The Solvency II ratio of Belfius Insurance stood at 200% at the end of December 2021, and after dividend we end at 190%. It dropped slightly compared to last year, given that the increase in SCR was not fully offset by a similar proportionate increase in AFR including a foreseeable dividend of EUR 130 million.

Given the comfortable level of our own funds, the Board of Directors of Belfius Insurance proposed to the General Assembly to pay a dividend over FY 2021 equal to EUR 130 million and to maintain the remaining of the profit to be allocated in retained earnings. The dividend pay-out following the contractual profit allocation amounting to EUR 4.6 million has been foreseen.

Further to the minimum regulatory requirements of 100%, Belfius Insurance has, in current market circumstances and under current regulations, defined a minimum operational Solvency II ratio of 160% both at a solo and a consolidated level.

Solvency II-ratio

(in %)	31/12/20	31/12/21
Solvency II ratio (before dividend)	212%	200%
Solvency II ratio (after dividend)	200%	190%

In addition to the establishment of a complete risk framework, the Solvency II regulations also require a self-assessment in which, taking the business plan into account, the future capital buffers are estimated and a number of sensitivity analyses are performed. In these analyses Belfius Insurance still has the appropriate capital margins required to absorb shocks, as stated in the Risk Appetite Framework approved by the Board of Directors.

	Shock	Solvency II Ratio (in %)
Base case (after dividend)		190%
Stress scenarios		
Interest rate	-50 bps	195%
Equity	-30%	185%
Credit Spread		
Credit spread on corporate bonds	+50 bps	184%
Credit spread on government bonds	+50 bps	173%
Credit spread on corporate & government bonds	+50 bps	166%
Real Estate	-15%	181%
Volatily Adjustment (VA)		186%
Ultimate forward rate (UFR) @ 3%		185%

A 50 bps fall in the interest level (compared with the level at the end of 2021) would have an impact of +5pp on the Solvency II ratio. A stock market shock of -30% on share prices would have an impact of -5 pp while a drop in the real estate portfolio of 15% would decrease the solvency ratio by -8 pp. A 50 bps rise in credit spreads across the whole bond and credit portfolio leads to a drop of -23 pp and the elimination of the Volatility Adjustment in calculation of the Best Estimate of liabilities would result in an impact of -4 pp. The reduction of the Ultimate Forward rate (UFR) from the current level of 3.75% to a level of for instance 3% would decrease the solvency ratio by -5 pp.

Capital adequacy[1]

1. Economic capital

As required by Pillar 2 of the Basel regulation, Belfius has an internal mechanism for the quarterly monitoring of the main risk appetite and capital adequacy ratios. This quarterly reporting is completed with a monthly monitoring addressing some of the key risk appetite and capital adequacy ratios.

1.1. Definition

The economic capital is defined as the potential deviation of Belfius' economic value from its expected economic value, and this within a given interval of confidence and time horizon. The confidence threshold (99.94%) chosen for scenarios involving losses in value corresponds to the Bank's targeted senior unsecured debt rating at a horizon of one year (A rating for 2021).

The economic capital quantification process is organised in three phases: identifying the risks (definition and cartography, reviewed on an annual basis, in collaboration with the various business lines), measuring the risks (mainly on the basis of statistical methods and/ or scenarios) and aggregating the risks based on an inter-risk correlation matrix.

Most risks are capitalised based on measuring the unexpected loss. However, if alternative management techniques (limits, other buffers than capital, governance) are considered more appropriate to cover them, some risks are not capitalised.

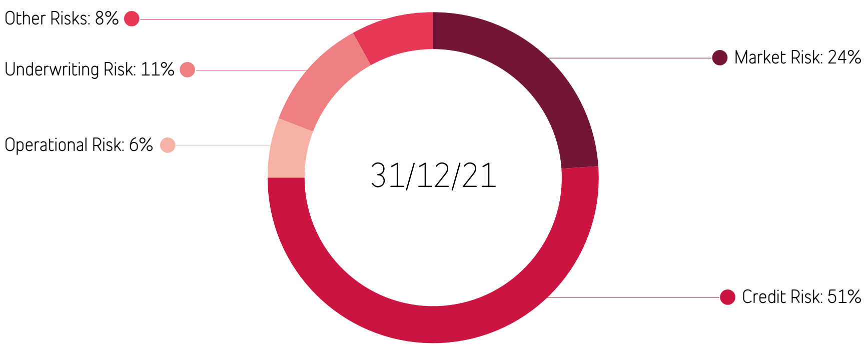
The economic capital is central in the context of Belfius' risk appetite and is also complementary to the Stress Test framework for Internal Capital Adequacy Assessment Process (ICAAP) purposes. It is also involved in pricing as well as in the assessment of Belfius' profitability.

1.2. Economic capital adequacy

The Management Board is responsible for managing the capital level and allocation process and has authority in all matters relating to economic capital. The RAC analyses inter alia the various models involved in calculating the economic capital and also monitors the (regulatory and economic) ratios, limits and triggers.

Belfius economic capital was EUR 5,709 million at the end of December 2021 (against EUR 5,579 million at the end of 2020).

Breakdown of economic capital by type of risk

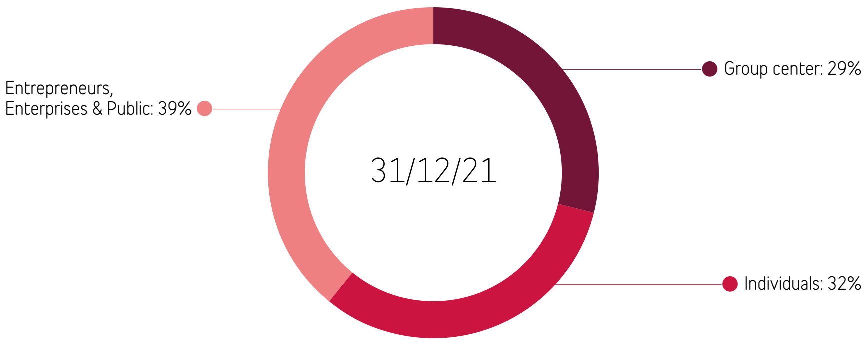


(1) unaudited

Credit risk represented approximately 51% of the economic capital and was the main contributor; market risk (inter alia including interest rate risk, foreign-exchange rate risk, spread risk and equity risk) was 24%, underwriting risk 11%, operational risk 6% and other risks (prepayment, funding,…) 8%.

By business line, the economic capital was allocated as follows: Individuals and Entrepreneurs, Enterprises & Public represented 32% and 39% respectively of Belfius' economic capital; the balance was made up of 29% allocated to the Group Center (mainly for the Belfius' general balance sheet management in terms of interest and funding risks, including the bonds investment portfolios and for the portfolios of derivatives and run-off credit guarantees).

Breakdown of economic capital by business line



Normative regulatory equity

The total normative regulatory equity is equal to 13.5% (Belfius' minimum operational CET 1 ratio) of the total consolidated Risk Weighted Assets and amounted to EUR 8,788 million end 2021 compared to EUR 8,007 million at the end of 2020.

The normative regulatory equity of each business line is also equal to 13.5% of the Risk Weighted Assets of the business line.

(In millions of EUR)	31/12/20	31/12/21
TOTAL NORMATIVE REGULATORY EQUITY	8,007	8,788
of which allocated to		
Individuals	1,846	1,890
Entrepreneurs, Enterprises & Public	4,398	4,919
Group Center	1,763	1,980

Risk management

This chapter is an integrated part of the consolidated annual financial statements.

Introduction

Belfius' activities are exposed to a number of risks such as - but not exclusively - credit risks, market risks, liquidity risk, non-financial risk, insurance risk, changes in regulations, the macro-economic environment and geopolitical risks in general, that may also have a negative impact on the bank's balance sheet and profit and loss accounts.

To manage these risks appropriately, Belfius has put in place a sound governance, including a robust risk framework and a sound risk culture.

1. Macroeconomic environment in 2021

Over the whole of 2021, the GDP of the Belgian economy increased by 6.1% after a decline of 5.7% in 2020. During the third quarter, the Belgian economy returned to its pre-pandemic output level. Growth made a strong start in the first half of 2021 and remained robust in the third quarter, but the final quarter ended on a weaker note due to the spread of the Omicron variant. Economic growth in 2021 was supported by nearly all spending components. Business investment surprised on the upside, and the recovery of consumption was also an important source of growth. Value added rose by 9.9% in industry, by 6.7% in construction and by 5.2% in services. During 2022, quarterly growth should gradually normalize, leading to less pronounced growth of 3.2%, with exports and private consumption acting as strong drivers.

At the euro area level, GDP growth recovered to 5.4% in 2021 after falling to 6.5% in 2020. Growth rates differed significantly between Member States. France and Italy rebounded with growth rates above 6% but the recovery progressed more slowly in Spain (4.8%) and Germany (2.8%).

1.1. Inflationary pressure is rising sharply

Inflation in Belgium rose more strongly than expected to 6.6% in December 2021, mainly due to the unexpectedly strong increase in energy prices. The rest of the euro area also experienced a surge in consumer inflation at the end of 2021. Part of the inflationary pressure is related to the pandemic, which is causing bottlenecks in the supply of materials and products. That effect should subside in the course of 2022, bringing eurozone inflation to just below 2 per cent by the end of the year. Strong labour market demand is increasing the number of vacancies and reducing unemployment but the risk of structurally higher wage inflation is much lower in the euro area than in the US and UK.

1.2. Monetary policy

The ECB has announced that it will stop its bond purchases under the Pandemic Emergency Purchase Programme in March. Although it will take longer than previously expected for inflation to come down, the ECB foresees that it will come down over the course of next year. It still expects inflation to remain below their 2% target over the medium term. However, the ECB is ready to hike its policy rate in 2022 if this is deemed necessary.

1.3. Fiscal policy

After a government deficit of 9.1% of GDP in 2020, the deficit is expected to shrink to 6.3% of GDP in 2021 on the back of the strong economic recovery and the partial unwinding of temporary Covid-19 related support measures. Public debt is expected to decline from 112.8% in 2020 to 108.9% in 2021. For the time being, we do not expect the government to introduce any savings to address its deficit and higher debt ratio.

Belfius is closely monitoring the geopolitical risks related to the Russia-Ukraine conflict that started at the end of February 2022

Belfius direct exposure (Russian, Ukrainian and Belarus counterparties) is below EUR 1 million. The indirect exposure is currently being assessed. First results tend to show that this exposure is very limited. Nevertheless, a workforce is set in place within the Group to monitor and assess the ongoing uncertainties and potential future material knock-on effects (energy prices, global economic slowdown,…).

If this conflict would turn into a more pronounced European or a worldwide crisis, Belfius can still rely on its strong solvency and liquidity position as well as prudent covid buffers that can be partially used to absorb economic shocks.

2. Ratings

Between 1 January 2021 and 24 March 2022, rating agencies took the following decisions:

- on 24 June, S&P confirmed the long-term rating of Belfius Bank at A- with Stable outlook;
- on 13 July, Moody's upgraded Belfius Junior Senior Unsecured (Non-Preferred Senior) debt to Baa1 from Baa2 and the Junior Senior Unsecured MTN rating to (P)Baa1 from (P)Baa2. They also confirmed the long-term rating of Belfius Bank at A1 with Stable outlook;
- on 28 October, Fitch confirmed Belfius Bank's long-term rating at A- with Stable outlook;
- on 16 December, S&P raised the long- and short-term ICRs on Belfius Bank to A/A-1 from A-/A-2, the issue ratings on all outstanding senior instruments to A/A-1 from A-/A-2 and the long-term Resolution Counterparty Rating (RCR) to A+ from A. At the same time, S&P affirmed the short-term RCR and the issue ratings on the hybrid instruments and confirmed that the outlook is stable.

Ratings of Belfius Bank as at 24 March 2022

	Stand-alone rating(1)	Long-term rating	Outlook	Short-term rating
Fitch	a-	A-	Stable	F1
Moody's	baa1	A1	Stable	Prime-1
Standard & Poor's	a-	A	Stable	A-1

(1) Intrinsic creditworthness.

Governance

In line with Article 194 of the "Banking Law", Belfius is managing risks based on a Group-wide, consolidated and integrated risk management framework and Belfius assumes a risk-based approach to strengthen the conglomerate dimension further.

The overall objective is to have risk management coordination, ensuring consistency while respecting the entities' specific features, responsibilities and legal/regulatory obligations. The main pillars of this risk management are an appropriate risk governance structure, a robust and aligned risk framework, risk monitoring and decision-taking process.

The conglomerate dimension of Belfius' Risk Governance includes:

- At the level of the Board of Directors: joint RC/RUC's (Risk Committee / Risk & Under-writing Committee).
- At the level of the Management Board (strategic level):
  - A Group Management Committee (GMC), with potential conflicts dealt with at a Mediation Committee level;
  - A joint Non-Financial Risk Committee (NFRC), related to all NFR topics;
  - A Group Financial Conglomerate Review Committee (GFCR), assuring an overview of all subsidiaries. Inter alia it tackles the risk management framework of each subsidiary.

- At a general risk level (tactical/operational level), several committees are 'joint' or 'Belfius Together' (BB: Belfius Bank; BI: Belfius Insurance and BIP: Belfius Investment Partners):
  - The Conglo Risk Executive Committee (Conglo Risk ExCom) with participation of the CRO of Belins and BIP;
  - The Capital Group Committee (CGC) is a joint BB and BI committee;
  - The Investment Conviction Committee (ICC) is a joint BB, BI and BIP committee;
  - The Assets & Liabilities Committee (ALCo) of Belins in which BB participates;
  - The BIP Pricing & Methodology Committee in which BB participates.
- At specific risk level, several sub-domains have a common governance with 'Belfius Together' sub-committees for various risks:
  - The Information Security Committee;
  - The Anti-Fraud Steering Committee;
  - The Privacy Steering Committee;
  - The (Physical) Security Steering Committee;
  - The Outsourcing Management Committee;
  - A cross committee for ESG/Climate Risk.

The three main entities (BB, BI and BIP) have similar risk policies, guidelines framework and approach. They use similar and/or common tools ensuring consistency and enabling coherence as well as an integrated management of risks and internal controls:

- Risk Appetite Framework: defined and validated Group-wide by Belfius Bank and cascading down to subsidiaries; as such a RAF roll-out for the subsidiaries was realised in 2021, based on the RAF at a Group level and reflecting and monitoring their own (financial and non-financial) vulnerabilities and risks.
- Risk Management & Control executed through the "Senior Management Report on the Assessment of the Internal Control";
- ICAAP (Internal Capital Adequacy Assessment Process) & Recovery Plan (Belfius Bank) and ORSA (Own Risk and Solvency Assessment; Belfius Insurance).

The Conglomerate dimension has been further developed with a closer oversight of all material subsidiaries, on other dimensions:

- Further alignment of major Risk policies in a conglomerate approach;
- The creation of a risk function in all material subsidiaries;
- An AML-risk assessment at conglomerate level will be performed in 2022 (estimated at the start of Q4). Such a mandatory exercise is also the opportunity for the bank as well as for all concerned subsidiaries to update and categorize their different risk factors depending on their underlying inherent risk.

(1)This is not a fixed number. As the composition of these committees is equal to the Management Board, the specified topics may be presented in a management board without the specific set-up of these dedicated committees.

1. Risk governance structure

An effective risk governance structure is considered to be a central cornerstone to sound risk management. A robust risk committee set-up incorporates effective communication and reporting lines and a clear delineation of responsibilities and competences.

1.1. Risk Committees at a strategic level operating within the Management Board

Two risk committees have been set up within the Management Board of Belfius Bank, prepared by the Risk department and meeting two to four times[1] a year:

- the **Risk Policy Committee (RPC)** surveys the definition and the implementation of the Bank's principal risk management and measurement policies, processes and methodologies, and supervises their validation status;
- the **Non-Financial Risks (NFR)** Committee ensures a well-governed and coordinated non-financial risk framework for an effective Non-financial risk management.

In addition to these two risk committees, four functional areas also report to the Management Board without a separate committee being set up for them:

- the **Credit Risk Committee (CRC)** centralizes all credit risk-related topics (origination, monitoring, impairment) into one committee with the presence of the Management Board members who are directly involved (CRO, Head of PBR & WEP);
- the **Financial Markets Committee (FMC)** has as its prime function the effective risk management oversight and steering of the Financial Markets activities. It is held once a month with a strict quorum including members of the Management Board (CRO, CFO and Head of WEP);
- the **Assets & Liabilities Committee (ALCo)**: the ALCo has received a mandate to realize the effective ALM management within the regulatory framework. The Liquidity Management Committee has been mandated by the ALCo to take care of all aspects relating to liquidity management and steering as well as reporting;
- the **Capital Group Committee (CGC)** anticipates, understands, prepares, analyses and monitors all capital aspects at a conglomerate level (Bank, Insurance and related subsidiaries) in compliance with regulatory, legal and economic constraints. It also acts as Prudential Watch Committee (PwaC).

1.2. Risk Committees on tactical/operational level

The Management Board delegates certain decisions to a tactical/operational level. The details of this delegation are set out in the applicable committee charters. For matters that fall outside this delegation, the tactical/operational level provides information or puts forward opinions to the Management Board, which then decides.

The committees that are part of the tactical/operational level are committees on which the Risk department generally participates alongside business divisions. Risk committees which are steered by the Risk department focus mainly on risk appetite and methodology. Risk/Business committees which are steered jointly by the Risk department and Business focus mainly on guidelines, transactions and risks at a counterparty level. The Risk department has a veto right in many of these committees, as well as the right to bring files for decision to a higher governance level.

2. Risk appetite

Risk appetite is the level of risk that an institution is prepared to take, given the expectations of the main stakeholders (shareholders, creditors, regulators, rating agencies, customers, employees…), in order to ensure the safeguard of a sound risk and financial profile in the context of the strategy 2021-2025. This risk appetite is defined by the Board of Directors, on proposals from the Management Board. The Risk Department prepares the Management Board's proposals and the Board of Directors' decisions, and also sets the rules and the framework for implementation of those rules.

Based on a holistic approach, risk appetite is a central reference point:

- for guiding strategy and planning;
- for framing performance in terms of growth and value creation;
- for facilitating day-to-day operating and commercial decisions.

The Bank's risk appetite consists of a series of quantitative elements (target Key Risk Indicators or KRI's) and qualitative elements (statements) that are designed to express the risk levels and types that are not acceptable, that are tolerated and targeted in order to achieve business strategy. The quantitative framework is based on a mix of accounting ratios (gearing), regulatory ratios (solvency, liquidity), economic ratios (economic capital, earnings at risk) and internal KRIs. The different metrics cover a wide range of risks (credit risks, solvency, liquidity, market risks, concentration risks, non-financial risks, compliance risks, model risks, and so on).

Limits have been defined on each of these ratios with different zones, which lead to different governance and measures in case of breach. They are reviewed and updated each year by the competent bodies. The Risk and Finance departments are responsible for monitoring these ratios and, if there are discrepancies, for proposing measures to the Management Board to ensure the limits are met.

In 2021, the RAF has been deployed in main subsidiaries, thereby allowing for increased consistency throughout the Group and close monitoring of the risk profile by the Group Financial Conglomerate Review Committee.

Next to the quantitative part, qualitative statements consisting of guiding rules aiming to define the risk appetite that cannot be expressed through quantitative ratios are embedded in the RAF.

The Risk Appetite Framework (RAF) was updated and approved by the Board of Directors in December 2021. The updated RAF includes the introduction of new indicators allowing to better capture the risk related inter alia to ESG, outsourcing, projects and resources, the refinement of several indicators focusing on the safeguard of the current sound credit quality and portfolio diversification as well as the application of several accompanying management actions enhancing the steering towards a sustainable balance sheet and limiting P&L volatility.

3. Stress tests

Stress tests are part of the ICAAP and are designed to measure the Bank's sensitivity, in terms of losses, additional weighted risks, liquidity needs or equity capital requirements that could impact Belfius in scenarios featuring significant unexpected shocks on the financial markets and/or in the own financial situation of Belfius.

Belfius took part in the 2021 EU-wide stress test conducted by the European Banking Authority (EBA) on a sample of 50 EU banks covering roughly 70% of total banking sector assets in the EU and Norway. The aim of these stress tests was to assess the resilience of the banks when confronted with a severe economic and financial / non-financial stress. It once again confirmed Belfius' strong financial solidity and resilience: in an extremely severe adverse scenario, Belfius would be able to limit the decline in its fully-loaded CET 1 ratio to 2.70%. This is less than the impact of all previous stress tests in which Belfius has participated (2.96% in the previous stress test in 2018). Starting from a strong CET 1 fully-loaded ratio of 16.36% as at 1 January 2021 (corresponding to a CET 1 ratio of 17.11% on a transitional IFRS 9 basis), Belfius has a high CET 1 fully-loaded ratio of 13.66% at the end of the stress period (corresponding to a CET 1 ratio of 14.02% on a transitional IFRS 9 basis). The outcome also compares favourably to the average of the participating banks and confirms the strong solvency position of Belfius and its solid resilience in adverse scenarios.

Belfius performed an internal stress testing programme with its financial Plan 2021-2025. The Bank developed a set of alternative and severe macroeconomic scenarios designed to anticipate different possible macroeconomic evolution for the next five years (inter alia for inflation, interest rates, GDP growth, stock markets, bond prices evolution, customer behaviour and so on) and to simulate how Belfius might be affected under these circumstances. These different stress tests measure the potential deviations from the "base case" Financial Plan and from the Risk Appetite targets set by the management in terms of solvency, liquidity and profitability. These stress tests were submitted to the Management Board as well as to the Board of Directors. Mitigating actions and recommendations were proposed for each of the stress tests.

4. Recovery plan

An update of Belfius Recovery Plan was submitted to the ECB during the second half of 2021. This plan provides a set of recovery measures that would be taken to restore the Bank's long-term viability in the event of a significant deterioration of the macro-economic environment. In 2021, the focus was put on developing two stress scenarios related to the possible economic and financial fall-out of the Covid-19 pandemic, one of which was a system-wide scenario and the other included an idiosyncratic element. The recovery plan demonstrates that Belfius benefits from strong recovery options. In extreme scenarios, the bank has enough measures at its disposal to restore solvency and LCR liquidity ratios within one year.

5. Resolution

Resolution is defined as the restructuring of a bank within the Single Resolution Mechanism (SRM) issued by the Single Resolution Board (SRB) through the use of resolution tools. The objective of the SRB is therefore to ensure an orderly resolution of failing banks with minimum impact on the real economy and on the public finances of the participating Member States and beyond.

Belfius, being considered as significant financial institution in Belgium, has to ensure that all necessary information will be provided to the SRB, responsible for preparing a resolution plan that would be available in case of a severe crisis leading to a hypothetical failure of the Bank.

Belfius resolution therefore consists of the application of identified resolution tool(s) to the Bank which best achieve resolution objectives.

Credit risk

1. Methodology

For the management of its credit risks, Belfius uses an Advanced Internal Rating Based (AIRB) approach. This means that Belfius makes use of internal models for defining the key risk parameters Probability of Default (PD), Loss Given Default (LGD) and Credit Conversion Factor (CCF - the conversion of an available credit line in an expected amount draw down) for off-balance sheet commitments. Regarding the CCF parameter, Belfius makes a distinction between retail and non-retail counterparties: an advanced model is applied for retail counterparties, while non-retail counterparties use the regulatory values.

As a response to the latest EBA roadmap for the implementation of the regulatory review of internal models (focusing on the definition of default, PD and LGD estimations and the credit risk mitigation framework), and as a response to TRIM ("Targeted Review of Internal Models") findings, in 2020 Belfius set up a comprehensive model transformation plan for its AIRB models.

In that context a special attention is given to:

- enhancing the data quality framework for modeling;
- the implementation of a comprehensive Margin of Conservatism (MoC) framework;
- the review of low default portfolios' models, given that a limited number of observed defaults may jeopardize the model calibration.

This transformation plan is rolled out over three years and will provide Belfius with a renewed set of models, as a cornerstone of the credit acceptance, loan life cycle management, credit risk management processes and reporting, and fully compliant with the latest regulatory requirements. Rationalization and simplification are two of the key principles that will guide this model portfolio transformation, where the following options are extensively studied (also with the finalization of Basel 3 standards in mind):

- applying an IRBA approach only to models with sufficient historical default and loss data; otherwise return to a less sophisticated approach;
- reducing the number of models by reviewing the model scope definition in line with the Belfius Strategy;
- simplifying the model structure of certain models (e.g. assess the adequacy and need of a qualitative questionnaire as part of the model development).

At the end of 2021, the following models were submitted for supervisory approval at ECB level: the LGD model for the mortgage portfolio, as well as the non-retail PD and LGD models on corporates, mid-corporates and satellites.

2. Credit limits and credit committees

One of the main pillars of Belfius' risk management is the robustness of its credit acceptance process. It relies on a large range of directives, delegation rules and various governance instruments aimed at strictly controlling credit risks.

Belfius has defined counterparty limits and delegations of credit decision authorities for various types of credit risks which are monitored systematically, reported every quarter to governance bodies and, on top of that, assessed each year by the Risk Committee and the Board of Directors.

Over the years, Belfius has developed a set of Policies and Guidelines which cover the full credit risk life-cycle and were enriched in 2021 in order gradually to take into account the EBA Guidelines on Loan Origination and Monitoring.

Credit granting

The credit decision process within Belfius relies on three types of decisions:

- automated decisions where the customer's credit application is checked against a series of risk and commercial parameters, and in which the results from the scoring model plays an important role;
- delegated decisions, i.e. decisions taken by staff to whom, intuitu personae and based on the certification of their risk competencies, decision-taking powers have been delegated;
- regular decisions taken by credit committees organized into a pyramidal structure, with at its top Belfius' Management Board whicih has delegated parts of its decision power to 'lower' credit committees. In exceptional cases, the Board of Directors is involved in the decision-making process.

Belfius Bank has for years followed a strategy of being close to its customers:

- credit and risk committees have been highly regionalized and decision-making powers have been delegated to regional commercial and credit teams, both strengthening the principle of decision-by-proximity;
- this results in a strong involvement of the various teams in the decision-making process, as well as in a close monitoring of the use of the delegated powers mentioned above;
- it provides a significant added value to our customers, regardless of the segment in which they operate.

When granting credits to medium-sized and large enterprises as well as public sector and social profit customers, an individualized approach is applied:

- Credit analysts examine the credit request autonomously and define the customer's internal rating;
- A credit committee or staff member(s) with decision-taking powers then takes a decision on the basis of various factors such as solvency, the customer relationship, the customer's prospects, the credit application and the collateral;

- In the analysis process, credit applications are carefully examined and only accepted if the perspective of continuity and the borrower's repayment capacity are demonstrated;
- To support the credit decision process a RoNRE (Return on Normative Regulatory Equity) is used in most cases to assess the expected profitability of the credit transaction or even of the full customer relationship.

Credit risk limit determination and monitoring

In order to manage its concentration risk, Belfius sets exposure limits at counterparty level as well as at the level of each risk group:

- These exposure limits are set on the basis of the customer's risk profile, the focus being mainly (but not exclusively) on the internal rating;
- They reflect Belfius' risk appetite in its individual customer relations and are as such part of the qualitative pillar of Belfius' Risk Appetite Framework;
- The allocation of such a limit does not imply that a customer is allowed to use it freely, as each transaction must be assessed and decided by the competent decision level.

Belfius distinguishes between active and passive exceedings of its exposure limits:

- an active exceeding is caused by a new transaction;
  - all decision competences of credit committees or individual persons are valid as far as the exposure limit is not exceeded;
  - this implies that in case of an active breach of the exposure limit, the file must be escalated to the Management Board of Belfius Bank, or even in some exceptional cases to its Board of Directors;
- a passive exceeding is not caused by a new transaction but by the deterioration of the customer's credit rating;
  - it is in the first place the responsibility of the credit analyst to check if a rating downgrade induces a limit exceeding;
  - in such a case, the file has to be submitted to Belfius' Central Credit Committee, which can temporarily accept the exceeding and, if necessary, impose a reduction scheme that would ensure the return to compliance with the limit.

Finally, the afore-mentioned counterparty limits are completed with a full set of portfolio guidelines:
- several business lines need to comply with additional portfolio guidelines whose aim is to limit specific sector risks and/or sector risk concentrations;
- these guidelines impose an upper limit for certain sector risks, regardless of the individual credit quality and limits on counterparty and/or risk group level;
- they are monitored quarterly by Risk Management teams and reported to Belfius' Central Credit Committee and subsequently to the Management Board via the Quarterly Risk Report.

Counterpart and portfolio monitoring

The overall objective of Belfius is to ensure the implementation of a sound, prudent and effective risk management, based on a full understanding of the risks and a swift and proactive identification of and alerting on potential risks.

For this reason, Belfius firstly monitors the solvency of the individual borrowers, and this throughout the whole credit life cycle:

- the economic review process of credit files assures that any sign of risk deterioration can be detected in time and monitored and/or addressed adequately;
- this review process is organized in an annual cycle, with in-depth analysis of customers with important credit exposures and/or significant evolutions in their risk profiles;
- it is complemented with early warning tools in order proactively to detect clients' financial deterioration.

In addition, Belfius also continuously monitors a series of key risk indicators (and their underlying dynamics) at portfolio level, and frequently performs ad-hoc analyses whenever specific risk pockets emerge.

3. Fundamentals of credit risk in 2021

Since the start of the Covid-19 pandemic, major concerns grew with respect to the impact of the pandemic on the macroeconomic situation, that could lead to a substantial increase of the credit risk level in the loan portfolios. However, over the course of 2021, the rebound of the Belgian and European economies proved faster than initially expected.

At the level of the Belfius loan portfolios, so far, very few signs of deterioration of the credit quality have been detected, which is evidenced by a limited inflow of defaults, a normalization of the rating downgrades and a very high pick-up rate on the moratoria loans which have matured.

This resilience and the relatively quick rebound were favoured by a series of well-targeted fiscal and social policy measures taken by the different governments, a very accommodative monetary policy and support measures from the banking system. The most important of them (payment moratoria for mortgages, business and corporate loans and a state-guaranteed loan mechanism) expired on 30 June 2021 after several extensions.

Combined with the emergence of new Covid-19 variants (with the risk of (local) lockdowns and renewed restrictions on mobility), the difficulty for companies to attract new staff and the increasing supply chain bottlenecks, the rising input costs in several sectors (wholesale, construction, manufacturing and agriculture sectors) and a general inflationary pressure (e.g. energy costs) call for vigilance with respect to the second round effects of the Covid-19 crisis. The effects on consumer demand, the disruptions of trade flows and productions chains require close monitoring.

In this context of remaining uncertainties, with favourable social and economic perspectives on the one hand and continued vigilance for second-order economic effects of the pandemic on the other hand, Belfius has updated its economic forecasts and reviewed the Covid-19 specific provisioning approach developed in 2020 to absorb potential risks, related to Covid-19 sensitive sectors or less resilient companies/customers.

Simultaneously, Belfius further strengthened its credit risk management process: the best practices identified during the detailed screening of the loan portfolios in 2020 for Covid-19 sensitivities have been structurally embedded into the risk-based monitoring framework, through a joint effort by the Risk management teams, customer data, the loan department and the front offices. In addition, Belfius continues to reassess the credit standards at origination for the mortgage portfolio, in line with the expectations of the National Bank of Belgium.

3.1. Measures in relation to the Covid-19 crisis to support the Belgian Society

When it became clear at the end of 2020 that the pandemic would last longer than expected, the payment holiday and State Guarantee mechanisms to support individuals, self-employed and businesses affected by the Covid-19 crisis were extended to the first half 2021. These extensions have been rolled out first until end of March and ultimately to the end of June and were subject to specific viability criteria. However, the extensions which exceeded a maximum deferral period of nine months could not enjoy the flexible EBA guidance on forbearance measures. An extensive description of the measures under each of these two support mechanisms is available in the 2020 Belfius Annual Report.

During 2020, the moratoria mechanism for companies and households was extensively used, but with the re-opening of most of the economy activities towards the end of 2020, extensions were far less requested in the first half of 2021 (2.1% of outstanding loans for companies by the end of April 2021 compared to 13% in September 2020 and 0.4% for households compared to 6%). At the end of 2021, we returned to a more normalized level of payment deferral with only a very limited stock of remaining Covid-19 related payment deferrals (<0.25%), mainly for companies in sectors still affected like catering and hotels (horeca) and events.

More than 97% of corporate and business loans for which the moratoria came to an end have resumed their normal payments of formerly deferred amounts. For the mortgage loans, more than 99% of the clients have resumed their payments. 100% in the public sector.

With respect to the State Guarantee mechanisms, as the end of 2021, Belfius has respectively EUR 3.6 million and EUR 82 million of outstanding loans under the first and second state guarantee mechanisms.

In addition to the existing risk monitoring before the crisis and as part of the management of the Covid-19 situation, Belfius put in place a robust risk mitigation strategy with specific action plans, reporting and monitoring activities. These activities were further strengthened in 2021 to allow Belfius periodically to screen portfolios for Covid-19 impact and to mitigate risks.

3.2. Cost of Risk in 2021

3.2.1. IFRS 9 impairment methodology at Belfius

Reference is made to the Appendix IX.1.4. Risk Report 2019 for a full description of the Belfius process to compute IFRS 9 expected credit losses (ECL). The basic principles of the process to compute IFRS 9 expected credit losses (ECL) are as follows:

- Belfius Bank and its subsidiaries recognise loss allowances for ECL on financial instruments at amortized cost or at fair value through Other Comprehensive Income (OCI).
- ECL are measured through a loss allowance that depends on the financial instrument's status:
  - for performing exposures (i.e. instruments that have not incurred a significant increase in credit risk since origination), referred to as stage 1, a 12-month ECL is calculated;
  - for underperforming exposures (i.e. instruments that have incurred a significant increase in credit risk since origination), referred to as stage 2, Lifetime ECL are calculated;
  - non-performing exposures (i.e. exposures that become credit-impaired), are classified in stage 3 and the ECL reflect the remaining exposure after a best-estimate of future recoveries.
- ECL are probability-weighted estimates of credit losses. This is expressed as the present value of cash shortfalls i.e. the difference between the cash flows that are due to the entity in accordance with the contract and the cash flows that the entity expects to receive.
  ECL calculations use probability of default (PD) and loss given default (LGD) parameters. Point-in-time PDs are used that inter alia incorporate forward-looking macroeconomic information through the use of four different macroeconomic scenarios. These scenarios are built upon internal information delivered by the Belfius Research department, who uses external and internal information to generate a forecast "neutral" scenario of relevant economic variables along with a representative range of other possible forecast scenarios. The external information includes economic data and forecasts published by governmental bodies and monetary authorities.
- Belfius assigns probabilities to the four forecast scenarios (neutral, optimistic, pessimistic and stress) and makes the link between macroeconomic variables and credit risk and credit losses through identified and documented relationships between key drivers of credit risk and credit losses for each portfolio of financial instruments on the one hand and statistical analysis of historical data on the other hand.

Covid-19 adjustments to the impairment methodology

In this context, Belfius' basic principles for ECL computations have remained largely unchanged. However some material adjustments to the afore-mentioned approach were required in order to maintain adequate coverage ratios on potential risks in the Covid-19 sensitive parts of the portfolio:

- Expected credit loss calculations are based on a long-term average (2009-2022) for all the relevant macroeconomic factors, with a backward and a forward-looking approach.
- To calculate ECL, Belfius still defines four probability weighted forward-looking scenarios each with their own macroeconomic parameters to build optimistic, neutral, pessimistic and stress cases. Yet, the scenarios have been adapted to the Covid-19 related environment.
- Counteractive dampening measures have been implemented by national and regulatory authorities. These have been included in the ECL calculations. They refer, inter alia:
  - to changes to avoid, to some extent, pro-cyclicality in ECL calculations by giving a greater weight to long-term normalized outlook evidenced by past experience when estimating long-term ECL (giving weight to through-the-cycle approach);
  - to account for moratoria and guarantee schemes: regulatory guidance was given with respect to the treatment of exposures covered by public and private moratoria related to Covid-19, both from a prudential (forbearance as unlikely-to-pay classification) and an accounting perspective (as an indication of significantly increased credit risk).

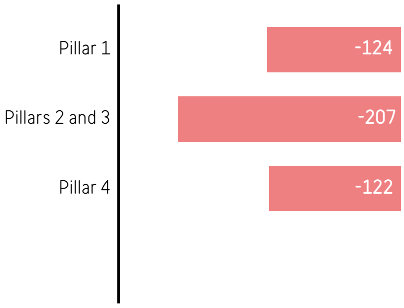
Given that ECL estimations are complex and to a certain extent judgmental, the afore-mentioned mechanical approach is completed by management judgment through "management call" layers as authorised by the IFRS 9 accounting references. These layers can be positive or negative and aim to include any elements entering in the ECL calculation which have not been taken into account by the mechanical computation on an individual level or a (sub)portfolio level. These layers have been reinforced to account for the nature and heterogenous impacts of the Covid-19 crisis on Belfius' portfolio.

3.2.2. Drivers of the cost of risk in 2021

In the Covid-19 perspective, the cost of risk is built according to a waterfall principle:

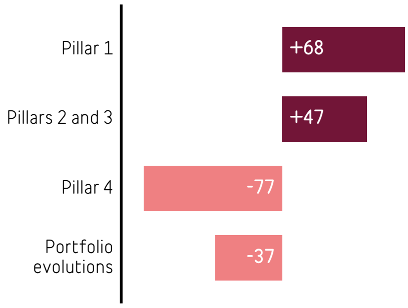
Cost of Risk 2020: -453M

In EUR million



Cost of Risk 2021: +1M

In EUR million



- The provisions for stage 1 and 2 are calculated in a mechanical mode, based on a view on the macroeconomic conditions (past and future) (pillar 1);
- If Belfius considers that certain risk pockets, defined in terms of sectors or groups of companies, are not sufficiently covered by the mechanical provisions, certain expert overlays are added (pillar 2);
- If, additionally, expert analyses pointing to counterparts with a potentially increased credit risk, that were not detected by the mechanical approach and not yet classified as 'unlikely to pay', the provisions constituted could be insufficient. For these cases, an individual management adjustment on the expected credit loss in stage 2 is added (pillar 3);
- For counterparts in a default status (stage 3), the normal impairment process is run and specific provisions are calculated and booked (pillar 4). Provision levels are based on an individual assessment of exposure and collateral.

In 2020, the application of this provisioning logic resulted in a Cost of Risk of EUR 453 million, of which a Covid-19 driven overlay of EUR 331 million was the most significant contributor, to cover for potential credit risk impacts, especially in the Business and Corporate segments.

In 2021, the Cost of Risk 2021 came down to a net reversal of EUR 1 million. Main drivers are the release of the Covid-buffer for an amount of EUR 115 million (mainly reflecting improving macroeconomic conditions (+EUR 68 million) and a re-assessment of the potential Covid-19 effects on the loan portfolio (+ EUR 47 million)) and a still moderate allowance for defaulted loans of EUR 77 million.

The expected Covid-19 effects on the overall macroeconomic situation and on the key risk indicators of the Belfius loan portfolio have not (yet) materialized, the vaccination campaign being a key lever for the rebound of the economy. However, new clouds have appeared on the horizon with the appearance of the new Omicron variant resulting in a 4th Covid-19 wave and new restrictions, creating uncertainty about the societal and economic effects.

Second round Covid-19 effects and adverse economic events add to that concern. Belfius keeps a substantial buffer to cover possible second round effects from the pandemic, including the impacts on customers in light of the current surge in energy prices, the effects of higher inflation, the scarcity of resources and labor capacity in several industries, the lifting of remaining support measures and the possible reinstatement of restriction measures in case of resurgence of the pandemic and geopolitical tensions.

Pillar 1: macroeconomic factors used in 2021

- Belfius' neutral scenario includes an important rebound for 2021 (Belgian GDP: +5.9%). This rebound is followed by a decreasing growth in 2022 (Belgian GDP: +3.2%) enabled by the vaccination campaign and assuming that no new major lockdown effect is to be expected.
- In terms of unemployment, the neutral scenario implies an unemployment decrease from 9.2% in 2020 to 7.9% in 2021. An improvement to 6.6% in 2022 is forecasted. As in 2020, the 2021 unemployment figure includes the exceptional temporary unemployment that is expected to be, to a certain extent, converted into a structural unemployment.

GDP (% YoY)[1]

	2021 (2Q 21)	2022 (2Q 21)
Belgium	5.9 (5.5)	3.2 (3.3)
Eurozone	4.8 (-4.4)	4.4 (4.0)
United States	5.8 (6.5)	4.0 (4.0)

CPI (% YoY)

	2021 (2Q 21)	2022 (2Q 21)
Belgium	2.2 1.8	2.0 (1.4)
Eurozone	- -	- -
United States	- -	- -

Unemployment (%)

	2021 (2Q 21)	2022 (2Q 21)
Belgium	7.9 (7.9)	6.6 (6.6)
Eurozone	9.1 (9.1)	8.5 (8.5)
United States	- -	- -

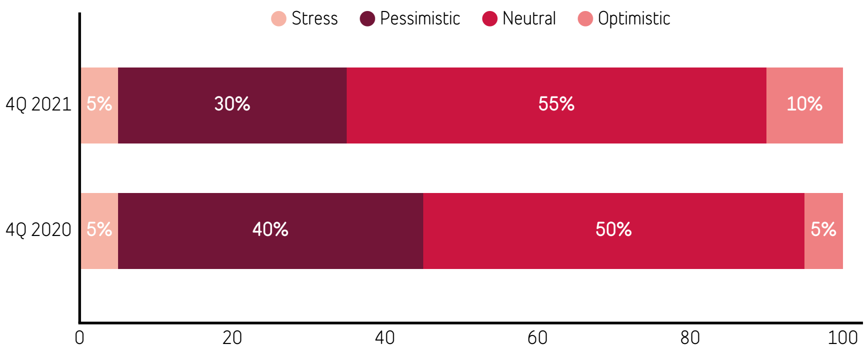
(1) GDP figures might differ from those presented in the section dedicated to the macro-economic environment as IFRS 9 expected credit losses are performed during the quarter.

GDP BE (% YoY)

Scenarios	As of end 2020	As of 4Q 2021	
For year	2021	2021 (2Q 21)	2022 (2Q 21)
Optimstic	9.0	6.5 (-6.5)	4.0 (3.9)
Neutral	3.9	5.9 (5.5)	3.2 (3.3)
Pessimistic	3.1	4.2 (4.2)	1.3 (2)
Stress	2.3	2.0 (2.0)	1.4 (1.4)

- The neutral case is completed with an optimistic, a pessimistic and a stress scenario. The table above illustrates the Belgian GDP Growth assumptions, as of 4Q 2021, under the four scenarios.
- A 55% weight has been assigned to the neutral scenario and the weight of the more negative scenarios has been decreased due the observed recovery, bringing the weight of these scenarios to 35% instead of 45% a year earlier. The more optimistic scenario is given a 10% probability against 5% at the end of 2020. These weights were modified in 4Q 2021. These adjustments of the macroeconomic factors, led to a reversal of provision of EUR 68 million.
- This evolution is a reflection of an expected progressive reduction of the uncertainties and a normalisation of the economy towards 2023.

Scenario weights



Sensitivity of the impairment stock stage 1 & 2 to changes in scenario weights

The following table provides an overview of the stage 1 & 2 impairments sensitivity to the weight of macroeconomic scenarios. The most relevant macroeconomic factors are GDP and Unemployment assuming the current Covid-19 IFRS-9 method is maintained. Note that the sensitivity is not linear and cannot be simply extrapolated.

(In millions of EUR)	What if 85% optimistic[1]	Weighted average scenario 4Q21	What if 85% pessimistic[1]	What if 85% stress[1]
Impairment stock stage 1&2	820	895	954	1.048
% change vs WA scenario	-8%	0%	7%	17%
		Optimistic 10% Neutral 55% Pessimistic 30% Stress 5%		

(1) 5% on each of the 3 other scenarios.

Pillar 2 and 3: overlays to cover for certain risk pockets

The Covid-19 adjusted mechanical calculations are completed with expert overlay. The overlay was reviewed in the course of 2021 to increase provisions on clients with a deteriorated risk profile on the one hand and to reduce provisions on clients with a normalised risk profile on the other hand. The overlay is designed to result in a 'best estimate' total coverage of ECL for specifically identified risk pockets (defined in terms of sectors, groups of companies or individual exposures), where the credit risk is considered as (potentially) insufficiently covered by the mechanical provisions.

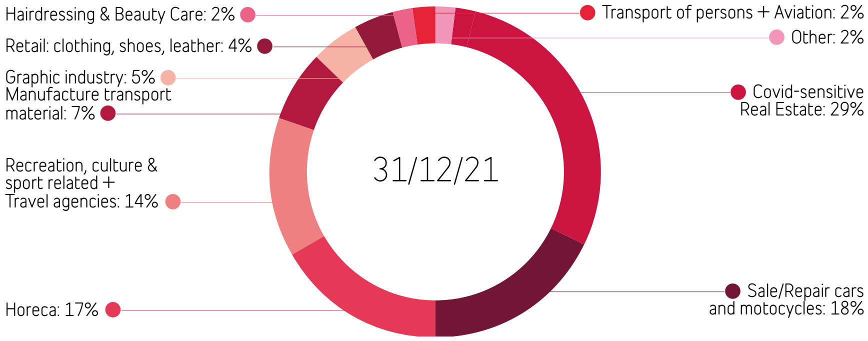
As in 2020, the extensive credit reviews and portfolio assessments fed the formal quarterly impairment process and resulted into shifts of individual files or risk pockets from stage 1 to 2 and to the application of the Expected Credit Loss levels that were deemed adequate to cover the increased credit risk.

Concretely, to determine the overlay, IFRS 9 parameters have been stressed when computing the ECL. For mortgages a stressed LGD value is applied that is based on the average Pillar 1 LGD value for loans with an average remaining maturity of approximately 15 years and higher loan to values (>80%). For Commercial Real Estate and vulnerable companies an add-on was applied on the mechanically calculated expected credit loss, reflecting the characteristic of the risk pocket; the add-ons corresponds to an increased expected credit loss, equivalent to a 1 to 2 notch rating downgrade.

During 2021, as Belfius gained more granular insights into the financial parameters of the underlying exposures, the various overlays were carefully reviewed and either increased, maintained or reversed. At the end of 2021 the following adjustments were made:

- Regarding the overlays to exposures under moratoria: Belfius removed the overlay provisions for matured moratoria with a stable repayment pattern for at least six months. Across segments, the pick-up rate on matured moratoria is over 97%. For matured moratoria that do present past dues in their repayment schemes, case by case assessment has shown that current provisions are adequate. Finally, for the still active moratoria, Belfius decided to increase the provisioning for those running for more than nine months;
- Regarding the overlays to Covid-19 sector sensitive exposures and taking into account the evolving economic impacts in the last 18 months, the initial sector sensitivity approach was re-assessed in Q4 2021. The sectors still suffering most from the crisis (like hotels & catering, recreation, events, retail clothing and 'high risk' commercial real estate, as leisure and retail-trade linked buildings) have been confirmed as vulnerable, whereas other retail activities and business services have recovered throughout 2021 and show a pre-Covid-19 business performance. On the other hand, based on our own internal transactional analysis and a NBB survey, a few other sectors show less resilience than initially expected (graphic industry, manufacturing of transport material, …) and have been included in the scope of vulnerable sectors. Belfius' exposure to the Covid-19 sensitive sectors is limited to 2.4% of the total portfolio;

E&E Covid-19 sector sensitive exposures by sector



- For overlays linked to individual names identified as having a potential low Covid-19 resilience, a line-by-line review was performed. This allowed the overlay to be removed for some files associated with positive evolutions such as obtention of additional collateral, strengthened shareholder support or recovery of financial results after the end of the lockdown.

Risk pockets

COVID-19 SENSITIVE EXPOSURES	• vulnerable companies with low ratings belonging to sectors identified as highly impacted by Covid-19 and flagged as having lower resilience • commercial real estate loans, with focus on leisure and retail-trade linked real estate • mortgage loans with indicators reflecting potentially higher risk pockets (buy-to-let loans, loans to borrowers with low ratings)
MORATORIA	• clients with matured moratoria for which no pickup of the repayment scheme was observed since 6 months • clients with running moratoria
INDIVIDUAL NAMES	• borrowers with a potentially increased credit risk, that were detected in the portfolio screening, but were not classified as "increased risk" in the mechanical approach and are not yet classified "as unlikely to pay".

In general and based on a permanently deepening insight in the dynamics of the Covid-19 crisis, the credit risk management of this crisis evolves from a more pooled approach (moratoria, vulnerable sectors, …) to a more individual approach targeting specific companies having difficulties in rebounding after the crisis, even if not making use of support measures or active in a vulnerable sector.

These adjustments of Pillars 2 and 3 led to a provision release of EUR 47 million.

Governance

The governance process did not change fundamentally: the Research department is responsible for providing the macroeconomic parameters and scenarios, the computation engines (enhanced for increased flexibility and simulation power) and the governance of expert and impairment committees remain unchanged compared to pre-crisis. However, a higher frequency and in-depth reporting to the Management Board and Board of Directors has been established to ensure proper guidance and decision-making in view of the materiality of the Covid-19 impact and its unprecedented nature.

It is to be recalled that stage 1 and 2 provisions constitute protection against expected credit losses on files that could enter into a default status. To what extent these stage 1 and 2 provisions will be transformed into stage 3 provisions, covering incurred credit losses on defaulted loans, remains subject to uncertainty. If the improvement in the macroeconomic environment is confirmed and to the extent that the anticipated transitions to default do not occur, part of the impairments will be reversed over time.

3.3. Evolution of the portfolio by segment

3.3.1. Retail (Mortgages and Consumer Credits)

In 2021 several factors have influenced the mortgage lending activity:

- Mobility restrictions and the experience of (hard and soft) lockdowns, both in regular life and in international travel, created an extra boost on the demand in the housing market.
- The interest rate environment remained favourable for borrowers.
- Based on the first evaluation of the supervisory expectations regarding the lending standards of mortgage loans, the NBB expressed their concern on the buy-to-let market and the market accessibility of younger first-time buyers

This market environment resulted in an increase of Belfius' mortgage portfolio at the end of 2021 to a FEAD of EUR 39.0 billion. The average PD remained stable at 0.51%.

Supported by the target risk profile of the mortgage production and portfolio and driven by a further fine-tuning of the underwriting rules for specific risk pockets (with respect to Loan to Value (LTV) and Debt Service To Income (DSTI ratios), Belfius succeeded in bringing its mortgage production and portfolio in line with the NBB supervisory expectations, with a special attention to the high LTV segment (>80% and 90%) for both buy-to-let loans and first-time buyer loans. As from 2019, the part of the production with an LTV>90% decreased from 39% to 15%.

The extinction of the public payment deferral schemes did not trigger an increase of payment arrears and consequently allowed a start to be made on reversing part of stage 2 Covid-19 related provisions for clients picking up normal reimbursement for at least six months. Inflow of non-performing loans (NPL) has remained at a very low level, with consequently low stage 3 impairments and a very strong asset quality ratio.

With the rebound of the economy and clients starting to reimburse again, the Cost of Risk has been impacted positively (stage 1 and 2 impairments). We continue to monitor the level of defaults, also from the perspective of a potential impact from the soaring energy prices on weaker clients.

The impacts of the July 2021 floods in the Walloon Region, confirming the emerging risks related to Climate, have been monitored and remained controlled with a limited number of flood-driven payment moratoria and liquidity support loans in the loan portfolios (mortgages as well as E&E).

The production of consumer loans increased slightly resulting in a FEAD at end 2021 of EUR 5.3 billion. The average PD decreased slightly (0.69%).

In the new segmentation, part of Professional Loans (Private and Wealth related), formerly segmented in E&E, has been transferred to Individuals. This part of the portfolio amounts to EUR 2.4 billion by end 2021.

3.3.2. Entrepreneurs & Enterprises (E&E)

Until September 2021, the economic circumstances evolved favourably with significant GDP growth, investments and consumption picking up rapidly and the level of bankruptcies remaining low. This evolution was supported by public support programmes, economic stimuli and boosted by an intensive vaccination campaign.

As from the end October however, a 4th Covid-19 contamination wave and the appearance of a new Covid-19 variant reversed the positive trend in the pandemic indicators and urged the government to take new safety measures. A series of economic sectors were hit again by the new restrictions on social activities and events, and although no new complete lockdown was declared, uncertainty about the societal and economic effects of this 4th wave was high.

Since the start of the pandemic, an intensified Covid-19 driven monitoring and screening process has been in place on the Belfius E&E loan portfolio. This portfolio amounted to FEAD EUR 52.4 billion at the end of 2021 and has, so far, shown few signs of deteriorating credit quality, as evidenced by a limited inflow of defaults and bankruptcies and a normalization of the rating downgrades. This implies that the financial impact, that could be expected at the start of the Covid-19 crisis, did not materialize thanks to a combination of a pro-active risk management approach, the strong support of the banking sector and the different public authorities and finally also the good resilience of enterprises and entrepreneurs.

However, looking forward, second-round effects from the pandemic raise concerns about the economic recovery: disruptions of the supply chains, causing shortages and production delays, the scarcity of resources and labour capacity are putting pressure on the activity level in several industries, while energy prices soar and inflation forecasts are peaking.

These concerns need close monitoring. Belfius further strengthened the risk-based screening of its E&E portfolio on clients for which early warning risk indicators 'lighten-up' and that are not yet included on the Watchlist. These clients are systematically screened in order to determine if risk mitigation actions are necessary. In addition, the enhancement of the process of early warning indicators was further accelerated in order to keep the risks in the E&E segment permanently well under control.

The yearly assessment and review of Belfius' Risk Appetite Framework was performed from the same perspective, with several new credit risk indicators introduced and others refined, in order to safeguard the current sound credit quality and portfolio diversification: an indicator on leveraged transactions was added to the framework, the tolerance level for lower rated transactions was reduced and additional limits on risk concentrations in commercial real estate were applied.

3.3.3. Public sector clients

Belfius' loan portfolio to the public and social sector amounted to EUR 38.2 billion end 2021 and contributes to a diversification of Belfius' global loan portfolio. It maintained its historical low risk profile (average PD at 0.10%).

Traditionally Belfius assures a key role in the financing of institutions in the Belgian public and social sector (including hospitals, schools, universities and retirement homes), these sectors being historically at the centre of the Group's strategy. Belfius provides the clients in these sectors with a wide and integrated range of products and services, including credit lending.

Overall, the public and social sector loans portfolio has always shown high credit standards and it continues to maintain its very low risk profile, although local authorities remain faced with specific challenges, as the expected growth of the pension costs related to their statutory staff, the demographic evolution (the ageing population in general and the population growth in the big cities) and social cohesion, and the impact of the tax shift.

At the federal level and at the level of the regional entities, increasing budget deficits and soaring debts are an point of attention, as Belgian public finances headed for the year 2021 towards historic deficit and debt levels, accelerated by the still lasting sanitary crisis and the July floods.

Projections made by various national and regional organizations indicate that deficits will persist in the upcoming years, causing a further and sharp increase of debt, despite some announced structural deleveraging efforts. This fast-growing indebtedness could become unsustainable in case of an economic or financial shock.

This vulnerability has already led rating agencies to lower the ratings of some of these entities and/or to attach a negative outlook to their current ratings.

Belfius will embed these perspectives about debt and deficit levels into its sound risk management principles while seeking to find the right balance in order to remain a key strong partner of the Public sector.

The current health crisis is affecting municipal finances less than the other governments. Although their accumulated buffer after Covid-19 is shrinking, local authorities still have sufficient financial resources to play a key role in the economic and social recovery. However, local authorities are still confronted with structural problems such as the financing of statutory staff pension costs, which will continue to weigh heavily on their future budgets.

The multiple waves of Covid-19 pandemic weigh heavily on the hospital sector and the battle is not over yet.

It is not only hospital staff who are put to the test. The financial situation of hospitals is also groaning under the pandemic. Various Belfius analyses have shown that hospitals are in principle unable to absorb such a shock. The sector has been confronted with extremely low margins for years. This implies that even a small disruption (e.g. high inflation) can have serious consequences. The current situation also puts pressure on the investment capacity that is necessary to make the hospitals "future proof".

During the first wave, many hospitals faced treasury tensions as a combination of a reduced activity level in regular business and increased expenditures due to the Covid-19. The federal government reacted quickly with financial compensation and structural funding for the reinforcement of health personnel. These interventions have kept the hospital sector afloat in 2021. However, their financial balance globally remains fragile. At the same time, they face several major challenges. Hospitals are asked to form networks and to tailor the care offer accordingly. Huge investments are needed to transform hospitals digitally, in order to enable better information flows and further to increase cybersecurity. And in the long run, they will not escape stricter standards for energy efficiency and sustainability of infrastructure. That's why a thorough redesign of their financing is urgently required, as foreseen in the current coalition agreement of the federal government.

3.4. Insurance

The management of the credit risk of Belfius Insurance is the responsibility of Belfius Insurance risk management team, albeit in collaboration with the credit risk teams of Belfius Bank and aligned with the risk management guidelines that are applicable for the whole Belfius group. As such, this implies that credit limits are defined on a consolidated basis and that transfers of limits between the Bank and Insurance are permitted, on the condition that both parties agree. The CROs of Belfius Bank and Belfius Insurance coordinate the requests among each other.

3.5. Financial markets

The mission of Financial Markets, aligned with the mission of Belfius Bank, is to serve its clients and the Belgian economy with essential financial services. Next to this general objective, an innovative Financial Markets also contributes to the liquidity profile of the Bank through the management of Short-Term and Long-Term wholesale funding and through the management of the investment portfolios: both the ALM Liquidity and Yield portfolios (run-off management of the portfolio inherited from the past).

Even though the economy has been gradually recovering from the health crisis during 2021, new Covid-19 variants and new measures to tackle them have continued to put pressure on this recovery. Nevertheless, credit risk in financial markets remained globally stable during 2021.

The most important credit risk events are as follows:

- **Covid-19**: Some sectors such as transportation, automotive, shopping centres and recreation, … remain pressured because of the length of the Covid-19 crisis. Nevertheless, Belfius' exposure through Financial Markets towards these sectors remains limited and to date, the impact has been manageable and limited to a small number of internal rating downgrades;
- **Brexit**: The transition period, after the 2020 agreement between the UK and the EU, has passed without any significant consequences for financial markets during 2021. An extension of the temporary recognition of UK CPP's (i.e. LCH) is to be expected in the beginning of 2022;
- **UK Healthcare**: In 2021, the sector came under pressure due to the length of the health crisis and tensions arose between the involved parties;
- **UK Utilities**: New tariff agreements have put pressure on the profitability of some water and gas companies. In addition, these companies might be impacted by ESG risks in the long term, especially in the energy sector.

The credit pressure on the UK Healthcare sector has resulted in a downgrade of the average rating of the credit derivatives portfolio from A- to BBB+. The average ratings of the ALM Liquidity and Yield portfolios have remained stable both at A-.

- Risk concentration: the main concentrations remain UK inflation-linked corporate utility bonds and Italian sovereign bonds, which remain of satisfactory credit quality and continue to be closely monitored,
- De-risking: the focus in 2021 was to reduce the remaining trading positions in the credit derivatives portfolio for which a trading derogation from the NBB was required. We have managed to derisk our two most important and P&L sensitive positions.

Credit risks in relation to Financial Markets activities are monitored by the Credit Risk Limit Framework which is part of the Risk Appetite Framework. Counterparty and country limits are monitored by FM Risk Management in order to limit risk concentrations.

4. The risk management process concerning Forbearance, Watchlist, Default and Impairments

4.1. Forbearance

Forbearance measures imply the granting of concessions to a debtor facing or about to face difficulties in meeting its financial commitments. These concessions may take the form of modifications to the loan contract or debt restructuring.

They apply to all loans and debt securities that are on-balance sheet and also to some off-balance sheet commitments. They do not apply to debt securities held for trading exposures.

Specific criteria are established for each business segment. These provide for a practical interpretation of the concepts of "financial difficulties" and "concession".

When granting a concession, the Bank is always led by a number of mainly business-related and economic factors. The fact that concessions are made, is one of the Watchlist indicators at Belfius and leads to a transfer of the exposures from stage 1 to stage 2 under IFRS 9.

In 2020, faced with the Covid-19 pandemic and its potential consequences on the financial strength of borrowers, the EBA provided a certain flexibility and guidance to the banks with regard to forbearance reclassification. Guidelines on legislative and non-legislative moratoria were released, allowing institutions to grant payment holidays for a pre-defined set of obligors, without an automatic regulatory reclassification as forbearance exposures. However, the EBA requires banks to continue correctly identifying these situations where borrowers may face longer-term financial difficulties and classify exposures in accordance with the regulation. The release measures were extended to 31 March 2021, but a cap of nine months was introduced on the total duration of general moratoria, beyond which the favourable treatment in terms of forbearance reclassification no longer applies.

Belfius has reviewed its forbearance policy in line with EBA guidance: there is no automatic change in the forbearance classification for borrowers only based on the fact of a new loan granted under the state guarantee scheme or EBA-compliant requested moratoria. Clients who were granted legislative, non-legislative and other moratoria during the Covid-19 pandemic continued to be assessed on an individual basis, taking into consideration the existing forbearance criteria and longer-term capacity to repay. In this context, the most vulnerable clients associated with high PD's and, with potentially longer-term use of moratoria (beyond the nine months cap) are recognized as forborne.

At the end of 2021, an amount of EUR 1,990 million of loans at Belfius complied with the forbearance definition, of which EUR 92 million related to Belfius Insurance compared to, respectively, EUR 1,031 million and EUR 79 million at the end of 2020. Customers in the Corporate (EUR 597 million) and Business segment (EUR 813 million) represent the highest volumes with a forbearance status.

4.2. Watchlist

The Watchlist Guideline defines internal and external (early warning) indicators to identify a significant increase of credit risk that may lead to an intensive follow-up and/or management of credit files. This allows the bank to monitor increasing credit risks closely and to take adequate credit mitigation measures in order to reduce them.

This is also reflected in the provisioning policy by applying a stage 2 for the majority of these exposures. On a quarterly basis, dedicated Risk Committees identify the files requiring a higher level of monitoring.

4.3. Default

A transversal default definition is applied within the entire Belfius Group and on all market segments in line with the EBA Guideline.

A default status is assigned to debtors which meet one or both of the following criteria:

- the debtor has material exposures which are more than 90 days past due;
- the debtor is assessed as unlikely to pay its credit obligations in full without realization of collateral, regardless the existence of any past due amount or the number of days past due.

Belfius Default guideline provides an in-depth description of indicators used to categorize an exposure in default.

The Default Committee within the Risk department is competent to define the default status.

Based on regulatory evolutions, Belfius has implemented the EBA updated definition of default as of mid-March 2020. Its internal guidelines were updated accordingly. The aim of the EBA guideline is to harmonize the definition of default across the EU prudential framework.

Main impacts are the materiality threshold for obligations past due that are now composed of both an absolute and a relative threshold, and the introduction of a probation period of three months before reclassification to a non-defaulted status.

4.4. Impairments

At the end of 2021, the total impairment stock (stage 1-2-3) amounted EUR 2,127 million compared to EUR 2,185 million end of 2020. This decrease of EUR 58 million is mainly explained by reversals performed on stage 1 and 2 driven by on the one hand the improvement of the macroeconomic environment and on the other hand by the revision of the Covid-19 overlays.

5. Exposures to Credit Risk

Full Exposure At Default (FEAD) is determined as follows:

- for balance sheet assets (except for derivatives): the gross carrying amounts (before credit risk adjustments);
- for derivatives: the exposure at default calculated under the standardized approach for counterparty credit risk (SA-CCR);
- for Securities Financing Transactions: the carrying amount as well as the excess collateral provided for repurchase agreements;
- for off-balance sheet commitments: either the undrawn part of credit facilities or the maximum commitment of Belfius for guarantees granted to third parties.

FEAD for instance provides a consistent metric to present a combined view of the Bank and Insurance respective exposures to credit risk.

Breakdown of credit risk by counterparty

	31/12/20	31/12/21	Of which	
(FEAD, in EUR million)			Bank	Insurer
Central governments	36,711	42,442	36,749	5,693
of which government bonds	9,703	9,146	3,694	5,452
of which EU Central Bank	25,418	31,628	31,628	0
Public sector entities	43,771	42,237	40,566	1,671
Corporate	41,901	47,941	45,484	2,457
Project Finance	2,562	2,956	2,956	0
Retail	54,555	58,228	53,988	4,240
Financial Institutions	17,229	13,703	12,137	1,566
Other(1)	6,646	6,334	5,387	947
TOTAL	**203,376**	**213,840**	**197,266**	**16,574**

(1) Other include a.o. deferred tax assets, tangible and intangible assets and gains and losses on the hedged item in portfolio hedge of interest rate risk.

Please note that the total FEAD of 31/12/2020 is different compared to the 2020 annual report, this is due to the fact that the 2020 annual report was excluding equity positions and other assets not qualified as credit exposure, whereas 2021 annual report is including equity positions and other assets not qualified as credit exposure.

The figures in the above table are after elimination of intra-group exposures, but with inclusion of credit exposure from trading activities and counterparty credit risk.

Exposures are allocated to the final counterparty. This means that if substitution is applied to a certain exposure to a borrower guaranteed by another party, the exposure is shifted to the region, type of exposure and rating of the guaranteeing party.

As at 31 December 2021, the total credit risk exposure, within Belfius reached EUR 213.8 billion, an increase of EUR 10.5 billion or 5.1% compared to the end of 2020.

This increase is entirely attributable to the banking activity as the credit risk exposure at the level of Belfius Insurance remained almost unchanged at EUR 16.9 billion at the end of 2021.

The increase by EUR 5.7 billion observed on the segment central governments is mostly due to the additional liquidity reserve taken up by Belfius and deposited at the NBB. Nearly half (49%) of the government bonds portfolio is invested in Belgian government bonds at the Group level. While at bank level the Belgian government bonds represents 44% of the total government bond portfolio, the relative proportion at Belfius Insurance stood at 49%.

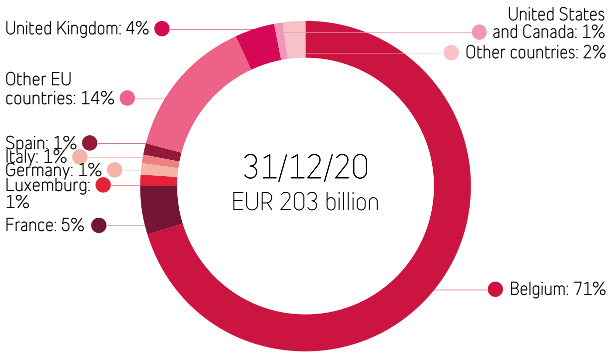
The credit risk exposure on individuals, self-employed and SMEs (27% of the total) and corporates (23% of the total) constitute the two main categories. The exposure on those categories increased by EUR 3.7 billion and EUR 6.0 billion respectively, reflecting Belfius' strategy to support the Belgian economy. However, a part of the increase observed in the corporates segment is due to a methodological change induced by the CRR2.

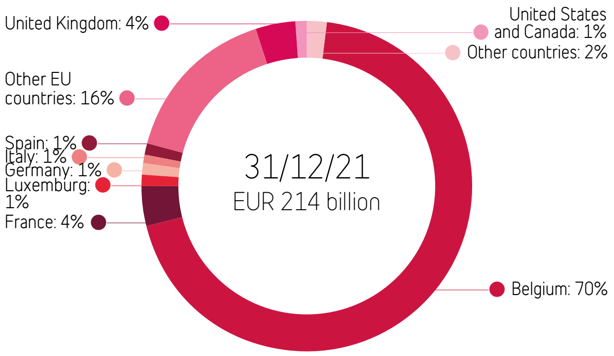
The credit risk exposure on public sector entities and institutions that are guaranteed by these public sector entities decreased by EUR 1.7 billion.

The credit risk on monoline insurers is predominantly an indirect risk arising from credit guarantees written by Belfius Bank and reinsured with monoline insurers on bonds issued by counterparties principally active in infrastructure and public utilities projects. With the implementation of CRR2, part of these exposures is now reported under the corporate category. The remaining exposure is included in the category financial institutions.

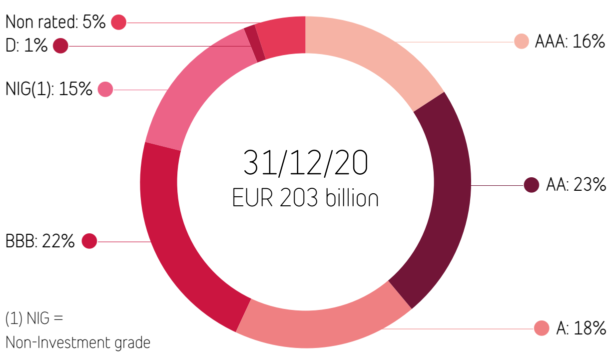
Belfius' positions are mainly concentrated in the European Union: 93% or EUR 183.0 billion at bank level and 96% or EUR 15.9 billion for Belfius Insurance. The geographic split of total credit risk exposure on European Union is as follows: 70% in Belgium, 4% in France, 1.1% in the United States and Canada, 0.8% in Spain and Germany and 0.7% in Italy. Belfius' credit risk exposure on United Kingdom is 4%.

Breakdown of credit risk by geographical region

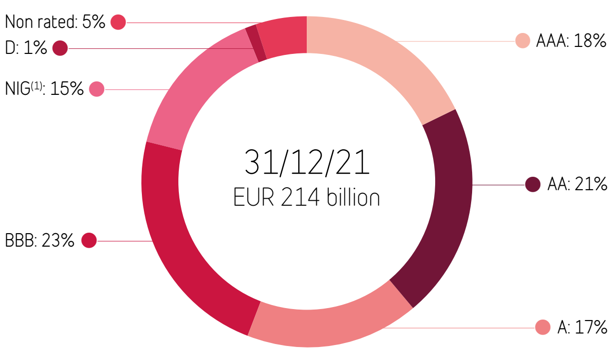




Breakdown of credit risk by rating



(1) NIG = Non-Investment grade



The credit risk exposure to counterparties in the United Kingdom amounted to EUR 8.3 billion. About 70% of this credit risk exposure concerns bonds, of which close to two-third are inflation-linked, issued by utilities and infrastructure companies in the United Kingdom that operate in regulated sectors such as water, gas and electricity distribution. These bonds are of satisfactory credit quality, and moreover most of the outstanding bonds are covered with a credit protection issued by a credit insurer that is independent from the bond issuer. The remainder concerns the bond portfolio of Belfius Insurance, a short-term credit portfolio for treasury management of Belfius Bank and receivables on clearing houses. The credit risks of these portfolios are also of satisfactory credit quality.

At the end of December 2021, 79% of the total credit risk exposure had an investment grade (IG) internal credit rating.

6. Asset quality

At the end of 2021, the amount of impaired loans on a consolidated basis amounted to EUR 2,012 million an increase of 0.7% compared to year-end 2020. During the same period, the gross outstanding loans to customers increased by 4.7% and amounted to EUR 103,306 million as the end of 2021. As a consequence, the asset quality ratio improved to 1.95% at the end of 2021. The coverage ratio remains stable to 60%.

Asset Quality(1)

(in millions of EUR, except where indicated)	31/12/20	31/12/21
Gross outstanding loans and advances to customers (measured at amortised cost)	98,640	103,306
Impaired loans and advances to customers (measured at amortised cost)	1,997	2,012
Stage 1 impairments on loans and advances to customers	134	128
Stage 2 impairments on loans and advances to customers	495	422
Stage 3 impairments on loans and advances to customers	1,199	1,215
Asset quality ratio(2)	2.02%	1.95%
Coverage ratio(3)	60.0%	60.4%

(1) Belfius Insurance included.
(2) The ratio between impaired loans and advances to customers and the gross outstanding loans and advances to customers.
(3) The ratio between the Stage 3 impairments and impaired loans and advances to customers.

Market risk

1. Overview

1.1. Market Risk Definition

Overall, market risk can be understood as the potential adverse change in the value of a portfolio of financial instruments due to movements in market price levels, to changes of the instrument's liquidity, to changes in volatility levels for market prices or changes in the correlations between the levels of market prices.

Management of market risk within Belfius encompasses all Financial Markets activities of the Bank and focusses on interest rate risk, credit spread risk, foreign-exchange risk, equity risk (or price risk), inflation risk and commodity price risk.

In the Risk report we make the distinction between the Structural & ALM risk on the one hand and Trading Market Risk on the other hand.

Market risk of Belfius Insurance is separately managed by its ALCo's. Belfius Insurance's ALCo makes strategic decisions affecting the balance sheets of the insurance companies and their financial profitability taking into consideration the risk appetite pre-defined by the Belfius Bank and Insurance Group (i.e. directional ALM position in interest rate risks, equity and real estate risks, volatility and correlation risks).

1.2. Risk types

The sources of market risk are changes in the levels of:

- interest rates;
- credit spreads;
- inflation;
- foreign-exchange rates;
- equity prices;
- commodity prices;

and their related risk factors like volatility or correlation for example.

Interest rate risk may be understood as the variation of the value of assets or liabilities of the Bank following changes in interest rates quoted on the markets. It is most pronounced in debt instruments, derivatives that have debt instruments as their underlying reference asset and other derivatives the values of which are linked to market interest rates.

Credit spread risk is linked to the credit spread curve that can change for a counterparty even if the credit quality (rating) remains the same. This impacts the XVAs and mainly the Credit Value Adjustment (CVA).

Foreign-exchange risk is the potential risk that movements in exchange rates may adversely affect the value of a financial instrument or portfolio. Despite exchange rates being a distinct market risk factor, the valuation of foreign-exchange instruments generally requires knowledge of the behaviour of both spot exchange rates and interest rates.

Equity price risk is the potential risk of adverse changes in the value of an institution's equity-related holdings. Price risks associated with equities are often classified in two categories: general (or non-diversifiable) equity risk and specific (or diversifiable) equity risk.

2. Structural & ALM risk

2.1. Policy on asset and liability management

Managing structural exposure to market risks (including interest rate risk, equity risk, real estate risk and foreign exchange risk) is also known as Asset & Liability Management (ALM). The structural exposure at Belfius results from the imbalance between its assets and liabilities in terms of volumes, durations and interest rate sensitivity.

Belfius' Board of Directors has the ultimate responsibility for setting the strategic risk tolerance, including the risk tolerance for market risks in non-financial markets activities. The Management Board of Belfius Bank and Belfius Insurance have the ultimate responsibility for managing the interest rate risks of Belfius within the above set risk tolerance and within the regulatory framework.

The real operational responsibility of the effective asset and liability management (ALM) is delegated to the Asset & Liability Committee (ALCo). The ALCo manages interest rate risk, foreign exchange risk, and liquidity risk of the Bank's respectively insurer's balance sheet within a framework of normative limits and reports to the Management Board. Important files at a strategic level are submitted for final decision to the Management Board, that has the final authority before any practical implementation.

The ALCo of the Bank is responsible for guiding and monitoring balance sheet and off-balance sheet commitments and, in doing so, places an emphasis on:

- the creation of a stable income flow;
- the preservation of economic value;
- the assurance of robust and sustainable funding.

The ALCo meets regularly, chaired by the Chief Financial Officer (CFO), with meetings attended by the Chief Risk Officer (CRO) and members of the Management Board responsible for commercial business lines (or their representatives).

The ALCo of Belfius Insurance plays the same role for the insurance company pursuing the same objectives but with a focus on the economic value and solvency according to the Solvency II regulation. The risk indicators are calculated based on a harmonised risk method for Belfius, supplemented by factors specific to Belfius Insurance relating to their risk management.

2.2. Interest rate risk

2.2.1. Interest rate risk of the banking activities

In respect to the interest rate risk, Belfius Bank pursues a prudent risk management of its interest rate positions in the banking book within a well-defined internal and regulatory limit framework, with a clear focus on generating stable earnings and preserving the economic value of the balance sheet and this in a macro-hedging approach, thoughtfully considering natural hedges available in the bank balance sheet.

The management of non-maturing deposits (such as sight and savings accounts) and non-interest-bearing products use portfolio replication techniques. The underlying hypotheses concerning expected duration, rate-fixing period and tariff evolution are subject to constant monitoring and, if necessary, they are adjusted by the ALCo. Implicit interest rate options like prepayment risk are integrated through behavioural models.

Interest rate risk has two forms: economic value volatility and earnings volatility. The measurement of both of these forms is complementary in understanding the complete scope of interest rate risks in the banking book.

Banks' ALM objective is to protect the net interest income from downward pressures in the current interest rate environment, while respecting the limits on variation of economic value.

Economic value indicators capture the long-term effect of interest rate changes on the economic value of the Bank. Interest rate sensitivity of economic value measures the net change in the ALM balance sheet's economic value if interest rates move by 10 bps across the entire curve. The long-term sensitivity of the ALM perimeter was EUR -55 million per 10 bps as at 31 December 2021 (compared to EUR -35 million per 10 bps as at 31 December 2020), excluding interest positions of Belfius Insurance and of the pension funds of Belfius Bank.

Earnings at Risk indicators capture the shorter-term effect of the interest rate changes on the earnings of the Bank. Therefore, indirectly through profitability, interest rate changes can also have a shorter-term solvency effect. A 50 bps increase of interest rates has an estimated positive impact on net interest income (before tax) of EUR +31 million of the next book year and an estimated cumulative effect of EUR +192 million over a three year period, whereas a 35 bps decrease would lead to an estimated impact of EUR -9 million of the next book year and an estimated cumulative effect of EUR -103 million over a three year period.

In addition to directional interest rate risk, curvature risk, due to steepening or flattening of the interest rate curve, is also followed up within a normative framework by the ALCo. The same goes for basis spread risk between Euribor and Eonia or €STR and cross-currency spread risk.

The low interest rate environment puts considerable pressure on the Bank's standard transformation model. On the one hand, the interest paid to depositors remains close to zero or is even legally prohibited to go below 11 bps while the interest received on commercial loans is constantly lowered following market rates and competitive pressures. On the other hand, customers continued to refinance and prepay their mortgages. However, the decisions of the ECB to introduce a tiering on deposits at the ECB and the more advantageous conditions of TLTRO III bring a little relief to the pressure on the bank's transformation model. In the second half of 2021, EU inflation rose to historically high levels and should this prove to be structural, interest rates may rise more quickly than expected and consequently alleviate the downward pressure on the Net Interest Income. The ALCo will remain attentive to fast changing interest rate environment with the primary objective to respect the Risk Appetite Framework (RAF).

2.2.2. Interest rate risk for insurance activities

The aim is to manage and limit the volatility in the income statement that can be caused by interest rate fluctuations and to safeguard the economic value of the shareholders' capital. Therefore, Belfius Insurance, as a matter of policy, does not hold any exposure with a high interest rate risk.

The duration that reflects the interest rate sensitivity of the balance sheet, is considered to be the leading measuring instrument for interest rate risk. The partial and global sensitivities of the interest rate risk per time bucket are more precise indicators that are monitored by the ALCo.

The limits for the interest rate risk are approved by the management board and the Board of Directors. They are translated to the Risk Appetite Policy for global risk indicators and to the Investment Framework for more operational risk indicators and monitored by the ALCo.

Belfius Insurance maintained its ALM strategy which aims to keep the duration between assets and liabilities effectively balanced.

Taking into account the historically low interest rates persisting for a longer period, Belfius Insurance has been forced to revise its current product range substantially. Taking into account the Solvency II capital requirements in combination with the low interest rates and the current taxation rules, it was not easy to offer customers attractive investment insurance products in Branch 21 and Branch 26. So, there are several initiatives on which we give customers an opportunity to foresee a certain degree of security in their investment in Branch 23 through the Branch 44 concept.

2.2.3. Aggregate interest rate risk for the Belfius Group

The figures below show the impact on the Belfius Group Net Asset Value and the Earnings at Risk for the next book year of a parallel upward shift of the yield curve of 10 or 50 bps

(In thousands of EUR)	31/12/20	31/12/21
BELFIUS BANK		
Sensitivity (+10 bps)	(34,770)	(54,950)
Earnings at risk (+50 bps)	30,889	31,335
BELFIUS INSURANCE		
Sensitivity (+10 bps)	5,224	8,332
Earnings at risk (+50 bps)	2,981	4,354

2.3. Credit spread risk

The credit spread risk is dealt with in the "Credit risk" section.

The sovereign and credit portfolio is managed by the investment departments under supervision of the respective ALCo's of Belfius Bank and Belfius Insurance. Its management is carried out according to a risk framework monitored by the risk department. The framework provides risk guidance for the investments. It sets risk appetite and operational limits for ensuring the credit quality of the credit portfolio within the well-defined limits and a sound diversification (e.g. among industry sectors or countries). Sensitivity analysis and stress testing are regularly performed.

At Belfius Insurance, the credit spread risk has been fully integrated in the Risk Management. Indeed, moving towards Solvency II, the credit spread risk became more than before a key driver of the solvency position of the insurance company both for the net asset value's sensitivity and for the capital requirement.

2.4. Equity risk

Equity risk is a key contributor to the net asset value's sensitivity and the capital requirement of the insurance company. The equity portfolio is managed by a dedicated Investment team under supervision of the ALCo. The investments are again framed by risk guidance and operational limits according to the risk appetite of Belfius Insurance.

Market risk management tools include stress test measurements that provide an indication of the potential market value loss under different scenarios and the solvency ratio's resilience.

The table below shows the price sensitivity of Belfius' equities portfolio to a downward shock of 30%.

(In thousands of EUR)	31/12/20	31/12/21
BELFIUS INSURANCE		
Market value - quoted shares & assimilated	379,250	407,602
Market value - quoted real estate	195,006	255,182
Shock 30% (negative)	(172,277)	(198,835)
VaR (99%, 10 days)	175,891	57,916

2.5. Real estate risk

Property investments are made of deals offering long-term stable returns mostly on the Belgian market. As such, these property investments must be viewed as a way of optimizing the risk/return of the investment portfolio and are allocated to the long-term life insurance business.

The table below shows the price sensitivity of Belfius Insurance real estate risk to a downward shock of 15%.

(In thousands of EUR)	31/12/20	31/12/21
BELFIUS INSURANCE		
Market value - not quoted real estate	727,068	763,202
Shock 15% (negative)	(109,060)	(114,480)

2.6. Foreign exchange risk

Although Belfius Bank uses the EUR as its reporting currency, part of its assets, liabilities, income and expenses are also generated in other currencies. The elements of the profit and loss accounts which are generated in foreign currency are systematically and on an ongoing basis converted in EUR, resulting in only limited net FX positions.

The foreign exchange rate risk is not significant at Belfius Insurance, as less than 1% of the portfolio's total market value is denominated in foreign currencies. The possibilities of holding exposures in foreign currencies are moreover deliberately limited by the Investment Framework.

2.7. Pension funds

Specific reports on the pension plans managed by the pension fund are submitted to the investment committee of those plans as a result of the delegation given by the ALCo. The investment committee analyses the impacts of the plans' position on interest rate, inflation and equity risk.

3. Trading market risk

Financial Markets activities encompass client-oriented activities and hedge activities at Belfius Bank. No Financial Markets activities are undertaken at Belfius Insurance. If there is a need for FM-products, they will go to Belfius Bank or other financial institutions.

3.1. Market risk governance

With the purpose of effectively managing the market risks Belfius Bank is facing, FM Risk Management has identified the following cornerstones as key pillars for the risk management of its Financial Market (FM) activities:

- an efficient organisation fostering an accurate identification, analysis and reporting of the different risks Belfius Bank is bearing, as well as a continued training of people in order to remain up to date with the latest evolutions in theories, regulatory issues, metrics or market changes;
- a robust limit framework with differentiated limits by activity or risk factor that is to be respected by all parties involved in market activities. On top of the VaR limits or P&L triggers, several other metrics have been identified as key controlling tools in the risk management process:
  - limits on notional amounts;
  - limits on maturities;
  - limits on type of products;
  - limits on sensitivities (known as "Greeks": delta, etc.);
  - back testing;
  - stress tests;
- finally, this framework is regularly submitted for revision to the FM Committee in order to be commensurate to the risk appetite defined by the Board of Directors of Belfius Bank.

3.2. Market risk measures

The Value-at-Risk (VaR) concept is used as the principal metric for proper management of the market risk Belfius Bank is facing. The VaR measures the maximum loss in Net Present Value (NPV) the Bank might be facing in normal and/or historical market conditions over a period of ten days with a confidence interval of 99%. The following risks are monitored at Belfius using a VaR computation:

- the interest rate, inflation and foreign exchange (forex) rate risk: this category of risk is monitored via a historical VaR based on an internal model approved by the National Bank of Belgium. The historical simulation approach consists of managing the portfolio through a time series of historical asset yields. These revaluations generate a distribution of portfolio values (yield histogram) on the basis of which a VaR (% percentile) may be calculated.
  The main advantages of this type of VaR are its simplicity and the fact that it does not assume a normal but a historical distribution of asset yields (distributions may be non-normal and the behaviour of the observations may be non-linear);
- the general and specific equity risks are measured on the basis of a historical VaR with full valuation based on 300 scenarios;
- the spread risk is measured via a historical approach, applying 300 observed variations on the sensitivities.

To reduce the Earnings-at-Risk of financial markets, the overall FM VaR limit was reduced in Q3 and the EaR calculation refined to more accurately reflect trading positions based on both VaR limit and VaR consumption.

3.3. Market risk exposure

The overall average VaR of Financial Markets activities decreased to EUR 11.1million in 2021 against EUR 14.7 million in 2020.

Value-at-risk by activity

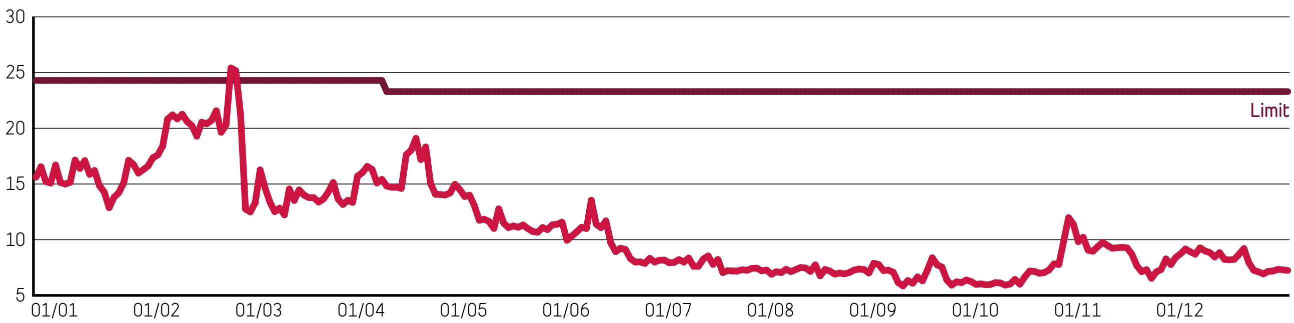
VaR(1) (99% 10 days) (In millions of EUR)	31/12/20				31/12/21			
	IR(2) & FX(3)	Equity	Spread	Other risks(4)	IR(2) & FX(3)	Equity	Spread	Other risks(4)
By activity								
Average	7.3	5.8	1.2	0.4	5.4	4.7	0.6	0.3
EOY	8.7	6.2	0.5	0.4	3.9	2.6	0.2	0.5
Maximum	12.3	8.4	3.6	0.4	14.4	9.7	1.5	0.6
Minimum	4.5	2.6	0.2	0.3	2.4	2.4	0.1	0.3
Global								
Average		14.7				11.1		
EOY		15.8				7.2		
Maximum		21.5				25.4		
Minimum		9.4				5.9		
Limit		24.3				23.3		

(1) The Value at Risk (VaR): is a measure of the potential change in market value with a probability of 99% and over a periode of 10 days.
(2) IR: interest rate risk and inflation risk.
(3) FX: forex risk.
(4) CO_2 risk.

The VAR increased in the first quarter of 2021 and even breached its limit briefly. This triggered a reduction of position and a refined calculation methodology. After Q1, the VAR slowly started to decrease as more and more of the Covid-19 crisis scenarios exited the 1Y window. There remained sudden increases as markets incorporated news on vaccines, new variants and increased inflation.

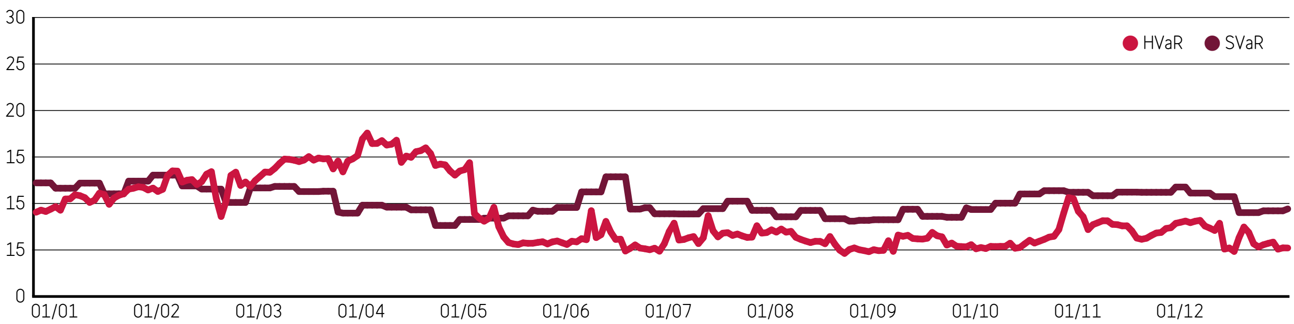
Evolution of global VaR in 2021

In millions of EUR



Evolution of HVaR and SVaR (Internal Model) in 2021

In millions of EUR



3.4. Stress Testing

Although the VaR is a very useful risk management tool for controlling day-to-day loss-risk exposures, it does not fully withstand the test of abnormal market movements, and it does not always give a total accurate picture of market exposure. Stress tests sometimes reveal such information better by gauging Belfius' vulnerability of the market position to exceptional events and hence by providing additional information about market risks alongside the information embedded in the VaR. These risks include those associated with extreme price movements and those associated with scenarios not reflected in recent history or implied by the parameters used to compute the VaR. Consequently, Belfius Bank uses stress tests in addition to the VaR approach.

The stress test framework has been reviewed (scenarios updated) and the scope has been enlarged to include stress tests on Fair Value Hedge positions, XVA and Credit Derivatives.

Three types of scenarios are considered: calibrated scenarios (shocks on each risk factor, calibrated as quantiles of their historical distribution), specific scenarios (specific shocks on some risk factors) and historical scenarios (scenarios based on previous crises, for which the Covid-19 stress of 2020 has been added).

The results of these stress tests are reported monthly in the FM Risk Monitoring Report and Quarterly to the FMRR.

3.5. Regulatory internal model and back testing

The aim of back testing is to test the accuracy and the mathematical soundness of the internal market risk measurement methodologies by comparing the calculated market risk figures with the volatility of the actual results. Back testing is a prerequisite for Belfius Bank since we use internal models to calculate the regulatory capital requirement for market risks.

The result of the back test is the number of actual market losses greater than their corresponding VaR figures (i.e. "the number of exceptions"). According to this number, the regulators will also decide on the multiplier to be applied for determining the regulatory capital requirement for market risks.

Currently, two types of back testing are processed at Belfius Bank:

- Hypothetical back testing compares the hypothetical results of the portfolio's end-of-day value and, assuming unchanged positions, its value at the end of the subsequent day. This result is therefore without any provisions adjustments and other non-involved risk factors. The holding period is one day. During 2021, there were seven negative exceptions to the hypothetical back testing. Five of these where the result of the market volatility at the beginning of Q4, all explained by extreme movements in risk factors not predicted by a historic simulation approach. One exceeding was the result of a technical problem where no hypothetical pnl was calculated;
- Real back testing compares the portfolio's end-of-day value and its actual value at the end of the subsequent day excluding fees, commissions, and net interest income. In 2021, there were three exceptions to the real back testing, of which one technical, one during the market volatility of Q4 and finally one related to the de-risking of a legacy position.

Liquidity risk

1. Liquidity risk at Belfius Bank

1.1. Liquidity management framework

Belfius Bank manages its liquidity with a view to complying with internal and regulatory liquidity ratios. In addition, limits are defined for the balance sheet amount that can be funded over the short term and on the interbank market. These limits are integrated in the Risk Appetite Framework (RAF) approved by the Board of Directors and reported on a quarterly basis. Available liquidity reserves also play a key role regarding liquidity: at any time, Belfius Bank ensures it has sufficient quality assets to cover any temporary liquidity shortfalls, both in normal markets and under stress scenarios. Belfius Bank defined specific guidelines for the management of LCR eligible bonds and non LCR eligible bonds, both approved by the Management Board. All this is laid down in the liquidity guideline, approved by the ALCo.

Asset and Liability Management (ALM), a division situated within the scope of the Chief Financial Officer (CFO), is the front-line manager for the liquidity requirements of Belfius Bank. It identifies, analyses and reports on current and future liquidity positions and risks and defines and coordinates funding plans and actions under the operational responsibility of the ALCo and under the general responsibility of the Management Board. The ALCo also bears final operational responsibility for managing the interest rate risk contained in the banking balance sheet via the ALM department.

ALM organises a regular Asset and Liability Forum (ALF), in the presence of the Risk department, the Treasury department of the Financial Markets and representatives of the commercial business lines. The Asset and Liability Forum is in the first place a discussion forum on all topics with a link to the ALCo in preparation to the ALCo memos. This forum has been mandated by the ALCo to translate the strategic funding plans into tactical and operational funding strategies aligned to the financing needs stemming from Belfius' balance sheet and within the regulatory constraints (LCR, NSFR, encumbrance, MREL and so on).

ALM monitors the funding plan to guarantee Belfius Bank will continue to comply with its internal and regulatory liquidity ratios.

ALM reports daily to the CFO and CRO and quarterly to the Board of Directors about the Bank's liquidity situation.

Second-line controls for monitoring the liquidity risk are performed by the Risk department, which ensures that the reports published are accurate, challenges the retained hypotheses and models, realises simulation over stress situations and oversees compliance with limits, as laid down in the Liquidity Guidelines.

1.2. Exposure to liquidity risk

The liquidity risk at Belfius Bank stems mainly from:

- the variability of the amounts of commercial funding collected from Retail and Private customers, small, medium-sized and large companies, public and similar customers and the way these funds are allocated to customers through all type of loans;
- the volatility of the collateral that is to be deposited at counterparties as part of the CSA framework for derivatives and repo transactions (so called cash and securities collateral);
- the value of the liquid reserves by virtue of which Belfius Bank can collect funding on the repo market and/or from the ECB;
- the capacity to obtain interbank and institutional funding.

This year saw a continued focus on the management of the liquidity risk under Covid-19 crisis. From the start Belfius maintained its strong liquidity position mainly through a considerable increase in commercial deposits. In 2021 Belfius Bank participated in the TLTRO III for an additional amount of EUR 1.4 billion, thus reaching a total amount of EUR 15.7 billion of TLTRO funding.

1.3. Liquidity Risk Management

Strategies, scope and processes of liquidity risk management

The Liquidity report covers Belfius Bank on a consolidated level, i.e. the Bank with its subsidiaries and branches, including companies for securitization, excluding Belfius Insurance.

The strategy of the liquidity risk management is described in the Liquidity Risk Management Guidelines and in the Risk Appetite Framework (RAF). The RAF constitutes the highest level of risk limits and principles that express the risk tolerance of the Bank.

Monitoring is done through internal and regulatory liquidity Key Risk Indicators (KRI), with respective internal limits set up in the RAF. The liquidity KRI are reported on a regular basis and any exceeding of the limit is reported to the ALF and to ALCo, which has power of decision. Respect of those KRI is also tested under stress scenarios.

In addition, a series of Early Warnings indicators are monitored daily to identify liquidity tension on the markets as soon as possible.

In addition to the regulatory indicators, liquidity risk management focuses on:

- **Internal liquidity ratio**: a daily ratio that measures if Belfius Bank can survive a severe crisis for a minimum period of three months without recovery options (excluding repos on liquidity buffer and a limited amount of ECB funding);
- **Funding Gap**: a daily follow up of the maximum funding gap limits by currency and by maturity bucket;
- **Funding Plan and stress testing**: development of a strategic Funding Plan with the projection of the funding sources and requirements over the next five years giving a projection of the liquidity reserves, LCR ratio, NSFR ratio, MREL requirements and Asset Encumbrance ratio. A severe stress scenario, combining Belfius specific and market specific events is applied on this Funding Plan: all RAF limits on liquidity KRI have to be respected;
- **Collateral management**: daily monitoring of collateral position and collateral needs of the Bank and their respective impact on liquidity;
- **Intraday liquidity risk**: in order to meet payment and settlement obligations on a timely basis under both normal and stressed conditions Belfius must have a sufficient buffer for operational and stressed outflows. The intraday liquidity is managed by the Treasury desk and controls are performed by Operations and Risk Management with a reporting of those tests to the ALF;
- **Contingency Funding Plan (CFP)**: through a daily dashboard Belfius Bank created an adequate early warning system to detect market specific or Belfius specific liquidity events. A set of recovery measures is defined and regularly tested in the market with realistic amounts of funding, time to market and pricing. The CFP is consistent with the crisis management organization of Belfius Bank and has a clear decision process about responsibilities and organization of an ad-hoc ALCo to decide to activate the recovery measures;
- **Recovery Plan (RP)**: in the RP a number of stress scenarios are defined that could bring the Bank near to failure. Recovery measures that can be launched to avoid this failure are tested in various scenarios;
- **Liquidity Adequacy Statement (LAS)**: the ILAAP (internal liquidity adequacy assessment process) results in the LAS where the Management Board confirms in a statement that Belfius has enough liquidity to fund its activities and to sustain severe stresses and that liquidity risk is in line with the defined RAF and compliant with ILAAP requirements.

Belfius Bank developed the Liquidity Risk Management Guidelines and the RAF limits in order to remain sufficiently liquid in stress situations, without resorting to recovery actions which would generate significant costs or which would interfere with the core banking business of Belfius Bank.

1.4. Consolidation of the liquidity profile

During 2021, Belfius consolidated its diversified liquidity profile by:

- maintaining a funding surplus within the commercial balance sheet;
- continuing to obtain diversified long-term funding from institutional investors;
- collecting short and medium-term (CP/CD/EMTN) deposits from institutional investors.

Belfius Bank participated in the ECB TLTRO III funding programme for an amount of EUR 15.7 billion with the purpose to finance investment needs of SMEs, social sector and retail clients (mortgage loans excluded).

Belfius Bank closed the year 2021 with a 12-month average LCR of 195%. The LCR of the Bank saw a strong increase after the participation in the TLTRO. Without the extra TLTRO at more advantageous conditions to compensate for the pressure on the Bank's standard transformation model, the LCR remained within our driving range during 2021.

The Net Stable Funding Ratio (NSFR), based on our current interpretation of Basel III rules, stood at 136% at year-end 2021, an increase also explained by the participation in the TLTRO III.

1.5. Liquidity reserves

At the end of 2021, Belfius Bank had quickly available liquidity reserves of EUR 42.3 billion. These reserves consisted of EUR 31.3 billion in cash, EUR 8.1 billion in ECB eligible bonds (of which EUR 6.9 billion are CCP-eligible (Central Counterparty-eligible), EUR 1.9 billion in other assets also eligible at the ECB and EUR 1.0 billion in other liquid bonds.

These liquidity reserves represent 19.9 times the Bank's institutional funding outstanding at the end of 2021 and having a remaining maturity of less than one year.

1.6. Funding diversification at Belfius Bank

Belfius Bank, as a universal bank, has a stable volume of commercial funding that comes from its Individuals (IND) and Entrepreneurs, Enterprises and Public (E&E&P) customers. Seeing the further increase of commercial funding, this source of funding represents an increasing part of total funding of Belfius Bank. IND and E&E&P funding equals EUR 113.9 billion of which EUR 83 billion is from IND. The increase of EUR 8.8 billion commercial funding compared to 2020 is used to finance the commercial loans.

The loan-to-deposit ratio, which indicates the proportion between assets and liabilities of the commercial balance sheet, decreased under the Covid-19 crisis and stood at 85% at the end of 2021 as the growth in commercial funding was stronger than the loans increase.

Belfius Bank also receives medium-to-long-term wholesale funding, including EUR 6.5 billion from covered bonds (EUR 5.3 billion backed by mortgage loans and EUR 1.2 billion by public sector loans) and EUR 15.7 billion in TLTRO funding from the ECB as at 31 December 2021.

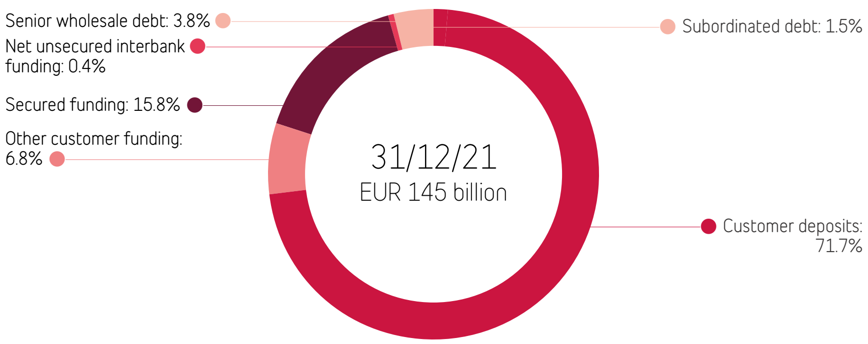
Note that during 2021 Belfius Bank issued EUR 0.5 billion Preferred Senior Bonds, EUR 0.5 billion Green Non-Preferred Senior Bonds and EUR 0.5 billion subordinated Tier 2. These issuances will enable us further to contribute to the MREL requirements.

The remainder of the Bank's funding requirements comes from institutional short-term deposits (Treasury) mainly obtained through placement of Certificates of Deposit and Commercial Paper (CP).

Next to that, Belfius Bank also has a historical bond portfolio, including an ALM portfolio for liquidity management purposes, with highly liquid assets.

As a result of derivative contracts to cover the interest rate risk of its activities, Belfius Bank has an outstanding position in derivatives for which collateral must be posted and is being received (cash and securities collateral). Against the background of historical low interest rates, in net terms, Belfius Bank posts more collateral than it receives.

Belfius' main funding sources



1.7. Encumbered assets

Encumbered assets represent the on- and off-balance sheet assets that are pledged or used as collateral for Belfius' liabilities. Belfius has encumbered a part of its loan portfolio for issuing covered bonds and residential mortgage-backed securities (RMBS). Furthermore, assets are encumbered for repurchase agreements and collateral swaps. Belfius also participates in TLTRO, for which assets are pledged as collateral. Finally, a part of Belfius' encumbrance results from collateral posted to secure derivatives transactions.

Belfius is active on the covered bond market since the set-up of the first covered bond programme in 2012.

The Bank also collects funding through repo markets for a limited amount and other collateralised deposits. A small part of the credit claims is pledged directly as collateral for intraday liquidity.

Since 2017 in the context of the management of its liquidity buffer, Belfius is also active in securities lending transactions under agreed Global Master Securities Lending Agreements (GMSLA).

The balance of encumbered assets is mainly linked to collateral pledged (gross of collateral received) for the derivatives exposures under the form of cash or securities and in 2021 to the collateral posted for the TLTRO funding. A significant part of collateral pledged is financed through collateral received from other counterparties with whom the Bank concluded derivatives in the opposite direction. The exceptional drawing on the TLTRO III, allowing Belfius to generate additional P&L and capital in order to sustain the Belgian economy, has led to a higher-than-normal Asset Encumbrance Ratio.

Regarding the "Other assets" (unencumbered) on balance sheet, they are mainly composed of assets not available for encumbrance such as derivatives value, fair value revaluation of portfolio hedge and tax assets.

At year end 2021 (point-in-time) the sources of asset encumbrance (matching liabilities) mainly consisted of:

- own covered bonds issued (EUR 6.5 billion);
- TLTRO (EUR 15.7 billion);
- derivatives exposures (EUR 10.7 billion) ;
- securities lending transactions (EUR 0.9 billion).

For the full disclosure under EBA guidelines we refer to the Risk Report of Belfius Bank.

2. Liquidity risk at Belfius Insurance

As an insurance company in terms of liquidity management, Belfius Insurance engages mainly in life insurance liabilities at relatively long term that are largely stable and predictable. Consequently, the funding requirement is quite limited. The premiums paid by policyholders are placed in long-term investments in order to guarantee the insured capital and committed interests at the contract's maturity date. Our liquidity indicators demonstrate that Belfius Insurance constantly holds enough liquid assets to cover its commitments on the liability side of the balance sheet.

In order to ensure that all short-term liquidity requirements can be met, Belfius Insurance has embedded liquidity management in its day-to-day activities through:

- investment guidelines that limit investments in illiquid assets;
- Asset Liability Management, ensuring that investment decisions take into account the specific features of the liabilities;
- policies and procedures put in place to assess the liquidity of new investments;
- follow up of the short-term treasury needs.

In addition, Belfius Insurance also holds a significant amount of unencumbered assets (mainly in governments bonds) eligible for repos in the context of its liquidity management.

The Investment department is responsible for Belfius Insurance's liquidity and cashflow management. Therefore, it uses long-term projections of the cash-flows of assets and liabilities. These cash flows are simulated under both normal and stressed situations.

The assets are valuated in market value. The "Undetermined" category includes the Branch 23 products and shares.

The liability side includes repo transactions and Branch 23 products within the "Undetermined" category.

	2020	
(In millions of EUR)	Assets	Liabilities
< 1 year	1,119	1,127
1 < 5 year	3,189	4,061
5 year and +	12,365	7,120
Undetermined	5,611	5,411
TOTAL	22,284	17,719

	2021	
(In millions of EUR)	Assets	Liabilities
< 1 year	1,735	1,247
1 < 5 year	2,469	3,557
5 year and +	11,429	7,028
Undetermined	6,147	5,794
TOTAL	21,780	17,625

Non-financial risk – operational risk

1. Non-Financial Risk Management Framework

The term Non-Financial Risk (NFR) must be understood as a broad umbrella covering all risks except "financial risks" (the latter encompassing market, ALM, liquidity, credit and insurance risks). NFR covers inter alia operational risks (including fraud, HR, IT, IT security, business continuity, outsourcing, data-related risks, privacy and so on) as well as reputational, compliance, anti-money laundering, legal risks, etc.

The NFR management framework determines the principles, the organisation, the governance, … that ensure an effective management of the non-financial risks. The principles are further elaborated in specific Policies/Guidelines adapted to the business activities. These general principles are compliant with the applicable legal and regulatory requirements.

The framework is based on four axes:

- a risk mapping and taxonomy in order to ensure consistency within the organization, including a regular review in order to identify any emerging or material increase in certain risks;
- transversal risk processes and related policies including risk measurement (risk appetite definition and follow-up, self-assessment of risks and internal controls and so on), reporting (incident monitoring, risk reporting, …) and mitigation actions (business continuity and crisis management, etc.).
- clear roles and responsibilities, as well as a well-defined way of working together for all the risks based on the three LoD model (decentralized responsibility); and
- a strong governance/committee structure involving the appropriate level of management.

The NFR department, as an independent internal control function, reports directly to the Chief Risk Officer and includes the specific functions of Data Protection Officer (DPO) and Chief Information Security Office (CISO). NFR takes on the second LoD role, ensuring a clear risk management framework and sound risk governance, including assessment, management, monitoring and mitigation of risks.

Reporting, in addition to several specific reports, is mainly covered in a dedicated chapter in the Quarterly Risk Report sent to the Management Board (via amongst others the NFRC) and senior management. For the various NFR risk sub-committees, we refer to section II on Risk Management Governance.

For capital calculation the "Standardised Approach" is used (see also Operational risk in the chapter "Regulatory framework and Pillar 3 disclosures).

2. Risk Appetite

The formal definition of a Risk Appetite Framework (RAF) is the key reference for the Group risk management practice and it covers both financial and non-financial risks.

The RAF for NFR contains qualitative elements (statements) and quantitative elements (target values or ratios). Inter alia, the latter cover operational incident losses, fraud risk, data privacy risk, information security risk, outsourcing and third-party risk, NFR management capacity as well as ESG risk, resources risk and project/transformation risks. The RAF is continuously updated and improved regarding NFR RAF indicators, with constant challenging at the governance level and an improving level of maturity.

In order to strengthen the conglomerate dimension further, in 2021 an RAF roll-out in the subsidiaries was realised. These RAF's are based on the RAF at a Group level, reflecting and monitoring the own (financial and non-financial) vulnerabilities and risks of each subsidiary.

3. Transversal risk processes

3.1. Incident management

The systematic collection and control of data on operational incidents is one of the main requirements of the Basel Committee regarding operational risk management.

The reporting mechanisms ensure that the responsible parties are notified quickly when incidents occur.

Major incidents are investigated thoroughly and are reported to the CRO/Management Board. Such incidents are also subject to specific action plans and appropriate follow-up under the responsibility of the concerned teams / entities for avoidance, mitigation or limitation of the related risk.

For the period 2019-2021, Belfius Bank's average annual potential net losses stemming from operational incidents amounted to EUR 2.93 million. The main areas of operational losses were essentially due to incidents associated with external fraud and incidents in relation to execution, delivery and process management. One-off costs, in order to make Belfius as operational during the Covid-19 pandemic as before the crisis, accounting for all Covid-19 restrictions and safety measures (i.e. disinfection of premises and air conditioning systems, personal protective equipment, thermo-scanners, plexiglass barriers, additional laptops/networks and specific communication supports and so on), have been classified in the category 'Information, technology and infrastructure failures' making this risk the third most important category (in amount), whereas this category was very limited in the past.

The most important part of the financial impact resulting from operational incidents comes from the Bank's retail business.

3.2. Self-Assessment of Risks and Internal Controls (SARIC)

Another important task of NFR management is analysis of the overall main potential risks and related key controls performed within Belfius Group's main entities. This is achieved through a bottom-up self-assessment of Risks and Internal Controls in all departments and subsidiaries, leveraging the COSO Methodology across our three Lines of Defence model. These exercises may result in the development of additional action plans to mitigate potential risks further and to provide a complete, current and forward-looking overview of the main risk areas in the various businesses/entities. The self-assessments are conducted annually and the results are submitted to the respective Boards of Directors. Belfius Bank also submits the Senior Management Report on the Assessment of the Internal Control to its regulators.

3.3. New Product Approval Process (NPAP)

The process of developing or changing a function (defined as a product, service, activity, process or system) involves a sound (ex-ante) risk assessment, the so called New Product Approval Process. It ensures that all risks related to any new or altered function are understood, assessed by relevant experts and addressed accordingly in order to be validated by a dedicated steering committee.

3.4. Managing insurance policies

The possible financial impact of Belfius' operational risks is also mitigated by taking out insurance policies, principally covering professional liability, fraud, theft, interruption of business and for cyber risk. This is standard practice in the financial services' industry.

3.5. Business continuity

Belfius is committed to its clients, counterparties and regulators to put in place, maintain and test viable alternative arrangements that, following an incident, allow the continuation or the resumption of critical business activities at the agreed operational level and entirely compliant with Belgian Regulations.

The supporting process, the business continuity and crisis management, is compliant with the ISO22301 standard and the BCI Good Practice Guidelines. It is applied with a uniform approach throughout all Belfius entities.

No incident occurred in 2021 to cause a Business Continuity Plan (BCP) deployment, but several tests were organized in order to validate the analyses and to exercise the business continuity plans. Although all tests were successful, each time 'lessons-learned' were cascaded into action plans. All of them were executed meanwhile.

During 2021, a new Business Continuity Management tool was implemented.

Consequently, the Business Continuity Management of Belfius proves to be a very mature process guaranteeing the institution's future resilience.

4. Focus on key non-financial risks/domains

4.1. Information Security

The purpose of information security is to protect Belfius' information: i.e. the information generated by the business, the information belonging to our clients, and also the information derived from freely accessible or publicly available data, which has acquired a value as a result of the treatment carried out by or on behalf of Belfius. The threats against data and information are their loss of integrity, their loss of confidentiality and their (unplanned) unavailability. The task of information security is to protect Belfius Group against these threats.

Belfius also considers that the objective regarding information security extends to managing the risks linked to the consequences of these threats, if they were to materialize, in terms of customers' confidence, financial impacts, Belfius reputation, stakeholders' confidence (regulators, financial markets and so on) and relationship with our business partners. An information security strategy derived from these principles has been approved and is applicable to all actions pertaining to information security. The overall strategy includes the Belfius vision on people, technological and procedural aspects of Information Security.

In order to guarantee the information security, the Information Security Steering (ISS) Committee, hosted by the Chief Information Security Officer (CISO) and chaired by the Chief Risk Officer, ensures a well governed and coordinated strategy whereby an adequate system of "prevention", "detection", "protection" and "reaction" is put in place, in line with regulatory requirements and contractual agreements regarding information security.

The steering of Belfius information security relies on tangible figures and quantitative statements. A risk appetite framework is in place for Information Security, and deviations from this risk appetite are systematically challenged and action plans are put in place. Moreover, large security projects are grouped together in a security roadmap which typically spans the course of two years and the ISS regularly reviews the maturity of the Information Security awareness via the KRIs in the RAF and via regular updates in the form of dashboards. Of course, the ever-evolving security threat landscape requires Belfius to be resilient and anticipate existing and future threats.

4.2. Data privacy

Respect for privacy and customer satisfaction

The respect for privacy and the protection of personal data is a key commitment at Belfius and is reinforced by Belfius commitment under the Governance component of its ESG-strategy. This is communicated externally by means of the Belfius privacy charter. Internally, this is translated into a Privacy policy and corresponding guidelines, a sound internal governance and principles to be followed in respect of GDPR. Belfius is also very committed to avoiding personal data breaches and to managing any incident as quickly as possible.

All activities dealing with personal data are centrally documented by the business lines in a privacy register. GDPR conformity, including a risk assessment for the rights and freedom of the persons whose personal data are treated, is structurally integrated into every approval process to offer (existing, adapted and new) products, innovative digital tools, services and information sharing with its clients.

In order continuously to guarantee data privacy within Belfius, a dedicated steering related to GDPR meets on a regular basis. The Belfius Management and several committees are informed on a recurring basis about GDPR conformity within Belfius.

A global risk appetite framework is in place for Data privacy, and deviations from this risk appetite are challenged and if needed, lead to mitigation actions.

A network of privacy correspondents, active in each department, supports and advises the staff members in the first line regarding GDPR. They work closely with the DPO continuously to raise awareness, control and monitor processes and activities being in line with GDPR.

GDPR-awareness is passed on to all staff members via mandatory GDPR e-learnings sessions and through an extensive communication. E-learning is subject to a three-yearly cycle of repetition and the response rate is now monitored and reported in a Key Risk Indicator as part of the RAF. In 2022, Belfius co-workers will be requested to repeat the e-learning.

GDPR data subject rights can be executed by data subjects via multiple channels, including the Belfius online applications and mobile apps. In 2021 more than 98% of the data subject rights are asked via the Belfius online app and receive an answer in the same app within one business day.

4.3. Fraud risk

Belfius applies a zero-tolerance policy for all forms of fraud (internal, external and mixed fraud schemes). It is therefore monitoring the threats continuously and is managing fraud risk based on a global anti-fraud policy defined and steered by senior management.

The roles and responsibilities have been clearly defined, which in real terms implies that business and support lines are the first risk managers. The CRO and NFR team, including the Anti-Fraud Officer as expert, have a second LoD role, completed by Internal Audit as the third LoD.

In a context of evolving digital channels and faster payment processing, internal controls are continuously screened to prevent fraud and this, to protect the interests of Belfius and its employees, customers, suppliers and other stakeholders.

4.4. Outsourcing risk

Belfius manages outsourcing and third-party risk adequately and fully assumes its responsibilities, including but not limited to overseeing and managing the relevant arrangements and the risks involved.

The Outsourcing risk and material arrangements Policy is compliant with the "Final Report on EBA Draft Guidelines on Outsourcing Arrangements". In particular, the policy provides the appointment of the outsourcing function and the set-up of the Outsourcing Management (steering) Committee ("OMC"), the task of which consists of ensuring a well governed and coordinated outsourcing in line with Belfius strategy, risk appetite and regulatory requirements. Monitoring and control of the significant providers, in particular to whom personal data is transferred, has been sharpened within the three lines of defence.

4.5. Employment Practices (HR) and Workplace Safety, Damage to Assets and Public Safety

Concerning physical security and workplace safety, Belfius has a very low appetite for risk. Belfius strives to provide a secure environment to its staff, clients, visitors and assets by ensuring that physical security measures and procedures meet high standards. To reach this goal, a Security Steering Committee systematically monitors the overall situation by means of a dashboard. It also acts as a forum to reflect on actual incidents and on action plans to reduce the risk to acceptable levels whenever needed.

(1) GDPR data subject rights: the right to be informed, of access, to rectification, to object to processing, in relation to automated decision making and profiling, to be forgotten, to data portability and to restrict processing.

Insurance risks

1. Definition

Belfius Insurance, as a part of the Belfius Group, takes up risk through the insurance contracts that it underwrites. The risks within the underwriting risk category are associated with both the exposure cove-red by the specific line of insurance (Life or Non-Life) and the specific processes associated with insurance business (claims processing, premium collection, pricing, selection, etc.).

The risks that apply to all lines of the insurance business can be globally categorised as follows:

Life underwriting risk: is the risk arising from the life insurance obligations, in relation to the perils covered and the processes used in the conduct of business. It is split up into seven sub segments:

- mortality risk, which is the risk that mortality increases. It applies to all undertakings for which the pay-outs expected to be made increase when there is a rise in mortality.
- longevity risk is the opposite of the mortality risk. It applies to policies for which a fall in mortality would result in an increase in the expected pay-outs (e.g. pension policies). Improvements in medical treatments that prolong life without restoring the ability to work could cause these risks to materialize at a greater frequency than currently observed.
- morbidity or disability risk relates to the risk of loss or disadvantageous movement in expected benefits caused by changes in the level, nature, trend or volatility of the degree of disability.
- lapse risk for Life is described as the risk of loss or increase in pay-out caused by a difference between the effective exercise rate of the contractual options by the policyholder and the expected exercise rate. The term "options" should be viewed in the broad sense of the word: this sub-module contains options in relation to redemption, cancellation or premium reduction, as well as the expansion of the guarantees. For some policies, exercise may be at the benefit of the insurance company, while for others it may result in a loss. As a result, this sub-module features two scenarios: one in which the options are exercised more frequently than expected and another where they are exercised less frequently.
- expense risk corresponds with the risk that the expenses are higher than expected or that they subdue to higher inflation than expected.
- revision risk only applies for the annuities the amounts of which may be valued negatively for the insurer as the result of a change in the statutory environment or in the policyholder's health situation.
- catastrophe risk is restricted to policies where an immediate and dramatic rise in mortality would result in an increase in benefits.

Non-Life underwriting risk: is the specific insurance risk arising from Non-Life insurance contracts. This uncertainty about the results of the insurer's underwriting could be split in three sub-segments:

- Premium risk is the risk where the amount of premiums received is not sufficient to pay claims that occur during the coverage period to which the premiums relate;
- Reserve risk is the risk of loss or un-favorable change in the value of the insurance undertakings arising from changes in the frequency and severity of the insured events, as well as in the date and amount of the claims to be paid;

- Catastrophe risk is the risk arising from unpredictable events including, but not limited to, windstorms, coastal inundation, floods, severe winter weather, and other weather-related events, pandemics, large-scale fires, industrial explosions, earthquakes and other man-made disasters such as civil unrest and terrorist attacks, that is not covered by the premiums or reserves.

Product design risk: is the risk of loss resulting from features, options or guarantees that were unanticipated in the design and pricing of the insurance product.

2. Managing the insurance risk

The Risk & Underwriting Committee gives recommendations about strategy in the area of underwriting and reserving for the insurance companies within Belfius Insurance and the resulting policy, in particular with regard to the following points:

- types and characteristics of the insurance business that Belfius Insurance is willing to manage;
- selection criteria for the risks that match the risk appetite;
- the way in which the actual underwriting is monitored;
- the managing between, on the one hand, the insurance premiums collected and, on the other, the claims to be paid out when costs are borne;
- identification of the risks arising from the undertakings of Belfius Insurance, including the implicit options and the capital that is guaranteed by the insurance products;
- making provisions for claims.

The overall strategy is developed by each relevant entity and is follow-up by the local persons in charge.

Reinsurance is one of the methods used to limit the insurance risk. The main objective of reinsurance is to reduce volatility in capital requirements and profits, and to diminish the uncertainty associated with the risk in the insurer's valuation.

The drivers of reinsurance are:

- capacity: reinsurance gives insurers greater flexibility in terms of scope, type of risk and business volume that they can safely accept. This enables insurers to embark on new business or to expand their activities for a short period.
- stability: structured reinsurance programmes enable insurers to stabilize their operating income.
- protection: reinsurance provides protection against cumulative financial losses caused by a succession of events (such as poor weather) or against significant financial losses arising from a single event.
- funding: reinsurance can be an alternative to a capital increase.
- expertise: reinsurers assist insurers in their area of expertise. The qualified staff of reinsurance companies offer their services, for instance in establishing a new business.

3. Sensitivities

Belfius Insurance evaluates the effect of sensitivities on available financial resources. The technical reserves are expressed in fair value.

Given the low interest rates, the value of the technical reserves is higher than the redemption value, which results in a negative impact on capital in the event of a reduction in the lapse rate.

The review of cost assumption has a negative impact on the available financial resources and their sensitivity.

An increase of the mortality rates also has a negative impact on available financial resources.

As for life activities, in non-life business, higher costs assumptions lead to a lower result. An increase of claims leads also to a lower result(1).

(1) Please note that the figures in the tables herebelow are unaudited.

Underwriting risk Life: scenario that corresponds to(1)

	Impact on available financial resources before taxes	
(In millions of EUR)	31/12/20	31/12/21
An increase of 15% in mortality	(45.4)	(46.6)
An increase of 10% in costs + 1% inflation	(207.5)	(216.9)
A decrease of 10% in the lapse rate	(33.8)	(17.6)

(1) Scope: Belfius Insurance SA (= Belins solo), Branch 23 included.

Underwriting risk Non-Life: scenario that corresponds to(1)

	Impact on result before taxes	
(In millions of EUR)	31/12/20	31/12/21
An increase of 10% in administrative costs	(9.4)	(9.4)
An increase of 5% in claims	(17.3)	(22.5)

(1) Scope: Belfius Insurance SA and Corona SA (= Belins conso).

4. Development of claims

The claims triangle is the usual method for expressing the settlement of non-life claims stretched out over a number of years. Inter alia it enables actuaries to assess the appropriateness of the non-life technical provisions. Between the event and the date of closing a claim, the insurer assesses the amount as total cost of the claim. During this period, the insurer establishes a reserve that equals to the estimated amount of future payments for the claim.

Given the reserve is an estimate, there is a risk that the amount effectively paid is different (higher or lower). To assess that risk, it is necessary to study the variation of two amounts:

- the total of payments made prior to that date;
- the reserve established on that date for future payments.

The sum of these two components is called the total incurred claims cost.

The table below shows the evolution for Belfius Insurance SA and Corona SA since 2011 of the sum at the end of each year, of the total incurred claims cost per year of occurrence.

Claims development (excluding reinsurance and internal costs)

(In thousands of EUR) Year of settlement	Year of occurrence										
	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021
Estimation at the end of the year of occurrence	368,410	366,403	365,798	415,445	389,632	427,822	417,069	441,459	452,780	394,673	597,457
1 year later	365,547	350,517	324,524	392,976	361,479	402,910	396,145	431,019	438,787	379,779	
2 years later	355,306	334,313	312,883	381,044	353,512	385,904	377,854	430,883	432,209		
3 years later	350,249	329,882	306,454	374,836	351,551	379,367	377,418	428,287			
4 years later	352,804	328,046	303,051	371,983	345,737	374,251	391,779				
5 years later	350,780	323,899	301,179	369,929	346,817	378,007					
6 years later	351,335	319,633	297,842	370,320	347,091						
7 years later	344,245	317,895	295,826	369,063							
8 years later	341,644	313,659	296,886								
9 years later	338,422	315,012									
10 years later	339,999										

(In thousands of EUR)											
Actual estimation	339,999	315,012	296,886	369,063	347,091	378,007	391,779	428,287	432,209	379,779	597,457
Cumulative payments	(307,403)	(279,180)	(261,957)	(322,441)	(286,351)	(306,915)	(293,577)	(321,644)	(320,140)	(260,550)	(265,343)
Actual provisions	32,596	35,832	34,929	46,622	60,740	71,092	98,202	106,642	112,069	119,229	332,114

(In thousands of EUR)	
Provisions (after 2011)	1,050,068
Provisions (before 2011)	158,780
Internal costs	49,433
Accepted deals	18,737
TOTAL(1)	**1,277,018**

(1) Claims reserves 31 December 2021 - note 6.5.2.

Corporate governance

Composition of the Management Board and of the Board of Directors of Belfius Bank

1. Management Board

1.1. Composition

On 31 December 2021, the Management Board of Belfius Bank consisted of five members, namely: Mr. Marc Raisière, Chairman, Mrs. Marianne Collin and Messrs Dirk Gyselinck, Olivier Onclin and Johan Vankelecom.

The renewal of the mandate of Mr. Dirk Gyselinck, director and member of the Management Board, for a term of four years - i.e. immediately after the ordinary General Meeting of Shareholders in 2026 - will be submitted to the ordinary General Meeting of Shareholders in 2022.

Since 1 January 2019, the Management Board, in consultation with the Board of Directors, was enlarged with three associated members, Mr. Patrick Devis, IT manager, Mrs. Camille Gillon, HR & Building Management manager and Mr. Geert Van Mol, Data & Digital manager. The associated members of the Management Board attended the meetings of the Bank's Management Board in an advisory capacity.

A new organizational structure of the Bank was presented to the Board of Directors on 17 September 2021, whereby:

- the position of associate member of the Management Board disappeared as of 1 January 2022;
- the CTO (Group Chief Technology Officer) attends the Management Board as a Permanently Invited Member as of 1 January 2022; and
- digital strategy and digital sales are henceforth integrated into the responsibilities of the PBR and WEP divisions.

Next to that the Board of Directors meeting held on 27 May 2021 decided to grant discharge to the members of the Management Board for the performance of their mandate for the 2020 financial year. The members of the Management Board did not take part in the deliberations of the Board of Directors in relation to their discharge or vote on them as they have a conflict of interests.

CHAIRMAN	Marc Raisière
MEMBERS	Marianne Collin
	Dirk Gyselinck
	Olivier Onclin
	Johan Vankelecom

1.2. Remit

The Management Board is responsible for the effective management of the Bank, directing and coordinating the activities of the various business lines and support departments within the framework of the objectives and general policy set by the Board of Directors. These powers do not include determining the Bank's overall policy, nor actions reserved for the Board of Directors by the provisions in the Companies and Associations Code or by the Banking Law.

The Management Board ensures that the Bank's business activities are in line with the strategy, risk management and general policy set by the Board of Directors. It passes on relevant information to the Board of Directors to enable it to take informed decisions. It formulates proposals and advice to the Board of Directors with a view to define or improve the Bank's general policy and strategy.

The members of the Management Board form a collegial body. They are required to carry out their duties in complete objectivity and independence.

Under the supervision of the Board of Directors, the Management Board takes the necessary measures, including supervisory measures, to ensure that the Bank has a robust and suitable organisation structure suited to the Bank's organisation, in order to guarantee the effective and prudent management of the Bank in accordance with the Banking Law.

In principle, the Management Board meets once per week.

2. Board of Directors

2.1. Composition

As at 31 December 2021, the Board of Directors consisted of sixteen members, five of whom are members of the Management Board (cf. table on the opposite page). The Board of Directors consists of professionals from a variety of industries, including the financial sector and has the expertise and experience required in relation to the Bank's various operating businesses.

During 2021, the director's mandates of Mr. Chris Sunt, Chairman of the Board of Directors, Mr. Marc Raisière, Chairman of the Management Board and Mrs. Diane Rosen-Zygas were renewed for terms of four years. These mandates will end immediately after the General Meeting of Shareholders in 2025.

Mr. Chris Sunt, Mr. Marc Raisière and Mrs. Diane Rosen-Zygas did not take part in the deliberations of the Board of Directors in relation to their renewals or not vote on them as they have conflict of interests.

Messrs Bruno Brusselmans and Peter Hinssen were appointed as independent directors by the ordinary General Meeting of Shareholders on 28 April 2021 for a term of four years, to end immediately after the ordinary General Meeting of Shareholders in 2025.

The mandates as independent director and Chairman of the Board of Directors of Mr. Jozef (Jos) Clijsters and the mandate as independent director of Mr. Jean-Pierre Delwart ended immediately after the ordinary General Meeting of Shareholders in 2021. On this date Mr. Chris Sunt succeeded Mr. Jozef (Jos) Clijsters as Chairman of the Board of Directors.

Mr. Chris Sunt did not take part in the deliberations of the Board of Directors in relation to his appointment as Chairman of the Board of Directors or vote on it as he has a conflict of interests.

Proposals will be put to the ordinary General Meeting of Shareholders to be held on 27 April 2022:

- to discharge the directors from their liability for the performance of their mandate for the 2021 financial year;
- to renew the director's mandate of Mrs. Carine Doutrelepont for a term of one year, to end immediately after the ordinary General Meeting of Shareholders in 2023;
- to renew the director's mandates of Mrs. Lutgart Van den Berghe and Mr. Rudi Vander Vennet for a term of two years, to end immediately after the ordinary General Meeting of Shareholders in 2024;
- to renew the director's mandate of Mr. Paul Bodart for a term of three years, to end immediately after the ordinary General Meeting of Shareholders in 2025;
- to renew the director's mandate of Mrs. Isabel Neumann for a term of four years, to end immediately after the Ordinary General Meeting of Shareholders in 2026;
- to renew the director's mandate of Mr. Dirk Gyselinck for a term of four years, to end immediately after the ordinary General Meeting of Shareholders in 2026;
- to reconfirm Mr Chris Sunt, Chairman of the Board of Directors, as independent director of Belfius Bank according to Article 3:83 of the Banking Law for the remainder of his term as director, to end immediately after the ordinary General Meeting of Shareholders in 2025.

2.2. Remit

The Board of Directors defines on proposal or recommendation of the Management Board and inter alia supervises:

- the institution's strategy and objectives,
- the risk policy, including the risk tolerance level,
- the organisation of the institution for the provision of investment services, the exercise of investment activities, the provision of ancillary services, the marketing of structured deposits and the provision of advice to clients on such products, including the organisational arrangements, as well as the skills, knowledge and expertise required of the staff, the resources, procedures and mechanisms with or by which the institution provides those services and exercises those activities,
- the integrity policy.

In the context of this responsibility, the Board of Directors is actively involved with the general policy, in particular regarding the supervision of the risk policy, organisation and financial stability of the Bank and its governance, including the definition of the credit institution's objectives and values.

Also, as Belfius Bank is head of the Belfius Financial Conglomerate, Belfius Bank's Board of Directors is responsible for the general policy, risk appetite and strategy of the Belfius Group and the compliance of the subsidiaries herewith.

The Board of Directors also approves the Bank's Governance Memorandum.

In 2021, the Board of Directors met nineteen times.

BOARD OF DIRECTORS OF BELFIUS BANK (FINANCIAL YEAR 2021)	MAIN FUNCTION	Non-executive director	Member of the Management Board	Independent director	Audit Committee	Nomination Committee	Remuneration Committee	Risk Committee	Mediation Committee	Technology Committee
CHRIS SUNT	Chairman of the Board of Directors of Belfius Bank SA	★ (1)		■	■ (2)	■ (1)	■ (1)	■ (2)	★ (1)	
MARC RAISIÈRE	Chairman of the Management Board of Belfius Bank SA		★							
MARIANNE COLLIN	Member of the Management Board of Belfius Bank SA Chief Risk Officer, responsible for Risk Management & Compliance		■							
DIRK GYSELINCK	Member of the Management Board of Belfius Bank SA Responsible for Wealth, Entreprises & Public		■							
OLIVIER ONCLIN	Member of the Management Board of Belfius SA Responsible for Private, Business & Retail Banking		■							
JOHAN VANKELECOM	Member of the Management Board of Belfius Bank SA Chief Financial & Strategic Officer, Responsible for Corporate Strategy, M&A/Partnerships/Participations, Capital Management, Financial Conglomerate Steering and Investor Relations, ALM, Legal & Tax, Accounting, Strategic Planning and Performance Management (SPPM), Strategic Research & Belfius' Asset Management(6)		■							
PAUL BODART	Director of companies and non-profit organisations	■		■	■					★ (3)
BRUNO BRUSSELMANS	Chief Information Officer at Luminus – EDF Group	■ (1)		■ (1)						■ (3)
MARTINE DE ROUCK	Consultant	■		■	■			■ (1)	■ (4)	
CARINE DOUTRELEPONT	Lawyer and full Professor at the Université Libre de Bruxelles	■		■					■	■ (3)
PETER HINSSEN	Entrepreneur, keynote speaker and author	■ (1)		■ (1)						■ (3)
GEORGES HÜBNER	Full Professor at the HEC Liège, Liège University	■		■	★			■		
ISABEL NEUMANN	Chief Investment Officer at Shurgard Self Storage Non-executive Director at King's college London University	■		■				■ (5)		■ (3)
DIANE ROSEN-ZYGAS	Chief Human Resources Officer at Group S Independent Director at Belgian Red Cross	■		■	■ (1)	■	■			
LUTGART VAN DEN BERGHE	Emeritus extraordinary professor at the University of Ghent and emeritus part-time professor at the Vlerick Business School	■		■		★	★			
RUDI VANDER VENNET	Full Professor in Financial Economics and Banking at the University of Ghent	■		■				★		

★ Président
(1) From 28 April 2021 onwards.
(2) Until 28 April 2021.
(3) From 27 May 2021 onwards.
(4) From 29 June 2021 onwards.
(5) Until 31 August 2021.
(6) From 1 January 2022 onwards : Chief Financial Officer, Responsible for Accounting, ALM, Legal & Tax, Research, Strategic Planning and Performance Management (SPPM).

Relationship between the Board of Directors and the Management Board

Management of the credit institution's activities remains under the sole authority of the Management Board. Such management takes place without any outside intervention and is carried out within the framework of the general policy laid down by the Board of Directors.

Advisory committees established by the Board of Directors

The Board of Directors established various advisory committees to assist it in its task, i.e. a Nomination Committee, a Remuneration Committee, an Audit Committee and a Risk Committee. These committees are exclusively composed of non-executive directors. In line with the EBA guidelines the majority of the members of the advisory committees are independent directors. Members of these advisory committees are part of a maximum of three of these advisory committees.

A Mediation Committee and a Technology Committee have also been established within the governance of the Belfius Group.

1. Nomination Committee

The Nomination Committee plays an advisory role and prepares decisions of the Board of Directors of Belfius Bank in relation to appointments, HR, succession plans, and so on. It also ensures the application of provisions concerning corporate governance. With the objective of efficiency and consistency regarding group policy, this committee also prepares decisions of the Board of Directors of Belfius Insurance, Corona Direct and Belfius Investment Partners in this regard.

CHAIRWOMAN	**Lutgart Van den Berghe**
MEMBERS	**Jozef Clijsters**(1) Chairman of the Board of Directors of Belfius Bank
	Diane Rosen-Zygas
	Chris Sunt(2) Chairman of the Board of Directors of Belfius Bank
	Cécile Coune(3) Director of Belfius Insurance, invited as representative of Belfius Insurance

(1) Until 28 April 2021.
(2) From 28 April 2021 onwards.
(3) Until 27 April 2021.

1.1. Composition

1.1.1. General aspects

As at 31 December 2021, the Nomination Committee for Belfius Bank consists of the following members: Baroness Lutgart Van den Berghe, Chairwoman, Mrs. Diane Rosen-Zygas and Mr. Chris Sunt.

Mr. Chris Sunt was appointed as a member of the Nomination Committee to replace Mr. Jozef (Jos) Clijsters immediately after the ordinary General Meeting of Shareholders held on 28 April 2021.

Mrs Cécile Coune attended the Nomination Committee only for matters concerning Belfius Insurance until 27 April 2021.

Baroness Lutgart Van den Berghe – who was appointed as director of Belfius Insurance on 27 April 2021 – also represents Belfius Insurance at the Nomination Committee replacing Mrs. Cécile Coune for matters concerning Belfius Insurance.

1.1.2. Independence and expertise

All the members of the Nomination Committee are non-executive directors.

Baroness Lutgart Van den Berghe, Doctor in Economics, is an emeritus extraordinary professor at the University of Ghent and emeritus part time professor at the Vlerick Business School. She is also member of the *Koninklijke Vlaamse Academie van België voor Wetenschappen en Kunsten*.

Mr. Jozef (Jos) Clijsters, with a master's degree in applied economics, was Chairman of the Board of Directors of Belfius Bank, until 28 April 2021.

Mr. Chris Sunt holds a masters of law degree. He was a member of the Brussels' Bar from 1980 until 2020, when he became "ere-advocaat/avocat honoraire". In his 40 years as a practicing lawyer he specialized in corporate and banking law and in financial services regulation. He has been the Chairman of the Board of Directors of Belfius Bank since 28 April 2021.

Mrs. Diane Rosen-Zygas, a commercial engineer, has a broad experience in the financial sector. She also has particular experience in human resources. In particular, she has worked as Head of Management Development, Recruitment, Compensation and Benefits at a financial institution. She is currently Chief Human Resources Officer at Group S.

Mrs. Cécile Coune holds a degree in Law and has professional experiences in the insurance sector and as partner in a law firm. She has executive and non-executive board experience in the insurance sector and was formerly the CEO of AVIABEL. She is committed to corporate social responsibility and, in particular, the promotion of diversity in companies and on boards of directors.

The members of the Nomination Committee of Belfius Bank are independent directors and have professional experience in the financial sector.

Different members have professional experience as executive directors and all the members have professional experience as non-executive directors in various sectors of activity. Consequently, the members of the Nomination Committee have the required skills, based on their education and diverse professional experience, to give a competent and independent judgement on the composition and operation of the Bank's management bodies, in particular on the individual and collective skills of their members and their integrity, reputation, independence of spirit and availability.

1.2. Remit

The Nomination Committee:

- identifies and recommends, for the approval of the General Meeting of Shareholders or of the Board of Directors, as the case may be, candidates suited to fill vacancies on the Board of Directors, evaluates the balance of knowledge, skills, diversity and experience within the Board of Directors, prepares a description of the roles and capabilities for a particular appointment and assesses the time commitment expected. The Nomination Committee also decides on a target for the representation of the underrepresented gender within the Board of Directors and prepares a policy on how to increase the number of underrepresented gender in order to meet that target;
- periodically, and at least annually, assesses the structure, size, composition and performance of the Board of Directors and makes recommendations to it with regard to any changes;
- periodically, assesses the knowledge, skills, experience, degree of involvement and in particular the attendance of members of the Board of Directors and advisory committees, both individually and collectively, and reports to the Board of Directors accordingly;
- periodically reviews the policies of the Board of Directors for selection and appointment of members of the Management Board, and makes recommendations to the Board of Directors;
- prepares proposals for the appointment or mandate renewal, as the case may be, of directors, members of the Management Board, the Chairman of the Board of Directors and the Chairman of the Management Board;
- assesses the aptitude of a director or a candidate director to meet the criteria set forth for being considered as an independent director;
- examines questions relating to problems with the succession of directors and members of the Management Board;
- establishes a general and specific profile for directors and members of the Management Board;
- ensures the application of provisions with regard to corporate governance;
- prepares proposals for amendments to the internal rules of the Board of Directors and the Management Board;
- assesses the governance memorandum and if necessary proposes amendments;
- at least annually discusses and analyses the quantitative statement and qualitative analysis of communications regarding stress, burn-out and inappropriate behaviour at work and actions taken to remedy situations.

In performing its duties, the Nomination Committee ensures that decision-taking within the Board of Directors is not dominated by one person or a small group of persons, in a way which might be prejudicial to the interests of the Bank as a whole.

The Nomination Committee may use any type of resources that it considers to be appropriate for the performance of its tasks, including external advice, and receives appropriate funding to that end.

Within the context of preparing for the succession of the Chairman of the Board of Directors in April 2021, an ad hoc committee was established next to the Nomination Committee. In addition to the members of the Nomination Committee (but except the Chairman of the Board of Directors) the Chairman of the Risk Committee and the Chairman of the Audit Committee were involved. This ad hoc committee was dissolved further to the nomination of the Chairman of the Board of Directors on 28 April 2021.

In 2021, the Nomination Committee (including the ad hoc committee) met ten times.

1.3. Recruitment policy

1.3.1. Requirements associated with the position of director/member of the Management Board

Each director/member of the Management Board must, on his or her appointment and for the entire term of his or her mandate, have the expertise and professional integrity required to perform his or her tasks. Within this framework, a position profile has been established by the Bank. Moreover, the Bank periodically makes an assessment of the aptitude of directors, members of the Management Board and members of the advisory committees.

In accordance with the applicable regulation, every director must, without being prompted to do so, notify the Bank about elements that may have an impact on his or her required expertise, professional integrity and availability to exercise his or her function as a director.

1.3.2. Procedure for appointment/renewal of mandate

1.3.2.1. Directors

Directors are appointed by the General Meeting of Shareholders (or by the Board of Directors if a director is co-opted) on a proposal from the Board of Directors, after obtaining the opinion of the Nomination Committee. The appointment or renewal of the mandate of a director must be approved in advance by the regulator (ECB and NBB).

The Nomination Committee prepares proposals for appointments, co-opting or renewal of the mandate of directors.

On the renewal of a director's mandate, the Nomination Committee will make an assessment of his or her participation within the Board of Directors and ensure that there are no new elements that could negatively impact the aptitude of the director to perform a new mandate. The Nomination Committee will also make sure, based on a competence matrix, that the Board of Directors has sufficient competencies within its ranks to be able to determine the strategy and to deal with future challenges. The Committee will then send an opinion to the Board of Directors.

On a first appointment or mandate renewal, the Chairman of the Board of Directors and the Nomination Committee will ensure that the Board of Directors and the General Meeting of Shareholders have sufficient information with regard to the candidate director to be able to assess whether the latter has the expertise and professional integrity required to perform these tasks.

Board of Directors	**Number of members**	16
	Ratio men/women	62.5%/37.5%
	Independent directors	11
	Main degree qualifications (several people may have more than one degree)	Economics / Business Administration / Finance / Law/ Engineering / Mathematics / Actuarial Sciences
Management Board	**Number of members**	5
	Ratio men/women	80%/20%
	Main degree qualifications (several people may have more than one degree)	Engineering (commercial, civil) / Economics/ Business Administration / Finance / Mathematics / Actuarial Sciences

1.3.2.2. Members of the Management Board

The Chairman and members of the Management Board are appointed by the Board of Directors from among the directors who have acquired professional experience in the banking and financial sector, on proposal of the Management Board, after obtaining the opinion of the Nomination Committee and the approval of the regulator (ECB and NBB). As for the Chairman of the Management Board, his or her appointment will be decided by the Board of Directors on proposal of the Management Board, after consultation with the Chairman of the Board of Directors and positive opinion of the Nomination Committee.

1.4. Diversity policy

A diverse Board of Directors includes differences in background, language, gender, age and professional skills relevant for Belfius. These differences are to be considered in determining the optimum composition of the Board of Directors (competence matrix) and when possible, should be balanced appropriately.

The Nomination Committee reviews and assesses the composition of the Board of Directors on behalf of the Board of Directors and recommends the appointment of new directors. In reviewing the Board of Directors' composition, the Nomination Committee will consider the benefits of all aspects of diversity including, but not limited to, those described above.

In identifying suitable candidates for appointment to the Board of Directors, the Nomination Committee will consider candidates on their merit against objective criteria and with due regard for the benefits of diversity on the Board of Directors.

The Nomination Committee also conducts the annual review of the Board of Directors' effectiveness and performs a regular evaluation of the individual directors. As part of these evaluations of the effectiveness of the Board of Directors, advisory committees and individual directors, the Nomination Committee will consider the balance of skills, experience, independence and knowledge of Belfius Bank on the Board of Directors and the diversity of the Board of Directors.

Furthermore, at its meeting on 25 August 2015, the Nomination Committee set a target to be achieved with regard to gender representation on the Board of Directors and established a policy aimed at increasing the number of members of the currently underrepresented gender in order to achieve that target.

In accordance with legal requirements (Article 7:86 of the Companies and Associations Code) the Nomination Committee has set a target of achieving and maintaining a minimum of one-third representation of the other sex on the Board of Directors (Management Board included). For the application hereof, the required minimum number of members of the underrepresented sex will be rounded off to the nearest whole number.

Should the number of directors of the underrepresented gender be less than one third, the next Ordinary General Meeting of Shareholders will compose a Board of Directors that will meet this requirement.

The Nomination Committee discusses annually the evolution towards the objective for achieving diversity on the Board of Directors and make recommendations to the Board of Directors for adoption.

As at 31 December 2021, the Board of Directors was composed in line with the principles stated above.

2. Remuneration Committee

The Remuneration Committee has an advisory role and prepares decisions of the Board of Directors of Belfius Bank regarding remuneration. With the objective of efficiency and consistency regarding group policy, this committee also prepares decisions of the Board of Directors of Belfius Insurance, Corona Direct and Belfius Investment Partners in this regard.

CHAIRWOMAN	**Lutgart Van den Berghe**
MEMBERS	**Jozef Clijsters**(1) Chairman of the Board of Directors of Belfius Bank
	Diane Rosen-Zygas
	Chris Sunt(2) Chairman of the Board of Directors of Belfius Bank
	Cécile Coune(3) Director of Belfius Insurance, invited as representative of Belfius Insurance

(1) Until 28 April 2021.
(2) From 28 April 2021 onwards.
(3) Until 27 April 2021.

2.1. Composition

2.1.1. General aspects

As at 31 December 2021, the Remuneration Committee for Belfius Bank consists of the following members: Baroness Lutgart Van den Berghe, Chairwoman, Mrs Diane Rosen-Zygas and Mr. Chris Sunt.

Mr. Chris Sunt was appointed as a member of the Remuneration Committee to replace Mr. Jozef (Jos) Clijsters immediately after the ordinary General Meeting of Shareholders held on 28 April 2021.

Mrs Cécile Coune attended the Remuneration Committee only for matters concerning Belfius Insurance until 27 April 2021.

Baroness Lutgart Van den Berghe – who was appointed as director of Belfius Insurance on 27 April 2021 – also represents Belfius Insurance at the Remuneration Committee replacing Mrs. Cécile Coune for matters concerning Belfius Insurance.

2.1.2. Independence and expertise

All the members of the Remuneration Committee are non-executive directors.

Baroness Lutgart Van den Berghe, Doctor in Economics, is an emeritus extraordinary professor at the University of Ghent and emeritus part time professor at the Vlerick Business School. She is also member of the *Koninklijke Vlaamse Academie van België voor Wetenschappen en Kunsten*.

Mr. Jozef (Jos) Clijsters, with a master's degree in applied economics, was Chairman of the Board of Directors of Belfius Bank until 28 April 2021.

Mr. Chris Sunt holds a masters of law degree. He was a member of the Brussels' Bar from 1980 until 2020, when he became "ere-advocaat/avocat honoraire". In his 40 years as a practicing lawyer he specialized in corporate and banking law and in financial services regulation. He is the Chairman of the Board of Directors of Belfius Bank since 28 April 2021.

Mrs. Diane Rosen-Zygas, a commercial engineer, has a broad experience in the financial sector. She also has particular experience in human resources. In particular, she has worked as Head of Management Development, Recruitment, Compensation and Benefits at a financial institution. She is currently Chief Human Resources Officer at Group S.

Mrs. Cécile Coune holds a law degree and has professional experiences in the insurance sector and as partner in a law firm. She has executive and non-executive board experience in the insurance sector and was formerly the CEO of AVIABEL. She is committed to corporate social responsibility and, in particular, the promotion of diversity in companies and on boards of directors.

The members of the Remuneration Committee of Belfius Bank are independent directors and all the members have professional experience in the financial sector.

One of the members also sat on the Nomination and Remuneration Committee of a listed company.

Consequently, the members of the Remuneration Committee have the required skills, on the basis of their education and professional experience, to give a competent and independent judgement on remuneration policies and practices and on the incentives created for managing risks, capital and liquidity of the Bank.

2.1.3. Collaboration and interaction with other advisory committees of the Board of Directors

In order to perform its tasks correctly (cf. also infra), in 2021 the Remuneration Committee interacted regularly with the Risk Committee and the Audit Committee.

The Risk Committee ensures that the Belfius group's risk management, capital requirements and liquidity position, as well as the probability and the spread in time of profit is correctly taken into consideration in decisions relating to remuneration policy.

Within Belfius Bank, this is reflected by the formulation of an opinion on a global "Risk Gateway" (cf. § 2.3.1.3) and by the establishment and assessment of Key Risk Indicators on an annual basis. Their preparation is undertaken by the Risks divisions, in collaboration with the Human Resources division.

The Audit Committee contributes to the establishment of objectives for the Auditor General and the Audit and Risk committee for the objectives for the Compliance Officer.

The audit department at Belfius Bank will provide an independent and regular analysis of the remuneration policy and its practical implementation. The latest follow-up study was realized in 2019. This audit did not raise any particular comments.

2.2. Remit

The Remuneration Committee prepares the decisions of the Board of Directors by inter alia:

- developing the remuneration policy, as well as making practical remuneration proposals for the Chairman, the non-executive members of the Board of Directors and the members of the advisory committees of the Board of Directors. The Board of Directors submits these remuneration proposals to the General Meeting of Shareholders for approval;
- developing the remuneration policy, as well as making practical proposals for the remuneration of the Chairman of the Management Board and, on his proposal, for the remuneration of the members of the Management Board; The Board of Directors then determines the remuneration of the Chairman and the members of the Management Board;
- providing advice on the proposals made by the Chairman of the Management Board of Belfius Bank in relation to the severance remuneration for members of the Belfius Bank Management Board. On the proposal of the Remuneration Committee, the Board of Directors of Belfius Bank determines the severance remuneration of the Chairman and members of the Belfius Bank Management Board;
- advising the Board of Directors in relation to the remuneration policy for staff members whose activity has a material impact on the risk profile of Belfius Bank (known as "Identified Staff") and in relation to the compliance of the allocation of remuneration to Identified Staff with regard to the remuneration policy put in place for them;
- preparing the remuneration report approved by the Board of Directors and published in the annual report;
- periodically checking to ensure that the remuneration programmes are achieving their objective and are in line with applicable conditions;

- annually assessing the performance and objectives of the members of the Management Board;
- providing an opinion of the elaboration of a global "Risk Gateway", in consultation with the Risk Committee, containing various levers applied at various points in the performance management cycle, with an impact on determination of the variable remuneration.

The Remuneration Committee exercises direct supervision over the determination of objectives and remuneration of the individuals responsible for the independent control functions (Chief Risk Officer, General Auditor and Compliance Officer).

In 2021, the Remuneration Committee met nine times.

2.3. Remuneration

2.3.1. Introduction

2.3.1.1. Decision-taking powers

The Board of Directors decides on the remuneration of the members of the Management Board at Belfius Bank based on the advice of the Remuneration Committee and the Chairman of the Management Board.

The Management Board sets the remuneration of the senior managers who may have a material impact on the risk profile of Belfius Bank, subject to the nature or level of the positions in question and/or their remuneration, within the framework of the remuneration policy. The Remuneration Committee gives advice regarding this policy.

2.3.1.2. Remuneration policy

The remuneration policy of Belfius Bank and its subsidiaries was developed by Human Resources and the Legal Department and submitted for advice to the Remuneration Committee. The Risk Committee was also involved in developing the remuneration policy. The remuneration policy is approved by the Board of Directors.

The remuneration policy includes on the one hand general principles applicable to all Belfius Bank staff members. On the other hand, taking the principle of proportionality agreed in advance with the NBB into account, it includes specific provisions exclusively applicable to the members of the Management Board and to staff members whose activity has a material impact on the risk profile of Belfius Bank (i.e."Identified Staff"), given the nature or level of the positions themselves and/or their remuneration.

When annually updating the list of Identified Staff, Belfius Bank takes account of European Directives. The Remuneration Committee and the Risk Committee are also informed of the result of such update.

2.3.1.3. Strategy guidelines approved by the Board of Directors in accordance with regulations

Fixed remuneration forms an appreciable part of total remuneration, taking into account the experience, the competences, education and qualifications of staff members, their duties, responsibility and the level of their position.

Limiting the portion of remuneration related to performance and results achieved, is intended to discourage excessive risk taking. The proportion between fixed and variable remuneration is 30% for members of the Management Board and less for senior management, if targets are reached. Exceptional performance can never result in that percentage being more than 50%.

The envelope for performance-related remuneration (performances in 2021) was determined in relation to the evolution of the net income of Belfius Group. When deciding the envelope for performance-related remuneration, one of the main drivers will always be a sound capital basis to deal with the impacts of a crisis (e.g.Covid-19).

The policy also includes a risk gateway, which is a mechanism (ex-ante) involving the total budget for the variable remuneration of senior management being reduced in the case of a material deterioration of solvency ratios (Solvency II ratio/ CET 1) or liquidity ratios (LCR) under the levels fixed in the risk framework.

The performance-related remuneration is paid individually depending on the available envelope, collective results and the achievement of individual objectives.

Key Risk Indicators (KRI) have been included in the objectives of members of the Management Board and staff members whose activity has a material impact on the risk profile of Belfius Bank. The aim is to take proper account of the different types of (current and future) risks at each point in the assessment cycle: an insufficient score on one or more of such risk indicators has a negative impact on the variable remuneration.

The establishment, monitoring and assessment of these risk indicators are coordinated by the Chief Risk Officer (CRO) and submitted to the Risk Committee and the Remuneration Committee. Where appropriate, the CRO will confer with the General Auditor and the Compliance Officer and will also consult regularly with the Human Resources division.

Belfius Bank may also reduce performance-related remuneration, or even take it to zero, in the event of poor (collective or individual) performances, taking account of the level of seniority of the staff member and/or the legal basis on which that performance-related remuneration is founded.

At the end of 2015, a policy in relation to deferred variable remuneration ("deferral") was established for staff members whose activity has a material impact on the risk profile of Belfius Bank. This proposal was formulated by the Human Resources division, in collaboration with the Capital & Liquidity Management, Legal and Risk divisions. This policy has been applied each year since 2015.

In practical terms, for staff members whose activities have a material impact on the risk profile of Belfius Bank, to the extent that their performance-related remuneration exceeds the amount agreed in advance with the NBB, 50% of the remuneration will be deferred over a period of five years (60% if the performance-related remuneration is higher than EUR 200,000) for members of the Management Board and their direct reports and three years for the others. 50% of the total variable remuneration will be paid by way of a financial instrument which reflects the financial health of the business. The terms of this policy are integrated in the Belfius Group's remuneration policy.

The risk gateway (cf. above) will also be applied at the end of the first quarter of each year to determine whether the deferred variable remuneration payable in that year can also effectively be paid.

If appropriate, variable remuneration may be subject to an ex-post risk adjustment via a malus or clawback.

2.3.2. Remuneration of members of the Management Board

2.3.2.1. Fixed and performance-related remuneration

The remuneration of the members of the Bank's Management Board consists of a fixed part and a performance-related part.

The fixed and performance-related remuneration of members of the Management Board constitutes a whole from which are deducted any attendance fees or directors' fees paid to a member of the Management Board by a third-party company (for which the member performs a mandate on behalf of Belfius Bank).

The remuneration and the individual targets of the members of Management Board members are decided on by the Board of Directors. The members of the Management Board members do not take part in the deliberation, nor in the decision-making. The Chairman of the Management Board does not take part in the deliberation, nor in the decision-making with regard to his personal situation.

2.3.2.2. Remuneration for 2021

Remuneration of the Chairman of the Management Board

Fixed remuneration

The fixed remuneration of the Chairman of the Management Board amounts to EUR 683,901.

The granted premium for his group insurance, for other insurance policies (mainly insurance against death and disability) and the other benefits (mainly reimbursement of expenses and company car costs) amounted to EUR 220,240.

Performance-related remuneration

The Board of Directors decided to grant to the Chairman of the Management Board a performance-related (2021) remuneration of EUR 264,916. The acquisition of this amount is spread over seven years, provided certain conditions are met. Half of the total (deferred) performance-related remuneration is awarded in cash and the other half in a financial instrument. A first payment of EUR 52,983 of this variable remuneration for services in 2021 is scheduled to be made at the beginning of 2022. The balance of the performance-related remuneration will be spread over the coming six years.

On the basis of the performance-related remuneration of 2016, 2017, 2018, 2019, 2020 and 2021, provided certain conditions are met in the coming 6 years, the Chairman of the Management Board may receive a deferred performance-related remuneration as follows: EUR 183,966 in 2023; EUR 127,428 in 2024; EUR 102,625 in 2025; EUR 73,619 in 2026; EUR 45,840 in 2027 and EUR 15,895 in 2028.

It is worth reiterating that every payment of (deferred) performance-related remuneration depends on the annual assessment of the financial instrument and may be subject to an ex-post risk adjustment via a malus or clawback clause (cf. 2.3.1.3. supra).

In 2021 an amount of EUR 170,962 was paid to the Chairman of the Management Board as performance-related remuneration linked to the performance in 2015, 2016, 2017, 2018, 2019 and 2020.

Consequently, an amount of EUR 854,863 was paid to the Chairman of the Management Board (fixed salary and variable remuneration) in 2021.

Taking into account the amounts granted for the group insurance and other insurances and benefits for the Chairman of the Management Board, the total amount related to the financial year 2021 is EUR 1,075,103 (fixed salary, variable salary, group insurance, other insurance and benefits).

In 2021 some amendments were made to the management contract of the Chairman of the Management Board at the renewal of his mandate. Those amendments were approved by the Board of Directors. The Chairman and the members of the Management Board did not take part in the deliberation, nor in in the decision-making on this item on the agenda.

Remuneration of the other members of the Management Board

Fixed remuneration

The fixed remuneration of the members of the Management Board (divided among four persons) amounts to EUR 1,687,000.

The (aggregated) granted premium for their group insurance, for other insurance policies (mainly insurance against death and disability) and the other benefits (mainly reimbursement of expenses and company car costs) amounted to EUR 527,443 (divided among the four members).

Performance-related remuneration

The Board of Directors decided to grant to the members of the Management Board (four persons) a performance-related remuneration for 2021 totalling EUR 651,234. Half of the respective total (deferred) performance-related remuneration for each member of the Management Board is awarded in cash and the other half in a financial instrument. The acquisition of this amount is spread over seven years, provided certain conditions are met.

A first payment of EUR 162,809 of this variable remuneration for services in 2021 is scheduled to be made at the beginning of 2022. The balance will be spread over the coming 6 years.

On the basis of the performance-related remuneration of 2016, 2017, 2018, 2019, 2020 and 2021, provided certain conditions are met in the coming six years, the members of the Management Board may receive a deferred performance-related remuneration EUR 408,897 in 2023; EUR 242,536 in 2024; EUR 201,484 in 2025; EUR 151,303 in 2026; EUR 94,494 in 2027; and EUR 32,555 in 2028.

It is worth reiterating that every payment of (deferred) performance-related remuneration depends on the annual assessment of the financial instrument and may be subject to an ex-post risk adjustment via a malus or clawback clause (cf. 2.3.1.3. supra).

In 2021 an amount of EUR 425,065 was paid to the four members of the members of the Management Board as performance-related remuneration linked to the performance in 2015, 2016, 2017, 2018, 2019 and 2020.

Consequently, an amount of EUR 2,112,065 was paid to the four members of members of the Management Board (fixed salary and variable remuneration) in 2021.

Taking into account the amounts granted for the group insurance and other insurances and benefits for the four members of the Management Board, the total amount related to the financial year 2021 is EUR 2,639,508 (fixed salary, variable salary, group insurance, other insurance and benefits).

Option plans

Belfius Bank has no option plan. During 2021, no option was granted to members of the Management Board or exercised by the latter.

In accordance with Article 450 of Regulation No. 575/2013, Belfius Bank declares that a remuneration of more than EUR 1 million was granted to one staff member of Belfius Bank in 2021.

In 2021, no exceptional bonus was granted within the context of a recruitment and no severance remuneration was paid to members of the Management Board.

Conflict of interests

Extract from the minutes of the meeting of the Belfius Bank Board of Directors on 25 February 2021

The members of the Management Board did not take part in the deliberations of the Board of Directors or vote on them due to a conflict of interest on their part.

Decision by the Board of Directors (in the presence of the chairman of the Management Board)

The members of the Board of Directors present took note of the verbal comments (...) about the assessment of the members of the Management Board for the performance year 2020, and discussed them in depth.

On the positive recommendation of the remuneration committee, the members of the Board of Directors present unanimously approved the assessment of the members of the Management Board and the translation of this assessment into variable remuneration.

(...)

The Board of Directors unanimously agreed, in view of the current context (Covid-19 pandemic) and the recommendations of the regulator (ECB/NBB), to reduce the cash pay-out of the variable remuneration in March 2021 for the performance of 2020 by 25% for the members of the Management Board and by 50% for the chairman of the Management Board of Belfius Bank.

(...)

The members of the Board of Directors present discussed and approved, on the basis of the positive recommendation of the remuneration committee, the increase in the CRO's basic remuneration (...) from 1 January 2021 (...).

Decision by the Board of Directors (in the absence of the chairman of the Management Board)

The members of the Board of Directors present took note of and discussed the verbal explanation (...) for the performance year 2020.

The members of the Board of Directors present discussed and approved, on the basis of the positive recommendation of the remuneration committee, the assessment of the chairman of the Management Board and the translation of this assessment into variable remuneration.

(...)

2.3.3. Remuneration of staff members whose activity has a material impact on the risk profile of Belfius Bank (excluding the members of the Management Board and the members of the Board of Directors)

Fixed remuneration

The fixed remuneration paid in 2021 to the members of staff concerned (204 staff members at the end of 2021) was EUR 35,202,217.

Performance-related remuneration for the year 2021

A total amount of EUR 7,377,543 was granted in 2022 to the members of staff concerned as performance-related remuneration for the year 2021.

This amount was granted for

- EUR 6,396,950 in warrants[1] and for EUR 888,289 in cash
- EUR 92,304 spread over 7 years, provided certain conditions are met and awarded half in cash and half in financial instrument.

(1) A capitalisation share (class C) of the Belfius Equities Europe Conviction, a subfund within the Belfius Equities sicav registered under Belgian law.

(In EUR)	Corporate functions	Independent Control Functions	Private, Business & Retail	Wealth, Enterprises & Public (1)	Total
Fixed remuneration	11,183,146	5,836,109	5,900,099	12,282,863	35,202,217
Performance related remuneration	2,380,985	858,248	1,272,974	2,865,335	7,377,543

(1) Financial Markets included

Remuneration by business area

In line with the directives from the European Banking Authority (EBA), the overall quantitative data relative to remuneration per business area is stated in the table above.

Option plans

Belfius Bank has no option plan. During 2021, no option was granted to staff members whose activity has a material impact on the risk profile of Belfius Bank or exercised by the latter.

Severance remuneration

In 2021, severance remuneration was paid to five staff members whose activity has a material impact on the risk profile of Belfius Bank.

The total amount of this payment was EUR 1,662,480.

Sign-on remuneration

For the year 2021, seven individuals (referred to in point 2.3.3.) were exceptionnally awarded a signing-on bonus.

2.3.4. Remuneration of members of the Board of Directors (non-executive directors)

The total remuneration paid to members of the Board of Directors of Belfius Bank, except the members of the Management Board (non-executive directors) for 2021 was EUR 1,081,592 for 73 meetings (compared with EUR 1,207,125 in 2020 for 74 meetings). This amount includes the remuneration for their mandate as directors (a fixed amount, which is identical for all members of the Board of Directors, except for the Chairman), as well as their fees for attending the Board meetings and the various advisory committees (a fixed amount for each meeting attended, varying for the members of the meeting, on the one hand, and for the Chairman, on the other).

The non-executive directors do not receive a performance-related remuneration or options.

The Chairman and the members of the Management Board do not receive any indemnity for attending the meetings of the Board of Directors or of the advisory committees.

Number of meetings and remuneration for each non executive director in 2021 (2)

	Mediation Committee (2 meetings)	Board of Directors (19 meetings) (4)	Risk Committee (19 meetings) (2)	Audit Committee (11 meetings)	Nomination Committee (10 meetings) (2)	Remuneration Committee (9 meetings)	Technology Committee (3 meetings)	Total Remuneration (In EUR)
Doutrelepont Carine	1	14					2	45,900
Delwart Jean-Pierre (6)	1	3						12,756
Clijsters Jos (5)	1 (1)	5 (1)			2	2		76,690
Hübner Georges		18	14	11 (1)				108,900
Van Den Berghe Lutgart		19			10 (1)	9 (1)		116,100
Sunt Chris	1 (1)	19 (1)	5	3	8	7		205,685
Bodart Paul		19		11			3 (1)	78,300
Vander Vennet Rudi		19	19 (1)					107,100
Diane Rosen-Zygas		17		7	10	9		94,500
De Rouck Martine		19	8	11				83,700
Isabel Neumann Dit Orlicz-Jar		19	15				2	74,700
Bruno Busselmans (3)		14					3	40,431
Peter Hinssen (3)		13					2	36,831
								1,081,592

(1) Chairmen.
(2) Some meetings were not remunerated. Joint meetings of two committees were indeed only once remunerated, for example.
(3) Member of the Board of Directors since 28/04/2021.
(4) The meeting of december 2021 and two meetings that were held by mail, were not remunerated in 2021.
(5) Chairman of the Board of Directors until 28/04/2021.
(6) Member of the Board of Directors until 28/04/2021.

CHAIRMAN	Georges Hübner
MEMBERS	Paul Bodart
	Martine De Rouck
	Diane Rosen-Zygas[(1)]
	Chris Sunt[(2)]

(1) From 28 April 2021 onwards.
(2) Until 28 April 2021.

3. Audit Committee

3.1. Composition

3.1.1. General aspects

As at 31 December 2021, the Audit Committee for Belfius Bank consists of the following members: Messrs Georges Hübner, Chairman, Paul Bodart, Mrs. Martine De Rouck and Mrs. Diane Rosen-Zygas.

On 28 April 2021, the Board of Directors of Belfius Bank appointed Mrs. Diane Rosen-Zygas as a member of the Audit Committee, with immediate effect.

Mr Chris Sunt was a member of the Audit Committee until 28 April 2021.

3.1.2. Independence and expertise

The Audit Committee must have at least one independent director with the individual expertise required in accountancy and/or audit. The majority of the members of the Audit Committee must be independent directors. The Chairman of the Committee is appointed by its members. Furthermore, the members of the Audit Committee must have collective expertise in the fields of banking as well as accountancy and audit.

The Audit Committee of Belfius Bank consists of four non-executive directors, all four are independent directors, namely Mr. Georges Hübner, Mr. Paul Bodart, Mrs. Martine De Rouck and Mrs. Diane Rosen-Zygas.

Mr. Georges Hübner, who holds a degree in Business Administration and a PhD in Management, is Full Professor in Finance at the HEC Liège, University of Liège and former Associate Professor at the University of Maastricht. Inter alia he was a member of the college of experts appointed by the Parliament following the financial crisis. He has professional experience in accountancy and audit acquired in his activities in education, expertise and Chairmanship of qualifying examination boards for the Certified Auditors Institute (IRE/IBR).

Mr. Paul Bodart, an engineer holding the degree of Master of Business Administration, was Professor at the Solvay Business School till the beginning of 2020. He has professional experience in accounting and audit acquired in particular in the tasks he performs as a member of the Audit Committee of the Russian Stock Exchange (Moscow Exchange - MOEX) and in the tasks he performed as a member of the Audit Committee of the National Settlement Depository, Russia's central depository, as Chairman of the Audit Committee and a member of the Risk Committee of Dexia and of Dexia Crédit Local and as a member of the Audit Committee of Euroclear Bank. Moreover, he has considerable experience in the banking and finance sectors, in particular the executive functions (more specifically, he was CEO of the Belgian banking subsidiary of the Bank of New York Mellon Group, responsible for group operations in the euro zone).

Ms. Martine De Rouck has a degree in Mathematical Sciences and Actuarial Sciences. She has experience in the banking and financial sectors, in particular through her various functions, including with BNP Paribas Fortis Bank SA, from 1978 to 2016.

Ms Diane Rosen-Zygas holds a degree of Commercial Engineer, has professional experience in the financial sector and specifically in banking, in construction and in real estate sectors. She was formerly Finance Director of BAM Belgium

Mr. Chris Sunt holds a masters of law degree. He was a member of the Brussels' Bar from 1980 till 2020, when he became "ere-advocaat/avocat honoraire". In his 40 years as a practicing lawyer he specialized in corporate and banking law and in financial services regulation. He has been the Chairman of the Board of Directors of Belfius Bank since 28 April 2021. He has also acquired relevant experience in accountancy and audit.

Consequently, the Audit Committee has at least one independent director with the individual expertise required in accountancy and/or audit as well as the required collective expertise in the field of banking, accountancy and auditing. A majority of the members of the Audit Committee are independent directors.

3.2. Tasks and remit

The Audit Committee assists the Board of Directors in its task of carrying out prudential controls and exercising general supervision in a broad sense.

3.2.1. Financial reporting

The Audit Committee examined the integrity of the financial information provided by the company, in particular by evaluating the accounting standards used, including the criteria governing the scope of the consolidation. The Audit Committee's supervision also extends to the follow-up of regular financial information before its submission to the Bank's Board of Directors.

The Audit Committee monitors the process of establishing financial information and makes recommendations or proposals to guarantee its integrity.

3.2.2. Internal audit and risk management

At least once a year the Audit Committee examines the efficiency of the internal audit and risk management systems set up by the Management Board to ensure that the main risks (including the risks linked to compliance with current laws and regulations) are properly identified and managed. To that end the Management Board submits a report to the Audit Committee regarding the assessment of internal control.

During 2021, the Audit Committee examined the activities of the Compliance department, the activities of Audit and Control, the activities of the Legal & Tax department, as well as the monitoring activities of the risks (e.g. credit, market, liquidity and operational risks and the risks with regard to the ICT-security).

3.2.3. Functioning of internal audit

The Audit Committee assesses the operational efficiency and independence of the Internal Audit division. The Audit Committee also verifies the extent to which the management responds to the findings of the Audit department and its recommendations. In 2021, the Audit Committee examined and approved the annual business report for 2020, the audit plan 2022, and the half-year business report (H1) for 2021, as well as the half-yearly follow-up reports on the recommendations. The latest version of the Internal Audit Charter was validated in 2021.

3.2.4. Statutory audit

The Audit Committee provides the Board of Directors with information on the results of the legal audit of the statutory and consolidated financial statements as well as explanations as to the manner in which the legal audit of the statutory and consolidated financial statements contributed to the integrity of the financial information and as to the role played by the Audit Committee in that process.

The Audit Committee also monitors the legal audit of the statutory and consolidated financial statements, and this includes monitoring questions asked and recommendations made by the auditor.

In 2021, the Audit Committee reported to the Board of Directors on the statutory and consolidated financial statements of Belfius Bank at 31 December 2020, 31 March 2021, 30 June 2021 and 30 September 2021. After considering the comments received from the management of the Bank and the external auditors, the Audit Committee delivered a favourable opinion to the Board of Directors on the financial statements.

3.2.5. External audit function and monitoring of auditor's independence

The Audit Committee satisfies itself that the external auditor(s) carries (carry) out his (their) audits properly.

The Audit Committee monitors the independence of the external auditor(s) and his (their) auditing programme.

The Audit Committee makes a recommendation to the Board of Directors with regard to the appointment or renewal of the mandate of the auditor.

3.3. Functioning

The Audit Committee may demand to see any useful information or supporting evidence and may carry out any inspection it feels is necessary. To that end it calls on the services of the Internal Audit department of Belfius Bank.

In 2021, the Audit Committee met eleven times.

The Audit Committee of Belfius Bank operates independently from the Audit Committee implemented at Belfius Insurance. The Audit Committee of Belfius Bank held four joint meetings with the Audit Committee of Belfius Insurance, in particular when the insurance company's annual financial statements for 2020 and the half-yearly financial statements at 30 June 2021 were presented.

The Audit Committee of Belfius Bank held seven meetings jointly with the Risk Committee to examine, inter alia, the effective management report on the assessment of the internal control report 2020, the report on the risks linked to the use of valuation models, the follow-up of the implementation of the IT-security strategy, as well as the quarterly risk monitoring report (including the risks related to Covid-19).

3.4. Internal Audit

The Internal Audit Charter states the fundamental principles which govern the Internal Audit function at Belfius by describing its mandate, its objectives, its role, its responsibilities, and its overall modes of operation. Additionally, through the Audit Charter the independency of the Internal Audit function has been ensured. The Audit Charter has been approved by the Board of Directors in 2021 and is reviewed at least every three years.

Belfius Bank has an internal audit function that meets the international standards on methodology and reporting.

The internal audit function is an independent and objective activity that provides the organisation with reasonable assurance regarding the extent to which its operations are controlled and supervised. As part of its work, the internal audit function provides recommendations for improvements and in doing so creates added value. The head of internal audit reports to the Chairman of the Audit Committee.

This means that the internal audit function helps the organisation to achieve its objectives. It does this by assessing the risk management, internal audit processes and governance processes in a systematic and disciplined manner and by making proposals designed to increase efficiency. This is done mainly by carrying out audit assignments and following up on audit recommendations.

The head of internal audit at Belfius Bank is responsible for internal audit on a Group level (Auditor-General). To this end, the head of internal audit at Belfius Insurance has a functional link to the Auditor-General. In this way, the independence of the head of internal audit at Belfius Insurance vis-à-vis his/her governing bodies is combined with the use of uniform audit practices of high quality (audit planning, audit methodology, following up on audit recommendations, and so on) within the Belfius Group.

4. Risk Committee

4.1. Composition

4.1.1. General aspects

As at 31 December 2021, the Risk Committee for Belfius Bank consists of the following members: Mr. Rudi Vander Vennet, Chairman, Mrs. Martine De Rouck and Mr. Georges Hübner.

CHAIRMAN	Rudi Vander Vennet
MEMBERS	Martine De Rouck(1)
	Georges Hübner
	Isabel Neumann(3)
	Chris Sunt(2)

(1) From 28 April 2021 onwards.
(2) Until 31 August 2021.
(3) Until 28 April 2021.

On 28 April 2021, the Board of Directors of Belfius Bank appointed Mrs. Martine De Rouck as a member of the Risk Committee, with immediate effect.

Mr. Chris Sunt was a member of the Risk Committee until 28 April 2021.

Mrs. Isabel Neumann was a member of the Risk Committee until 31 August 2021.

4.1.2. Independence and remit

The Risk Committee of Belfius Bank consists of three independent directors, namely Mr. Rudi Vander Vennet, Mrs. Martine De Rouck and Mr. Georges Hübner.

The members of the Risk Committee must individually have the knowledge, skills, experience and aptitudes necessary to enable them to understand the Bank’s risk strategy and appetite level.

Mr. Rudi Vander Vennet holds a degree in economics, an advanced master’s degree in finance and a PhD in economics and is currently full professor of economics and banking at Ghent University and also teaches banking and insurance at Solvay Business School (ULB). He has experience as a board member at various financial institutions.

Mrs. Martine De Rouck has a degree in Mathematical Sciences and Actuarial Sciences. She has experience in the banking and financial sectors, in particular through her various functions, including with BNP Paribas Fortis Bank SA from 1978 to 2016.

Mr. Georges Hübner, who holds a degree in Business Administration and a PhD in Management, is Full Professor in Finance at the HEC Liège, University of Liège and former Associate Professor at the University of Maastricht. Inter alia he was a member of the college of experts appointed by Parliament following the financial crisis.

Mrs. Isabel Neumann holds a degree of Commercial Engineer, has professional experiences in the financial sector and specifically in the banking sector. She was formerly Director Investment Banking of Bank of America Merrill Lynch.

Mr. Chris Sunt holds a masters of law degree. He was a member of the Brussels' Bar from 1980 until 2020, when he became "ere-advocaat/avocat honoraire". In his 40 years as a practicing lawyer he specialized in corporate and banking law and in financial services regulation. He has been the Chairman of the Board of Directors of Belfius Bank since 28 April 2021. He has also acquired the relevant risk management experience.

The members of the Risk Committee have the individual expertise and professional experience required to define strategy regarding risk and the level of risk appetite of an institution. They have acquired the specialisation necessary in particular as directors with other institutions and/or in their university training. Consequently, the Risk Committee has the required individual knowledge and expertise.

4.2. Remit

The Risk Committee has advisory powers and responsibilities with regard to the Board of Directors in the following areas:

- appetite and strategy regarding the Bank's current and future risks, more particularly the effectiveness of the risk management function and the governance structure to support them;
- monitoring implementation of risk appetite and strategy by the Management Board;
- allocating the risk appetite to various categories of risks and defining the extent and limits of risk in order to manage and restrict major risks;
- considering the risks run by the Bank with its customer tariffs;
- assessing activities which expose the Bank to real risks;
- supervising requirements in terms of capital and liquidity, the capital base and the Bank's liquidity situation;
- guaranteeing that risks are proportional to the Bank's capital;
- formulating an opinion with regard to major transactions and new proposals for strategy activities that have a significant impact on the Bank's risk appetite;
- obtaining information and analysing management reports as to the extent and nature of the risks facing the Bank and the conglomerate (e.g. quarterly GFCR reporting);
- monitoring the Internal Capital Adequacy Assessment Process (ICAAP), the Internal Liquidity Adequacy Assessment Process (ILAAP) and the Recovery Plan.

4.3. Functioning

The Risk Committee meets at least once per quarter. It also meets on an ad-hoc basis in relation to specific matters.

In 2021, the Risk Committee met nineteen times of which seven joint meetings with the Audit Committee and one joint meeting with the Risk & Underwriting Committee of Belfius Insurance.

The Risk Committee operates independently of the Risk & Underwriting Committee of Belfius Insurance. On the request of the Chairman of the Bank's committee, a joint Risk Committee of Belfius Bank and Belfius Insurance may be held. To promote sound remuneration policy and practices, without prejudice to the tasks of the Nomination Committee and the Remuneration Committee, the Risk Committee examines whether incentives in the remuneration system take proper account of the institution's risk management, equity requirements and liquidity position, as well as the probability and distribution of profit over time. The Risk Committee and the Audit Committee periodically exchange information in particular concerning the quarterly risk report, the senior management report on the assessment of internal control and the risk analyses performed by the Legal, Compliance and Audit Departments. The aim of this exchange of information is to enable the two committees to perform their tasks properly and can take the form of a joint meeting.

Mediation committee

In 2014 the Board of Directors decided to establish a Mediation Committee within the Belfius Group.

CHAIRMAN	**Jozef Clijsters**(1) Chairman of the Board of Directors of Belfius Bank
	Chris Sunt(2) Chairman of the Board of Directors of Belfius Bank
MEMBERS	**Jean-Pierre Delwart**(3) Independent Director Belfius Bank
	Martine De Rouck(4) Independent Director Belfius Bank
	Carine Doutrelepont Independent Director Belfius Bank
	Cécile Coune Independent Director Belfius Insurance
	Jean-Michel Kupper Independent Director Belfius Insurance

(1) Until 28 April 2021.
(2) From 28 April 2021 onwards.
(3) Until 28 April 2021.
(4) From 29 June 2021 onwards.

1. Composition

The Mediation Committee is composed of five members:

- the Chairman of the Board of Directors of Belfius Bank, who acts as Chairman;
- two independent directors of Belfius Bank;
- two independent directors of Belfius Insurance.

As at 31 December 2021, the Mediation Committee consisted of the following members:

- Mr. Chris Sunt, Chairman of the Board of Directors of Belfius Bank;
- Mrs. Carine Doutrelepont and Mrs. Martine De Rouck, independent directors of Belfius Bank;
- Mrs. Cécile Coune and Mr. Jean-Michel Kupper, independent directors of Belfius Insurance.

Mr. Jos Clijsters was Chairman of the Mediation Committee until 28 April 2021. At the same date he was replaced by Mr. Chris Sunt.

Mr. Jean-Pierre Delwart was member of the Mediation Committee until 28 April 2021.

Mrs. Martine De Rouck was appointed as a member of the mediation committee on 29 June 2021.

In 2021, the Mediation Committee met two times.

2. Remit

The Mediation Committee is responsible for issuing opinions relating to material transactions or operations between, on the one hand, Belfius Bank or its subsidiaries and, on the other hand, Belfius Insurance or its subsidiaries, or between their respective subsidiaries. Such opinions are sent to the Board of Directors of the companies concerned, which will then take a final decision on the planned transaction or operation.

In 2021 the status on ESG strategy implementation at Belfius was discussed in this Committee.

Technology Committee

In March 2021, the Board of Directors decided to set up a Technology Committee within the Belfius Group.

1. Composition

As at 31 December 2021, the Technology Committee was composed of: Mr Paul Bodart (non-executive director of Belfius Bank), Chairman, Ms Carine Doutrelepont (non-executive director of Belfius Bank), Ms Isabel Neumann (non-executive director of Belfius Bank), Mr Bruno Brusselmans (non-executive director of Belfius Bank), Mr Peter Hinssen (non-executive director of Belfius Bank), Mr Jean-Michel Kupper (non-executive director of Belfius Insurance) and Mr Stijn Bijnens (external advisor).

The Technology Committee met three times in 2021.

2. Remit

The Technology Committee, which is responsible for Belfius Bank and its subsidiaries, advises the Board of Directors on its technology strategy, important technology investment decisions. Technology includes inter alia IT, digital and artificial intelligence.

The Technology Committee is responsible for:

- advising the Board of Directors on, and preparing the decisions of the Board of Directors with respect to technology strategy and material technology investment choices;
- monitoring, evaluating and advising the Board of Directors on existing and future technology trends, regulation and competition / FinTech developments that may affect Belfius' strategic plans including the monitoring of overall industry trends and future trends concerning enterprise data management and the financial industry's use of data to maximize the customer experience value;
- assessing measures and advising the Board of Directors on Belfius' technological strategic milestones and transformational developments, such as customer experience, sales through digital channels and potential synergies with physical and other networks, potential partnerships;
- monitoring and reporting to the Board of Directors on progress made with respect to the implementation of the technology decisions taken by the Board of Directors, including but not limited to, technology performance and security. This includes inter alia monitoring and challenging the status of the move for the cloud infrastructure (timing, pace, risk mitigation, hybrid models, talents), foundations and platforms;
- reviewing and discussing reports from management on technology related activities, strategies and metrics, including enterprise data project performance, and reporting to the Board of Directors on the same.

Responsibility for the oversight of risks associated with technology, including risk assessment and risk management, remains with the Risk Committee and Audit Committee of the Board of Directors.

The following recurrent topics will be dealt with at the joint Risk and Audit Committee of Belfius Bank or at the Joint RUC and Audit Committee of Belfius Insurance:

- Quarterly report on IT risks, included Core Banking Renewal risks and Core Insurance renewal risks;
- Status IT security roadmap, including IT incidents;
- Digital security: incidents, IT part of the NFR – RAF;
- Audit missions regarding IT, Data & Digital risks.

CHAIRMAN	**Paul Bodart**
MEMBERS	**Bruno Brusselmans** Independent Director Belfius Bank
	Carine Doutrelepont Independent Director Belfius Bank
	Peter Hinssen Independent Director Belfius Bank
	Isabel Neumann Independent Director Belfius Bank
	Jean-Michel Kupper Independent Director Belfius Insurance
	Stijn Bijnens Consultant

(1) From 27 May 2021 onwards.

The Technology Committee will receive the forementioned topics discussed at joint Risk and Audit Committee of Belfius Bank or at the Joint RUC and Audit Committee of Belfius Insurance for information purpose.

Internal audit and risk management systems regarding financial statements

Belfius Bank applies various internal audit and risk management systems to its financial statements. These audits are carried out at different levels.

The inventory is reconciled with the balances in ACEC/ACSE via the reconciliation tool ACNR on a daily basis. Unreconciled amounts are reported via the monitoring and matching tool INTELLIMATCH. At the end of each month, the balance sheet and off-balance sheet inventory in the general ledger GEXL is reconciled with the balances in ACEC/ACSE. Unreconciled amounts are reported via an online tool in GEXL. The related accounting Competence Centre (back office) is responsible for analysing the nature of the differences and for initiating corrective actions.

The accounts (Belgian GAAP and IFRS) are closed on a monthly basis. A first level of control is performed by the Accounting Competence Centres that take full responsibility for the general ledger (balance, off balance and statement of income) and the inventory. In respect of Financial Markets activities, FM Risk Management is responsible for the validation of the statement of income and the gains and losses not included in the statement of income. The procedures and control activities are documented by each department involved.

Corporate Accounting Control performs a second level of control and ensures a functional steering of the closing process, the centralisation and final validation of all relevant accounting data and disclosures for reporting purposes. A risk-based approach is adopted to determine the nature and extent of the control activities. The controls mainly relate to a variance analysis of balances and ratios, sample-based testing, review of supporting documentation and reasonability controls. The results of the analytical review are documented in a highlight report, which is subject to management review. The procedures and control activities are documented by each department.

The first and second levels of control provide reasonable assurance on the completeness, accuracy and appropriate presentation of the accounting data, in accordance with the financial and prudential framework.

The main subsidiaries of Belfius Bank apply similar internal audit and risk management systems to its financial statements. From October 2017 onwards, the preparation of the financial statements of Belfius Insurance and its subsidiaries are outsourced to Belfius Bank in order to further align and optimize the processes. The continuity can be guaranteed as also the resources and competences of Belfius Insurance involved in the preparation and internal audit of the financial statements were transferred to Belfius Bank.

External activities of directors – Article 62, §2 of the Law of 25 April 2014 on the status and supervision of credit institutions and stockbroking firms

As at 31 December 2021 the directors of Belfius Bank held 27 directorships in other companies than Belfius Bank (including 12 directors and executives in companies of the Belfius Group).

Under the Regulation of the National Bank of Belgium dated 6 December 2011 on the pursuit of external activities by the directors and executives of regulated companies, Belfius Bank is required to disclose any external appointment held by its directors and senior executives. Belfius Bank has chosen to publish such appointments in its annual report filed with the National Bank of Belgium.

Statutory auditor

The task of auditing the financial situation and financial statements of Belfius Bank has been entrusted to KPMG Reviseurs d'entreprises, BV/SRL, represented by Messrs Olivier Macq and Kenneth Vermeire.

The table below provides an overview of the fees paid to the current Statutory Auditor for services provided to Belfius Bank, to Belgian companies associated with Belfius Bank and to its foreign subsidiaries during the 2021 financial year.

KPMG	Services provided in 2021				
(in EUR)	Audit of financial statements	Other certification	Tax advice	Other services	Total
KPMG BEDRIJFSREVISOREN / REVISEURS D'ENTREPRISES	**1,583,180**	**19,000**	**0**	**62,500**	**1,664,680**
Belfius Bank	833,000	10,000		60,000	903,000
Subsidiaries (bank perimeter)	183,500	2,000			185,500
Belfius Insurance and subsidiaries	566,680	7,000		2,500	576,180
OTHER KPMG ENTITIES	**97,000**	**0**	**0**	**301,429**	**398,429**
Belfius Bank				301,429	301,429
Subsidiaries (bank perimeter)	84,000				84,000
Belfius Insurance and subsidiaries	13,000				13,000
TOTAL	1,680,180	19,000	0	363,929	2,063,109

Compliance

1. Role

The function of Compliance is to ensure the integrity of Belfius Bank's activities and the management of Compliance risks. The Compliance department ensures that Belfius Bank, its subsidiaries, staff members, suppliers and intermediaries comply with the legislation as well as internal rules and norms applicable to Belfius.

The emphasis is principally placed on the rules relating to the protection of customers' interests, also known as rules of good conduct, such as MiFID for investment services and the prevention of conflicts of interests.

On the one hand, Compliance advises and informs management and the commercial and operational divisions of Belfius Bank of the correct and appropriate application of the law and regulations, both within the context of establishing corporate strategy, the development of new activities, distribution channels and processes, and within the framework of specific files or transactions. To that end, it actively monitors the evolution of Belgian and international legislation, in close collaboration with the Legal department.

On the other hand, Compliance organises the independent supervision and control of the correct implementation of established procedures and instructions. As such, it oversees the effectiveness of policy and proposes corrective measures if they are necessary.

2. Organisation

Compliance is organised around a central Compliance department based on three pillars: Business Advisors (advisory function), the Compliance Risk Control team (control function) and the Anti-Money Laundering unit. These three teams are supported by a specific unit which frames projects at an IT and an organisational level.

The central Compliance department may also call on the services of a large network of Compliance Correspondents within Belfius Bank's various divisions, as well as a networks of Compliance Managers with the salaried and independent branch networks. These last two networks play an important role, particularly in the introduction of Compliance policy and procedures as well as training and awareness in that regard.

A Compliance Officer accredited by the FSMA is at the head of the Compliance organisation. As from 1 January 2019 onwards, the Compliance Officer reports directly to the Chief Risk Officer, member of the Management Board, and, if necessary, may directly approach the Chairman of the Audit Committee, the Chairman of the Board of Directors and the Regulator.

As provided by the regulations, the department also has an Anti-Money Laundering Compliance Officer.

The Anti-Money Laundering Compliance Officer (AML CO) is head of the anti-money laundering team, which combats money laundering practices. Belfius puts material efforts in place so as not to be involved in laundering money from illegal activities, the organisation of tax fraud, financing terrorism or circumventing international embargos. To underline this commitment, the AML CO has established a general compliance framework with policies and broad preventive measures and controls. Proper knowledge of the customer and their identification, verification of the origin of financial flows on accounts and detection of dubious transactions are all vital elements in the prevention of such practices.

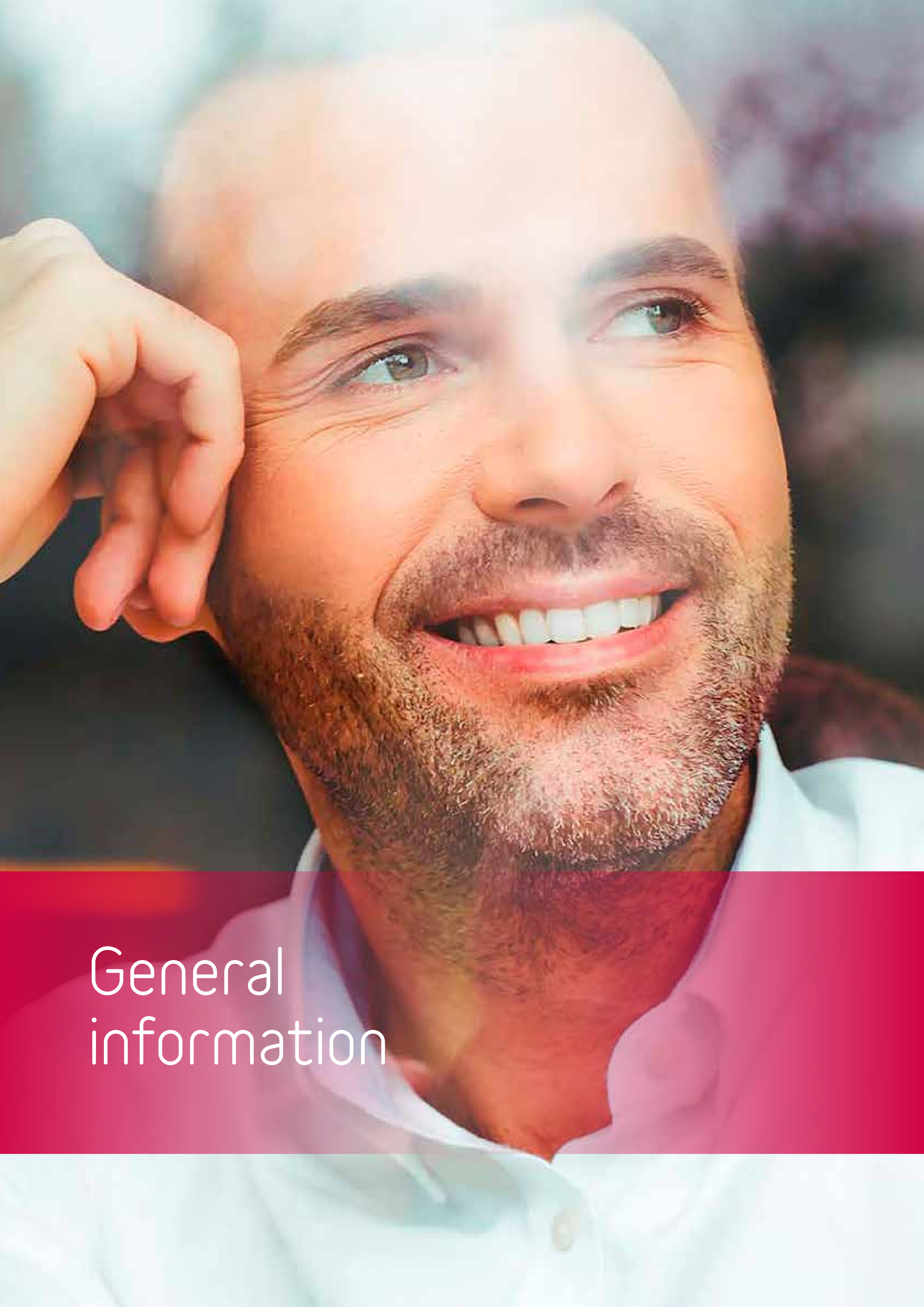
In the context of the General Data Protection Regulation (GDPR), which came into effect in May 2018, the former role of Privacy Officer at Compliance has become part of the new position of the Data Protection Officer (DPO) created as of May 2018 at the level of Operational Risk Management. A smooth transition has been organised.

The Compliance Officer of Belfius Bank ensures that a coherent and effective Compliance policy is applied within all the subsidiary companies of Belfius Group. Belfius Bank traces out the Group policy and defines the Compliance methodology to be used. Each regulated subsidiary company disposes of a local Compliance Officer who is responsible for the application of the adapted policy within his/her company. These Compliance officers report functionally to the Compliance Officer of Belfius Bank. They are in charge of the Compliance activities at their entity level such as the identification and assessment of compliance risks, providing advice to business and management, monitoring and second line controls; defining and implementing Compliance action plans. On a periodic basis the local Compliance Officer informs the local Management Board, Board of Directors, as well as the Compliance Officer at Belfius Bank on the Compliance activities and risks.

3. Charter – Expanded powers

In order to guarantee the independence of the Compliance function, its mandate, remit, organisation and tasks are formally established in a specific Charter, approved by the Bank's Board of Directors. The Charter also grants Compliance unlimited access to all the information and all the staff members within the Bank, in relation to any analyses or controls it deems necessary.

The Compliance Charter is periodically evaluated and is expanded, where necessary, in line with the evolution of the regulations, the detection of new potential risks, and/or the adjustments of the risk appetite of Belfius Group. In recent years the scope of the Compliance function has thus been expanded inter alia to advice and observance in relation to advertising, the law on market practices and the legislation concerning consumer loans, mortgages and payment services. The Charter is applicable to all regulated subsidiary companies of Belfius Group.



General information

Share capital and allocation of profit of Belfius Bank

1. Share capital and evolution of the capital during the financial year 2021

The share capital of Belfius Bank is three billion, four hundred and fifty-eight million, sixty-six thousand, two hundred and twenty- seven euros and forty-one cents (EUR 3,458,066,227.41) and is represented by 359,412,616 registered shares. The shareholding of Belfius Bank is as follows: 359,407,616 registered shares are held by the public limited company of public interest Federal Holding and Investment Company (FHIC), in its own name, but on behalf of the Belgian State, and 5,000 registered shares are held by the public limited company Certi-Fed. Certi-Fed is a fully-owned subsidiary of FHIC.

In accordance with the provisions of the law, the Extraordinary General Meeting of Shareholders of 19 March 2019 authorised the Board of Directors to increase the share capital of the Bank in one or more stages with a maximum of three billion, four hundred and fifty-eight million, sixty-six thousand, two hundred and twenty-seven euros and forty-one cents (EUR 3,458,066,227.41). That authorisation is valid for five years from publication of the resolution of the ordinary general meeting of shareholders in the Appendices to the Belgian Official Gazette.

No change was made to the share capital of the Bank in 2021.

2. Allocation of profit

The company results for the financial year 2021 recorded a profit of EUR 822,474,179.80. After deduction of the tax-free reserves for an amount of EUR 19,350, the reversal of the profit brought forward from the previous financial year for an amount of EUR 528,585,060.37 and taking into account an interim dividend of EUR 130,000,000, the profit to be appropriated for the financial year amounts to EUR 1,351,078,590.17.
From this profit, an amount of EUR 852,560,456.17 will be allocated to reserves.

3. Annual dividend

The Board of Directors of 24 March 2022 has proposed to the General Assembly of 27 April 2022 an ordinary dividend of EUR 368.5 million in respect of the accounting year 2021.

Amendment to the articles of association

The articles of association of Belfius Bank were amended on 22 April 2020 (amendment of the Articles of association to provide that the general assembly may depart from the rule that a non-executive director can only be re-appointed for a maximum of two mandates).

The Principal changes to the scope of Belfius Bank at a non-consolidated level

In 2021, Belfius continued to develop in various areas in order to strengthen its positioning and strategy, notably by adapting the scope of its non-consolidated holdings:

- in the field of mobility-related services, Belfius participated in a capital increase of Skipr which allowed ALD to enter the capital of Skipr and Belfius to maintain its position as a reference shareholder, alongside Lab Box (D'ieteren) and the management. Skipr is a Belgian start-up with a "Mobility as a Service" platform. It combines an application to facilitate intermodal travel, a mobility card to access any provider in the EU and a budget management platform, making it the first all-in-one mobility solution in Europe;
- in the management and provision of cash to its customers, via a capital increase in Batopin. Batopin (Belgian ATM OPtimization INitiative) is a project of Belfius, BNP Paribas Fortis, ING and KBC, which are working together to develop an optimal ATM network in Belgium. Security and efficiency are at the heart of this initiative, as is financial and social inclusion.

Various transactions concerning real estate or financial holdings have taken place, including:

- participation in the capital increase of Noshaq (invest for the economic development of the province of Liège),
- participation in the capital increase of Belgian Mobile ID (company developing the "itsme" application) which also allowed the entry into the capital of the Société Fédérale de Participations et d'Investissements,
- the sale of its holdings in Bedrijvencentrum Limburg and Bedrijvencentrum Zaventem (two business centres offering premises and logistical facilities to small companies),
- the liquidation of Be-Hive (an organisation acting as a coordinator and catalyst for various initiatives, including conferences, events, education, for the FinTech ecosystem) and Shop Equipment (a company owning part of the building housing the Belfius regional centre in Ghent).

Material litigation

Belfius (Belfius Bank and its consolidated subsidiaries) is involved as a party in a number of litigations in Belgium, arising in the ordinary course of its business activities, including those where it is acting as an insurer, capital and credit provider, employer, investor and taxpayer.

Belfius recognizes provisions for such litigations when, in the opinion of its management taking into account all available elements, including an analysis by its company lawyers and external legal advisors as the case may be,

- a present obligation has arisen as a result of past events,
- it is probable that Belfius will have to make a payment, and
- the amount of such payment can be estimated reliably.

With respect to certain other litigations against Belfius, of which management is aware, no provision has been made according to the principles outlined here above, as the management is of the opinion, after due consideration of appropriate advice, that, while it is often not feasible to predict or determine the ultimate outcome of all pending litigations, such litigations are without legal merit, can be successfully defended, or that the outcome of these actions is not expected to result in a significant loss.

In the opinion of Belfius, the most important cases are listed below, regardless of whether a provision has been made or not(1). Their description does not deal with elements or developments that do not have an impact on the position of Belfius. If the cases listed below were to be successful for the opposite parties, they could eventually result in monetary consequences for Belfius. For litigations for which no provision has been made, such impact remains unquantifiable at this stage. Note that, apart from the cases listed below, continued vigilance can be observed in the prevention of money laundering (AML) in the Belgian financial sector. In this context, as is customary, Belfius is collaborating with the Belgian authorities and monitors this closely.

1. Housing Fund of the Brussels Capital Region

On 9 October 2012, the Housing Fund of the Brussels Capital Region (Woningfonds van het Brussels Hoofdstedelijk Gewest/Fonds du Logement de la Région de Bruxelles-Capitale) summoned Belfius Bank before the Brussels Commercial Court. The Housing Fund subscribed for a total amount of EUR 32,000,000 to four treasury notes issued by Municipal Holding (Gemeentelijke Holding/Holding Communal), placed by Belfius acting as dealer under the Municipal Holding commercial paper programme, between July and September 2011 (Commercial Paper programme). Due to severe financial difficulties encountered by the Municipal Holding, the Housing Fund granted a voluntary waiver to the Municipal Holding on 24 November 2011 and received repayment for EUR 16 million. The Municipal Holding entered into liquidation in December 2011. Due to the intervention of Belfius as dealer of the treasury notes, the Housing Fund demands the payment by Belfius Bank of the non-repaid capital. As the loss incurred on this investment is the result of a voluntary waiver of the claim by the Housing Fund, which matches half of the investment, Belfius Bank rejects the demand from the Housing Fund.

On 27 March 2014, the Brussels Commercial Court accepted the claim application by the Housing Fund but declared it unfounded.

The Housing Fund lodged an appeal against this judgement on 3 June 2014.

There has been no significant development in this claim since 2016. The hearing took place in February 2022 and a decision is expected in H1 2022. No provision has been made for this claim.

(1) Please note that, where relevant, Article 92 of IAS37 may apply to this section.

2. Arco - Cooperative shareholders

Various parties, including Belfius Bank, have been summoned by Arco - Cooperative shareholders in two separate procedures, i.e. one procedure before the Dutch-speaking Commercial Court of Brussels and another procedure before the Court of First Instance of Brussels:

- On 30 September 2014, 737 shareholders from three companies of the Arco Group (Arcopar, Arcoplus and Arcofin) initiated (with support of Deminor) proceedings against the Arco entities and Belfius Bank before the Dutch-speaking Commercial Court of Brussels (the "Deminor Proceedings"). On 19 December 2014, 1,027 additional shareholders of the Arco entities joined in the Deminor Proceedings. On 15 January 2016, 405 additional shareholders of the Arco entities joined the Deminor Proceedings, resulting in a total of 2,169 plaintiffs. On 16 November 2020, a further "Deminor" procedure was initiated, in which all plaintiffs except one joined, to anticipate a possible nullity of the original summons. The content of the two proceedings is identical. As a result, they are treated together.
  The plaintiffs have requested that the Brussels Court rules, inter alia:
  - firstly, that the agreements by virtue of which they became shareholders of the relevant Arco entities are null and void as a consequence of an alleged defect in consent;
  - that the defendants should therefore, in solidum, reimburse the plaintiffs for their financial contribution in these entities plus interest;
  - in the alternative, compensation is asked of Belfius Bank for an alleged violation of the information duty; and
  - that the defendants are liable for certain additional damages to the plaintiffs.

  The historical financial contribution of the 2,169 plaintiffs to the Arco Group entities, for which reimbursement is claimed, amounted to approximately EUR 6.5 million (principal amount) as at the date of this Report. The plaintiffs' claims in the Deminor Proceedings are based on allegations of fraud and/or error on the part of the Arco entities and Belfius Bank. In the alternative, the plaintiffs have argued that Belfius Bank breached its general duty of care as a normal and prudent banker. In relation to Belfius Bank, the plaintiffs have referred to certain letters and brochures allegedly containing misleading information issued by the predecessors of Belfius Bank. The Belgian State, DRS Belgium (Deminor) and the Chairman of the Management Board of the Arco entities are also defendants in the proceedings before the Commercial Court of Brussels. In the meantime, the VZW Arcoclaim also intervened in this litigation procedure (on grounds of an alleged transfer of claim by one of the plaintiffs/shareholders). The case was pleaded during several pleading sessions in June 2021. In its decision announced on 3 November 2021, the Dutch-speaking Commercial Court of Brussels rejected all the claims of the cooperative shareholders. In January 2022, Deminor announced in the press that the plaintiffs will introduce an appeal against the judgment and that additional judicial proceedings, for new and more plaintiffs, shareholders of Arco entities, may be initiated.

- Furthermore, on 7 February 2018, two cooperative shareholders summoned the Belgian State before the Court of First Instance of Brussels because they state that the Belgian State committed an error by promising and introducing a guarantee scheme for shareholders of financial cooperative companies (like the Arco cooperative shareholders) which has been considered illicit state aid by the European Commission. These two plaintiffs also summoned Belfius Bank on 8 February 2018 to intervene in this procedure and claim compensation from Belfius Bank because they consider that Belfius Bank erred in the sale of the Arco shares. Groups of Arco-shareholders organized themselves via social media to mobilize other Arco shareholders to become claimant in this procedure, and to the knowledge of Belfius, as at the end of June 2020, approximately 5,380 Arco shareholders did so. The VZW Arcoclaim also intervenes in this litigation procedure. There is not yet a pleading calendar in this case.

No provision has been made for these claims because Belfius Bank is of the opinion that it has sufficient valid arguments to result in these claims being declared inadmissible and/or without merit.

3. Funding Loss

Belfius Bank is facing some legal actions regarding the issue of indemnities charged for funding losses incurred by the Bank. The latter are charged to professional clients in the case of early repayment of professional credits. These indemnities are calculated in line with the current legal dispositions and the contractual framework of such credits to reflect the financial losses that are actually incurred by the Bank in the case of early repayment of a professional credit. Belfius booked provisions to cover the potential adverse outcome of litigation proceedings. These provisions are reassessed on an ongoing basis, taking into account the evolution of Belgian case law and the relevant outstanding credits.

4. Investigations into the Panama Papers

These paragraphs are mentioned for completeness only, although the matters below do not comprise a litigation. On 5 December 2017, a police search under the lead of an examining magistrate of Brussels (onderzoeksrechter/juge d'instruction) took place at Belfius Bank's head office in the framework of the Belgian "Panama Papers" Parliamentary Commission. The Bank was investigated as a witness and has not been accused of any wrongdoing. The scope of the investigation is to establish whether there are any violations of anti-money laundering obligations and to investigate the link between Belfius Bank (or its predecessors), and, inter alia, Experta and Dexia Banque Internationale à Luxembourg (i.e. former entities of the Dexia Group).

To date, Belfius Bank has not received any further information since the forementioned police search.

5. Investigation by the public prosecutor into the activities of an independent bank agency

A public prosecution has been initiated, inter alia against Belfius Bank, for its alleged role in potential fraudulent activities that would have been conducted with the assistance of a director of an independent bank agency of Belfius Bank in violation of several (banking) regulations. After consultation of the criminal file, Belfius continues to believe that it has sufficient valid arguments to result in these claims being declared inadmissible and/or without merit. No provision has been booked for this case.

Declaration of transparency

Transparency requirements in relation to information about issuers the securities of which are admitted for trading on a regulated market.

Pursuant to Directive 2004/109/EC on the harmonisation of transparency requirements in relation to information about issuers the securities of which are admitted for trading on a regulated market (referred to below as the "Transparency Directive") and to Directive 2007/14/ EC of 8 March 2007 laying down detailed rules for the implementation of certain provisions of the Transparency Directive, Belfius Bank has chosen Luxembourg as its Home Member State.

The Transparency Directive was transposed into Luxembourg law by:

- the Luxembourg Act of 11 January 2008 relative to transparency requirements in relation to information about issuers whose securities are admitted for trading on a regulated market;
- the Grand Ducal Regulation of 3 July 2008 officially designating the mechanisms for the central storage of regulated information within the meaning of the Act of 11 January 2008; and
- CSSF Circular No. 08/337 from the Financial Sector Supervisory Commission.

The aforementioned regulation lays down certain requirements regarding information and the publication of data.

Pursuant to Article 3.(2) of the Luxembourg law relative to transparency requirements incumbent upon the issuers of securities, the Management Board at Belfius Bank states that:

- Belfius Bank has chosen Luxembourg as its Home Member State;
- to the best of its knowledge, the financial statements prepared in accordance with the applicable set of accounting standards give a true and fair view of the assets, liabilities, financial position and the profit or loss of the issuer and of all the undertakings included in the consolidation;
- to the best of its knowledge, the management report includes a fair review of the development and performance of the business and the position of the issuer and all the undertakings included in the consolidation, together with a description of the principal risks and uncertainties that they face.

Country-by-country reporting

Based on Article 6bis of the Royal Decree dated 23 September 1992, regarding the consolidated financial statements of financial institutions, Belfius discloses the following information on a consolidated basis, split country by country, in which Belfius has an establishment (Branch and or subsidiary).

Country	Activity	31/12/20			
		Turnover[1] (In thousands of EUR)	Average FTE[2]	Net income before tax (In thousands of EUR)	Tax (expense) income (In thousands of EUR)
BELGIUM	BANK AND INSURANCE	2,576,041	6,236	642,979	(138,585)
MEMBER STATE		0	0	0	0
Luxembourg	Other financial services and insurance activities	10,450	6	8,897	(2,365)
Ireland	Other financial services and insurance activities	27,157	7	27,108	(6,410)
TOTAL		2,613,649	6,249	678,984	(147,360)

Country	Activity	31/12/21			
		Turnover[1] (In thousands of EUR)	Average FTE[2]	Net income before tax (In thousands of EUR)	Tax (expense) income (In thousands of EUR)
BELGIUM	BANK AND INSURANCE	2,694,768	6,199	1,234,200	(289,442)
MEMBER STATE					
Luxembourg	Other financial services and insurance activities	12,604	6	11,388	(2,790)
Ireland	Other financial services and insurance activities	(4,966)	7	(16,971)	1,191
France	Other financial services and insurance activities	870	0	(2,903)	943
TOTAL		2,703,276	6,212	1,225,714	(290,098)

(1) Based on "Income" from the Consolidated statement of income in the Annual report.
(2) Disclosed in the Annual report in the note 7.10 "Staff expense".

Consolidated financial statements
as at 31 December 2021

Consolidated balance sheet

Assets

(in thousands of EUR)		Notes	31/12/20	31/12/21
I.	Cash and balances with central banks PF [1]	5.2.	25,433,781	31,640,347
II.	Loans and advances due from credit institutions	5.3.	11,911,684	10,411,237
	A. Measured at amortised cost PF[1]		11,911,684	10,411,237
	B. Measured at fair value through other comprehensive income		0	0
	C. Measured at fair value through profit or loss		0	0
III.	Loans and advances	5.4.	98,108,050	102,678,814
	A. Measured at amortised cost		96,811,908	101,540,978
	B. Measured at fair value through other comprehensive income		0	99,119
	C. Measured at fair value through profit or loss		1,296,142	1,038,717
IV.	Debt securities & equity instruments	5.5.	28,848,865	27,195,351
	A. Measured at amortised cost		22,039,067	20,839,937
	B. Measured at fair value through other comprehensive income		5,170,430	4,959,373
	C. Measured at fair value through profit or loss		1,639,368	1,396,041
V.	Unit linked products insurance activities		3,813,059	4,245,672
VI.	Derivatives	5.6.	12,188,113	8,909,039
VII.	Gain/loss on the hedged item in portfolio hedge of interest rate risk	5.6.	4,631,922	3,651,783
VIII.	Investments in equity method companies	5.7.	98,880	96,107
IX.	Tangible fixed assets	5.8.	1,189,898	1,614,068
X.	Intangible assets	5.9.	195,833	214,928
XI.	Goodwill	5.10.	103,966	103,966
XII.	Tax assets	5.11.	403,390	355,777
	A. Current tax assets		33,622	27,073
	B. Deferred tax assets		369,769	328,704
XIII.	Technical insurance provisions - part of the reinsurer	6.5.	107,075	130,890
XIV.	Other assets	5.12.	931,216	876,060
XV.	Non current assets (disposal group) held for sale and discontinued operations	5.13.	25,700	26,505
TOTAL ASSETS			187,991,433	192,150,543

(1) Pro forma due to refinement of presentation, stage 1 impairments on cash and balances with central banks (EUR 19 thousand) are reported under "Cash and balances with central banks" as of 2021.

The notes on pages 252 to 394 are an integral part of the consolidated annual financial statements.

Liabilities

(in thousands of EUR)		Notes	31/12/20	31/12/21
I.	Cash and balances from central banks	6.1.	14,173,519	15,418,072
II.	Credit institutions borrowings and deposits	6.2.	5,008,193	3,591,036
	A. Measured at amortised cost		5,008,193	3,591,036
	B. Measured at fair value through profit or loss		0	0
III.	Borrowings and deposits	6.3.	95,337,975	104,404,013
	A. Measured at amortised cost		95,286,940	104,355,267
	B. Measured at fair value through profit or loss		51,036	48,746
IV.	Debt securities issued and other financial liabilities	6.4.	24,402,198	23,145,353
	A. Measured at amortised cost		16,068,804	15,116,744
	B. Measured at fair value through profit or loss		8,333,394	8,028,609
V.	Unit linked products insurance activities		3,813,059	4,245,672
VI.	Derivatives	5.6.	18,310,156	14,018,729
VII.	Gain/loss on the hedged item in portfolio hedge of interest rate risk	5.6.	373,447	45,766
VIII.	Provisions for insurance activities	6.5.	12,659,377	12,191,017
IX.	Provisions and contingent liabilities	6.6.	624,107	529,173
X.	Subordinated debts	6.7.	1,150,681	1,642,749
	A. Measured at amortised cost		1,150,681	1,642,749
	B. Measured at fair value through profit or loss		0	0
XI.	Tax liabilities	5.11.	84,660	49,183
	A. Current tax liabilities		68,470	41,682
	B. Deferred tax liabilities		16,190	7,502
XII.	Other liabilities	6.8.	1,320,664	1,377,031
XIII.	Liabilities included in disposal group and discontinued operations		0	0
TOTAL LIABILITIES			177,258,036	180,657,795

Equity

(in thousands of EUR)		Notes	31/12/20	31/12/21
XIV.	Subscribed capital		3,458,066	3,458,066
XV.	Additional paid-in capital		209,232	209,232
XVI.	Treasury shares		0	0
XVII.	Reserves and retained earnings		5,616,576	5,957,910
XVIII.	Net income for the period		531,615	934,964
CORE SHAREHOLDERS' EQUITY			**9,815,490**	**10,560,172**
XIX.	Fair value changes of debt instruments measured at fair value through other comprehensive income		213,853	108,559
XX.	Fair value changes of equity instruments measured at fair value through other comprehensive income		121,161	179,153
XXI.	Fair value changes due to own credit risk on financial liabilities designated as at fair value through profit or loss to be presented in other comprehensive income		0	0
XXII.	Fair value changes of derivatives following cash flow hedging		(68,761)	(98,352)
XXIII.	Remeasurement pension plans		69,161	132,290
XXIV.	Discretionary participation features of insurance contracts	6.5.	57,552	81,096
XXV.	Other reserves		208	208
GAINS AND LOSSES NOT RECOGNISED IN THE STATEMENT OF INCOME			**393,173**	**402,953**
TOTAL SHAREHOLDERS' EQUITY			10,208,663	10,963,126
XXVI.	Additional Tier-1 instruments included in equity		497,083	497,083
XXVII.	Non-controlling interests		27,651	32,539
TOTAL EQUITY			10,733,397	11,492,748
TOTAL LIABILITIES AND EQUITY			187,991,433	192,150,543

The notes on pages 252 to 394 are an integral part of the consolidated annual financial statements.

Consolidated statement of income

(in thousands of EUR)		Notes	31/12/20	31/12/21
I.	Interest income	7.1.	3,352,799	3,357,376
II.	Interest expense	7.1.	(1,361,293)	(1,356,009)
III.	Dividend income	7.2.	50,265	72,853
IV.	Net income from equity method companies	7.3.	4,848	2,449
V.	Net income from financial instruments at fair value through profit or loss	7.4.	24,086	24,973
VI.	Net income on investments and liabilities	7.5.	54,517	14,842
VII.	Fee and commission income	7.6.	810,261	942,249
VIII.	Fee and commission expenses	7.6.	(169,319)	(184,745)
IX.	Technical result from insurance activities	7.7.	67,851	72,916
	A Gross earned premiums		1,475,214	1,506,818
	B Other technical income and charges		(1,407,363)	(1,433,902)
X.	Other income	7.8.	217,989	240,869
XI.	Other expenses	7.9.	(438,356)	(484,499)
INCOME			**2,613,649**	**2,703,276**
XII.	Staff expenses	7.10.	(630,182)	(641,064)
XIII.	General and administrative expenses	7.11.	(471,136)	(482,642)
XIV.	Network costs		(211,417)	(220,587)
XV.	Depreciation and amortisation of fixed assets	7.12.	(152,184)	(132,833)
EXPENSES			**(1,464,919)**	**(1,477,125)**
NET INCOME BEFORE TAX AND IMPAIRMENTS			1,148,730	1,226,151
XVI.	Impairments on financial instruments and provisions for credit commitments	7.13.	(453,133)	1,361
XVII.	Impairments on tangible and intangible assets	7.14.	(16,614)	(1,797)
XVIII.	Impairments on goodwill	7.15.	0	0
NET INCOME BEFORE TAX			678,984	1,225,714
XIX.	Current tax (expense) income	7.16.	(228,428)	(234,998)
XX.	Deferred tax (expense) income	7.16.	81,069	(55,100)
TOTAL TAX (EXPENSE) INCOME			**(147,360)**	**(290,098)**
NET INCOME AFTER TAX			531,624	935,617
XXI.	Discontinued operations (net of tax)		0	0
NET INCOME			531,624	935,617
Attributable to non-controlling interests			9	653
Attributable to equity holders of the parent			531,615	934,964

The notes on pages 252 to 394 are an integral part of the consolidated annual financial statements.

Consolidated statement of comprehensive income

(in thousands of EUR)	31/12/2020 PF Before-tax amount	31/12/2020 PF Tax (expense) income	31/12/2020 PF Net-of-tax amount	31/12/21 Before-tax amount	31/12/21 Tax (expense) income	31/12/21 Net-of-tax amount
RESULT RECOGNISED IN THE STATEMENT OF INCOME	678,984	(147,360)	531,624	1,225,714	(290,098)	935,617
OTHER COMPREHENSIVE INCOME THAT WILL NOT BE RECLASSIFIED TO PROFIT OR LOSS						
Fair value changes of equity instruments measured at fair value through other comprehensive income PF(1)(2)	(196,315)	6,933	(189,382)	95,717	(1,487)	94,230
Remeasurement pension plans(3)	(20,211)	5,053	(15,158)	84,172	(21,043)	63,129
Other movements	(5)	0	(5)	0	0	0
TOTAL OF OTHER COMPREHENSIVE INCOME THAT WILL NOT BE RECLASSIFIED TO PROFIT OR LOSS(1)	(216,530)	11,986	(204,545)	179,889	(22,530)	157,359
OTHER COMPREHENSIVE INCOME THAT MAY BE RECLASSIFIED TO PROFIT OR LOSS						
Fair value changes of debt instruments measured at fair value through other comprehensive income(4)	(161,259)	38,212	(123,047)	(140,607)	35,309	(105,298)
Gains (losses) on cash flow hedges(5)	18,945	(5,997)	12,948	(41,323)	11,733	(29,590)
Discretionary participation features of insurance contracts(6)	25,722	(1,382)	24,340	25,500	(1,956)	23,544
TOTAL OF OTHER COMPREHENSIVE INCOME THAT MAY BE RECLASSIFIED TO PROFIT OR LOSS	(116,591)	30,832	(85,759)	(156,431)	45,086	(111,345)
OTHER COMPREHENSIVE INCOME(1)	(333,122)	42,818	(290,304)	23,458	22,556	46,015
TOTAL COMPREHENSIVE INCOME(1)	345,862	(104,542)	241,320	1,249,173	(267,541)	981,631
Attributable to equity holders of the parent(1)	342,007	(104,668)	237,339	1,244,891	(267,430)	977,461
Attributable to non-controlling interests(7)	3,855	126	3,981	4,282	(112)	4,170

(1) Pro forma for refined presentation. Transfers to retained earnings due to the sale of equity instruments irrevocably measured through other comprehensive income for EUR 51.8 million at 31 December 2020 are no longer included in this table. Note that these transfers to retained earnings amount to EUR 31.5 million at 31 December 2021 (Refer to note Consolidated changes in equity).
(2) The fair value of equity instruments measured at fair value through other comprehensive income increased by EUR 94 million relating to increased stock markets, partially offset by the recognition of a shadow loss of EUR 116 million (after tax) compared with EUR 66 million (after tax) in December 2020 (refer to note 6.5. Provisions for insurance activities).
(3) The remeasurement of defined benefit plans increased by EUR 63 million, or 91.3%, to EUR 132 million (31 December 2020: EUR 69 million), due mainly to the effect of an increase in the discount rate and the return on plan assets, partially compensated by increased inflation.
(4) The fair value of debt instruments measured at fair value through other comprehensive income decreased with EUR 105 million, or -49.2%, to EUR 109 million (31 December 2020: EUR 214 million) and stems from higher interest rates compared with last year, partially offset by the recognition of a shadow loss of EUR 137 million (after tax) compared with EUR 170 million (after tax) per end 2020 (refer to note 6.5. Provisions for insurance activities).
(5) Gains (losses) on cash flow hedges decreased by EUR 30 million to EUR -98 million (31 December 2020: EUR -69 million), due mainly to the changes in basis spreads on derivative positions in GBP and USD.
(6) The discretionary participation feature of insurance contracts increased by EUR 24 million, or 40.9%, to EUR 81 million (31 December 2020: EUR 58 million). The total amount of future profit sharing amounts to EUR 161 million. An amount of EUR 63 million was recorded as a liability compared with EUR 84 million at year-end 2020. The remaining EUR 98 million (EUR 81 million after tax) is presented as a separate component of equity.
(7) The non-controlling interests are mainly related to the minority stakes in Capline, Jaimy and Jane.

Gains and losses not recognised in the statement of income (group share) increased by EUR 10 million, or 2.5%, to EUR 403 million (31 December 2020: EUR 393 million). The contribution of the Belfius Banking Group amounted to EUR 77 million (increase of EUR 30 million) and the Belfius Insurance Group to EUR 326 million (decrease of EUR 20 million).

Net income before tax increased by EUR 546.7 million, or 80.5%, to EUR 1,226 million (31 December 2020: EUR 679 million). Belfius Banking Group contributed EUR 944 million (31 December 2020: EUR 400 million) and Belfius Insurance Group contributed EUR 282 million (31 December 2020: EUR 279 million).

The 2021 result amounted to EUR 935 million, significantly higher than 2020 which was severely impacted by the Covid-19 pandemic. The results of 2021 are supported by an excellent fee performance (EUR 758 million, an increase of EUR 117 million) as well as resilient interest income (EUR 2,001 million, an increase of EUR 9 million) thanks to the strong commercial activity as well as the ECB measures. While the impairments on financial instruments and provisions for credit commitments was negatively impacted in 2020 for EUR -453 million, a net positive cost of risk of EUR +1 million can be noted in 2021 following the improved macro-economic factors and reassessment of the Covid-19 overlays on moratoria, sensitive sectors and individual names. Costs remained stable due to continuous cost containment

The notes on pages 252 to 394 are an integral part of the consolidated financial statements.

Consolidated statement of changes in equity

1. 2020

(in thousands of EUR)	Subscribed capital	Additional paid-in capital	Reserves and retained earnings	Net income for the period	Core shareholders' equity	Total gains and losses not recognised in profit and loss - Group share	Additional Tier-1 instruments included in equity	Non-controlling interests	Total equity
AS AT 31 DECEMBER 2019	3,458,066	209,232	5,013,573	667,496	9,348,367	635,605	497,083	24,945	10,506,000
Movements of the period									
Result recognised in the statement of income	0	0	0	531,615	**531,615**	0	0	9	**531,624**
Other comprehensive income	0	0	0	0	**0**	(294,199)	0	3,895	**(290,304)**
TOTAL COMPREHENSIVE INCOME	**0**	**0**	**0**	**531,615**	**531,615**	**(294,199)**	**0**	**3,905**	**241,320**
Transfers to reserves	0	0	667,496	(667,496)	**0**	0	0	0	**0**
Dividends[(1)]	0	0	0	0	**0**	0	0	(501)	**(501)**
Dividends Additional Tier 1	0	0	(13,594)	0	(13,594)	0	0	0	**(13,594)**
Variation of scope of consolidation[(2)]	0	0	864	0	**864**	0	0	(1,383)	**(519)**
Other movements	0	0	5	0	**5**	0	0	686	**691**
Transfers from OCI due to sale of equity instruments	0	0	(51,767)	0	**(51,767)**	51,767	0	0	**(0)**
AS AT 31 DECEMBER 2020	3,458,066	209,232	5,616,576	531,615	9,815,490	393,173	497,083	27,651	10,733,397

(1) Note that following the Covid-19 pandemic, the Board of Directors decided not to pay out any ordinary dividend over the result of 2019 (beyond the interim dividend of EUR 100 million already paid in August 2019), in line with the recommendation of the ECB.
(2) Variations in the scope of consolidation relate to variations in our shareholding in Jane, Jaimy and M80.

Gains and losses not recognised in the statement of income

(in thousands of EUR)	Other comprehensive income that may be reclassified to profit or loss			Other comprehensive income that will not be reclassified to profit and loss			Total gains and losses not recognised in profit and loss - Group share	Total gains and losses not recognised in profit and loss - Non controlling interests
	Fair value changes of debt instruments measured at fair value through other comprehensive income	Gains (losses) on cash flow hedges	Discretionary participation features of insurance contracts[1]	Unrealised result of property revaluation	Fair value changes of equity instruments measured at fair value through other comprehensive income[2]	Remeasurement pension plans		
AS AT 31 DECEMBER 2019	336,856	(81,709)	33,212	212	262,716	84,319	635,605	6,583
Movements of the period								
Net change in fair value through other comprehensive income - debt instruments[3]	81,939	0	24,340	0	0	0	106,279	0
Transfer to income due to impairments - debt instruments	568	0	0	0	0	0	568	0
Transfer to income due to disposals - debt instruments[4]	(17,318)	0	0	0	0	0	(17,318)	(15)
Net change in fair value through other comprehensive income - equity instruments	0	0	0	0	(113,793)	0	(113,793)	3,908
Net change in fair value through equity - derivatives - hedging reserve[5]	0	13,019	0	0	0	0	13,019	0
Net change in cash flow hedge reserve due to transfers to income	0	(71)	0	0	0	0	(71)	0
Transfers to technical provisions of insurance companies[6]	(188,192)	0	0	0	(79,529)	0	(267,721)	0
Remeasurement pension plans[7]	0	0	0	0	0	(15,158)	(15,158)	0
Transfers	0	0	0	(5)	0	0	(5)	0
Transfers to retained earnings due to sale of equity instruments irrevocably measured through other comprehensive income	0	0	0	0	51,767	0	51,767	76
Other movements	0	0	0	0	0	0	0	2
AS AT 31 DECEMBER 2020	213,853	(68,761)	57,552	208	121,161	69,161	393,173	10,555

(1) Discretionary beneficiary participation is a contractual, but conditional entitlement to receive additional profits over and above a guaranteed return on insurance contracts (life). The discretionary participation feature of insurance contracts increased with EUR 24 million, 73.3%, to EUR 58 million (31 December 2019: EUR 33 million). The total amount of future profit sharing amounts to EUR 156 million. An amount of EUR 84 million was recorded as a liability compared to EUR 103 million at year-end 2019. The remaining EUR 58 million (after tax) is accounted via equity.
(2) The fair value of equity instruments measured at fair value through other comprehensive income decreased with EUR 142 million, 53.9%, to EUR 121 million (31 December 2019: EUR 263 million), due to declining stock markets following the Covid-19 pandemic, partially offset by some disposals with a realised loss. Transfers to retained earnings due to realised losses of equity instruments irrevocably measured through other comprehensive income amounted to EUR 52 million.
(3) The fair value of debt instruments measured at fair value through other comprehensive income increased with EUR 82 million stemming from lower interest rates compared to last year partially offset by higher credit spreads.
(4) The fair value of debt instruments measured at fair value through other comprehensive income decreased with EUR 17 million as a result of disposals by Belfius Insurance.
(5) Gains (losses) on cash flow hedges increased with EUR 13 million to EUR -69 million (31 December 2019: EUR -82 million), mainly due to the changes in basis spreads on derivative positions in GBP and USD.
(6) These transfers concern amounts after tax following the application of shadow accounting (EUR 37 million) and the recognition of a shadow loss adjustment (EUR 236 million), whereby part of the unrecognised unrealised gains on financial assets not measured at fair value (f.e. bonds in hold to collect strategy, loans, etc) and recognised unrealised gains on financial assets measured at fair value through other comprehensive income are used as cover value for the payments of the obligations for insurance contracts and if need be, part of the latter are transferred to the technical provisions for insurance contracts, through shadow accounting. More specifically, Belfius compares the difference between a best estimate of its technical provisions, discounted at risk fee rate increased with a company specific volatility adjustment, and the initially recognised technical provisions, increased with the recognised unrealised gains on financial assets measured at fair value through other comprehensive income and the unrecognised unrealised gains on its financial assets that are not measured at fair value. If there are insufficient unrealised gains on financial assets not measured at fair value to offset the gap between a best estimate and the initially recognised technical provisions, a reclassification is performed from recognised unrealised gains in OCI towards the technical provisions. If there would be insufficient recognised unrealised gains in OCI, the remainder would be provisioned for via P&L.
In 2020, following low interest rate environment, the gap between the best estimate and recognised technical provisions increased more than the unrecognised unrealised gains on the financial assets not measured at fair value due to some negative impacts on these fair values from (i) increased credit risk, (ii) further refinements of some fair value models and (iii) the duration gap between covering assets and liabilities (albeit below 1 year). Belfius has recognised EUR -188 million shadow accounting on the life (OCI) bond portfolio and EUR -79.5 million on the life (OCI) equity portfolio based on a proportional allocation in function of the total OCI reserve of the underlying assets.
(7) The remeasurement of defined benefit plans decreased with EUR 15 million, 18.0%, to EUR 69 million (31 December 2019: EUR 84 million), mainly due to the effect of a decrease of the discount rate, partially compensated by the positive return on plan assets.

The notes on pages 252 to 394 are an integral part of the consolidated annual financial statements.

2. 2021

(in thousands of EUR)	Subscribed capital	Additional paid-in capital	Reserves and retained earnings [3]	Net income for the period	Core shareholders' equity	Total gains and losses not recognised in profit and loss - Group share	Additional Tier-1 instruments included in equity	Non-controlling interests	Total equity
AS AT 31 DECEMBER 2020	3,458,066	209,232	5,616,576	531,615	9,815,490	393,173	497,083	27,651	10,733,397
Movements of the period									
Result recognised in the statement of income	0	0	0	934,964	**934,964**	0	0	653	**935,617**
Other comprehensive income	0	0	0	0	**0**	41,238	0	4,776	**46,015**
TOTAL COMPREHENSIVE INCOME	0	0	0	934,964	934,964	41,238	0	5,429	981,631
Transfers to reserves	0	0	531,615	(531,615)	**0**	0	0	0	**0**
Dividends[1]	0	0	(77,000)	0	**(77,000)**	0	0	(580)	**(77,580)**
Dividends Additional Tier 1	0	0	(13,594)	0	**(13,594)**	0	0	0	**(13,594)**
Intermediary dividend[1]	0	0	(130,000)	0	**(130,000)**	0	0	0	**(130,000)**
Variation of scope of consolidation[2]	0	0	424	0	**424**	0	0	(423)	**1**
Other movements	0	0	(1,569)	0	**(1,569)**	0	0	461	**(1,107)**
Transfers from OCI due to sale of equity instruments	0	0	31,458	0	**31,458**	(31,458)	0	0	**0**
AS AT 31 DECEMBER 2021	3,458,066	209,232	5,957,910	934,964	10,560,172	402,953	497,083	32,539	11,492,748

(1) Belfius paid a total of EUR 207 million as dividend over the result of 2020, based on a pay-out ratio of 40% on the 2020 result. In line with the restrictions on dividend distribution that were in place in 2020 based on the ECB recommendation, Belfius paid a dividend of EUR 77 million over the result of 2020 in April 2021. When the restrictions on dividend distribution were lifted, Belfius paid the remaining EUR 130 million as an intermediary dividend over the result of 2020.
(2) Variations in the scope of consolidation relate to variations in our shareholding as a result of capital increases, mainly in Jane and Jaimy.
(3) Reserves include amongst other statutory and available reserves.

The notes on pages 252 to 394 are an integral part of the consolidated annual financial statements.

Gains and losses not recognised in the statement of income

(in thousands of EUR)	Other comprehensive income that may be reclassified to profit or loss			Other comprehensive income that will not be reclassified to profit and loss			Total gains and losses not recognised in profit and loss - Group share	Total gains and losses not recognised in profit and loss - Non controlling interests
	Fair value changes of debt instruments measured at fair value through other comprehensive income(1)	Gains (losses) on cash flow hedges	Discretionary participation features of insurance contracts(2)	Unrealised result of property revaluation	Fair value changes of equity instruments measured at fair value through other comprehensive income(3)	Remeasurement pension plans		
AS AT 31 DECEMBER 2020	213,853	(68,761)	57,552	208	121,161	69,161	393,173	10,555
Movements of the period								
Net change in fair value through other comprehensive income - debt instruments	(152,774)	0	23,544	0	0	0	(129,230)	0
Transfer to income due to impairments - debt instruments	(423)	0	0	0	0	0	(423)	(0)
Transfer to income due to disposals - debt instruments(4)	(3,453)	0	0	0	0	0	(3,453)	(0)
Net change in fair value through other comprehensive income - equity instruments	0	0	0	0	167,078	0	167,078	4,777
Net change in fair value through equity - derivatives - hedging reserve(5)	0	(29,430)	0	0	0	0	(29,430)	0
Net change in cash flow hedge reserve due to transfers to income	0	(160)	0	0	0	0	(160)	0
Transfers to technical provisions of insurance companies(6)	51,356	0	0	0	(77,628)	0	(26,272)	0
Remeasurement pension plans(7)	0	0	0	0	0	63,129	63,129	0
Transfers	0	0	0	0	0	0	0	0
Transfers to retained earnings due to sale of equity instruments irrevocably measured through other comprehensive income	0	0	0	0	(31,458)	0	(31,458)	(1,259)
Other movements	0	0	0	0	0	0	0	0
AS AT 31 DECEMBER 2021	108,559	(98,352)	81,096	208	179,153	132,290	402,953	14,072

(1) The fair value of debt instruments measured at fair value through other comprehensive income decreased with EUR 105 million, or -49.2%, to EUR 109 million (31 December 2020: EUR 214 million) and stems from higher interest rates compared with last year, partially offset by the recognition of a shadow loss of EUR 137 million (after tax) compared with EUR 170 million (after tax) per end 2020 (refer to note 6.5. Provisions for insurance activities).

(2) Discretionary beneficiary participation is a contractual, but conditional entitlement to receive additional profits over and above a guaranteed return on insurance contracts (life). The discretionary participation feature of insurance contracts increased by EUR 24 million, or 40.9%, to EUR 81 million (31 December 2020: EUR 58 million). The total amount of future profit sharing amounts to EUR 161 million. An amount of EUR 63 million was recorded as a liability compared with EUR 84 million at year-end 2020. The remaining EUR 98 million (EUR 81 million after tax) is presented as a separate component of equity.

(3) The fair value of equity instruments measured at fair value through other comprehensive income increased by EUR 58 million, or 47.9%, to EUR 179 million (31 December 2020: EUR 121 million), due to increasing stock markets, partially offset by the recognition of a shadow loss of EUR 116 million (after tax) compared with EUR 66 million (after tax) per end 2020 (refer to note 6.5. Provisions for insurance activities).

(4) The fair value of debt instruments measured at fair value through other comprehensive income decreased with EUR 3 million following transfers to income, as a result of sales by Belfius Insurance.

(5) Gains (losses) on cash flow hedges decreased by EUR 30 million to EUR -98 million (31 December 2020: EUR -69 million), due mainly to the changes in basis spreads on derivative positions in GBP and USD.

(6) The transfers to technical provisions of insurance companies concern amounts after tax following the application of shadow accounting of EUR 21 million (compared to EUR 37 million in December 2020) and the recognition of a shadow loss adjustment of EUR 253 million (compared to EUR 236 million in December 2020), whereby part of the unrecognised unrealised gains on financial assets not measured at fair value (f.e. bonds in hold to collect strategy, loans, etc) and recognised unrealised gains on financial assets measured at fair value through other comprehensive income are used as cover value for the payments of the obligations for insurance contracts and if need be, part of the latter are transferred to the technical provisions for insurance contracts, through shadow accounting. More specifically, Belfius compares the difference between a best estimate of its technical provisions, discounted at risk fee rate increased with a company specific volatility adjustment, and the initially recognised technical provisions, increased with the recognised unrealised gains on financial assets measured at fair value through other comprehensive income and the unrecognised unrealised gains on its financial assets that are not measured at fair value. If there are insufficient unrealised gains on financial assets not measured at fair value to offset the gap between a best estimate and the initially recognised technical provisions, a reclassification is performed from recognised unrealised gains in OCI towards the technical provisions. If there would be insufficient recognised unrealised gains in OCI, the remainder would be provisioned for via P&L. The increase of EUR 17 million in shadow loss (after tax) stems mainly from the decrease in credit spreads over 2021, and the revision of the non-financial assumptions for the calculation of the Best Estimate Life, partially compensated by the increase in interest rates compared to end 2020.

(7) The remeasurement of defined benefit plans increased by EUR 63 million, or 91.3%, to EUR 132 million (31 December 2020: EUR 69 million), due mainly to the effect of an increase in the discount rate and the positive return on plan assets, partially compensated by the impact of the increase in inflation.

The notes on pages 252 to 394 are an integral part of the consolidated annual financial statements.

Equity

	31/12/20	31/12/21
BY CATEGORY OF SHARE		
Number of shares authorised and not issued	0	0
Number of shares issued and fully paid	359,412,616	359,412,616
Number of shares issued and not fully paid	0	0
Earnings per share (EUR)		
Ordinary	1.48	2.60
Diluted	1.48	2.60
NOMINAL VALUE PER SHARE	no nominal value	no nominal value
Outstanding as at 1 January	359,412,616	359,412,616
Number of shares issued	0	0
Number of shares cancelled	0	0
Outstanding as at 31 December	359,412,616	359,412,616
Rights, preferences and restrictions, including restrictions on the distribution of dividends and the repayment of capital	0	0
Number of treasury shares	0	0
Number of shares reserved for issue under stock options and contracts for the sale of share	0	0

Refer to the Capital Management chapter of the Management Report for further information on the changes of regulatory own funds and the solvency of Belfius.

Shared-based payments

There are no option plans with Belfius shares as underlying asset.

The notes on pages 252 to 394 are an integral part of the consolidated annual financial statements.

Consolidated cash flow statement

Belfius uses the indirect method for the cash flow statement. The presentation of this statement begins with net income, with subsequent additions to and deductions from that amount for non-cash items, resulting in net cash provided by operating activities.

(in thousands of EUR)	31/12/20	31/12/21
CASH FLOW FROM OPERATING ACTIVITIES		
Net income attributable to equity holders of the parent	531,615	934,964
Net income attributable to non-controlling interests	9	653
ADJUSTMENT FOR NON CASH ITEMS	486,768	71,494
Depreciation, amortisation and other impairment	193,164	157,287
Impairment on bonds, loans and other assets	299,486	(58,731)
Net (gains) or losses on investments	(42,052)	(15,035)
Net (gains) or losses on tangible & intangible assets	(41,619)	(15,035)
Net (gains) or losses on consolidated shares & equity method companies	(433)	(0)
Increase / (decrease) of provisions (mainly insurance provision)	89,243	(51,970)
Unrealised (gains) or losses(1)	30,679	(14,088)
Net unrealised gains from cash flow hedges and discontinuations	(60)	(152)
Income from equity method companies	(4,848)	(2,449)
Dividends from equity method companies	2,225	1,532
Deferred taxes	(81,069)	55,100
Deferred tax income	(147,077)	(21,105)
Deferred tax charges	66,008	76,205
CHANGES IN OPERATING ASSETS	(1,836,229)	(1,766,859)
Loans and advances due from credit institutions	(284,209)	1,871,024
Loans and advances	(3,483,807)	(5,030,131)
Debt securities and equity instruments	1,370,358	1,456,535
Assets from insurance companies	(10,031)	(87,809)
Tax asset	18,804	15,136
Accrued income from financial assets	305,226	(148,560)
Other assets	247,812	156,758
Assets held for sale-other assets	(382)	188
CHANGES IN OPERATING LIABILITIES	14,748,543	7,430,283
Balances from central banks(2)	10,219,162	1,400,000
Loans and advances due to credit institutions	(810,449)	(1,417,562)
Customer borrowings and deposits	9,864,322	9,083,728
Debt securities and other financial liabilities	(3,125,824)	(1,257,015)
Technical provisions of insurance companies	(832,825)	(466,936)
Provisions and contingent liabilities	(66)	0
Tax liabilties	(13,890)	(9,696)
Accrued expenses on financial instruments	(462,160)	77,873
Other liabilities specific to insurance companies	2,496	9,752
Other liabilities	(92,223)	10,140
OTHER OPERATING FLOWS(3)	(668,298)	273,900
DERIVATIVES	990,277	(696,716)
NET CASH PROVIDED (USED) BY OPERATING ACTIVITIES	14,252,685	6,247,719

(1) This line item represents the fair value adjustments on financial instruments at fair value through profit or loss.
(2) Belfius drew from TLTRO III in 2020 for EUR 11.5 billion and in 2021 for EUR 1.4 billion.
(3) Other operating flows include adjustments for non cash items and mainly consist of fair value adjustments.

The notes on pages 252 to 394 are an integral part of the consolidated annual financial statements.

(in thousands of EUR)	31/12/20	31/12/21
CASH FLOW FROM INVESTING ACTIVITIES		
Purchase of fixed assets	(153,534)	(157,827)
Sales of fixed assets	76,252	46,731
Acquisitions of unconsolidated equity shares	(307,623)	(96,050)
Sale of unconsolidated equity shares(1)	327,846	159,251
Acquisitions of subsidiaries and of business units(2)	(25,546)	(36,833)
Sale of subsidiaries and of business units	433	0
NET CASH PROVIDED (USED) BY INVESTING ACTIVITIES	(82,172)	(84,728)
CASH FLOW FROM FINANCING ACTIVITIES		
Issuance of new shares(3)	0	2,294
Issuance of subordinated debts(4)	0	497,160
Dividends paid(5)	(14,095)	(221,174)
NET CASH PROVIDED (USED) BY FINANCING ACTIVITIES	(14,095)	278,280
NET CASH PROVIDED	14,156,418	6,441,270
of which cash outflow for leases	(6,066)	(5,858)
CASH AND CASH EQUIVALENT AT THE BEGINNING OF THE PERIOD	**11,725,894**	**25,881,900**
Cash flow from operating activities	14,252,685	6,247,719
Cash flow from investing activities	(82,172)	(84,728)
Cash flow from financing activities	(14,095)	278,280
Effect of exchange rate changes on cash and cash equivalents	(413)	(232)
CASH AND CASH EQUIVALENTS AT THE END OF THE PERIOD	25,881,900	32,322,938
ADDITIONAL INFORMATION		
Income tax paid (included in line net cash provided (used) by operating activities)	(221,405)	(255,246)
Dividends received (included in line net cash provided (used) by operating activities)	52,490	73,786
Interest received (included in line net cash provided (used) by operating activities)	3,674,971	3,218,922
Interest paid (included in line net cash provided (used) by operating activities)	(1,821,496)	(1,282,513)

(1) Belfius Insurance disposed equity instruments for risk and ALM purposes.
(2) Belfius Insurance acquired shareholdings in Immo St Michel, Philadelphus in 2020, and Alysea and Belfius Euro Loans in 2021.
(3) In 2021 new shares were issued to third parties in Vicinity Affordable Housing Fund (EUR 0.9 million) and in Skipr (EUR 1.4 million). Refer to note 10.1. for more information.
(4) Belfius Bank issued EUR 497 million fixed rate Tier 2 subordinated notes.
(5) This line includes the dividend paid to the shareholder in 2021 (EUR 207 million) as well as interest paid on the Additional Tier 1 of EUR 14 million in 2021 and in 2020, which is considered as a dividend under IFRS. Note that following the Covid-19 pandemic, the Board of Directors decided not to pay out any ordinary dividend over the result of 2019 (beyond the interim dividend of EUR 100 million already paid in August 2019), in line with the recommendation of the ECB, therefore there is no dividend paid to the shareholder in 2020.

The decrease of the adjustments for non cash items to EUR 71 million is mainly due to the decrease in impairments on loans following the macro-economic improvements in 2021. In particular, Belfius has updated the underlying macro-economic scenarios and reassessed the management overlays in specific risk pockets, resulting in reversals of part of the stage 1 and 2 impairments accounted for in 2020. As well as the evolution of fair-value adjustments, the negative fair value adjustments on bonds due to higher interest rates were partially compensated by the positive fair value adjustments on equity instruments as a result of improved equity markets. The operating assets and liabilities increased with EUR 5.7 billion as the growth of the customer deposits continued and Belfius drew from TLTRO III in 2021, which was partially deposited at the National Bank of Belgium.

Refer to the Liquidity Risk chapter of the Management Report for a detailed description of the liquidity position. Refer to note 5.1. Cash and cash equivalents.

The notes on pages 252 to 394 are an integral part of the consolidated annual financial statements.

Covid-19 crisis

2021 has been the year of Covid-19 pandemic ups and downs. This pandemic, a real-life-changer, that had started at the end of February 2020, structurally hit societies' functioning, leading to further societal divide and unease regarding health. However, it has not led to additional material financial market volatility or economic turmoil, in contrast to the year 2020, as both very large monetary and governmental stimulus plans continued.

Since the beginning of the Covid-19 crisis, Belfius has continuously and fully delivered on its societal role by providing the necessary liquidity and by granting deferred payments for individuals, enterprises and SMEs in temporary difficulties, and this with an overall contribution higher than its market share would have suggested.

At the end of 2021, out of the EUR 5.4 billion of loans to corporate and business customers that were granted moratorium since the start of the Covid-19 crisis, EUR 0.08 billion are, as at the end of 2021, still subject to payment holidays. 97.1% of corporate and business loans for which the moratorium came to an end, have resumed their normal payments of formerly deferred amounts. For mortgage loans, almost 100% of the clients have resumed the payments (100% in the public sector).

Notes to the consolidated annual financial statements

II. Post balance sheet events

Please find below an overview of non-adjusting events between the balance sheet date (31 December 2021) and the date of the board of directors.

1. Dividend

The Board of Directors of 24 March 2022, has proposed to the General Assembly of 27 April 2022 an ordinary dividend of EUR 368.5 million in respect of the accounting year 2021.

2. Storms

The three storms Eunice, Dudley and Franklin that took place in Belgium in the weekend of 19 February 2022 are non-adjusting subsequent events and therefore fall outside the scope of these yearly results, however these events will impact the FY2022 non-life insurance results. Although it is too early to provide detailed and precise figures for the financial impact of these storms, Belfius has made a preliminary analysis indicating that the total gross claim cost could be in the region of EUR 40-60 million, based on current indications of the number of claims and the average cost per claim. Considering Belfius' reinsurance program the financial impact of these events will be lower.

3. Other events – conflict Russia-Ukraine

We refer to the chapter Risk Management – Macroeconomic environment in 2021 of the management report.

III. Accounting principles on a consolidated basis

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Notes to the financial statements

The principal accounting policies adopted in the preparation of these consolidated financial statements are set out below.

The common used abbreviations below are:

- IASB: International Accounting Standards Board;
- IFRIC: Interpretation issued by the IFRS Interpretations Committee;
- IFRS: International Financial Reporting Standards.

In the following text, "Belfius" refers to "Belfius Bank & Insurance".

The financial statements have been approved by the Board of Directors of Belfius Bank on 24/3/2022.

Accounting policies

1. Basis of accounting

1.1 General

The consolidated financial statements of Belfius have been prepared in accordance with IFRSs as issued by the IASB, including interpretations ("IFRICs") issued by the IFRS Interpretation Committee, as adopted by the European Union including the conditions applicable to interest-rate portfolio hedging ("carve-out").

The Royal Decree of 5 December 2004 requires Belfius to publish its consolidated financial statements in accordance with IFRSs adopted by the European Union as from 31 December 2006.

The consolidated financial statements are prepared on a going-concern basis. They are expressed in thousands of Euro (EUR) unless otherwise stated.

1.2 Accounting estimates and judgements

In preparing the consolidated financial statements, management is required to make estimates, assumptions and judgements that affect the amounts reported. To make these assumptions and estimates, management uses information available at the date of preparation of the financial statements and exercises its judgement. While management believes that it has considered all available information in developing these estimates, actual results may differ from the estimates and the differences could be material to the financial statements.

Judgement is used principally in, but not limited to, the following areas:

- Assessment of the business model considering the way performance of the assets is evaluated, the risks that affect this performance and the compensation of managers (see section 6.2.1.);
- Assessment whether or not the contractual terms of a financial asset are solely payments of principal and interest (cf. SPPI test) (see section 6.2.1.);
- Determination whether or not there is an active market based on criteria such as volume, actual trade, market liquidity, bid offer spread for financial instruments measured at fair value (see section 6.7.);
- Determination of fair value for financial instruments measured at fair value by means of valuation techniques (see section 6.7.);
- Determination whether or not Belfius (jointly) controls an investee or has significant influence over an investee: this control assessment considers all facts and circumstances, such as voting rights, potential voting rights, rights of the investor, type of activity (see section 3.);
- Identification of non-current assets and disposal groups held for sale and discontinued operations (IFRS 5) (see section 14.);
- The appropriateness of designating derivatives as hedging instruments and the probability that the temporary reliefs from applying specific hedge accounting requirements related to the "Interest Rate Benchmark Reform" reform phase 1 are no longer applicable (see section 6.6.2. + "Interest Rate Benchmark Reform" related notes);
- Existence of a present obligation with probable outflows in the context of litigations (see section 18.);
- Measurement of expected credit loss allowances and choice of the appropriate models as well as the use of appropriate assumptions about future economic conditions and credit behaviour of the customer, including the Covid-19 related impact (see section 6.5., the Risk Report, and the relevant notes in the financial statements);
- Assessment of significant increase in credit risk for a financial asset since its initial recognition to determine whether 12-month or lifetime expected losses should be recognised. This assessment takes into account qualitative and quantitative reasonable and supportable forward-looking information, including the Covid-19 related impact (see section 6.5., the Risk Report, and the relevant notes in the financial statements);
- Grouping of assets with similar credit risk characteristics and continuous monitoring of the appropriateness of the credit risk characteristics to assess whether they continue to be similar (see section 6.5.), and
- Classification of a financial instrument or its component parts as a financial liability or equity based on the economic substance rather than the legal form of the instrument or its component (see section 6.1.).

Estimates are principally made in the following areas:

- Determination of the fair value less costs to sell for non-current assets and disposal groups held for sale (see section 14.);
- Determination of expected credit losses by using the relative weighting of forward-looking scenario's on credit behaviour of customers, the Probability of Default and Loss Given Default, including the Covid-19 related impact (see section 6.5, the Risk Report, and the relevant notes in the financial statements);
- Determination of the change in fair value for financial liabilities designated as at FVTPL attributable to a change in credit risk of the financial liability (see section 6.3.2.);
- Determination of the useful life and the residual value of property, equipment, investment property and intangible assets (see section 10. and 11.);
- Determination of the market value correction to adjust for market value and model uncertainty (see section 6.7.);
- Measurement of liabilities for insurance contracts (see section 8.);

- Testing the adequacy of liabilities for insurance contracts considering model uncertainty, economic and non-economic assumptions (see section 8.);
- The measurement of hedge effectiveness in hedging relations (see section 6.6.2. and 6.6.3.);
- Actuarial assumptions related to the measurement of employee benefits obligations and plan assets (see section 17. and note 6.7.);
- Estimation of future taxable profit for the recognition and measurement of deferred tax assets (see section 16.);
- Estimation of the recoverable amount of cash-generating units for goodwill impairment (see section 12.2.).

These judgements and estimates are discussed in the corresponding sections (as referenced above) of the accounting policies and/or the Risk Report and the relevant notes in the financial statements.

2. Changes in accounting policies and applicable standards since the previous annual publication that may impact belfius

The overview of the texts below is made until the reporting date of 31 December 2021.

2.1 IASB / IFRS / IFRIC texts and amendments endorsed by the European Commission and applied as from 1 January 2021

The IASB has published two amendments: Amendment to IFRS 16 "Leases: Covid-19-Related Rent Concessions beyond 30 June 2021" and Amendments to "IFRS 9, IAS 39, IFRS 7, IFRS 4 and IFRS 16 - Interest Rate Benchmark Reform— Phase 2".

Amendment to IFRS 16 "Leases: Covid-19-Related Rent Concessions beyond 30 June 2021". The 2020 Amendment to IFRS 16 - Covid-19-Related Rent Concessions permitted lessees with the possibility to account for rent concessions arising as a direct consequence of the Covid-19 pandemic as if they were not lease modifications if the reduction in lease payments affected only payments originally due on or before 30 June 2021. Due to the ongoing nature of the pandemic, the IASB Board has extended the availability of the practical relief for reductions in lease payments that are originally due on or before 30 June 2022. The amendment is effective for annual reporting periods beginning on or after 1 April 2021 but the impact for Belfius is minor and immaterial.

Amendments to IFRS 9, IAS 39, IFRS 7, IFRS 4 and IFRS 16 "Interest Rate Benchmark Reform - Phase 2" deals with replacement issues that might affect financial reporting when an existing interest rate benchmark is either reformed or replaced. The amendments provide two practical reliefs for these "Interest Rate Benchmark Reform" related changes to financial instruments: 1) a relief for changes in the basis for determining the contractual cash flows on financial assets and financial liabilities that are treated as changes to a floating interest rate by revising the effective interest rate in order to avoid the derecognition or the immediate recognition of a modification gain or loss of the financial instrument; and 2) a relief for changes in the formal designation of a hedging relationship in order to avoid the discontinuation of the existing relationship or designation of a new hedging relationship. The impact on the financial statements and additional information is provided in the "Interest Rate Benchmark Reform" related (hedging) notes to the financial statements and the Risk Report.

2.2 IASB / IFRS / IFRIC texts and amendments endorsed by the European Commission during the current year but not yet applicable as from 1 January 2021

IFRS 17 "Insurance contracts" and the "June 2020 amendments" were endorsed albeit with an optional exemption regarding the annual cohort requirement.

IFRS 17 is a comprehensive new accounting standard and combines a current balance sheet measurement of insurance contracts with recognition of profit over the period that services are provided. The new standard applies to all types of contracts, including reinsurance contracts held or issued and investment contracts with discretionary participation features. IFRS 17 offers different measurement models: the General Measurement Model (GMM) or the Building Block Approach (BBA), the Premium Allocation Approach (PAA) and the Variable Fee Approach (VFA).

The optional exemption from applying the annual cohort requirement that relates to the timing of the recognition of the profit in the contract, the contractual service margin, in profit or loss can be applied to products that are intergenerationally mutualised or cash-flow-matched. An entity applying this exemption should disclose this fact in the notes of its financial statements as a significant accounting policy and provide explanatory information for which portfolios the exemption has been applied.

IFRS 17 will become effective from 1 January 2023. IFRS 17 has a significant impact for Belfius and the analysis is ongoing (see section 2.4.).

Amendments to IAS 16 "Property, Plant and Equipment: Proceeds before Intended Use" prohibit a company from deducting from the cost of property, plant and equipment amounts received from selling items produced while the company is preparing the asset for its intended use. Instead, a company will recognise such sales proceeds and related costs in profit or loss. These amendments are effective from 1 January 2022 but the expected impact is estimated to be minor.

Amendments to IAS 37 "Onerous Contracts—Cost of Fulfilling a Contract" specify which costs a company includes when assessing whether a contract will be loss-making. These amendments are effective from 1 January 2022 but the expected impact is estimated to be minor.

Amendments to IFRS 3 "Business Combinations" updates a reference to the Conceptual Framework for Financial Reporting without changing the accounting requirements for business combinations. These amendments are effective from 1 January 2022 but the expected impact is estimated to be minor.

"Annual Improvements to IFRS Standards 2018-2020" contains minor amendments to three standards and one illustrative example: IFRS 1 "First-time Adoption of International Financial Reporting Standards", IFRS 9 "Financial Instruments", IAS 41 "Agriculture" and an Illustrative Example accompanying IFRS 16 "Leases". All amendments are effective from 1 January 2022 but only the amendment to IFRS 9 might impact Belfius. The amendment "IFRS 9 - fees in the 10 percent derecognition for financial liabilities" specifies that only fees paid or received between the entity (the borrower) and the lender, including fees paid or received by either the entity or the lender on the other's behalf are included when applying the 10 per cent test in assessing whether to derecognise a financial liability.

2.3 New IASB / IFRS / IFRIC texts and amendments issued during the current year but not yet endorsed by the European Commission

Amendments to IAS 1 "Presentation of Financial Statements" and IFRS Practice Statement 2 "Disclosure of Accounting policies". Amendments to IAS 1 require the disclosure of material accounting policies instead of significant accounting policies. A policy is considered material if it can reasonably be expected to influence decisions of primary users of general purpose financial statements. An immaterial accounting policy that relates to material transactions needs no disclosure. Non-mandatory guidance on the judgement of materiality is further described in IFRS Practice Statement 2 in the form of a "four-step materiality process". The amendments to IAS 1 are effective for annual periods beginning on or after 1 January 2023 and are applied prospectively but earlier application is permitted.

Amendments to IAS 8 "Accounting policies, Changes in Accounting Estimates and Errors: Definition of Accounting Estimates". The amendments replace the definition of a change in accounting estimate with a new definition of an accounting estimate. As such, accounting estimates are defined as "monetary amounts in financial statements that are subject to measurement uncertainty". However, the concept of changes in accounting estimates is retained in the standard with the following clarifications: 1) a change in accounting estimate resulting from new information or a new development is not the correction of an error; and 2) the effects of a change in an input or a measurement technique used to develop an accounting estimate are changes in accounting estimates if they do not result from the correction of prior period errors. The amendments are effective for annual reporting periods beginning on or after 1 January 2023 to changes in accounting policies and changes in accounting estimates that occur on or after the beginning of that period. Earlier application is permitted but the expected impact is estimated to be minor.

Amendments to IAS 12 "Income Taxes: Deferred Tax related to Assets and Liabilities arising from a Single Transaction". The amendments introduce an exception to the initial recognition exemption provided in IAS 12.15. (b) and IAS 12.24. for transactions that give rise to equal taxable and deductible temporary differences. For example, at the commencement date of a lease, a lessee is required to recognise the related deferred tax asset and liability, with the recognition of any deferred tax asset being subject to the recoverability of IAS 12. The amendments are applied to transactions that occur on or after the beginning of the earliest comparative period presented and the cumulative effect of initially applying the amendments is recognised as an adjustment to the opening balance of retained earnings (or other component of equity, as appropriate) at that date. The amendments are effective for annual reporting periods beginning on or after 1 January 2023. Early adoption is permitted but the expected impact is estimated to be minor.

Amendments to IAS 1 "Presentation of financial statements - Classification of Liabilities as Current or Non-current" clarify the criteria for the classification of a liability as either current or non-current. A liability is classified as non-current if the entity has the right to defer settlement of the liability for at least 12 months after the reporting period. The amendments specify that an entity's right to defer settlement must exist at the end of the reporting period and that classification is unaffected by management's intentions or expectations about whether the entity will exercise its right to defer settlement. In addition they clarify how lending conditions affect classification. They also clarify requirements for classifying liabilities an entity will or may settle by issuing its own equity instruments. These amendments are effective from 1 January 2022 but the expected impact is estimated to be minor. However, the exposure draft to defer the effective date to 1 January 2023 as a result of the Covid-19 pandemic, has not yet been endorsed by the European Commission but the IASB has published a new exposure draft on this topic on 19 November 2021.

Amendments to IFRS 17 "Insurance contracts - Initial Application of IFRS 17 and IFRS 9 – Comparative Information". This a narrow-scope amendment to the transition requirements in IFRS 17 that provides insurers with an option aimed at improving the usefulness of information to investors on initial application of the new IFRS 17. IFRS 17 and IFRS 9 have different transition requirements that can cause temporary accounting mismatches between financial assets and insurance contract liabilities in the comparative information in the financial statements when applying IFRS 17 and IFRS 9 for the first time. In its October 2021 meeting, the IASB proposed to amend the scope so that the amendments will also apply for financial assets held in respect of activities unconnected to insurance contracts and entities that already applied IFRS 9. These amendments are effective from 1 January 2023. The detailed analysis of the impact of these amendments is part of the ongoing IFRS 17 project.

2.4. Ongoing projects

2.4.1. IFRS 17 "Insurance contracts" (effective for annual periods beginning on or after 1 January 2023)

In June 2020 the IASB issued the final version of IFRS 17 "Insurance Contracts" after a considerable consultation process following its first release in May 2017. The changes made to the initial text will not impact the timing of the implementation project.

The European Commission adopted IFRS 17 in its entirety on 19 November 2021. However, they added an amendment whereby companies have an accounting policy choice not to apply the annual cohort requirement of IFRS 17 under certain circumstances. Should companies choose not to apply the annual cohort requirement they must disclose this fact. Belfius is analysing the impact of this new requirement.

IFRS 17 is a comprehensive accounting standard and establishes completely new principles for the recognition, measurement, presentation and disclosure of insurance contracts. The new standard introduces a single principle-based framework to account for all types of insurance contracts, including reinsurance contracts held or issued and investment contracts with discretionary participation features.

The new standard supersedes IFRS 4 and should be applied retrospectively unless impracticable, in which case alternative approaches can be applied. IFRS 17 also allows companies to reassess their IFRS 9 business models.

IFRS17 is a material normative change that will lead to material changes in accounting calculations and processes, and presentations of financial statements, including our consolidated solvency statements.

Belfius continues to prepare the implementation of IFRS 17 with a dedicated project team and will comment on quantified impacts of IFRS 17 as soon as estimates thereof can be assessed with sufficient certainty and have become reliably measurable.

2.5 Changes in presentation
Nil

3. Consolidation
3.1 Business combinations
Acquisitions of businesses are accounted for using the acquisition method. The consideration transferred in a business combination is measured at fair value, which is calculated as the sum of

- the acquisition-date fair values of the assets transferred by Belfius;
- the liabilities incurred by Belfius to former owners of the acquiree; and
- the equity interests issued by Belfius in exchange for control of the acquiree.

Acquisition-related costs are recognised in profit or loss as incurred. At the acquisition date, the identifiable assets acquired and the liabilities assumed are recognised at their fair value at the acquisition date.

Non-controlling interests may be initially measured either at fair value or at the present ownership instruments' proportionate share in the recognised amounts of the acquiree's identifiable net assets. The choice of measurement basis is made on a transaction-by-transaction basis. The equity and net income attributable to the non-controlling interests are shown separately in the balance sheet and statement of income respectively.

When the consideration transferred by Belfius in a business combination includes assets or liabilities resulting from a contingent consideration arrangement, the contingent consideration is measured at its acquisition-date fair value and included as part of the consideration transferred in a business combination. Subsequent changes in the fair value of the contingent consideration are typically recognised in profit or loss.

When a business combination is achieved in stages, previously equity interests held by Belfius in the acquiree is remeasured to fair value at the acquisition date (i.e. the date on which Belfius obtains control) and the resulting gain or loss, if any, is recognised in profit or loss. Amounts arising from interests in the acquiree prior to the acquisition date that have previously been recognised in other comprehensive income are reclassified to profit or loss where such treatment would be appropriate if that interest were disposed of.

3.2 Subsidiaries
Subsidiaries are those entities over which Belfius has, either directly or indirectly, control. Belfius controls an entity when it is exposed or has rights to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

Subsidiaries are fully consolidated as from the date on which effective control is transferred to Belfius and are no longer consolidated as from the date on which control is lost. Intercompany transactions and balances, and gains and losses on transactions between consolidated companies of Belfius are eliminated. Where necessary, the accounting policies of the subsidiaries are aligned to ensure consistency with the policies adopted by Belfius.

When Belfius loses control of a subsidiary, the profit or loss on disposal is calculated as the difference between:

- the aggregate of the fair value of the consideration received and the fair value of any retained interest; and
- the previous carrying amount of the assets (including goodwill) and liabilities of the subsidiary and any non-controlling interests.

3.3 Jointly controlled entities and associates
A joint venture is a joint arrangement whereby the parties have joint control of the arrangement. Joint control is a contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require the unanimous consent of the parties sharing control. Joint ventures are accounted for using the equity method.

Associates are investments in which Belfius has significant influence, but does not exercise control. This is usually the case when Belfius owns between 20% and 50% of the voting rights. Investments in associates are initially measured at cost and accounted for using the equity method.

Following the equity method, the ownership share of net income for the year is recognised as income of joint ventures and associates, whereas the share in other comprehensive income of joint ventures and associates is carried on a separate line of the statement of comprehensive income. The investment is recorded in the balance sheet at an amount that reflects Belfius' share of the net assets of joint ventures and associates increased with related goodwill.

Gains and losses on transactions between Belfius and its "equity method investments" are eliminated to the extent of the interest therein of Belfius. The recognition of losses from joint ventures and associates is discontinued when the carrying amount of the investment reaches zero, unless Belfius has incurred or guaranteed legal or constructive obligations on behalf of the associate or joint venture. Where necessary, the accounting policies of the joint ventures and associates are aligned to ensure consistency with the policies adopted by Belfius.

3.4 Structured entities

A structured entity is an entity whose activities are not governed by way of voting rights. These entities generally finance the purchase of assets by issuing debt and equity securities that are collateralised by assets held by the structured entities. The debt and equity securities issued by the structured entities may include tranches with varying levels of subordination. In assessing whether Belfius has power over such investees in which it has an interest, Belfius considers factors such as the purpose and design of the investee, its practical ability to direct the relevant activities of the investee, the nature of its relationship with the investee and the size of its exposure to the variability of returns of the investee.

4. Offsetting financial assets and financial liabilities

financial assets and financial liabilities are offset (and, consequently, only the net amount is reported) when Belfius has a legally enforceable right to offset and intends either to settle on a net basis or to realise the asset and settle the liability simultaneously.

5. Foreign currency translation and transactions

5.1 Foreign currency translation

On consolidation, the income and cash-flow statements of foreign entities that have a functional currency different from the presentation currency of Belfius are translated into the presentation currency (EUR) of Belfius at the average exchange rates for the year (annual reporting) or the period (interim reporting) and their assets and liabilities are translated at the respective year-end or quarter-end exchange rates.

Exchange differences arising from the translation of the net investment in foreign subsidiaries, associates, joint ventures and of borrowings and other currency instruments designated as hedges of such investments, are recorded as a cumulative translation adjustment within equity. On disposal of a foreign entity, such exchange differences are recognised in the statement of income as part of the gain or loss on disposal.

5.2 Foreign currency transactions

For individual Belfius entities, foreign currency transactions are accounted for using the approximate exchange rate at the date of the transaction. Outstanding balances of monetary and non-monetary items carried at fair value denominated in foreign currencies are translated at period- or year-end using the exchange rates applicable at period- or year-end. Historical rates are used for non-monetary items carried at cost and such items are not subsequently remeasured for changes in exchange rates. The exchange differences for non-monetary items carried at fair value are governed by the same accounting treatment as for fair value adjustments. Exchange differences for monetary items are recorded in the consolidated statement of income.

6. Financial instruments

6.1 Recognition and initial measurement

At initial recognition, judgement can be required in determining the appropriate classification of the financial instruments. Debt and equity instruments issued by a group entity are classified as a financial liability or as an equity instrument in accordance with the substance of the contractual arrangement rather than the legal form of the instrument and the definitions of financial liability and equity instrument.

Regular way purchases of financial assets are recognised on settlement date, which is the date of delivery to Belfius. Financial assets (other than regular way purchases) and financial liabilities are recognised in the Group's balance sheet when the Group becomes a party to the contractual provisions of the instrument.

Financial assets and liabilities that are not measured at fair value through profit or loss are initially measured at fair value plus or minus transaction costs that are directly attributable to the acquisition or issue of financial assets and liabilities. Transaction costs for financial assets and liabilities measured at fair value through profit or loss are recognised immediately in profit or loss.

Although the transaction price is the best evidence of fair value for all financial instruments, a day one profit or loss may be applicable.

The day one profit or loss is the difference between:

- the transaction price and the quoted price in an active market for a financial instrument; or
- the transaction price and the fair value determined by using a valuation technique (mark-to-model), if the instrument is not quoted.

If all the inputs of the model are observable, the day one profit or loss will be recognised immediately in the statement of income.

If all inputs of the model are not observable, the day one profit or loss will be amortised over the expected life of the instrument, where this is appropriate. However, if the data subsequently becomes observable, the remaining portion of day one profit or loss will be recognised in the statement of income.

In cases of early termination of the underlying instrument, the remaining portion of day one profit or loss will be recognised in the statement of income.

6.2 Classification and subsequent measurement of financial assets

6.2.1 General

According to IFRS 9, the classification and measurement of financial assets is based on both the entity's business model for managing the financial assets and the financial asset's contractual cash flow characteristics (referred to as the Solely Payments of Principal and Interest test – SPPI test).

The following business models are available for managing financial assets:

- Hold to collect contractual cash flows;
- Hold to collect contractual cash flows and sell;
- Other, such as trading and management of assets on a fair value basis.

IFRS 9 introduces the following categories for the measurement of debt instruments. The methods for the measurements are:

- Fair value through other comprehensive income (FVTOCI) – financial assets will be classified into this category if the assets meet the SPPI test and the business model is to hold the assets to collect contractual cash flows and to sell the assets
- Amortised cost (AC) – financial assets will be classified into this category if the assets meet the SPPI test and the business model is to only hold the assets to collect contractual cash flows
- Fair value through profit or loss (FVTPL) – financial assets that do not fall within the two categories above will be measured at fair value through profit or loss.

Debt instruments that meet the amortised cost or FVTOCI criteria can be irrevocably designated at fair value through profit or loss if it eliminates, or significantly reduces, an accounting mismatch in profit or loss.

Investments in equity instruments are classified at fair value through profit or loss because they do not meet the SPPI test. However, IFRS 9 allows an entity to make an irrevocable election to present in other comprehensive income subsequent changes in the fair value of an investment in an equity instrument within the scope of this Standard that is neither held for trading nor contingent consideration recognised by an acquirer in a business combination to which IFRS 3 applies. Dividends from investments in equity instruments are always recognised in profit or loss unless the dividend clearly represents a recovery of the cost of the investment.

The cash flow characteristics test (or Solely Payment of Principal and Interest test)

The cash flow characteristics test assesses whether contractual cash flows are solely payments of principal and interest on the principal outstanding, consistent with a basic lending arrangement. For contractually linked instruments a "look-through" approach is applied to determine whether the SPPI criterion is met for the tranches of the instrument taking into consideration the contractual terms of the tranche and the characteristics of the underlying pool as well as the exposure to credit risk.

Principal is the fair value of the financial asset at initial recognition and may change over the life of the financial asset (in case of repayments of principal). Interest is the consideration for the time value of money, the credit risk and may also include consideration for other basic lending risks and costs (such as liquidity risk and administration costs) as well as a profit margin.

In making this assessment, Belfius takes into account:

- Contingent events that would change the amount or timing of the cash flows (by assessing the cash flows arising before and after the change in cash flows);
- Terms that may adjust the contractual coupon rate including variable rate features (whether or not variations can be regarded as compensation for credit risk);
- Prepayment and extension features (by assessing amount of prepayment and cash flows during the extension period); and
- Terms that limit the entity's claims to cash flows from specified assets (such as non recourse features).

Business model

The business models are determined by the Board of Directors for homogenous portfolios and reflect how the financial assets are managed together to achieve a particular objective. The determination of the business model takes into account all relevant information in normal scenarios and also considers the following factors:

- Past experience regarding the frequency, volume and timing of sales, the reasons for such sales and expectations about future sales activity;
- How the asset's performance is evaluated and reported to key management personnel;
- How risks are assessed and managed; and
- How managers are compensated.

Belfius applies the following business models to manage its financial assets:

- Hold to collect contractual cash flows;
- Hold to collect contractual cash flows and sell;
- Any other business models such as trading and management of assets on a fair value basis.

At initial recognition of a financial asset, Belfius determines whether newly recognised financial assets are part of an existing business model or whether they reflect the commencement of a new business model.

Once a year, Belfius reassesses its business models to determine whether the business models have changed since the preceding period.

Change in Business model

A future change in business models for existing financial assets and the related prospective reclassification of all affected financial assets will be very exceptional as it should be the consequence of an acquisition, sale or development of an activity or a business line that is significant for the operations of each of the entities of Belfius Group and is demonstrable to external parties. In view of its significance, the proposition to change should be discussed and decided by the appropriate governance bodies.

6.2.2 Financial assets measured at amortised cost (AC)

Debt instruments (including hybrid contracts) that are held within a business model "hold to collect contractual cash flows" and with contractual cash flows that are SPPI compliant and for which Belfius has not elected the fair value option, are subsequently measured at amortised cost.

This category includes debt instruments with the objective of holding these debt instruments until maturity and generating a stable interest margin. When loans are sold to a securitisation vehicle that is consolidated, this does not preclude their classification as hold to collect.

Sales are not an integral part of the "hold to collect contractual cash flows" business model but may be consistent with this business model if sales are close to maturity, sales are due to an increase in credit risk or sales are not significant (even if frequent) or infrequent (even if significant). Judgement should be applied to determine whether the sales are consistent with a "hold to collect contractual cash flows" business model.

Amortised cost is the amount at which the debt instruments are measured at initial recognition minus principal repayments, plus or minus the cumulative amortisation of any difference between that initial amount and the maturity amount using the effective interest method (cf. section 6.9. Interest income and expense), and adjusted for any impairment for expected credit losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss when they arise. Any gain or loss on derecognition is recognised in profit or loss.

6.2.3 Financial assets measured at fair value through other comprehensive income (FVTOCI)

This category includes debt instruments and investments in equity instruments.

Debt instruments measured at fair value through other comprehensive income

Debt instruments that are held within a business model whose objective is achieved by both collecting contractual cash flows and selling the debt instruments and whose contractual cash flows are SPPI compliant, are subsequently measured at fair value through other comprehensive income on the condition that Belfius has not elected the conditional fair value option.

Debt instruments included in funds with dedicated assets (segregated funds) or for which flexibility is required to face potential surrenders of life insurance contracts, investment opportunities or kept to face potential liquidity needs are included in this category.

Movements in the carrying amount representing unrealised gains and losses arising from changes in the fair value are recognised in other comprehensive income under the line item XIX. "Gains and losses not recognised in the statement of income - Fair value changes of debt instruments measured at fair value through other comprehensive income".

When the debt instrument is disposed of Belfius recycles the cumulative gain or loss previously recognised in other comprehensive income to the line item VI. "Net income on investments and liabilities" in the statement of income.

Interest revenue and impairment are recognised in profit or loss. Foreign exchange gains and losses on debt instruments measured at FVTOCI that are part of an effective currency risk designated hedging relationship are recognised in other comprehensive income; otherwise they are recognised in profit or loss. Interest income is recognised using the effective interest method similar to financial assets measured at amortised cost.

Investments in equity instruments measured at fair value through other comprehensive income

Are included in this category, equity instruments that meet the IAS 32 definition and that are neither held for trading nor representing contingent consideration recognised by an acquirer in a business combination, and for which Belfius at initial recognition irrevocably on an instrument-by-instrument basis has elected to measure them at fair value through other comprehensive income (FVTOCI).

Subsequent changes in fair value, foreign exchange gains and losses and realised gains and losses are presented in other comprehensive income under the line item XX. "Fair value changes of equity instruments measured at fair value through other comprehensive income". On derecognition, the cumulative gains or losses previously recognised in other comprehensive income as mentioned above, are not subsequently reclassified to the statement of income but are transferred within equity to the line item XVII. "Reserves and retained earnings".

Fair value measurement is required for all equity instruments, even if those instruments are not quoted in an active market. Acquisition cost as appropriate estimate of fair value is only admitted in limited circumstances (cf. section 6.7. Fair value of financial instruments).

Dividends are recognised in the statement of income when the right to receive payment of these dividends is established, it is probable that the economic benefits associated with the dividends will flow to Belfius and the amount of the dividends can be measured reliably. If a dividend represents a return of investments, it will be accounted as a reduction of the acquisition cost.

6.2.4 Financial assets measured at fair value through profit or loss (FVTPL)

Financial assets subsequently measured at fair value through profit or loss consist of debt instruments and investments in equity instruments. Non hedging derivatives are treated in section 6.6.1.A. Derivatives – Trading portfolio, including embedded derivatives.

Debt instruments held for trading

Debt instruments held for trading are intended to generate a profit from short-term fluctuations in price or dealer's margins or are included in a portfolio in which a pattern of short-term profit taking exists. Belfius initially recognises these instruments at their fair value and subsequently remeasures them at fair value, with unrealised and realised gains and losses recorded in the statement of income under the line item V. "Net income from financial instruments at fair value through profit or loss". Interest income and interest expense (negative yield) are accrued using the effective interest rate method and Belfius opted to record these under the line item I. "Interest income" and II. "Interest expense".

Debt instruments designated at fair value through profit or loss (referred to as fair value option - FVO)

In some cases and if appropriately documented, Belfius can at initial recognition irrevocably designate debt instruments that meet the business model hold to collect and/or hold to collect and sell criteria and that give rise to cash flows that are SPPI compliant at fair value through profit or loss in order to eliminate or significantly reduce an accounting mismatch.

The valuation rules as mentioned under paragraph "Debt instruments held for trading" apply to this category.

Debt instruments measured at fair value through profit or loss (non basic instruments)

This category includes debt instruments with contractual cash flows that are not SPPI compliant such as some structured loans as well as financial assets with a legal form of equity but, based on the substance of the contract, meet the definition of a debt instrument (such as open-end funds, shares with legal end date, real estate certificates).

The valuation rules as mentioned under paragraph "Debt instruments held for trading" apply to this category.

Investments in equity instruments measured at fair value through profit or loss

This category includes investments in equity instruments held for trading as well as non trading investments in equity instruments that at initial recognition were not irrevocably elected to be designated at fair value through other comprehensive income.

Gains and losses due to remeasurement to fair value (realised and unrealised) and foreign exchange gains and losses are recognised in the statement of income under the line item V. "Net income from financial instruments at fair value through profit or loss".

Dividends are recognised in the statement of income under the line item III "Dividend income" unless the dividend clearly represents a recovery of part of the cost of the investment.

6.3 Classification and subsequent measurement of financial liabilities

6.3.1 Financial liabilities measured at amortised cost (AC)

These liabilities are subsequently measured at amortised cost and any difference between their amount made available and the amount due at maturity is recognised in the statement of income as interest expense or interest income. The accretion or amortisation of this difference is recognised over the remaining duration of the liabilities using the effective interest rate method.

6.3.2 Financial liabilities measured at fair value through profit or loss (FVTPL)

Financial liabilities are measured at fair value through profit or loss when, at initial recognition, the liability is either held for trading or at initial recognition irrevocably designated at fair value through profit or loss.

Financial liabilities held for trading

This section does not deal with trading derivatives that are described in section 6.6.1. below.

Financial liabilities held for trading includes short positions in securities. These instruments are intended to generate a profit from short-term fluctuations in price or dealer's margins or are included in a portfolio in which a pattern of short-term profit taking exists. Belfius initially recognises these instruments at their fair value and subsequently remeasures them at fair value, with unrealised and realised gains and losses recorded in the statement of income under the line item "Net income from financial instruments at fair value through profit or loss".

Financial liabilities designated at fair value through profit or loss (FVTPL)

A financial liability other than a financial liability held for trading or contingent consideration that may be paid by an acquirer as part of a business combination may upon initial recognition be designated at fair value through profit or loss in the following circumstances:

- The use of designation eliminates or significantly reduces a measurement or recognition inconsistency that would otherwise arise; or
- The financial liability forms part of a group of financial assets, financial liabilities or both that is managed and its performance is evaluated on a fair value basis, in accordance with a documented risk management or investment strategy, and information about the grouping is provided internally on that basis; or
- The financial liability contains one or more embedded derivatives and IFRS 9 permits the entire hybrid (combined) contract to be designated at FVTPL.

The valuation rules applicable for financial liabilities held for trading apply except for the recognition of own credit risk.

Changes in fair value attributable to own credit risk of a financial liability to which the fair value option is applied, are recognised in other comprehensive income under the line item XXI. "Fair value changes due to own credit risk on financial liabilities designated as at fair value through profit or loss to be presented in other comprehensive income", unless this recognition would create or enlarge an accounting mismatch in profit or loss. These amounts are not subsequently reclassified to profit or loss. Instead, they are transferred to the line item XVII. "Reserves and retained earnings" upon derecognition of the financial liability. The remaining amount of the change in fair value is recognised in profit or loss.

6.4 Derecognition and modification of financial assets and liabilities

Financial assets are derecognised when the contractual rights to the asset's cash flows expire or when substantially all the risks and rewards of ownership of the asset are transferred to another entity.

Regular way sales that meet the above derecognition criteria of financial assets are derecognised on settlement date, which is the date of delivery by Belfius. Financial liabilities are derecognised when they are extinguished (i.e when the obligation specified in the contract is discharged, cancelled or expires).

If a substantial modification of a financial asset or a financial liability (including an exchange of debt instruments with substantially different terms) occurs and the contractual terms governing the cash flows are renegotiated, the financial asset or financial liability is derecognised. If a modification occurs and the existing contract is not derecognised, a modification gain or loss is recognised in the statement of income. This gain or loss is determined by recalculating the gross carrying amount of the existing financial instrument as the present value of the renegotiated or modified contractual cash flows, using the financial instrument's original effective interest rate (or the credit-adjusted effective interest rate for purchased or originated credit-impaired financial assets).

For modified financial assets that are not derecognised, an assessment is made to determine whether there has been a significant increase in the credit risk of the financial asset, by comparing the risk of a default occurring at the reporting date (based on the modified contractual terms) and the risk of a default occurring at initial recognition (based on the original, unmodified contractual terms). Depending on the outcome of the assessment, a change in loss allowance may be recorded (cf. section 6.5. on impairment of financial instruments).

6.5 Impairment of financial instruments

Impairment determination and calculation is governed by the Credit risk impairment guidelines of the Risk department and more details are available in the section "Risk management - IFRS 9 Impairment methodology" of the Management Report of the consolidated financial statements.

6.5.1 Determination of the impairment

Expected credit losses (ECL) associated with debt instruments carried at amortised cost and debt instruments measured at fair value through other comprehensive income (FVTOCI) are determined on a forward-looking basis. For lease receivables, Belfius has not opted to apply the simplified approach of recognising lifetime expected losses. Loan commitments and financial guarantees not measured at fair value through profit or loss are also subject to impairment and the loss allowance is recognised as a provision. No impairment losses are recognised on investments in equity instruments.

Loss allowances and provisions for 12-month expected credit losses are initially recognised on trade date for financial assets in scope of impairment (debt instruments, lease receivables and contract assets), loan commitments and financial guarantees not measured at fair value through profit or loss.

12-month expected credit losses relates to the portion of lifetime expected credit losses that represent the expected credit losses resulting from default events that are possible within the 12 months after the reporting date.

The default committee within the Risk department is competent to define the default status.

A transversal default definition is applied within the entire Belfius Group and on all market segments. However for a limited number of specific segments (for example sovereigns, banks, international corporates…) some deviation have been applied. The Belfius Default guideline provides in-depth description of indicators used to categorize an exposure in default.

With the exception of purchased or originated credit-impaired financial assets, the amount of expected credit losses is measured through a loss allowance at an amount equal to either an 12-month ECL or a lifetime ECL. Lifetime ECL are the losses that result from all possible default events over the expected life of the financial asset.

At initial recognition, purchased or originated credit-impaired assets do not carry a loss allowance for 12-month expected losses but lifetime expected credit losses are incorporated into the calculation of the effective interest rate. The amount recognised as a loss allowance for such assets is not the total amount of lifetime expected credit losses, but instead the change in lifetime expected credit losses since initial recognition of the financial asset, which may be a negative or positive amount.

Expected credit losses are a probability-weighted estimation of expected cash shortfalls discounted at the original effective interest rate of the financial asset or the credit-adjusted effective interest rate in case of purchased or originated credit-impaired financial assets. Expected cash shortfall is the difference between the cash flows due under the contract and the cash flows expected to be received, taking into consideration the value of collateral and other credit enhancements.

The estimation of cash flows considers all contractual terms of the financial asset (such as prepayment, extension, call and similar options) through its expected life.

Impairment calculation is based on a two-fold building block approach:

- Block 1: determination of the appropriate stage per exposure;
- Block 2: calculation of the expected credit losses per exposure for stages 1, 2 and 3.

The following credit exposures are distinguished and all exposures are individually assessed:

- Performing credit exposures i.e. exposures for which there has not been a significant increase in credit risk since origination (stage 1);
- Under-performing credit exposures i.e. exposures for which there has been a significant increase in credit risk between the moment Belfius originated or purchased the financial asset and the reporting date (stage 2);
- Non-performing credit exposure i.e. exposures that become credit impaired (stage 3).

A change of the classification into stages can go in both directions.

Performing credit exposures – Classification Stage 1

All exposures not classified in stage 2 (significant increase of credit risk since origination) or stage 3 (occurrence of impairment) are by definition classified in stage 1. For these exposures, Belfius recognises at initial measurement a 12-month expected credit loss, i.e. the expected credit loss that results from those default events on the financial instrument that are possible within 12 months after the reporting date.

Under-performing credit exposures – Classification Stage 2

Exposures for which there has been a significant increase in credit risk between origination or purchase of the financial asset and reporting date are classified in stage 2.

A significant increase in credit risk for an individual exposure of a counterpart is based on the following quantitative and qualitative factors:

- A significant deterioration of the lifetime probability of default (lifetime probability of default) of the counterpart; and
- The fact that the customer to whom the individual exposure belongs is put by Belfius on its Watchlist, this is the list that identifies counterparties where problems might arise (or have arisen). There is however one exception: a new contract may be classified in Stage 1 if, when originating the contract, the customer already figures on the Watchlist and that since then there is no new significant increase in credit risk for this contract.

In two situations, there will be a mandatory classification on the Watchlist:

- If one or more credit products of the counterpart was accorded a "Forbearance flag", forbearance being a new, additional concession or the prolongation of an existing concession;
- If an exposure is overdue for more than 30 days, unless one can clearly prove that it concerns an operational past due or that the overdue is not a sign of a significant increase of credit risk since initial recognition.

In assessing whether a significant deterioration of the lifetime probability of default occurred since origination, a comparison is made between lifetime probability of defaults at the date of origination with lifetime probability of defaults at reporting date. Details are available in the section "Risk management - IFRS 9 Impairment methodology" of the Management report of the consolidated financial statements.

Non-performing credit exposure - Classification at Stage 3

At each reporting date, the Default Committee assesses whether there is an objective evidence that a financial asset or a group of financial assets is impaired/defaulted. If affirmative, these financial assets are considered as credit-impaired and are transferred to Stage 3 and a lifetime expected loss is recognised.

The expected credit losses are measured as the difference between the asset's gross carrying amount and the present value of estimated future cash flows discounted at the financial asset's original effective interest rate. Any adjustment is recognised in profit or loss as an impairment gain or loss.

An impaired/defaulted status is attributed to debtors that satisfy either one or both of the following criteria:

- The debtor has material exposures which are more than 90 days past due;
- The debtor is assessed as unlikely to pay its credit obligations in full without realisation of collateral, regardless the existence of any past due amount or the number of days past due.

6.5.2 Accounting treatment of impairments

Debt instruments carried at amortised cost and lease receivables

At each reporting date, changes in the amount of impairment losses are recognised in the statement of income under the line item XVI. "Impairment on financial instruments and provisions for credit commitments". Impairment losses are reversed through the same line item of the statement of income. The impairment loss is recorded as a deduction of the gross carrying amount of the asset (allowance) in the balance sheet (statement of financial position).

Debt instruments measured at fair value through other comprehensive income (FVTOCI)

Debt instruments measured at fair value through other comprehensive income are governed by the same accounting principles in respect of impairment applicable to debt instruments measured at amortised cost.

However, the loss allowance shall be recognised in other comprehensive income as part of the revaluation amount in the line item XIX. "Fair value changes of debt instruments measured at fair value through other comprehensive income" and shall not reduce the carrying amount (i.e. fair value) of the financial asset in the balance sheet (statement of financial position).

Calculation and recognition of interest income

The underlying basis for calculating the effective interest depends on the status of the financial instrument:

- The gross carrying amount (amortised cost before deducting any expected loss allowances) for non-credit impaired financial assets (stage 1 and 2);
- The net carrying amount (gross carrying amount less expected loss allowances) for credit-impaired financial assets (stage 3).

Interest income for originated or purchased credit-impaired financial assets is recognised by applying the credit-adjusted effective interest rate to the amortised cost of the financial asset. Lifetime expected credit losses are incorporated in the credit-adjusted effective interest rate.

Write-offs

Debt instruments are written off when there are no reasonable expectations of recovering the debt instrument. Belfius only applies full write-offs and exposures in stage 1 and 2 are always transferred to stage 3 before being written off.

A write-off constitutes a derecognition event and the stock of loss allowance is not reversed but used against the reduction of the gross carrying amount of the instrument written off. Any additional loss is reported in the statement of income in the line item XVI. "Impairment on financial instruments and provisions for credit commitments".

Loan commitments and financial guarantees not measured at fair value through profit or loss

Off-balance-sheet exposures such as credit substitutes (e.g. guarantees and standby letters of credit) and loan commitments are usually converted into on-balance-sheet items when called. However, these off-balance-sheet exposures are subject to 12-month or lifetime expected losses. The expected loss is recognised as a provision in the balance sheet and the date that Belfius becomes a party to the irrevocable commitment is considered as the date of initial recognition for applying the impairment requirements.

Loan commitments

At the end of each reporting period a provision based on 12-month expected losses calculated on the expected portion of the loan commitment to be drawn down within the next 12 months is recognised. In case of a significant increase in the risk of default of the underlying loan, lifetime expected credit losses are recognised on the expected portion to be drawn down over the remaining life of the loan commitment.

The expected credit loss is the present value of the difference between the contractual cash flows if the holder of the loan commitment draws down the loan and the cash flows that are expected to be received if the loan is drawn down. The remaining life of the loan commitment is the maximum contractual period during which there is an exposure to credit risk. In case of arrangements that include both a loan and an undrawn commitment component (such as credit cards), the period for estimating expected credit losses is beyond the contractual date on which repayment could be demanded but the period over which the lender is exposed to credit risk. In practice, the expected loss horizon is a minimum of 1 year and credit risk mitigations could be additional guarantees or reducing the loan commitment.

Financial guarantees

For financial guarantee contracts changes in the risk that the specified debtor will default on the contract are considered. At each reporting period, the amount of the loss allowance equals the 12-month expected credit loss unless there has been a significant increase in the risk of default, in which case the loss allowance is calculated for lifetime expected credit losses. Expected losses reflect the cash shortfalls equal to the difference between the expected payments to reimburse the holder for a credit loss that it incurs less any amounts that are expected to be received from the holder, the debtor or any other party.

6.6 Derivatives

6.6.1 Derivatives – Trading portfolio, including embedded derivatives

When a derivative is not designated in a hedge relationship, it is deemed to be held for trading and Belfius initially and subsequently measures all derivatives at the fair value obtained from quoted market prices, discounted cash-flow models or pricing models, as appropriate. All changes in fair value are recognised in the statement of income.

The interest results of derivatives for which there is an economic hedge relationship are recognised in interest income/interest expense.

Derivatives are reported as assets when their fair value is positive and as liabilities when their fair value is negative.

When a hybrid contract contains a host that is a financial asset in the scope of IFRS 9, the entire hybrid contract, including all embedded features, is assessed for classification. However, if the host contract is a financial liability, a lease receivable, an insurance contract or another non-financial host contract an assessment is made to determine whether the embedded feature requires separation and should be presented as a separate derivative in trading. This is the case when:

- Risks and characteristics of the embedded features are not closely related to those of the host contract;
- The hybrid contract is not carried at fair value with unrealised gains and losses reported in the statement of income and;
- A separate instrument with the same terms as the embedded feature would meet the definition of a derivative.

6.6.2 Derivatives – Hedging

As the development of the new macro hedge accounting model (cf. "Accounting for dynamic risk management activities") is still in progress, the IASB provided all entities including those that engage in portfolio hedge accounting of interest rate risk with the following accounting policy options until the IASB Research project "Dynamic Risk Management" is completed.

- Option 1: Apply the new hedge accounting requirements of IFRS 9 and continue to use the IAS 39 model for interest-rate portfolio fair value hedging.
- Option 2: Continue to apply the existing (micro) hedge accounting requirements in IAS 39, including the IAS 39 interest-rate portfolio fair value hedge model.

In both cases, the use of the IAS 39 interest-rate portfolio hedging model is subject to expanded disclosure requirements.

Belfius has opted to continue to apply the existing (micro) hedge accounting requirements of IAS 39 and the "Carve out" conditions applicable to interest-rate portfolio hedging as endorsed by the European Commission.

Hedging derivatives are categorised as either:

- A hedge of the fair value of a recognised asset or liability or a firm commitment (fair value hedge) or a fair value hedge of the interest rate risk exposure of a portfolio (cf. section 6.6.3); or
- A hedge of a future cash flow attributable to a recognised asset or liability or a forecast transaction (cash-flow hedge).

Derivatives are designated as hedging instruments if certain criteria are met:

- Formal documentation of the hedging instrument, hedged item, hedging objective, strategy and relationship is available before hedge accounting is applied;
- The hedge is documented in such a way as to show that it is expected to be highly effective (within a range of 80% to 125%) in offsetting changes in the fair value or cash flows attributable to the hedged risk in the hedged position throughout the reporting period; and
- The hedge is effective at inception and on an ongoing basis.

Belfius records changes in the fair value of derivatives that are designated and qualify as fair value hedges in the statement of income, along with the corresponding change in fair value of the hedged assets or liabilities that is attributable to the specific hedged risk. If relevant, the interest accruals of the designated hedging instruments are recognised in line item I. "Interest income" or II. "Interest expense".

If the hedge no longer meets the criteria for a fair value hedge or if the hedge is voluntarily discontinued, the adjustment to the carrying amount of a hedged interest-bearing financial instrument is amortised to the statement of income over the remaining life of the hedged position (or the hedging instrument if shorter) by an adjustment of the yield of the hedged item.

The effective part of the changes in the fair value of derivatives that are designated and qualify as cash-flow hedges, is recognised in "Other comprehensive income" under the item XXII. "Fair value changes of derivatives following cash flow hedging" (see "Consolidated statement of changes in shareholders' equity"). The ineffective portion of the change in the fair value of the hedging instrument (if any) is recognised directly in the statement of income. The amount recognised in other comprehensive income should be the lower in absolute value of the cumulative gain or loss on the hedging instrument from the inception of the hedge, and the cumulative change in the fair value (present value) of the expected cash flows on the hedged item from the inception of the hedge.

Amounts deferred in equity are transferred to the statement of income in the periods during which the hedged item affects the statement of income.

6.6.3 Fair value hedge of the interest-rate risk exposure of a portfolio

As mentioned in section 1.1. General, Belfius makes use of the IAS 39 provisions for portfolio fair value hedges of interest rate risk as endorsed by the European Commission (cf. EU carve out) because it better reflects the way financial instruments are managed.

Awaiting the completion of the IASB Research project "Dynamic Risk Management", Belfius continues to apply the current carved out provisions.

The hedging instruments are a portfolio of derivatives, which may contain offsetting positions. Belfius recognises the hedging items at fair value with any changes in fair value accounted for in the statement of income. The hedged items include financial assets and liabilities at amortised cost and debt instruments measured at FVTOCI.

The hedged interest-rate risk revaluation of elements carried at amortised cost is reported on the balance sheet under the line item VII. "Gain/loss on the hedged item in portfolio hedge of interest rate risk" whereas the hedged interest-rate risk revaluation of elements carried at FVTOCI is included in the line items II.B "Loans and advances due from credit institutions - Measured at fair value through other comprehensive income", III.B. "Loans and advances - Measured at fair value through other comprehensive income", and IV.B "Debt securities & equity instruments - Measured at fair value through other comprehensive income".

6.7 Fair value of financial instruments

6.7.1 General principles

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

Quoted market prices in an organised market (such as a recognised stock exchange) are to be used as fair value, as they are the best evidence of the fair value of a financial instrument. Quoted market prices are not available for all financial assets and liabilities held or issued by Belfius.

If a financial instrument is not traded on an active market, recourse is provided by valuation models. A valuation model reflects the transaction price on the measurement date in an arm's length exchange under normal business considerations, i.e. the price that would be received by the holder of the financial asset in an orderly transaction that is not a forced liquidation or forced sale or the price to transfer the liability.

The valuation model takes into account all factors that market participants consider when pricing the financial instrument. Measuring the fair value of a financial instrument requires consideration of current market conditions. To the extent that observable inputs are available, they are incorporated into the model.

Only in very exceptional circumstances (i.e where no relevant information is available about the performance and operations of the investee) cost will be used for the fair value valuation of investments in unquoted equity instruments.

6.7.2 Specific rules

The specific rules and approaches used for the determination of fair value of financial instruments are summarised in note 9.1. "Fair value".

6.8 Sale and repurchase agreements and lending of securities

Securities sold subject to a linked repurchase agreement ("repos") are not derecognised and remain on the balance sheet. The corresponding liability is recorded under the line items II.A "Credit institutions borrowings and deposits - Measured at amortised cost" or III.A "Borrowings and deposits - Measured at amortised cost", as appropriate. The asset is included as "pledged" in the supporting notes to the financial statements.

Securities purchased under agreements to resell ("reverse repos") are recorded as off-balance-sheet items and the corresponding loans are recorded in line items II.A "Loans and advances due from credit institutions - Measured at amortised cost " or III.A "Loans and advances - Measured at amortised cost".

The difference between the sale and repurchase price is treated as interest income or expense and is accrued over the life of the agreements using the effective interest rate method.

Securities lent to counterparties are not derecognised. Securities borrowed are not recognised in the balance sheet. Fees related to securities lending and borrowing are recorded within the line items VII. "Fee and commission income" and VIII. "Fee and commission expense".

6.9 Interest income and expense

Interest income and expense are recognised on an accrual basis in the statement of income for all interest bearing instruments using the effective interest rate method (transaction costs included). Transaction costs for financial assets and liabilities measured at fair value through profit or loss are recognised immediately in profit or loss.

Negative interests on these instruments are presented as a separate item within interest expense (interest expense on financial assets) or within interest income (interest income on financial liabilities). Accrued interest is reported in the balance sheet in the same line item as the related financial asset or liability.

The following fees are an integral part of the effective interest rate of a financial instrument with a defined duration:

- Origination fees received relating to the creation or acquisition of a financial asset;
- Commitment fees received to originate a loan when the loan commitment is not measured at fair value through profit or loss and it is probable that Belfius will enter into a specific lending arrangement. If the commitment expires without granting the loan, the fee is recognised as revenue on expiry;
- Origination fees paid on issuing financial liabilities measured at amortised cost.

The underlying basis for calculating the effective interest depends on the status of the financial instrument:

- The gross carrying amount (amortised cost before deducting any expected loss allowances) for non-credit impaired financial assets (stage 1 and 2) or the amortised cost for financial liabilities;
- The net carrying amount (gross carrying amount less expected loss allowances) for credit-impaired financial assets (stage 3).

Interest income for originated or purchased credit-impaired financial assets is recognised by applying the credit-adjusted effective interest rate to the amortised cost of the financial asset. Lifetime expected credit losses are incorporated in the credit-adjusted effective interest rate.

Interest results of trading derivatives are recognised in the line item V. "Net income from financial instruments at fair value through profit or loss", whereas interest results on all other derivatives are recognised in the line items I. "Interest income" or II. "Interest expense". For interest bearing held for trading bonds, Belfius opted to record interest results under the line item I. "Interest income" and II. "Interest expense".

6.10 Financial guarantees

A financial guarantee contract is defined as a contract that requires the issuer to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the original or modified terms of a debt instrument.

At transaction date, financial guarantees are recorded in the off balance sheet accounts and the paid or received premium is recognised in the accrual accounts.

The paid or received premium is recognised respectively as commission charges or commission income in accordance with the principles of IFRS 15.

7. Fee and commission income and expense

According to IFRS 15 "Revenue from Contracts with Customers" revenue is recognised to depict the transfer of promised goods or services to customers in an amount that reflects the consideration to which Belfius expects to be entitled in exchange for those goods or services. This is applied on an individual contract basis, but a portfolio approach is permitted if the impact on the financial statements will not be materially different from application on an individual contract basis.

Revenue recognition is governed by the following five step model:

- Identification of the contract;
- Identification of separate performance obligations;
- Determination of the transaction price;
- Allocation of the transaction price to performance obligations; and
- Recognition of revenue as of when each performance obligation is satisfied.

A performance obligation is satisfied when the bank transfers control of the services underlying the performance obligation to the customer. Revenue can be recognised either "over time" based upon performance completed to date, milestones reached, recurring services or "at a point in time" when the bank transfers control of the asset to the customer.

For contracts for which Belfius is acting as agent, revenue will be recognised as a net amount of consideration instead of gross amounts of relevant revenue and expenses.

Fees that are not an integral part of the effective interest rate of a financial instrument are accounted for in accordance with IFRS 15. They include:

- Fees charged for servicing a loan;
- Commitment fees to originate a loan when the loan commitment is not measured at fair value through profit or loss and it is unlikely that a specific lending arrangement will be entered into; and
- Loan syndication fees received by the bank for arranging a loan and retaining no part of the loan package for itself (or retaining a part at the same effective interest rate for comparable risk as other participants).

The commissions paid by Belfius Insurance to Belfius Bank for the sale of insurance products are, respectively, recorded in the insurance technical result and the fee and commission income. A separate presentation better reflects the profitability of the business .

8. Insurance and reinsurance activities

8.1 Classification

Belfius Insurance operates in both Life and Non-Life insurance activities.

IFRS 4 (Phase 1) "Insurance contracts" is applied to all insurance contracts where the insurer accepts a significant insurance risk by agreeing to indemnify the policyholder in the event of a well-defined and uncertain occurrence in the future (the insured event). Reinsurance policies that comply with this definition also come under this field of application. In addition, IFRS 4 is also applicable to financial instruments with a discretionary participation feature.

A contract that exposes the issuer to financial risk without significant insurance risk is not an insurance contract and is accounted for as a financial instrument under IFRS 9.

If a contract contains a deposit component (i.e. a contractual component that would be within the scope of IFRS 9 if it were a separate instrument), the deposit component is unbundled and deposit accounting is applicable.

The rules for deposit accounting apply to financial instruments without discretionary profit sharing and to the deposit component of unit-linked (branch 23 type) insurance contracts. This means that the deposit component and the insurance component are valued and presented separately. In this case IFRS 9 and not IFRS 4 is applicable for the valuation and presentation of the deposit component. With deposit accounting, the related premiums and the resulting entry of the obligation are not recorded in the statement of income. The obligations themselves are not recorded in the technical provisions, but under financial liabilities. Associated management charges and commission fees are entered immediately in the statement of income. Payments made are not entered in the statement of income, but result in a reduction of the obligation. For unit-linked (branch 23) contracts, the deposit component and the corresponding investments are valued at their fair value, with variations in the statement of income. The fair value is determined by the number of units, multiplied by the value of the unit that is based on the fair value of the underlying investments.

Group insurance cover for Belfius staff is not within the scope of IFRS 4, but instead is dealt with under the valuation rules for pension schemes.

8.2 Valuation

8.2.1 General

IFRS 4 exempts an insurer from applying the specific criteria to use in developing an accounting policy if no specific IFRS applies, but allows an insurer to continue using its accounting policies prior to IFRS. However, IFRS 4 imposes some limits on this exception:

- No provision may be made for equalisation and disaster;
- A liability adequacy test should be performed;
- An insurance liability shall be removed when, and only when, it is extinguished;
- Reinsurance contracts shall not be offset against related direct insurance contracts; and
- Reinsurance assets should be considered for impairment.

Provision for unearned premiums

The provision for unearned premiums corresponds to the part of the premiums gross of reinsurance but after deduction of the acquisition costs that has to be allocated to a subsequent reporting period to cover the unexpired risk. The change in the provision for unearned premiums is recognised in the statement of income as revenue over the contract period.

The provision for unearned premiums is calculated pro rata temporis for each agreement separately, based on the net premium. For accepted reinsurance, the reserves are recorded based on data passed on by the ceding companies.

Provisions for claims to be paid

The amount of the provision for claims to be paid in the non-life direct business equals the amount owed to beneficiaries, plus the management charges for the claims.

For the reported claims, the provision for the claims to be paid in non-life direct business is calculated on a case-by-case basis, including future settlement costs or as a separate provision for a group of claims. When a claim is settled in the form of annuity payments, the amount that needs to be reserved is calculated based on actuarial methods. For claims 'incurred but not (enough) reported" on reporting date, a provision is determined based on past experience regarding the number and amount of claims reported after the reporting date. Account is also taken of exceptional events and additional provisions are also booked on the basis of statutory requirements, such as for workers' compensation.

Provisions for life insurance

The provision for life insurance is calculated taking account of the statutory requirements and terms regarding the life insurance business. As such, the following apply:

- Valuation using the prospective method: prospective reserving subtracts the actuarial present value of future premiums from the actuarial present value of the future insurance benefits. The calculation is based on the technical terms of the policies. This method is applied to contracts with a guaranteed return on future premiums.
- Valuation using the retrospective method: retrospective reserving subtracts accumulated value of (past) benefits from accumulated value of (past) premium. The calculation is based on the technical terms of the policies, without taking future premiums into account. This method is applied to contracts without a guaranteed return on future premiums.

For accepted reinsurance, a provision is booked separately for each agreement based on the information provided by the ceding party.
As a supplement to the rules set out above, an additional provision is booked for the low interest rate risk and other factors that have an important impact on the adequacy of the technical provisions.

Provision for (discretionary) profit sharing

A discretionary participation feature ("DPF") is a contractual right to receive additional benefits, on top of guaranteed benefits, whose amount or timing is contractually at the discretion of the insurer, also called "profit sharing". Belfius Insurance records a deferred profit sharing for the amount of the expected profit sharing to be shared with policyholders for the in-force business at balance sheet. Belfius has full discretion about its distribution. It is presented as a separate component of equity as it is expected to be distributed to the in-force business in the future upon realisation of the gains presented in the OCI reserve in equity.

The amount of deferred profit sharing is reduced by the actual allocation to individual policyholders after the approval of the insurance company's annual ordinary shareholders meeting.

The deferred profit sharing related to unrealised capital gains or losses on allocated investments is recognised in the revaluation reserve in other comprehensive income (equity). Upon realisation of the allocated investments, the part of the deferred profit sharing related to these realised capital gains or losses is adjusted and recorded in the insurance technical provisions.

The amount recorded through the statement of income (and presented as a liability) is based on profits realised in the past and is classified within the technical provisions in line with the recognition criteria for provisions (IAS 37).

Reinsurance activities

For accepted reinsurance, a provision is booked separately for each agreement based on the information provided by the ceding party.

For ceded reinsurance, the part of the reinsurer in the technical reserves is recorded as an asset in accordance with the relevant clauses of the reinsurance contract.

A specific reduction in value is applied to the reinsurance assets if:

- there is objective evidence, resulting from an event that occurred after the initial recognition of the reinsurance assets, that the ceding party will not recover all amounts due. Account is taken of the rating and solvency of the reinsurer; and
- the amounts are reliably measurable.

We refer to the rules related to specific impairment.

8.2.2 Liability Adequacy Test

At the end of each reporting period, Belfius Insurance conducts liability adequacy tests on its technical provisions. If these additional tests indicate that the book value of the technical provisions increased with the net unrealised gains on the investment portfolio allocated to the life and workers' compensation business is insufficient compared to the current value of the estimated future cash flows, an additional technical provision is recorded for this shortfall through the statement of income. These tests are assessed separately for technical provisions Life and technical provisions Non-Life.

For life insurance, an estimate is made of the expected cash flows of contracts, taking into account the assumptions that are also used for other modelling purposes. The present value of these expected cash flows is determined using a discount curve according to the EIOPA methodology including a volatility adjustment calibrated on Belfius Insurance's investment portfolio.

If the calculated value is higher than the provision for Life insurance, the difference is taken through the statement of profit or loss.

For Non-Life insurance, the liability adequacy test verifies whether the provision for unearned premiums and the provision for claims are sufficient to make a full settlement of the incurred claims and all claims expected to occur within the ongoing insurance coverage period. For workers' compensation the net unrealised gains on the investment portfolio allocated to this business is added to the book reserves.

8.2.3 Shadow accounting

If the realisation of unrealised profits from financial assets measured at FVTOCI recorded under other comprehensive income has an immediate effect on the valuation of the technical provisions, shadow accounting offers a solution through the partial transfer of unrealised investment results from other comprehensive income to technical provisions.

First and foremost, Belfius Insurance applies shadow accounting if the statutory or contractual conditions in the insurance policies state that the realisation of recorded but unrealised profits on clearly defined assets belonging to the insurer has a direct effect on the valuation of the corresponding insurance contracts and investment contracts with DPF. This application occurs mainly in insurance policies managed through funds with dedicated assets.

Belfius Insurance has also decided to recognise a "shadow loss" for the difference between the value of the Life insurance obligations based on the "Liability Adequacy Test" methodology described above on the one hand and the provisions for Life insurance on the other hand increased with the net unrealised gains on the investment portfolio carried at amortised cost and allocated to the life portfolio. This amount is limited to the net unrealised gains recognised in other comprehensive income for financial assets carried at fair value and covering Life insurances.

9. Network costs

Network costs consist of commissions paid to Belfius Bank independent branches and are based on outstanding volumes and production figures. Commissions for the production of interest-bearing financial assets and financial liabilities are included in interest income and expense using the effective interest-rate method.

10. Tangible fixed assets

Tangible fixed assets include property, equipment and investment properties.

All property and equipment are stated at cost less accumulated depreciation and impairments. Subsequent costs are included in the carrying amount of the asset or recognised as a separate component, if it is probable that future economic benefits will flow to Belfius and the cost of the asset can be reliably measured.

Depreciation is calculated using the straight-line method to write down the cost of such assets to their residual values over their estimated useful lives.

The estimated useful lives are:

- buildings (including acquisition costs and non-deductible taxes): 20 to 50 years;
- computer equipment: 1 to 6 years;
- leasehold improvements, equipment and furniture: 2 to 12 years;
- vehicles: 2 to 5 years.

An item of property and equipment can be composed of significant parts with individually varying useful lives. In such a case, each part is depreciated separately over its estimated useful life. The following parts have been defined for the head offices used starting 2006:

- structure of the building: 50 years;
- roof and frontage: 30 years;
- technical installations: 10 to 20 years;
- fixtures and fittings: 10 to 20 years.

Borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset form part of the cost of that asset and are capitalised.

Tangible fixed assets are tested for impairment when an indication of impairment loss exists. If the carrying amount of an asset is greater than its estimated recoverable amount, it is written down to its recoverable amount. The recoverable amount is the higher of an asset's or cash-generating unit's (CGU) fair value less costs of disposal and its value in use. Where the recoverable amount of an asset cannot be determined individually, Belfius determines the recoverable amount of the cash-generating unit or group of cash-generating units to which the asset belongs.

After the recognition of an impairment loss, the depreciation charge for the asset shall be adjusted in future periods to allocate the asset's revised carrying amount, less its residual value (if any) on a systematic basis over its remaining useful life.

Gains and losses on disposals of property and equipment are included under the item VI. "Net income on investments and liabilities".

Investment properties are those properties held to earn rentals or for capital appreciation. Belfius may also partly use such properties. If the "own use" portions can be sold separately or leased out separately under finance lease, then these portions are accounted for separately. If the "own use" portions cannot be sold separately, the property will be considered as an investment property only if Belfius holds an insignificant portion for its own use.

Investment properties are recorded at cost less accumulated depreciation and impairments. The investment properties are depreciated over their useful lives on a straight-line basis. Depreciation on buildings and other assets given in operating lease are booked under in the line item XI. "Other expenses". Belfius shall transfer a property to or from investment property when there is evidence of a change in use.

11. Intangible assets

An intangible asset is recognised if, and only if, it is probable that the expected future economic benefits that are attributable to the asset will flow to Belfius (by using reasonable and supportable assumptions) and the cost of the asset can be measured reliably.

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Within Belfius intangible assets consist mainly of:

(a) internal development expenditures; and
(b) acquired software.

The costs associated with maintaining computer software programmes are recognised as expense as incurred. However, expenditure that enhances or extends the benefits of computer software programmes beyond one year is added to the original cost of the software. Internal development costs recognised as assets are amortised using the straight-line method over their useful lives from the time the developed item is available for use.

An acquired customer portfolio is amortised using the straight-line method over the expected life of the portfolio taking into account the expected loss of customers in the acquired portfolio.

As borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset form part of the cost of that asset, they are capitalised. Other borrowing costs are recognised as an expense.

Intangible assets (other than goodwill) are tested for impairment when an indication of impairment loss exists. If the carrying amount of an asset is greater than its estimated recoverable amount, it is written down to its recoverable amount. The recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs of disposal and its value in use. Where the recoverable amount of an asset cannot be determined individually, Belfius determines the recoverable amount of the cash-generating unit or group of cash-generating units to which the asset belongs.

After the recognition of an impairment loss, the depreciation charge for the asset shall be adjusted in future periods to allocate the asset's revised carrying amount, less its residual value (if any) on a systematic basis over its remaining useful life. Gains and losses on disposals of intangible assets are determined by reference to their carrying amount and are included in line item VI. "Net income on investments and liabilities".

12. Goodwill

12.1 Measurement of goodwill

Goodwill is an asset representing the future economic benefits arising from other assets acquired in a business combination that are not individually identified and separately recognised.

It is measured as the difference between:

- The sum of the following elements:
  - consideration transferred;
  - amount of any non-controlling interests in the acquiree;
  - fair value of the acquirer's previously held equity interest in the acquiree (if any).
- Minus the fair value determined at acquisition date of the identifiable assets acquired and the liabilities assumed.

If, after reassessment, this difference is negative ("badwill"), it is recognised immediately in profit or loss as a bargain purchase gain.

12.2 Impairment of goodwill

The carrying amount of goodwill is reviewed at year-end. For the purpose of this impairment testing, Belfius allocates goodwill to cash-generating units (CGUs) or groups of such units.

When circumstances or events indicate that there may be uncertainty about the carrying amount, goodwill is written down for impairment when the recoverable amount of the CGU or group of CGUs to which it has been allocated is lower than the carrying value.

The recoverable amount is the higher of the fair value less cost to sell or the value in use. The "value in use" is the sum of the future cash flows that are expected to be derived from a CGU. Expected cash flows used by Belfius are those of the financial budget approved by management.

The calculation of the "value in use" shall also reflect the time value of money (current risk-free rate of interest) corrected for the price for bearing the uncertainty inherent in the asset. This is reflected in the discount rate.

13. Other assets

Other assets mainly include accrued income (other than interest prorata), prepayments, operational taxes and other accounts receivable. They also include assets from insurance contracts (reinsurance, insurance premiums receivables, etc.), construction contracts, inventories and plan assets relating to employee benefit obligations.

14. Non-current assets (disposal group) held for sale and discontinued operations

if the carrying amount of a non-current asset (or disposal group) is recovered principally through a sale transaction rather than through continuing use, it will be classified as "held for sale".

Belfius measures a non-current asset (or disposal group) classified as held for sale at the lower of its carrying amount and its fair value less costs to sell. Non-current assets (or disposal groups) classified as held for sale are presented separately in the balance sheet, without restatement for previous periods. These assets are no longer depreciated once they qualify as assets (or disposal groups) held for sale.

A discontinued operation is defined as a component of an entity that either has been disposed of or is classified as held for sale and represents a separate major line of business or geographical area of operations. Post-tax profit or loss of discontinued operations is presented under a separate line in the statement of income.

15. Leases

15.1 Belfius is the lessee

Belfius enters into leases principally for the rental of equipment or real estate.

Belfius as a lessee recognises leases as a right-of-use asset and a corresponding liability at the date at which the leased asset is available for use. Assets and liabilities arising from a lease are initially measured on a present value basis.

Lease liabilities include the net present value of the following lease payments:

- fixed payments (including in-substance fixed payments), less any lease incentives receivable;
- variable lease payments that are based on an index or a rate;
- amounts expected to be payable by the lessee under residual value guarantees;
- the exercise price of a purchase option if the lessee is reasonably certain to exercise that option; and
- payments of penalties for terminating the lease, if the lease term reflects the lessee exercising that option.

The lease payments are discounted using the interest rate implicit in the lease, if that rate can be readily determined. If that rate cannot be readily determined, the lessee shall use the lessee's incremental borrowing rate.

Lease liabilities are not presented separately, but are included within the line item "IV.A. Debt securities issued and other financial liabilities - Measured at amortised cost" in the balance sheet (statement of financial position).

Each lease payment is allocated between the liability and finance cost. The finance cost is charged to profit or loss over the lease period on the remaining balance of the liability for each period.

Right-of-use assets are measured at cost comprising the following:

- the amount of the initial measurement of lease liability;
- any lease payments made at or before the commencement date less any lease incentives received;
- any initial direct costs; and
- restoration costs.

The right-of-use assets are depreciated on a straight-line basis over the shorter of the asset's useful life and the lease term.

The right-of-use assets are included within the same line item "IX. Tangible fixed assets" as that within which the corresponding underlying assets would be presented if they were owned.

Payments associated with short-term leases and leases of low-value assets are recognised on a straight-line basis as an expense in profit or loss.

15.2 Belfius is the lessor

Belfius grants both operating and finance leases.

Revenue from operating leases is recognised in the statement of income on a straight-line basis over the lease term. The underlying asset is accounted for in accordance with the accounting policies applicable to this type of asset.

For finance leases, Belfius recognises "leases receivable" at an amount equal to the net investment in the lease, which can be different from the present value of minimum lease payments.

The interest rate implicit in the lease contract is the discount rate. Interest income is recognised over the term of the lease using the interest rate implicit in the lease.

16. Income taxes

If Belfius concludes that it is not probable that the taxation authority will accept a tax uncertainty for current and deferred taxes, Belfius reflects the effect of the uncertainty in determining the related taxable profit (or loss) or tax base.

16.1 Current tax

Current tax for current and prior periods shall, to the extent unpaid, be recognised as a liability. If the amount already paid in respect of current and prior periods exceeds the amount due for those periods, the excess shall be recognised as an asset. Income tax consequences of dividends are recognised in profit or loss, other comprehensive income or equity according to where the past transactions or events that generated the distributable profit were recognised.

16.2 Deferred tax

Deferred tax is recognised in full, using the balance sheet method, on temporary differences between the tax bases of assets and liabilities and their carrying amounts in the financial statements.

Deferred taxes are measured at tax rates that are expected to apply to the period when the asset is realised or the liability settled, based on tax rates (and tax laws) that have been enacted or substantively enacted.

Deferred tax assets and liabilities are not discounted. Deferred tax assets on deductible temporary differences and tax loss carry-forwards are recognised to the extent that it is probable that future taxable profit will be available against which the temporary differences and tax losses can be utilised.

A deferred tax liability is recognised on taxable temporary differences arising from investments in subsidiaries, associates and joint ventures, to the extent that Belfius is able to control the timing of the reversal of the temporary difference and it is probable that the difference will not reverse in the foreseeable future.

Deferred tax related to the fair value re-measurement of assets measured at fair value through other comprehensive income and cash flow hedges, and other transactions recorded directly in equity, are also credited or charged directly to equity.

17. Employee benefits

17.1 Short-term benefits

Short-term benefits are expected to be wholly settled within twelve months after the end of the annual reporting period in which the employee renders service. These are measured on an undiscounted basis and recognised as an expense.

17.2 Post-employment benefits

Post-employment benefits include retirement benefits (annuity or lump sum payments on retirement) and other post-employment benefits such as medical care granted after the completion of the employment.

17.2.1 Defined benefit plans

Employee benefit obligations are measured at the present value of the estimated future cash outflows based on interest rates determined by reference to market yields on high quality corporate bonds that have terms to maturity approximating to the terms of the related liability. When there is no deep market in such bonds, the market yields on government bonds shall be used. The valuation technique for the assessment of pension expenses incorporates actuarial assumptions comprising both demographic assumptions and financial assumptions such as the inflation rate, salary increase.

The amount recognised in the balance sheet for the defined benefit plan is the difference between the present value of the defined benefit obligation (using the Projected Unit Credit Method) and the fair value of any plan assets. This amount may be presented as a liability or an asset.

In case of a net asset, the amount recognised is limited to the asset ceiling, which is the present value of any economic benefits available for Belfius in the form of refunds from the plan or reductions in future contributions to the plan.

Remeasurements of the net defined benefit liability (asset) are recognised in other comprehensive income and are never reclassified to profit or loss. Remeasurements arise from the effect of changes in demographic and financial assumptions, from experience adjustments, the return on plan assets and any change in the effect of the asset ceiling.

17.2.2 Defined contribution plans

The contributions of Belfius related to defined contribution plans are charged to the statement of income in the year to which they relate.

Due to the legal minimum guaranteed rate of return imposed by the Belgian State, Belgian contribution plans are considered as defined benefit plans under IAS 19 and presented as such.

Given the change in legislation at the end of 2015 (i.e. the minimum guaranteed returns on employer and employee contributions decreased respectively from 3.25% and 3.75% to 1.75%), the valuation of the obligation of the Belgian defined contribution plans is based on the defined benefit methodology i.e. the Projected Unit Credit Method.

17.3 Other long-term benefits

A benefit is classified as other long-term employee benefits when the payment is not expected to be wholly settled before twelve months after the end of the annual closing period in which the employee renders service. These mainly include provisions for jubilee premiums and bonuses that employees receive after completion of specified periods of service.

Due to the smaller degree of uncertainty compared with post-employment benefits, a simplified method based on actuarial calculations is required to recognise and measure jubilees and other long-term benefits. A provision is set up for the estimated liability as a result of services rendered by employees up to the balance-sheet date and remeasurements are recognised in the statement of income.

17.4 Termination benefits

Termination benefits result either from a decision of Belfius to terminate the employment before the normal date of retirement or an employee's decision to accept redundancy payments from Belfius for termination of employment. Any benefit that requires future service is not a termination benefit.

A termination benefit provision is recognised at the earlier of when related restructuring costs are recognised and when Belfius can no longer withdraw the offer of those benefits.

18. Provisions and contingent liabilities

Provisions are mainly recognised for litigation claims, restructuring and loan commitments. Provisions are measured at the present value of the best estimate of expenditures required to settle the obligation. The discount rate is the pre-tax rate that reflects current market assessments of the time value of money.

Provisions are recognised when:

- Belfius has a present legal or constructive obligation as a result of past events;
- it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation; and
- a reliable estimate of the amount of the obligation can be made.

Provisions on loan commitments and financial guarantees not measured at fair value are recognised when there is uncertainty about the creditworthiness of the counterparty. Please refer to impairment section 6.5.

Unless the possibility of an outflow of resources embodying economic benefits is remote, a contingent liability is disclosed. A contingent liability is continually assessed to determine whether an outflow of resources embodying economic benefits has become probable. If it becomes probable that an outflow of future economic benefits will be required for an item previously dealt with as a contingent liability, a provision is recognised in the period in which the change in probability occurs (except in the extremely rare circumstances where no reliable estimate can be made).

19. Levies

Levies are outflows of resources embodying economic benefits imposed by governments on entities as identified by the legislation (i.e laws and/or regulations) other than income taxes, fines or other penalties imposed for breaches of the legislation.

Belfius recognises a liability when the obligating event occurs. All levies are taken upfront in full (no accrual accounting permitted) in the line item XI. "Other expenses" and the related amounts due are booked in line item XII. "Other liabilities".

20. Share capital

Belfius recognises its dividends on its ordinary shares as a liability from the date on which they are declared. Any dividends for the year declared post-balance-sheet date are disclosed in the subsequent events note.

21. Fiduciary activities

Assets and related income that are held by Belfius, together with related undertakings to return such assets to customers, are excluded from the financial statements if Belfius acts in a fiduciary capacity such as a nominee, trustee or agent.

22. Government grants

Government grants are assistance by government in the form of transfers of resources, other than credit lending stimulation instruments, to an entity in return for past or future compliance with certain conditions relating to the operating activities of the entity. They are not recognised until there is reasonable assurance that the entity will comply with the attached conditions and that the grant will be received. Government refers to government, government agencies and similar bodies such as community institutions.

The benefit of a government loan at a below market rate of interest is recognised in profit or loss on a systematic basis considering the conditions and obligations that have been met, or must be, met when identifying the costs for which the grants are intended.

Abbreviations used

AC	Amortised Cost
BBA	Building Block Approach
CGU	Cash-Generating Unit
DPF	Discretionary Participation Feature
ECL	Expected Credit Loss
EIOPA	European Insurance and Occupational Pensions Authority
EUR	Presentation currency EURO
FVO	Fair Value Option
FVTOCI	Fair Value Through Other Comprehensive Income
FVTPL	Fair Value Through Profit or Loss
GMM	General Measurement Model
IASB	International Accounting Standards Board
IFRIC	IFRS Interpretations Committee
IFRS	International Financial Reporting Standards
OCI	Other Comprehensive Income
PAA	Premium Allocation Approach
SPPI	Solely Payments of Principal and Interest
VFA	Variable Fee Approach

IV. Operating segments reporting

(Some amounts may not add up due to roundings)

Belfius continues to put the customer at the center. For each customer segment, we go the last mile in terms of customer satisfaction. To further underline this, we have adjusted our Belfius' segmentation, in order to "start from the customer". As such, our financial and commercial results will be reported centered around two new commercial segments: the individual customer (Individuals, abbreviation IND) and the SME, corporate and institutional customers (Entrepreneurs, Enterprises and Public entities, abbreviation E&E&P).

Individuals and Entrepreneurs, Enterprises and Public entities will be the two main cornerstones that replace the previous Retail and Commercial segment (RC) and Public and Corporate segment (PC). The Group Center (GC), containing the residual results not allocated to the two commercial segments will remain as is.

- Individuals, managing the commercial relationships with individual customers both at bank and insurance level.
- Entrepreneurs, Enterprises & Public, managing the commercial relationships with public sector, social sector, corporate clients and with small & medium sized enterprises both at bank and insurance level.
- Group Center (GC), containing the residual results not allocated to the two commercial segments. This mainly consists of results from Bond and Derivative portfolio management.

Belfius has presented pro forma figures for 2020 due to the new segmentation.

1. Balance sheet

The assets and liabilities allocated to Individuals (IND) and Entrepreneurs, Enterprises & Public (E&E&P) reflect the commercial activities of those business lines. Where IND shows an excess of funding, E&E&P is more asset driven. As a whole, the commercial balance sheet shows a funding excess with a sound 85% loan to deposit ratio at the end of December 2021.

Note that there are no internal sales or purchases between segments, these assets and liabilities within a segment are those generated and originated by the business lines.

The equity allocated to Individuals (IND) and Entrepreneurs, Enterprises & Public (E&E&P) is a normative regulatory equity. The normative regulatory equity of the business line is calibrated. The business line's CET 1 ratio is brought at 13.5% taking into account the regulatory risk exposures allocated to the business line.

Please note that the capital for the insurance activities is allocated to each business line in proportion to its contribution to Belfius Insurance Solvency II SCR requirements. Any non allocated capital is reported in Group Center.

	31/12/2020 PF(1)		
(in thousands of EUR)	Assets	Liabilities	Equity
Individuals	50,707,742	77,619,888	1,889,595
Entrepreneurs, Enterprises & Public	59,015,612	42,607,178	4,918,725
Group Center	78,268,079	57,030,970	3,925,077
TOTAL	187,991,433	177,258,036	10,733,397
of which banking group(2)	170,212,056	160,239,032	9,973,024
of which insurance group(2)	17,779,378	17,019,004	760,373

(1) Belfius presented pro forma figures due to new segmentation.
(2) The assets, liabilities and equity represent the contributions of the Belfius Insurance and Belfius Bank groups to the consolidated balance sheet.

	31/12/21		
(in thousands of EUR)	Assets	Liabilities	Equity
Individuals	54,615,028	82,433,085	1,845,855
Entrepreneurs, Enterprises & Public	59,921,950	44,890,127	4,398,300
Group Center	77,613,566	53,334,584	5,248,593
TOTAL	192,150,543	180,657,795	11,492,748
of which banking group(1)	174,328,987	163,693,443	10,635,544
of which insurance group(1)	17,821,556	16,964,352	857,204

(1) The assets, liabilities and equity represent the contributions of the Belfius Insurance and Belfius Bank groups to the consolidated balance sheet.

The total commercial assets from both activity lines increased between 2020 and 2021 with EUR 5 billion. This growth is explained by the increased loan production in the activity lines, in line with Belfius' strategy. The growth in liabilities was slightly higher than the growth in assets, leading to a decrease of the loan-to-deposit ratio on the commercial balance sheet from 89% end 2020 to 85% end 2021. The liabilities from both activity line increased in comparison to 2020 following an increase in funding, mainly in sight and savings deposits. The liabilities of Group Center decreased following the decrease in the fair value of the derivatives, mainly due to the impact of higher interest rates.

2. Statement of income

A. Segmentation by business line

(in thousands of EUR)	31/12/2020 PF(1)			
	Individuals	Entrepreneurs, Enterprises & Public	Group Center	Total
INCOME	**1,354,509**	**1,004,639**	**254,500**	**2,613,649**
Net interest income bank	544,261	791,102	254,223	1,589,585
Net Fee and commissions bank	535,137	93,347	(6,312)	622,173
Life insurance contribution	205,464	68,050	(27)	273,488
Non-life insurance contribution	190,491	53,579	(0)	244,069
Other	(120,843)	(1,439)	6,616	(115,666)
EXPENSES	**(888,425)**	**(433,623)**	**(142,871)**	**(1,464,919)**
NET INCOME BEFORE TAX AND IMPAIRMENTS	**466,084**	**571,017**	**111,630**	**1,148,730**
Impairments on financial instruments and provisions for credit commitments	(30,214)	(456,282)	33,363	(453,133)
Impairments on tangible and intangible assets	(14,467)	(2,147)	0	(16,614)
NET INCOME BEFORE TAX	421,403	112,588	144,993	678,984
Total tax (expense) income	(89,906)	(30,460)	(26,993)	(147,360)
NET INCOME AFTER TAX	331,497	82,127	118,000	531,624
Attributable to non-controlling interests	(1,133)	0	1,142	9
Attributable to equity holders of the parent	332,630	82,127	116,857	531,615

(1) Belfius presented pro forma figures due to new segmentation.

(in thousands of EUR)	31/12/2021			
	Individuals	Entrepreneurs, Enterprises & Public	Group Center	Total
INCOME	**1,452,899**	**1,069,492**	**180,885**	**2,703,276**
Net interest income bank	546,622	865,173	211,650	1,623,445
Net Fee and commissions bank	634,930	104,410	(6,925)	732,416
Life insurance contribution	226,528	75,785	(0)	302,312
Non-life insurance contribution	172,290	38,185	0	210,475
Other	(127,471)	(14,061)	(23,840)	(165,372)
EXPENSES	**(889,969)**	**(434,630)**	**(152,525)**	**(1,477,125)**
NET INCOME BEFORE TAX AND IMPAIRMENTS	**562,930**	**634,862**	**28,359**	**1,226,151**
Impairments on financial instruments and provisions for credit commitments	17,248	(9,692)	(6,195)	1,361
Impairments on tangible and intangible assets	(1,645)	(149)	(3)	(1,797)
NET INCOME BEFORE TAX	578,533	625,020	22,160	1,225,714
Total tax (expense) income	(133,474)	(142,883)	(13,741)	(290,098)
NET INCOME AFTER TAX	445,059	482,138	8,420	935,617
Attributable to non-controlling interests	(461)	(0)	1,114	653
Attributable to equity holders of the parent	445,520	482,138	7,306	934,964

Individuals net income increased from EUR 333 million in 2020 to EUR 446 million in 2021. The Net interest income of the bank remained stable (the pressure of the lower interest rate environment is offset by higher volumes in loans at increasing margins), the income growth is driven by the Net Fee and commissions bank, mainly thanks to asset management services resulting from increased subscriptions, higher average outstanding volumes thanks to organic growth, increasing equity markets, and higher (entry and servicing) fees. The insurance contribution is slightly higher than last year resulting from better life income, partially offset by a decrease in non-life income resulting mainly from higher claims charges (especially in Car) as previous year was positively impacted by the Covid-19 lockdown, as well as the impact of the July floods amounting to EUR 24 million. Other income decreased due mainly to the increase in levies. The expenses are in line with last year thanks to a strict costs control. The cost of risk in 2021 is positive as a result of the updated underlying macro-economic scenarios due to general macro-economic improvement as well as the reassessment of the management overlays, resulting in reversals of part of the stage 1 and 2 impairments accounted for in 2020.

Entrepreneurs, Enterprises & Public net income strongly increased from EUR 82 million in 2020 to EUR 482 million in 2021. The net interest income increased thanks to the loans production especially in the Corporate segment and the continued pricing discipline. Net fees and commissions increased mainly thanks to payment services. Other income decreased due mainly to the increase in levies. The expenses are in line with 2020 thanks to strict costs control. The cost of risk in 2021 is positive as a result of the updated underlying macro-economic scenarios due to general macro-economic improvement as well as the reassessment of the management overlays, resulting in reversals of part of the stage 1 and 2 impairments accounted for in 2020. As customary, impairments were also recognised on a limited number of defaulted (stage 3) exposures during 2021.

Group Center net income stands at EUR 7 million in 2021, compared to EUR 117 million in 2020. The decrease of income is mainly generated by lower net interest income compared to 2020, mainly due to more funding to be invested at negative deposit facility rate, as well as lower other income due to increase in levies. The impairments on financial instruments and provisions for credit commitments increased as 2020 was impacted by a reversal of provision on a specific file.

Refer to the chapter Segment reporting of the Management Report for a detailed description of the segment results.

B. Segmentation by contribution scope

The statement of income represents the contributions of the Belfius Bank group (i.e. Belfius Bank with all its subsidiaries apart from the Belfius Insurance group) as well as the Belfius Insurance group (i.e. Belfius Insurance with its subsidiaries).

	31/12/20		
(in thousands of EUR)	Contribution Bank into group	Contribution Insurance into group	Total
INCOME	**2,069,292**	**544,357**	**2,613,649**
Net interest income	1,589,585	401,921	1,991,506
Dividend income	14,142	36,123	50,265
Net income from equity method companies	1,785	3,064	4,848
Net income from financial instruments at fair value through profit or loss	47,108	(23,021)	24,086
Net income on investments and liabilities	14,935	39,582	54,517
Net fee and commission income	622,172	18,770	640,942
Technical result from insurance activities	0	67,851	67,851
Other income & expense	(220,436)	69	(220,368)
EXPENSES	**(1,207,430)**	**(257,488)**	**(1,464,919)**
NET INCOME BEFORE TAX AND IMPAIRMENTS	**861,861**	**286,869**	**1,148,730**
Impairments on financial instruments and provisions for credit commitments	(447,699)	(5,433)	(453,133)
Impairments on tangible and intangible assets	(13,778)	(2,836)	(16,614)
NET INCOME BEFORE TAX	400,384	278,600	678,984
Total tax (expense) income	(80,987)	(66,373)	(147,360)
NET INCOME AFTER TAX	319,398	212,227	531,624
Attributable to non-controlling interests	23	(14)	9
Attributable to equity holders of the parent	319,375	212,240	531,615

(in thousands of EUR)	31/12/21 Contribution Bank into group	Contribution Insurance into group	Total
INCOME	**2,164,070**	**539,206**	**2,703,276**
Net interest income	1,623,445	377,922	2,001,367
Dividend income	23,222	49,632	72,853
Net income from equity method companies	2,354	95	2,449
Net income from financial instruments at fair value through profit or loss	21,191	3,782	24,973
Net income on investments and liabilities	13,917	925	14,842
Net fee and commission income	732,416	25,088	757,504
Technical result from insurance activities	0	72,916	72,916
Other income & expense	(252,476)	8,847	(243,629)
EXPENSES	**(1,220,488)**	**(256,637)**	**(1,477,125)**
NET INCOME BEFORE TAX AND IMPAIRMENTS	**943,582**	**282,569**	**1,226,151**
Impairments on financial instruments and provisions for credit commitments	1,399	(39)	1,361
Impairments on tangible and intangible assets	(947)	(850)	(1,797)
NET INCOME BEFORE TAX	944,034	281,681	1,225,714
Total tax (expense) income	(227,968)	(62,130)	(290,098)
NET INCOME AFTER TAX	716,066	219,551	935,617
Attributable to non-controlling interests	23	630	653
Attributable to equity holders of the parent	716,043	218,920	934,964

The contribution of Belfius Insurance increased with EUR 7 million from EUR 212 million at 31 December 2020 to EUR 220 million at 31 December 2021. The Life income improved in 2021 thanks to decreasing interest guarantees. The Non-Life income in 2021 decreased due mainly to higher claims charges (especially in Car) as previous year was positively impacted by the Covid-19 lockdown. The cost for natural disasters, net of reinsurance amounts to EUR 27,5 million in 2021, compared to EUR 25 million in 2020. The impact of the July floods amounts to EUR 24 million (including ex-gratia payments, allowing for a fair and efficient claim-handling for the victims of the floods). The amount has been limited as a result of the reinsurance programs in place.

The contribution of Belfius Bank increased with EUR 397 million from EUR 319 million at 31 December 2020 to EUR 716 million at 31 December 2021. Belfius Bank realised a strong net interest income (low interest rates and increased non maturing deposits outstanding compensated by increasing and further diversified loan volumes and ECB tariffs funding benefits). The fees activity in 2021 increased compared with last year, mainly thanks to asset management services. The net income from financial instruments increased due mainly to the negative impact of the Covid-19 outbreak on credit spreads as well as equity markets in 2020 whereas the markets stabilized in 2021. The other income and expense in 2021 were mainly impacted by the increase in levies. The costs are slightly more negative in 2021 than in 2020 as Belfius continues to invest in human capital, as well as in IT and digitalization. Impairments on financial instruments and provision for credit commitments were positive in 2021 as Belfius updated the underlying macro-economic scenarios due to general macro-economic improvement and reassessed the management overlays, resulting in reversals of part of the stage 1 and 2 impairments accounted for in 2020.

V. Notes on the assets of the consolidated balance sheet

(some amounts may not add up due to rounding)

5.1. Cash and cash equivalents

Cash and cash equivalents include financial instruments with an original maturity less than or equal to 90 days.

Analysis by nature

(in thousands of EUR)	31/12/20	31/12/21
Cash and balances with central banks other than mandatory reserves	24,474,132	31,641,371
Mandatory reserves with central banks(1)	960,000	0
Loans and advances due from credit institutions	166,793	601,745
Debt securities	280,975	79,822
TOTAL	25,881,900	32,322,938

(1) The "Mandatory reserves" include the minimum reserve deposits that Belfius has with the European Central Bank (ECB) or with other central banks. Note that Belfius complies with the requirement of holding an average balance on the reserve account over the reference period.

5.2. Cash and balances with central banks

Analysis by nature

(in thousands of EUR)	31/12/20	31/12/21
Cash in hand	464,804	358,704
Balances with central banks other than mandatory reserve deposits	24,008,996	31,282,232
Mandatory reserves deposits (1)	960,000	0
Impairment stage 1 PF(2)	(19)	(590)
TOTAL	25,433,781	31,640,347
Of which included in cash and cash equivalents	25,434,151	31,641,371
Cash and balances with central banks other than mandatory reserves	24,474,132	31,641,371
Mandatory reserves with central banks	960,000	0

(1) The "Mandatory reserves deposits" includes the minimum reserve deposits that Belfius has with European Central Bank or with other central banks. Note that Belfius complies with the requirement of holding an average balance on the reserve account over the reference period.
(2) Pro forma due to refinement of presentation, stage 1 impairments on cash and balances with central banks (EUR 19 thousand) are reported under "Cash and balances with central banks" as of 2021.

Cash and balances with central banks increased by EUR 6.2 billion, or 24.4%, to EUR 31.6 billion (31 December 2020: EUR 25.4 billion). Belfius deposits part of its cash at the NBB, within the framework of its liquidity management.

As from end of October 2019, the ECB two-tier system is applicable. As a consequence, the exempt tier of excess liquidity holdings will be remunerated at an annual rate of 0% instead of a negative rate.

5.3. Loans and advances due from credit institutions

1. Summary Totals

(in thousands of EUR)	31/12/20	31/12/21
Measured at amortised cost PF(1)	11,911,684	10,411,237
Measured at fair value through other comprehensive income	0	0
Measured at fair value through profit and loss	0	0
TOTAL	11,911,684	10,411,237

(1) Pro forma due to refinement of presentation, stage 1 impairments on cash and balances with central banks (EUR 19 thousand) are reported under "Cash and balances with central banks" as of 2021.

2. Analysis by nature

A. Not measured at fair value through profit or loss

(in thousands of EUR)	31/12/20		31/12/21	
	Amortised Cost	Measured at fair value through other comprehensive income	Amortised Cost	Measured at fair value through other comprehensive income
Cash collateral	11,634,209	0	9,280,116	0
Sight accounts	110,775	0	170,465	0
Reverse repurchase agreements	52,705	0	450,279	0
Financial lease	65,985	0	7,461	0
Term loans	48,498	0	503,239	0
Impaired loans (stage 3)	0	0	0	0
Less:				
impairment (stages 1,2 and 3) PF[1]	(488)	0	(323)	0
TOTAL	**11,911,684**	**0**	**10,411,237**	**0**
Of which included in cash and cash equivalents	166,793	0	601,745	0

(1) Pro forma due to refinement of presentation, stage 1 impairments on cash and balances with central banks (EUR 19 thousand) are reported under "Cash and balances with central banks" as of 2021.

Loans and advances due from credit institutions decreased with EUR 1.5 billion, or -12.6%, to EUR 10.4 billion (31 December 2020: EUR 11.9 billion). The decrease in cash collateral paid of EUR 2.4 billion, in line with the decrease in the fair value of derivatives, was partially offset by an increase in term loans of EUR 0.5 billion and reverse repurchase agreements of EUR 0.4 billion.

Not measured at fair value through profit or loss - breakdown

(in thousands of EUR)	31/12/20		31/12/21	
	Amortised Cost	Measured at fair value through other comprehensive income	Amortised Cost	Measured at fair value through other comprehensive income
Gross amount (stage 1)	11,900,622	0	10,404,203	0
less impairment allowance (stage 1) PF[1]	(69)	0	(213)	0
Gross amount (stage 2)	11,550	0	7,357	0
less impairment allowance (stage 2)	(419)	0	(110)	0
Gross amount credit - Impaired (stage 3)	0	0	0	0
Impairment on credit - impaired (stage 3)	0	0	0	0
TOTAL	**11,911,684**	**0**	**10,411,237**	**0**

(1) Pro forma due to refinement of presentation, stage 1 impairments on cash and balances with central banks (EUR 19 thousand) are reported under "Cash and balances with central banks" as of 2021.

B. Measured at fair value through profit and loss

Nil

3. Analysis of quality

See note 9.2.

4. Analysis of the fair value

See note 9.1.

5.4. Loans and advances

1. Summary Totals

(in thousands of EUR)	31/12/20	31/12/21
Measured at amortised cost	96,811,908	101,540,978
Measured at fair value through other comprehensive income	0	99,119
Measured at fair value through profit and loss	1,296,142	1,038,717
TOTAL	98,108,050	102,678,814

Loans and advances increased by EUR 4.6 billion, or 4.7%, to EUR 102.7 billion (31 December 2020: EUR 98.1 billion), stemming from an increase in loans of EUR 5.3 billion (mainly mortgage and term loans) in line with our strategy to further develop our commercial franchise and to support the Belgian economy. Cash collateral decreased by EUR 0.3 billion. Financial leases decreased by EUR 0.2 billion stemming from the reclassification of the leasing contracts of Belfius Auto Lease to operating lease of EUR 0.4 billion. Following contractual changes, a classification as finance lease is no longer adequate. This evolution is partially offset by an increase of EUR 0.2 billion new leasing contracts concluded during the year.

Note that through the consolidation of Belfius Euro Loans, Belfius recognised leveraged loans measured at fair value through other comprehensive income from this dedicated fund for EUR 99 million.

2. Analysis by counterparty

A. Not measured at fair value through profit or loss

(in thousands of EUR)	31/12/20		31/12/21	
	Amortised Cost	Measured at fair value through other comprehensive income	Amortised Cost	Measured at fair value through other comprehensive income
Public entities	18,992,951	0	18,529,342	0
Corporate & Small and Medium Enterprises	36,749,676	0	38,632,955	102,260
Households	40,899,947	0	44,132,306	0
Impaired loans (stage 3)	1,997,262	0	2,011,887	0
Less:				
impairment (stages 1,2 and 3)	(1,827,928)	0	(1,765,512)	(3,141)
TOTAL	96,811,908	0	101,540,978	99,119

Not measured at fair value through profit or loss – breakdown

(in thousands of EUR)	31/12/20		31/12/21	
	Amortised Cost	Measured at fair value through other comprehensive income	Amortised Cost	Measured at fair value through other comprehensive income
Gross amount (stage 1)	84,330,020	0	88,397,192	84,431
less impairment allowance (stage 1)	(133,883)	0	(128,120)	(2,951)
Gross amount (stage 2)	12,312,554	0	12,897,410	17,829
less impairment allowance (stage 2)	(495,220)	0	(422,498)	(190)
Gross amount credit - Impaired (stage 3)	1,997,262	0	2,011,887	0
Impairment on credit - impaired (stage 3)	(1,198,825)	0	(1,214,893)	0
TOTAL	96,811,908	0	101,540,978	99,119

The gross amount in stage 1 increased following the new production of loans and advances.

A decrease in stage 1 and 2 impairment allowances can be noted following the general macro-economic improvement in 2021. In particular, Belfius has updated the underlying macro-economic scenarios and reassessed the management overlays in specific risk pockets, resulting in reversals of part of the stage 1 and 2 impairments accounted for in 2020. Refer to table 9.2.3. movements in allowances for credit losses for further information.

B. Measured at fair value through profit and loss

(in thousands of EUR)	31/12/20 Financial assets held for trading	Financial assets designated at fair value through profit or loss	Non-trading financial assets mandatorily measured at fair value through profit or loss	Total
Public entities	0	0	1,212,713	1,212,713
Corporate & Small and Medium Enterprises (PF)(1)	0	0	74,789	74,789
Households (PF)(1)	4,265	0	4,375	8,640
TOTAL	**4,265**	**0**	**1,291,877**	**1,296,142**

(1) Belfius has performed pro forma figures for 31 December 2020 following refinement of the presentation between lines "Corporate & Small and Medium Enterprises" and "Households".

(in thousands of EUR)	31/12/21 Financial assets held for trading(1)	Financial assets designated at fair value through profit or loss	Non-trading financial assets mandatorily measured at fair value through profit or loss(2)	Total
Public entities	0	0	978,240	978,240
Corporate & Small and Medium Enterprises	0	0	57,364	57,364
Households	980	0	2,134	3,114
TOTAL	**980**	**0**	**1,037,737**	**1,038,717**

(1) Belfius warehouses mortgage loans, for a limited period of time, before transferring these mortgage loans to an external party.
(2) It mainly concerns loans to the public and social sector with specifically structured interest rate features that do not pass the SPPI-test and are therefore measured at fair value through profit and loss.

Loans and advances measured at fair value through profit and loss decreased mainly due to repayments.

3. Analysis by nature

A. Not measured at fair value through profit or loss

(in thousands of EUR)	31/12/20		31/12/21	
	Amortised Cost	Measured at fair value through other comprehensive income	Amortised Cost	Measured at fair value through other comprehensive income
Cash collateral	1,253,820	0	995,104	0
Reverse repurchase agreements	192,766	0	61,590	0
Financial lease	3,443,743	0	3,209,453	0
Other Loans and advances(1)	91,752,244	0	97,028,455	102,260
Of which bills and own acceptances	112,179	0	137,346	0
Of which consumer loans	1,704,347	0	1,666,672	0
Of which mortgage loans(2)	38,052,041	0	40,965,709	0
Of which term loans(3)	49,486,482	0	51,369,690	0
Of which current accounts	1,242,910	0	1,450,448	0
Of which other loans and advances(4)	1,154,285	0	1,438,591	102,260
Impaired loans (stage 3)	1,997,262	0	2,011,887	0
Less				
impairment (stages 1,2 and 3)	(1,827,928)	0	(1,765,512)	(3,141)
TOTAL	**96,811,908**	**0**	**101,540,978**	**99,119**

(1) The underlying pool of loans of the covered bonds (Pandbrieven) amount to EUR 10.9 billion (31 December 2020: EUR 12.5 billion). This covered pool guarantees the outstanding covered bonds, of which EUR 5.3 billion mortgage covered bonds (31 December 2020: EUR 5.3 billion) and EUR 1.2 billion public covered bonds (31 December 2020: EUR 2.5 billion). We also refer to note 9.3.4. on Transfer of financial assets which do not qualify for derecognition in the consolidated balance sheet.
(2) End 2020, EUR 3.2 billion "mortgage loans" were securitised. In 2021, this decreased to EUR 2.5 billion. We also refer to note 12. "Securitisations" and to note 9.3.4. on Transfer of financial assets which do not qualify for derecognition in the consolidated balance sheet.
(3) End 2020, EUR 1.6 billion "term loans" were securitised. In 2021, this decreased to EUR 1.3 billion. We also refer to note 12. "Securitisations" and to note 9.3.4. on Transfer of financial assets which do not qualify for derecognition in the consolidated balance sheet.
(4) Other loans and advances at amortised cost concern mainly factoring activities.

Loans and advances increased by EUR 4.6 billion, or 4.7%, to EUR 102.7 billion (31 December 2020: EUR 98.1 billion), stemming from an increase in loans of EUR 5.3 billion (mainly mortgage and term loans) in line with our strategy to further develop our commercial franchise and to support the Belgian economy. Cash collateral decreased by EUR 0.3 billion. Financial leases decreased by EUR 0.2 billion stemming from the reclassification of the leasing contracts of Belfius Auto Lease to operating lease of EUR 0.4 billion. Following contractual changes, a classification as finance lease is no longer adequate. This evolution is partially offset by an increase of EUR 0.2 billion new leasing contracts concluded during the year.

Note that through the consolidation of Belfius Euro Loans, Belfius recognised leveraged loans measured at fair value through other comprehensive income from this dedicated fund for EUR 99 million.

B. Measured at fair value through profit and loss

(in thousands of EUR)	31/12/20 Financial assets held for trading(1)	Financial assets designated at fair value through profit or loss	Non-trading financial assets mandatorily measured at fair value through profit or loss(2)	Total
Mortgage loans	4,265	0	0	4,265
Public sector loans	0	0	1,291,877	1,291,877
TOTAL	4,265	0	1,291,877	1,296,142

(in thousands of EUR)	31/12/21 Financial assets held for trading(1)	Financial assets designated at fair value through profit or loss	Non-trading financial assets mandatorily measured at fair value through profit or loss(2)	Total
Mortgage loans	980	0	0	980
Public sector loans	0	0	1,037,737	1,037,737
TOTAL	980	0	1,037,737	1,038,717

(1) Belfius warehouses mortgage loans, for a limited period of time, before transferring these mortgage loans to an external party.
(2) It mainly concerns loans to the public and social sector with specifically structured interest rate features that do not pass the SPPI-test and are therefore measured at fair value through profit and loss.

Loans and advances measured at fair value through profit and loss decreased mainly due to repayments.

4. Analysis of quality

See note 9.2.

5. Analysis of the fair value

See note 9.1.

5.5. Debt securities & Equity instruments

1. Summary Totals

(in thousands of EUR)	31/12/20	31/12/21
Measured at amortised cost	22,039,067	20,839,937
Measured at fair value through other comprehensive income	5,170,430	4,959,373
Measured at fair value through profit or loss	1,639,368	1,396,041
TOTAL	28,848,865	27,195,351

The Belfius Banking Group contributed EUR 16.5 billion (31 December 2020: EUR 17.3 billion) to the debt securities and equity instruments portfolio and the Belfius Insurance Group contributed EUR 10.7 billion (31 December 2020: EUR 11.6 billion).

Two types of business models can be distinguished within Belfius group. The bond portfolios within the banking group are managed within a business model whose objective is to "held to collect" contractual cash flows until maturity apart from certain positions that were classified as "held to collect and sell". The debt securities of the insurance group are managed according to their ALM policies and guidelines, resulting in the insurance group having determined that a part of this portfolio should be defined as "held to collect" and certain debt securities as "held to collect and sell" to cover the liquidity needs within Belfius Insurance.

Seeing that certain bond positions did not comply with the solely payment of principal and interest on the principal amount outstanding, a classification at fair value through profit and loss was required. It mainly concerns monetary funds within Belfius Insurance.

2. Analysis by nature

A. Not measured at fair value through profit or los

(in thousands of EUR)	31/12/20 Amortised Cost	31/12/20 Measured at fair value through other comprehensive income	31/12/21 Amortised Cost	31/12/21 Measured at fair value through other comprehensive income
Debt securities issued by public sector	10,787,351	2,579,447	9,625,312	2,346,131
Other debt securities	11,406,395	1,307,461	11,384,612	1,209,119
Equity instruments	0	1,303,641	0	1,423,213
Impaired debt securities (stage 3)	4,268	0	4,267	0
impairment (stages 1,2 and 3)	(158,946)	(20,119)	(174,255)	(19,090)
TOTAL	22,039,067	5,170,430	20,839,937	4,959,373
Of which included in cash and cash equivalents	280,975	0	77,022	2,800

The debt securities measured at amortised cost decreased by EUR 1.2 billion, or -5.4%, to EUR 20.8 billion (31 December 2020: EUR 22.0 billion) following redemptions, partially offset by acquisitions.

The financial assets measured at fair value through other comprehensive income decreased by EUR 0.2 billion, or -4.1%, to EUR 5.0 billion (31 December 2020: EUR 5.2 billion). This is ascribed to disposals and redemptions of bonds, as well as negative fair value adjustments on bonds resulting from higher interest rates compared with the 2020 year-end, partially offset by acquisitions and positive fair value adjustments on equity instruments resulting from improved stock markets compared to the 2020 year-end.

Debt securities not measured at fair value through profit or loss - breakdown

(in thousands of EUR)	31/12/20 Amortised Cost	31/12/20 Measured at fair value through other comprehensive income	31/12/21 Amortised Cost	31/12/21 Measured at fair value through other comprehensive income
Gross amount (stage 1)	14,452,574	2,954,263	13,174,429	2,786,580
less impairment allowance (stage 1)	(2,165)	(2,554)	(1,568)	(1,964)
Gross amount (stage 2)	7,741,171	932,645	7,835,496	768,669
less impairment allowance (stage 2)	(153,455)	(17,565)	(169,362)	(17,126)
Gross amount credit - Impaired (stage 3)	4,268	0	4,267	0
Impairment on credit - impaired (stage 3)	(3,325)	0	(3,325)	0
TOTAL	22,039,067	3,866,789	20,839,937	3,536,160

B. Measured at fair value through profit and loss

(in thousands of EUR)	31/12/20 Financial assets held for trading	Financial assets designated at fair value through profit or loss	Non-trading financial assets mandatorily measured at fair value through profit or loss	Total
Debt securities issued by public sector	153,144	0	112,936	266,081
Other debt securities	344,815	0	750,483	1,095,299
Equity instruments	277,979	0	9	277,988
TOTAL	775,939	0	863,428	1,639,368

(in thousands of EUR)	31/12/21 Financial assets held for trading	Financial assets designated at fair value through profit or loss	Non-trading financial assets mandatorily measured at fair value through profit or loss	Total
Debt securities issued by public sector	180,813	0	112,595	293,408
Other debt securities	38,757	0	603,307	642,064
Equity instruments	460,560	0	8	460,569
TOTAL	680,130	0	715,910	1,396,041

Debt securities measured at fair value through profit or loss decreased by EUR 0.2 billion, or -14.8%, to EUR 1.4 billion (31 December 2020: EUR 1.6 billion) due to a decreasing volume of temporary client flow management positions (decrease of EUR 0.3 billion in debt securities partially offset by increase of EUR 0.2 billion in equity instruments) and disposals out of the funds portfolio (EUR 0.1 billion).

C. Measured at fair value through other comprehensive income - Equity

The table below presents the reason why the equity instruments were designated at fair value through other comprehensive income.

(in thousands of EUR)	31/12/20 Reason for designation	Fair Value	Dividend income recognised
Strategic portfolio insurance - real estate	Risk and ALM purposes	464,177	21,156
Strategic portfolio insurance - various underlying	Risk and ALM purposes	642,202	14,967
Strategic portfolio bank	Risk and ALM purposes	197,261	6,277
TOTAL		1,303,641	42,400

(in thousands of EUR)	31/12/21 Reason for designation	Fair Value	Dividend income recognised
Strategic portfolio insurance - real estate	Risk and ALM purposes	538,984	21,245
Strategic portfolio insurance - various underlying	Risk and ALM purposes	690,536	28,387
Strategic portfolio bank	Risk and ALM purposes	193,694	11,597
TOTAL		1,423,213	61,229

The table below presents the reason why the equity instruments designated at fair value through other comprehensive income were sold.

(in thousands of EUR)	31/12/20 Reason for disposal	Fair Value at derecognition date	Transfer of cumulative gain or loss within equity	Dividend income recognised
Strategic portfolio insurance - real estate	Risk and ALM purposes	43,980	(30,036)	1,077
Strategic portfolio insurance - various underlying	Risk and ALM purposes	306,837	(21,966)	2,412
Strategic portfolio bank	Risk and ALM purposes	6,447	235	0
TOTAL		357,264	(51,767)	3,489

(in thousands of EUR)	31/12/21 Reason for disposal	Fair Value at derecognition date	Transfer of cumulative gain or loss within equity	Dividend income recognised
Strategic portfolio insurance - real estate	Risk and ALM purposes	137,721	13,311	5,289
Strategic portfolio insurance - various underlying	Risk and ALM purposes	196,735	19,872	2,274
Strategic portfolio bank	Risk and ALM purposes	85	(1,725)	0
TOTAL		334,541	31,458	7,563

3. Analysis of quality

See note 9.2.

4. Analysis of the fair value

See note 9.1.

5.6. Derivatives

1. Analysis by nature

	31/12/20		31/12/21	
(in thousands of EUR)	Assets	Liabilities	Assets	Liabilities
Derivatives held for trading	10,720,643	10,794,164	8,074,506	7,121,508
Derivatives designated as fair value hedges	482	2,804,810	3,857	3,150,462
Derivatives designated as cash flow hedges	70,285	190,640	35,783	220,993
Derivatives designated as portfolio hedge	1,396,703	4,520,541	794,893	3,525,765
TOTAL	12,188,113	18,310,156	8,909,039	14,018,729

A decrease in the fair value of derivatives can be noted, mainly due to the impact of higher interest rates, offsetting for derivatives concluded with LCH and unwinds of some bilateral agreements. The total impact of the offsetting for derivatives concluded with LCH amounted to EUR 8.5 billion at the end of 2021, compared with EUR 7.8 billion at the end of 2020. Refer to note 9.3.6. Offsetting.

2. Detail of derivatives held for trading

	31/12/20				31/12/21			
	Notional amount(1)		Assets	Liabilities	Notional amount(1)		Assets	Liabilities
(in thousands of EUR)	To receive	To deliver			To receive	To deliver		
Foreign exchange derivatives	24,893,783	24,781,432	1,314,015	1,178,127	21,571,676	21,503,197	1,074,309	987,441
Interest rate derivatives	182,446,922	187,051,381	9,002,354	9,346,108	202,761,432	214,489,799	6,559,551	5,838,443
Credit derivatives	2,334,260	1,381,606	96,187	106,806	1,001,613	139,044	36,171	65,551
Equity derivatives	6,687,037	6,862,864	308,087	163,124	6,860,953	6,548,361	404,475	230,074
TOTAL	216,362,001	220,077,283	10,720,643	10,794,164	232,195,674	242,680,401	8,074,506	7,121,508

(1) The "Notional amount to receive" and the "Notional amount to deliver" represent the two legs of a derivative financial instrument and are presented separately in the table. In the case of f.e. an interest rate swap, the "Notional amount to receive" represents the notional amount on which the interest to be received by Belfius is calculated; the "Notional amount to deliver" represents the notional amount on which the interest to be paid by Belfius is calculated.

The derivatives position of Belfius originated partially from the fact that Belfius was the competence center for derivatives within the former Dexia Group. These derivatives were hedged externally for market risk. The derivatives between Belfius Bank and Dexia Group entities remained in the scope of Belfius after the sale of Belfius to the Belgian State in 2011. The notional amount of these derivatives amounts to EUR 7.3 billion per end 2021. The credit risk thereon is mitigated through the use of collateral (Credit Support Annex).

Seeing the restrictions under IFRS for hedge accounting, certain economic hedges cannot be classified as hedge derivatives under IFRS. As a result, several economic hedges are considered as trading derivatives while hedging non-basic bonds and loans, FVO positions or basis risk stemming from hedge inefficiency (f.e. basis swaps).

For additional information on related market risk, refer to note 9.5. "Market Risk" as well as note 7.4. "Net income from financial instruments at fair value through profit or loss" for more information regarding the economic hedges.

3. Fair Value Hedges

A. Detail of derivatives designated as fair value hedges

(in thousands of EUR)	31/12/20				31/12/21			
	Notional amount[1]		Assets	Liabilities	Notional amount[1]		Assets	Liabilities
	To receive	To deliver			To receive	To deliver		
Interest rate derivatives	5,586,122	5,493,102	482	2,747,325	5,931,593	5,808,255	3,819	3,133,804
of which interest rate swaps	4,840,185	4,840,185	482	2,002,080	5,203,941	5,203,941	3,819	2,408,023
of which cross currency interest rate swaps	745,938	652,917	0	745,244	727,652	604,314	0	725,782
Credit derivatives[2]	1,322,285	0	0	57,486	1,322,285	0	38	16,658
TOTAL	6,908,407	5,493,102	482	2,804,810	7,253,878	5,808,255	3,857	3,150,462

(1) The "Notional amount to receive" and the "Notional amount to deliver" represent the two legs of a derivative financial instrument and are presented separately in the table. In the case of f.e. an interest rate swap, the "Notional amount to receive" represents the notional amount on which the interest to be received by Belfius is calculated; the "Notional amount to deliver" represents the notional amount on which the interest to be paid by Belfius is calculated. Note that a forward sale contract mentions only one notional amount.
(2) Belfius Insurance has concluded "spreadlock" derivatives in order to hedge the asset swap spread on certain bond positions. The purpose of these transactions is to protect the Solvency II ratio. More in particular, the spreadlock transaction locks in a forward assets swap spread at the moment of the conclusion of the transaction. Seeing that the spreadlock is defined to hedge the asset swap spread (i.e. all risks except changes in fair value due to benchmark interest rate) of specific bond positions, the derivative is presented as a credit derivative for which fair value hedge accounting has been set up.

B. Detail of hedged exposure

The following table contains details of the hedged exposures covered by the Belfius' hedging strategies.

(in thousands of EUR)	31/12/20 Carrying amount of hedged item	Assets or liabilities included in hedge of a net position (before netting)	Accumulated amount of fair value adjustments on the hedged item	Accumulated amount of fair value hedged adjustments in the statement of financial positions in case of rupture
Financial assets measured at fair value through other comprehensive income	151,366	0	5,295	(4,137)
Credit[1]	151,366	0		
Financial assets measured at amortised cost	10,982,359	0	1,965,519	2,349,882
Interest rate	9,636,945	0		
Credit[1]	1,345,414	0		

(in thousands of EUR)	31/12/21 Carrying amount of hedged item	Assets or liabilities included in hedge of a net position (before netting)	Accumulated amount of fair value adjustments on the hedged item	Accumulated amount of fair value hedged adjustments in the statement of financial positions in case of rupture
Financial assets measured at fair value through other comprehensive income	136,375	0	1,161	1,367
Credit[1]	136,375	0		
Financial assets measured at amortised cost	11,345,515	0	2,019,603	2,477,647
Interest rate	10,007,283	0		
Credit[1]	1,338,232	0		

(1) Belfius Insurance has concluded "spreadlock" derivatives in order to hedge the asset swap spread on certain bond positions. The purpose of these transactions is to protect the Solvency II ratio. More in particular, the spreadlock transaction locks in a forward assets swap spread at the moment of the conclusion of the transaction. Seeing that the spreadlock is defined to hedge the asset swap spread (i.e. all risks except changes in fair value due to benchmark interest rate) of specific bond positions, the derivative is presented as a credit derivative for which fair value hedge accounting has been set up.

In the table, the carrying amount of hedged items in a fair value hedge is broken down by accounting portfolio. The accumulated amount of fair value adjustments on the hedged item includes the gains and losses on the hedged items that, as a consequence of hedge accounting, have adjusted the carrying amount of those items. Accumulated amount of fair value hedged adjustments in the statement of financial positions in case of rupture includes those hedge adjustments which, following the discontinuation of the hedge relationship and the end of the adjustment of hedged items for hedging gains and losses, remain to be amortised to the profit or loss via a recalculated effective interest rate for hedged items measured at amortised cost, or to the amount that represents the previously recognised cumulative hedging gain or loss for hedged assets measured at fair value through other comprehensive income.

C. Detail of the hedge documentation

To ensure the hedge relationship qualifies for hedge accounting, a formal documentation is prepared and the effectiveness is assessed on an ongoing basis throughout the hedging relationship.

Belfius applies fair value hedging to interest rate and foreign exchange risks on certain bonds (micro hedge). Belfius mainly uses plain vanilla interest rate swaps except for non-EUR bonds where plain vanilla interest rate & currency swaps are used.

The fair value used for the measurement of hedge effectiveness is based on the fair value movements of the derivatives in the balance sheet and the fair value movement of the hedged risk of the hedged item (generally through a hypothetical derivative).

For fair value hedging, the prospective test is based on a critical terms comparison between the hedging instrument and the hedged item. Retrospective testing is done by applying a dollar offset method (comparison of fair value hedged item and hedging instrument) and comparing it with well-defined limits.

End 2021 all hedge effectiveness tests were respected.

Refer to note 7.4. "Net income from financial instruments at fair value through profit or loss" for more information regarding the measurement of hedge effectiveness.

4. Cash flow hedges

A. Detail of derivatives designated as cash flow hedges

(in thousands of EUR)	31/12/20				31/12/21			
	Notional amount[1]		Assets	Liabilities	Notional amount[1]		Assets	Liabilities
	To receive	To deliver			To receive	To deliver		
Foreign exchange derivatives	6,269,615	6,289,505	70,285	190,640	5,547,586	5,592,811	35,783	220,993
of which cross currency swaps	6,269,615	6,289,505	70,285	190,640	5,547,586	5,592,811	35,783	220,993
TOTAL	6,269,615	6,289,505	70,285	190,640	5,547,586	5,592,811	35,783	220,993

(1) The "Notional amount to receive" and the "Notional amount to deliver" represent the two legs of a derivative financial instrument and are presented separately in the table. In the case of f.e. an interest rate swap, the "Notional amount to receive" represents the notional amount on which the interest to be received by Belfius is calculated; the "Notional amount to deliver" represents the notional amount on which the interest to be paid by Belfius is calculated.

Estimated cashflows from cashflow hedging derivatives per time bucket

(in thousands of EUR)	Inflow	Outflow
Not more than three months	2,569,088	(4,690,779)
More than three but not more than six months	2,569,088	(4,693,576)
More than six months but not more than one year	2,569,088	(4,688,466)
More than one but not more than two years	2,569,088	(4,705,338)
More than two but not more than five years	2,569,088	(4,674,307)
More than five years	2,322,859	(3,807,269)

B. Detail of hedged exposure

Cash flow hedges are performed on highly probable future cash flows.

Belfius has restructured certain derivative contracts by eliminating certain optionalities. In particular, in some derivative contracts, Belfius does not have the option to choose the currency for its collateral posting anymore. As a result, Belfius needs to pay more collateral in GBP instead of in EUR. In order to hedge this additional collateral demand in GBP, Belfius has entered into some Cross Currency Swaps whereby GBP is received in exchange for EUR. These Cross Currency Swaps are recorded in a cash flow hedge relationship for the currency risk on a "highly probable forecasted transaction", whereby Belfius demonstrates that the collateral to be paid is higher than the notional of the Cross Currency Swap.

Belfius decided to cover the risk of variability of cash flows and foreign currency changes stemming from incoming invoices charging Belfius for services in foreign currencies. In order to hedge this risk, Belfius concluded Cross Currency Swaps which are recorded in a cash flow hedge relationship for the currency risk on a "highly probable forecasted transaction". Belfius demonstrates that the invoiced amounts are higher than the amounts received through the Cross Currency Swaps. Note that Belfius is closely following up the impact of the reference rate reform. However, at this stage, no impact on hedge accounting is noted as it concerns short term cash flows (6 months/3 months) that will be adapted simultaneously between forecasted cash flow and the hedging instruments.

C. Detail of the hedge documentation

To ensure the hedge relationship qualifies for hedge accounting, a formal documentation is prepared and the effectiveness is assessed on an ongoing basis throughout the hedging relationship.

Belfius decided to cover the risk of variability of cash flows and foreign currency changes stemming from incoming invoices charging Belfius for services in foreign currencies. In order to hedge this risk, Belfius concluded Cross Currency Swaps which are recorded in a cash flow hedge relationship for the currency risk on a "highly probable forecasted transaction". Belfius demonstrates that the invoiced amounts are higher than the amounts received through the Cross-Currency Swaps. Note that Belfius is closely following up the impact of the reference rate reform. However, at this stage, no impact on hedge accounting is noted as it concerns short term cash flows (6 months/3 months) that will be adapted simultaneously between forecasted cash flow and the hedging instruments.

For cash flow hedging, the prospective test is based on a critical terms comparison between the hedging instrument and the hedged item. Retrospective testing is done by applying a dollar offset method (comparison of fair value hedged item and hedging instrument) and comparing it with well-defined limits. Note that for a forecasted transaction, an analysis is performed to assure that the expected cash flows are still highly likely.

End 2021 all hedge effectiveness tests were respected.

Refer to note 7.4. "Net income from financial instruments at fair value through profit or loss" for more information regarding the measurement of hedge effectiveness.

D. Reconciliation of equity in relation to hedge accounting

For more information on the reconciliation of each component of equity and an analysis of other comprehensive income in relation to hedge accounting, refer to notes 1.3. "Consolidated statement of comprehensive income" and 1.4. "Consolidated statement of change in equity".

5. Portfolio hedge

A. Detail of derivatives of portfolio hedge

	31/12/20				31/12/21			
	Notional amount(1)		Assets	Liabilities	Notional amount(1)		Assets	Liabilities
(in thousands of EUR)	To receive	To deliver			To receive	To deliver		
Interest rate derivatives	41,202,512	41,194,420	1,396,703	4,520,541	40,794,161	40,785,974	794,893	3,525,765
TOTAL	41,202,512	41,194,420	1,396,703	4,520,541	40,794,161	40,785,974	794,893	3,525,765

(1) The "Notional amount to receive" and the "Notional amount to deliver" represent the two legs of a derivative financial instrument and are presented separately in the table. In the case of f.e. an interest rate swap, the "Notional amount to receive" represents the notional amount on which the interest to be received by Belfius is calculated; the "Notional amount to deliver" represents the notional amount on which the interest to be paid by Belfius is calculated.

B. Detail of the hedge documentation

To ensure the hedge relationship qualifies for hedge accounting, a formal documentation is prepared and the effectiveness is assessed on an ongoing basis throughout the hedging relationship.

The accumulated gain/loss on the hedged item in portfolio hedge of interest rate risk on the balance sheet in line items VII. "Gain/loss on the hedged item in portfolio hedge of interest rate risk" amounts to EUR 3.7 million assets and EUR 0.1 million liabilities at year-end 2021 compared to EUR 4.6 million assets and EUR 0.4 million liabilities at year-end 2020.

For macro hedging, the prospective test is based on a volume test in which we demonstrate that (by entity, currency and time bucket) the amount of hedged items remains larger than the amount of hedging instruments (in term of notional as well as in term of interest cash flows). Retrospective testing, performed on a quarterly basis, is done by applying a dollar offset method (comparison of fair value hedged item and hedging instrument) and comparing it with well-defined limits.

Note that as from April 2021 a new portfolio hedge was set up on non maturing deposits.

End 2021 all hedge effectiveness tests were respected.

Refer to note 7.4. "Net income from financial instruments at fair value through profit or loss" for more information regarding the measurement of hedge effectiveness.

6. Interest rate benchmark reform

A. Introduction

The introduction of the EU Benchmark Regulation 2016/1011 triggered an interest rate benchmark reform for major financial benchmarks such as LIBOR and impacts a significant range of financial products and contracts.

The Financial Conduct Authority (FCA) confirmed on March 5, 2021, that all LIBOR settings would cease to be provided or no longer be representative. This effectively set the fallback spread to be applied on top of the Risk Free Rates. This impacted EUR, CHF, JPY and GBP Libor, which ended on 31 December 2021. For USD LIBOR, the end is set for June 30, 2023.

During 2021, Belfius has successfully completed the transition for EUR, CHF, JPY and GBP LIBOR. Additionally, the final switches from EONIA to €STR have been performed. These transitions had no material impact on the income statement.

Existing task forces will continue monitoring evolutions in the market and will ensure a smooth transition for USD LIBOR upon cessation.

The interest rate benchmark reform exposes Belfius to various risks, which Belfius is managing and monitoring closely.

B. Accounting implications

In order to give some insights in the importance of the benchmark rate reform, following quantitative information could be provided:

- An overview of Belfius' derivatives (in nominal amounts) that have yet to transition to an alternative benchmark rate at 31 December 2021, disaggregated by significant interest rate benchmark.

(in thousands of EUR)	IFRS Hedging	Trading	Total
USD LIBOR	5,252,145	21,779,821	27,031,966
TOTAL	5,252,145	21,779,821	27,031,966

- An overview of Belfius' non derivative financial assets and liabilities (book value) that have yet to transition to an alternative benchmark rate at 31 December 2021, disaggregated by significant interest rate benchmark.

(in thousands of EUR)

Currency	Tenor	Assets	Liabilities
GBP	3M	40,114	0
	6M	59,533	0
GBP TOTAL		99,647	0
USD	12M	12,040	331
	1M	268,814	21,572
	3M	278,646	569,425
	6M	105,664	404,718
USD TOTAL		665,164	996,045
TOTAL		764,811	996,045

5.7. Investments in equity method companies

1. Carrying value

(in thousands of EUR)	2020	2021
CARRYING VALUE AS AT 1 JANUARY	64,124	98,880
Acquisitions(1)	5,341	2,075
Disposals	0	0
Changes in scope of consolidation (in) (2)	26,792	9,687
Changes in scope of consolidation (out) (3)	0	(15,452)
Share of result before tax	5,847	3,558
Share of tax	(999)	(1,108)
Dividend paid	(2,225)	(1,532)
Transfers	0	0
CARRYING VALUE AS AT 31 DECEMBER	98,880	96,107

(1) The acquisitions concern capital payments for the investment company M80 Capital in 2020 and for Batopin and Skipr in 2021.
(2) Since 2020 Belfius has consolidated the investments in Skipr (32.63%) for EUR 6 million, Fairville (33.33%) for EUR 0.8 million and Vicinity Affordable Housing Fund (48.03%) for EUR 20 million through the equity method. Since 2021 Belfius has consolidated the investments in Immovlan (30%) for EUR 6.6 million, and Batopin (25%) for EUR 2.6 million through the equity method.
(3) M80 Capital, a participation consolidated via the equity method, was deconsolidated in March 2021 as our shareholders' interest got diluted to 18.7%.

2. List of equity method companies

(in thousands of EUR)	Book value 2020	Book value 2021	Website
Isabel SA	8,409	10,789	www.isabel.eu
Erasmus Garden SA	2,952	2,980	
L'Economie populaire de Ciney CVBA (EPC)(1)	22,323	22,948	www.groupe-epc.be
Payconiq Belgium NV	6,860	8,047	www.payconiq.be
De Haan Vakantiehuizen	10,875	9,894	
M80 Capital CV	15,883	0	www.m80partners.com
Cyclis Bike Lease NV	5,284	6,196	www.cyclis.be
Skipr NV	5,502	5,053	nl.skipr.co
Fairville NV	792	324	www.fairville.be
Vicinity Affordable Housing Fund CV	20,000	19,950	www.vicinity.be
Immovlan BV	0	6,221	immo.vlan.be
Batopin NV	0	3,706	www.batopin.be
TOTAL	98,880	96,107	

(1) Although Belfius owns the majority of the shares in EPC, it does not have substantiated control over the investment as (a) there is a limitation of the voting rights and (b) no shareholder/control agreements exist.

3. Financial information of the joint arrangements and associates evaluated through the equity method

(in thousands of EUR)	Assets	Liabilities	Equity	Net income	Net asset value	%	Annual report, as at
ASSOCIATES							
Isabel SA	48,661	12,400	36,261	5,511	36,261	24.00%	31/12/2020
L'Economie populaire de Ciney CVBA (EPC)	81,043	47,992	33,051	1,775	33,051	61.37%	31/12/2020
Payconiq Belgium NV	39,536	16,875	22,661	2,131	22,661	22.50%	31/12/2020
De Haan Vakantiehuizen	83,019	39,519	43,501	4,932	43,501	25.00%	31/12/2020
Cyclis Bike Lease NV	9,900	7,676	2,224	669	2,224	47.45%	31/12/2020
Skipr NV	7,324	497	6,826	(3,075)	6,826	27.20%	31/12/2020
Fairville NV(1)						33.33%	
Vicinity Affordable Housing Fund CV(1)						45.83%	
Immovlan BV(2)						30.00%	
Batopin NV	8,313	523	7,790	(210)	7,790	25.00%	31/12/2020
JOINT VENTURES							
Erasmus Garden SA	24,866	20,162	4,703	1,183	4,703	50.00%	31/12/2020

(1) Financial information of recently created associates is not available at this stage.
(2) Financial information of the associate is not available due to the legal form of the company.

There are no significant or material commitments towards the joint ventures.

There are no significant restrictions on the equity method companies, on their ability to access or use assets, and settle liabilities, of the group.

5.8. Tangible fixed assets

1. Net book value

(in thousands of EUR)	Land and buildings		Office furniture and other equipment		Investment property	Total
	Own use owner	Own use Right-of-use asset	Own use owner	Given in operational lease		
ACQUISITION COST AS AT 1 JANUARY 2020	**1,275,620**	**58,894**	**386,056**	0	**853,485**	**2,574,056**
Acquisitions(1)	12,582	1,774	11,429	0	7,979	33,764
Subsequent expenditures	(5)	0	0	0	10,420	10,415
Disposals (2)	(27,368)	(217)	(58)	0	(58,819)	(86,462)
Change in scope of consolidation (in)(3)	0	0	0	0	39,749	39,749
Change in scope of consolidation (out)	0	0	0	0	0	0
Transfers and cancellations	(11,621)	(220)	(3,368)	0	(10,194)	(25,404)
Foreign exchange adjustments	0	0	0	0	0	0
Other movements	0	0	11	0	0	11
ACQUISITION COST AS AT 31 DECEMBER 2020 (A)	1,249,208	60,231	394,068	0	842,620	2,546,128
ACCUMULATED DEPRECIATION AND IMPAIRMENT AS AT 1 JANUARY 2020	**(738,419)**	**(7,789)**	**(341,143)**	**0**	**(271,351)**	**(1,358,701)**
Accumulated depreciation	(709,577)	(7,789)	(341,143)	0	(269,305)	(1,327,813)
Accumulated impairment	(28,842)	0	0	0	(2,046)	(30,888)
Post-acquisition adjustments	0	0	0	0	0	0
Depreciation: booked	(22,301)	(5,276)	(8,122)	0	(23,802)	(59,502)
Impairment: booked(4)	(14,125)	0	0	0	(6)	(14,131)
Write-back	347	0	0	0	0	347
Disposals (2)	17,355	0	1	0	35,159	52,515
Change in scope of consolidation (out)	0	0	0	0	0	0
Transfers and cancellations	10,317	220	3,368	0	9,343	23,249
Foreign exchange adjustments	0	0	0	0	0	0
Other movements	(0)	(0)	(8)	0	0	(7)
ACCUMULATED DEPRECIATION AND IMPAIRMENT AS AT 31 DECEMBER 2020 (B)	(746,825)	(12,845)	(345,904)	0	(250,656)	(1,356,230)
Accumulated depreciation	(706,833)	(12,845)	(345,904)	0	(249,020)	(1,314,602)
Accumulated impairment	(39,992)	0	0	0	(1,635)	(41,628)
NET BOOK VALUE AS AT 31 DECEMBER 2020 (A)+(B)	502,382	47,386	48,165	0	591,964	1,189,898

(1) Acquisitions mainly include leasing contracts for the construction of property. Disposals include the delivery of these leasing contracts and the assets are at that moment reclassed to loans and advances.
(2) Disposals include the delivery of the leasing contracts, the sale of bank agencies and the sale of the Galilee Building by Belfius Insurance.
(3) Change in scope of consolidation (in) concerns the aquisition of Philadelphus.
(4) Impairments are included in the line XVII. Impairments on tangible and intangible assets of the income statement.

(in thousands of EUR)	Land and buildings		Office furniture and other equipment		Investment property	Total
	Own use owner	Own use Right-of-use asset	Own use owner	Given in operational lease		
ACQUISITION COST AS AT 1 JANUARY 2021	**1,249,208**	**60,231**	**394,068**	**0**	**842,620**	**2,546,128**
Acquisitions(1)	17,822	4,075	10,751	0	597	33,245
Subsequent expenditures	1,337	0	0	0	8,515	9,851
Post-acquisition adjustments	0	0	0	0	0	0
Disposals(2)	(47,793)	(4,306)	(211)	0	(13,432)	(65,743)
Change in scope of consolidation (in)(3)	0	0	0	0	56,058	56,058
Change in scope of consolidation (out)	0	0	0	0	0	0
Transfers and cancellations(4)	6,605	(1,244)	(10,304)	479,490	(6,889)	467,658
Foreign exchange adjustments	0	0	0	0	0	0
Other movements	0	0	0	0	17	17
ACQUISITION COST AS AT 31 DECEMBER 2021 (A)	**1,227,178**	**58,756**	**394,305**	**479,490**	**887,486**	**3,047,214**
ACCUMULATED DEPRECIATION AND IMPAIRMENT AS AT 1 JANUARY 2021	**(746,825)**	**(12,845)**	**(345,904)**	**0**	**(250,656)**	**(1,356,230)**
Accumulated depreciation	(706,833)	(12,845)	(345,904)	0	(249,020)	(1,314,602)
Accumulated impairment	(39,992)	0	0	0	(1,635)	(41,628)
Post-acquisition adjustments	0	0	0	0	0	0
Depreciation: booked	(23,560)	(4,995)	(9,855)	0	(23,034)	(61,444)
Impairment: booked(5)	(947)	0	0	0	(6)	(953)
Write-back	0	0	0	0	377	377
Disposals (2)	34,128	248	22	0	0	34,397
Change in scope of consolidation (in)	0	0	0	0	(8,986)	(8,986)
Change in scope of consolidation (out)	0	0	0	0	0	0
Transfers and cancellations	(6,783)	1,244	10,304	(51,146)	6,075	(40,307)
Foreign exchange adjustments	0	0	0	0	0	0
Other movements	0	0	(0)	0	0	(0)
ACCUMULATED DEPRECIATION AND IMPAIRMENT AS AT 31 DECEMBER 2021 (B)	**(743,988)**	**(16,349)**	**(345,433)**	**(51,146)**	**(276,230)**	**(1,433,146)**
Accumulated depreciation	(705,207)	(16,349)	(345,433)	(51,146)	(274,589)	(1,392,724)
Accumulated impairment	(38,781)	0	0	0	(1,641)	(40,422)
NET BOOK VALUE AS AT 31 DECEMBER 2021 (A)+(B)	**483,190**	**42,407**	**48,872**	**428,343**	**611,256**	**1,614,068**

(1) Acquisitions mainly include leasing contracts for the construction of property. Disposals include the delivery of these leasing contracts and the assets are at that moment reclassed to loans and advances.
(2) Disposals include the delivery of the leasing contracts, the sale of bank agencies and the sale of a building in Mechelen.
(3) Change in scope of consolidation (in) concerns the acquisition of Alysea.
(4) Transfers and cancellations concern the reclassification of the leasing contracts of Belfius Auto Lease to operating lease. Following contractual changes, a classification as finance lease is no longer adequate.
(5) Impairments are included in the line XVII. Impairments on tangible and intangible assets of the income statement.

Belfius Insurance has committed to the partial sale of the Pacheco building subject to a number of conditions precedent.

2. Fair value of investment property

(in thousands of EUR)	2020	2021
TOTAL	820,698	849,721
Fair value subject to an independent valuation[1]	717,972	724,138
Fair value not subject to an independent valuation	102,726	125,583

(1) The line "Fair value subject to an independent valuation" includes investment property for which an external valuation or a recent transaction price is available.

5.9. Intangible assets

(in thousands of EUR)	Internally developed software	Other intangible assets	Total
ACQUISITION COST AS AT 1 JANUARY 2020	399,926	172,672	572,598
Acquisitions[1]	93,873	15,423	109,296
Disposals	0	(91)	(91)
Transfers and cancellations[2]	(22,936)	(160)	(23,097)
Other movements	69	(21)	48
ACQUISITION COST AS AT 31 DECEMBER 2020 (A)	470,933	187,823	658,755
ACCUMULATED AMORTISATION AND IMPAIRMENT AS AT 1 JANUARY 2020	(250,907)	(115,307)	(366,215)
Accumulated amortisation	(247,025)	(109,922)	(356,947)
Accumulated impairment	(3,882)	(5,386)	(9,268)
Amortisation and impairment: booked[3]	(92,335)	(26,950)	(119,286)
Disposals	0	67	67
Transfers and cancellations[2]	22,936	160	23,097
Other movements	(56)	(530)	(585)
ACCUMULATED AMORTISATION AND IMPAIRMENT AS AT 31 DECEMBER 2020 (B)	(320,362)	(142,560)	(462,922)
Accumulated amortisation[3]	(316,480)	(133,787)	(450,267)
Accumulated impairment[4]	(3,882)	(8,772)	(12,655)
NET BOOK VALUE AS AT 31 DECEMBER 2020 (A)+(B)	150,570	45,263	195,833

(1) During the year internally developed software costs were capitalised. The internally developed software relates to several ongoing strategic IT projects at Belfius. These projects relate to the further digitalisation and innovation of Belfius IT platforms and applications.
(2) Transfers and cancellations mainly include cancellations of own developed software.
(3) Belfius recognised accelerated depreciations in 2020 due to the revised useful life of internally developed software given the rapid changes in technology and the accelerated uptake of digital services.
(4) An impairment was recorded on intangible assets invested for the project Jaimy in 2020 given the rapid changes in technology and the accelerated uptake of digital services.

(in thousands of EUR)	Internally developed software	Other intangible assets	Total
ACQUISITION COST AS AT 1 JANUARY 2021	**470,933**	**187,823**	**658,755**
Acquisitions[1]	103,102	11,610	114,712
Disposals	0	(351)	(351)
Change in scope of consolidation (in)	0	0	0
Change in scope of consolidation (out)	0	0	0
Transfers and cancellations[2]	(15,995)	(3,247)	(19,242)
Foreign exchange adjustments	0	0	0
Post-acquisition adjustments	0	0	0
Other movements	(0)	(0)	(0)
ACQUISITION COST AS AT 31 DECEMBER 2021 (A)	558,040	195,836	753,875
ACCUMULATED AMORTISATION AND IMPAIRMENT AS AT 1 JANUARY 2021	**(320,362)**	**(142,560)**	**(462,922)**
Accumulated amortisation	(316,480)	(133,787)	(450,267)
Accumulated impairment	(3,882)	(8,772)	(12,655)
Amortisation and impairment: booked[3]	(75,090)	(20,177)	(95,267)
Change in scope of consolidation (in)	0	0	0
Change in scope of consolidation (out)	0	0	0
Write-back	0	0	0
Disposals	0	0	0
Transfers and cancellations[2]	15,995	3,247	19,242
Foreign exchange adjustments	0	0	0
Post-acquisition adjustments	0	0	0
Other movements	0	(0)	(0)
ACCUMULATED AMORTISATION AND IMPAIRMENT AS AT 31 DECEMBER 2021 (B)	(379,457)	(159,490)	(538,947)
Accumulated amortisation	(375,575)	(149,873)	(525,448)
Accumulated impairment	(3,882)	(9,617)	(13,499)
NET BOOK VALUE AS AT 31 DECEMBER 2021 (A)+(B)	178,583	36,346	214,928

(1) During the year internally developed software costs were capitalised. The internally developed software relates to several ongoing strategic IT projects at Belfius. These projects relate to the further digitalisation and innovation of Belfius IT platforms and applications.
(2) Transfers and cancellations mainly include cancellations of own developed software.
(3) Belfius recognised accelerated depreciations in 2021 due to the revised useful life of internally developed software given the rapid changes in technology and the accelerated uptake of digital services.

5.10. Goodwill

(in thousands of EUR)	Positive goodwill 2020	2021
ACQUISITION COST AS AT 1 JANUARY	129,886	129,886
ACQUISITION COST AS AT 31 DECEMBER (A)	129,886	129,886
ACCUMULATED AMORTISATION AND IMPAIRMENT AS AT 1 JANUARY	(25,920)	(25,920)
Accumulated amortisation	(25,920)	(25,920)
ACCUMULATED AMORTISATION AND IMPAIRMENT AS AT 31 DECEMBER (B)	(25,920)	(25,920)
Accumulated amortisation	(25,920)	(25,920)
Accumulated impairment	0	0
NET BOOK VALUE AS AT 31 DECEMBER (A)+(B)	103,966	103,966

Positive goodwill relates to goodwill on Belfius Insurance.

The annual impairment test did not require an impairment on goodwill. The impairment test was performed by comparing the equity value of Belfius Insurance with the "value in use". This value in use was determined based on a discounted cash flow model with the following inputs:

- financial plan for 5 years;
- discount rate: a cost of equity of 10%; and
- a long term growth rate for Belgium of 0.5%.

Note that the financial plan has only a limited impact on the impairment test. The main drivers are the discount curve and long term growth rate. Based on that scenario, a surplus could be identified, note that there have been no change in parameters compared to last year.

For 2020 and 2021, all scenarii (ranging from a growth rate from -2% to +2% and a discount rate of 6% to 12%) showed that no impairment was required. The assumptions for these scenarios are aligned with the expected evolution of the results in the financial plan and with the market conditions for capital costs.

5.11. Deferred tax assets and liabilities

1. Analysis

(in thousands of EUR)	31/12/20	31/12/21
Deferred income tax liabilities	(16,190)	(7,502)
Deferred income tax assets	450,379	413,952
DEFERRED TAXES	434,189	406,450
Not recognised deferred tax assets[1]	(80,610)	(85,248)
NET DEFERRED TAX ASSETS	353,579	321,202

(1) The increase of not recognised deferred tax assets concerns unrecognised tax losses carried forward at Belfius Ireland, Jane and Jaimy.

2. Movements

(in thousands of EUR)	31/12/20	31/12/21
AS AT 1 JANUARY	229,611	353,579
Movements of the year	123,968	(32,376)
Statement of income (expense)	83,206	(56,730)
Items related to "Other Comprehensive Income"[1]	40,603	24,354
Variation of scope of consolidation	38	0
Foreign exchange adjustments	0	0
Other movements	120	(0)
AS AT 31 DECEMBER	353,579	321,202

(1) Evolution due to changes in deferred taxes on fair value revaluation through OCI and deferred tax on remeasurement of pension plans.

A. Deferred tax coming from assets of the balance sheet

	31/12/20		31/12/21	
(in thousands of EUR)	Total	Of which impact in result	Total	Of which impact in result
Cash and balances with central banks	0	0	147	147
Loans and advances	87,514	60,098	29,629	(57,157)
Debt securities	(221,655)	(6,531)	(171,795)	12,015
Equity	0	0	0	0
Derivatives	(66,253)	(104,818)	69,268	122,387
Gain/loss on the hedged item in portfolio hedge of interest rate risk	(904,229)	74,558	(712,455)	191,775
Investments in equity method companies	0	0	0	0
Other	2,222	(7,408)	57,711	54,899
Tangible fixed assets	(9,660)	(827)	(16,782)	(7,122)
Intangible assets	15,273	(3,437)	13,536	(2,327)
Goodwill	0	0	0	0
Other assets	(2,894)	(3,296)	61,933	64,827
Non current assets (disposal group) held for sale and discontinued operations	(497)	153	(976)	(479)
TOTAL	(1,102,402)	15,900	(727,493)	324,066

B. Deferred tax coming from liabilities of the balance sheet

	31/12/20		31/12/21	
(in thousands of EUR)	Total	Of which impact in result	Total	Of which impact in result
Cash and balances from central banks	0	0	0	0
Credit institutions borrowings and deposits	0	(1)	0	0
Customer borrowings and deposits	1,299	264	635	(664)
Debt securities issued	70,045	(10,051)	57,650	(12,395)
Technical provisions of insurance companies	92,451	(37,557)	76,829	(11,367)
Derivatives	1,003,251	(11,482)	749,450	(253,801)
Gain/loss on the hedged item in portfolio hedge of interest rate risk	93,362	27,685	11,442	(81,920)
Other	178,096	99,615	139,637	(21,799)
Provisions and contingent liabilities	159,930	107,827	124,000	(14,887)
Subordinated debts	(743)	25	(716)	27
Other liabilities	18,909	(8,237)	16,353	(6,939)
Liabilities included in disposal group and discontinued operations	0	0	0	0
TOTAL	1,438,503	68,474	1,035,642	(381,946)

	31/12/20		31/12/21	
(in thousands of EUR)	Total	Of which impact in result	Total	Of which impact in result
Deferred tax coming from the balance sheet	336,101	84,374	308,149	(57,881)
Not recognised deferred tax assets – temporary differences	(8,734)		(8,511)	
DEFERRED TAX – TEMPORARY DIFFERENCES	327,367		299,638	

C. Deferred tax coming from other elements

(in thousands of EUR)	31/12/20 Total	31/12/20 Of which impact in result	31/12/21 Total	31/12/21 Of which impact in result
Tax losses carried forward	98,088	11,762	98,302	1,851
Tax credit carried forward	0	0	0	0
Entities with special tax status	0	0	0	0
TOTAL	**98,088**	**11,762**	**98,302**	**1,851**
Not recognised deferred tax assets – tax losses carried forward	(71,876)		(76,737)	
DEFERRED TAX COMING FROM OTHER ELEMENTS AFTER NOT RECOGNISED DEFERRED TAX ASSETS – TAX LOSSES CARRIED FORWARD	26,212		21,565	

(in thousands of EUR)	31/12/20	31/12/21
DEFERRED TAX BEFORE NOT RECOGNISED DEFERRED TAX	434,189	406,451
DEFERRED TAX AFTER NOT RECOGNISED DEFERRED TAX	353,579	321,202

3. Expiry date of not recognised deferred tax assets

Nature

(in thousands of EUR)	31/12/20 Less than 1 year	31/12/20 > 1 year and ≤ 5 years	31/12/20 > 5 years	31/12/20 Unlimited maturity	31/12/20 Total
Tax losses carried forward	0	(568)	(211)	(71,097)	(71,876)
TOTAL	0	(568)	(211)	(71,097)	(71,876)

(in thousands of EUR)	31/12/21 Less than 1 year	31/12/21 > 1 year and ≤ 5 years	31/12/21 > 5 years	31/12/21 Unlimited maturity	31/12/21 Total
Tax losses carried forward	0	0	0	(76,737)	(76,737)
TOTAL	0	0	0	(76,737)	(76,737)

5.12. Other assets

(in thousands of EUR)	31/12/20	31/12/21
OTHER ASSETS	**763,785**	**618,754**
Accrued income	129,557	131,697
Deferred expenses	27,888	36,021
Payments in transit from clients	534,749	372,768
Plan assets	0	15,276
Inventories[1]	22,065	22,055
Operational taxes	49,526	40,938
OTHER ASSETS SPECIFIC TO INSURANCE COMPANIES	**167,430**	**257,306**
Receivables resulting from direct insurance transactions	70,478	143,459
Other insurance assets[2]	96,953	113,846
Impaired insurance assets	983	518
Less:		
Impairment	(983)	(518)
TOTAL	931,216	876,060

(1) As part of the sale of Galilee building, another site was exchanged to Belfius, which was recognised as inventory in other assets, as it better reflects the nature and intent with the site.
(2) Other insurance assets are deposits placed with cedants as a guarantee for reinsurance transactions and claims on reinsurers.

The other assets have decreased mainly due to a decrease of pending payments from clients.

5.13. Non current assets (disposal group) held for sale and discontinued operations

(in thousands of EUR)	31/12/20	31/12/21
Assets of subsidiaries held for sale	0	0
Tangible and intangible assets held for sale	23,276	24,269
Discontinued operations	0	0
Other assets	2,424	2,236
TOTAL	25,700	26,505

Belfius classifies assets as held for sale if the carrying amount of a non-current asset is recovered principally through a sale transaction rather than through continuing use, it mainly concerns land and buildings.

5.14. Leasing

1. Belfius as a lessor

A. Finance lease

(in thousands of EUR)	31/12/20	31/12/21
Gross investment in finance leases		
Not later than 1 year	1,032,988	801,748
> 1 year and ≤ 5 years	1,938,067	1,824,102
> 5 years	836,201	864,216
SUBTOTAL (A)	3,807,257	3,490,066
UNEARNED FUTURE FINANCE INCOME ON FINANCE LEASES (B)	306,027	280,809
NET INVESTMENT IN FINANCE LEASES (A)-(B)	3,501,230	3,209,257

(in thousands of EUR)	31/12/20	31/12/21
The net investment in finance leases may be analysed as follows:		
Not later than 1 year	954,311	733,269
> 1 year and ≤ 5 years	1,781,627	1,680,216
> 5 years	765,291	795,773
TOTAL	3,501,230	3,209,257

(in thousands of EUR)	31/12/20	31/12/21
Amounts of variable lease payments not included in the net investment in the lease	0	0
Amount of uncollectible finance lease payments included in the provision for loan losses at the end of the period	55,085	67,855
Residual values unguaranteed by lessees	419,197	452,030
Estimated fair value of finance lease	3,614,059	3,201,023
Accumulated allowance for uncollectible minimum lease payments	29,333	33,807
Selling profit or loss in case of assets built by Belfius and then leased out as a finance lease	1,739	2,259

The main underlying assets in finance lease relate to:

- real estate such as office buildings, commercial real estate, industrial real estate
- production equipment
- cars and trucks, locomotives and vessels
- alternative energy equipment (f.i. solar systems)
- IT equipment

The decrease in finance lease is due mainly to the reclassification of the leasing contracts of Belfius Auto Lease to operating lease for EUR 400 million. Following contractual changes, a classification as finance lease is no longer adequate.

B. Operating lease

(in thousands of EUR)	31/12/20	31/12/21
Future net minimum lease receivables under non-cancellable operating leases are as follows		
Not later than 1 year	31,079	293,115
> 1 year and ≤ 5 years	125,680	343,092
> 5 years	417,102	755,607
TOTAL	573,861	1,391,814
Amount of variable lease payments that do not depend on an index or rate	0	0

The main underlying assets in operating lease relate to:

- real estate
- cars and trucks
- IT equipment

The increase in operating lease is due mainly to new leasing contracts in recently acquired real estate companies, as well as the reclassification of the leasing contracts of Belfius Auto Lease to operating lease for EUR 400 million.

2. Belfius as a lessee

Leases on tangible fixed assets

(in thousands of EUR)	31/12/20	31/12/21
Minimum lease payments		
Not later than 1 year	5,897	4,829
> 1 year and ≤ 5 years	19,353	15,448
> 5 years	32,266	28,996
TOTAL	57,516	49,273

(in thousands of EUR)	31/12/20	31/12/21
Present value of lease liabilities		
Not later than 1 year	5,809	4,748
> 1 year and ≤ 5 years	18,609	14,842
> 5 years	26,657	26,145
TOTAL	51,075	45,735

(in thousands of EUR)	31/12/20	31/12/21
Contractual future minimum lease payments (A)	57,516	49,273
Correction due to discount rate (B)	51,068	45,735
Present value of the future minimum lease payments (A-B)	6,448	3,539
Amount of expense relating to variable lease payments not included in the lease liabilities	0	0
Expense relating to short-term leases	5,383	2,112
Expense relating to leases of low-value items	677	322

IFRS 16 provides a possibility to exempt an entity from its application if the impact is immaterial. As a result of a detailed analysis Belfius Bank implemented IFRS 16 for the lease agreements related to buildings. Cars are in scope of IFRS 16 but are exempted of application based on the "undue cost or effort" principle.

Parking lots are also in scope but are exempted due to the short term of each lease contract. Contracts related to IT material are out of scope as it concerns service contracts. For all these contracts the periodical rental costs will be charged in the profit and loss statement.

VI. Notes on the liabilities of the consolidated balance sheet

(some amounts may not add up due to rounding)

6.1. Cash and balances from central banks

1. Analysis by nature

Not measured at fair value through profit or loss

(in thousands of EUR)	31/12/20	31/12/21
Deposits	14,173,519	15,418,072
TOTAL	14,173,519	15,418,072

Cash and balances from central banks increased by EUR 1.2 billion to EUR 15.4 billion (31 December 2020: EUR 14.2 billion). Belfius drew an additional EUR 1.4 billion TLTRO III in 2021, resulting in a total TLTRO III participation of EUR 15.65 billion as of 31 December 2021.

Belfius takes part in the third targeted longer-term refinancing operation (TLTRO III) program of the European Central Bank. The TLTROs are targeted operations, as the amount that can be borrowed is linked to the loans to non-financial corporations and households (excluding mortgage loans). The interest rate to be applied is linked to the realisation of certain lending performance thresholds. Borrowing rates in these operations can be as low as 50 basis points below the average interest rate on the deposit facility over the period from 24 June 2020 to 23 June 2022, and as low as the average interest rate on the deposit facility during the rest of the life of the respective TLTRO III.

Belfius has analysed the terms of this programme and concluded that TLTRO III does not contain a significant benefit relative to market pricing and accounts for the financial liabilities relating to the TLTRO III programme under IFRS 9.

Based on net lending volumes per 31 December 2021, the conditions of the TLTRO programme over the period from 24 June 2021 to 23 June 2022 have been met and therefore the effective interest rate includes the additional reduction of 50 basis points.

The interest received on TLTRO III funding from ECB/NBB central bank and accounted for in 2021 amounts to EUR 155 million (vs EUR 78 million in 2020, of which EUR 76 million from the TLTRO III). The interest paid on total lending to ECB/NBB and accounted for in 2021 amounts to EUR 149 million (vs EUR 43 million in 2020). Refer to note 7.1. Interest income – interest expense.

2. Analysis by maturity and interest rate

See notes 9.4., 9.5. and 9.6.

3. Analysis of the fair value

See note 9.1.

6.2. Credit institutions borrowings and deposits

1. Summary Totals

(in thousands of EUR)	31/12/20	31/12/21
Measured at amortised cost	5,008,193	3,591,036
Measured at fair value through profit and loss	0	0
TOTAL	5,008,193	3,591,036

2. Analysis by nature

A. Not measured at fair value through profit or loss

	Amortised Cost	
(in thousands of EUR)	31/12/20	31/12/21
Demand deposits	53,492	56,146
Term deposits	95,037	101,693
Repurchase agreements	50,850	(157)
Cash collateral received	4,327,229	3,083,841
Other borrowings	481,585	349,514
TOTAL	5,008,193	3,591,036

Credit Institutions borrowings and deposits decreased by EUR 1.4 billion, or -28.3%, to EUR 3.6 billion (31 December 2020: EUR 5.0 billion), resulting from a decrease of EUR 1.2 billion in cash collateral received.

B. Measured at fair value through profit or loss

Nil.

3. Analysis by maturity and interest rate

See notes 9.4., 9.5. and 9.6.

4. Analysis of the fair value

See note 9.1.

6.3. Borrowings and deposits

1. Summary Totals

(in thousands of EUR)	31/12/20	31/12/21
Measured at amortised cost	95,286,940	104,355,267
Measured at fair value through profit and loss	51,036	48,746
TOTAL	95,337,975	104,404,013

2. Analysis by nature

A. Not measured at fair value through profit or loss

	Amortised Cost	
(in thousands of EUR)	31/12/20	31/12/21
Demand deposits	34,232,882	39,899,290
Saving deposits	44,670,890	47,593,937
Term deposits	8,520,085	8,698,083
Cash collateral	14,804	11,988
Non-regulated savings accounts	7,829,648	8,140,288
TOTAL DEPOSITS	**95,268,309**	**104,343,587**
Other borrowings	18,631	11,680
TOTAL BORROWINGS	**18,631**	**11,680**
TOTAL	95,286,940	104,355,267

Borrowings and deposits increased by EUR 9.1 billion, or 9.5%, to EUR 104.4 billion (31 December 2020: EUR 95.3 billion), mainly due to organic growth of demand and savings deposits.

B. Measured at fair value through profit or loss

	Financial liabilities designated at fair value through profit and loss	
(in thousands of EUR)	31/12/20	31/12/21
Deposits	51,036	48,746
TOTAL	51,036	48,746

3. Analysis by maturity and interest rate

See notes 9.4., 9.5. and 9.6.

4. Analysis of the fair value

See note 9.1.

6.4. Debt securities issued and other financial liabilities

1. Summary Totals

(in thousands of EUR)	31/12/20	31/12/21
Measured at amortised cost	16,068,804	15,116,744
Measured at fair value through profit and loss	8,333,394	8,028,609
TOTAL	24,402,198	23,145,353

2. Analysis by nature

A. Not measured at fair value through profit or loss

	Amortised Cost	
(in thousands of EUR)	31/12/20	31/12/21
Certificates of deposit	1,155,289	884,046
Customer saving certificates	804,083	647,143
Non-convertible debts	6,274,605	7,004,441
Covered bonds(1)	7,783,689	6,535,323
Lease liabilities	51,138	45,790
TOTAL	16,068,804	15,116,744

(1) Belfius has two covered bonds programmes.

The debt securities measured at amortised cost decreased by EUR 1.0 billion, or -5.9%, to EUR 15.1 billion (31 December 2020: EUR 16.1 billion), mainly due to the maturity of EUR 1.3 billion in covered bonds and certificates of deposit, partially offset by the issuance of certificates of deposits, EUR 0.5 billion in Preferred Senior bonds and EUR 0.5 billion in Green Non-Preferred Senior bonds.

Belfius's covered bonds programmes

Belfius has two covered bond programmes:

- Mortgage Pandbrieven programme; and
- Public Pandbrieven programme.

The covering assets of the Mortgage Pandbrieven are mainly Belgian mortgage loans granted in accordance with the law on mortgage loans (law of 4 August 1992), through the branch network of Belfius. The covering assets of the Public Pandbrieven are mainly loans granted to Belgian public sector entities (municipalities, provinces, etc.).

The Belgian pandbrieven investors have a direct recourse to:

- the general estate of the issuing credit institution (i.e. repayment of the Belgian pandbrieven is an obligation of the issuing bank as a whole); and
- the segregated estate, that comprises the cover pool that is exclusively reserved for the Belgian pandbrieven investors under the specific program to which the segregated estate is joined and for the claims of other parties that are or can be identified in the issue conditions. Assets become part of the cover pool upon registration in a register held by the issuer for such purpose.

A detailed description of the covering assets (including the outstanding amount and the characteristics of the loans in the cover pool) can be consulted in the management report "Risk management" and in section 9.3. "Information on asset encumbrance and collateral received" as well as:

- for the Mortgage Pandbrieven Programme on https://www.belfius.be/about-us/en/investors/debt-issuance/pandbrieven/belgian-mortgage
- for the Public Pandbrieven Programme on https://www.belfius.be/about-us/en/investors/debt-issuance/pandbrieven/belgian-public

The carrying value of the cover pool amount to EUR 10.9 billion in December 2021 (versus EUR 12.5 billion in December 2020). The carrying value of the cover pool is accounted for in loans and advances. We also refer to note 5.4.

B. Measured at fair value through profit or loss

(in thousands of EUR)	31/12/20			31/12/21		
	Financial liabilities held for trading	Financial liabilities designated at fair value through profit and loss	Total	Financial liabilities held for trading	Financial liabilities designated at fair value through profit and loss	Total
Debt securities		8,190,260	8,190,260		7,801,210	7,801,210
Debt securities issued by public sector (trading positions)	142,053		142,053	227,165		227,165
Other debt securities (trading positions)	5		5	5		5
Equity instruments (trading positions)	1,076		1,076	229		229
TOTAL	143,134	8,190,260	8,333,394	227,399	7,801,210	8,028,609

Debt securities measured at fair value through profit or loss decreased by EUR 0.3 billion, or -3.7%, to EUR 8.0 billion (31 December 2020: EUR 8.3 billion), following maturities of (structured) debt securities for retail customers, partially offset by new issuances.

The category "Financial liabilities designated at fair value through profit or loss" is used for banking activities: to eliminate or significantly reduce a measurement or recognition inconsistency, between debt instruments and their hedges, that would otherwise arise.

The methodology used to determine the fair value of "financial liabilities designated at fair value" is detailed in note 9.1.

There has been no change in own credit risk since issuance. Belfius does not recognise own credit risk in the fair value of financial liabilities.

3. Analysis by maturity and interest rate

See notes 9.4., 9.5. and 9.6.

4. Analysis of the fair value

See note 9.1.

6.5. Provisions for insurance activities

Note that Belfius has opted to present the figures on technical provisions including intragroup transactions between bank and insurance entities, as these mainly relate to insurance contracts concluded between the bank and insurance entities and distribution commissions that Belfius Insurance pays to Belfius Bank.

(in thousands of EUR)	31/12/20	31/12/21
GROSS RESERVES		
In the consolidated balance sheet (as presented on balance sheet)	12,659,377	12,191,017
Intragroup transactions	11,292	6,504
Gross reserves including intragroup transactions	12,670,669	12,197,521

1. Insurance contracts Life

A. Gross reserves

	31/12/20			31/12/21		
(in thousands of EUR)	Insurance contracts	Investment contracts with DPF[1]	Total	Insurance contracts	Investment contracts with DPF[1]	Total
LIFE INSURANCE RESERVES	4,834,701	5,960,348	10,795,049	5,030,523	5,168,814	10,199,337
Reserves due to results of LAT (Liability Adequacy Test)	0	0	0	0	0	0
Reserves due to shadow accounting adjustments	48,897	300,970	349,867	27,943	320,397	348,340
Variation due to variation of scope of consolidation IFRS 5	0	0	0	0	0	0
TOTAL LIFE INSURANCE RESERVE	4,883,598	6,261,318	11,144,916	5,058,466	5,489,210	10,547,676
Claims reserves	58,561	41,798	100,359	55,525	31,442	86,967
Profit sharing reserve[2]	54,495	55,178	109,672	47,706	44,992	92,698
Unearned premium reserves (UPR)	0	0	0	0	0	0
Other technical reserves	1,248	0	1,248	0	0	0
Variation due to variation of scope of consolidation IFRS 5	0	0	0	0	0	0
TOTAL GROSS TECHNICAL RESERVES LIFE	4,997,902	6,358,293	11,356,195	5,161,697	5,565,644	10,727,342

(1) Discretionary participation feature (DPF).
(2) Discretionary profit sharing is a contractual but conditional right to receive additional benefits in addition to a guaranteed return. Based on the business plan, an estimate is made of the total conditional profit sharing for the in-force business. We refer to the consolidated statement of changes in equity.

Gross technical reserves for Life decreased by EUR 629 million, or 6%, to EUR 10.7 billion (31 December 2020: EUR 11.4 billion). In the current low interest rate environment, a continued shift can be noted from Branch 21 products towards alternative investment forms, such as Branch 23 or Branch 44 products. As a result, a substantial part of the Branch 21 investment policies coming to maturity were not reinvested in new Branch 21 investment policies. Furthermore, Belfius has recorded a release of EUR 15 million of technical provisions, in line with the risk appetite framework (RAF).

The total reserves in application of the shadow accounting amounts to EUR 348 million as at 31 December 2021 compared to EUR 350 million as at 31 December 2020, a decrease of EUR 2 million.

An amount of EUR 28 million was transferred from the gains and losses not recognised in the statement of income to the technical reserve Life by application of shadow accounting to insurance contracts with funds with dedicated assets, compared to EUR 49 million in 2020. The decrease of EUR 21 million is mainly explained by the decrease in the fair value of the debt instruments resulting from higher interest rates, as well as the termination of one fund with dedicated assets.

By comparing the value of the Life insurance obligations based on the LAT methodology described in the accounting policies on the one hand and the provisions for Life insurance on the other hand increased with the net unrealised gains on the investment portfolio carried at amortised cost and allocated to the life portfolio, a need for shadow loss adjustment was determined as of 31 December 2021 for an amount of EUR 320 million compared to EUR 301 million at 31 December 2020. The increase mainly stems from the decrease in credit spreads over 2021, and from the revision of the non-financial assumptions for the calculation of the Best Estimate Life, partially offset by the increase in interest rates and the impact of model changes.

The profit sharing reserve included in the technical provisions decreased with EUR 17 million and amounts to EUR 93 million as at 31 December 2021 compared to EUR 110 million as at 31 December 2020. The provision for the committed participation feature amounts to EUR 29 million as at 31 December 2021 compared to EUR 26 million as at 31 December 2020. The dotation in 2021 of EUR 21 million to the main portfolio Life is granted to the individual contracts for EUR 18 million, the remainder is allocated to "committed but not granted profit sharing", bringing this provision to EUR 11 million. The dotation to the funds with dedicated assets amounts to EUR 1 million, similar to last year. The evolution of the discretionary profit sharing element for the coming years included in the profit sharing reserve decreased by EUR 21 million from EUR 84 million as at 31 December 2020 to EUR 63 million as at end 2021, recompensating the dotation of current year to the main portfolio Life.

At the end of 2021, the estimate of the discretionary participation features amounted to EUR 190 million, of which EUR 29 million was part of the 2021 profit-sharing provision and EUR 161 million related to an estimate for the coming years, of which EUR 63 million was recognised as a liability and EUR 98 million as a separate component of equity (refer to note III "Accounting principles").

B. Share of reinsurers

(in thousands of EUR)	31/12/20			31/12/21		
	Insurance contracts	Investment contracts with DPF(1)	Total	Insurance contracts	Investment contracts with DPF(1)	Total
Share of reinsurers in Life insurance reserve	12,341	0	12,341	11,912	0	11,912
Share of reinsurers in claims reserves	382	0	382	400	0	400
Share of reinsurers in unearned premium reserves (UPR)	0	0	0	0	0	0
Share of reinsurers in profit sharing reserves	0	0	0	0	0	0
Share of reinsurers in other technical reserves	0	0	0	0	0	0
TOTAL SHARE OF REINSURERS IN TECHNICAL RESERVES LIFE	12,723	0	12,723	12,312	0	12,312

(1) Discretionary participation feature (DPF).

C. Discretionary participation feature included in equity

(in thousands of EUR)	31/12/20			31/12/21		
	Insurance contracts	Investment contracts with DPF(1)	Total	Insurance contracts	Investment contracts with DPF(1)	Total
Net discretionary participation feature included in equity	0	57,552	57,552	0	81,096	81,096

(1) Discretionary participation feature (DPF).

The discretionary participation feature of insurance contracts included in equity increased to EUR 81 million (net of tax) as at 31 December 2021 compared to EUR 58 million (net of tax) as at 31 December 2020.

As of 31 December 2021, the total amount of future profit sharing amounts to EUR 161 million, of which an amount of EUR 63 million was recorded through the statement of income and reported in the profit sharing reserve, compared to EUR 84 million at year end 2020. The remaining EUR 98 million (EUR 81 million after tax) is presented as a separate component of equity in line with the accounting policies.

D. Reconciliation of changes in Life insurance reserve

(in thousands of EUR)	2020			2021		
	Gross amount contracts	Reinsurance amount	Net amount	Gross amount contracts	Reinsurance amount	Net amount
LIFE INSURANCE RESERVES AS AT 1 JANUARY	**11,668,163**	**12,750**	**11,655,413**	**11,144,916**	**12,341**	**11,132,575**
Net payment received/premiums receivable	692,334	7,815	684,519	681,376	9,372	672,004
Additional reserves due to shadow accounting adjustments	311,893	0	311,893	(1,527)	0	(1,527)
Additional reserves due to results of LAT (Liability Adequacy Test)	0	0	0	0	0	0
Claims paid	(1,368,249)	(2,134)	(1,366,115)	(1,184,517)	(2,795)	(1,181,722)
Results on death and on life	(81,666)	(255)	(81,411)	(84,121)	(648)	(83,473)
Attribution of technical interest	222,683	209	222,474	199,105	296	198,809
Transfers	(295,569)	(2,115)	(293,453)	(197,031)	0	(197,031)
Other changes	(4,673)	(3,930)	(743)	(10,525)	(6,654)	(3,871)
LIFE INSURANCE RESERVES AS AT 31 DECEMBER	**11,144,916**	**12,341**	**11,132,575**	**10,547,676**	**11,912**	**10,535,764**

E. Classification of the reserve by guaranteed interest rate

	Classification of the reserve[1]			
(in thousands of EUR)	31/12/20		31/12/21	
GUARANTEED INTEREST RATE				
> 4.00%	1,204,893	11%	1,144,973	11%
≤ 4.00%	724,266	7%	711,141	7%
≤ 3.50%	911,867	8%	835,294	8%
≤ 3.00%	974,834	9%	690,870	7%
≤ 2.50%	805,959	7%	643,369	6%
≤ 2.00%	1,756,905	16%	1,511,724	15%
≤ 1,50 %	558,878	5%	613,979	6%
≤ 1,00 %	1,565,802	15%	1,481,582	15%
≤ 0,50 %	1,967,241	18%	2,276,077	22%
Equal to 0%	127,579	1%	108,503	1%
Other	196,825	2%	181,825	2%
TOTAL	**10,795,049**	**100%**	**10,199,337**	**100%**

(1) Total gross technical reserves Life excluding shadow accounting adjustments.

2. Insurance contracts Non-Life

A. Gross reserves

(in thousands of EUR)	31/12/20	31/12/21
Claims reserves	1,041,146	1,139,626
Reserves Unallocated Loss Adjustment Expenses (ULAE)	44,795	49,433
Premium deficiency reserves (Non-Life LAT)	0	0
Reserves for claims incurred but not reported (IBNR)	42,594	87,959
GROSS RESERVES	**1,128,536**	**1,277,018**
Other technical reserves	36,940	39,570
Profit sharing reserves	2,234	1,686
Unearned premium reserves (UPR)	146,764	151,905
TOTAL GROSS RESERVES NON-LIFE	**1,314,474**	**1,470,179**

The technical provision for Non-Life products increased by EUR 156 million, or 12%, to EUR 1.5 billion (31 December 2020: EUR 1.3 billion) mainly due to an increase in claims charges relating to the severe July floods that occurred in Wallonia and Limburg estimated at EUR 181 million. Part of the claims charges resulting from the floods will be recovered from the reinsurers (EUR 67 million) and a part will be recovered from the regional authorities (EUR 90 million), resulting in an impact of EUR 24 million for Belfius. The impact on the claims provision amounts to EUR 86 million as Belfius has already paid out claims for EUR 95 million. The regional authorities' share in these provisions (EUR 70 million) is recognised as a recourse on the assets side of the balance sheet since, under IFRS, Belfius Insurance acts as a principal towards its clients rather than as an agent on behalf of regional authorities.

As a result of the floods that occurred in July 2021 in Wallonia and Limburg, the insurance sector concluded a protocol with the three regions. The protocol foresees that the insurance company will fully compensate the damage for its policyholders, after which the Regions will reimburse a part of the damage (the amount exceeding twice the legal intervention limit as fixed for simple risks in the Act of 4 April 2014 on Insurance). The amount in excess of its limit already paid out by Belfius Insurance of EUR 21 million was recorded in the consolidated balance sheet as a loan vis-à-vis the regional authorities in accordance with the protocol. The protocol with the Walloon Region has been drawn up for a maximum compensation of EUR 1.7 billion, after which new negotiations between the insurance sector and the government are required. Belfius Insurance estimates that the total claims amount in the Walloon Region is likely to exceed this limit and has therefore increased its technical provisions and the share of reinsurers in the technical provisions accordingly.

In addition, Belfius recognised a provision of EUR 10.8 million for damages caused by drought following the publication of interpretative legislation, the risk is covered retroactively to a certain extent in Property insurance policies.

Furthermore, the non-life provision increased relating to the growth in the non-life portfolio.

Note that following the reassessment of the technical provisions in 2020 a release of claims provisions was recognised of EUR 13 million in line with the risk appetite framework.

Note that Belfius Insurance applies a Risk Appetite Framework for Non-Life technical reserves whereby the level of the technical provisions should exceed the Best Estimate Technical Provisions, calculated with a well-defined confidence interval and consistently applied.

B. Share of reinsurers

(in thousands of EUR)	31/12/20	31/12/21
Share of reinsurers in claims reserves	93,955	118,070
SHARE OF REINSURERS	**93,955**	**118,070**
Share of reinsurers in other technical reserves	162	135
Share of reinsurers in unearned premium reserves (UPR)	236	372
TOTAL SHARE OF REINSURERS IN TECHNICAL RESERVES NON-LIFE	94,353	118,577

C. Reconciliation of changes in claims reserves

	31/12/20			31/12/21		
(in thousands of EUR)	Gross amount contracts	Reinsurance amount	Net amount	Gross amount contracts	Reinsurance amount	Net amount
CLAIMS RESERVES AS AT 1 JANUARY	**1,117,940**	**94,549**	**1,023,391**	**1,128,536**	**93,955**	**1,034,581**
Claims paid on previous years	(155,386)	7,997	(163,383)	(145,535)	13,056	(158,590)
Change in claim charges on previous years	(35,812)	(16,492)	(19,320)	(24,651)	(16,332)	(8,319)
Liabilities on claims current year	201,795	7,902	193,893	318,667	27,392	291,276
CLAIMS RESERVES AS AT 31 DECEMBER	1,128,536	93,955	1,034,581	1,277,018	118,070	1,158,948

6.6. Provisions and contingent liabilities

1. Analysis of movements

(in thousands of EUR)	Pensions and other employment defined benefit obligations(1)	Other long term employee benefits	Re-structuring (2)(3)	Provisions for litigations (4)	Onerous contracts	impairment on financial guarantees and commitments given(5)	Other provisions	Total
AS AT 1 JANUARY 2020	**224,716**	**27,069**	**48,533**	**65,644**	**4,238**	**103,562**	**43,583**	**517,345**
Additional provisions(2)	61,057	2,833	28,892	8,022	0	236,620	6,374	343,797
Amount used (3)	(51,655)	(2,988)	(21,036)	(6,392)	(385)	0	(4,505)	(86,963)
Unused amounts reversed	(10)	(45)	(3)	(6,046)	0	(113,010)	0	(119,114)
Transfers	(80)	0	0	0	0	(49,476)	0	(49,557)
Remeasurement pension plans(1)	20,211	0	0	0	0	0	0	20,211
Foreign exchange adjustments	0	0	0	0	0	(1,547)	0	(1,547)
Other movements	(0)	0	(34)	0	0	(0)	(31)	(65)
AS AT 31 DECEMBER 2020	**254,238**	**26,869**	**56,351**	**61,227**	**3,853**	**176,149**	**45,420**	**624,107**

(1) The negative revaluation of the pension liabilities is the result of the negative impact of decrease of interests, partly compensated by the positive return of the assets of the pension plans.
(2) Additional provisions are mainly composed of a restructuring provision for the transformation plan in line with Belfius development program, consisting of staff expenses and network costs.
(3) The restructuring provision is used in line with agreed plans and is reviewed annually and adjusted, where necessary. Refer to note 7.10. Staff.
(4) Provisions for litigations concerns mainly provisions for potential settlements of ongoing disputes with third parties.
(5) Refer to table 9.2.8. Movements in allowances for credit losses for further information.

(in thousands of EUR)	Pensions and other employment defined benefit obligations(1)	Other long term employee benefits	Re-structuring (2)(3)	Provisions for litigations (4)	Onerous contracts	impairment on financial guarantees and commitments given(5)	Other provisions	Total
AS AT 1 JANUARY 2021	**254,238**	**26,869**	**56,351**	**61,227**	**3,853**	**176,149**	**45,420**	**624,107**
Additional provisions(2)	64,279	3,052	18,599	1,084	0	176,396	11,707	275,117
Amount used (3)	(55,053)	(3,511)	(18,579)	(803)	(353)	0	(4,395)	(82,694)
Unused amounts reversed	0	(45)	(15,242)	(14,388)	0	(153,712)	(1)	(183,389)
Transfers	15,173	0	0	0	0	(37,189)	1,600	(20,416)
Remeasurement pension plans(1)	(84,172)	0	0	0	0	0	0	(84,172)
Foreign exchange adjustments	0	0	0	0	0	620	0	620
Other movements	0	0	0	0	0	0	0	0
AS AT 31 DECEMBER 2021	**194,465**	**26,365**	**41,129**	**47,120**	**3,500**	**162,263**	**54,331**	**529,173**

(1) The positive revaluation of the pension liabilities is the result of the positive impact of the increase of interests and the positive return of the assets of the pension plans, partly compensated by increased inflation.
(2) Additional provisions are mainly composed of a restructuring provision for the transformation plan in line with Belfius development program.
(3) The restructuring provision, consisting of staff expenses and network costs, is used in line with agreed plans and is reviewed annually and adjusted, where necessary.
(4) Provisions for litigations concerns mainly provisions for potential settlements of ongoing disputes with third parties.
(5) Refer to table 9.2.8. Movements in allowances for credit losses for further information.

2. Post-employment benefits

In Belgium, each employee is eligible for a state pension. In addition, Belfius provides pension plan benefits for its employees and in some cases reimburses certain medical costs for retired employees.

The liability for those benefits is calculated and booked into our accounts according to the IAS 19-methodology.

Considering that Belfius has benefit plans for employees mainly located in Belgium, the post-employment benefits are subject to the Belgian market practice and regulations (the plans abroad are not substantial).

Pension plans are mainly settled through the payment of a lump sum even though the option exists to receive a payment as an annuity.

Additional pension plans

A collective labor agreement was concluded within Belfius Bank on 10 June 2019 within the framework of the "Drive 2020" project. In the Reward 2.0 section a new methodology was agreed for the salary evolution of employees and executives. In accordance with this new methodology, the hypotheses for future wage evolution have also been adjusted. Additionally, the collective agreement stipulated that as from 1 July 2019 each new employee of Belfius Bank will be affiliated to a new defined contribution plan. This plan is financed by employer contributions that are similar to those of the Belfius Insurance defined contribution plan.

Defined Benefit plans (= DB)

Under defined benefit plans, the benefit upon retirement is defined based on various factors such as the employee's length of service and his final salary.

Before 2007 all pension plans of Belfius were defined benefit plans. Belfius employees build up rights in these defined benefit plans, which could vary according to the date of entry into service and according the entity in which the employees are employed.

As from 1 January 2007 new employees in Belfius Bank were no longer granted access to a defined benefit plan. Instead, a defined contribution plan was introduced for new employees.

Moreover, since 1 October 2013 the existing defined benefit plans of Belfius Bank have been fully closed. In other words, each employee became affiliate to the existing defined contribution plans. From that date, the defined benefit plans of Belfius Bank are managed dynamically. This means that even if the plans are discontinued, for the already performed career until the discontinuation the final benefit continue to be impacted by salary increase.

Belfius Insurance had a similar evolution as Belfius Bank as from 1 January 2007 new employees joined a defined contribution plan. However, the employees who entered before that date kept their defined benefit plan as active plan and continue to build up rights into this defined benefit plan. Most pension plans of Belfius Insurance are internally insured and consequently, the non qualifying assets of these pension plans are not included in the reporting of the net pension liabilities.

Defined Contribution plans (= DC)

Under defined contribution plans, the benefit upon retirement depends on both employer and employee contributions to the plan, the return allocated on these contributions, and the return guarantees determined by law. Belgian defined contribution pension plans are by Belgian law subject to minimum guaranteed rates of return, borne by the employer, on employer contributions and on employee contributions.

This compulsory return implies that Belgian defined contribution plans are defined benefit plans under the requirement of IAS 19.

There are several defined contribution plans within Belfius Bank. The main defined contribution plan is funded by employer and employee contributions. Employer contributions made to the plan are based on seniority and salary. Employee contributions are a fixed percentage of salary.

Belfius Bank's new "fixed contribution" plan that applies to employees recruited as from 1 July 2019 is funded by employer contributions. Different contribution percentages apply on the part of the salary below or above the maximum limit for calculating the statutory pension. The defined contribution plans of Belfius Bank are all managed in an OFP (Organism for Financing of Pensions).

Belfius Insurance and Corona also dispose of defined contribution pension plans (branch 21) for their employees (internal insured plans).

For Belfius Insurance, since 2018 the guaranteed return on contributions is defined based on the Belgian legal interest rates.

Belgian Law stipulates that for the defined contribution plans that are managed through a branch 21 group insurance contract, the so-called horizontal method is applicable. The reserves contributions preserve their initial employers guarantee until the final payout. This means that the existing reserves as at 31 December 2015 are still subject to the existing guaranteed 3.75% on employee contributions and 3.25% on the employer contributions until departure. For contributions from 1 January 2016 onwards, the guarantee of 1.75% has become variable. This maximum guarantee can change in the future in function of the OLO 10 years interest rate.

For the defined contribution plans that are managed within an OFP the so-called vertical method is applicable. This means that the existing guarantee of 3.25% on employers contributions and 3.75% on employee contributions only applies until 31 December 2015. From 2016, a minimum return guarantee of 1.75% applies to the accrued reserves as well as to the new contributions.

The horizontal method applies to the defined contribution plans of Belfius Insurance and Corona, whereas the vertical method applies to Belfius Bank. Moreover, as soon as employees leave Belfius Bank, the minimum return guarantee changes to 0%.

The Belgian defined contribution plans are treated as defined benefit plans for the consolidated financial statements. This implies that the Projected Unit Credit method (with or without future contributions) has to be applied in order to determine the present value of the Defined Benefit Obligation (DBO).

Since the contribution rates of the basic DC-plan for employees recruited before 1 July 2019 from Belfius Bank and the DC-plan of Corona increase with seniority and with future contributions, the determination of liabilities are calculated upon the "Projected Unit Credit" method with future contributions..

This means that the projected benefit at the end of the career is calculated taking into account the future contributions and the salary increases until payout.

The present value of the Defined Benefit Obligation (DBO) is obtained by using the ratio of past service time to the projected service time and by calculating an actualisation using the applicable discount rate.

For the other DC-plans of Belfius, the calculation is based on the "Projected Unit Credit" method without considering future contributions. In other words, the projected benefits already refer to the existing service time and the already paid contributions. The present value of the Defined Benefit Obligation of those plans is obtained by discounting these benefits using the appropriate discount rate.

In all cases, the calculated DBO is compared to the individual participants accounts and the highest value is taken into account as Belfius' obligation.

A. Movement in the defined benefit liability (asset)

(in thousands of EUR)	Present value of obligation	Plan assets at fair value	Deficit/ (surplus)	Asset ceiling	Net liability/ (asset)
AS AT 1 JANUARY 2020	**2,022,130**	**(1,802,158)**	**219,971**	**4,675**	**224,646**
Service cost					
Current service cost	56,416	0	56,416	0	56,416
Past service cost and (gain)/loss on settlements	0	0	0	0	0
Administrative expenses	0	2,382	2,382	0	2,382
Interest income – Interest expense	21,125	(18,896)	2,229	67	2,297
(A) EXPENSE AND INCOME RECOGNISED IN P&L	**77,541**	**(16,514)**	**61,028**	**67**	**61,095**
Remeasurements (gain)/loss					
Effect of changes in demographic assumptions	(849)	0	(849)	0	(849)
Effect of changes in financial assumptions	72,900	0	72,900	0	72,900
Effect of experience adjustments	(13,625)	0	(13,624)	0	(13,624)
Return on plan assets (excl. interest income)	0	(37,066)	(37,066)	0	(37,066)
Changes in the effect of asset ceiling (excluding interest income/ expense)	0	0	0	(1,181)	(1,181)
(B) REMEASUREMENTS (GAIN)/LOSS RECOGNISED IN OCI(1)	**58,426**	**(37,066)**	**21,360**	**(1,181)**	**20,179**
DEFINED BENEFIT COST INCLUDED (A)+(B)	**135,967**	**(53,579)**	**82,388**	**(1,114)**	**81,274**
Contributions					
Employer	0	(43,291)	(43,291)	0	(43,291)
Plan participants	3,027	(3,027)	0	0	0
Benefit payments	(110,715)	102,179	(8,536)	0	(8,536)
Settlement payments	0	0	0	0	0
Effect of business combinations and disposals	146	0	146	0	146
Foreign exchange adjustments	(2,220)	2,294	74	(76)	(2)
AS AT 31 DECEMBER 2020(2)	**2,048,335**	**(1,797,582)**	**250,753**	**3,485**	**254,238**

(1) The decrease in the discount rate compared to 2019 by an average of 0.35% resulted in a significant increase in pension obligations, which was partly compensated by the positive return of the assets of the pension plans in 2020.
(2) By the end of 2020,
→ 90.1% of the total pension liabilities are related to funded pension plans,
→ 6.9% are related to non qualifying assets, and
→ 2.2% are related to unfunded pension liabilities.

(in thousands of EUR)	Present value of obligation	Plan assets at fair value	Deficit/ (surplus)	Asset ceiling	Net liability/ (asset)
AS AT 1 JANUARY 2021	2,048,335	(1,797,582)	250,753	3,485	254,237
Service cost					
Current service cost	59,950	0	59,950	0	59,950
Past service cost and (gain)/loss on settlements	0	0	0	0	0
Administrative expenses	0	2,463	2,463	0	2,463
Interest income - Interest expense	14,970	(13,110)	1,861	33	1,894
(A) EXPENSE AND INCOME RECOGNISED IN P&L	74,921	(10,647)	64,274	33	64,308
Remeasurements (gain)/loss					
Effect of changes in demographic assumptions	14	0	14	0	14
Effect of changes in financial assumptions	(52,598)	0	(52,598)	0	(52,598)
Effect of experience adjustments	1,476	0	1,476	0	1,476
Return on plan assets (excl. interest income)	0	(61,243)	(61,243)	0	(61,243)
Changes in the effect of asset ceiling (excluding interest income/ expense)	0	0	0	28,745	28,745
(B) REMEASUREMENTS (GAIN)/LOSS RECOGNISED IN OCI(1)	(51,108)	(61,243)	(112,351)	28,745	(83,606)
DEFINED BENEFIT COST INCLUDED (A)+(B)	23,812	(71,889)	(48,077)	28,778	(19,299)
Contributions					
Employer	0	(45,747)	(45,747)	0	(45,747)
Plan participants	2,934	(2,934)	0	0	0
Payments					
Benefit payments	(110,022)	100,554	(9,469)	0	(9,469)
Settlement payments	0	0	0	0	0
Other					
Effect of business combinations and disposals	(502)	0	(502)	0	(502)
Foreign exchange adjustments	2,776	(2,868)	(91)	79	(12)
AS AT 31 DECEMBER 2021(2)(3)	1,967,333	(1,820,466)	146,867	32,342	179,209

(1) The remeasurement gain recognised in OCI is mainly due to the increase of the discount rate compared to 2020 (by an average of 0.33%) and the positive return of the assets of the pension plans in 2021, partially offset by a loss due to the increase of the inflation rate.
(2) By the end of 2021,
→ 90.9% of the total pension liabilities are related to funded pension plans,
→ 7.2% are related to non qualifying assets, and
→ 1.9% are related to unfunded pension liabilities.
(3) The net liability represents the total position of pension plans. EUR 194,465 thousand concerns "pension and other employment defined benefit obligations" and EUR 15,256 thousand concerns "other assets - plans assets" for the plans ending with a net asset balance as at end 2021.

B. Fair value of plan assets

(in thousands of EUR)	31/12/20	31/12/21
Plan assets at fair value		
Cash and cash equivalents	18,916	43,305
Equity instruments	314,978	307,011
Debt securities	1,363,519	1,373,898
Real estate	8,314	8,102
Insurance contracts	91,855	88,151
TOTAL	1,797,582	1,820,466

C. Assumptions for Belgian plans

	31/12/20	31/12/21
Discount rate	0.75%	1.08%
Inflation rate	1.65%	1.75%
Salary growth (age related)	0,35% - 3,00%	0,35% - 3,00%

The discount rate is based on the Mercer Yield Curve (which reflects the AA corporate bond yield curve).

The inflation parameter is based on the average wage inflation of the last 10 years and the long-term outlook published by the European Central Bank.

Belfius uses the Belgian mortality tables that through age corrections are adapted to the current generally longer service life.

D. Sensitivity[1] of the present value of the Defined Benefit Obligation at end of year to changes of assumptions

	-50 bps	+50 bps
Discount rate	5.66%	-4.84%
Inflation rate	-2.80%	3.12%
Real salary increase	-1.99%	2.40%

(1) If all other assumptions are held constant.

E. Weighted average duration of the benefit obligation

(in years)	31/12/20	31/12/21
Belgium	10.88	10.57

F. Risks and ALM

The key risks to which pension plans managed by the Belfius pension fund (OFP) are exposed, relate to interest rate, inflation, longevity and age of retirement. The management of the pension plans is monitored by an "Investment Committee" and falls under the supervision of the OFP's Board of Directors and is mainly liability driven in its investment policy. A formalised investment framework ("Statement of Investment Principles") has been set-up to ensure a well-diversified and dedicated investment portfolio. The pension plans' liabilities are evaluated at least once a year. On a regular basis, an ALM study (with cash flow analysis and stress tests) is performed to determine and analyse the sensitivities of the plans to i.e. interest rate and inflation shocks. These form an important factor in the investment committee's advice to the Board of Directors for its deliberations on the strategic asset allocation of the investment portfolio. Day-to-day management of this portfolio and the plans' liquidity aspects have been entrusted to an external asset manager who, on a regular basis, delivers a report of its activities to the investment committee as well as to the OFP Board of Directors on an annual basis.

The pension plans managed as group insurance branch 21 have the same risks, but the risks of interest rate and longevity are partly covered by the insurer.

3. Contingent liabilities and legal litigations

A. Commitments to Single Resolution Fund

Belfius has opted in the past to pay part of its contribution of the Single Resolution Fund through an Irrevocable Payment Commitment. This payment commitment is fully covered by cash collateral. See also note 8.5. "Commitments to Single Resolution Fund".

B. Commitments to Belfius Bank Branches

As a result of the amended company legislation, the legal form of the Belfius branches has been converted from Cooperative Society (CVBA) to Limited Liability Company (Commanditaire Vennootschap (CommV)) as from 2020. In this context, as from 1 January 2020, Belfius Bank grants a guarantee to the managing partners of these limited partnerships for their unlimited liability.

C. Legal litigations

Belfius (Belfius Bank and its consolidated subsidiaries) is involved as a party in a number of litigations in Belgium, arising in the ordinary course of its business activities, including those where it is acting as an insurer, capital and credit provider, employer, investor and taxpayer.

Belfius recognises provisions for such litigations when, in the opinion of its management taking into account all available elements, including an analysis by its company lawyers and external legal advisors as the case may be

- a present obligation has arisen as a result of past events,
- it is probable that Belfius will have to make a payment, and
- the amount of such payment can be estimated reliably.

With respect to certain other litigations against Belfius, of which management is aware, no provision has been made according to the principles outlined here above, as the management is of the opinion, after due consideration of appropriate advice, that, while it is often not feasible to predict or determine the ultimate outcome of all pending litigations, such litigations are without legal merit, can be successfully defended, or that the outcome of these actions is not expected to result in a significant loss.

In the opinion of Belfius, the most important cases are listed below, regardless of whether a provision has been made or not[1]. Their description does not deal with elements or evolutions that do not have an impact on the position of Belfius. If the cases listed below were to be successful for the opposite parties, they could eventually result in monetary consequences for Belfius. For litigations for which no provision has been made, such impact remains unquantifiable at this stage. Note that, apart from the cases listed below, continued vigilance can be observed in the prevention of money laundering (AML) in the Belgian financial sector. In this context, as is customary, Belfius is collaborating with the Belgian authorities and monitors this closely.

(1) Note that, where relevant, §92 of IAS37 may apply to this section.

Housing Fund of the Brussels Capital Region

On 9 October 2012, the Housing Fund of the Brussels Capital Region (Woningfonds van het Brussels Hoofdstedelijk Gewest/ Fonds du Logement de la Région de Bruxelles-Capitale) summoned Belfius Bank before the Brussels Commercial Court. The Housing Fund subscribed for a total amount of EUR 32,000,000 to 4 treasury notes issued by Municipal Holding (Gemeentelijke Holding/Holding Communal), placed by Belfius acting as dealer under the Municipal Holding commercial paper program, between July and September 2011 (Commercial Paper program). Due to severe financial difficulties encountered by the Municipal Holding, the Housing Fund granted a voluntary waiver to the Municipal Holding on 24 November 2011 and received repayment for EUR 16 million. The Municipal Holding entered into liquidation in December 2011. Due to the intervention of Belfius as dealer of the treasury notes, the Housing Fund demands the payment by Belfius Bank of the non-repaid capital. As the loss incurred on this investment is the result of a voluntary waiver of the claim by the Housing Fund, which matches half of the investment, Belfius Bank rejects the demand from the Housing Fund.

On 27 March 2014, the Brussels Commercial Court accepted the claim application by the Housing Fund, but declared it unfounded.

The Housing Fund lodged an appeal against this judgement on 3 June 2014.

There was no significant evolution in this claim since 2016. The date of the hearings is scheduled for February 2022. No provision has been made for this claim.

Arco - Cooperative shareholders

Various parties, including Belfius Bank, have been summoned by Arco - Cooperative shareholders in two separate procedures, i.e. one procedure before the Dutch speaking Commercial Court of Brussels and another procedure before the Court of First Instance of Brussels:

- On 30 September 2014, 737 shareholders from 3 companies of the Arco Group (Arcopar, Arcoplus and Arcofin) initiated (with support of Deminor) proceedings against the Arco entities and Belfius Bank before the Dutch speaking Commercial Court of Brussels (the "Deminor Proceedings"). On 19 December 2014, 1,027 additional shareholders of the Arco entities joined in the Deminor Proceedings. On 15 January 2016, 405 additional shareholders of the Arco entities joined the Deminor Proceedings, resulting in a total of 2,169 plaintiffs. On 16 November 2020, a further "Deminor" procedure was initiated, in which all plaintiffs except one joined, to anticipate a possible nullity of the original summons. The content of the two proceedings is identical. As a result, they are treated together.
- The plaintiffs have requested that the Brussels Court rules, among other things:
  - in first order, that the agreements by virtue of which they became shareholders of the relevant Arco entities are null and void as a consequence of an alleged defect in consent;
  - that the defendants should therefore, in solidum, reimburse the plaintiffs for their financial contribution in these entities plus interest;
  - in the alternative, a compensation is asked to Belfius Bank for an alleged violation of the information duty; and
  - that the defendants are liable for certain additional damages to the plaintiffs.

The historical financial contribution of the 2,169 plaintiffs to the Arco Group entities, for which reimbursement is claimed, amounted to approximately EUR 6.5 million (principal amount) as at the date of this Report. The plaintiffs' claims in the Deminor Proceedings are based on allegations of fraud and/or error on the part of the Arco entities and Belfius Bank. In the alternative, the plaintiffs have argued that Belfius Bank breached its general duty of care as a normal and prudent banker. In relation to Belfius Bank, the plaintiffs have referred to certain letters and brochures allegedly containing misleading information issued by the predecessors of Belfius Bank. The Belgian State, DRS Belgium (Deminor) and the Chairman of the Management Board of the Arco entities are also defendants in the proceedings before the Commercial Court of Brussels. In the meantime, the VZW Arcoclaim also intervened in this litigation procedure (on grounds of an alleged transfer of claim by one of the plaintiffs/shareholders). The case has been pleaded during several pleading sessions in June 2021. In its decision announced on 3 November 2021, the Dutch-speaking Commercial Court of Brussels rejected all the claims of the cooperative shareholders. In January 2022, Deminor has announced in the press that the plaintiffs will introduce an appeal against the judgment and that additional judicial proceedings, for new and more plaintiffs, shareholders of Arco entities, may be initiated.

- Furthermore, on 7 February 2018, 2 cooperative shareholders summoned the Belgian State before the Court of First Instance of Brussels because they state that the Belgian State has made a fault by promising and introducing a guarantee scheme for shareholders of financial cooperative companies (like the Arco cooperative shareholders) which has been considered illicit state aid by the European Commission. These 2 plaintiffs also summoned Belfius Bank on 8 February 2018 to intervene in this procedure and claim compensation from Belfius Bank because they consider that Belfius Bank erred in the sale of the Arco shares. Groups of Arco-shareholders organized themselves via social media to mobilize other Arco shareholders to become claimant in this procedure, and to the knowledge of Belfius, as of end June 2020, approximately 5,380 Arco shareholders did so. The VZW Arcoclaim also intervenes in this litigation procedure. There is not yet a pleading calendar in this case.

No provision has been made for these claims because Belfius Bank is of the opinion that it has sufficient valid arguments to result in these claims being declared inadmissible and/or without merit.

Funding Loss

Belfius Bank is facing some legal actions regarding the issue of indemnities charged for funding losses incurred by the Bank. The latter are charged to professional clients in the case of early repayment of professional credits. These indemnities are calculated in line with the current legal dispositions and the contractual framework of such credits to reflect the financial losses that are actually incurred by the Bank in the case of early repayment of a professional credit. Belfius booked provisions to cover the potential adverse outcome of litigation proceedings. These provisions are reassessed on an ongoing basis, taking into account the evolution of Belgian case law and the relevant outstanding credits.

Investigations into Panama Papers

These paragraphs are mentioned for completeness only, although the matters below do not comprise a litigation. On 5 December 2017, a police search under the lead of an examining magistrate of Brussels (onderzoeksrechter/juge d'instruction) took place at Belfius Bank's head office in the framework of the Belgian "Panama Papers" Parliamentary Commission. The Bank was investigated as a witness and has not been accused of any wrongdoing. The scope of the investigation is to establish whether there are any violations of anti-money laundering obligations and to investigate the link between Belfius Bank (or its predecessors), and, amongst others, Experta and Dexia Banque Internationale à Luxembourg (i.e. former entities of the Dexia group).

To date, Belfius Bank did not receive any further information since the above mentioned police search.

Investigation by public prosecutor into the activities of an independent bank agency

Public prosecution has been initiated, a.o. against Belfius Bank, for its alleged role in potential fraudulent activities that would have been conducted with the assistance of a director of an independent bank agency of Belfius Bank in violation of several (banking) regulations. After consultation of the criminal file, Belfius continues to believe that it has sufficient valid arguments to result in these claims being declared inadmissible and/or without merit. No provision has been booked for this case.

6.7. Subordinated debts

1. Not measured at fair value through profit or loss

	Amortised Cost	
(in thousands of EUR)	31/12/20	31/12/21
CONVERTIBLE SUBORDINATED DEBT	0	0
NON-CONVERTIBLE SUBORDINATED DEBT	1,150,681	1,642,749
Loan capital perpetual subordinated notes	159,380	159,380
Loan capital non-perpetual subordinated notes	991,301	1,483,370
TOTAL	1,150,681	1,642,749
HYBRID CAPITAL AND REDEEMABLE PREFERENCE SHARES	0	0

Subordinated debts increased by EUR 492 million, or 42.8%, to EUR 1.6 billion (31 December 2020: EUR 1.2 billion) following the issuance of EUR 0.5 billion fixed rate Tier 2 subordinated notes.

2. Measured at fair value through profit or loss

Nil.

3. Analysis cash flows and non-cash changes

(in thousands of EUR)	31/12/20	31/12/21
OPENING BALANCE	1,157,266	1,150,681
CASH FLOWS		
Issuance of subordinated debts	0	497,160
Repayments of subordinated debts	0	0
NON-CASH CHANGES		
Foreign exchange adjustments	(5,544)	(5,545)
Effective Interest rate	(1,042)	453
CLOSING BALANCE	1,150,681	1,642,749

Belfius issued EUR 0.5 billion fixed rate Tier 2 subordinated notes to contribute to MREL requirements.

4. Analysis by maturity and interest rate

See notes 9.4., 9.5. and 9.6.

5. Analysis of the fair value

See note 9.1.

6. Data for each subordinated debt

Ref.no.	Currency	Amount in thousands of currency units	Maturity date or method for determining the duration	a) Circumstances for early redemption b) Conditions for subordination c) Conditions for convertibility	Conditions of compensations	Value in regulatory capital in thousands EUR
1.	EUR	29,999	3/1/2022	a) not applicable b) no specific conditions c) none	Euribor 3m + 43bp	986
2.	EUR	44,966	4/4/2022	a) not applicable b) no specific conditions c) none	6%	2,315
3.	EUR	17,500	undetermined (call date: 29/12/2023)	a) possible with the agreement of the ECB, from the date of the call, then at the end of each period of 12 years b) no specific conditions c) none	4,609% till 29/12/2023, then IRS 12y + 200bp	17,500
4.	EUR	17,500	undetermined (call date: 29/12/2022)	a) possible with the agreement of the ECB, from the date of the call, on 29/12/2029 and then at the end of each period of 10 years b) no specific conditions c) none	1,734% till 29/12/2022, then IRS 7y + 200 bp	17,500
5.	EUR	50,000	undetermined (call date: 15/07/2023)	a) possible with the agreement of the ECB, from the date of the call, then at the end of each period of 12 years b) no specific conditions c) none	5,348% till 15/07/2023, then IRS 12y + 200bp	50,000
6.(1)	JPY	10,000,000	9/11/2025	a) not applicable b) no specific conditions c) none	6,1%, multicurrency	56,536
7.(1)	JPY	10,000,000	9/11/2025	a) not applicable b) no specific conditions c) none	6,05%, multicurrency	56,536
8.	EUR	72,000	undetermined (call date: 1/1/2025)	a) possible with the agreement of the ECB, from the date of the call, then at the end of each year b) no specific conditions c) none	6,25% till 01/01/2025, then Euribor 3m + 417 bp	72,000
9.	EUR	547,885	5/11/2026	a) not applicable b) no specific conditions c) none	3.125%	477,675
10.	EUR	193,223	3/15/2028 (call date: 15/3/2023)	a) possible with the agreement of the ECB, at the date of the call b) no specific conditions c) none	1,625% till 15/03/2023, then IRS 5y + 123 bp	193,223
11.(2)	EUR	497,083	undetermined (call date: 16/4/2025)	a) possible with the agreement of the ECB, from the date of the call, then semi-annually b) no specific conditions c) none	3,625% till 16/04/2025, then resettable every 5 years	497,083
12.	EUR	497,214	4/6/2034 (call date: from 6/1/2029 to 6/4/2029)	a) possible with the agreement of the ECB, at the date of the call b) no specific conditions c) none	1,25% till call date, then EUR Midswap 5y + 130bp	497,214

(1) As the interest structure embedded in the contract is considered as not closely related to the host contract; it has been bifurcated and is presented as a separate derivative on the balance sheet.
(2) Issue of EUR 500 million (nominal value) Additional Tier-1 instruments (AT1), that qualify as additional equity under CRR/CRD IV. The AT1 security has been analysed in respect with IAS 32 and is considered as an equity instrument and is not included in the total of the disclosure 6.7. (subordinated debts).

6.8. Other liabilities

(in thousands of EUR)	31/12/20	31/12/21
OTHER LIABILITIES (NOT RELATING TO INSURANCE ACTIVITIES)	**1,170,476**	**1,217,092**
Accrued costs	89,801	68,180
Deferred income	21,285	23,278
Subsidies	0	0
Other granted amounts received	329	542
Salaries and social charges (payable)	132,554	147,264
Shareholder dividends payable	0	0
Operational taxes	52,915	70,016
Long-term construction contracts	0	0
Pending payments to clients and debts to service providers	443,500	543,964
Pending payments from lease contracts	96,524	105,381
Pending payments from factoring activities	333,568	258,469
Deferred DOP	0	0
OTHER LIABILITIES SPECIFIC TO INSURANCE ACTIVITIES	**150,188**	**159,940**
Debts for deposits from assignees	84,242	92,346
Debts resulting from direct insurance transactions	51,596	55,282
Debts resulting from reinsurance transactions	14,332	12,312
Other insurance liabilities	18	0
TOTAL	1,320,664	1,377,031

Other liabilities increased in comparison to 2020 due mainly to an increase in pending payments to clients, partially offset by a decrease in pending payments from factoring.

VII. Notes on the consolidated statement of income

(some amounts may not add up due to rounding)

Significant items included in the statement of income

We refer to the chapter "Financial results" in the management report.

7.1. Interest income – interest expense

(in thousands of EUR)	31/12/20	31/12/21
INTEREST INCOME	3,352,799	3,357,376
INTEREST INCOME OF FINANCIAL ASSETS MEASURED AT AMORTISED COST	**2,490,867**	**2,391,095**
Loans and advances due from credit institutions	9,501	5,821
Loans and advances	1,917,400	1,885,729
Debt securities issued by public sector	373,931	327,057
Other debt securities	189,118	171,582
Other	917	905
INTEREST INCOME OF FINANCIAL ASSETS MEASURED AT FAIR VALUE THROUGH OCI	**92,288**	**87,145**
Loans and advances	0	1,211
Debt securities issued by public sector	62,324	59,174
Other debt securities	29,964	26,760
INTEREST INCOME OF FINANCIAL ASSETS MEASURED AT FAIR VALUE THROUGH PROFIT OR LOSS	**614,875**	**599,325**
Financial assets held for trading	6,196	8,454
Non-trading financial assets mandatorily measured at fair value	77,995	69,433
Loans and advances	50,073	40,611
Debt securities issued by public sector	600	479
Other debt securities	27,322	28,343
Derivatives held for trading	144,534	152,025
Derivatives as hedging instruments	386,151	369,415
INTEREST INCOME ON FINANCIAL LIABILITIES (NEGATIVE YIELD)	**154,770**	**279,811**
INTEREST EXPENSE	(1,361,293)	(1,356,009)
INTEREST EXPENSE OF FINANCIAL LIABILITIES NOT MEASURED AT FAIR VALUE THROUGH PROFIT OR LOSS	**(292,526)**	**(272,063)**
Cash and balances with central banks	(402)	(0)
Credit institutions borrowings and deposits	(6,369)	(3,366)
Customers borrowings and deposits	(98,710)	(95,139)
Debt securities issued	(154,823)	(140,283)
Lease liabilities	(781)	(703)
Subordinated debts	(30,006)	(31,474)
Other	(1,436)	(1,099)
INTEREST EXPENSE OF FINANCIAL LIABILITIES MEASURED AT FAIR VALUE THROUGH PROFIT OR LOSS	**(945,800)**	**(877,857)**
Financial liabilities held for trading	(2,891)	(5,686)
Financial liabilities designated at fair value	(71,056)	(82,949)
Derivatives held for trading	(131,205)	(100,017)
Derivatives as hedging instruments	(740,649)	(689,205)
INTEREST EXPENSE ON FINANCIAL ASSETS (NEGATIVE YIELD)	**(113,245)**	**(206,089)**
MODIFICATION LOSS ON FINANCIAL ASSETS (1)	**(9,722)**	**0**
NET INTEREST INCOME(2)	1,991,506	2,001,367

(1) In light of the Covid-19 crisis, a payment holiday was granted to individuals on their mortgage loans if, among other criteria, their income fell below EUR 1,700 per month (considered as vulnerable clients). Seeing that the mortgage loans of vulnerable clients are merely extended with the deferred period, without make whole for lost value, the difference between the present value of the original cash flows and the modified cash flows, both discounted at the original EIR, resulted in a "modification loss" to be recognised upfront by Belfius Bank. Refer to the section "Measures in Covid-19 crisis to support the Belgian Society" in the Credit Risk chapter of the Management Report for further information on the Covid-19 measures taken at Belfius. Note that no modification loss was recognised in 2021.

(2) Interest income and expense are recognised on an accrual basis in the statement of income for all interest bearing instruments using the effective interest rate method. We refer to chapter Accounting principles.

Net interest income increased by EUR 9.9 million, or 0.5%, to EUR 2,001 million (31 December 2020: EUR 1,992 million), mainly due to higher volumes in loans combined with a strict pricing discipline despite the pressure of the lower interest rate environment, lower outstandings in Branch 21 and reinvestments at lower market yields. The interest received on TLTRO III funding from ECB/NBB central bank and accounted for in 2021 amounts to EUR 155 million (vs EUR 78 million in 2020, of which EUR 76 million from the TLTRO III). The interest paid on total lending to ECB/NBB and accounted for in 2021 amounts to EUR 149 million (vs EUR 43 million in 2020).

Based on net lending volumes per 31 December 2021, the conditions of the TLTRO programme have been met and therefore the effective interest rate includes the additional reduction of 50 basis points.

Note that 2020 was positively impacted by the restructuring of a specific corporate leasing file. Furthermore, in 2020 a modification loss of EUR 9.7 million was recognised as a result of the relief granted to vulnerable customers, following the moratorium granted on mortgage loans in light of the Covid-19 crisis. In 2021, no modification loss was recognised.

7.2. Dividend income

(in thousands of EUR)	31/12/20	31/12/21
Financial assets held for trading	7,865	11,625
Financial assets measured at fair value through other comprehensive income	42,400	61,229
Non-trading financial assets mandatorily measured at fair value through profit or loss	0	0
TOTAL	50,265	72,853

Dividend income increased compared to 2020 following the impact of the Covid-19 crisis on dividend distributions in 2020.

7.3. Net income from equity method companies

(in thousands of EUR)	31/12/20	31/12/21
Income from equity method companies before tax	5,847	3,558
Share of tax	(999)	(1,108)
Impairments on goodwill	0	0
TOTAL	4,848	2,449

7.4. Net income from financial instruments at fair value through profit or loss

(in thousands of EUR)	31/12/20	31/12/21
Net trading income	44,198	70,461
Net result of financial assets designated at fair value through profit or loss and result from the related derivatives	0	0
Result of financial assets non-trading mandatorily measured at fair value through profit or loss	(33,661)	(30,379)
Loans and advances	(11,227)	(28,502)
Debt securities issued by public sector	(1,489)	540
Other Debt securities	(21,567)	(2,495)
Equity instruments	621	77
Net result of financial liabilities designated at fair value through profit or loss and result from the related derivatives (except own credit risk)	(1,919)	2,114
Net result of hedge accounting	15,469	(17,222)
TOTAL	24,086	24,973

Net income from financial instruments measured at fair value through profit or loss increased by EUR 0.9 million to EUR 25 million (31 December 2020: EUR 24 million). Net trading income increased by EUR 26 million to EUR 70 million for the year ending 31 December 2021, due mainly to the negative impact of the Covid-19 outbreak on credit spreads as well as equity markets in 2020 whereas the markets stabilized in 2021. The net result from financial instruments mandatorily measured at fair value through profit or loss increased by EUR 3 million to EUR -30 million for the year ending 31 December 2021.

The net result of hedge accounting decreased by EUR 33 million to EUR -17 million for the year ending 31 December 2021 and was negatively impacted, among other factors, by evolutions on some basis spreads and basis risks. Please note that the derivatives hedging these instruments are considered as trading derivatives whose fair value adjustments are classified in net trading income.

Net trading income

Net trading income increased by EUR 26 million to EUR 70 million for the year ending 31 December 2021, due mainly to the negative impact of the Covid-19 outbreak on credit spreads as well as equity markets in 2020 whereas the markets stabilized in 2021. Note that the total amount recorded on the balance sheet as credit value adjustments stands at EUR 51 million end 2021 (compared to EUR 79 million end 2020), whereas total amount on the balance sheet of the debit value adjustment amounts to EUR 3 million end 2021 (compared to EUR 2 million end 2020). The total amount on the balance sheet related to funding value adjustments amounts to EUR -61 million end 2021 (compared to EUR 71 million end 2020).

The total P&L impact in the line net trading income for credit value adjustments amounted to EUR 27 million in 2021 (compared to -6 million in 2020) mainly due to lower credit spreads and the evolution of the exposures, for debit value adjustments EUR 0.6 million in 2021 (compared to -0.4 million in 2020) and for funding value adjustments EUR 9 million in 2021 (compared to EUR -18 million in 2020).

Result of financial assets non-trading mandatorily measured at fair value through profit or loss

The net result from financial instruments was positively impacted by improved equity markets resulting in positive fair value changes mainly on funds at Belfius Insurance (considered as non-SPPI compliant bonds) as presented in the line "Other Debt securities", partially offset by negative fair value changes on non-SPPI compliant structured loans as presented in the line "Loans and advances" due to the higher interest rates compared to 2020. Note that hedges of these instruments are classified in net trading income.

Net result of hedge accounting

The net result of hedge accounting amounts to EUR -17 million (2020: EUR 15 million) and was negatively impacted amongst others by basis risks.

Belfius is managing basis risks through additional derivatives (economic hedges) for which no hedge accounting is set up, as the result of the impact of these hedges were recorded in the net trading income line for an amount of EUR +7 million (2020: EUR -2 million). It mainly relates to economic hedges of hedge inefficiency stemming from basis risks (hedged via basis swaps).

Result of hedge accounting

(in thousands of EUR)	31/12/20	31/12/21
FAIR VALUE HEDGES	**9,746**	**(17,432)**
Fair value changes of the hedged item attributable to the hedged risk	762,957	(47,866)
Fair value changes of the hedging derivatives	(753,211)	30,434
CASH FLOW HEDGES	**0**	**0**
PORTFOLIO HEDGE	**5,723**	**210**
Fair value changes of the hedged item	182,410	(483,842)
Fair value changes of the hedging derivatives	(176,687)	484,052
TOTAL	**15,469**	**(17,222)**

(in thousands of EUR)	31/12/20	31/12/21
DISCONTINUATION OF CASH FLOW HEDGE ACCOUNTING (CASH FLOWS STILL EXPECTED TO OCCUR) – AMOUNTS RECORDED IN INTEREST MARGIN	**60**	**152**

All effectiveness tests were respected at all times.

For more details we refer to note 5.6. derivatives

7.5. Net income on investments and liabilities

(in thousands of EUR)	31/12/20	31/12/21
FINANCIAL ASSETS AT AMORTISED COST (NOT IMPAIRED)	**5,341**	**1,070**
Realised gains on debt securities issued by public sector	1	0
Realised gains on other debt securities	5,340	1,070
FINANCIAL ASSETS AT FAIR VALUE THROUGH OCI (NOT IMPAIRED)	**23,531**	**1,595**
Realised gains on loans and advances	0	26
Realised gains on debt securities issued by public sector	17,364	724
Realised gains on other debt securities	6,166	845
ASSETS HELD FOR SALE	**433**	**0**
Realised gains on assets held for sale	433	0
OTHER	**41,771**	**15,195**
Realised gains on tangible fixed assets	41,770	15,195
FINANCIAL LIABILITIES AT AMORTISED COST	**8**	**15**
Realised gains on financial liabilities	8	15
TOTAL GAINS	**71,083**	**17,875**
FINANCIAL ASSETS AT AMORTISED COST (NOT IMPAIRED)	**(15,547)**	**(1,960)**
Realised losses on other debt securities	(15,547)	(1,960)
FINANCIAL ASSETS AT FAIR VALUE THROUGH OCI (NOT IMPAIRED)	**(854)**	**(612)**
Realised losses on loans and advances	0	(111)
Realised losses on debt securities issued by public sector	(215)	(197)
Realised losses on other debt securities	(639)	(304)
ASSETS HELD FOR SALE	**(10)**	**(13)**
Realised losses on assets held for sale	(10)	(13)
OTHER	**(152)**	**(445)**
Realised losses on tangible fixed assets	(142)	(160)
Realised losses on intangible fixed assets	(10)	0
Other realised losses	(0)	(285)
FINANCIAL LIABILITIES AT AMORTISED COST	**(3)**	**(3)**
Realised losses on financial liabilities	(3)	(3)
TOTAL LOSSES	**(16,565)**	**(3,033)**
TOTAL NET INCOME ON INVESTMENTS AND LIABILITIES	**54,517**	**14,842**

Net income on investments and liabilities decreased by EUR 39.7 million, or -72.8%, to EUR 15 million (31 December 2020: EUR 55 million).

Belfius realised capital gains of EUR 15 million on the sale of tangible fixed assets, mainly on the sale of different bank offices (EUR 12 million) and on the sale of a building in Mechelen. Note that capital gains of EUR 42 million were realised in 2020, mainly on the partial sale of the Galilee building.

Furthermore, Belfius Insurance realised EUR 23 million from the sale of bonds in 2020 in order to manage its duration gap while no capital gains on bonds were realised in 2021.

The table below provides a summary of the realised gains and losses from derecognition on not impaired and impaired financial instruments. These realised gains and losses can be accounted for in the line-item "Net income on investments and liabilities" for not impaired debt instruments measured at fair value through OCI (note 7.5.) or in the line-item "Impairments on financial instruments and provisions for credit commitments" for impaired debt instruments, and impaired and not impaired loans and advances (note 7.13.).

1. Realised gains or losses arising from derecognition of debt instruments measured at amortised cost (impaired and not impaired)

(in thousands of EUR)	31/12/20	31/12/21
REALISED GAINS FROM DERECOGNITION OF NOT IMPAIRED FINANCIAL ASSETS MEASURED AT AMORTISED COST	**294,761**	**2,801**
Realised gains on loans and advances	751	759
Realised gains on debt securities issued by public sector[1]	286,615	226
Realised gains on other debt securities	7,396	1,816
REALISED GAINS ARISING FROM DERECOGNITION OF IMPAIRED FINANCIAL ASSETS MEASURED AT AMORTISED COST	**15,019**	**10,890**
Realised gains on impaired loans and advances	15,019	10,890
Realised gains on impaired other debt securities	0	0
REALISED LOSSES ARISING FROM DERECOGNITION OF NOT IMPAIRED FINANCIAL ASSETS MEASURED AT AMORTISED COST	**(319,059)**	**(4,312)**
Realised losses on Loans and advances	(1,684)	(2,083)
Realised losses on debt securities issued by public sector[1]	(300,227)	(70)
Realised losses on other debt securities	(17,149)	(2,159)
REALISED LOSSES ARISING FROM DERECOGNITION OF IMPAIRED FINANCIAL ASSETS MEASURED AT AMORTISED COST	**(14,972)**	**(10,759)**
Realised losses on impaired Loans and advances	(14,972)	(10,759)

(1) In 2020, realised gains and losses arising from derecognition of not impaired debt securities issued by public sector concern the sale of certain Italian government bonds.

2. Realised gains or losses arising from derecognition of debt instruments measured at fair value through other comprehensive income (impaired and not impaired)

(in thousands of EUR)	31/12/20	31/12/21
REALISED GAINS FROM DERECOGNITION OF NOT IMPAIRED FINANCIAL ASSETS MEASURED AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	**23,531**	**1,595**
Realised gains on Loans and advances	0	26
Realised gains on debt securities issued by public sector	17,364	724
Realised gains on other debt securities	6,166	845
REALISED GAINS ARISING FROM DERECOGNITION OF IMPAIRED FINANCIAL ASSETS MEASURED AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	**0**	**0**
REALISED LOSSES ARISING FROM DERECOGNITION OF NOT IMPAIRED FINANCIAL ASSETS FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	**(854)**	**(612)**
Realised losses on Loans and advances	0	(111)
Realised losses on debt securities issued by public sector	(215)	(197)
Realised losses on other debt securities	(639)	(304)
REALISED LOSSES ARISING FROM DERECOGNITION OF IMPAIRED FINANCIAL ASSETS MEASURED AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	**0**	**0**

7.6. Fee and commission income – expense

	31/12/20			31/12/21		
(in thousands of EUR)	Income	Expense	Net	Income	Expense	Net
Commissions on unit trusts and mutual funds managed by third parties	306,250	(56,548)	249,702	380,380	(67,508)	312,872
Insurance activity	125,239	(4,500)	120,739	129,623	(4,042)	125,580
Credit activity	39,404	(6,219)	33,185	45,511	(5,579)	39,932
Purchase and sale of securities	18,372	(1,174)	17,198	16,324	(934)	15,391
Purchase and sale of unit trusts and mutual funds	44,727	(15)	44,712	58,920	(28)	58,892
Payment services	168,222	(61,763)	106,459	195,669	(66,654)	129,015
Commissions to not exclusive brokers	1,609	(12,392)	(10,783)	1,837	(12,476)	(10,639)
Services on securities other than safekeeping	6,607	(1,412)	5,195	5,909	(1,620)	4,289
Custody	30,297	(4,208)	26,090	32,605	(3,759)	28,847
Issues and placements of securities	9,902	(5,032)	4,871	9,965	(5,040)	4,926
Servicing fees of securitisation	193	0	193	177	0	177
Advisory services and discretionary management	32,856	(6,320)	26,536	42,144	(7,819)	34,325
Clearing and settlement	14,081	(4,636)	9,445	12,629	(5,076)	7,554
Securities lending	7,923	(1)	7,922	6,196	(0)	6,195
Financial guarantees	4,581	(5,102)	(521)	4,107	(4,199)	(92)
Beyond banking and insurance	0	0	0	253	(13)	240
TOTAL	810,261	(169,319)	640,942	942,249	(184,745)	757,504

Net fee and commission income increased by EUR 116.6 million, or 18.2%, to EUR 758 million (31 December 2020: EUR 641 million). The increase was mainly attributed to an increase in commission income on asset management services (+EUR 77 million) resulting from increased subscriptions, higher average outstanding volumes thanks to organic growth, increasing equity markets, and higher (entry and servicing) fees, as well as on payment services (+EUR 23 million).

7.7. Insurance results

Note that Belfius has opted to present the figures on technical results from insurance activities including intragroup transactions between bank and insurance entities, as these mainly relate to insurance contracts concluded between the bank and insurance entities and distribution commissions that Belfius Insurance pays to Belfius Bank. Please refer to note 7.6. "Fee and commission income – expense" for more details on the commission income from insurance activities.

(in thousands of EUR)	31/12/20	31/12/21
GROSS EARNED PREMIUMS		
In the consolidated income statement (as presented on statement of income)	1,475,214	1,506,818
Intragroup transactions	6,458	6,315
Gross earned premiums including intragroup transactions	1,481,672	1,513,133

1. Overview per activity

Please refer to note 4. "Operating segment reporting" part B, segmentation by contribution scope, for a breakdown of the contribution of Belfius Bank and Belfius Insurance into the group result. The contribution to the "technical result" refers also to the statement of income IX. "Technical result from insurance activities" as only insurance activities are reported to this line.

The further breakdown of the contribution of Belfius Insurance into the activities Life, Non-Life and Non-technical is based on the results of the insurance activities and the corresponding investment portfolios.

A. Consolidated statement of income

	31/12/20				31/12/21			
(in thousands of EUR)	Life	Non-Life	Non-Technical	Total	Life	Non-Life	Non-Technical	Total
INCOME	273,488	244,064	26,805	544,357	302,312	210,575	26,320	539,207
Technical result(1)	(140,009)	207,855	0	67,846	(102,753)	175,669	0	72,916
Gross earned premiums	751,514	730,157	0	1,481,672	748,961	764,173	0	1,513,133
Other technical income and charges	(891,524)	(522,302)	0	(1,413,826)	(851,714)	(588,504)	0	(1,440,218)
Financial result	395,858	36,014	25,865	457,737	381,901	34,741	24,561	441,203
Interest income, Interest expense, Dividend income	381,585	36,392	20,067	438,044	371,800	35,070	20,684	427,554
Net income on investments and liabilities	32,571	9	7,003	39,582	1,202	6	(283)	925
Net income from equity method companies, Net income from financial instruments at fair value through profit or loss, Other income, Other expense	(18,298)	(387)	(1,205)	(19,889)	8,900	(335)	4,160	12,725
Fee and commission income, Fee and commission expense	17,639	195	941	18,775	23,164	165	1,759	25,088
EXPENSES	(77,049)	(162,965)	(17,474)	(257,488)	(74,847)	(158,625)	(23,166)	(256,638)
Impairments on loans and advances and provisions for credit commitments, Impairments on goodwill	(4,009)	(950)	(474)	(5,433)	(519)	233	247	(39)
Impairments on tangible and intangible assets	0	0	(2,836)	(2,836)	(3)	0	(847)	(850)
NET INCOME BEFORE TAX	192,429	80,149	6,021	278,600	226,944	52,183	2,554	281,681
Tax (expense) income	(45,844)	(19,096)	(1,433)	(66,373)	(49,906)	(11,137)	(1,086)	(62,130)
NET INCOME	146,585	61,053	4,588	212,227	177,037	41,046	1,467	219,551
Attributable to non-controlling interests	0	0	(14)	(14)	(0)	0	630	630
Attributable to equity holders of the parent	146,585	61,053	4,602	212,240	177,037	41,046	837	218,920

(1) Statement of income IX. Technical result from insurance activities.

B. Consolidated balance sheet

(in thousands of EUR)	31/12/20				31/12/21			
	Life	Non-Life	Non-Technical	Total	Life	Non-Life	Non-Technical	Total
TECHNICAL PROVISIONS OF INSURANCE COMPANIES								
Technical provisions - insurance activities	11,356,195	1,314,474	0	12,670,669	10,727,342	1,470,179	0	12,197,521
Technical provisions unit-linked	3,813,059	0	0	3,813,059	4,245,672	0	0	4,245,672
Technical provisions - share of reinsurers	12,723	94,352	0	107,075	12,313	118,577	0	130,890

The technical result from insurance activities Life and Non-Life improved by EUR 5.1 million to a profit of EUR 72.9 million (31 December 2020: profit of EUR 67.8 million).

The technical result from insurance activities Life improved by EUR 37 million to a loss of EUR 103 million. Interest guarantees decreased by EUR 24 million due to the declining outstanding volume in Branch 21 Life and a decreasing average guaranteed interest rate on the remaining volumes. Furthermore, Belfius recorded a release of EUR 15 million of Life provisions in 2021, in line with the risk appetite framework in comparison with no release in 2020.

In Non-Life, the technical margin decreased by EUR 32 million, resulting mainly from higher claims charges especially in Car as previous year was positively impacted by the Covid-19 lockdown. The cost for natural disasters, net of reinsurance amounts to EUR 27,5 million in 2021, compared to EUR 25 million in 2020. The impact of the July floods amounts to EUR 24 million (including ex-gratia payments, allowing for a fair and efficient claim-handling for the victims of the floods).The amount has been limited as a result of the reinsurance programs in place. In addition, Belfius recognised a provision of EUR 10,8 million for damages caused by drought following the publication of interpretative legislation, the risk is covered retroactively to a certain extent in Property insurance policies. Furthermore, the Non-Life result was positively impacted by the increase of gross earned premiums. Following the reassessment of the technical provisions, a release of claims provisions was recognised in 2020 of EUR 13 million in line with the risk appetite framework.

2. Gross earned premiums Life

(in thousands of EUR)	31/12/20			31/12/21		
	Insurance contracts	Investment contracts with DPF	Total	Insurance contracts	Investment contracts with DPF	Total
Gross premiums written	521,801	229,714	751,515	538,241	210,719	748,961
Change in gross unearned premium reserves (UPR)	0	0	0	0	0	0
GROSS EARNED PREMIUMS	521,801	229,714	751,515	538,241	210,719	748,961

(in thousands of EUR)	31/12/2020	31/12/2021
GROSS PREMIUMS WRITTEN LIFE	751,515	748,961
Direct business	751,515	748,961
Accepted reinsurance	0	0

(in thousands of EUR)	31/12/2020	31/12/2021
GROSS PREMIUMS WRITTEN UNIT-LINKED	206,354	333,220

3. Non-Life insurance by product group

(in thousands of EUR)	Gross earned premiums	Claims incurred and other technical expenses	Acquisition commis-sions	Technical result from ceded reinsurance	Net income on capital	Operating expenses	Other	Net income before tax
TOTAL AS AT 31 DECEMBER 2020	730,157	(360,852)	(142,457)	(18,988)	36,014	(162,965)	(755)	80,154
ACCEPTED REINSURANCE	585	(4,778)	(73)	2,120	987	0	14	(1,145)
DIRECT BUSINESS	729,572	(356,073)	(142,384)	(21,108)	35,027	(162,965)	(770)	81,299
All risks/accidents	124,954	(66,948)	(26,036)	(5,060)	7,170	(31,604)	(371)	2,105
Cars/third party liability	179,354	(97,003)	(29,824)	(5,812)	14,278	(41,134)	(621)	19,239
Cars/other branches	107,563	(48,170)	(20,009)	(824)	1,156	(29,457)	(24)	10,235
Fire and other damage to property	259,259	(114,840)	(62,795)	(9,090)	6,619	(47,558)	(339)	31,256
Other[1]	58,442	(29,113)	(3,720)	(321)	5,804	(13,212)	585	18,465

(in thousands of EUR)	Gross earned premiums	Claims incurred and other technical expenses	Acquisition commis-sions	Technical result from ceded reinsurance	Net income on capital	Operating expenses	Other	Net income before tax
TOTAL AS AT 31 DECEMBER 2021	764,173	(502,135)	(149,134)	62,664	34,741	(158,625)	498	52,183
ACCEPTED REINSURANCE	432	1,584	(46)	2,243	601	0	(15)	4,801
DIRECT BUSINESS	763,741	(503,719)	(149,088)	60,421	34,140	(158,625)	513	47,382
All risks/accidents	129,211	(51,161)	(27,271)	(2,737)	6,383	(28,902)	(115)	25,408
Cars/third party liability	184,760	(105,418)	(30,946)	(952)	14,122	(39,007)	(297)	22,261
Cars/other branches	115,226	(66,334)	(21,502)	3,680	1,100	(27,771)	(24)	4,375
Fire and other damage to property	273,595	(227,279)	(65,962)	62,140	7,392	(49,484)	(136)	266
Other[1]	60,949	(53,528)	(3,406)	(1,710)	5,144	(13,461)	1,085	(4,928)

(1) Includes Credit and suretyship, non-life distribution, health and accidents at work.

7.8. Other income

(in thousands of EUR)	31/12/20	31/12/21
Operational taxes	4	0
Rental income from investment property[1]	37,667	43,432
Other rental income	4,578	4,881
Other banking and insurance income[2]	572	1,748
Write-back of provisions for litigations[3]	12,438	14,757
Real estate projects	6,627	9,745
Asset Finance activities	86,432	101,720
Other income on other activities	69,670	64,587
OTHER INCOME	217,989	240,869

(1) Rental income from investment property increased in line with real estate investments.
(2) In 2021, EUR 1.1 million tax on securities accounts on Branch 23 funds was recovered from clients.
(3) We refer to note 6.6. "Provisions and contingent liabilities" for a detailed description. Please note that the additional provisions for litigations are recorded in other expense (we refer to note 7.9.).

Other income from asset finance activities increased in line with the increase in leasing activities.

7.9. Other expense

(in thousands of EUR)	31/12/20	31/12/21
Impairment on inventory	(101)	0
Sector levies[1]	(237,076)	(269,071)
Other levies[2]	0	(8,546)
Expenses related to investment properties that generated income during the current financial year	(34,980)	(28,463)
Other banking expenses	(587)	(1,172)
Provisions for litigations	(7,909)	(7,305)
Real estate projects	(5,259)	(7,389)
Asset Finance activities	(79,496)	(97,703)
Other expense on other activities[3]	(72,948)	(64,850)
OTHER EXPENSE	(438,356)	(484,499)

(1) Sector levies are specific taxes for financial institutions or insurers, it includes
→ the Deposit Guarantee Scheme contributions,
→ Subscription tax,
→ Financial Stability Contribution and
→ the contributions to the Single Resolution Fund.
Belfius has opted in the past to pay part of its contribution to the Single Resolution Fund through an Irrevocable Payment Commitment. This payment commitment was fully covered by cash collateral. Belfius has recorded EUR 17.5 million in its off balance sheet accounts (stable compared to 2020).
(2) Other levies include the tax on securities accounts, mainly on Branch 23 funds of Belfius Insurance for EUR 6.1 million.
(3) "Other expenses on other activities" includes other operational expenses and other operational taxes.

Other expense from asset finance activities increased in line with the increase in leasing activities.

7.10. Staff expense

(in thousands of EUR)	31/12/20	31/12/21
Wages and salaries	(439,890)	(447,065)
Social security and insurance costs	(122,043)	(125,475)
Pension costs-defined benefit plans[1]	(59,951)	(61,764)
Pension costs-defined contribution plans[1]	(371)	(399)
Other postretirement obligations (reversal / use)	(139)	69
Share-based payments	0	0
Other long-term employee benefits	200	504
Restructuring expenses (reversal / use)[1]	8,121	10,994
Other expense	(16,110)	(17,927)
TOTAL	(630,182)	(641,064)

(1) We refer to note 6.6. "Provisions and contingent liabilities" for a detailed description.

Staff expense increased by EUR 10.9 million, or 1.7%, to EUR 641 million (31 December 2020: EUR 630 million) due mainly to wage drift as well as salary bonus and covid premium in the form of consumption vouchers.

Average FTE as at 31 December 2020	Belgium	Luxembourg	Ireland	Fully consolidated
Senior Executives	138	1	1	140
Employees	6,098	5	6	6,109
TOTAL	6,236	6	7	6,249
of which banking group	4,945	4	7	4,956
of which Belins group	1,291	2	0	1,293

Average FTE as at 31 December 2021	Belgium	Luxembourg	Ireland	Fully consolidated
Senior Executives	154	1	1	156
Employees	6,045	5	6	6,056
TOTAL	6,199	6	7	6,212
of which banking group	4,911	4	7	4,922
of which Belins group	1,288	2	0	1,290

7.11. General and administrative expense

(in thousands of EUR)	31/12/20	31/12/21
Occupancy	(26,610)	(27,458)
Leases (except technology and system costs)	(2,346)	(1,958)
Professional fees	(76,152)	(89,282)
Marketing advertising and public relations	(32,029)	(40,091)
Technology and system costs	(189,199)	(184,628)
Software costs and research and development costs	(41,753)	(34,597)
Repair and maintenance expenses	(318)	(344)
Restructuring costs other than staff	(3,087)	2,603
Insurance (except related to pension)	(3,915)	(4,925)
Transportation of mail and valuable	(9,553)	(7,845)
Operational taxes	(13,772)	(13,494)
Other general and administrative expense	(72,401)	(80,623)
TOTAL	(471,136)	(482,642)

General and administrative expense increased by EUR 11.5 million, or 2.4%, to EUR 483 million (31 December 2020: EUR 471 million), in line with our investments in digital and automatization mainly for major strategic projects. The increase of EUR 13 million in professional fees is due mainly to increasing consultancy services for some major strategic projects. Marketing expenses increased by EUR 8 million following different marketing and brand campaigns in 2021. Note that development costs related to major strategic projects are capitalised, resulting in a net decrease in technology and software costs of EUR 12 million.

7.12. Depreciation and amortisation of fixed assets

(in thousands of EUR)	31/12/20	31/12/21
Depreciation of buildings	(22,301)	(23,560)
Depreciation of other tangible assets	(8,137)	(9,855)
Depreciation of right-of-use assets	(5,276)	(4,995)
Amortisation of intangible assets(1)	(116,470)	(94,422)
TOTAL	(152,184)	(132,833)

(1) Depreciation of intangible assets decreased following the accelerated depreciations accounted for at year-end 2020 due to the revised useful life of internally developed software given the rapid changes in technology and the accelerated uptake of digital services. This decrease was partially offset by the accelerated depreciations accounted for at year-end 2021 as a result of the reassessment of the useful life of internally developed software.

7.13. Impairments on financial instruments and provisions for credit commitments

1. Summary Totals

(in thousands of EUR)	31/12/20	31/12/21
Impairment on financial instruments and off balance commitments - Stage 1	65,952	4,920
Impairment on financial instruments and off balance commitments - Stage 2	(397,288)	73,842
Impairment on financial instruments, other assets and off balance commitments - Stage 3	(121,797)	(77,401)
TOTAL	(453,133)	1,361

Impairments on financial instruments and provision for credit commitments decreased by EUR 454.5 million to EUR 1 million (31 December 2020: EUR -453 million).

In 2020, the stage 1 and 2 impairments reflected the update of the underlying macro-economic scenarios and their weighting, in line with EBA guidance, to reflect the changes in the economic environment and prospects following the Covid-19 crisis. Furthermore, Belfius applied management overlays on expected credit losses for certain risk pockets (defined in terms of sectors, groups of companies or individual exposures) in the loan portfolios that were hit, or anticipated to be hit, particularly hard by the Covid-19 pandemic. As customary, impairments were also recognised on a limited number of corporate customers that entered stage 3 during 2020.

In 2021, Belfius updated the underlying macro-economic scenarios due to general macro-economic improvement as well as the reassessment of the management overlays, resulting in reversals of part of the stage 1 and 2 impairments accounted for in 2020. As customary, impairments were also recognised on a limited number of defaulted (stage 3) exposures during 2021 and as a result of portfolio evolutions.

Overall, this resulted in a net positive cost of risk of EUR +1 million in 2021 (vs EUR -453 million in 2020). The ex-ante provisioning of EUR 331 million per end 2020 decreased to EUR 216 million per end 2021, and is explained by the update of the macro-economic factors (decrease of EUR 68 million) and reversals on overlays for specific risk pockets and individual counterparts following the reassessment of the management overlays (decrease of EUR 47 million).

Refer to Chapter 3.2.3. Risk management Covid-19 adjustments to the impairment methodology: further insights.

2. Impairment on financial instruments and off balance commitments – Stage 1

	31/12/20				
(in thousands of EUR)	Allowances	Write-backs	Capital gains	Capital losses	Total
Loans and advances due from credit institutions	(63)	385	0	0	322
Loans and advances	(104,330)	168,372	0	0	64,042
Debt securities	(2,289)	813	0	0	(1,476)
Off balance commitments	(31,608)	34,672	0	0	3,064
TOTAL	(138,290)	204,242	0	0	65,952

	31/12/21				
(in thousands of EUR)	Allowances	Write-backs	Capital gains	Capital losses	Total
Loans and advances due from credit institutions	(783)	68	0	0	(715)
Loans and advances	(94,531)	97,445	0	0	2,914
Debt securities	(834)	2,048	0	0	1,214
Off balance commitments	(27,178)	28,685	0	0	1,507
TOTAL	(123,326)	128,246	0	0	4,920

Stage 1 impairment decreased by EUR 5 million in 2021 mainly following the updated the underlying macro-economic scenarios due to general macro-economic improvement and the reassessment of the management overlays.

3. Impairment on financial instruments and off balance commitments - Stage 2

	31/12/20				
(in thousands of EUR)	Allowances	Write-backs	Capital gains	Capital losses	Total
Loans and advances due from credit institutions	(411)	47	0	0	(365)
Loans and advances	(447,227)	109,717	751	(1,684)	(338,442)
Debt securities	(6,589)	30,786	288,670	(301,829)	11,039
Off balance commitments	(106,309)	36,789	0	0	(69,520)
TOTAL	(560,536)	177,340	289,421	(303,512)	(397,288)

	31/12/21				
(in thousands of EUR)	Allowances	Write-backs	Capital gains	Capital losses	Total
Loans and advances due from credit institutions	(10)	320	0	0	310
Loans and advances	(283,617)	357,370	759	(2,083)	72,430
Debt securities	(23,618)	16,677	972	(269)	(6,238)
Off balance commitments	(74,890)	82,230	0	0	7,340
TOTAL	(382,135)	456,598	1,730	(2,352)	73,842

Stage 2 impairment decreased by EUR 74 million in 2021 as a result of the updated underlying macro-economic scenarios due to general macro-economic improvement as well as the reassessment of the management overlays, resulting in reversals of part of the stage 2 impairments accounted for in 2020.

4. Impairment on financial instruments, other assets and off balance commitments - Stage 3

(in thousands of EUR)	31/12/20 Allowances	Write-backs	Write-offs	Capital gains	Capital losses	Recoveries	Total
Loans and advances due from credit institutions	0	0	0	0	0	0	0
Loans and advances	(266,135)	154,678	(5,856)	5,515	(14,972)	14,936	(111,835)
Debt securities	(2,485)	0	0	0	0	0	(2,485)
Off balance commitments	(11,559)	4,801	0	0	0	0	(6,757)
Other assets(1)	(731)	50	0	0	(39)	0	(720)
TOTAL	(280,910)	159,529	(5,856)	5,515	(15,011)	14,936	(121,797)

(in thousands of EUR)	31/12/21 Allowances	Write-backs	Write-offs	Capital gains	Capital losses	Recoveries	Total
Loans and advances due from credit institutions	0	0	0	0	0	0	0
Loans and advances	(257,527)	174,630	(5,466)	6,355	(10,759)	10,420	(82,348)
Off balance commitments	(5,781)	11,440	0	0	0	0	5,658
Other assets(1)	(1,343)	632	0	0	0	0	(711)
TOTAL	(264,652)	186,701	(5,466)	6,355	(10,759)	10,420	(77,401)

(1) This concerns impairments on mainly other insurance assets (i.e. reinsurance receivables), subject to impairment and reported under other assets on the balance sheet.

Stage 3 impairment increased with EUR 77 million in 2021 resulting from additional impairments on a limited number of corporate files.

7.14. Impairments on tangible and intangible assets

(in thousands of EUR)	31/12/20	31/12/21
Impairment on investment property	0	(6)
Impairment on land and buildings	(13,778)	(947)
Impairment on other tangible assets	0	0
Impairment on assets held for sale	0	0
Impairment on long-term construction contracts	0	0
Impairment on intangible assets	(2,836)	(844)
Impairment on right-of-use assets	0	0
TOTAL	(16,614)	(1,797)

Impairments on tangible and intangible assets decreased by EUR 14.8 million to EUR 2 million (31 December 2020: EUR 17 million).

In 2020 Belfius recognised an impairment of EUR 12 million on previous refurbishment works carried out for ATMs in bank branch buildings following the project with Batopin, which will centralise the management of ATMs for different Belgian banks. Furthermore, Belfius reassessed its intangible and tangible assets for the Covid-19 impacts, whereby an impairment of EUR 2 million was enacted on the intangible assets of Jaimy.

7.15. Impairments on goodwill

Nil

The annual impairment test did not require an impairment on goodwill. The impairment test was performed by comparing the equity value of Belfius Insurance with the "value in use". This value in use was determined based on a discounted cash flow model with the following inputs:

- financial plan for 5 years;
- discount rate: a cost of equity of 10%; and
- a long term growth rate for Belgium of 0.5%.

Note that the financial plan has only a limited impact on the impairment test. The main drivers are the discount curve and long term growth rate. Based on that scenario, a surplus could be identified, note that there have been no change in parameters compared to last year.

For 2020 and 2021, all scenarii (ranging from a growth rate from -2% to +2% and a discount rate of 6% to 12%) showed that no impairment was required. The assumptions for these scenarii are aligned with the expected evolution of the results in the financial plan and with the market conditions for capital costs.

7.16. Tax (expense) income

	31/12/20			31/12/21		
(in thousands of EUR)	Tax on current year result	Other Tax Expense	Total	Tax on current year result	Other Tax Expense	Total
Current tax expense / income: Income tax on current year	(234,690)		(234,690)	(245,558)		(245,558)
Current tax expense / income: Income tax on previous year		6,261	6,261		10,560	10,560
Current tax expense / income: Provision for tax litigations		0	0		0	0
TOTAL CURRENT TAXES			**(228,428)**			**(234,998)**
Deferred taxes on current year	63,403		63,403	(51,237)		(51,237)
Deferred taxes on previous year		17,666	17,666		(3,864)	(3,864)
TOTAL DEFERRED TAXES			**81,069**			**(55,100)**
GRAND TOTAL	**(171,286)**	**23,927**	**(147,360)**	**(296,794)**	**6,697**	**(290,098)**
TAX ON CURRENT YEAR RESULT			**(171,286)**			**(296,794)**
OTHER TAX EXPENSE			**23,927**			**6,697**
TOTAL			**(147,360)**			**(290,098)**
EFFECTIVE TAX RATE			**21.70%**			**23.67%**

Tax on current year result

(in thousands of EUR)	31/12/20	31/12/21
NET INCOME BEFORE TAX	678,984	1,225,714
Income and losses from companies accounted for by the equity method	4,848	2,449
TAX BASE	674,136	1,223,265
Statutory tax rate	25.00%	25.00%
TAX EXPENSE USING STATUTORY RATE	168,534	305,816
Tax effect of rates in other jurisdictions	(493)	3,486
Tax effect of non-taxable revenues(1)	(5,883)	(11,591)
Tax effect of non-tax deductible expenses	10,492	13,485
Tax effect of utilisation of previously unrecognised tax losses	1,204	0
Tax effect on tax benefit not previously recognised in profit or loss	0	0
Tax effect from reassessment of unrecognised deferred tax assets	8,646	5,244
Tax effect of change in tax rates	48	63
Items taxed at a reduced rate	0	0
Other increase (decrease) in statutory tax charge	(11,262)	(19,710)
TAX ON CURRENT YEAR RESULT	(171,286)	(296,794)

(1) Mainly definitively tax-exempted income (dividends and capital gains on shares).

The tax expense, including deferred taxes, increased by EUR 142.7 million, or 96.9%, to EUR 290 million (31 December 2020: EUR 147 million), due mainly to higher taxable profit in main entities of Belfius.

Based on this total tax expense, we obtain an effective tax rate of 23.67% for 2021.

In 2021, the tax expense was mainly impacted by the corporate tax following higher taxable profits compared to 2020 as well as the increase in deferred taxes due mainly to reversal via the income statement of temporary differences related to stage 1 and 2 impairments accounted for in 2020.

Other notes to the consolidated annual financial statements

VIII. Notes on the consolidated off-balance sheet items

(some amounts may not add up due to roundings)

8.1. Regular way trade

(in thousands of EUR)	31/12/20	31/12/21
Loans to be delivered and purchases of assets	2,431,514	1,135,101
Borrowings to be received and sales of assets	11,320,885	10,567,084

8.2. Guarantees

(in thousands of EUR)	31/12/20	31/12/21
Guarantees given to credit institutions	1,241,204	1,172,459
Guarantees given to customers	4,587,080	4,981,480
Guarantees received from credit institutions(1)	1,126,020	902,652
Guarantees received from customers	28,078,339	27,394,940
Guarantees received from the Belgian State(2)	9,142,355	9,190,087

(1) This amount includes the personal guarantees and similar rights of recourse obtained for derivatives.
(2) This amount concerns the allocation to Belfius of the Belgian State guarantee scheme for loans to SME in the framework of the Covid-19 crisis. The allocation of 9.2 billion EUR on a total of 50 billion EUR is based on our market share. Refer to the section "Measures in Covid-19 crisis to support the Belgian Society" in the Credit Risk chapter of the Management Report for further information on the Covid-19 measures taken at Belfius.

8.3. Loan commitments

(in thousands of EUR)	31/12/20	31/12/21
Unused lines granted to credit institutions	197,824	7,456
Unused lines granted to customers	29,581,213	31,191,967
Unused lines obtained from credit institutions	1,312	22,907
Unused lines obtained from customers	0	0

8.4. Other commitments to financing activities

(in thousands of EUR)	31/12/20	31/12/21
Insurance activity – Commitments given	0	0
Insurance activity – Commitments received	71,814	75,797
Banking activity – Commitments given(1)	36,776,363	37,572,545
Banking activity – Commitments received	85,652,163	91,614,970

(1) Mainly related to repurchase agreements and collateralisation of loans with the European Central Bank and other central banks. Belfius drew from TLTRO, resulting in a total TLTRO III participation of 15.7 billion as of December 2021.

The section "Banking activity- commitments given" also includes the underlying assets of the covered bond programs. The special estate of the mortgage covered bond program contains mainly residential mortgage loans for a total amount of EUR 7.8 billion (nominal) at the end of 2020 and 6.5 billion (nominal) at the end of 2021. See also note 6.4. "Debt securities issued and other financial liabilities".

8.5. Commitments – contingent liabilities

(in thousands of EUR)	31/12/20	31/12/21
Single Resolution Fund – Commitments given(1)	17,473	17,473
Other contingent liabilities	143	0

(1) Sector levies are specific taxes for financial institutions or insurers, it includes:
(i) the Deposit Guarantee Scheme contributions,
(ii) Subscription tax,
(iii) Financial Stability Contribution and
(iv) the contributions to the Single Resolution Fund.
Belfius has opted in the past to pay part of its contribution to the Single Resolution Fund through an Irrevocable Payment Commitment. This payment commitment was fully covered by cash collateral. Belfius has recorded EUR 17.5 million in its off balance sheet accounts (stable compared to 2020).

8.6. Bond lending and bond borrowing transactions

(in thousands of EUR)	31/12/20	31/12/21
Securities lending	2,222,572	1,376,776
Securities borrowing	0	0

In the context of its liquidity management, Belfius enters from time to time into bond lending transactions against fees.

IX. Notes on risk exposure

(some amounts may not add up due to rounding)

9.1. Fair value

1. Fair value of financial instruments

A. Breakdown of fair value of assets

(in thousands of EUR)	31/12/20		
	Carrying amount	Fair value	Difference
Cash and balances with central banks	25,433,799	25,433,799	0
Loans and advances due from credit institutions	11,911,665	11,911,666	1
Measured at amortised cost	11,911,665	11,911,666	1
Measured at fair value through other comprehensive income	0	0	0
Measured at fair value through profit or loss	0	0	0
Loans and advances	98,108,050	103,775,713	5,667,663
Measured at amortised cost	96,811,908	102,479,571	5,667,663
Measured at fair value through other comprehensive income	0	0	0
Measured at fair value through profit or loss	1,296,142	1,296,142	0
Debt securities	27,267,236	29,117,011	1,849,775
Measured at amortised cost	22,039,067	23,888,843	1,849,775
Measured at fair value through other comprehensive income	3,866,789	3,866,789	0
Measured at fair value through profit or loss	1,361,380	1,361,380	0
Equity instruments	1,581,629	1,581,629	0
Measured at fair value through other comprehensive income	1,303,641	1,303,641	0
Measured at fair value through profit or loss	277,988	277,988	0
Unit linked products insurance activities	3,813,059	3,813,059	0
Derivatives	12,188,113	12,188,113	0
Gain/loss on the hedged item in portfolio hedge of interest rate risk	4,631,922	4,631,922	0
Non current assets (disposal group) held for sale and discontinued operations	25,700	43,276	17,576
TOTAL	**184,961,174**	**192,496,188**	**7,535,014**

(in thousands of EUR)	31/12/21		
	Carrying amount	Fair value	Difference
Cash and balances with central banks	31,640,347	31,640,347	0
Loans and advances due from credit institutions	10,411,237	10,411,290	54
Measured at amortised cost	10,411,237	10,411,290	54
Measured at fair value through other comprehensive income	0	0	0
Measured at fair value through profit or loss	0	0	0
Loans and advances	102,678,814	106,207,736	3,528,922
Measured at amortised cost	101,540,978	105,069,900	3,528,922
Measured at fair value through other comprehensive income	99,119	99,119	0
Measured at fair value through profit or loss	1,038,717	1,038,717	0
Debt securities	25,311,569	26,368,944	1,057,376
Measured at amortised cost	20,839,937	21,897,312	1,057,376
Measured at fair value through other comprehensive income	3,536,160	3,536,160	0
Measured at fair value through profit or loss	935,472	935,472	0
Equity instruments	1,883,782	1,883,782	0
Measured at fair value through other comprehensive income	1,423,213	1,423,213	0
Measured at fair value through profit or loss	460,569	460,569	0
Unit linked products insurance activities	4,245,672	4,245,672	0
Derivatives	8,909,039	8,909,039	0
Gain/loss on the hedged item in portfolio hedge of interest rate risk	3,651,783	3,651,783	0
Non current assets (disposal group) held for sale and discontinued operations	26,505	40,777	14,272
TOTAL	**188,758,747**	**193,359,370**	**4,600,623**

B. Breakdown of fair value of liabilities

(in thousands of EUR)	31/12/20 Carrying amount	Fair value	Difference
Cash and balances from central banks	14,173,519	14,093,552	(79,967)
Borrowings and deposits	100,346,168	100,537,862	191,694
Measured at amortised cost	100,295,133	100,486,827	191,694
Measured at fair value through profit or loss	51,036	51,036	0
Debt securities issued and other financial liabilities	24,402,198	25,125,815	723,617
Measured at amortised cost	16,068,804	16,792,421	723,617
Measured at fair value through profit or loss	8,333,394	8,333,394	0
Unit linked products insurance activities	3,813,059	3,813,059	0
Derivatives	18,310,156	18,310,156	0
Gain/loss on the hedged item in portfolio hedge of interest rate risk	373,447	373,447	0
Subordinated debts	1,150,681	1,267,053	116,372
Measured at amortised cost	1,150,681	1,267,053	116,372
Measured at fair value through profit or loss	0	0	0
Liabilities included in disposal group and discontinued operations	0	0	0
TOTAL	162,569,228	163,520,945	951,716

(in thousands of EUR)	31/12/21 Carrying amount	Fair value	Difference
Cash and balances from central banks	15,418,072	15,184,689	(233,383)
Borrowings and deposits	107,995,050	108,134,853	139,804
Measured at amortised cost	107,946,303	108,086,107	139,804
Measured at fair value through profit or loss	48,746	48,746	0
Debt securities issued and other financial liabilities	23,145,353	23,628,951	483,597
Measured at amortised cost	15,116,744	15,600,342	483,597
Measured at fair value through profit or loss	8,028,609	8,028,609	0
Unit linked products insurance activities	4,245,672	4,245,672	0
Derivatives	14,018,729	14,018,729	0
Gain/loss on the hedged item in portfolio hedge of interest rate risk	45,766	45,766	0
Subordinated debts	1,642,749	1,720,429	77,680
Measured at amortised cost	1,642,749	1,720,429	77,680
Measured at fair value through profit or loss	0	0	0
Liabilities included in disposal group and discontinued operations	0	0	0
TOTAL	166,511,391	166,979,089	467,697

The decrease in fair value of the loan portfolio is linked to an increase of the interest rate compared to year-end 2020. Note that an internal estimate of the future potential prepayment rate has been considered in the determination of the fair value. The evolution of debt securities also reflects the impact of higher interest rates partially offset by lower credit spreads.

For some assets and liabilities, Belfius estimates that the fair value approximates the carrying value. The determination of the fair value of loans for 2020 and 2021 is explained further on in the valuation techniques. In addition, Belfius estimates that the own credit risk has not changed significantly and has thus not taken into account a revaluation of the own credit risk.

2. Analysis of fair value of financial instruments

A. Assets

	31/12/20			
(in thousands of EUR)	Level 1	Level 2	Level 3	Total
Loans and advances	0	26,006,617	89,680,762	115,687,379
Measured at amortised cost	0	26,002,352	88,388,885	114,391,237
Measured at fair value through other comprehensive income	0	0	0	0
Measured at fair value through profit or loss	0	4,265	1,291,877	1,296,142
Debt securities	20,079,149	4,711,735	4,326,127	29,117,011
Measured at amortised cost	16,396,932	3,999,103	3,492,808	23,888,843
Measured at fair value through other comprehensive income	3,256,635	263,910	346,244	3,866,789
Measured at fair value through profit or loss	425,583	448,722	487,075	1,361,380
Equity instruments	1,229,336	0	352,293	1,581,629
Measured at fair value through other comprehensive income	951,357	0	352,284	1,303,641
Measured at fair value through profit or loss	277,979	0	9	277,988
Unit linked products insurance activities	3,813,059	0	0	3,813,059
Derivatives	297	11,428,498	759,318	12,188,113
Non current assets (disposal group) held for sale and discontinued operations	0	40,852	2,424	43,276
TOTAL	25,121,841	42,187,701	95,120,924	162,430,467

	31/12/21			
(in thousands of EUR)	Level 1	Level 2	Level 3	Total
Loans and advances	0	25,664,311	90,954,715	116,619,026
Measured at amortised cost	0	25,564,212	89,916,978	115,481,190
Measured at fair value through other comprehensive income	0	99,119	0	99,119
Measured at fair value through profit or loss	0	980	1,037,737	1,038,717
Debt securities	18,114,270	4,314,794	3,939,880	26,368,944
Measured at amortised cost	14,777,201	4,084,926	3,035,186	21,897,312
Measured at fair value through other comprehensive income	2,993,542	205,198	337,420	3,536,160
Measured at fair value through profit or loss	343,527	24,671	567,274	935,472
Equity instruments	1,508,816	0	374,966	1,883,782
Measured at fair value through other comprehensive income	1,062,206	0	361,007	1,423,213
Measured at fair value through profit or loss	446,609	0	13,959	460,569
Unit linked products insurance activities	4,245,672	0	0	4,245,672
Derivatives	530	8,399,344	509,164	8,909,039
Non current assets (disposal group) held for sale and discontinued operations	0	38,541	2,236	40,777
TOTAL	23,869,287	38,416,991	95,780,962	158,067,240

Level 1 debt securities at amortised cost decreased following redemptions. Level 2 loans and advances measured at fair value through other comprehensive income increased compared to 2020 due to the consolidation of Belfius Euro Loans that invests in leveraged loans. Level 2 derivatives decreased due mainly to fair value evolutions following higher interest rates. Level 3 loans and advances measured at amortised cost increased compared to 2020 due to an increase in the outstanding volume of mortgage loans.

B. Liabilities

(in thousands of EUR)	31/12/20 Level 1	Level 2	Level 3	Total
Borrowings and deposits	0	100,328,452	209,411	100,537,862
Measured at amortised cost	0	100,277,416	209,411	100,486,827
Measured at fair value through profit or loss	0	51,036	0	51,036
Debt securities issued and other financial liabilities	10,806,470	6,256,017	8,063,329	25,125,815
Measured at amortised cost	10,479,059	836,754	5,476,608	16,792,421
Measured at fair value through profit or loss	327,410	5,419,263	2,586,721	8,333,394
Unit linked products insurance activities	3,813,059	0	0	3,813,059
Derivatives	809	17,688,673	620,674	18,310,156
Subordinated debts	902,410	92,721	271,922	1,267,053
Measured at amortised cost	902,410	92,721	271,922	1,267,053
TOTAL	15,522,748	124,365,862	9,165,335	149,053,946

(in thousands of EUR)	31/12/21 Level 1	Level 2	Level 3	Total
Borrowings and deposits	0	107,986,656	148,197	108,134,853
Measured at amortised cost	0	107,937,910	148,197	108,086,107
Measured at fair value through profit or loss	0	48,746	0	48,746
Debt securities issued and other financial liabilities	10,482,630	6,181,391	6,964,930	23,628,951
Measured at amortised cost	10,239,322	667,706	4,693,314	15,600,342
Measured at fair value through profit or loss	243,308	5,513,685	2,271,616	8,028,609
Unit linked products insurance activities	4,245,672	0	0	4,245,672
Derivatives	349	13,497,350	521,029	14,018,729
Subordinated debts	1,432,589	87,008	200,832	1,720,429
Measured at amortised cost	1,432,589	87,008	200,832	1,720,429
TOTAL	16,161,240	127,752,405	7,834,988	151,748,634

The increase in level 1 subordinated debts is mainly related to the issuance of EUR 0.5 billion fixed rate Tier 2 subordinated notes. The increase in level 2 borrowings and deposits is mainly related to the increase in demand deposit and saving accounts while the decrease in level 2 derivatives is due mainly to fair value evolutions following higher interest rates. The decrease in level 3 debt securities issued and other financial liabilities is explained by maturities of covered bonds and certificates of deposit.

3. Transfer between Level 1 and Level 2 fair value for assets and liabilities at fair value in the balance sheet

A. Assets at fair value in the balance sheet

(in thousands of EUR)	31/12/20 From level 1 to 2	31/12/20 From level 2 to 1	31/12/21 From level 1 to 2	31/12/21 From level 2 to 1
Debt securities	70,476	8,234	0	72,267
Measured at fair value through other comprehensive income	70,299	8,234	0	51,422
Measured at fair value through profit or loss	177	0	0	20,845
Derivatives	0	0	0	0
TOTAL	70,476	8,234	0	72,267

B. Liabilities at fair value in the balance sheet

(in thousands of EUR)	31/12/20 From level 1 to 2	31/12/20 From level 2 to 1	31/12/21 From level 1 to 2	31/12/21 From level 2 to 1
Debt securities issued and other financial liabilities	0	0	15,443	0
Measured at fair value through profit or loss	0	0	15,443	0
TOTAL	0	0	15,443	0

4. Reconciliation Level 3

A. Assets

(in thousands of EUR)	31/12/20									
	Opening balance	Total of unrealised gains and losses in P&L	Total gains/ losses in other compre-hensive income	Purchases	Sales	Settle-ments	Transfer in Level 3	Transfer out of Level 3	Foreign exchange adjust-ments	Closing balance
Loans and advances	1,533,849	(174,197)		30,959	(97,991)	(743)	0	0	0	1,291,877
Measured at fair value through profit or loss	1,533,849	(174,197)		30,959	(97,991)	(743)	0	0	0	1,291,877
Debt securities	815,520	(7,065)	(1,548)	337,481	(162,629)	(124,623)	9,857	(33,674)	0	833,319
Measured at fair value through other comprehensive income	362,689	(114)	(1,548)	108,984	0	(99,932)	9,829	(33,663)	0	346,244
Measured at fair value through profit or loss	452,832	(6,951)		228,497	(162,629)	(24,690)	28	(11)	0	487,075
Equity instruments	296,501	4	(15,727)	169,424	(94,586)	(3,332)	9	0	0	352,293
Measured at fair value through other comprehensive income	296,236	4	(15,727)	169,424	(94,322)	(3,332)	0	0	0	352,284
Measured at fair value through profit or loss	265	(0)		0	(265)	0	9	0	0	9
Derivatives	792,276	137,013		54,731	(779)	(137,573)	6	(83,459)	(2,897)	759,318
TOTAL	3,438,146	(44,246)	(17,275)	592,595	(355,985)	(266,270)	9,872	(117,133)	(2,897)	3,236,808

(in thousands of EUR)	31/12/21									
	Opening balance	Total of unrealised gains and losses in P&L	Total gains/ losses in other compre-hensive income	Purchases	Sales	Settle-ments	Transfer in Level 3	Transfer out of Level 3	Foreign exchange adjust-ments	Closing balance
Loans and advances	1,291,877	(182,927)		12,264	(81,971)	(1,506)	0	0	0	1,037,737
Measured at fair value through other comprehensive income	0	0		100	0	(100)	0	0	0	0
Measured at fair value through profit or loss	1,291,877	(182,927)		12,164	(81,971)	(1,406)	0	0	0	1,037,737
Debt securities	833,319	4,544	(9,449)	404,831	(158,494)	(158,975)	20,905	(31,989)	0	904,694
Measured at fair value through other comprehensive income	346,244	(153)	(9,449)	124,926	0	(126,757)	20,905	(18,297)	0	337,420
Measured at fair value through profit or loss	487,075	4,698		279,905	(158,494)	(32,218)	0	(13,692)	0	567,274
Equity instruments	352,293	23	3,387	28,019	(10,206)	(864)	2,314	0	0	374,966
Measured at fair value through other comprehensive income	352,284	23	3,387	14,068	(10,204)	(864)	2,314	0	0	361,007
Measured at fair value through profit or loss	9	0		13,951	(2)	0	0	0	0	13,959
Derivatives	759,318	(186,083)		52,003	0	(152,044)	44,058	(10,386)	2,297	509,164
TOTAL	3,236,808	(364,442)	(6,061)	497,116	(250,671)	(313,388)	67,278	(42,374)	2,297	2,826,561

B. Liabilities

(in thousands of EUR)	31/12/20									
	Opening balance	Total of unrealised gains and losses in P&L	Total gains/ losses in other compre-hensive income	Purchases	Sales	Direct origination	Settle-ments	Transfer in Level 3	Transfer out of Level 3	Closing balance
Debt securities issued and other financial liabilities	2,744,205	(20,193)		0	0	704,342	(786,929)	0	(54,705)	2,586,721
Measured at fair value through profit or loss	2,744,205	(20,193)		0	0	704,342	(786,929)	0	(54,705)	2,586,721
Derivatives	702,740	80,252		135,528	0	0	(215,710)	13	(82,149)	620,674
TOTAL	3,446,946	60,059		135,528	0	704,342	(1,002,639)	13	(136,854)	3,207,395

(in thousands of EUR)	31/12/21									
	Opening balance	Total of unrealised gains and losses in P&L	Total gains/ losses in other compre-hensive income	Purchases	Sales	Direct origination	Settle-ments	Transfer in Level 3	Transfer out of Level 3	Closing balance
Debt securities issued and other financial liabilities	2,586,721	(56,650)		0	0	374,394	(490,158)	11,296	(153,987)	2,271,616
Measured at fair value through profit or loss	2,586,721	(56,650)		0	0	374,394	(490,158)	11,296	(153,987)	2,271,616
Derivatives	620,674	(72,841)		146,881	0	0	(237,845)	68,675	(4,516)	521,029
Total	3,207,395	(129,491)		146,881	0	374,394	(728,002)	79,971	(158,503)	2,792,646

The column "total of unrealised gains and losses in P&L" cannot be analysed on a stand alone basis, as some assets or liabilities classified at amortised cost or some assets and liabilities classified in level 1 or 2 may be hedged by derivatives classified in level 3. The column direct origination refers to the issuance of Belfius bonds.

5. Valuation techniques and data (level 1, 2 and 3)

Financial instruments measured at fair value (trading, designated at fair value through profit or loss, debt instruments and investments in equity instruments measured at fair value through other comprehensive income, non-trading financial assets mandatorily measured at fair value through profit or loss, derivatives)

Financial instruments measured at fair value for which reliable quoted market prices are available (level 1)

When the market is active – meaning that reliable bid-offer prices are available representing effective transactions for meaningful amounts concluded on an arm's length basis between willing counterparties – the market quotes provide for reliable evidence of fair value and are therefore used for fair value measurement (f.e. interest rate futures, liquid bonds, etc).

The use of market prices quoted in an active market for identical instruments with no adjustments qualifies for inclusion in level 1 within IFRS 13 fair value hierarchy, which is not the case for the use of quoted prices in inactive markets or the use of quoted spreads.

Financial instruments measured at fair value for which no reliable quoted market prices are available and for which valuations are obtained by means of valuation techniques (level 2 and 3)

Financial instruments for which no quoted market prices in active markets are available, are valued by means of valuation techniques. The determination whether or not there is an active market is based on criteria such as volume, bid- offer spread and the number of price/spread contributions. The models that Belfius uses range from standard models available in the market to in-house developed valuation models. Availability of some observable market prices and model inputs reduces the need for management judgement and estimation and the uncertainty associated with the determination of fair values. These availabilities vary depending on the products and markets and are subject to changes based on specific events and general conditions in the financial markets.

Once a financial instrument is not classified as level 1, Belfius requires that two conditions are met for inclusion in level 2 (e.g. currency swaps, swaptions, cap/floors, foreign exchange contracts/options, and less liquid bonds):

- the model must have either passed a successful validation by the Validation department or comply with the price reconciliation process run by the Market Risk department that has been installed to test the reliability of valuations.
- the data that Belfius incorporates in its valuation models are either directly or indirectly observable.

Fair value measurements that do not fall under level 1 and do not comply with the two conditions for level 2 mentioned above, are reported as part of the level 3 disclosure. Unobservable parameters are based on assumptions, not on active markets.

In that respect, within Belfius, the following parameters are not considered to be observable: Belgian inflation, CMS spread, equity correlations, illiquid bonds, credit default swaps).

For that reason, structured loans measured at fair value through profit and loss are classified as level 3. These financial assets are illiquid and not traded on an active market. The fair value is determined by a valuation model essentially based on non-observable data including additional value adjustments as described below.

Bonds traded in inactive markets are valued using valuation techniques. To price its portfolio of illiquid bonds, Belfius calculates spreads based on a cross section method using a large universe of bonds and CDS spreads. The calculated spreads are challenged (back-testing) every quarter by mean of comparisons with observable market spreads.

Unquoted equity instruments are systematically classified as level 3. In accordance with the principles set out in IFRS 13, different fair value measurement models for unquoted equity instruments are possible (discounted cash flow, net asset value, recent transaction price…).

Derivatives are valued at mid-market prices for which the former described cascade (level 1, 2, 3) is applied. For level 2 fair values, Belfius uses observable market parameters and valuation models that are in line with market practice. The discount interest rate curve takes account of any collateral agreements and value adjustments may apply.

Following value adjustments and so-called XVA's are applied within Belfius:

- Unearned credit spread: this value adjustment takes account of the possibility that a counterparty might default and part of the fair value cannot be recovered (Credit Value Adjustment) and of the creditworthiness of Belfius (Debit Value Adjustment). The Unearned credit spread is calculated both on collateralized and non-collateralized derivatives. For collateralized derivatives with standard ISDA/CSA agreements, the unearned credit spread is calculated taking into account the Margin Period of Risk and the collateral exchanged. For uncollateralized derivatives an estimation is made of the expected exposures, by forecasting the future fair value of the derivative in line with market practice. These expected exposures are then multiplied by an expected loss indication. Seeing that the majority of these expected losses are not directly observable in the market, Belfius uses market-derived spreads which are determined by means of a method based on cross-sections on a large universe of bonds and CDS spreads.
- Bid/ask spread adjustment: because the mid-market prices do not take account of the direction in which the deal was closed, the bid/ask adjustment does take account of this information in the total fair value.
- Funding spread: this value adjustment takes into account the funding cost or benefit for uncollateralized transactions. For all uncollateralized transactions, a correction is made for the funding value adjustment based on the average funding cost of Belfius Bank. This funding cost is determined by ALM taking into account the different funding sources. For collateralized transactions where not only a variation margin but also an initial margin is posted, a correction is made for the funding of this margin.

- Market price uncertainty: value adjustment for uncertainty of market parameters.
- Model risk: this value adjustment is made if the assumptions used in a valuation model cannot be verified with sufficient accuracy.

Financial instruments measured at amortised cost (having valuations at fair value in IFRS disclosures)

The fair value of debt instruments held within the business model "hold to collect contractual cash flows", is determined using the following valuation principles.

General principles

- the carrying amount of loans maturing within 12 months is assumed to reflect their fair value;
- for bonds the valuation is done in the same way as bonds measured at fair value through other comprehensive income;

Interest-rate part

- the fair value of fixed-rate loans and mortgage loans reflects interest-rate movements since inception;
- loans with an adjustable rate are priced using the corresponding forward rates increased with the contractual margin;
- market or model values for caps, floors and prepayment options are included in the fair value of loans and receivables;
- the fair value of variable-rate loans (e.g. 3M-euribor) is assumed to be approximated by their carrying amounts;
- target net commercial margins of loans are also included in the fair value;
- the future potential prepayment rate has been approximated by taking into account an internal estimate.

A. Quantitative information on significant unobservable data (level 3)

If the fair value of a financial instrument is determined based on valuation techniques using inputs that are not based on observable market data, alternative assumptions may impact the equity and the result.

Financial instrument	Non-observable items	Difference with alternative assumptions	Impact in P&L of alternative assumptions (in millions of EUR)	Impact in equity of alternative assumptions (in millions of EUR)
OTC swaps on Belgian inflation	Expectations in Belgian inflation	+30 bp	-1.71	
OTC derivatives on CMS spread	Correlation between CMS interest rates	10%	0.35	
OTC swaps Bermudian Feature	Mean Reversion	1%	0.49	
Collateralised Debt Obligation	Credit spread	-10 bps	-4.47	
Credit Default Swap	Credit spread	-10 bps	-2.64	
Illiquid bonds	Credit spread	-10 bps	1.10	0.89

B. Valuation process

The valuation process follows a strict governance. First of all, the Risk department operates a strong Independent Price Verification process by performing independent controls on the parameters used for the valuation process before injection into the systems. Secondly, the models used are validated by the Validation department which reports directly to the CRO. The validation reports but also the proposals for model changes are presented to the Financial Markets Fair Value committee for decision. This committee reports directly to the Financial Markets Committee which is led by three members of the Management Board (CRO, CFO, Head of WEP). For unquoted equities and participations, the fair values are challenged by the Participation Forum which presents the main fair value changes to the Financial Markets Fair Value committee for approval.

C. Transfers between valuation levels

The IFRS levels are dependent on an internal liquidity score for the bonds or on observability criteria and a validation status of the model for the derivative products. The liquidity score of the bonds is distributed between very liquid (high score) and very illiquid (low score). Therefore, a small change in the liquidity on the market does not influence the distribution of L1, L2 or L3. Some bonds are nevertheless close to the border of illiquidity and can change from L1 to L2 or L3. The main events last year (Covid pandemic, monetary policy of central banks) caused some movements in the liquidity scores but not enough to impact significantly the transfers between levels. For derivatives products, we have not seen any significant transfers between levels since the volume of the stock was stable and the observability of parameters did not change in 2021. Moreover, the validation model coverage increased, and some legacy transactions were unwound, leading to a decreasing trend of the L3 stock.

6. Disclosure of difference between transaction prices and model values (deferred day one profit)

No significant amounts are recognised as deferred Day One Profit or Loss (DOP) in 2021.

As Belfius principally treats plain vanilla products (like interest rate swaps), and some more complex products (like structured transactions) which are hedged in the market in line with market risk limits and framework, the resulting day one profit is recognised up-front. Only a few transactions of insignificant amounts have unobservable parameters, consequently the Deferred DOP is immaterial.

9.2. Credit risk exposure

1. The credit risk management practices - general principles

Maximum Credit Risk Exposure is expressed as Full Exposure At Default (FEAD), and is determined as follows:

- for balance sheet assets (except for derivatives): the gross carrying amounts (before impairment);
- for derivatives: the fair value of derivatives after netting, increased with the potential future exposure calculated under the current exposure method (add-on);
- for Securities Financing Transactions:
  - for reverse repo's: the amount of collateral up to the amount lent
  - for repo's: the collateral value in excess of the amount borrowed;
- for off-balance sheet commitments: either the undrawn part of liquidity facilities or the maximum commitment of Belfius for guarantees granted to third parties;

Note that the definition of the Maximum Credit Risk Exposure as used internally and for the risk tables presented below, presenting the carrying amount of its assets gross of any impairment losses differs slightly from IFRS 7 with a presentation of assets net of impairment.

2. Inputs, assumptions and techniques used for estimating impairment

We refer to the chapter "Risk management" of the management report for further information, section Credit Risk.

3. Analysis of total credit risk exposure

A. Exposure by geographical region

	31/12/20								
(in thousands of EUR)	Belgium	France	Luxembourg	Germany	Portugal	Ireland	Italy(2)	Greece(3)	Spain
Cash and balances with central banks	0	0	0	0	0	0	0	0	0
Loans and advances	96,111,104	515,299	619,619	262,890	4,196	2,573	43,556	70	230,553
Measured at amortised cost	94,405,823	515,299	619,619	262,890	4,196	2,573	43,556	70	230,553
Measured at fair value through other comprehensive income	0	0	0	0	0	0	0	0	0
Measured at fair value through profit or loss	1,705,281	0	0	0	0	0	0	0	0
Debt securities	7,810,857	6,184,643	155,066	287,309	289,497	307,960	1,619,192	0	1,331,544
Measured at amortised cost	6,528,920	5,437,624	65,140	177,968	58,011	154,985	968,424	0	834,850
Measured at fair value through other comprehensive income	996,079	658,726	89,926	109,332	231,486	140,951	650,768	0	496,628
Measured at fair value through profit or loss	285,858	88,293	0	9	0	12,024	0	0	66
Derivatives	821,522	938,233	96,476	378,534	0	65,881	15,880	0	175,270
Loan commitments and financial guarantees given	30,542,351	883,331	391,109	47,281	1,337	1,631	5,274	239	5,275
Other (of which mainly securities lending and margin calls) PF(1)	8,481,850	1,746,320	169,699	446,536	3,930	2,644	23,805	0	29,121
TOTAL	**143,767,683**	**10,267,825**	**1,431,969**	**1,422,550**	**298,960**	**380,689**	**1,707,707**	**309**	**1,771,763**

(1) Pro forma for 2020 to include equity positions and other assets not qualified as credit exposure.
(2) The exposure on Italy was impacted by the sale of certain Italian government bonds in 2020.
(3) The exposure on Greece mainly concerns a small number of retail loans granted to residents in Greece having economical ties to Belgium and displaying good credit stance.

(in thousands of EUR)	31/12/20 Other EU countries[(2)]	Rest of Europe	United States and Canada	United Kingdom[(3)]	Southeast Asia	South and Central America	Turkey	Japan	Other	Total
Cash and balances with central banks	25,418,824	2,345	8,439	3,059	200	73	55	299	504	25,433,798
Loans and advances	674,128	54,118	26,116	101,350	39,902	6,690	3,448	1,810	36,155	98,733,576
Measured at amortised cost	674,128	54,118	26,116	101,350	39,902	6,690	3,448	1,810	36,155	97,028,296
Measured at fair value through other comprehensive income	0	0	0	0	0	0	0	0	0	0
Measured at fair value through profit or loss	0	0	0	0	0	0	0	0	0	1,705,281
Debt securities	1,061,551	200,948	1,414,744	4,785,749	20,627	121,155	0	408,940	599,613	26,599,394
Measured at amortised cost	858,615	186,317	1,250,452	4,288,247	20,627	95,343	0	396,436	585,901	21,907,860
Measured at fair value through other comprehensive income	138,943	14,498	140,936	173,563	0	25,812	0	12,457	957	3,881,062
Measured at fair value through profit or loss	63,993	133	23,356	323,939	0	0	0	47	12,755	810,471
Derivatives	127,349	9,028	151,254	378,670	2,344	0	0	6,278	2,603	3,169,322
Loan commitments and financial guarantees given	284,137	39,043	929,258	869,749	270,984	249,090	39,789	141	366,153	34,926,173
Other (of which mainly securities lending and margin calls) PF[(1)]	189,235	1,499,587	164,607	1,583,122	230	1	0	19,701	153,192	14,513,578
TOTAL	27,755,224	1,805,069	2,694,418	7,721,699	334,287	377,009	43,292	437,169	1,158,219	203,375,840

(1) Pro forma for 2020 to include equity positions and other assets not qualified as credit exposure.
(2) Includes supranational entities, such as the European Central Bank. Cash and balances with central banks were impacted by the TLTRO III that Belfius deposits partly at the NBB, within the framework of its liquidity management.
(3) Belfius has solid credit risk management in place for its outstanding exposures on the United Kingdom, taking into account the Brexit. We refer to the chapter "Risk management" of the management report for further information, section Credit Risk.

(in thousands of EUR)	31/12/21 Belgium	France	Luxembourg	Germany	Portugal	Ireland	Italy	Greece[(1)]	Spain
Cash and balances with central banks	0	0	0	0	0	0	0	0	0
Loans and advances	100,510,927	478,696	669,814	687,791	6,656	2,512	40,999	175	184,851
Measured at amortised cost	99,475,676	478,696	669,814	687,791	6,656	2,512	40,999	175	184,851
Measured at fair value through other comprehensive income	0	0	0	0	0	0	0	0	0
Measured at fair value through profit or loss	1,035,251	0	0	0	0	0	0	0	0
Debt securities	7,169,533	4,285,768	179,868	323,661	296,040	291,696	1,493,692	0	1,200,986
Measured at amortised cost	5,919,122	3,683,209	75,507	204,112	62,238	154,571	953,801	0	743,341
Measured at fair value through other comprehensive income	935,456	592,405	104,072	119,550	233,802	137,124	539,892	0	457,580
Measured at fair value through profit or loss	314,955	10,153	289	0	0	0	0	0	66
Derivatives	961,827	527,271	66,314	273,652	0	12,359	9,745	0	189,750
Loan commitments and financial guarantees given	32,679,632	960,979	633,951	90,499	6,262	5,631	6,227	242	8,931
Other (of which mainly securities lending and margin calls)	7,962,456	1,959,119	242,972	267,436	541	1,521	43,118	0	27,856
TOTAL	149,284,375	8,211,834	1,792,920	1,643,039	309,500	313,719	1,593,782	417	1,612,375

(1) The exposure on Greece mainly concerns a small number of retail loans granted to residents in Greece having economical ties to Belgium and displaying good credit stance.

(in thousands of EUR)	31/12/21									
	Other EU countries[1]	Rest of Europe	United States and Canada	United Kingdom	Southeast Asia	South and Central America	Turkey	Japan	Other	Total
Cash and balances with central banks	31,628,796	2,032	6,129	2,882	249	137	51	202	459	31,640,936
Loans and advances	806,735	323,315	22,395	148,514	13,030	4,253	2,005	5,265	41,600	103,949,536
Measured at amortised cost	806,735	323,315	22,395	148,514	13,030	4,253	2,005	5,265	41,600	102,914,285
Measured at fair value through other comprehensive income	0	0	0	0	0	0	0	0	0	0
Measured at fair value through profit or loss	0	0	0	0	0	0	0	0	0	1,035,251
Debt securities	1,128,677	272,544	1,195,062	5,725,454	22,201	124,476	0	403,696	752,734	24,866,089
Measured at amortised cost	947,150	253,453	1,029,217	5,547,042	22,201	99,057	0	391,749	740,012	20,825,781
Measured at fair value through other comprehensive income	145,153	18,960	143,311	166,207	0	25,420	0	11,902	934	3,631,768
Measured at fair value through profit or loss	36,374	130	22,534	12,205	0	0	0	45	11,788	408,539
Derivatives	136,337	3,116	172,903	1,084,526	2,032	0	0	3,885	5,218	3,448,937
Loan commitments and financial guarantees given	283,892	36,839	958,194	352,670	243,402	253,330	42,321	131	300,184	36,863,318
Other (of which mainly securities lending and margin calls)	162,072	1,296,278	39,276	949,845	9	1	0	1,471	117,359	13,071,330
TOTAL	34,146,510	1,934,125	2,393,959	8,263,892	280,924	382,197	44,378	414,650	1,217,554	213,840,147

(1) Includes supranational entities, such as the European Central Bank. Cash and balances with central banks increased compared to 2020 due to the TLTRO III that Belfius deposits partly at the NBB, within the framework of its liquidity management.

B. Exposure by category of counterpart

(in thousands of EUR)	31/12/20						
	Central governments	Public sector entities	Corporate PF[2]	Project finance	Individuals, SME, self-employed	Financial institutions PF[3]	Total
Cash and balances with central banks[1]	25,433,799	0	0	0	0	0	25,433,799
Loans and advances	690,540	25,558,367	22,815,646	1,135,446	48,009,634	523,945	98,733,578
Measured at amortised cost	690,540	23,874,612	22,797,646	1,135,446	48,008,751	521,303	97,028,298
Measured at fair value through other comprehensive income	0	0	0	0	0	0	0
Measured at fair value through profit or loss	0	1,683,755	18,000	0	883	2,642	1,705,280
Debt securities	10,066,055	3,887,557	3,975,803	732,093	0	7,937,885	26,599,393
Measured at amortised cost	7,738,678	3,252,583	3,029,365	732,093	0	7,155,140	21,907,859
Measured at fair value through other comprehensive income	2,247,177	421,231	928,297	0	0	284,358	3,881,063
Measured at fair value through profit or loss	80,200	213,743	18,141	0	0	498,387	810,471
Derivatives	39,488	490,428	329,830	295,041	139	2,014,394	3,169,320
Loan commitments and financial guarantees given PF[2]	109,812	13,614,560	13,058,423	399,208	6,543,954	1,200,215	34,926,172
Other (of which mainly securities lending and margin calls) PF[2]	371,761	219,841	8,367,890	44	1,456	5,552,587	14,513,578
TOTAL	36,711,455	43,770,753	48,547,591	2,561,832	54,555,183	17,229,026	203,375,839

(1) Cash and balances with central banks were impacted by the TLTRO III that Belfius deposits partly at the NBB, within the framework of its liquidity management.
(2) Pro forma for 2020 to include equity positions and other assets not qualified as credit exposure.
(3) Pro forma for 2020 due to change in presentation, ABS/MBS and monoline insurers have been included in financial institutions.

(in thousands of EUR)	31/12/21 Central governments	Public sector entities	Corporate[2]	Project finance	Individuals, SME, self-employed[2]	Financial institutions	Total
Cash and balances with central banks[1]	31,640,936	0	0	0	0	0	31,640,936
Loans and advances	678,884	24,672,800	24,962,250	1,241,516	51,197,674	1,196,412	103,949,536
Measured at amortised cost	678,884	23,642,299	24,957,499	1,241,516	51,197,674	1,196,412	102,914,285
Measured at fair value through other comprehensive income	0	0	0	0	0	0	0
Measured at fair value through profit or loss	0	1,030,501	4,750	0	0	0	1,035,251
Debt securities	9,534,286	3,125,859	5,604,873	998,424	0	5,602,647	24,866,089
Measured at amortised cost	7,404,601	2,517,859	4,632,403	998,424	0	5,272,495	20,825,781
Measured at fair value through other comprehensive income	2,023,591	391,013	957,597	0	0	259,567	3,631,768
Measured at fair value through profit or loss	106,094	216,987	14,873	0	0	70,586	408,539
Derivatives	60,464	506,139	980,181	389,306	0	1,512,848	3,448,937
Loan commitments and financial guarantees given	217,659	13,728,659	14,681,149	326,517	7,028,396	880,938	36,863,318
Other (of which mainly securities lending and margin calls)	309,988	203,313	8,046,177	0	1,919	4,509,932	13,071,330
TOTAL	42,442,217	42,236,770	54,274,630	2,955,763	58,227,989	13,702,778	213,840,147

(1) Cash and balances with central banks increased due to the TLTRO III that Belfius deposits partly at the NBB, within the framework of its liquidity management.
(2) The increased exposure to corporate and individuals, SME and self-employed is explained by the increased loan production in these segments, in line with Belfius' strategy.

C. Detail of most important countries per counterparty

(in thousands of EUR)	31/12/20 PF[1] Central government bonds	Financial institutions	Public sector entities	Corporate - Project finance	Other	Total
Belgium	4,757,628	488,000	41,850,240	34,549,970	62,121,846	143,767,684
France	1,208,693	3,969,376	838,184	1,185,367	3,066,205	10,267,825
United Kingdom	0	2,552,032	12	3,691,633	1,478,020	7,721,697
Spain	786,174	743,957	92,243	139,004	10,385	1,771,764
Italy	1,589,857	53,641	0	60,019	4,191	1,707,708
United States and Canada	0	940,839	258,744	1,288,193	206,641	2,694,418
TOTAL	8,342,352	8,747,845	43,039,424	40,914,187	66,887,287	167,931,095

(1) Pro forma for 2020 to include equity positions and other assets not qualified as credit exposure, and change in presentation (ABS/MBS and monoline insurers have been included in financial institutions).

(in thousands of EUR)	31/12/21 Central government bonds	Financial institutions	Public sector entities	Corporate - Project finance	Other	Total
Belgium	4,299,314	353,541	40,837,055	38,253,208	65,541,257	149,284,375
France	1,208,462	3,725,272	209,244	1,471,314	1,597,543	8,211,834
United Kingdom	0	1,590,448	0	5,607,187	1,066,256	8,263,892
Spain	834,734	492,803	128,211	146,463	10,163	1,612,375
Italy	1,474,963	42,176	0	71,015	5,627	1,593,782
United States and Canada	0	754,729	309,480	1,312,319	17,431	2,393,959
TOTAL	7,817,474	6,958,970	41,483,989	46,861,507	68,238,277	171,360,216

4. Maximum Credit Risk exposure by categories of Financial Instruments subject to impairment

A. Financial Assets

(in thousands of EUR)	31/12/20			
	Financial instruments without significant increase in credit risk since initial recognition (stage 1)	Financial instruments with significant increase in credit risk since initial recognition but not credit-impaired (stage 2)	Credit impaired financial assets (stage 3)	Total
CREDIT RATING GRADES				
Cash and balances with central banks	25,433,799	0	0	25,433,799
LOANS AND ADVANCES				
Measured at amortised cost	84,269,992	10,866,812	1,891,493	97,028,297
AAA to AA-	27,147,140	1,726,161	34,422	28,907,723
A+ to BBB-	38,106,183	4,003,557	221	42,109,961
Non investment grade	17,165,422	4,887,244	2,654	22,055,320
Default	0	0	1,854,103	1,854,103
Unrated	1,851,247	249,850	93	2,101,190
DEBT SECURITIES				
Measured at amortised cost	14,463,981	7,439,474	4,405	21,907,860
AAA to AA-	9,576,088	34,110	0	9,610,198
A+ to BBB-	4,778,535	7,209,583	1,782	11,989,900
Non investment grade	58,794	195,781	0	254,575
Default	0	0	2,623	2,623
Unrated	50,564	0	0	50,564
Measured at fair value through other comprehensive income	3,049,736	831,326	0	3,881,062
AAA to AA-	1,205,045	567	0	1,205,612
A+ to BBB-	1,669,941	744,953	0	2,414,894
Non investment grade	142,734	47,209	0	189,943
Default	0	0	0	0
Unrated	32,016	38,597	0	70,613

(in thousands of EUR)	31/12/21			
	Financial instruments without significant increase in credit risk since initial recognition (stage 1)	Financial instruments with significant increase in credit risk since initial recognition but not credit-impaired (stage 2)	Credit impaired financial assets (stage 3)	Total
CREDIT RATING GRADES				
Cash and balances with central banks	31,640,936	0	0	31,640,936
LOANS AND ADVANCES				
Measured at amortised cost	89,283,411	11,702,835	1,928,038	102,914,285
AAA to AA-	28,024,024	2,217,996	32,070	30,274,090
A+ to BBB-	41,109,657	4,480,303	418	45,590,378
Non investment grade	18,290,120	4,719,906	5,190	23,015,216
Default	0	0	1,889,862	1,889,862
Unrated	1,859,611	284,630	498	2,144,739
DEBT SECURITIES				
Measured at amortised cost	13,223,241	7,598,133	4,407	20,825,781
AAA to AA-	7,003,961	33,250	0	7,037,210
A+ to BBB-	6,157,976	7,260,282	1,784	13,420,042
Non investment grade	10,741	304,602	0	315,343
Default	0	0	2,623	2,623
Unrated	50,564	0	0	50,564
Measured at fair value through other comprehensive income	2,946,178	685,590	0	3,631,768
AAA to AA-	1,011,887	280	0	1,012,167
A+ to BBB-	1,638,802	575,724	0	2,214,526
Non investment grade	166,266	94,635	0	260,901
Default	0	0	0	0
Unrated	129,224	14,951	0	144,175

The evolution of the stage 1 and 2 exposures reflects the macro-economic improvements in 2021. In particular, Belfius has updated the underlying macro-economic scenarios (impact of EUR -68 million) as well as reassessed the management overlays in specific risk pockets (impact of EUR -47 million). Furthermore, stage 1 exposures of loans and advances at amortised cost increased following the new production of loans and advances.

B. Off-Balance sheet exposure

	31/12/20			
(in thousands of EUR)	Financial instruments without significant increase in credit risk since initial recognition (stage 1)	Financial instruments with significant increase in credit risk since initial recognition but not credit-impaired (stage 2)	Credit impaired financial assets (stage 3)	Total
CREDIT RATING GRADES				
Loan commitments and financial guarantees given	31,739,182	3,113,333	51,411	34,903,926
AAA to AA-	9,856,755	76,162	431	9,933,348
A+ to BBB-	16,687,906	1,294,186	0	17,982,092
Non investment grade	4,961,114	1,713,197	95	6,674,406
Default	0	0	50,885	50,885
Unrated	233,407	29,788	0	263,195

	31/12/21			
(in thousands of EUR)	Financial instruments without significant increase in credit risk since initial recognition (stage 1)	Financial instruments with significant increase in credit risk since initial recognition but not credit-impaired (stage 2)	Credit impaired financial assets (stage 3)	Total
CREDIT RATING GRADES				
Loan commitments and financial guarantees given	32,932,278	3,877,549	53,491	36,863,318
AAA to AA-	9,641,412	471,296	184	10,112,892
A+ to BBB-	16,816,139	1,416,079	0	18,232,218
Non investment grade	6,249,292	1,925,788	14	8,175,094
Default	0	0	53,292	53,292
Unrated	225,435	64,387	0	289,822

The indicated ratings are either internal or external based. In fact, Belfius applies the AIRBA (Advanced Internal Ratings Based Approach) for the calculation of capital requirements for credit risk within the context of Pillar 1 of Basel III. Except for Asset Backed Securities (ABS) positions for which the credit risk is based on external ratings only (Fitch, Standard & Poors and/or Moody's).

C. Purchased at credit impaired

Nil

5. Maximum credit risk exposure by class of financial instruments and impact of collateral

Belfius receives the following types of collateral:

- Cash, debt securities, equities, gold…;
- immovable property collateral (for example in the form of mortgages or mortgage mandates on physical assets such as homes, commercial property or vessels);
- receivables;
- leasing;
- other physical collateral;
- guarantees;
- credit derivatives.

The main principle for valuing collateral is to determine and make use of the expected realisation value at the time of a possible future default when the Bank might have to realise the collateral. The valuation of collateral used in the credit origination and life-cycle is performed periodically during the credit life cycle in a risk-based and proportional manner (depending on the type of collateral, remaining level of credit exposure and evolution of the credit quality of the obligor).

The table below shows the impact of physical collateral:

	31/12/20		31/12/21	
(in thousands of EUR)	Maximum credit risk exposure	Effect of physical collateral	Maximum credit risk exposure	Effect of physical collateral
Cash and balances with central banks	25,433,799	0	31,640,936	0
Loans and advances	98,733,578	5,567,545	103,949,536	5,981,688
Measured at amortised cost	97,028,297	5,565,999	102,914,285	5,980,142
Measured at fair value through profit or loss	1,705,281	1,546	1,035,251	1,546
Debt securities	26,599,392	0	24,866,088	0
Measured at amortised cost	21,907,859	0	20,825,781	0
Measured at fair value through other comprehensive income	3,881,062	0	3,631,768	0
Measured at fair value through profit or loss	810,471	0	408,539	0
Derivatives	3,169,321	0	3,448,937	0
Loan commitments and financial guarantees given PF(1)	34,926,173	348,173	36,863,318	409,252
Other (of which mainly securities lending and margin calls) PF(1)	14,513,578	0	13,071,330	0
TOTAL	203,375,840	5,915,718	213,840,145	6,390,940

(1) Pro forma for 2020 to include equity positions and other assets not qualified as credit exposure.

6. Financial assets subject to impairment that are past due

A financial asset is past due when the counterparty has failed to make a payment when contractually due. This is considered on a contract by contract basis. For example, if a counterpart fails to pay the required interests at due date, the entire loan is considered as past due.

31/12/20	Financial instruments without significant increase in credit risk since initial recognition (stage 1)			Financial instruments with significant increase in credit risk since initial recognition but not credit-impaired (stage 2)			Carrying amount – Credit impaired financial assets (stage 3)		
(in thousands of EUR)	≤ 30 days	> 30 days ≤ 90 days	> 90 days	≤ 30 days	> 30 days ≤ 90 days	> 90 days	≤ 30 days	> 30 days ≤ 90 days	> 90 days
Loans and advances due from credit institutions	0	0	0	275	0	0	0	0	0
Loans and advances	129,962	31,276	30,823	92,769	35,762	31,629	248,292	39,985	510,161
Debt securities	0	0	0	0	0	0	943	0	0
TOTAL	129,962	31,276	30,823	93,043	35,762	31,629	249,234	39,985	510,161

31/12/21 (in thousands of EUR)	Financial instruments without significant increase in credit risk since initial recognition (stage 1)			Financial instruments with significant increase in credit risk since initial recognition but not credit-impaired (stage 2)			Carrying amount Credit impaired financial assets (stage 3)		
	≤ 30 days	> 30 days ≤ 90 days	> 90 days	≤ 30 days	> 30 days ≤ 90 days	> 90 days	≤ 30 days	> 30 days ≤ 90 days	> 90 days
Loans and advances due from credit institutions	0	0	0	0	0	0	0	0	0
Loans and advances	131,651	26,059	16,889	92,503	33,393	36,412	288,891	59,966	448,136
Debt securities	0	0	0	0	0	0	942	0	0
TOTAL	131,651	26,059	16,889	92,503	33,393	36,412	289,834	59,966	448,136

A default status is assigned to the debtors who satisfy either one or both of the following criteria:

- The debtor has material exposures which are more than 90 days past due;
- The debtor is assessed as unlikely to pay its credit obligations in full without realisation of collateral, regardless the existence of any past due amount or the number of days past due.

Refer to the section "The risk management process concerning Forbearance, Watchlist, Default and Impairments" in the Credit Risk chapter of the Management Report for further information.

7. Forbearance

	31/12/20			
	Gross carrying amount of exposures with forbearance measures	Impairment	Collateral received and financial guarantees received	
(in thousands of EUR)			Collateral received on exposures with forbearance measures	Financial guarantees received on exposures with forbearance measures
Loans and advances due from credit institutions	0	0	0	0
Loans and advances	1,011,781	(183,162)	666,903	22,682
Debt securities	0	0	0	0
Off-Balance sheet exposure	18,936	0	7,490	829

	31/12/21			
	Gross carrying amount of exposures with forbearance measures	Impairment	Collateral received and financial guarantees received	
(in thousands of EUR)			Collateral received on exposures with forbearance measures	Financial guarantees received on exposures with forbearance measures
Loans and advances due from credit institutions	0	0	0	0
Loans and advances	1,944,740	(270,571)	1,376,191	55,085
Debt securities	0	0	0	0
Off-Balance sheet exposure	45,560	0	16,960	408

Belfius has reviewed its forbearance policy in line with the EBA guidance: there is no automatic change in the forbearance classification for borrowers only based on the fact of a new loan granted under the state guarantee scheme or EBA compliant requested moratoria. Clients which were granted legislative, non-legislative and other moratoria during the Covid-19 pandemic continued to be assessed on an individual basis, taking into consideration the existing forbearance criteria and longer-term capacity to repay. In this context, the most vulnerable clients associated with high PD's and, with potentially longer-term use of moratoria (beyond the 9-month limit) are recognised as forborne.

Refer to the section "The risk management process concerning Forbearance, Watchlist, Default and Impairments" in the Credit Risk chapter of the Management Report for further information.

8. Movements in allowances for credit losses

(in thousands of EUR)	31/12/20 Financial instruments without significant increase in credit risk since initial recognition (stage 1)	Financial instruments with significant increase in credit risk since initial recognition but not credit-impaired (stage 2)	Credit impaired financial assets (stage 3)	Total
LOANS AND ADVANCES DUE FROM CREDIT INSTITUTIONS				
Measured at amortised cost				
BALANCE AT 1 JANUARY	(420)	(56)	(0)	(476)
Changes due to origination, acquisition and derecognition PF(1)	90	0	0	90
Changes due to credit risk PF(1)(2)	272	(388)	0	(115)
Transfer from stage 1 (12-month ECL) to stages 2 & 3	10	(10)	0	0
Transfer from stage 2 (lifetime ECL not credit impaired) to stages 1 & 3	(33)	33	0	0
Foreign exchange and other movements	12	1	0	14
BALANCE AT 31 DECEMBER	(69)	(419)	0	(488)
LOANS AND ADVANCES				
Measured at amortised cost				
BALANCE AT 1 JANUARY	(198,110)	(159,466)	(1,158,313)	(1,515,890)
Changes due to origination, acquisition and derecognition PF(1)	(70,499)	0	13,720	(56,780)
Changes due to credit risk PF(1)(2)	125,175	(300,559)	(150,400)	(325,783)
Transfer from stage 1 (12-month ECL) to stages 2 & 3	76,799	(75,306)	(1,492)	0
Transfer from stage 2 (lifetime ECL not credit impaired) to stages 1 & 3	(65,802)	96,692	(30,890)	0
Transfer from stage 3 (lifetime ECL credit impaired) to stages 1 & 2	(3,235)	(58,534)	61,769	0
Decrease in allowance due to write off	0	0	62,533	62,533
Foreign exchange and other movements	1,789	1,954	4,248	7,991
BALANCE AT 31 DECEMBER	(133,883)	(495,220)	(1,198,825)	(1,827,929)

(1) Pro forma due to refinement of presentation in the lines "Changes due to origination, acquisition and derecognition" and "Changes due to credit risk".
(2) Includes movements in expected credit losses (ECL) following transfers from higher or lower stages.

(in thousands of EUR)	31/12/20 Financial instruments without significant increase in credit risk since initial recognition (stage 1)	Financial instruments with significant increase in credit risk since initial recognition but not credit-impaired (stage 2)	Credit impaired financial assets (stage 3)	Total
DEBT SECURITIES				
Measured at amortised cost				
BALANCE AT 1 JANUARY	(1,471)	(185,065)	(840)	(187,376)
Changes due to origination, acquisition and derecognition PF(1)	17,714	0	0	17,714
Changes due to credit risk PF(1)(2)	(17,957)	23,686	(2,436)	3,292
Transfer from stage 1 (12-month ECL) to stages 2 & 3	199	(150)	(49)	0
Transfer from stage 2 (lifetime ECL not credit impaired) to stages 1 & 3	(667)	667	0	0
Foreign exchange and other movements	18	7,406	0	7,424
BALANCE AT 31 DECEMBER	(2,165)	(153,455)	(3,325)	(158,946)
Measured at fair value through other comprehensive income				
BALANCE AT 1 JANUARY	(1,790)	(17,560)	0	(19,350)
Changes due to origination, acquisition and derecognition PF(1)	(1,323)	0	0	(1,323)
Changes due to credit risk PF(1)(2)	1,888	(1,334)	0	554
Transfer from stage 1 (12-month ECL) to stages 2 & 3	110	(110)	0	0
Transfer from stage 2 (lifetime ECL not credit impaired) to stages 1 & 3	(1,439)	1,439	0	0
BALANCE AT 31 DECEMBER	(2,554)	(17,565)	0	(20,119)
OFF-BALANCE SHEET EXPOSURE				
BALANCE AT 1 JANUARY	41,107	51,512	10,943	103,562
Changes due to origination, acquisition and derecognition PF(1)	20,250	0	(7,530)	12,720
Changes due to credit risk PF(1)	(14,406)	67,538	8,281	61,413
Transfer from stage 1 (12-month ECL) to stages 2 & 3	(22,562)	22,391	171	(0)
Transfer from stage 2 (lifetime ECL not credit impaired) to stages 1 & 3	13,527	(23,372)	9,845	0
Transfer from stage 3 (lifetime ECL credit impaired) to stages 1 & 2	532	3,010	(3,542)	0
Foreign exchange and other movements	(450)	(426)	(671)	(1,547)
BALANCE AT 31 DECEMBER	37,999	120,654	17,496	176,149

(1) Pro forma due to refinement of presentation in the lines "Changes due to origination, acquisition and derecognition" and "Changes due to credit risk".
(2) Includes movements in expected credit losses (ECL) following transfers from higher or lower stages.

As at 31 December 2020, the total impairment stock reached EUR 2,184 million compared to EUR 1,827 million to the end of 2019. This increase of EUR 357 million is mainly explained by the impact of the Covid-19 crisis.

The decrease of expected credit losses in stage 1 is explained by the shifts to Stage 2 and Stage 3 resulting from the update of the underlying macro-economic scenarios and their weights, in line with EBA guidance, to reflect the changes in the economic environment and perspectives following the Covid-19 crisis. This decrease is more than counterbalanced by an increase of expected credit losses in Stage 2 and 3 mostly driven by the overlays and name based expected credit losses adjustments for the Stage 2 and by a limited number of Corporate and SME files with material impacts for the Stage 3.

(in thousands of EUR)	31/12/21 Financial instruments without significant increase in credit risk since initial recognition (stage 1)	Financial instruments with significant increase in credit risk since initial recognition but not credit-impaired (stage 2)	Credit impaired financial assets (stage 3)	Total
LOANS AND ADVANCES DUE FROM CREDIT INSTITUTIONS				
Measured at amortised cost				
BALANCE AT 1 JANUARY	(69)	(419)	0	(488)
Changes due to origination, acquisition and derecognition	(723)	0	0	(723)
Changes due to credit risk[1]	269	36	0	305
Transfer from stage 2 (lifetime ECL not credit impaired) to stages 1 & 3	(273)	273	0	0
Foreign exchange and other movements	582	(1)	0	582
BALANCE AT 31 DECEMBER	(213)	(110)	0	(323)
LOANS AND ADVANCES				
Measured at amortised cost				
BALANCE AT 1 JANUARY	(133,883)	(495,220)	(1,198,825)	(1,827,928)
Changes due to origination, acquisition and derecognition	(59,181)	0	15,344	(43,836)
Changes due to credit risk[1]	139,751	(6,646)	(81,853)	51,252
Transfer from stage 1 (12-month ECL) to stages 2 & 3	20,170	(19,373)	(797)	0
Transfer from stage 2 (lifetime ECL not credit impaired) to stages 1 & 3	(93,455)	118,450	(24,995)	0
Transfer from stage 3 (lifetime ECL credit impaired) to stages 1 & 2	(1,421)	(18,486)	19,907	0
Decrease in allowance due to write off	0	0	57,410	57,410
Foreign exchange and other movements	(102)	(1,223)	(1,084)	(2,408)
BALANCE AT 31 DECEMBER	(128,120)	(422,498)	(1,214,893)	(1,765,512)

(1) Includes movements in expected credit losses (ECL) following transfers from higher or lower stages.

(in thousands of EUR)	31/12/21 Financial instruments without significant increase in credit risk since initial recognition (stage 1)	Financial instruments with significant increase in credit risk since initial recognition but not credit-impaired (stage 2)	Credit impaired financial assets (stage 3)	Total
DEBT SECURITIES				
Measured at amortised cost				
BALANCE AT 1 JANUARY	(2,165)	(153,455)	(3,325)	(158,946)
Changes due to origination, acquisition and derecognition	57	0	0	57
Changes due to credit risk(1)	1,860	(8,672)	0	(6,813)
Transfer from stage 1 (12-month ECL) to stages 2 & 3	21	(21)	0	0
Transfer from stage 2 (lifetime ECL not credit impaired) to stages 1 & 3	(1,314)	1,314	0	0
Foreign exchange and other movements	(27)	(8,526)	0	(8,553)
BALANCE AT 31 DECEMBER	(1,568)	(169,362)	(3,325)	(174,255)
Measured at fair value through other comprehensive income				
BALANCE AT 1 JANUARY	(2,554)	(17,565)	0	(20,119)
Changes due to origination, acquisition and derecognition	149	0	0	149
Changes due to credit risk(1)	1,178	(298)	0	880
Transfer from stage 1 (12-month ECL) to stages 2 & 3	2	(2)	0	0
Transfer from stage 2 (lifetime ECL not credit impaired) to stages 1 & 3	(739)	739	0	0
BALANCE AT 31 DECEMBER	(1,964)	(17,126)	0	(19,090)
OFF-BALANCE SHEET EXPOSURE				
BALANCE AT 1 JANUARY	37,999	120,654	17,496	176,149
Changes due to origination, acquisition and derecognition	94,306	0	(9,624)	84,682
Changes due to credit risk(1)	(116,763)	9,219	8,356	(99,188)
Transfer from stage 1 (12-month ECL) to stages 2 & 3	(5,046)	4,994	52	0
Transfer from stage 2 (lifetime ECL not credit impaired) to stages 1 & 3	25,400	(26,550)	1,150	0
Transfer from stage 3 (lifetime ECL credit impaired) to stages 1 & 2	597	4,996	(5,593)	0
Foreign exchange and other movements	70	338	211	620
BALANCE AT 31 DECEMBER	36,562	113,652	12,049	162,263

(1) Includes movements in expected credit losses (ECL) following transfers from higher or lower stages.

A decrease in stage 1 and 2 impairment allowances can be noted following the macro-economic improvements in 2021. In particular, Belfius has updated the underlying macro-economic scenarios as well as reassessed the management overlays, resulting in reversals of part of the stage 1 and 2 impairments accounted for in 2020. As customary, impairments were also recognised on a limited number of defaulted (stage 3) exposures during 2021 and as a result of portfolio evolutions.

The impact on the statement of income (impairments on financial instruments and provisions for credit commitments) is EUR +1 million in 2021, compared to EUR -453 million in 2020. The ex-ante provisioning of EUR 331 million per end 2020 decreased to EUR 216 million per end 2021, and is explained by the update of the macro-economic factors (decrease of EUR 68 million) and reversals on overlays for specific risk pockets and individual counterparts following the reassessment of the management overlays (decrease of EUR 47 million).

We refer to the section "Fundamentals of credit risk in 2021" in the Credit Risk chapter of the Management Report for further information on the Covid-19 measures taken at Belfius.

9. Credit risk information for loans designated at fair value through profit or loss

There are currently no financial assets designated at fair value through profit or loss. We refer to note 5.4. "Loans and advances" and 5.5. "Debt securities & Equity Instruments".

10. Credit risk information about financial liabilities designated at fair value through profit or loss

31/12/20 (in thousands of EUR)	Book value	Amount of change in the fair value attributable to changes in the credit risk of the liability		Difference between carrying amount of the financial liability and contractual amount required to be paid at maturity(1)
		Change of the period	Cumulative amount	
	8,241,296	0	0	179,851

31/12/21 (in thousands of EUR)	Book value	Amount of change in the fair value attributable to changes in the credit risk of the liability		Difference between carrying amount of the financial liability and contractual amount required to be paid at maturity (1)
		Change of the period	Cumulative amount	
	7,849,956	0	0	114,895

(1) This amount includes the premium/discount and the change in market value.

Belfius estimates that the own credit risk is nil and that there has been no significant change in own credit risk since issuance.

11. Writte-offs

The contractual amount outstanding on financial assets that were written off during the year and that are still subject to enforcement activity is nihil.

9.3. Information on asset encumbrance and collateral received

1.1. Assets

(in thousands of EUR)	As at 31 December 2020			
	Carrying amount of encumbered assets	Fair value of encumbered assets	Carrying amount of unencumbered assets	Fair value of unencumbered assets
Equity instruments	0	0	1,581,629	1,581,629
Debt securities	5,772,037	6,795,444	21,495,199	22,321,567
Loans and advances	39,180,239		58,927,811	
of which cash collateral given	12,710,604			

(in thousands of EUR)	As at 31 December 2021			
	Carrying amount of encumbered assets	Fair value of encumbered assets	Carrying amount of unencumbered assets	Fair value of unencumbered assets
Equity instruments	0	0	1,883,782	1,883,782
Debt securities	5,121,525	5,631,465	20,190,043	20,744,779
Loans and advances	36,634,114		66,044,701	
of which cash collateral given	10,147,076			

1.2. Collateral received

(in thousands of EUR)	As at 31 December 2020		As at 31 December 2021	
	Fair value of encumbered collateral received or own debt securities issued	Fair value of collateral received or own debt securities issued available for encumbrance	Fair value of encumbered collateral received or own debt securities issued	Fair value of collateral received or own debt securities issued available for encumbrance
Collateral received by the reporting institution	12,666	1,415,272	(452,288)	2,159,009
Debt securities	12,666	1,415,272	(452,288)	2,159,009
Other collateral received	0	0	0	0
Own debt securities issued other than own covered bonds or ABS	0	587,826	0	639,680

2. Summary encumbrance by source

As at 31 December 2020 (in thousands of EUR)	Encumbered assets						Total
	Loans and advances		Debt securities				
	Measured at amortised cost	Measured at fair value through profit or loss	Measured at amortised cost	Measured at fair value through other comprehensive income	Measured at fair value through profit or loss	Fair value of encumbered collateral received or own debt securities issued	
SOURCE OF ENCUMBRANCE							
Derivatives - collateral	12,666,625	0	1,581,430	0	0	(933,898)	13,314,158
Repurchase agreements	2,170	0	447,447	0	0	0	449,617
Collateralised deposits other than repurchase agreements	1,760,532	0	272,839	0	272,839	4,436	2,310,646
Central bank funding	14,768,209	0	2,618,476	0	0	152,473	17,539,158
Covered bonds issued	9,592,261	0	91,843	0	0	0	9,684,104
Securities lending	0	0	1,030,650	0	0	150,445	1,181,095
Other	0	0	171,473	0	204,961	109,732	486,166
TOTAL	38,789,797	0	6,214,158	0	477,800	(516,812)	44,964,943

As at 31 December 2021 (in thousands of EUR)	Encumbered assets						Total
	Loans and advances		Debt securities				
	Measured at amortised cost	Measured at fair value through profit or loss	Measured at amortised cost	Measured at fair value through other comprehensive income	Measured at fair value through profit or loss	Fair value of encumbered collateral received or own debt securities issued	
SOURCE OF ENCUMBRANCE							
Derivatives - collateral	10,147,076	0	1,242,736	0	0	(846,303)	10,543,510
Repurchase agreements	0	0	127,798	0	0	0	127,798
Collateralised deposits other than repurchase agreements	1,082,579	0	230,856	0	230,856	0	1,544,290
Central bank funding	17,190,463	0	2,110,851	0	0	22,899	19,324,213
Covered bonds issued	8,006,246	0	91,888	0	0	0	8,098,134
Asset-backed securities issued	0	0	0	0	0	0	0
Fair value of securities borrowed with non cash-collateral	0	0	0	0	0	0	0
Securities lending	0	0	672,979	0	0	369,652	1,042,631
Other	481,376	0	238,077	0	200,312	1,463	921,228
TOTAL	36,907,741	0	4,715,185	0	431,167	(452,288)	41,601,805

This information on asset encumbrance was determined on a consolidated basis of Belfius Bank and Belfius Insurance, according to the current Belfius interpretation of the EBA definition and scope.

Following the EBA definition, an asset shall be treated as encumbered if it has been pledged or if it is subject to any form of arrangement to secure, collateralize or credit enhance any transaction from which it cannot be freely withdrawn. This definition covers more than the IFRS requirements that focuses more on pledged assets. Among the encumbered assets the securities lending should not be considered as pledged. As a consequence, assets pledged according to IFRS 7 amount to 40.7 billion EUR. This represents a decrease of EUR 3.1 billion compared to 2020.

The definition of encumbered assets includes assets that were pledged as a result of repurchase agreements, loans granted by the central banks, guarantees for the issuance of covered bonds and securitisations, the assets given under bond lending transactions and collateral posted under the "Credit Support Annex" (CSA) or "Credit Support Deed" (CSD).

EBA disclosure requirements fit with IFRS 7 accounting standards disclosure requirements as it requests to report encumbered (and unencumbered) amounts of "own" assets both in carrying amount and in fair value, and encumbered (and unencumbered) amounts of received collateral in fair value.

Total collateral received amounts to EUR 1.7 billion end 2021. The Bank has the right to re-pledge this collateral that is fully available for encumbrance.

End 2021, an amount of EUR 10.5 billion of collateral is pledged for derivatives (cash + securities). Securities pledged amount to EUR 0.7 billion and are measured at amortised cost.

Belfius is active in the covered bond market since 2012. End 2021, the total notional amount issued was EUR 6.5 billion which represents a decrease of EUR 1.2 billion in 2021 compared to 2020. End 2021, the assets encumbered for this funding source consist of commercial loans (public sector and mortgage loans) and amount to EUR 8.1 billion (decrease of EUR 1.5 billion compared to end 2020). Assets segregated in cover pools cannot be re-used by investors.

Since 2017 in the context of the management of its liquidity buffer, Belfius is active in bond lending transactions under the agreed Global Master Securities Lending Agreements (GMSLA) to manage its liquidity buffer. This activity generates EUR 1.0 billion of encumbered assets.

EUR 19.9 billion of the pledged collateral to the ECB is encumbered for TLTRO funding of EUR 15.7 billion. The assets pledged to collateralize the TLTRO funding are composed of EUR 17.2 billion public, SME and mortgage loans (through securitisation vehicles Penates and Mercurius) and EUR 2.6 billion of bonds. Credit claims pledged for ECB funding cannot be re-used by the ECB.

3. Encumbered assets/collateral received and associated liabilities

	As at 31 December 2020		As at 31 December 2021	
(in thousands of EUR)	Matching liabilities, contingent liabilities or securities lent	Assets, collateral received and own debt securities issued other than covered bonds and ABS encumbered	Matching liabilities, contingent liabilities or securities lent	Assets, collateral received and own debt securities issued other than covered bonds and ABS encumbered
Carrying amount of selected financial liabilities	34,642,527	42,991,293	32,333,324	39,754,952

4. Transfer of financial assets that do not qualify for derecognition in the consolidated balance sheet

As at 31 December 2020	Carrying amount of transferred assets	Carrying amount of associated liabilities	For those liabilities that recourse only to the transferred asset		
(in thousands of EUR)			Fair value of transferred assets	Fair value of associated liabilities	Net position
Loans and advances due from credit institutions	0	0	0	0	0
Loans and advances PF[1]	0	0	0	0	0
Debt securities	20,146	19,933	0	0	0
Equity instruments	0	0	0	0	0
Derivatives	0	0	0	0	0
TOTAL	20,146	19,933	0	0	0

(1) Restatement of figures per 31 December 2020.

As at 31 December 2021	Carrying amount of transferred assets	Carrying amount of associated liabilities	For those liabilities that recourse only to the transferred asset		
(in thousands of EUR)			Fair value of transferred assets	Fair value of associated liabilities	Net position
Loans and advances due from credit institutions	0	0	0	0	0
Loans and advances	0	0	0	0	0
Debt securities	0	0	0	0	0
Equity instruments	0	0	0	0	0
Derivatives	0	0	0	0	0
TOTAL	0	0	0	0	0

A. Repurchase agreements

Belfius uses repurchase agreements as financing transactions where securities are sold to a market counterparty in exchange for cash and where the transferred securities are repurchased at maturity date of the contract.

The repurchase agreements are conducted under the terms of the Global Master Repurchase Agreements. The market counterparties are subject to the credit risk process as described in the management report.

Since all significant risks and rewards associated with ownership of the transferred securities are retained, the securities remain on the balance sheet of Belfius. The cash obtained under this transaction is recognised as a liability.

Since the counterparty, in case of default, has not only a right on the transferred assets, but on the entire debt, the columns "for those liabilities that resort only to the transferred assets" are not applicable on this.

B. Securitisation of credits

Belfius has different securitisation vehicles that are consolidated as most of the risks and rewards remain for Belfius. The underlying financial assets continue to be recognised on the balance sheet and the liquid assets obtained through securitisation are represented by a debt instrument. We refer to note 12. "Securitisation" for further details.

5. Collateral and other credit enhancements obtained by taking possession of collateral

Amounts involved are immaterial.

6. Offsetting

Financial assets and financial liabilities are offset (and, consequently, only the net amount is reported) when Belfius has a legally or contractually enforceable right to offset and intends either to settle on a net basis or to realise the asset and settle the liability simultaneously.

A. Financial assets subject to offsetting

As at 31 December 2020 (in thousands of EUR)	Gross amounts of recognised financial assets	Gross amounts of recognised financial liabilities set off	Net amounts of financial assets presented in the balance sheet	Amounts not set off in the balance: Financial instrument	Amounts not set off in the balance: Securities + cash collateral received	Net amount
Derivatives with London Clearing House(1)	7,752,643	7,751,359	1,284	0	0	1,284
Derivatives with master netting agreements (1)	11,388,410	0	11,388,410	6,107,227	4,173,747	1,107,436
Reverse repurchase agreements with London Clearing House	0	0	0	0	0	0
Reverse repurchase agreements with master netting agreements(2)	1,177,177	931,706	245,471	0	244,895	576
Securities borrowing	0	0	0	0	0	0
Other financial instruments	0	0	0	0	0	0
TOTAL	20,318,230	8,683,065	11,635,165	6,107,227	4,418,642	1,109,296

As at 31 December 2021 (in thousands of EUR)	Gross amounts of recognised financial assets	Gross amounts of recognised financial liabilities set off	Net amounts of financial assets presented in the balance sheet	Amounts not set off in the balance: Financial instrument	Amounts not set off in the balance: Securities + cash collateral received	Net amount
Derivatives with London Clearing House(1)	8,549,625	8,547,068	2,557	0	0	2,557
Derivatives with master netting agreements (1)	7,943,850	0	7,943,850	4,079,980	3,087,854	776,016
Reverse repurchase agreements with London Clearing House	0	0	0	0	0	0
Reverse repurchase agreements with master netting agreements(2)	1,312,308	800,438	511,869	0	500,434	11,435
Securities borrowing	0	0	0	0	0	0
Other financial instruments	0	0	0	0	0	0
TOTAL	17,805,783	9,347,506	8,458,276	4,079,980	3,588,288	790,008

(1) Derivatives are included on the balance sheet in line item VI. Derivatives.
(2) Reverse repurchase agreements are included on the balance sheet in line items II. Loans and advances due from credit institutions measured at amortised cost and III. Loans and advances measured at amortised cost.

B. Financial liabilities subject to offsetting

As at 31 December 2020 (in thousands of EUR)	Gross amounts of recognised financial liabilities	Gross amounts of recognised financial assets set off	Net amounts of financial liabilities presented in the balance sheet	Amounts not set off in the balance		Net amount
				Financial instrument	Securities + cash collateral pledged	
Derivatives with London Clearing House	7,774,187	7,751,359	22,828	0	0	22,828
Derivatives with master netting agreements	17,845,797	0	17,845,797	6,107,227	11,647,970	90,601
Repurchase agreements with London Clearing House	0	0	0	0	0	0
Repurchase agreements with master netting agreements	982,592	931,706	50,886	0	49,918	968
Securities borrowing	0	0	0	0	0	0
Other financial instruments	0	0	0	0	0	0
TOTAL	26,602,577	8,683,065	17,919,512	6,107,227	11,697,888	114,397

As at 31 December 2021 (in thousands of EUR)	Gross amounts of recognised financial liabilities	Gross amounts of recognised financial assets set off	Net amounts of financial liabilities presented in the balance sheet	Amounts not set off in the balance		Net amount
				Financial instrument	Securities + cash collateral pledged	
Derivatives with London Clearing House	8,575,611	8,547,068	28,542	0	0	28,542
Derivatives with master netting agreements	13,537,060	0	13,537,060	4,079,980	9,401,946	55,134
Repurchase agreements with London Clearing House	0	0	0	0	0	0
Repurchase agreements with master netting agreements	800,517	800,438	79	0	(121)	200
Securities borrowing	0	0	0	0	0	0
Other financial instruments	0	0	0	0	0	0
TOTAL	22,913,188	9,347,506	13,565,681	4,079,980	9,401,825	83,876

Belfius continues to reassign, where possible, derivatives to LCH for which offsetting is applied.

9.4. Interest-rate repricing risk: breakdown by remaining maturity until next refixing interest rate

Sight accounts and saving deposits are presented in the column "At sight and on demand" as the information presented below takes into account the residual maturity until the next interest-rate refixing date on the legal repayment date, rather than on the observed behavioral customer data. However, for the determination of the interest rate sensitivity of the net asset value or earnings, the observed behaviour of customers on these liabilities is taken into account (see note 9.5. "Market risk and ALM").

1. 2020

A. Assets

(in thousands of EUR)	At sight and on demand	≤ 3 months	> 3 months and ≤ 1 year	> 1 year and ≤ 5 years	> 5 years	Un-determined maturity	Accrued interest	Changes in fair value and fair value of derivatives	Impairment	Total
Cash and balances with central banks	25,434,132	0	0	0	0	0	(333)	0	0	25,433,799
Loans and advances due from credit institutions	11,746,424	73,672	28,346	66,874	0	36	(3,180)	0	(506)	11,911,665
Loans and advances	2,373,832	15,625,802	14,411,662	26,372,169	38,440,063	1,986,049	324,798	401,603	(1,827,928)	98,108,050
Debt securities & equity instruments	0	4,759,414	3,347,968	4,653,640	11,248,661	1,945,480	323,949	2,728,699	(158,946)	28,848,865
Derivatives							274,766	11,913,347	0	12,188,113
Unit linked products insurance activities						3,813,059				3,813,059
Gain/loss on the hedged item in portfolio hedge of interest rate risk								4,631,922		4,631,922
Investments in equity method companies						98,880				98,880
Tangible fixed assets						1,189,898				1,189,898
Intangible assets						195,833				195,833
Goodwill						103,966				103,966
Current tax assets						33,622				33,622
Deferred tax assets						369,769				369,769
Other assets	69,221	164,482	45,097	44,551	46,199	670,128	0	0	(1,388)	1,038,291
Non current assets (disposal group) held for sale and discontinued operations						31,266		0	(5,566)	25,700
TOTAL ASSETS	39,623,610	20,623,370	17,833,073	31,137,234	49,734,924	10,437,986	919,999	19,675,572	(1,994,334)	187,991,433
Regular way trade	0	2,107,394	104,541	3	146	219,430	0	0	0	2,431,514
Derivatives	0	113,781,665	57,914,854	44,332,317	52,194,059	2,826,219	0	0	0	271,049,114
OFF BALANCE SHEET	0	115,889,059	58,019,395	44,332,320	52,194,205	3,045,649	0	0	0	273,480,628
TOTAL FOR INTEREST RATE REPRICING RISK	39,623,610	136,512,429	75,852,469	75,469,554	101,929,128	13,483,635	919,999	19,675,572	(1,994,334)	461,472,061

B. Liabilities

(in thousands of EUR)	At sight and on demand	≤ 3 months	> 3 months and ≤ 1 year	> 1 year and ≤ 5 years	> 5 years	Un-determined maturity	Accrued interest	Changes in fair value and fair value of derivatives	Impairment	Total
Cash and balances from central banks	14,250,000	0	0	0	0	0	(76,482)	0	0	14,173,519
Credit institutions borrowings and deposits	4,382,476	557,684	30,753	29,229	10,103	0	(2,052)	0	0	5,008,193
Borrowings and deposits	78,883,496	15,522,059	51,967	321,607	477,174	27,550	48,926	5,196	0	95,337,975
Debt securities issued and other financial liabilities	0	3,046,407	6,066,018	8,986,860	5,990,214	1,921	129,657	181,120	0	24,402,198
Unit linked products insurance activities						3,813,059			0	3,813,059
Derivatives							811,179	17,498,977	0	18,310,156
Gain/loss on the hedged item in portfolio hedge of interest rate risk								373,447	0	373,447
Provisions for insurance activities	0	0	0	0	0	12,659,377			0	12,659,377
Provisions and contingent liabilities	0	0	0	0	0	447,959	0	0	176,149	624,107
Subordinated debts	0	224,740	85,000	203,455	547,460	72,000	18,027	0	0	1,150,681
Current tax liabilities						68,470			0	68,470
Deferred tax liabilities						16,190			0	16,190
Other liabilities	100,994	784,427	12,350	3,904	417	417,956	616	0	0	1,320,664
TOTAL LIABILITIES	97,616,966	20,135,317	6,246,089	9,545,055	7,025,368	17,524,482	929,871	18,058,739	176,149	177,258,036
Regular way trade	0	10,991,369	100,006	6,138	1,529	221,844	0	0	0	11,320,885
Derivatives	0	116,220,925	66,025,157	42,307,592	48,209,679	602,865	0	0	0	273,366,218
OFF BALANCE SHEET	0	127,212,293	66,125,163	42,313,730	48,211,208	824,709	0	0	0	284,687,104
TOTAL FOR INTEREST RATE REPRICING RISK	97,616,966	147,347,610	72,371,252	51,858,785	55,236,576	18,349,191	929,871	18,058,739	176,149	461,945,140

C. Net position

(in thousands of EUR)	At sight and on demand	≤ 3 months	> 3 months and ≤ 1 year	> 1 year and ≤ 5 years	> 5 years	Undetermined maturity
On-balance-sheet sensitivity gap	(57,993,356)	(10,835,182)	3,481,217	23,610,769	46,692,552	(4,865,557)

The actual interest rate risk of Belfius is managed based on more advanced assumptions. (See note 9.5. "Market risk and ALM")

2. 2021
A. Assets

(in thousands of EUR)	At sight and on demand	≤ 3 months	> 3 months and ≤ 1 year	> 1 year and ≤ 5 years	> 5 years	Un-determined maturity	Accrued interest	Changes in fair value and fair value of derivatives	Impairment	Total
Cash and balances with central banks	31,641,371	0	0	0	0	0	(434)	0	(590)	31,640,347
Loans and advances due from credit institutions	9,432,485	921,626	37,250	4,622	0	18,080	(2,503)	0	(323)	10,411,237
Loans and advances	2,329,396	16,028,682	15,355,584	26,831,098	41,074,912	2,247,142	312,086	265,427	(1,765,512)	102,678,814
Debt securities & equity instruments	0	4,896,466	2,263,090	4,036,197	11,058,904	2,018,133	294,393	2,802,422	(174,255)	27,195,351
Derivatives							454,891	8,454,148	0	8,909,039
Unit linked products insurance activities						4,245,672				4,245,672
Gain/loss on the hedged item in portfolio hedge of interest rate risk								3,651,783		3,651,783
Investments in equity method companies						96,107				96,107
Tangible fixed assets						1,614,068				1,614,068
Intangible assets						214,928				214,928
Goodwill						103,966				103,966
Current tax assets						27,073				27,073
Deferred tax assets						328,704				328,704
Other assets	65,379	172,307	123,192	62,053	60,705	510,023	0	15,276	(1,985)	1,006,950
Non current assets (disposal group) held for sale and discontinued operations						31,810	0	0	(5,305)	26,505
TOTAL ASSETS	43,468,632	22,019,080	17,779,115	30,933,970	52,194,522	11,455,707	1,058,432	15,189,055	(1,947,970)	192,150,543
Regular way trade	0	891,052	468	70	20	243,491	0	0	0	1,135,101
Derivatives	0	112,314,562	61,123,398	53,251,467	57,103,827	2,323,914	0	0	0	286,117,168
OFF BALANCE SHEET	**0**	**113,205,614**	**61,123,866**	**53,251,536**	**57,103,847**	**2,567,406**	**0**	**0**	**0**	**287,252,269**
TOTAL FOR INTEREST RATE REPRICING RISK	43,468,632	135,224,694	78,902,981	84,185,506	109,298,369	14,023,112	1,058,432	15,189,055	(1,947,970)	479,402,813

B. Liabilities

(in thousands of EUR)	At sight and on demand	≤ 3 months	> 3 months and ≤ 1 year	> 1 year and ≤ 5 years	> 5 years	Un-determined maturity	Accrued interest	Changes in fair value and fair value of derivatives	Impairment	Total
Cash and balances from central banks	15,650,000	0	0	0	0	0	(231,928)	0	0	15,418,072
Credit institutions borrowings and deposits	3,141,485	402,950	10,772	33,849	3,626	0	(1,647)	0	0	3,591,036
Borrowings and deposits	87,467,562	15,674,584	642,580	138,042	419,921	9,466	49,320	2,538	0	104,404,013
Debt securities issued and other financial liabilities	0	3,450,135	4,735,340	9,392,244	5,325,949	646	129,828	111,211	0	23,145,353
Unit linked products insurance activities						4,245,672			0	4,245,672
Derivatives							1,036,919	12,981,810	0	14,018,729
Gain/loss on the hedged item in portfolio hedge of interest rate risk								45,766	0	45,766
Provisions for insurance activities	0	0	0	0	0	12,191,017			0	12,191,017
Provisions and contingent liabilities	0	0	0	0	0	366,909	0	0	162,263	529,173
Subordinated debts	0	223,221	129,966	700,826	497,214	72,000	19,522	0	0	1,642,749
Current tax liabilities						41,682			0	41,682
Deferred tax liabilities						7,502			0	7,502
Other liabilities	69,512	780,705	11,565	45,608	0	468,998	643	0	0	1,377,031
Liabilities included in disposal group and discontinued operations	0	0	0	0	0	0	0	0	0	0
TOTAL LIABILITIES	106,328,559	20,531,595	5,530,224	10,310,569	6,246,710	17,403,891	1,002,657	13,141,326	162,263	180,657,795
Regular way trade	0	10,314,129	243	12,596	1,324	238,792	0	0	0	10,567,084
Derivatives	0	120,188,132	76,360,096	46,212,954	52,204,256	227,756	0	0	0	295,193,194
OFF BALANCE SHEET	**0**	**130,502,261**	**76,360,338**	**46,225,550**	**52,205,580**	**466,548**	**0**	**0**	**0**	**305,760,278**
TOTAL FOR INTEREST RATE REPRICING RISK	106,328,559	151,033,856	81,890,562	56,536,119	58,452,290	17,870,440	1,002,657	13,141,326	162,263	486,418,073

C. Net position

(in thousands of EUR)	At sight and on demand	≤ 3 months	> 3 months and ≤ 1 year	> 1 year and ≤ 5 years	> 5 years	Undetermined maturity
On-balance-sheet sensitivity gap	(62,859,927)	(15,809,162)	(2,987,581)	27,649,387	50,846,079	(3,847,327)

The actual interest rate risk of Belfius is managed based on more advanced assumptions. (See note 9.5. “Market risk and ALM”)

9.5. Market risk and ALM

1. Financial markets

Within Belfius Bank, the Financial Markets Services department (FM) is the central point of entry to the financial markets. In general aspect, the department does not negotiate positions for own account: all transactions are based on client transactions. Transactions made by external or internal clients, for instance ALM including liquidity management belonging to the last category, are hedged overall within a framework of limits that complies with Belfius's risk policies. As a result, the various market risks are kept within that framework, a.o. by hedging transactions. The VaR figures stated below reflect these residual positions.

The risks on client flow management activities include general interest rate, foreign exchange, equity prices, credit spread and other risks (inflation, CO2). These risks are managed within Value at Risk limits and other appropriate risk limits.

Cash and Liquidity Management (CLM) is monitored by means of Value at Risk limits (VaR) and interest rate sensitivity limits.

The spread risk of the investment portfolio and client flow management activities are managed with spread limits.

The Value-at-Risk (VaR) concept is used as the principal metric for management of the market risk Belfius Bank is facing. The VaR measures the maximum loss in Net Present Value (NPV) the bank might be facing in historical market conditions over a period of 10 days with a confidence interval of 99%. The following risks are monitored at Belfius using a VaR computation:

- The interest rate and foreign-exchange rate risk: this category of risk is monitored via a historical VaR based on an internal model approved by the National Bank of Belgium. The historical simulation approach consists of managing the portfolio through a time series of historical asset yields. These revaluations generate a distribution of portfolio values (yield histogram) on the basis of which a VaR (% percentile) may be calculated.

The main advantages of this type of VaR are its simplicity and the fact that it does not assume a normal but a historical distribution of asset yields (distributions may be non-normal and the behaviour of the observations may be non-linear).

- The general and specific equity risks are measured on the basis of a historical VaR with full valuation based on 300 scenarios.
- The spread risk and the inflation risk are measured via a historical approach, applying 300 observed variations on the sensitivities.

Since the end of 2011, Belfius also computes a Stressed Value-at-Risk (S-VaR) on top of its regular VaR, which also enters into the computation of weighted risks for Market Risk. This S-VaR measure consists of calculating a historical VaR based on a 12 consecutive months observation period which generates the largest negative variations of Net Present Value in the bank's current portfolio of financial instruments.

VaR(1) (99%, 10 days) (in thousands of EUR)	31/12/20				31/12/21			
	IR & FX (2) & (3)	Equity	Spread	Other risks(4)	IR & FX (2) & (3)	Equity	Spread	Other risks(4)
By activity								
Average	7,344	5,767	1,205	383	5,371	4,715	633	333
EOY	8,651	6,238	510	450	3,916	2,643	220	470
Maximum	12,296	8,359	3,639	450	14,360	9,700	1,518	570
Minimum	4,486	2,636	237	300	2,371	2,429	118	291
Global								
Average	14,699				11,052			
EOY	15,848				7,250			
Maximum	21,478				25,418			
Minimum	9,360				5,862			
Limit	24,300				23,300			

(1) The Value at Risk (VaR) is a measure of the potential change in market value with a probability of 99% and over a period of 10 days.
(2) IR: interest rate risk.
(3) FX: foreign exchange risk.
(4) Inflation and CO_2 risk.

Interest rate risk (IR) and forex risk (FX) are not measured separately. The forex risk is however not material.

2. Value adjustments

A separate sensitivity based monitoring is in place for three blocks of activities that are not part of the VaR scope. For each type separately and for all three combined, limits are in place for interest rate, FX, inflation and credit spread sensitivities

Firstly, the value adjustments (CVA/DVA/FVA) related to Belfius' derivative exposures are sensitive to market risk as well. While certain sensitivities can be hedged almost completely (interest rate, inflation and currency), other risks like credit spreads and funding spread can only be hedged with proxies (like ITRAXX).

Similarly for the credit derivatives, the IR, FX and inflation sensitivities are well hedged, and also credit spreads and bond-cds basis sensitivity is within limits.

Finally, the hedge inefficiency of the bond portfolio due to difference in discount curve for the bond and its related swap is managed on a daily basis as well, with hedges in place for the resulting inflation, basis risk and directional IR exposure.

Basis Point Sensitivity	31/12/20					31/12/21				
(in thousands of EUR)	IR	Spread[1]	Tenor Basis	Cross currency	Inflation risk	IR	Spread[1]	Tenor Basis	Cross currency	Inflation risk
By activity										
EOY	(25)	(136)	0	247	6	(54)	(153)	0	(107)	7

(1) Impact of a 1bp increase in spread (either credit spread, or bond-cds basis spread).

3. Asset-liability management (ALM)

A. Interest rate risk

Interest rate risk has two forms – economic value volatility and earnings volatility. The measurement of both is complementary in understanding the complete scope of interest rate risk in the balance sheet (excluding financial markets).

Economic value indicators capture the long-term effect of the interest rate changes on the economic value of the Bank. Interest rate sensitivity of economic value measures the net change in the ALM balance sheet's economic value if interest rates move by 10 bps across the entire curve. The long-term sensitivity of the ALM perimeter was EUR -55 million per 10 bps on 31 December 2021 (compared to EUR -35 million per 10 bps at 31 December 2020), excluding interest positions of Belfius Insurance and of the pension funds of Belfius Bank.

Earnings at Risk indicators capture the more shorter term effect of the interest rate changes on the earnings of the Bank. Therefore, indirectly through profitability, interest rate changes can also have a shorter term solvency effect. A 50 bps increase of interest rates has an estimated positive impact on net interest income (before tax) of EUR +31 million of the next book year and an estimated cumulative effect of EUR +192 million over a three year period, whereas a 35 bps decrease would lead to an estimated impact of EUR -9 million of the next book year and an estimated cumulative effect of EUR -103 million over a three year period (compared to EUR +3 million, resp. EUR +143 million and EUR +1 million, resp. EUR -90 million for similar rate shocks end of last year).

(in thousands of EUR)	31/12/20	31/12/21
Bank		
Economic value (+10 bps)	(34,770)	(54,950)
Earnings at risk (+50 bps)	30,889	31,335
Insurance		
Economic value (+10 bps)	5,224	8,332
Earnings at risk (+50 bps)	2,981	4,354

B. Real estate - direct property

	31/12/20	31/12/21
(in thousands of EUR)	Measured at amortised cost	Measured at amortised cost
Insurance		
Market value	727,068	763,202
Shock 12.5% (negative)	(117,262)	(114,480)

Sensitivities are only reported for the direct property investment portfolio of Belfius Insurance group. The direct property held by the Belfius bank mainly includes leasing contracts for the construction of property and property for own use.

4. Debt securities

A. Outstanding nominal amounts debt securities

(in thousands of EUR)	31/12/20			31/12/21		
	Measured at amortised cost	Measured at fair value through other comprehensive income	Measured at fair value through profit or loss	Measured at amortised cost	Measured at fair value through other comprehensive income	Measured at fair value through profit or loss
Bank - bond portfolio (nominal value)	10,850,299		101,792	10,273,470		21,471
Insurance - bond portfolio (nominal value)	5,459,295	3,039,866	197,029	4,879,391	2,919,120	159,057
Insurance - investment funds (market value)			527,048			498,097

B. Interest-rate sensitivity

(in thousands of EUR)	31/12/20			31/12/21		
	Measured at amortised cost	Measured at fair value through other comprehensive income	Measured at fair value through profit or loss	Measured at amortised cost	Measured at fair value through other comprehensive income	Measured at fair value through profit or loss
Bond portfolio	(6,428)	(3,549)	(274)	(5,063)	(3,040)	(140)

The interest rate risk of the bond portfolio of the bank is either micro-hedged (for the former Side portfolio; hence low net interest rate sensitivity) or is managed through the ALM-framework (hence net interest rate sensitivity part of global ALM interest rate sensitivity). Furthermore, for all debt securities measured at fair value through profit and loss within the banking book the interest rate is managed within the framework of the financial markets. The sensitivity to 1 bp interest rate increase of the value of the bond portfolio of the insurance companies amounted to EUR -8,2 million at the end of 2021, part of the global ALM management of the insurance companies.

C. Credit-spread sensitivity

This calculation estimates the sensitivity of the value of the bond portfolio after one basis point spread widening.

(in thousands of EUR)	31/12/20			31/12/21		
	Measured at amortised cost	Measured at fair value through other comprehensive income	Measured at fair value through profit or loss	Measured at amortised cost	Measured at fair value through other comprehensive income	Measured at fair value through profit or loss
Bank	(17,655)		(11)	(17,120)		(5)
Insurance	(6,454)	(3,561)	(283)	(5,138)	(3,055)	(133)

D. Shock Equity risk 30% (negative)

Concerns equity shock on investment funds within Belfius Insurance.

(in thousands of EUR)	31/12/20	31/12/21
	Measured at fair value through other comprehensive income	Measured at fair value through other comprehensive income
Insurance	(37,698)	(58,177)

5. Listed equity & real estate

(in thousands of EUR)	31/12/20 Measured at fair value through other comprehensive income	31/12/21 Measured at fair value through other comprehensive income
Insurance		
Market value – quoted shares & assimilated	379,250	407,602
Market value – quoted real estate	195,006	255,182
Shock 30% (negative)	(172,277)	(198,835)
VaR (99%, 10 days)	175,891	57,916

9.6. Liquidity risk

Liquidity is managed with a view to comply with our Liquidity Risk Management guidelines and framework. We also refer to the management report for a detailed description.

We refer to the management report for more information on the Liquidity Coverage Ratio. The Liquidity Coverage Ratio forces financial institutions to maintain a sufficient stock of quality liquid assets to withstand a crisis that puts their cash flows under pressure. The liquid assets to hold must be equal to or greater than their net cash outflow over a 30-day period under stress (as such, having at least 100% coverage). The parameters of the stress scenario are defined under Basel III.

Belfius Insurance holds a significant amount of unencumbered assets that are eligible at the ECB. More specific, the company invests at least 40% of its bond portfolio in government bonds eligible for repos in the context of its liquidity management.

Breakdown residual maturity

We do not disclose amounts on the expected prepayment dates as such we have used the contractual maturity date for this table.

Current accounts and saving deposits are included in the column "At sight and on demand" even if they have no fixed repayment date.

All other assets and liabilities are split over the different periods according to the contractual cashflows characteristics.

1. 2020

A. Assets

	Breakdown of gross amount and premium/discount						Accrued interest	Changes in fair value and fair value of derivatives	Impairment	Total
(in thousands of EUR)	At sight and on demand	≤ 3 months	> 3 months and ≤ 1 year	> 1 year and ≤ 5 years	> 5 years	Un-determined maturity				
Cash and balances with central banks	25,434,132	0	0	0	0	0	(333)	0	0	25,433,799
Loans and advances due from credit institutions	11,746,424	73,672	21,596	66,874	6,750	36	(3,180)	0	(506)	11,911,665
Loans and advances	2,373,832	11,782,395	9,589,464	27,744,651	45,733,186	1,986,049	324,798	401,603	(1,827,928)	98,108,050
Debt securities & equity instruments	0	1,061,048	2,183,370	4,727,327	16,021,434	1,961,983	323,949	2,728,699	(158,946)	28,848,865
Unit linked products insurance activities	0	0	0	0	0	3,813,059	0	0	0	3,813,059
Derivatives	0	0	0	0	0	0	274,766	11,913,347	0	12,188,113
Gain/loss on the hedged item in portfolio hedge of interest rate risk	0	0	0	0	0	0	0	4,631,922	0	4,631,922
Investments in equity method companies	0	0	0	0	0	98,880	0	0	0	98,880
Tangible fixed assets	0	0	0	0	0	1,189,898	0	0	0	1,189,898
Intangible assets	0	0	0	0	0	195,833	0	0	0	195,833
Goodwill	0	0	0	0	0	103,966	0	0	0	103,966
Current tax assets	0	0	0	0	0	33,622	0	0	0	33,622
Deferred tax assets	0	0	0	0	0	369,769	0	0	0	369,769
Other assets	69,316	147,722	45,086	61,311	46,382	669,862	0	0	(1,388)	1,038,291
Non current assets (disposal group) held for sale and discontinued operations	0	0	0	0	0	31,266	0	0	(5,566)	25,700
TOTAL ASSETS	39,623,704	13,064,837	11,839,516	32,600,163	61,807,753	10,454,223	919,999	19,675,572	(1,994,334)	187,991,433
Regular way trade	0	2,327,283	104,161	0	0	70	0	0	0	2,431,514
Foreign exchange derivatives	0	7,603,714	5,382,112	3,598,100	15,631,987	0	0	0	0	32,215,913
CASH FLOW FROM DERIVATIVES AND REGULAR WAY TRADE	**0**	**9,930,997**	**5,486,273**	**3,598,100**	**15,631,987**	**70**	**0**	**0**	**0**	**34,647,427**
TOTAL	39,623,704	22,995,834	17,325,790	36,198,262	77,439,739	10,454,294	919,999	19,675,572	(1,994,334)	222,638,860

B. Liabilities

(in thousands of EUR)	Breakdown of gross amount and premium/discount						Accrued interest	Changes in fair value and fair value of derivatives	Impairment	Total
	At sight and on demand	≤ 3 months	> 3 months and ≤ 1 year	> 1 year and ≤ 5 years	> 5 years	Un-determined maturity				
Cash and balances from central banks	14,250,000	0	0	0	0	0	(76,482)	0	0	14,173,519
Credit institutions borrowings and deposits	4,382,476	557,684	24,003	29,229	16,853	0	(2,052)	0	0	5,008,193
Borrowings and deposits	78,883,496	15,046,554	58,967	644,563	622,724	27,550	48,926	5,196	0	95,337,975
Debt securities issued and other financial liabilities	0	498,933	3,605,710	12,239,588	7,745,858	1,331	129,657	181,120	0	24,402,198
Unit linked products insurance activities	0	0	0	0	0	3,813,059	0	0	0	3,813,059
Derivatives	0	0	0	0	0	0	811,179	17,498,977	0	18,310,156
Gain/loss on the hedged item in portfolio hedge of interest rate risk	0	0	0	0	0	0	0	373,447	0	373,447
Provisions and contingent liabilities	0	0	0	0	0	447,959	0	0	176,149	624,107
Provisions for insurance activities	0	303,561	903,926	4,160,585	7,291,305	0	0	0	0	12,659,377
Subordinated debts	0	0	0	233,445	742,209	157,000	18,027	0	0	1,150,681
Current tax liabilities	0	0	0	0	0	68,470	0	0	0	68,470
Deferred tax liabilities	0	0	0	0	0	16,190	0	0	0	16,190
Other liabilities	100,994	784,135	12,350	3,925	689	417,955	616	0	0	1,320,664
TOTAL LIABILITIES	97,616,966	17,190,867	4,604,957	17,311,335	16,419,639	4,949,514	929,871	18,058,739	176,149	177,258,036
Shareholders' core equity	0	0	0	0	0	9,815,490	0	0	0	9,815,490
Gains and losses not recognised in the statement of income	0	0	0	0	0	393,173	0	0	0	393,173
TOTAL SHAREHOLDERS' EQUITY	**0**	**0**	**0**	**0**	**0**	**10,208,663**	**0**	**0**	**0**	**10,208,663**
Additional Tier-1 instruments included in equity						497,083				497,083
Non-controlling interests						27,651				27,651
TOTAL EQUITY	0	0	0	0	0	10,733,397	0	0	0	10,733,397
TOTAL LIABILITIES AND EQUITY	97,616,966	17,190,867	4,604,957	17,311,335	16,419,639	15,682,911	929,871	18,058,739	176,149	187,991,433
Regular way trade	0	11,220,885	100,000	0	0	0	0	0	0	11,320,885
Foreign exchange derivatives	0	7,577,564	5,402,854	3,574,384	15,480,960	0	0	0	0	32,035,763
CASH FLOW FROM DERIVATIVES AND REGULAR WAY TRADE	**0**	**18,798,450**	**5,502,854**	**3,574,384**	**15,480,960**	**0**	**0**	**0**	**0**	**43,356,648**
TOTAL	97,616,966	35,989,316	10,107,811	20,885,719	31,900,599	15,682,911	929,871	18,058,739	176,149	231,348,081

C. Total liquidity gap

(in thousands of EUR)	Breakdown of gross amount and premium/discount					
	At sight and on demand	≤ 3 months	> 3 months and ≤ 1 year	> 1 year and ≤ 5 years	> 5 years	Undetermined maturity
Total liquidity gap	(57,993,262)	(12,993,482)	7,217,979	15,312,544	45,539,140	(5,228,617)

1. 2021

A. Assets

(in thousands of EUR)	Breakdown of gross amount and premium/discount						Accrued interest	Changes in fair value and fair value of derivatives	Impairment	Total
	At sight and on demand	≤ 3 months	> 3 months and ≤ 1 year	> 1 year and ≤ 5 years	> 5 years	Un-determined maturity				
Cash and balances with central banks	31,641,371	0	0	0	0	0	(434)	0	(590)	31,640,347
Loans and advances due from credit institutions	9,432,485	522,755	30,000	4,622	406,121	18,080	(2,503)	0	(323)	10,411,237
Loans and advances	2,329,396	12,567,710	10,379,567	28,330,188	48,012,810	2,247,142	312,086	265,427	(1,765,512)	102,678,814
Debt securities & equity instruments	0	1,545,391	1,029,403	4,203,878	15,453,184	2,040,934	294,393	2,802,422	(174,255)	27,195,351
Unit linked products insurance activities	0	0	0	0	0	4,245,672	0	0	0	4,245,672
Derivatives	0	0	0	0	0	0	454,891	8,454,148	0	8,909,039
Gain/loss on the hedged item in portfolio hedge of interest rate risk	0	0	0	0	0	0	0	3,651,783	0	3,651,783
Investments in equity method companies	0	0	0	0	0	96,107	0	0	0	96,107
Tangible fixed assets	0	0	0	0	0	1,614,068	0	0	0	1,614,068
Intangible assets	0	0	0	0	0	214,928	0	0	0	214,928
Goodwill	0	0	0	0	0	103,966	0	0	0	103,966
Current tax assets	0	0	0	0	0	27,073	0	0	0	27,073
Deferred tax assets	0	0	0	0	0	328,704	0	0	0	328,704
Other assets	65,447	171,455	123,192	62,090	60,876	510,599	0	15,276	(1,985)	1,006,950
Non current assets (disposal group) held for sale and discontinued operations	0	0	0	0	0	31,810	0	0	(5,305)	26,505
TOTAL ASSETS	43,468,700	14,807,311	11,562,162	32,600,778	63,932,991	11,479,084	1,058,432	15,189,055	(1,947,970)	192,150,543
Regular way trade	0	1,126,846	243	0	20	7,992	0	0	0	1,135,101
Foreign exchange derivatives	0	4,576,613	3,693,961	3,303,172	16,589,105	0	0	0	0	28,162,852
CASH FLOW FROM DERIVATIVES AND REGULAR WAY TRADE	0	**5,703,459**	**3,694,204**	**3,303,172**	**16,589,125**	**7,992**	**0**	**0**	**0**	**29,297,953**
TOTAL	43,468,700	20,510,771	15,256,366	35,903,951	80,522,116	11,487,076	1,058,432	15,189,055	(1,947,970)	221,448,496

B. Liabilities

(in thousands of EUR)	Breakdown of gross amount and premium/discount						Accrued interest	Changes in fair value and fair value of derivatives	Impairment	Total
	At sight and on demand	≤ 3 months	> 3 months and ≤ 1 year	> 1 year and ≤ 5 years	> 5 years	Un-determined maturity				
Cash and balances from central banks	15,650,000	0	0	0	0	0	(231,928)	0	0	15,418,072
Credit institutions borrowings and deposits	3,141,485	402,950	3,522	33,849	10,876	0	(1,647)	0	0	3,591,036
Borrowings and deposits	87,467,562	15,337,850	652,580	404,776	479,921	9,466	49,320	2,538	0	104,404,013
Debt securities issued and other financial liabilities	0	1,240,958	2,400,790	12,278,955	6,983,460	151	129,828	111,211	0	23,145,353
Unit linked products insurance activities	0	0	0	0	0	4,245,672	0	0	0	4,245,672
Derivatives	0	0	0	0	0	0	1,036,919	12,981,810	0	14,018,729
Gain/loss on the hedged item in portfolio hedge of interest rate risk	0	0	0	0	0	0	0	45,766	0	45,766
Provisions and contingent liabilities	0	0	0	0	0	366,909	0	0	162,263	529,173
Provisions for insurance activities	0	332,337	990,207	3,658,040	7,210,433	0	0	0	0	12,191,017
Subordinated debts	0	29,999	44,966	700,826	690,437	157,000	19,522	0	0	1,642,749
Current tax liabilities	0	0	0	0	0	41,682	0	0	0	41,682
Deferred tax liabilities	0	0	0	0	0	7,502	0	0	0	7,502
Other liabilities	69,512	780,734	11,565	45,625	254	468,698	643	0	0	1,377,031
Liabilities included in disposal group and discontinued operations	0	0	0	0	0	0	0	0	0	0
TOTAL LIABILITIES	106,328,559	18,124,829	4,103,630	17,122,072	15,375,381	5,297,079	1,002,657	13,141,326	162,263	180,657,795
Shareholders' core equity	0	0	0	0	0	10,560,172	0	0	0	10,560,172
Gains and losses not recognised in the statement of income	0	0	0	0	0	402,953	0	0	0	402,953
TOTAL SHAREHOLDERS' EQUITY	**0**	**0**	**0**	**0**	**0**	**10,963,126**	**0**	**0**	**0**	**10,963,126**
Additional Tier-1 instruments included in equity						497,083				497,083
Non-controlling interests						32,539				32,539
TOTAL EQUITY	0	0	0	0	0	11,492,748	0	0	0	11,492,748
TOTAL LIABILITIES AND EQUITY	106,328,559	18,124,829	4,103,630	17,122,072	15,375,381	16,789,827	1,002,657	13,141,326	162,263	192,150,543
Regular way trade	0	10,566,841	243	0	0	0	0	0	0	10,567,084
Foreign exchange derivatives	0	4,592,267	3,734,088	3,299,255	16,400,465	0	0	0	0	28,026,075
CASH FLOW FROM DERIVATIVES AND REGULAR WAY TRADE	**0**	**15,159,109**	**3,734,331**	**3,299,255**	**16,400,465**	**0**	**0**	**0**	**0**	**38,593,159**
TOTAL	106,328,559	33,283,937	7,837,961	20,421,326	31,775,845	16,789,827	1,002,657	13,141,326	162,263	230,743,702

C. Total liquidity gap

(in thousands of EUR)	Breakdown of gross amount and premium/discount					
	At sight and on demand	≤ 3 months	> 3 months and ≤ 1 year	> 1 year and ≤ 5 years	> 5 years	Undetermined maturity
Total liquidity gap	(62,859,859)	(12,773,167)	7,418,405	15,482,624	48,746,271	(5,302,752)

9.7. Currency risk and foreign exchange

1. Currency risk

(in thousands of EUR)	31/12/20 GBP	USD	Other	EUR	Total
Total assets	10,988,302	1,939,200	1,789,167	173,274,765	187,991,433
Total liabilities	5,063,342	2,842,930	2,469,889	166,881,875	177,258,036
Total equity	(103,039)	53,897	(4,932)	10,787,472	10,733,397
Of which gains and losses not recognised in the statement of income	(103,039)	53,897	(4,932)	447,040	392,965
Of which other equity	0	0	0	10,340,432	10,340,432
NET ON BALANCE POSITION	**6,027,999**	**(957,627)**	**(675,790)**	**(4,394,581)**	**0**
Off balance sheet – to receive	3,541,652	13,294,729	3,553,261	13,648,801	34,038,444
Off balance sheet – to deliver	9,661,274	12,230,420	2,769,564	9,192,808	33,854,066
OFF BALANCE SHEET – NET POSITION	**(6,119,621)**	**1,064,309**	**783,697**	**4,455,993**	**184,378**
NET POSITION	(91,623)	106,682	107,907	61,412	

(in thousands of EUR)	31/12/21 GBP	USD	Other	EUR	Total
Total assets	11,387,458	1,878,746	1,887,331	176,997,009	192,150,543
Total liabilities	4,639,189	3,126,566	2,278,000	170,614,040	180,657,795
Total equity	(148,995)	49,544	19,422	11,572,777	11,492,748
Of which gains and losses not recognised in the statement of income	(148,995)	49,544	18,051	484,145	402,746
Of which other equity	0	0	1,371	11,088,631	11,090,002
NET ON BALANCE POSITION	**6,897,263**	**(1,297,364)**	**(410,091)**	**(5,189,808)**	**0**
Off balance sheet – to receive	1,463,544	12,400,714	3,456,773	10,736,766	28,057,797
Off balance sheet – to deliver	8,391,342	11,030,021	2,881,568	5,614,066	27,916,998
OFF BALANCE SHEET – NET POSITION	**(6,927,798)**	**1,370,693**	**575,205**	**5,122,699**	**140,799**
NET POSITION	(30,535)	73,328	165,114	(67,109)	

Depending on the measurement of the asset, foreign exchange gains and losses are recognised in profit or loss "Net income from financial instruments at fair value through profit or loss" or in other comprehensive income. We refer to the accounting policies for more information.

2. Foreign exchange

		31/12/20		31/12/21	
		Closing rate	Average rate	Closing rate	Average rate
Australian dollar	AUD	1.5840	1.6580	1.5658	1.5775
Canadian dollar	CAD	1.5583	1.5380	1.4389	1.4786
Swiss franc	CHF	1.0802	1.0705	1.0369	1.0795
Koruna (Czech republic)	CZK	26.2490	26.5018	24.8595	25.6282
Danish krone	DKK	7.4410	7.4532	7.4366	7.4368
Euro	EUR	1.0000	1.0000	1.0000	1.0000
Pound sterling	GBP	0.8968	0.8881	0.8399	0.8581
Hong Kong dollar	HKD	9.4835	8.8968	8.8626	9.1790
Forint	HUF	363.5500	353.5867	369.0950	358.5446
Shekel	ILS	3.9325	3.9219	3.5250	3.8123
Yen	JPY	126.1950	121.9450	130.7700	130.3296
Mexican peso	MXN	24.3101	24.7375	23.2119	24.0423
Norwegian Krone	NOK	10.4556	10.7800	10.0256	10.1802
New Zealand dollar	NZD	1.6949	1.7601	1.6613	1.6729
Swedish krona	SEK	10.0204	10.4715	10.2894	10.1635
Singapore dollar	SGD	1.6179	1.5789	1.5329	1.5853
Turkish lira	TRY	9.0970	8.1650	15.1595	10.8164
US dollar	USD	1.2232	1.1470	1.1365	1.1807

9.8. Insurance Risk

1. Definition

Belfius Insurance, as a part of Belfius, takes up risk through the insurance contracts that it underwrites. The risks within the underwriting risk category are associated with both the exposure covered by the specific line of insurance (Life or Non-Life) and the specific processes associated with insurance business (claims processing, premium collection, pricing, selection, etc.).

The risks that apply to all lines of the insurance business can be globally categorised as follows:

Life underwriting risk: is the risk arising from the life insurance obligations, in relation to the perils covered and the processes used in the conduct of business. It is split up into:

- mortality risk, which is the risk that mortality increases. It applies to all undertakings for which the expected pay-outs increase when mortality increases;
- longevity risk is the opposite of the mortality risk. It applies to policies for which a fall in mortality would result in an increase in the expected payouts (e.g. pension policies). Improvements in medical treatments that prolong life without restoring the abilit y to work could cause these risks to materialise at a greater frequency than currently observed;
- morbidity or disability risk relates to the risk of loss or disadvantageous movement in expected benefits caused by changes in the level, nature, trend or volatility of the degree of disability;
- lapse risk for Life is described as the risk of loss or increase in pay-out caused to a difference between the effective exercise rate of the contractual options by the policyholder and the expected exercise rate. The term "options" should be viewed in the broad sense of the word: this submodule contains options in relation to redemption, cancellation or premium reduction, as well as the expansion of the guarantees. For some policies, exercise may be at the benefit of the insurance company, while for others it may result in a loss. As a result, this submodule features two scenarios: one in which the options are exercised more frequently than expected and another where they are exercised less frequently;
- expense risk corresponds with the risk that the expenses are higher than expected or that they subdue to higher inflation than expected;
- revision risk only applies for the annuities whose amounts may be valued negatively for the insurer as the result of a change in the statutory environment or in the policyholder's health situation;
- catastrophe risk is restricted to policies where an immediate and dramatic rise in mortality would result in an increase in benefits.

Non-Life underwriting risk: is the specific insurance risk arising from Non-Life insurance contracts. This uncertainty about the results of the insurer's underwriting could be defined as:

- premium risk which is the risk where the amount of premiums received is not sufficient to pay claims that occur during the coverage period to which the premiums relate to;
- reserve risk is the risk of loss or unfavourable change in the value of the insurance undertakings arising from changes in the frequency and severity of the insured events, as well as in the date and amount of the claims to be paid;
- catastrophe risk is the risk arising from unpredictable events including, but not limited to, windstorms, coastal inundation, floods, severe winter weather, and other weather-related events, pandemics, large-scale fires, industrial explosions, earthquakes and other man-made disasters such as civil unrest and terrorist attacks, that is not covered by the premiums or reserves.

Product design risk: is the risk of loss resulting from features, options or guarantees that were unanticipated in the design and pricing of the insurance product.

2. Managing the insurance risk

The Risk & Underwriting Committee gives recommendations about strategy in the area of underwriting and reserving for the insurance companies within Belfius Insurance and the resulting policy, in particular with regard to the following points:

- types and characteristics of the insurance business that Belfius Insurance is willing to manage:
- selection criteria for the risks that match the risk appetite;
- the way in which the actual underwriting is monitored;
- the managing between, on the one hand, the insurance premiums collected and, on the other, the claims to be paid out when costs are borne;
- identification of the risks arising from the undertakings of Belfius Insurance, including the implicit options and the capital that is guaranteed by the insurance products;
- making provisions for claims.

The overall strategy is developed by each concerned entity and is follow-up by the local persons in charge.

Reinsurance is one of the methods used to limit the insurance risk. The main objective of reinsurance is to reduce volatility in capital requirements and profits, and to diminish the uncertainty associated with the risk in the insurer's valuation.

The drivers of reinsurance are:

- capacity: reinsurance gives insurers greater flexibility in terms of scope, type of risk and business volume that they can safely accept. This enables insurers to embark on new business or to expand their activities for a short period;
- stability: structured reinsurance programmes enable insurers to stabilise their operating income;
- protection: reinsurance provides protection against cumulative financial losses caused by a succession of events (such as poor weather) or against significant financial losses arising from a single event;
- funding: reinsurance can be an alternative to a capital increase;
- expertise: reinsurers assist insurers in their area of expertise. The qualified staff of reinsurance companies offer their services, for instance in establishing a new business.

3. Sensitivities

Belfius Insurance evaluates the effect of sensitivities on available financial resources.

Given the low interest rates, the value of the technical reserves is higher than the redemption value, which results in a negative impact on capital in the event of a reduction in the lapse rate.

The review of cost assumptions has a negative impact on the available financial resources.

An increase of the mortality rates has a negative impact on available financial resources.

As for life activities, in non-life business, higher cost assumptions lead to a lower result. An increase of claims leads also to a lower result.

Underwriting risk Life: scenario that corresponds to[1]

	Impact on available financial resources before taxes	
(in millions of EUR)	31/12/20	31/12/21
An increase of 15% in mortality	(45.4)	(46.6)
An increase of 10% in costs + 1% inflation	(207.5)	(216.9)
A decrease of 10% in the redemption rate	(33.8)	(17.6)

(1) Scope: Belfius Insurance SA (= Belins solo), Branch 23 included)

Underwriting risk Non-Life: scenario that corresponds to[1]

	Impact on income before taxes	
(In millions of EUR)	31/12/20	31/12/21
An increase of 10% in administrative costs	(9.4)	(9.4)
An increase of 5% in claims made	(17.3)	(22.5)

(1) Scope: Belfius Insurance SA and Corona SA (= Belins conso).

4. Development of claims

The claims triangle is the usual method for expressing the settlement of non-life claims stretched out over a number of years. Inter alia it enables actuaries to assess the appropriateness of the non-life technical provisions. Between the event and closing date of a claim, the insurer assess the amount on total cost of the claim. During this period, the insurer establishes a reserve that equals to the estimated amount of future payments for the claim

Given the reserve is an estimate, there is a risk that the amount effectively paid is different (higher or lower). To assess that risk, it is necessary to study the variation of two amounts:

- the total of payments made prior to that date;
- the reserve established on that date for future payments.

The sum of these two components is called the total incurred claims cost.

The table below shows the evolution for Belfius Insurance SA and Corona SA since 2011 of the sum at the end of each year, of the total incurred claims cost per year of occurrence.

Claims development (excluding reinsurance and internal costs)

(In thousands of EUR)	Year of occurrence										
Year of settlement	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021
Estimation at the end of the year of occurrence	368,410	366,403	365,798	415,445	389,632	427,822	417,069	441,459	452,780	394,673	597,457
1 year later	365,547	350,517	324,524	392,976	361,479	402,910	396,145	431,019	438,787	379,779	
2 years later	355,306	334,313	312,883	381,044	353,512	385,904	377,854	430,883	432,209		
3 years later	350,249	329,882	306,454	374,836	351,551	379,367	377,418	428,287			
4 years later	352,804	328,046	303,051	371,983	345,737	374,251	391,779				
5 years later	350,780	323,899	301,179	369,929	346,817	378,007					
6 years later	351,335	319,633	297,842	370,320	347,091						
7 years later	344,245	317,895	295,826	369,063							
8 years later	341,644	313,659	296,886								
9 years later	338,422	315,012									
10 years later	339,999										

(In thousands of EUR)											
Actual estimation	339,999	315,012	296,886	369,063	347,091	378,007	391,779	428,287	432,209	379,779	597,457
Cumulative payments	(307,403)	(279,180)	(261,957)	(322,441)	(286,351)	(306,915)	(293,577)	(321,644)	(320,140)	(260,550)	(265,343)
Actual provisions	32,596	35,832	34,929	46,622	60,740	71,092	98,202	106,642	112,069	119,229	332,114

(In thousands of EUR)	
Provisions (after 2011)	1,050,068
Provisions (before 2011)	158,780
Internal costs	49,433
Accepted deals	18,737
TOTAL(1)	**1,277,018**

(1) Claims reserves 31 December 2021 - note 6.5.2.

X. Notes on the significant changes in scope of consolidation and list of subsidiaries and affiliated enterprises of Belfius

10.1. Significant changes in scope of consolidation

(Only those changes that have a material impact (i.e. an impact of more than 1% of balance sheet total and/or P&L) have been reported).

1. As at 31 December 2020

Belfius acquired a stake of 32.63% in Skipr, a mobility software solution for professionals, which enables its users to manage, plan, book and pay for their mobility requirements. The investment is consolidated using the equity method.

Belfius acquired a stake of 33.33% in Fairville through the incorporation of certain assets of its wholly owned subsidiary, The Studio. This new partnership allows Belfius to accelerate the development of sustainable digital local citizen services. The subsidiary is consolidated using the equity method.

Belfius sold its fully consolidated subsidiary BrightKnight.

In 2020 Belfius Insurance injected an additional EUR 3 million into Jaimy, which increased its shareholding to 89.19%. Furthermore, Belfius Insurance also injected an additional EUR 3 million into Jane, which increased its shareholding to 87.97%. These investments ensure that the entities can further develop and commercially expand in their respective markets.

Belfius Insurance continues to invest in direct property and purchased the real estate companies, Immo Sint Michel and Philadelphus. Both entities are fully consolidated. Furthermore, Belfius Insurance acquired a stake of 48.03% in the real estate investment company, Vicinity Affordable Housing Fund. This investment is consolidated using the equity method.

The investment company, Auxipar, changed its name to Capline on 4 February 2020.

2. As at 31 December 2021

Belfius acquired a 30% equity stake in Immovlan (alongside the Rossel Group (35%) and Roularta Group (35%)) with a view to create a reference real estate platform on the Belgian market. The aim is to combine digital expertise and diversify service offerings in residential real estate. The investment is consolidated using the equity method.

Belfius, together with BNP Paribas Fortis, ING and KBC, founded Batopin in March 2020. Batopin offers an independent neutral network of ATMs which will replace the existing ATMs. After a capital increase in September 2021, Belfius consolidates it's stake of 25% in Batopin via the equity method. Belfius' total investment amounts to EUR 4.5 million.

In 2021, Belfius Insurance injected additional capital of EUR 2 million into Jaimy, as such increasing its shareholding to 92.07%. Furthermore, in 2021 Belfius Insurance injected additional capital of EUR 3 million into Jane, as such increasing its shareholding to 92.67%. These investments ensure that the entities can further develop and commercially expand in their respective markets.

Belfius Insurance acquired a 100% stake in the real estate company, Alysea, in February 2021, for a total amount of EUR 37 million.

Belfius Insurance acquired a dedicated fund, Belfius Euro Loans as of June 2021 for an amount of EUR 10 million. Belfius Euro Loans invests in European leveraged loans. Belfius holds 99.99% of the parts, the investment is fully consolidated since June 2021.

M80 Capital, a participation consolidated via the equity method, was deconsolidated in March 2021 as our shareholders' interest got diluted to 18.7%.

Belfius Insurance acquired a 100% stake in the real estate company, MC^2, in January 2022, for a total amount of EUR 8 million.

Team Cyclis changed its name to Cyclis Bike Lease on 25 February 2021.

10.2. Acquisitions and disposals of consolidated companies

1. Main acquisitions

A. Year 2020

The real estate company Immo Saint Michel was purchased by Belfius Insurance and is fully consolidated since March 2020.

The real estate company Philadelphus was purchased by Belfius Insurance and is fully consolidated since June 2020.

In June 2020 Belfius acquired 32.63% in Skipr, a mobility software solution for professionals which enables its users to manage, plan, book and pay for their mobility requirements. The investment is consolidated using the equity method as from June 2020.

Belfius acquired a stake of 33.33% in Fairville through the incorporation of certain assets of its fully owned subsidiary The Studio. This new partnership allows Belfius to accelerate the development of sustainable digital local citizen services, the subsidiary is consolidated using the equity method from December 2020.

Belfius Insurance acquired a stake of 48.03% in the real estate investment company Vicinity Affordable Housing Fund. This investment is consolidated using the equity method from December 2020.

The assets and liabilities acquired were as follows:

	2020				
(in thousands of EUR)	Immo Saint Michel	Philadelphus	Skipr	Fairville	Vicinity
Loans and advances due from credit institutions	390	409			
Debt securities & equity instruments					
Investments in equity method companies			6,000	792	20,000
Tangible fixed assets		39,749			
Tax assets		38			
Other assets	4,132	642			
Borrowings and deposits		(19,401)			
Tax liabilities	(9)				
Other liabilities	(16)	(389)			
NET ASSETS	**4,497**	**21,049**	**6,000**	**792**	**20,000**
Group share	4,497	21,049	6,000	792	20,000
Already in possession of the Group					
Purchase price (in cash)	4,497	21,049	6,000	792	20,000
Less: cost of the transaction					
Less: cash and cash equivalents in the subsidiary acquired	(390)				
NET CASH OUTFLOW THROUGH ACQUISITION	**4,107**	**21,049**	**6,000**	**792**	**20,000**

B. Year 2021

Belfius acquired a 30% equity stake in Immovlan. The investment is consolidated using the equity method.

After a capital increase in September 2021, Belfius consolidates it's stake of 25% in Batopin via the equity method. Belfius' total investment amounts to EUR 4.5 million (of which EUR 1.9 million uncalled capital).

Belfius Insurance acquired a 100% stake in the real estate company, Alysea, in February 2021, for a total amount of EUR 37 million.

Belfius Insurance acquired a dedicated fund, Belfius Euro Loans, in which it holds 99.99% of the parts. The investment is fully consolidated since June 2021.

The assets and liabilities acquired were as follows:

	2021			
(in thousands of EUR)	Alysea	Immovlan	Belfius Euro Loans	Batopin
Loans and advances due from credit institutions	305	0	10,001	0
Loans and advances	0	0	8,638	0
Debt securities & equity instruments	0	0	0	0
Investments in equity method companies	0	6,600	0	2,625
Tangible fixed assets	46,878	0	0	0
Tax assets	0	0	3	0
Other assets	13	0	0	0
Borrowings and deposits	(10,020)	0	0	0
Tax liabilities	(8)	0	(0)	0
Other liabilities	(28)	0	(8,641)	0
NET ASSETS	**37,139**	**6,600**	**10,001**	**2,625**
Group share	37,139	6,600	10,000	2,625
Already in possession of the Group	0	0	0	(2,000)
Purchase price (in cash)	37,139	6,600	10,000	625
Less: cost of the transaction	0	0	0	0
Less: cash and cash equivalents in the subsidiary acquired	(305)	0	(10,001)	0
NET CASH OUTFLOW THROUGH ACQUISITION	**36,834**	**6,600**	**(1)**	**625**

2. Main disposals

A. Year 2020

Belfius sold its investments in "Brightknight".

The assets and liabilities were as follows:

	2020
(in thousands of EUR)	Brightknight
Loans and advances due from credit institutions	131
Debt securities & equity instruments	
Investments in equity method companies	
Tangible fixed assets	13
Tax assets	
Other assets	204
Borrowings and deposits	
Tax liabilities	(23)
Other liabilities	(207)
NET ASSETS	**118**
Proceeds from sale (in cash)	550
Less: cost of the transaction	
Less: Cash and cash equivalents in the subsidiary sold	
NET CASH INFLOW ON SALE	**550**

B. Year 2021

The Company M80 was deconsolidated since March 2021.

The assets and liabilities disposed were as follows:

(in thousands of EUR)	2021 M80
Investments in equity method companies	15,883
Other assets	
Other liabilities	
NET ASSETS	15,883

3. Assets and liabilities included in disposal groups held for sale and discontinued operations

A. Year 2020

As at 31 December 2020 no subsidiaries were recorded as "Non current assets (disposal group) held for sale and discontinued operations".

B. Year 2021

As at 31 December 2021 no subsidiaries were recorded as "Non current assets (disposal group) held for sale and discontinued operations".

10.3. Subsidiaries, equity-accounted enterprises, affiliated enterprises and enterprises in which the group holds rights representing at least 20% of the issued capital

1. Fully-consolidated subsidiaries

Name	Head Office	% of capital held[1]	Business code
Alysea SA	Rue de l'Industrie 20 L-8399 Windhof	100	31
Belfius Asset Finance Holding SA	Place Charles Rogier 11 B-1210 Bruxelles	100	10
Belfius Auto Lease SA	Place Charles Rogier 11 B-1210 Bruxelles	100	5
Belfius Commercial Finance SA	Place Charles Rogier 11 B-1210 Bruxelles	100	15
Belfius Euro Loans	Avenue Kléber 5 F-75016 Paris	99.99	10
Belfius Financing Company SA	Rue de l'Industrie 20 L-8399 Windhof	100	49
Belfius Immo SA	Place Charles Rogier 11 B-1210 Bruxelles	100	31
Belfius Insurance SA	Place Charles Rogier 11 B-1210 Bruxelles	100	28
Belfius Insurance Services Finance SA	Rue de l'Industrie 20 L-8399 Windhof	100	21
Belfius Investment Partners SA	Place Charles Rogier 11 B-1210 Bruxelles	100	19
Belfius Ireland Unltd	23 Shelbourne Road Ballsbridge Dublin 4 IE 4886676 P	100	49
Belfius Lease SA	Place Charles Rogier 11 B-1210 Bruxelles	100	5
Belfius Lease Services SA	Place Charles Rogier 11 B-1210 Bruxelles	100	5
Capline SA	Place Charles Rogier 11 B-1210 Bruxelles	74.99	10
Caring people SA	Place Charles Rogier 11 B-1210 Bruxelles	100	30
Coquelets SA	Place Charles Rogier 11 B-1210 Bruxelles	100	31
Corona SA	Place Charles Rogier 11 B-1210 Bruxelles	100	28
Crefius SA	Place Charles Rogier 11 B-1210 Bruxelles	100	6
Dexia Secured Funding Belgium SA	Place Charles Rogier 11 B-1210 Bruxelles	10	49
Elantis SA	Rue des Clarisses 38 B-4000 Liège	100	6
ImmoActivity SA	Place Charles Rogier 11 B-1210 Bruxelles	100	31
Immo Malvoz SRL	Place Charles Rogier 11 B-1210 Bruxelles	100	31
Immo Sint-Michel SA	Place Charles Rogier 11 B-1210 Bruxelles	100	31
Immo Trèfles SRL	Place Charles Rogier 11 B-1210 Bruxelles	100	31
Immo Zeedrift SA	Place Charles Rogier 11 B-1210 Bruxelles	100	31
Interfinance SCRL	Place Charles Rogier 11 B-1210 Bruxelles	74.99	10
Jaimy SA	Place Charles Rogier 11 B-1210 Bruxelles	92.07	47
Jane SA	Place Charles Rogier 11 B-1210 Bruxelles	92.67	47
Legros Renier - Les Amarentes Seigneurie de Loverval SA	Place Charles Rogier 11 B-1210 Bruxelles	100	31
LFB SA	Place Charles Rogier 11 B-1210 Bruxelles	100	31
Mercurius Funding SA	Place Charles Rogier 11 B-1210 Bruxelles	5	49

(1) Percentage of capital held by holding company.

Name	Head Office	% of capital held(1)	Business code
Offico Immo SRL	Place Charles Rogier 11 B-1210 Bruxelles	100	31
Penates Funding SA	Rue Royale 97 b4 B-1000 Bruxelles	10	49
Philadelphus SA	Place Charles Rogier 11 B-1210 Bruxelles	100	31
The Studio SA	Place Charles Rogier 11 B-1210 Bruxelles	100	34

(1) Percentage of capital held by holding company.

There are no significant restrictions on the subsidiaries, on their ability to access or use assets, and settle liabilities, of the group.

2. Non-consolidated subsidiaries

Name	Head Office	% of capital held(1)	Reason for exclusion	Business code
Belfius Fiduciaire SA	Place Charles Rogier 11 B-1210 Bruxelles	100	non-significant	23
Belfius Part SA	Place Charles Rogier 11 B-1210 Bruxelles	100	non-significant	10
Fynergie SA	Place Charles Rogier 11 B-1210 Bruxelles	100	non-significant	32
Immo Tumulis SRL	Place Charles Rogier 11 B-1210 Bruxelles	100	non-significant	31
Qualitass NV	Vilvoordsesteenweg 166 B-1850 Grimbergen	100	non-significant	30
Service Communal de Belgique SCI	Avenue Louise 106 B-1050 Bruxelles	63.59	in liquidation	47
VDL - Interass NV	Brusselsesteenweg 346C B-9090 Melle	100	non-significant	30

(1) Percentage of capital held by holding company.

3. Associated companies accounted for by the equity method

Name	Head Office	% of capital held(1)	Business code
Bancontact Payconiq Company SA	Rue d'Arlon 82 B-1040 Bruxelles	22.5	48
Batopin SA	Boulevard Saint-Lazare 10 B-1210 Bruxelles	25	21
Cyclis Bike Lease NV	Nieuwe Dijk 34 B-3920 Lommel	47.45	5
De Haan Vakantiehuizen NV	Woluwedal 46 B-1200 Woluwe-Saint-Lambert	25	31
EPC SCRL (Economie Populaire de Ciney)	Rue Edouard Dinot 32 B-5590 Ciney	61.37	33
Erasmus Gardens SA	Avenue Hermann-Debroux 42 B-1160 Bruxelles	50	31
Fairville NV	Steenweg Deinze 154 B-9810 Nazareth	33.33	34
Immovlan SRL	Rue de la Fusée 50 B-1130 Bruxelles	30	32
Isabel SA	Boulevard de l'Impératrice 13-15 B-1000 Bruxelles	24	39
SKIPR NV	Rue du Mail 50 B-1050 Bruxelles	27.20	34
Vicinity Affordable Housing Fund CV	Rue du Gruyer 50 B-1170 Watermael-Boitsfort	45.83	12

(1) Percentage of capital held by holding company.

4. Associated companies not accounted for by the equity method

Name	Head Office	% of capital held[1]	Reason for exclusion	Business code
Assurcard NV	Fonteinstraat 1A Bus 0301 B-3000 Leuven	20	non-significant	34
Banking Funding Company SA	Rue d'Arlon 82 B-1040 Bruxelles	21.62	non-significant	48
Batopar	Boulevard Saint-Lazare 10 B-1210 Bruxelles	25	non-significant	21
Bedrijvencentrum Regio Mechelen NV	De Regenboog 11 B-2800 Mechelen	24.33	non-significant	41
Beekcant BV	Fabrieksweg 13 B-3190 Boortmeerbeek	30	non-significant	31
Belwing SA	Avenue Maurice-Destenay 13 B-4000 Liège	20	non-significant	10
BF3 Belgium SAS	Rue de Balzac 23 F-75008 Paris	33.33	non-significant	10
Bizimmo SA	Boulevard du Souverain 68 bte 9 B-1170 Watermael-Boisfort	50	non-significant	31
Buildingnest SA	Boulevard du Souverain 68 bte 9 B-1170 Watermael-Boisfort	50	non-significant	31
Canius I CVA	Begijnhof 58 B-3800 Sint-Truiden	24.71	non-significant	16
Canius II CVA	Begijnhof 58 B-3800 Sint-Truiden	42.86	non-significant	16
Corfius Immo NV	Industrielaan 18 B-3730 Hoeselt	50	non-significant	31
Frunpark Parndorf GmbH	Rathen 20 A-4081 Hartkirchen	25	non-significant	32
Groene Poort Dreef NV	Westlaan 120 B-8800 Roeselare	50	non-significant	31
Grensstraat BV	Fabrieksweg 13 B-3190 Boortmeerbeek	50	non-significant	31
IDE Lux Finances SCRL	Drève de l'Arc-en-Ciel 98 B-6700 Arlon	36.87	non-significant	16
Imsol NV	Borsbeeksesteenweg 26 B-2000 Antwerpen	39.98	non-significant	31
Inforum G.I.E.	Rue d'Arlon 53 bte 4 B-1040 Bruxelles	50	non-significant	41
Justinvest NV	Heistraat 129 B-2610 Antwerpen	33.33	non-significant	32
Kuborn Real Estate NV	Avenue Maurice 8 B-1050 Bruxelles	20	non-significant	32
Letsgo City SA	Boulevard Piercot 44 B-4000 Liège	25.61	non-significant	34
NEB Foncière SA	Rue Louvrex 95 B-4000 Liège	20.49	non-significant	31
1App SRL	Rue Boi-Eloi 34 B-1380 Lasne	30	non-significant	62
Partners Through Innovation SA	Place Charles Rogier 11 B-1210 Bruxelles	25.10	non-significant	34
Rabot Invest NV	Heistraat 129 B-2610 Antwerpen	25	non-significant	32
R.E.D. Laboratories NV	Z1. Researchpark 100 B-1731 Zellik	22.20	non-significant	33
Société Mixte de Développement Immobilier SA	Avenue Maurice Destenay 13 B-4000 Liège	25.04	non-significant	32
Syneco Agence Conseil ASBL	Rue des Glaces Nationales 169 B-5060 Sambreville	20	non-significant	47
TDP NV	Karel Oomsstraat 37 B-2018 Antwerpen	50	non-significant	47
Tervuren Square SA	Franklin Rooseveltlaan 11 B-1150 Bruxelles	25	non-significant	31
The Birdhouse CVBA	Kortrijksesteenweg 1070 B-9051 Sint-Denijs-Westrem	22.3	non-significant	47
Wandelaar Invest SA	Rue du Vieux Marché aux Grains 63 B-1000 Bruxelles	25	non-significant	5
Wood Gardens SA	Hermann-Debrouxlaan 40-42 B-1160 Bruxelles	50	non-significant	31

(1) Percentage of capital held by holding company.

5. Belfius Bank Branches (not consolidated)

As a result of the amended company legislation, the legal form of the Belfius branches has been converted from Cooperative Society (CVBA/SCRL) to Limited Liability Company (Commanditaire Vennootschap (CommV)/ Société en commandite (SComm)) as from 2020. At the same time, the name Belfius was removed from the corporate name of each agent listed here.

Name	Head Office	% of capital held(1)	Business code
Agent de banque et d'assurances Ardenne -Spa - Pays de Herve SComm	Place du Marché 22 B-4651 Battice	26	4
Agent de banque et d'assurances Ardenne et Famenne SComm	Avenue de Bouillon 16 B-6800 Libramont-Chevigny	23.63	4
Agent de banque et d'assurances Auderghem-Boitsfort SComm	Boulevard du Souverain 282 B-1160 Bruxelles	25.08	4
Agent de banque et d'assurances Borinage Scomm	Rue J. Dufrane 3-5 B-7080 Frameries	26	4
Agent de banque et d'assurances Brussels City Center SComm	Place Stéphanie 8 B-1050 Bruxelles	24.76	4
Agent de banque et d'assurances Brussels East SComm	Rue des Champs 6 B-1040 Bruxelles	20.22	4
Agent de banque et d'assurances Brussels North SComm	Boulevard de Smet de Nayer 2a B-1090 Bruxelles	26	4
Agent de banque et d'assurances Charleroi Centre & Villes SComm	Boulevard Joseph Tirou 76-82 B-6000 Charleroi	26	4
Agent de banque et d'assurances Cœur du Hainaut SComm	Rue Albert 1er 23 B-7100 La Louvière	26	4
Agent de banque et d'assurances Condroz-Famenne SComm	Rue Saint-Eloi 1 B-5590 Ciney	25.16	4
Agent de banque et d'assurances Entre Sambre & Meuse SComm	Rue de France 50-52 B-5600 Philippeville	21.67	4
Agent de banque et d'assurances Fléron - Visé SComm	Rue Saint-Hadelin 1 B-4600 Visé	26	4
Agent de banque et d'assurances Hesbaye SComm	Grand'Place 5 B-4280 Hannut	26	4
Agent de banque et d'assurances Liège City-Airport SComm	Rue des Mineurs 12 B-4000 Liège	26	4
Agent de banque et d'assurances Liège Nord & Est SComm	Chaussée de Tongres 391 B-4000 Liège	26	4
Agent de banque et d'assurances Meuse-Ourthe-Amblève SComm	Place Joseph Thiry 47 B-4920 Aywaille	26	4
Agent de banque et d'assurances Namur Capitale SComm	Rue de Marchovelette 1 B-5030 Gembloux	26	4
Agent de banque et d'assurances Nivelles-Tubize SComm	Rue de Nivelles 30 B-1480 Tubize	25.16	4
Agent de banque et d'assurances Nord Picardie SComm	Rue de la Station 39 Boîte 41 B-7700 Mouscron	24	4
Agent de banque et d'assurances Hainaut Capitale SComm	Avenue Jean d'Avesnes 9 B-7000 Mons	26	4
Agent de banque et d'assurances Porte du Brabant SComm	Place Franklin D. Roosevelt 42/43 B-6180 Courcelles	26	4
Agent de banque et d'assurances Région Huy-Andenne SComm	Avenue du Bosquet 41 boîte 11 B-4500 Huy	26	4
Agent de banque et d'assurances Sille & Dendre SComm	Grand Place 72 B-7850 Enghien	26	4
Agent de banque et d'assurances Sud - Luxembourg SComm	Rue d'Alba 1 B-6700 Arlon	26	4
Agent de banque et d'assurances Tournai-Val de Verne SComm	Rue Royale 105/107/109 B-7500 Tournai	26	4
Agent de banque et d'assurances Val de Sambre SComm	Rue de Falisolle 401 B-5060 Sambreville	21.37	4
Agent de banque et d'assurances Hainaut Sud-Ouest SComm	Rue Grande 49 B-7380 Quiévrain	26	4
Agent de banque et d'assurances Vallée de la Dyle SComm	Place Alphonse Bosch 15 B-1300 Wavre	21.67	4
Agent de banque et d'assurances Waterloo SComm	Chaussée de Bruxelles 306 B-1410 Waterloo	26	4
Bank- en verzekeringsagent Antwerpen Zuid CommV	Grote Steenweg 456 B-2600 Berchem	26	4
Bank- en verzekeringsagent Brugs Ommeland CommV	Dorpsstraat 8 B-8200 Brugge Sint-Michiels	26	4
Bank- en verzekeringsagent Centrum - West CommV	Hendrik Consciencestraat 23 bus 6 B-8800 Roeselare	26	4

(1) Percentage of capital held by holding company.

Name	Head Office	% of capital held(1)	Business code
Bank- en verzekeringsagent Durmevallei CommV	Marktplein 3 B-9220 Hamme (O.-VL.)	26	4
Bank- en verzekeringsagent Hageland Noord CommV	Bogaardenstraat 26 B-3200 Aarschot	26	4
Bank- en verzekeringsagent Kempen Noord CommV	Bredabaan (Gooreind) 423 B-2990 Wuustwezel	26	4
Bank- en verzekeringsagent Kempen Oost CommV	Hertog Janplein 45 B-3920 Lommel	26	4
Bank- en verzekeringsagent Klein Brabant CommV	Nieuwstraat 21 B-2830 Willebroek	26	4
Bank- en verzekeringsagent Kortrijk - Menen - Ieper CommV	Wijngaardstraat 52 B-8500 Kortrijk	26	4
Bank- en verzekeringsagent Leuven CommV	Brusselsestraat 2 B-3000 Leuven	26	4
Bank- en verzekeringsagent Midden Limburg CommV	Dorpsstraat 1A B-3530 Houthalen-Helchteren	26	4
Bank- en verzekeringsagent Netevallei CommV	Grote Markt 13 B-2500 Lier	26	4
Bank- en verzekeringsagent Noord-Brabant CommV	Kattestraat 2 B-1730 Asse	23.29	4
Bank- en verzekeringsagent Regio Aalst CommV	Stationsstraat 4 B-9300 Aalst	26	4
Bank- en verzekeringsagent Regio Antwerpen Oost CommV	André Hermanslaan 1 B-2100 Deurne	26	4
Bank- en verzekeringsagent Regio Dendermonde-Buggenhout CommV	Kerkstraat 64-66 B-9200 Dendermonde	26	4
Bank- en verzekeringsagent Regio Zuid-Oost Vlaanderen CommV	Marktplein 36 B-9520 Sint-Lievens-Houtem	26	4
Bank- en verzekeringsagent Regio Genk-Hoge Kempen CommV	Fruitmarkt 7 B-3600 Genk	26	4
Bank- en verzekeringsagent Regio Gent CommV	Zonnestraat 23-25 B-9000 Gent	26	4
Bank- en verzekeringsagent Regio Hasselt CommV	Havermarkt 36-38 B-3500 Hasselt	26	4
Bank- en verzekeringsagent Regio Leie-Schipdonk CommV	Volhardingslaan 72 (bus 1) B-9800 Deinze	26	4
Bank- en verzekeringsagent Regio Mechelen CommV	Grote Markt 31 B-2800 Mechelen	26	4
Bank- en verzekeringsagent Regio Mortsel Kontich CommV	Mechelsesteenweg 56 B-2640 Mortsel	26	4
Bank- en verzekeringsagent Regio Noord-Antwerpen CommV	Antwerpsesteenweg 49 B-2950 Kapellen	26	4
Bank- en verzekeringsagent Oost Limburg CommV	Fruitmarkt 7 B-3600 Genk	26	4
Bank- en verzekeringsagent Regio Oostende-Knokke CommV	Lippenslaan 74 B-8300 Knokke-Heist	26	4
Bank- en verzekeringsagent Regio Sint-Niklaas CommV	Hendrik Heymanplein 9 B-9100 Sint-Niklaas	26	4
Bank- en verzekeringsagent Regio Turnhout-Hoogstraten CommV	Vrijheid 109 B-2320 Hoogstraten	26	4
Bank- en verzekeringsagent Scheldeland CommV	Kalkendorp 21 B-9270 Laarne	26	4
Bank- en verzekeringsagent Tienen - Sint-Truiden CommV	Clockemstraat 38 B-3800 Sint-Truiden	26	4
Bank- en verzekeringsagent Vilvoorde-Tervuren CommV	Portaelsplein 68 B-1800 Vilvoorde	26	4
Bank- en verzekeringsagent Waregem-Vlaamse Ardennen CommV	Nederstraat 17 B-9700 Oudenaarde	26	4
Bank- en verzekeringsagent Westkust CommV	Kerkstraat 58 B-8430 Middelkerke	26	4
Bank- en verzekeringsagent Zoniënwoud CommV	Avenue Brugmann 247 B-1180 Bruxelles	19.50	4
Bank- en verzekeringsagent Zottegem-Zuidrand Gent CommV	Heldenlaand 22 B-9620 Zottegem	26	4
Bank- en verzekeringsagent Zuid-Brabant CommV	Pastorijstraat 17 B-1600 Sint-Pieters-Leeuw	26	4
Bank- en verzekeringsagent Zuid-Oost-Limburg CommV	Visésteenweg 204 (Bus 1) B-3770 Riemst	26	4

(1) Percentage of capital held by holding company.

Business code

1. Bank, credit institution	27. Captive reinsurance
2. Private savings bank	28. General insurance
3 Government credit institution	29. Financial product agency and broking
4. Banking agency	30. Insurance agency and broking
5. Leasing	31. Real estate (proprietary portfolio)
6. Home loans	32. Real estate agency (third party)
7. Development capital	33. Health and welfare
8. Consumer credits	34. Computer business / Information Technology
9. Other lending activities	35. Banking associations
10. Investment company	36. Other associations
11. Stock broking	37. Sewage, road cleaning and maintenance and waste management
12. Variable capital investment company	38. Recreation
13. Mutual funds	39. Telecommunications
14. Fund manager	40. Transportation
15. Factoring	41. Other services
16. Infrastructure and construction financing	42. Energy
17. Other specific financing	43. Economic development
18. Financial market administration	44. Water
19. Asset and portfolio management, financial advisory services	45. Book publishing and multimedia
20. Financial engineering, consultancy, financial research	46. Research and development
21. Other professional services in financial sector	47. Other service activities
22. Guarantee company	48. Production, management, distribution of computerized payment media
23. Trust company	49. Financing
24. Wisselkantoor	50. Merchant banking
25. Life insurance	
26. Non-life insurance	

10.4. Involvement with unconsolidated structured entities

1. The nature, purpose, and activities of a structured entity

Belfius' involvement with unconsolidated structured entities is mainly from an investor's perspective. The purpose is to generate a stable interest margin from these investments.

Belfius has the following types of exposures to unconsolidated structured entities in its portfolio (mainly stemming from the former Side portfolio):

- Mortgage backed securities (MBS): these structured entities invest in residential and/or commercial mortgage loans which are financed through the issue of notes. Belfius has invested in the most senior tranches.
- Asset Backed Securities (ABS): these entities invest in loans, debt securities, leases and/or receivables which are financed through the issue of notes. Belfius has invested in the most senior tranches.
- Multi issuer covered bonds: these structured entities are set up by several banks, each participating for a certain percentage in the covered pool.
- Derivatives: Belfius has some derivatives with unconsolidated structured entities such as Credit Default Swaps, Total Return Swaps and Interest Rate Swaps.

Refer to note 12. "Securitisation".

2. Amounts concerned

(in thousands of EUR)	2020 Carrying amount	2020 Maximum credit risk exposure
FINANCIAL ASSETS	**903,314**	**975,248**
Financial assets held for trading	311,322	387,702
Non-trading financial assets mandatorily at fair value through profit or loss	16,432	16,432
Financial assets designated at fair value through profit or loss	0	0
Financial assets at fair value through other comprehensive income	14,504	14,504
Financial assets at amortised cost	561,056	556,610
Derivatives – Hedge accounting	0	0
FINANCIAL LIABILITIES	**1,144**	**0**
Financial liabilities held for trading	1,144	0
Financial liabilities measured at fair value through profit or loss	0	0
Financial liabilities at amortised cost	0	0
Derivatives hedge accounting	0	0
OFF-BALANCE SHEET ITEMS – GIVEN	**0**	**0**
Loan commitments – given	0	0
Financial guarantees – given	0	0

(in thousands of EUR)	2021 Carrying amount	2021 Maximum credit risk exposure
FINANCIAL ASSETS	**851,470**	**1,034,151**
Financial assets held for trading	423,105	639,142
Non-trading financial assets mandatorily at fair value through profit or loss	0	0
Financial assets designated at fair value through profit or loss	0	0
Financial assets at fair value through other comprehensive income	11,241	11,241
Financial assets at amortised cost	417,124	383,769
Derivatives – Hedge accounting	0	0
FINANCIAL LIABILITIES	**0**	**0**
Financial liabilities held for trading	0	0
Financial liabilities measured at fair value through profit or loss	0	0
Financial liabilities at amortised cost	0	0
Derivatives hedge accounting	0	0
OFF-BALANCE SHEET ITEMS – GIVEN	**0**	**0**
Loan commitments – given	0	0
Financial guarantees – given	0	0

XI. Related parties transactions

The standard IAS 24 "Related Parties Disclosures" provides a partial exemption from the disclosure requirements for government related entities. Consequently these government related entities are not included in the table "Related parties transactions". The exposure of Belfius on for instance Belgian Government bonds can be found in the chapter "Risk Management" of the management report.

1. Related parties transactions

	Directors and key management personnel[1]		Subsidiaries'[2]	
(in thousands of EUR)	31/12/20	31/12/21	31/12/20	31/12/21
Loans[3]	2,738	2,273	6,095	3,646
of which impaired loans stage 3	0	0	0	0
Interest income	34	27	212	248
Deposits and debt securities[3]	10,128	10,568	9,944	12,037
Interest expense	(3)	(3)	(0)	(0)
Net commission	0	0	87	235
Guarantees issued and commitments provided by the Group[4]	0	0	9	2,650
Guarantees and commitments received by the Group	5,543	5,041	0	28

	Associates		Joint ventures in which the entity is a venturer	
(in thousands of EUR)	31/12/20	31/12/21	31/12/20	31/12/21
Loans[3]	289,445	286,949	5,906	12,865
of which impaired loans stage 3	0	0	0	0
Interest income	5,454	4,921	172	273
Deposits and debt securities[3]	72,950	75,544	2,233	2,564
Interest expense	(2)	(2)	(0)	(0)
Net commission	(661)	(2,018)	33	221
Guarantees issued and commitments provided by the Group[4]	227,836	215,647	3,791	53,628
Guarantees and commitments received by the Group	104,510	113,328	55	83

(1) Key management includes the Board of Directors and the Managing Board, as well as these persons' children and spouses or domestic partners and children of these persons' spouses or domestic partners.
(2) The amounts reported relate to transactions with subsidiaries that are not consolidated due to immateriality.
(3) Transactions with related parties are concluded at general market conditions.
(4) Unused lines granted.

2. Key management compensations[1]

(in thousands of EUR)	31/12/20	31/12/21
Short-term benefits[2]	4,319	4,286
Post-employment benefits	0	0
Other long-term benefits	637	662
Termination benefits	0	0
Employee benefit expense	0	0

(1) Key management includes the Board of Directors and the Management Board.
(2) Short-term benefits include the salaries, bonuses and other advantages.

2. Dexia Real Estate Capital Markets

Dexia Real Estate Capital Markets (DRECM) was sold by Belfius in July 2010 to Dexia Holdings, Inc. (DHI). In June 2011, DRECM was sold by DHI to its parent, Dexia Crédit Local SA (DCL). In December 2016, DRECM assigned to DHI all of the assets, business and activities of DRECM, and DHI assumed all of DRECM's liabilities and obligations related thereto. Following such transfer, DRECM was liquidated into DCL with the DRECM legal entity being dissolved. DHI thus acts as the successor to DRECM. Although DHI (as the successor to DRECM) is no longer a related party to Belfius, an overview of the remaining engagements of Belfius towards the former activities of DRECM is presented. Note that no claims have been made up to the date of this report towards Belfius under these representations and warranties.

A. The purpose and context of the comfort letters

In the framework of the last Commercial Real Estate Mortgage Loans securitisation operation in which DRECM was involved until February 2020, DRECM entered into a Mortgage Loan Purchase Agreement as a seller of Commercial Mortgage Loans and into an Indemnification Agreement. In these agreements, DRECM gave certain representations and warranties in respect to some aspects of corporate standing and on some characteristics of the Commercial Mortgage Loans to certain CMBS trusts. Under the Mortgage Loan Purchase Agreement, a loan seller would be obligated under the reps and warranties to repurchase a loan if there was a material breach of the reps and warranties or a material document defect that can not be remedied, or cured, within a certain period of time (usually 90 days with extensions possible), so long as the repurchase demand was made in a timely manner. Given the fact that this was a kind of operational ongoing obligation of DRECM and DRECM was a non-rated entity, transaction participants and rating agencies required a larger first loss tranche (economically expensive for DRECM) or a counter guarantee from a rated entity. In this context Belfius Bank as a successor of Artesia Banking Corporation S.A. delivered the said comfort letters because the bank had a sufficient rating to reduce the requirement for credit enhancement.

B. The legal nature of the comfort letters

The first obligation to respect the terms of the Mortgage Loan Purchase Agreements and the Indemnification Agreements is the responsibility of DHI (as the successor to DRECM). It is only in case DHI (as the successor to DRECM) would not be performing that Belfius Bank promised to intervene with all means be it, human, technical or financial. The obligations of Belfius are obligations to perform or to pay. It is not a guarantee on first demand, nor an obligation to buy any non performing loan but a stand by back-up agreement for performance or payment. Although the shares of Belfius in DRECM were sold to DHI on 16 July 2010, these comfort letters are still in place. However, we believe that the risks for Belfius are extremely remote, seen no repurchase demands are outstanding, no previous transactions have led to any repurchases, and DHI (as a successor to DRECM) is sufficiently capitalised to meet its contractual obligations.

XII. Securitisation

Belfius currently has three traditional securitisation vehicles: DSFB[1], Penates Funding and Mercurius Funding. The total assets of these companies amount to EUR 3,875 million at 31 December 2021 compared to EUR 4,809 million at 31 December 2020.

According to the definition of control under IFRS 10, DSFB, Penates Funding and Mercurius Funding are included in the consolidated financial statements. Belfius has:

- full power over its securitisation vehicles;
- exposure to their variable returns; and
- the ability to use its power to affect the amount of the returns.

DSFB is a Belgian securitisation vehicle (société d'investissement en créances (SIC) under Belgian Law) with currently six compartments, one of which with activity, namely DSFB-2.

DSFB-2 is a securitisation transaction of loans granted to Belgian entities (public and other). All the loans are 100% guaranteed by a Belgian regional government. Under this transaction a single tranche of floating rate notes, fully guaranteed by Belfius Bank, was issued. On 31 December 2021, EUR 680 million were still outstanding. The DSFB-2 Notes are held by Belfius Bank and its subsidiary Belfius Ireland.

Penates Funding is a Belgian securitisation vehicle of which one compartment is active namely Penates-6.

On 15 May 2017, Belfius closed a EUR 6,030 million RMBS securitisation transaction. The SPV, Penates Funding acting through its compartment Penates-6, securitised Belgian residential mortgage loans originated by Belfius Bank and issued EUR 2,490 million Class A1 Mortgage-Backed Floating Rate Notes due 2051; EUR 2,490 million Class A2 Mortgage-Backed Floating Rate Notes due 2051; EUR 1,020 mil-lion Class B Mortgage-Backed Floating Rate Notes due 2051; EUR 30 million Class C Floating Rate Notes due 2051.

The Class A1 Notes were redeemed in full over the course of 2020. The outstanding amount of the Class A2 Notes stood at EUR 1,539 million, while the outstanding amounts of the other classes of notes were still at their initial amount. The notes are held by Belfius Bank and its subsidiary Belfius Insurance Invest. The Penates-6 senior notes can be used as collateral in agreements with the European Central Bank or other counterparties.

Mercurius Funding is a Belgian securitisation vehicle of which one compartment is active, namely Mercurius-1.

On 7 May 2012, Belfius Bank closed a EUR 4,124 million SME (Small & Medium Enterprises) CLO securitisation transaction. The SPV, Mercurius Funding acting through its compartment Mercurius-1, securitised Belgian SME loans originated by Belfius and issued two classes of notes: EUR 3,200 million Class A SME Loan-Backed Fixed Rate Notes due 2035; EUR 924 million Class B SME Loan-Backed Fixed Rate Notes due 2037.

On 12 May 2014, Mercurius-1 issued new notes: EUR 3,200 million Class A SME Loan-Backed Fixed Rate Notes due 2035 (; EUR 924 million Class B SME Loan-Backed Fixed Rate Notes due 2037. The proceeds were used to purchase an additional portfolio of SME loans and to redeem the old notes.

On 25 June 2018, the Mercurius-1 transaction was restructured. The main modifications were on the Interest Rates, the Reserve Fund and the Principal Priority of Payments.

At the end of 2021, the outstanding balance of the Class A Notes and the Class B Notes decreased to respectively EUR 375 million and EUR 300 million.The Mercurius notes are held by Belfius Bank and its subsidiary Belfius Ireland. The notes can be used as collateral in agreements with the European Central Bank or other counterparties.

(1) The securitisation vehicle Dexia Secured Funding Belgium was rebranded to DSFB over the course of 2021.

Belfius Bank SA
Statutory auditor's report to the general meeting of Belfius Bank NV/SA on the consolidated financial statements as of and for the year ended 31 December 2021.

In the context of the statutory audit of the consolidated financial statements of Belfius Bank NV/SA ("the Company") and its subsidiaries (jointly "the Group"), we provide you with our statutory auditor's report. This includes our report on the consolidated financial statements for the year ended 31 December 2021, as well as other legal and regulatory requirements. Our report is one and indivisible.

We were appointed as statutory auditor by the general meeting of 29 April 2020, in accordance with the proposal of the board of directors issued on the recommendation of the audit committee and as presented by the workers' council. Our mandate will expire on the date of the general meeting deliberating on the annual accounts for the year ended 31 December 2022. We have performed the statutory audit of the consolidated financial statements of the Group for 2 consecutive financial years.

Report on the consolidated financial statements

Unqualified opinion

We have audited the consolidated financial statements of the Group as of and for the year ended 31 December 2021, prepared in accordance with International Financial Reporting Standards as adopted by the European Union, and with the legal and regulatory requirements applicable in Belgium. These consolidated financial statements comprise the consolidated balance sheet as at 31 December 2021, the consolidated statement of income, the consolidated statement of comprehensive income, the consolidated statement of changes in equity and the consolidated cash flow statement for the year then ended and notes, comprising a summary of significant accounting policies and other explanatory information. The total of the consolidated balance sheet amounts to EUR ('000) 192.150.543 and the consolidated statement of income shows a profit for the year of EUR ('000) 935.617.

In our opinion, the consolidated financial statements give a true and fair view of the Group's equity and financial position as at 31 December 2021 and of its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with International Financial Reporting Standards as adopted by the European Union, and with the legal and regulatory requirements applicable in Belgium.

Basis for our unqualified opinion

We conducted our audit in accordance with International Standards on Auditing ("ISAs") as adopted in Belgium. In addition, we have applied the ISAs as issued by the IAASB and applicable for the current accounting year while these have not been adopted in Belgium yet. Our responsibilities under those standards are further described in the "Statutory auditors' responsibility for the audit of the consolidated financial statements" section of our report. We have complied with the ethical requirements that are relevant to our audit of the consolidated financial statements in Belgium, including the independence requirements.

We have obtained from the board of directors and the Company's officials the explanations and information necessary for performing our audit.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Impairments on loans and advances and debt securities

We refer to headings III.A "Loans and advances measured at amortised cost", IV.A "Debt securities measured at amortised cost" and IV.B "Debt securities measured at fair value through other comprehensive income" of the consolidated balance sheet in the consolidated financial statements and to notes n° 5.4 "Loans and advances", n° 5.5 "Debt securities & Equity instruments" and 9.2 "Credit risk exposure" in which the impairment losses are disclosed.

Description

As at 31 December 2021, the Group has EUR ('000) 101.540.978 of loans and advances measured at amortised cost, EUR ('000) 20.839.937 of debt securities measured at amortised cost and EUR ('000) 3.536.160 of debt securities measured at fair value through other comprehensive income, representing 66% of total assets.

The measurement of the expected credit losses and the determination of the stage allocation contain subjective elements and require significant judgement from Management, such as the selection of macro-economic scenarios used in the determination of expected credit losses, the evaluation of deteriorating credit quality (including deterioration due to the impact of the COVID-19 crisis), and the application of models for the determination of expected credit losses.

Given the significance of impairments on loans and advances and debt securities, and the related high degree of estimation uncertainty, we consider the determination and measurement of impairments on loans and advances and debt securities as a key audit matter.

Our audit procedures

With the assistance of our IT and Financial Risk Management specialists, we performed the following procedures:

- Evaluation of the design, implementation and operating effectiveness of key controls around the expected credit loss process.
- Performance of risk assessment procedures on the loan portfolio (sector focus, risk rating migration analysis).
- Inspection of the minutes of the relevant committees and rationale for conclusions made therein, as input to our risk analysis and support our selection and extent of audit procedures.
- Evaluation if key models are delivering a reliable output on the basis of the assessment of the model validation process, including the assessment of the Macro-Economic Factors ("MEF") and the weights associated to the different economic scenarios set in time of COVID-19.
- Evaluation of the reliability of significant inputs to the models such as loans and advances or debt securities data as well as collateral used to determine the collective impairment.For a sample of loans and advances and debt securities, comparison of data used in the models with underlying documentation such as contracts and other relevant documents.
- Evaluation of the reasonableness of the manual adjustments to the model-based expected credit loss.
- Inspection of a sample of credit files and debt securities in stage 1, 2 and 3 to assess whether the stage classification used in the expected credit loss (including assessment of whether any events of default have occurred (including the impact of the COVID-19 crisis) and of inputs and assumptions used, such as reasonableness of scenarios, scenario weighting, expected cash flows, collateral values, effective interest rates, etc, including assessment of compliance with IFRS 9) is reasonable.
- Evaluation of the appropriateness of Management's rationale and documentation supporting the decision not to record a provision despite the occurrence of impairment triggers.
- Assessment of the adequacy of the relevant disclosures in the consolidated financial statements.

Fair value measurement of Level 2 and Level 3 financial instruments

We refer to headings III.B "Loans and advances measured at fair value through other comprehensive income", III.C "Loans and advances measured at fair value through profit or loss", IV.B "Debt securities and equity instruments measured at fair value through other comprehensive income", IV.C "Debt securities and equity instruments measured at fair value through profit and loss", VI "Derivatives" (assets and liabilities), III.B "Borrowings and deposits measured at fair value through profit or loss" and IV.B "Debt securities issued and other financial liabilities measured at fair value through profit and loss" of the consolidated balance sheet in the consolidated financial statements and to notes n° 5.4 "Loans and advances", n° 5.5 "Debt securities & Equity instruments", n° 5.6 "Derivatives", n° 6.3 "Borrowings and deposits", n° 6.4 "Debt securities issued and other financial liabilities" and to note n° 9.1 "Fair value" in which the fair value analysis of the financial instruments recognized on the balance sheet is disclosed.

Description

As at 31 December 2021, the Group has:

- Loans and advances measured at fair value through other comprehensive income for EUR ('000) 99.119 Level 2;
- Loans and advances measured at fair value through profit or loss for EUR ('000) 980 Level 2 and EUR ('000) 1.037.737 Level 3;
- Debt securities measured at fair value through other comprehensive income for EUR ('000) 205.198 Level 2 and EUR ('000) 337.420 Level 3;
- Debt securities measured at fair value through profit or loss for EUR ('000) 24.671 Level 2 and EUR ('000) 567.274 Level 3;
- Equity instruments measured at fair value through other comprehensive income for EUR ('000) 361.007 Level 3;
- Equity instruments measured at fair value through profit or loss for EUR ('000) 13.959 Level 3;
- Derivatives for EUR ('000) 8.399.344 Level 2 and EUR ('000) 509.164 Level 3 recognized on the asset side and EUR ('000) 13.497.350 Level 2 and EUR ('000) 521.029 Level 3 recognized on the liability side;
- Borrowings and deposits measured at fair value through profit or loss for EUR ('000) 48.746 Level 2;

- Debt securities issued and other financial liabilities measured at fair value through profit or loss for EUR ('000) 5.513.685 Level 2 and EUR ('000) 2.271.616 Level 3.

The determination of the fair value of Level 2 and 3 financial instruments is based on a range of inputs. Where observable market data is not readily available, estimates are developed and are subject to a higher level of judgment.

The determination of the fair value of Level 2 and 3 financial instruments, including complex financial instruments, represent a higher exposure to risk of incorrect valuation due to the absence of readily observable market data, the complexity of certain valuation models and the higher level of judgment involved.

Our audit procedures

With the assistance of our Financial Risk Management specialists we performed the following procedures:

- Obtaining an understanding of the processes regarding the valuation of financial instruments.
- Evaluation of the design and implementation of key controls around the valuation of financial instruments, e.g. controls over model development and independent pricing verification.
- Inspection of model validation reports from the independent validation function.
- Inspection of the minutes of the relevant committees and rationale for conclusions made therein for our risk assessment and to support our selection and extent of audit procedures.
- Independent determination of the fair value for the Level 2 and 3 financial instruments on a sample basis.
- Evaluation whether the model provisions (including adjustments to these provisions) are adequately justified and supported.
- Assessment of the adequacy of the relevant disclosures in the consolidated financial statements.

Valuation of liabilities arising from life insurance contracts

We refer to the heading VIII "Provisions for insurance activities" of the consolidated balance sheet in the consolidated financial statements and to note n° 6.5.1 "Provisions for insurance activities – Insurance contracts Life".

Description

As at 31 December 2021, the Group has EUR ('000) 10.727.342 of technical provisions arising from life insurance contracts. These provisions are calculated based on actuarial techniques as determined by law, which are based on pre-specified mortality tables and other parameters derived from the contracts. These liabilities represent a significant component of the Group's balance sheet.

The adequacy of the liabilities arising from life insurance contracts is assessed based on a Liability Adequacy Test ("LAT"). These liabilities are increased with any insufficiency arising from the execution of the LAT. The actuarial models used for the calculation of the LAT are complex and the assumption setting process within these models contains judgment considering that best estimate/current assumptions are applied (and no longer the parameters embedded in the law and the contract conditions). The judgements made in the assumptions setting process may have a significant impact on the LAT outcome.

Our audit procedures

With the assistance of our actuarial and IT specialists, we have performed the following pro*cedures:*

- Assessment of the design and implementation and evaluation of the operating effectiveness of key controls relating to the actuarial processes for the determination of the technical provisions for life insurance contracts and Liability Adequacy Test ("LAT").
- Assessment of the appropriateness of the actuarial techniques used for the calculation of the technical provisions for life insurance contracts and the assumptions used.
- Assessment of the roll-forward analysis of the technical provisions for life insurance contracts prepared by Management ("Fouret analysis"), including inspection of reconciling items, if any.
- Recalculation of the technical provisions for a sample of life insurance contracts.
- Assessment of the consistency of the actuarial techniques applied for the LAT and whether changes made to the actuarial models are in line with our understanding of the business, and our expectations derived from market experience.
- Benchmarking the assumptions used in the LAT with market observable data.
- Assessment of the results of the LAT outcome, including a comparison of the results from one reporting period to another.
- Inspection of the reports issued by the actuarial function and rationale for conclusions made therein as input for our risk assessment.
- Testing the completeness and accuracy of data used in the calculation processes and output from key IT systems used for the calculation of the technical provisions for life insurance contracts.
- Assessment of the adequacy of the rele*vant disclosures in the consolidated financial statements.*

Valuation of liabilities arising from non-life insurance contracts

We refer to the heading VIII "Provisions for insurance activities" of the consolidated balance sheet in the consolidated financial statements and to note n° 6.5.2 "Provisions for insurance activities – Insurance contracts Non-Life".

Description

As at 31 December 2021, the Group has EUR ('000) 1.470.179 of technical provisions arising from non-life insurance contracts. The estimation of these provisions involves actuarial techniques and requires judgement given that these are based on previous claims experience, existing knowledge of events, expectations about future developments and terms and conditions of the relevant insurance policies.

Estimates have to be made for both the expected ultimate cost of claims reported at the balance sheet date, and for the expected ultimate cost of claims incurred but not yet reported ("IBNR") at the balance sheet date. These estimates are sensitive to various factors and uncertainties and require judgement in setting the underlying assumptions.

Our audit procedures

With the assistance of our actuarial and IT specialists, we have performed the following procedures:

- Assessment of the design and implementation and evaluation of the operating effectiveness of the controls relating to the actuarial processes for the determination of the technical claim provisions for non-life insurance contracts.
- Assessment of the consistency and appropriateness of the actuarial techniques applied for the most important business lines (including the underlying assumptions) and whether the actuarial models are in line with our understanding of business, and our expectations derived from market experience.
- Assessment whether the claim liabilities have been determined in accordance with the implemented reserving policies.
- Independent calculation of the claim provisions for the major business lines based on commonly used actuarial techniques. We compared the results of our independent calculation with the amounts determined by the Group, and we obtained evidence supporting any significant differences observed.
- Assessment of the adequacy of the technical claims provisions for non-life insurance contracts through an analysis of the run-off results of the claims and annuity liabilities.
- Assessment of the results of the Liability Adequacy Test ("LAT"), including a comparison of the results from one reporting period to another.
- Inspection of the reports issued by the actuarial function and rationale for conclusions made therein as input for our risk assessment.
- Testing the completeness and accuracy of data used in the calculation processes and output from key IT systems used for the calculation of the liabilities arising from non-life insurance contracts.
- Assessment of the adequacy of the relevant disclosures in the consolidated financial statements.

IT systems and controls over financial reporting

Description

We identified IT systems and controls over financial reporting as a key audit matter for the Group because its financial accounting and reporting systems are fundamentally reliant on IT systems and automated application controls to process significant transaction volumes. Automated application controls and general IT controls, which include IT governance, general IT controls over program development and changes, access to programs and data and computer operations, are required to be adequately designed and to operate effectively to ensure accurate financial reporting.

Our audit procedures

With the assistance of our IT specialists, we have performed the following procedures:

- Examination of the Group's framework of governance over its IT organisation;
- Assessment of the design, implementation and evaluation of the operating effectiveness of general IT controls over program development and changes, access to programs and data and computer operations on relevant IT systems that support financial accounting and reporting also taking into consideration compensating controls and assessment of the impact on the extent and nature of other audit procedures whenever controls are not operating effectively.
- Assessment of the design and implementation and evaluation of the operating effectiveness of IT application controls in the relevant processes impacting the Group's financial reporting, including compensating controls and substantive procedures whenever supporting general IT controls are not operating effectively (e.g. access to programs and data.
- Assessment of the integrity of data transmission through the different IT systems to the financial reporting systems.
- Assessment of the design and implementation and evaluation of operating effectiveness of controls at the relevant service organization.

Board of directors' responsibilities for the preparation of the consolidated financial statements

The board of directors is responsible for the preparation of these consolidated financial statements that give a true and fair view in accordance with International Financial Reporting Standards as adopted by the European Union, and with the legal and regulatory requirements applicable in Belgium, and for such internal control as the board of directors determines, is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, the board of directors is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the board of directors either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Statutory auditor's responsibilities for the audit of the consolidated financial statements

Our objectives are to obtain reasonable assurance as to whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of the users taken on the basis of these consolidated financial statements.

When performing our audit, we comply with the legal, regulatory and professional requirements applicable to audits of the consolidated financial statements in Belgium. The scope of the statutory audit of the consolidated financial statements does not extend to providing assurance on the future viability of the Group nor on the efficiency or effectivity of how the board of directors has conducted or will conduct the business of the Group. Our responsibilities regarding the going concern basis of accounting applied by the board of directors are described below.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional skepticism throughout the audit. We also perform the following procedures:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control;
- Obtain an understanding of internal controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control;
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by board of directors;
- Conclude on the appropriateness of board of directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group to cease to continue as a going concern;
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation;
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with the audit committee regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the audit committee with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

For the matters communicated with the audit committee, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter.

Other legal and regulatory requirements

Responsibilities of the board of directors

The board of directors is responsible for the preparation and the content of the board of directors' annual report on the consolidated financial statements and the other information included in the annual report.

Statutory auditor's responsibilities

In the context of our engagement and in accordance with the Belgian standard which is complementary to the International Standards on Auditing as applicable in Belgium, our responsibility is to verify, in all material respects, the board of directors' annual report on the consolidated financial statements and the other information included in the annual report, and to report on these matters.

Aspects concerning the board of directors' annual report on the consolidated financial statements and other information included in the annual report

Based on specific work performed on the board of directors' annual report on the consolidated financial statements, we are of the opinion that this report is consistent with the consolidated financial statements for the same period and has been prepared in accordance with article 3:32 of the Companies' and Associations' Code.

In the context of our audit of the consolidated financial statements, we are also responsible for considering, in particular based on the knowledge gained throughout the audit, whether the board of directors' annual report on the consolidated financial statements and other information included in the annual report:

- Belfius profile;
- Global Reporting Initiative (GRI) – table;
- Abbreviations; and
- Additional Information

contain material misstatements, or information that is incorrectly stated or misleading. In the context of the procedures carried out, we did not identify any material misstatements that we have to report to you.

The non-financial information required by article 3:32 §2 of the Companies' and Associations' Code has been included in the board of directors' annual report on the consolidated financial statements, which is part of section "Management Report - Sustainability Report 2021" of the annual report. The Company has prepared this non-financial information based on the Global Reporting Initiative ("GRI") standards. In accordance with art 3:80 §1, 1st paragraph, 5° of the Companies' and Associations' Code, we do not comment on whether this non-financial information has been prepared in accordance with the mentioned GRI standards.

Information about the independence

- Our audit firm and our network have not performed any engagement which is incompatible with the statutory audit of the consolidated accounts and our audit firm remained independent of the Group during the term of our mandate.
- The fees for the additional engagements which are compatible with the statutory audit referred to in article 3:65 of the Companies' and Associations' Code were correctly stated and disclosed in the notes to the consolidated financial statements.

European Single Electronic Format ("ESEF")

In accordance with the draft standard on the audit of compliance of the Financial Statements with the European Single Electronic Format (hereafter "ESEF"), we have audited as well whether the ESEF-format is in accordance with the regulatory technical standards as laid down in the EU Delegated Regulation nr. 2019/815 of 17 December 2018 (hereafter "Delegated Regulation").

The board of directors is responsible for the preparation, in accordance with the ESEF requirements, of the consolidated financial statements in the form of an electronic file in ESEF format (hereafter "digital consolidated financial statements") included in the annual financial report.

It is our responsibility to obtain sufficient and appropriate information to conclude whether the format and the tagging of the digital consolidated financial statements comply, in all material respects, with the ESEF requirements under the Delegated Regulation.

In our opinion, based on our work performed, the format of and the tagging of information in the official English version of the digital consolidated financial statements as per 31 December 2021, included in the annual financial report of Belfius Bank NV/SA, are, in all material respects, prepared in compliance with the ESEF requirements under the Delegated Regulation.

Other aspect

- This report is consistent with our additional report to the audit committee on the basis of Article 11 of Regulation (EU) No 537/2014.

Zaventem, 7 April 2022

KPMG Bedrijfsrevisoren - Réviseurs d'Entreprises
Statutory auditor
represented by

Olivier Macq
Réviseur d'Entreprises
Bedrijfsrevisor

Kenneth Vermeire
Réviseur d'Entreprises
Bedrijfsrevisor

Annual report 2021

Non-consolidated financial statements (BE GAAP) as at 31 December 2021

Balance (after appropriation)

Assets (In thousands of EUR)		31/12/20	31/12/21
I.	Cash in hand, balances with central banks and post office banks	24,474,131	31,641,370
II.	Treasury bills eligible for refinancing with central banks	0	0
III.	Loans and advances to credit institutions	12,700,188	10,297,942
	A. Repayable on demand	11,642,541	9,346,669
	B. Other loans and adv. (with agreed maturity dates)	1,057,647	951,273
IV.	Loans and advances to customers	94,674,503	99,612,439
V.	Debt securities and other fixed-income securities	13,638,131	12,026,749
	A. Issued by public bodies	5,181,736	4,568,673
	B. Issued by other borrowers	8,456,395	7,458,076
VI.	Shares and other variable-yield securities	338,283	518,277
VII.	Financial fixed assets	2,746,973	2,757,354
	A. Participating interests in affiliated enterprises	2,081,434	2,079,453
	B. Participating interests in other enterprises linked by participating interests	96,854	107,104
	C. Other shares held as financial fixed assets	48,685	50,797
	D. Subordinated loans to affiliated enterprises and to other enterprises linked by participating interests	520,000	520,000
VIII.	Formation expenses and intangible fixed assets	146,415	152,183
IX.	Tangible fixed assets	488,011	475,906
X.	Own shares	0	0
XI.	Other assets	1,614,975	1,050,905
XII.	Deferred charges and accrued income	16,268,583	14,068,219
TOTAL ASSETS		167,090,193	172,601,344

Liabilities
(In thousands of EUR)

		31/12/20	31/12/21
I.	Amounts owed to credit institutions	19,155,995	19,158,808
	A. Repayable on demand	4,263,964	3,081,684
	B. Amounts owed as a result of the rediscounting of trade bills	0	0
	C. Other debts with agreed maturity dates or periods of notice	14,892,031	16,077,124
II.	Amounts owed to customers	97,144,522	106,161,373
	A. Savings deposits	44,651,819	47,573,375
	B. Other debts	52,492,703	58,587,998
	1. Repayable on demand	36,928,566	42,612,706
	2. With agreed maturity dates or periods of notice	15,564,137	15,975,292
	3. As a result of the rediscounting of trade bills	0	0
III.	Debts evidenced by certificates	24,483,910	23,282,157
	A. Debt securities and other fixed-income securities in circul.	23,335,140	22,405,649
	B. Other	1,148,770	876,508
IV.	Other liabilities	2,032,103	1,569,209
V.	Accrued charges and deferred income	12,989,648	10,356,859
VI.	A. Provisions for liabilities and charges	182,520	156,921
	1. Pensions and similar obligations	102	96
	2. Taxation	37,900	41,850
	3. Other liabilities and charges	144,518	114,975
	B. Deferred taxes	4,422	4,237
VII.	Fund for general banking risks	988,737	988,737
VIII.	Subordinated liabilities	1,629,738	2,120,311
CAPITAL AND RESERVES		**8,478,598**	**8,802,732**
IX.	Capital	3,458,066	3,458,066
	A. Subscribed capital	3,458,066	3,458,066
	B. Uncalled capital (-)	0	0
X.	Share premium account	209,232	209,232
XI.	Revaluation surpluses	208	208
XII.	Reserves	4,282,507	5,135,226
	A. Legal reserve	345,807	345,807
	B. Reserves not available for distribution	2,344	2,344
	1. In respect of own shares held	0	0
	2. Other	2,344	2,344
	C. Untaxed reserves	37,641	37,800
	D. Reserves available for distribution	3,896,715	4,749,275
XIII.	Profits (losses (-)) brought forward	528,585	0
TOTAL LIABILITIES		167,090,193	172,601,344

Off-balance sheet

(In thousands of EUR)		31/12/20	31/12/21
I.	Contingent liabilities	15,944,577	15,835,140
	A. Non-negotiated acceptances	183,352	232,180
	B. Guarantees serving as direct credit substitutes	13,098,931	12,573,081
	C. Other guarantees	2,465,973	2,782,119
	D. Documentary credits	196,321	247,760
	E. Assets charged as collateral security on behalf of third parties	0	0
II.	Commitments which could give rise to a risk	30,065,013	32,073,447
	A. Firm credit commitments	117,581	146,623
	B. Commitments as a result of spot purchases of transferable or other securities	335,133	415,536
	C. Undrown margin on confirmed credit lines	29,087,299	30,985,373
	D. Underwriting and placing commitments	525,000	525,915
	E. Commitments as a result of open-ended sale and repurchase agreements	0	0
III.	Assets lodged with the credit institution	120,318,106	128,334,479
	A. Assets held by the credit institution for fiduciary purposes	0	0
	B. Safe custody and equivalent items	120,318,106	128,334,479
IV.	Uncalled amounts of share capital	19,409	21,385

Statement of income (presentation in list form)

(In thousands of EUR)		31/12/20	31/12/21
I.	Interest receivable and similar income	2,326,225	2,369,504
	of which: from fixed-income securities	275,962	228,390
II.	Interest payable and similar charges (-)	(934,803)	(910,650)
III.	Income from variable-yield securities	52,777	222,684
	A. From shares and other variable-yield securities	12,548	16,290
	B. From participating interests in affiliated enterprises	34,937	193,983
	C. From participating interests in other enterprises linked by participating interests	2,898	9,820
	D. From other shares held as financial fixed assets	2,394	2,591
IV.	Commissions receivable	697,326	812,238
	A. Brokerage and commissions	0	0
	B. Allowances for services of administration, advice and custody	0	0
	C. Other commissions receivable	697,326	812,238
V.	Commissions payable (-)	(385,089)	(403,044)
VI.	Profit (loss (-)) on financial transactions	105,637	157,710
	A. On trading of securities and other financial instruments	21,692	86,691
	B. On disposal of investment securities	83,945	71,019
VII.	General administrative expenses (-)	(1,048,566)	(1,077,631)
	A. Remuneration, social security costs and pensions	(502,576)	(513,304)
	B. Other administrative expenses	(545,990)	(564,327)
VIII.	Depreciation/Amortization of and other write-downs on (-) formation expenses, intangible and tangible fixed assets	(97,004)	(92,863)
IX.	Decrease/Increase (-) in write downs on receivables and in provisions for off balance sheet items "I. Contingent liabilities" and "II. Commitments which could give rise to a risk"	(122,741)	(92,930)
X.	Decrease/Increase (-) in write-downs on the investment portfolio of debt securities, shares and other fixed-income or variable-yield securities	(2,485)	(29)
XI.	Utilization and write-backs of provisions for liabilities and charges other than those included in the off balance sheet items "I. Contingent liabilities" and "II. Commitments which could give rise to a risk"	37,277	43,242
XII.	Provisions for liabilities and charges other than those included in the off balance sheet items "I. Contingent liabilities" and "II. Commitments which could give rise to a risk"	(25,147)	(16,933)
XIII.	Transfer from (Transfer to) the fund for general banking risks	0	0
XIV.	Other operating income	172,124	149,196
XV.	Other operating charges	(148,330)	(154,098)
XVI.	Profits (Losses (-)) on ordinary activities before taxes	627,201	1,006,396
XVII.	Extraordinary income	8,207	14,682
	A. Adjustments to depreciation/amortization of and to other write-downs on intangible and tangible fixed assets	1	86
	B. Adjustments to write-downs on financial fixed assets	85	135
	C. Adjustments to provisions for extraordinary liabilities and charges	0	0
	D. Gain on disposal of fixed assets	8,121	14,461
	E. Other extraordinary income	0	0
XVIII.	Extraordinary charges (-)	(40,169)	(18,196)
	A. Extraordinary depreciation/amortization of and extraordinary write-downs on formation expenses and intangible and tangible fixed assets	(34,836)	(17,264)
	B. Write-downs on financial fixed assets	(5,198)	(643)
	C. Provisions for extraordinary liabilities and charges	0	0
	D. Loss on disposal of fixed assets	(94)	(229)
	E. Other extraordinary charges	(41)	(60)
XIX.	Profits (Losses (-)) for the period before taxes	595,239	1,002,882
XIX*bis*.	A. Transfer to deferred taxes (-)	1,530	0
	B. Transfer from deferred taxes	0	6
XX.	Income taxes	(144,534)	(180,414)
	A. Income taxes (-)	(162,350)	(189,643)
	B. Adjustement of income taxes and write-back of tax provisions	17,816	9,229
XXI.	Profits (Losses (-)) for the period	449,175	822,474
XXII.	Transfer to untaxed reserves (-)	4,590	0
	Transfer from untaxed reserves	0	19
XXIII.	Profit (Losses (-)) for the period available for approbation	444,585	822,493

Approbation account

(In thousands of EUR)		31/12/20	31/12/21
A.	Profits (Losses (-)) to be appropriated	605,585	1,351,078
	1. Profits (Losses (-)) for the period available for approbation	444,585	822,493
	2. Profits (Losses (-)) brought forward	161,000	528,585
B.	Transfers from capital and reserves	0	0
	1. From capital and share premium account	0	0
	2. From reserves	0	0
C.	Appropriations to capital and reserves	0	852,560
	1. To capital and share premium account	0	0
	2. To legal reserve	0	0
	3. To other reserves	0	852,560
D.	Result to be carried forward	528,585	0
	1. Profits to be carried forward (-)	528,585	0
	2. Losses to be carried forward	0	0
E.	Shareholders' contribution in respect of losses	0	0
F.	Distribution of profits (-)	77,000	498,518
	1. Dividends(1)	77,000	498,518
	2. Director's entitlements(1)	0	0
	3. Other allocations(1)	0	0

(1) Only applicable to Belgian limited liability companies.

Belfius Bank NV/SA
Statutory auditor's report to the shareholders' meeting on the annual accounts for the year ended 31 December 2021

We refer to the annual report published in Dutch or French.

Global Reporting Initiative (GRI) - table

GRI Standard	GRI Disclosure	References (→)/information	Page number	Omission	Link to SDG (based on SDG Compass)
GRI 101: FOUNDATION 2016					
GRI 102: GENERAL DISCLOSURES 2016					
GRI 102: GENERAL DISCLOSURES 2016 - ORGANISATIONAL PROFILE					
102-1	Name of the organization	Belfius Bank NV/SA			
102-2	Activities, brands, products and services	→ Profile of Belfius	4		
102-3	Location of headquarters	Place Charles Rogier 11, B-1210 Brussels			
102-4	Location of operations	Belgium			
102-5	Ownership and legal form	Public limited company			
102-6	Markets served	→ Segment reporting	128		
102-7	Scale of the organization	→ Profile of Belfius, Our activities, Key figures	7		
102-8	Information on employees and other workers	The scope of employees is limited to Belgium; Data were collected from SAP. → HR, Our staff members, the backbone of our company	108		#8 Decent work and economic growth #10 Reduced inequalities
102-9	Supply chain	→ Going green in our operations, Sustainable purchasing	93		
102-10	Significant changes to the organization and its supply chain	→ Management report, Message from the chairmen	12		
102-11	Precautionary Principle or approach	→ Risk Management	166		
102-12	External initiatives	→ ESG fully embedded in the Belfius Strategy, ESG at the heart of everything we do	40		
102-13	Membership of associations	→ ESG fully embedded in the Belfius Strategy, Engaging with our stakeholders	46		
GRI 102: GENERAL DISCLOSURES 2016 - STRATEGY					
102-14	Statement from senior decision-maker	→ Management report, Message from the chairmen	12		
GRI 102: GENERAL DISCLOSURES 2016 - ETHICS AND INTEGRITY					
102-16	Values, principles, standards, and norms of behavior	→ Sound corporate governance, Responsible business conduct, Policies & charters → Sound corporate governance, ESG Governance	61 70		#16 Peace, justice and strong institutions
GRI 102: GENERAL DISCLOSURES 2016 - GOVERNANCE					
102-18	Governance structure	→ Sound corporate governance, ESG Governance	70		
102-22	Composition of the highest governance body and its committees	→ Corporate Governance	204		#5 Gender equality
102-24	Nominating and selecting the highest governance body	→ Corporate Governance	204		#5 Gender equality #16 Peace, justice and strong institutions"

GRI Standard	GRI Disclosure	References (→)/information	Page number	Omission	Link to SDG (based on SDG Compass)
GRI 102: GENERAL DISCLOSURES 2016 - STAKEHOLDER ENGAGEMENT					
102-40	List of stakeholder groups	→ ESG fully embedded in the Belfius Strategy, Engaging with our stakeholders	46		
102-41	Collective bargaining agreements	→ Human capital, Strong focus on health and wellbeing, especially in pandemic times, A structured approach to health and wellbeing	100		#8 Decent work and economic growth
102-42	Identifying and selecting stakeholders	Belfius identified and selected its stakeholders considering materiality of Belfius' impact on the respective stakeholder group as well as their impact and influence on Belfius. You may find full list of stakeholders Belfius engaged with as a result of this identification and selection process in the section ESG fully embedded in the Belfius Strategy, Engaging with our stakeholders.	46		
102-43	Approach to stakeholder engagement	→ ESG fully embedded in the Belfius Strategy, Engaging with our stakeholders	46		
102-44	Key topics and concerns raised	→ ESG fully embedded in the Belfius Strategy, Materiality assessment, Assessment process → ESG fully embedded in the Belfius Strategy, Engaging with our stakeholders	41 46		
GRI 102: GENERAL DISCLOSURES 2016 - REPORTING PRACTICE					
102-45	Entities included in the consolidated financial statements	→ Financial results, Preliminary notes to the consolidated financial statements	117		
102-46	Defining report content and topic Boundaries	The financial consolidation boundary of Belfius Group is applied unless otherwise stated.			
102-47	List of material topics	→ ESG fully embedded in the Belfius Strategy, Materiality assessment, Materiality Matrix	43		
102-48	Restatements of information	There are no substantial restatements for Belfius Sustainability Report 2020.			
102-49	Changes in reporting	No changes			
102-50	Reporting period	Fiscal year from 1 January 2021 to 31 December 2021			
102-51	Date of most recent report	The most recent report containing economic, environmental and social information is the Annual Report 2020.			
102-52	Reporting cycle	Annual			
102-53	Contact point for questions regarding the report	*esg@belfius.be*			
102-54	Claims of reporting in accordance with the GRI Standards	This report has been prepared in accordance with the GRI Standards: Core option.			
102-55	GRI content index	→ GRI Content Index			
102-56	External assurance	Financial data has been audited by KPMG Reviseurs d'Entreprises. No external assurance has been obtained for sustainability data. To further increase its transparency, Belfius aims to obtain external assurance on its sustainability data in the future.			

GRI Standard	GRI Disclosure	References (→)/information	Page number	Omission	Link to SDG (based on SDG Compass)
MATERIAL TOPICS					
FINANCIAL INCLUSION AND ACCESS TO FINANCIAL SERVICES					
GRI 103: MANAGEMENT APPROACH 2016					
103-1	Explanation of the material topic and its boundary	→ Sound corporate governance, Responsible business conduct, Listening to our customers, Special attention for more vulnerable customers	69		
103-2	The management approach and its components	→ Sound corporate governance, Responsible business conduct, Listening to our customers, Special attention for more vulnerable customers	69		
103-3	Evaluation of the management approach	→ Sound corporate governance, Responsible business conduct, Listening to our customers, Special attention for more vulnerable customers	69		
G4: LOCAL COMMUNITIES					
FS14	Initiatives to improve access to financial services for disadvantaged people	→ Sound corporate governance, Responsible business conduct, Listening to our customers, Special attention for more vulnerable customers	69		#1 No poverty #8 Decent work and economic growth #10 Reduced inequalities
TALENT ATTRACTION AND RETENTION					
GRI 103: MANAGEMENT APPROACH 2016					
103-1	Explanation of the material topic and its boundaries	**Employment:** → Human capital, A sustainable career policy → Human Resources, Our staff members : the backbone of our company **Occupational health and safety:** → Human capital, Strong focus on health and wellbeing, especially in pandemic times, A structured approach to health and wellbeing → Human Resources, Continuing to invest in wellbeing **Training and education:** → Human capital, Lifelong learning → Human resources, Investing in our talents through talent journeys	 100 108 100 112 99 112		
103-2	The management approach and its components	**Employment:** → Human capital, A sustainable career policy → Human resources, Our staff members : the backbone of our company **Occupational health and safety:** → Human capital, Strong focus on health and wellbeing, especially in pandemic times, A structured approach to health and wellbeing → Human resources, Continuing to invest in wellbeing **Training and education:** → Human capital, Lifelong learning → Human resources, Investing in our talents through talent journeys	 100 108 100 112 99 112		
103-3	Evaluation of the management approach	→ Human capital, Strong focus on health and wellbeing, especially in pandemic times, Employee satisfaction and engagement	101		
GRI 401: EMPLOYMENT 2016					
401-1	New employee hires and employee turnover	→ Human resources, Our staff members, the backbone of our company, Key figures	108		#5 Gender equality #8 Decent work and economic growth #10 Reduced inequalities
401-2	Benefits provided to full-time employees that are not provided to temporary or part-time employees	→ Human capital, Employee benefits	102		#3 Good health and well-being #5 Gender equality #8 Decent work and economic growth
401-3	Parental leave	→ Human capital, An active Diversity and Inclusion (D&I) approach, Gender diversity	104		#5 Gender equality #8 Decent work and economic growth

GRI Standard	GRI Disclosure	References (→)/information	Page number	Omission	Link to SDG (based on SDG Compass)
GRI 403: OCCUPATIONAL HEALTH AND SAFETY 2018					
403-4	Worker participation, consultation, and communication on occupational health and safety	→ Human capital, Strong focus on health and wellbeing, especially in pandemic times, A structured approach to health and wellbeing → Human resources, Continuing to invest in well-being	100 107		#8 Decent work and economic growth #16 Peace, justice and strong institutions
403-9	Work-related injuries	→ Human capital, Strong focus on health and wellbeing, especially in pandemic times, A structured approach to health and wellbeing	100		#3 Good health and well-being #8 Decent work and economic growth #16 Peace, justice and strong institutions
GRI 404: TRAINING AND EDUCATION 2016					
404-1	Average hours of training per year per employee	→ Human capital, Lifelong learning → Human resources, Investing in our talents through talent journeys	99 112		#4 Quality education #5 Gender equality #8 Decent work and economic growth #10 Reduced inequalities
404-3	Percentage of employees receiving regular performance and career development reviews	→ Human capital, A sustainable career policy	100	(1)	#5 Gender equality #8 Decent work and economic growth #10 Reduced inequalities
DIVERSITY AND EQUAL OPPORTUNITIES **GRI 103: MANAGEMENT APPROACH 2016**					
103-1	Explanation of the material topic and its boundary	→ Human capital, An active Diversity and Inclusion (D&I) approach → Human resources, Continuing to implement an active diversity and inclusion (D&I) approach	103 113		
103-2	The management approach and its components	→ Human capital, Specific focus on recruitment, Inclusive company culture → Human capital, An active Diversity and Inclusion (D&I) approach → Human resources, Continuing to implement an active diversity and inclusion (D&I) approach	103 103 113		
103-3	Evaluation of the management approach	→ Human capital, Strong focus on health and wellbeing, especially in pandemic times, Employee satisfaction and engagement	101		
GRI 405: DIVERSITY AND EQUAL OPPORTUNITY 2016					
405-1	Diversity of governance bodies and employees	→ Human capital, An active Diversity and Inclusion (D&I) approach, Gender diversity → Human resources, Our staff members, the backbone of our company, Key figures	104 108		#5 Gender equality #8 Decent work and economic growth
COMMUNITY INVOLVEMENT **GRI 103: MANAGEMENT APPROACH 2016**					
103-1	Explanation of the material topic and its boundary	→ Meaningful growth, Recirculating into the Belgian economy and community → Community involvement, Teaming up to tackle social issues	50 94		
103-2	The management approach and its components	→ ESG fully embedded in the Belfius Strategy, Engaging with our stakeholders → Meaningful growth, Recirculating into the Belgian economy and community → Community involvement	46 50 94		
103-3	Evaluation of the management approach	→ Community involvement	94		
GRI 201: ECONOMIC PERFORMANCE 2016					
201-1	Direct economic value generated and distributed	→ Financial results → Community involvement	116 94		

(1) Although the main disclosure requirements in the Guidance have been reported on, due to data constraints certain granular data could not be disclosed.

GRI Standard	GRI Disclosure	References (→)/information	Page number	Omission	Link to SDG (based on SDG Compass)
GRI 203: INDIRECT ECONOMIC IMPACTS 2016					
203-1	Infrastructure investments and services supported	→ Community involvement	94		#5 Gender equality #9 Industry, innovation and infrastructure
SUSTAINABILITY TRANSITION SUPPORT AND ACCELERATION **GRI 103: MANAGEMENT APPROACH 2016**					
103-1	Explanation of the material topic and its boundary	→ ESG fully embedded in the Belfius Strategy, ESG at the heart of everything we do → Sound corporate governance, Responsible business conduct, Accelerating the transition with clear guidelines	40 62		
103-2	The management approach and its components	→ Meaningful growth, Insurance solutions for new societal challenges → Meaningful growth, Innovative solutions, beyond banking and insurance → Meaningful growth, Belfius' Green Bond Framework and inaugural Green Bond issuance → Sound corporate governance, Responsible business conduct, Accelerating the transition with clear guidelines	55 57 60 62		
103-3	Evaluation of the management approach	→ Focus on climate action, Adopting Task Force on Climate-related Financial Disclosures (TCFD) recommendations → Focus on climate action, Aligning with the EU Taxonomy	72 83		
G4: PRODUCT PORTFOLIO					
FS7	Monetary value of products and services developed in order to obtain specific social benefits by business line and purpose	→ Meaningful growth, Innovative solutions, beyond banking and insurance → Meaningful growth, Sustainably managed proprietary portfolios, Portfolio21: sustainable management of insurance reserves (by Belfius Insurance) → Community involvement, Philanthropy (through our product offer), Funds of the Future → Community involvement, Philanthropy (through our product offer), Wealth	57 58 96 96		#1 No poverty #8 Decent work and economic growth #9 Industry, innovation and infrastructure #10 Reduced inequalities #11 Sustainable cities and communities
FS8	Monetary value of products and services designed to deliver a specific environmental benefit for each business line broken down by purpose	→ Meaningful growth, Sustainable financing solutions, Meeting Belgium's sustainable buildings' challenge head on → Meaningful growth, Sustainable financing solutions, Investing in renewable energy → Meaningful growth, Belfius' Green Bond Framework and inaugural Green Bond issuance	50 52 60		
G4: ACTIVE OWNERSHIP					
FS10	Percentage and number of companies held in the institution's portfolio with which the reporting organization has interacted on environmental or social issues	→ Meaningful growth, Sustainably managed proprietary portfolios, Portfolio21: sustainable management of insurance reserves (by Belfius Insurance)	58		
MANAGING DIRECT AND INDIRECT ENVIRONMENTAL IMPACT ON THE GROUP **GRI 103: MANAGEMENT APPROACH 2016**					
103-1	Explanation of the material topic and its boundary	Energy: → Going green in our operations, Offsetting and carbon neutrality → Going green in our operations, Reduction of consumption and waste, Saving energy Water and effluents: → Going green in our operations, Offsetting and carbon neutrality → Going green in our operations, Reduction of consumption and waste, Water consumption" Emissions: → Going green in our operations, Offsetting and carbon neutrality, The Belfius Group's carbon footprint Waste: → Going green in our operations, Offsetting and carbon neutrality → Going green in our operations, Reduction of consumption and waste, Steadily decreasing waste	 89 89 89 92 87 89 90		

GRI Standard	GRI Disclosure	References (→)/information	Page number	Omission	Link to SDG (based on SDG Compass)
103-2	The management approach and its components	**Energy:**			
		→ Going green in our operations, Offsetting and carbon neutrality	89		
		→ Going green in our operations, Reduction of consumption and waste, Saving energy	89		
		Water and effluents:			
		→ Going green in our operations, Offsetting and carbon neutrality	89		
		→ Going green in our operations, Reduction of consumption and waste, Water consumption	92		
		Emissions:			
		→ Going green in our operations, Offsetting and carbon neutrality	89		
		→ Going green in our operations, Fleet and commuting	92		
		Waste:			
		→ Going green in our operations, Offsetting and carbon neutrality	89		
		→ Going green in our operations, Reduction of consumption and waste, Steadily decreasing waste	90		
		→ Going green in our operations, Reduction of consumption and waste, Less and less paper	91		
103-3	Evaluation of the management approach	→ Sound corporate governance, ESG Governance	70		
		→ Focus on climate action, Adopting Task Force on Climate-related Financial Disclosures (TCFD) recommendations	72		
		→ Going green in our operations, The Belfius Group's carbon footprint	87		
		→ Going green in our operations, Offsetting and carbon neutrality	89		
GRI 301: MATERIALS 2016					
301-1	Materials used by weight and volume	This is mainly covering paper consumption. → Going green in our own operations, Reduction of consumption and waste, Less and less paper	91		#8 Decent work and economic growth #12 Responsible consumption and production
GRI 302: ENERGY 2016					
302-1	Energy consumption within the organization	→ Going green in our operations, Reduction of consumption and waste, Saving energy	89		#7 Affordable and clean energy #8 Decent work and economic growth #12 Responsible consumption and production #13 Climate action
GRI 303: WATER AND EFFLUENTS 2018					
303-5	Water consumption	→ Going green in our operations, Reduction of consumption and waste, Water consumption	92		#6 Quality water and sanitation
GRI 305: EMISSIONS 2016					
305-1	Direct (Scope 1) GHG emissions	→ Going green in our operations, The Belfius Group's carbon footprint	87		#3 Good health and well-being #12 Responsible consumption and production #13 Climate action #14 Life below water #15 Life on land
305-2	Energy indirect (Scope 2) GHG emissions	→ Going green in our operations, The Belfius Group's carbon footprint	87		
305-3	Other indirect (Scope 3) GHG emissions	→ Going green in our operations, The Belfius Group's carbon footprint	87		
GRI 306: WASTE 2020					
306-1	Waste generation and significant waste-related impacts	→ Going green in our operations, Reduction of consumption and waste, Steadily decreasing waste	90		
306-2	Management of significant waste-related impacts	→ Going green in our operations, Reduction of consumption and waste, Steadily decreasing waste	90		
306-3	Waste generated	→ Going green in our operations, Reduction of consumption and waste, Steadily decreasing waste	90		#3 Good health and well-being #6 Quality water and sanitation #8 Decent work and economic growth #11 Sustainable cities and communities #12 Responsible consumption and production

GRI Standard	GRI Disclosure	References (→)/information	Page number	Omission	Link to SDG (based on SDG Compass)
FUTURE-PROOF, INCLUSIVE AND RELEVANT INFRASTRUCTURE					
GRI 103: MANAGEMENT APPROACH 2016					
103-1	Explanation of the material topic and its boundary	→ ESG fully embedded in the Belfius Strategy, ESG at the heart of everything we do → Meaningful growth, Sustainable financing solutions → Human capital, Specific focus on recruitment, Inclusive company culture	40 50 103		
103-2	The management approach and its components	→ ESG fully embedded in the Belfius Strategy, ESG at the heart of everything we do → Meaningful growth, Sustainable financing solutions → Human capital, Specific focus on recruitment, Inclusive company culture	40 50 103		
103-3	Evaluation of the management approach	→ ESG fully embedded in the Belfius Strategy, ESG at the heart of everything we do → Meaningful growth, Sustainable financing solutions → Human capital, Specific focus on recruitment, Inclusive company culture	40 50 103		
GRI 203: INDIRECT ECONOMIC IMPACTS 2016					
203-1	Infrastructure investments and services supported	→ Community involvement	94		#1 No poverty #8 Decent work and economic growth #9 Industry, innovation and infrastructure #10 Reduced inequalities #11 Sustainable cities and communities
LAW-ABIDING AND ETHICAL BUSINESS CONDUCT					
GRI 103: MANAGEMENT APPROACH 2016					
103-1	Explanation of the material topic and its boundary	→ Sound corporate governance, Responsible business conduct	61		
103-2	The management approach and its components	→ Sound corporate governance, Responsible business conduct	61		
103-3	Evaluation of the management approach	→ Sound corporate governance, Responsible business conduct	61		
GRI 205: ANTI-CORRUPTION 2016					
205-3	Confirmed incidents of corruption and actions taken	→ Sound corporate governance, Responsible business conduct, Policies & Charters	61		#16 Peace, justice and strong institutions
RESILIENCE AND LONG-TERM ORIENTED ECONOMIC PERFORMANCE					
GRI 103: MANAGEMENT APPROACH 2016					
103-1	Explanation of the material topic and its boundary	→ Risk Management	166		
103-2	The management approach and its components	→ Risk Management	166		
103-3	Evaluation of the management approach	→ Risk Management	166		
GRI 201: ECONOMIC PERFORMANCE 2016					
201-1	Direct economic value generated and distributed	→ Financial results → Community involvement	116 94		#5 Gender equality #7 Affordable and clean energy #8 Decent work and economic growth #9 Industry, innovation and infrastructure
GRI 207: TAX 2019					
207-1	Approach to tax	→ Sound corporate governance, Responsible business conduct, A fair taxpayer	63		#1 No poverty #10 Reduced inequalities #17 Partnerships for the goals
207-2	Tax governance, control and risk management	→ Financial results → Sound corporate governance, Responsible business conduct, A fair taxpayer	116 63		
207-4	Country-by-country reporting	→ Declaration of transparency, Country-by-country reporting	233		

GRI Standard	GRI Disclosure	References (→)/information	Page number	Omission	Link to SDG (based on SDG Compass)
CUSTOMER EXPERIENCE AND SATISFACTION					
GRI 103: MANAGEMENT APPROACH 2016					
103-1	Explanation of the material topic and its boundary	→ ESG fully embedded in the Belfius Strategy, Engaging with our stakeholders	46		
		→ Sound corporate governance, Responsible business conduct, Listening to our customers	66		
103-2	The management approach and its components	→ ESG fully embedded in the Belfius Strategy, Engaging with our stakeholders	46		
		→ Sound corporate governance, Responsible business conduct, Listening to our customers	66		
103-3	Evaluation of the management approach	→ Sound corporate governance, Responsible business conduct, Listening to our customers, For your Love, we do more	67		
INFORMATION SECURITY, PRIVACY AND DATA PROTECTION					
GRI 103: MANAGEMENT APPROACH 2016					
103-1	Explanation of the material topic and its boundary	→ Sound corporate governance, Responsible business conduct, Data privacy & information security	64		
		→ Non-Financial Risk - Operational Risk, Focus on key non-financial risks/domains	199		
103-2	The management approach and its components	→ Sound corporate governance, Responsible business conduct, Data privacy & information security	64		
		→ Non-Financial Risk - Operational Risk, Non-Financial Risk Management Framework	197		
103-3	Evaluation of the management approach	→ Sound corporate governance, Responsible business conduct, Data privacy & information security	64		
		→ Non-Financial Risk - Operational Risk, Focus on key non-financial risks/domains	199		
GRI 418: CUSTOMER PRIVACY 2016					
418-1	Substantiated complaints concerning breaches of customer privacy and losses of customer data	→ Sound corporate governance, Responsible business conduct, Data privacy & information security, Data Privacy	64		#16 Peace, justice and strong institutions
OPEN DIALOGUE WITH STAKEHOLDERS AND ACTIVE ENGAGEMENT					
GRI 103: MANAGEMENT APPROACH 2016					
103-1	Explanation of the material topic and its boundary	→ ESG fully embedded in the Belfius Strategy, Materiality assessment, Assessment process	41		
		→ ESG fully embedded in the Belfius Strategy, Materiality assessment, Materiality Matrix	43		
		→ ESG fully embedded in the Belfius Strategy, Engaging with our stakeholders	46		
		→ Sound corporate governance, Responsible business conduct, Listening to our customers	66		
103-2	The management approach and its components	→ ESG fully embedded in the Belfius Strategy, Materiality assessment, Assessment process	41		
		→ ESG fully embedded in the Belfius Strategy, Materiality assessment, Materiality Matrix	43		
		→ ESG fully embedded in the Belfius Strategy, Engaging with our stakeholders	46		
		→ Sound corporate governance, Responsible business conduct, Listening to our customers	66		
103-3	Evaluation of the management approach	→ Sound corporate governance, Responsible business conduct, Listening to our customers, For your Love, we do more	67		
		→ Human capital, Strong focus on health and wellbeing, especially in pandemic times, Employee satisfaction and engagement	101		

UN Global Compact Progress Index

Principles	References	Page number(s) and/or URL(s)
HUMAN RIGHTS		
Principle 1: Businesses should support and respect the protection of internationally proclaimed human rights; and	Belfius Human Rights Policy	Belfius Human Rights Policy
	Transition Acceleration Policy	TAP
Principle 2: make sure that they are not complicit in human rights abuses.	Belfius Human Rights Policy	Belfius Human Rights Policy
	Transition Acceleration Policy	TAP
LABOUR		
Principle 3: Businesses should uphold the freedom of association and the effective recognition of the right to collective bargaining;	Belfius Human Rights Policy	Belfius Human Rights Policy
	Human Capital, Strong focus on health and wellbeing, expecially in pandemic time, A structured approach to health and wellbeing	Annual Report 2021, p. 100
Principle 4: the elimination of all forms of forced and compulsory labour;	Transition Acceleration Policy	TAP
	Belfius Human Rights Policy	Belfius Human Rights Policy
Principle 5: the effective abolition of child labour; and	Transition Acceleration Policy	TAP
	Belfius Human Rights Policy	Belfius Human Rights Policy
Principle 6: the elimination of discrimination in respect of employment and occupation.	Belfius Human Rights Policy	Belfius Human Rights Policy
	Belfius Anti-discrimination Policy	Belfius Anti-Discrimination Policy
	Human Capital, An active Diversity and Inclusion (D&I) approach	Annual Report 2021, p. 103 - 105
	Human Capital, Specific focus on recruitment, Inclusive company culture	Annual Report 2021, p. 103
ENVIRONMENT		
Principle 7: Businesses should support a precautionary approach to environmental challenges;	Transition Acceleration Policy	TAP
	Adopting Taskforce on Climate-related Financial Disclosure recommendations	Annual Report 2021, p. 72 - 83
	Going green in our own operations	Annual Report 2021, p. 87 - 93
Principle 8: undertake initiatives to promote greater environmental responsibility; and	Transition Acceleration Policy	TAP
	Going green in our own operations	Annual Report 2021, p. 87 - 93
Principle 9: encourage the development and diffusion of environmentally friendly technologies.	Transition Acceleration Policy	TAP
	Meaningful growth	Annual Report 2021, p. 47 - 60
ANTI-CORRUPTION		
Principle 10: Businesses should work against corruption in all its forms, including extortion and bribery.	Belfius Anti-Bribery Policy	Belfius Anti-Bribery Policy
	Belfius Anti-fraud Policy	Belfius Anti-Fraud Policy
	Sound corporate governance, Policies & charters	Annual Report 2021, p. 61 - 62

UNEP FI Principles for Sustainable Insurance reporting

Principle 1: We will embed in our decision-making environmental, social and governance issues relevant to our insurance business.

Company strategy

Sustainability has always been part of the Belfius DNA. As society is facing growing environmental, social and governance (ESG) challenges, sustainability has increasingly become an indispensable component within our company's strategy. We work with regulators, brokers and customers to guarantee sustainable business practices and develop approaches to better manage underlying trends in the insurance industry. As part of our core purpose: "Meaningful & Inspiring for Belgian Society. Together.", Belfius aspires to creating long-lasting value for all of our stakeholders. With this vision as our guiding principle, we have defined a clear sustainability strategy with the objective of inspiring our customers to be in the driver's seat of their sustainability ambitions. In this way, together with our customers, we seek to achieve the greatest possible impact.

We accomplish this on the one hand through our 'walk the talk' concept: we do what we say in terms of sustainability and ensure a maximum positive contribution in everything we do. In addition, we put our customers in the driver's seat of their sustainability ambitions and support them through an adapted range of products and services. We also provide a strong framework through collaboration with sound partners who help lead the way in a complex and changing world.

Because the fight for climate is more than an environmental issue, we make daily efforts to not only support, but actively enable, the transition to a low-carbon, resilient and prosperous Belgian society as it is a crucial social change that we seek to encourage. We are committed to placing sustainability at the heart of our decisions and doing our part in the fight against climate change. That is why Belfius joined the Science Based Targets initiative (SBTi) in 2022 and why we are committed to setting our emissions reduction targets in line with the Paris Climate Agreement.

We are also aware of the complexity of finding solutions that meet both the needs of our clients and our sustainability goals. Within this context, we heavily invest in improving the quality of our data environment, in which ESG data plays a key role. As we understand that appropriate measurement and transparent reporting are keys to success, Belfius attaches great importance to having an open dialogue with stakeholders. Additionally, Belfius has established strong ESG governance with clear responsibilities at the highest levels and has explicitly integrated sustainability-linked criteria into the variable compensation of senior management positions. In addition, we continually make sure that all of our employees include sustainability at the heart of their decision-making.

Risk Management and underwriting

Introduction

As managers of risk, the insurance sector is exposed to ESG concerns. Traditionally, climate risk was considered mainly from the perspective of the non-life insurance business. The risks related to climate events were primarily managed via an appropriate risk (re)pricing based on historical data and mitigated by reinsurance. For insurance products, the underwriting of life risks might be impacted however, with the possibility of pricing being increasingly based on prospective rather than historical basis and the insurability of some risks currently covered by insurance policies becoming uncertain in the longer run.

Now, due to the escalating challenges posed by climate change, climate-related risks also encompass assets (risks due to transition or physical events).

In response to the increase in the frequency and severity of extreme weather events, considerable efforts have been devoted to assessing the significant issues related to climate change. With the objective of managing our exposure to climate-related risks, Belfius Insurance closely follows up on climate and sustainability risks. To this end, we have also included ESG risks in our Risk Management framework and have defined a dedicated Risk Appetite framework and suitable risk indicators. The aim of our Risk Management framework is to ensure that existing and emerging risks are eventually systematically and effectively identified, assessed, managed, and monitored.

Risk Roadmap

In order to ensure that ESG risks are gradually and systematically embedded into our governance, our processes and the existing Risk Management framework, a 3-year ESG Risk Roadmap, was designed and approved in 2021 by the Management Board. It focuses on three risk categories:

- ESG Regulatory requirements: risk of not respecting (ESG) regulatory requirements in due time
- ESG Strategy: risk that ambitions related to sustainability are deemed insufficient (by clients & other major stakeholders) or not reached on time
- Resilience Risk: risk that profitability and solvency are materially affected by ESG events

The implementation of the ESG Risk Roadmap was structured around different steps. We initially performed qualitative screening of our climate-related physical and transition risks ("Climate Risk Map"). Then, based on this risk map, we quantified the impact of such risks, convinced that measurement is key in efficient risk management.

A first climate stress scenario at company level was calibrated and the impact on our solvency ratio was computed. It should be noted that Belfius also closely analysed the climate stress tests proposed by several European supervisors, with the aim to improve our internal Climate Stress Test.

As a result, sustainability-related risks have been embedded in the risk appetite policy with dedicated key risk indicators (KRIs). These indicators have been defined and will need to be further developed in 2022. We have also started to collect energy performance information on assets linked to real estate properties (for both direct investment in Belgian real estate and mortgage loans) as a first step to measuring transition risks for these kinds of positions. The subsidence risk for Belfius Insurance's portfolio has been estimated based on an internal model and the first steps in the implementation of our TAP on financial assets have been taken.

Embed ESG in our risk management practices

In addition, in line with the ESG Roadmap and strategy, we took initiatives to embed ESG in our decisions, policies, processes and organisation. We applied sustainability criteria to several risk processes:

- Sustainability risks were included more accurately in the Risk Taxonomy
- Sustainability risks were added to the Risk Charter
- ESG considerations were added to the Investment Risk Framework and Real Estate Risk Framework. These are now also taken into account during the investment process
- Sustainability-related risks were integrated into the Risk Charter, Actuarial Function Charter, Remuneration Policy and Risk Taxonomy so as to comply with Solvency II regulation which requires the inclusion of sustainability risks in various aspects of risk management. Additional policies will be further reviewed in 2022 to include sustainability risks
- Sustainability elements have been embedded in the Risk and Control Self-Assessment (RCSA) for the Internal Control Report to be finalised in 2022.
- The identification, assessment, monitoring and management of these risks in now part of our Risk identification and Control Assessment Process (RiCap) and several ESG reflections have been included in the (product) approval process
- A review of sustainability risks aspects is regularly organised to monitor both regulatory evolutions and the development of good risk practices
- In line with Belfius Group's Transition Acceleration Policy (TAP), these screening principles are gradually being embedded in the underwriting guidelines over the course of 2021 – 2022.

Product and service development

By essence, an insurance company has an essential social role. It is our mission to protect and insure our clients against the financial risks related to serious life hazards (e.g. domestic or mobility accident, natural catastrophes, illness, hospitalisation, unemployment, disability or death). Since life is unpredictable, we seek to help our clients prevent those risks, protect them and their loved ones and facilitate their access to insurance solutions. To this end, we embed environmental, social and governance factors into our products and services.

In terms of insurance products, Belfius has adapted its processes, leading to the development of products to incorporate ESG criteria and facilitate the development of sustainable insurance solutions. Our aim is that each of our products and services should fully integrate our ambition and strategy.

For our non-life insurance products, we seize every opportunity to encourage our clients in their transition towards a net zero economy and society. We offer a wide range of products and services that answer to the needs of a large number of people and have a positive effect on the environment.

With regards to Property insurance for instance, we have widened our coverage to insure all initiatives that have a positive impact on reducing the Green House Gas (GHG) emissions of buildings (heat pumps, solar panels, batteries, etc..). But we go even further as, conscious of the need to protect those who do not own the car that they drive, we have extended our property coverage to customers looking for shared mobility solutions. It is essential that we support shared and circular economy initiatives as they will help ensure the maintenance of economic growth, while minimising GHG proliferation.

In terms of Mobility Insurance, we have adapted our pricing in relation to CO_2 emissions and kilometres driven, encouraging the transition to low carbon mobility. Furthermore, through our partnership with Cyclis, we are developing expertise in biking insurance.

As for our Life Insurance products, we adapted our Kite Invest products (Branch 23, EUR 2,7 Bn outstanding) to be fully compliant with the Belfius Transition Acceleration Policy.

Our aim to become a more sustainable organisation does not stop at offering insurance solutions. The underlying risk covered by insurance solutions should be universally understood, especially by our clients. That is why we invest in prevention and clear communication. In terms of prevention for example, in May 2021 we released information on costs related to hospitalisation due to Covid 19. 68% of respondants in a survey related to the issue were surprised with the results indicating these extra costs. With regards to clear communication, we have also adapted our terms and conditions, simplifying the way we explain what is covered and what is not. In 2022, we will invest in the education of our sales forces through various trainings to increase their understanding so as to better advise our clients.

Claims management

We also believe that our efforts should carry on during the whole lifecycle of our product offerings, which means even after the completion of the cycle. It is our engagement to serve our clients fairly, quickly and transparently. We developed MyBo in 2018 to facilitate the claim management process which has since then proven its efficiency.

The floods that occurred in July 2021 in Belgium showed the resilience and flexibility of our claims management processes. Not only was the number of impacted people high, but the extent of the damage was also unprecedented. We responded to this exceptional situation with specific meaningful and inspiring measures for our customers and partners. We defined fast track processes for expertise, rehousing, cash advances, payments and psychological counselling for those who were most in need. We succeeded in settling 55% of claims after three months and 77% after 6 months.

Even when we deploy many solutions however, complaints can always arise and we handle these in line with the expectations of the related Service Level Agreement. Those complaints are essential to improve our processes and allow our offerings to become even more meaningful for our clients in the future.

It should be noted that we take into account the whole value chain when it comes to claims management. Along with EcoVadis, we have carried out screenings of some our main suppliers with regards to sustainability since 2021. Based on these results, we will be taking various steps to improve the sustainability of our supply chain, together with our main partners.

Investment management

As an insurer with deep roots in Belgian society, a large part of Belfius Insurance's resources are invested in Belgian assets. Indeed, Belfius Insurance's contribution to the Belgian economy cannot be underestimated.

At the end of 2021, more than EUR 3.4 billion were invested in bonds issued by the Belgian State and Regions. Thanks to this investment, Belfius Insurance thus provides the State, Regions and, consequently, Belgian society, with significant resources that make it possible to intensify societal commitments.

In addition, EUR 8.6 billion (situation on 31 December 2021) is invested in other Belgian assets (corporate bonds, real estate, mortgages, loans, shares of Belgian companies, start-ups etc.), which contributes to relaunching or supporting different sectors of activity, including those most affected by the Covid crisis and those affected by the serious floods that took place in mid-July 2021 in Belgium.

We are also investing in the start-ups of the future through Birdhouse and W.I.N.G.S, two business incubators.

As per 31/12/21, we have a total amount of EUR 17.6 billion that is invested in the real economy, mainly in Belgium. Our engagement report gives more details on this.

It should also be noted that, when investing in the real economy, we limit our impact on the environment while maximising our impact on society and its resilience. We actively follow the Portfolio 21 principles and since March 2021 have incorporated our Transition Acceleration Policy into our strategy. This policy is based on a series of principles limiting Belfius Insurance exposure in sensitive sectors with negative impact on the environment and society. Our TAP will be fully applied by December 2022.

Principle 2: We will work together with our clients and business partners to raise awareness of environmental, social and governance issues, manage risk and develop solutions.

Our clients

Belfius is aware of the increasing environmental, social and economic challenges that our society is facing. To this end, we integrate ESG considerations into our decision-making processes to prevent and manage sustainability risks that might impact our strategy. Our group also takes these considerations into account when engaging with our different stakeholders to understand their expectations, but also to ensure the path towards a sustainable future.

In 2021 we performed a materiality assessment at Belfius Group Level to gain insights into the ESG-related topics that are relevant for our company. For more information on this, please refer to the Belfius Sustainability Report, section 4.2.

Customer experience and satisfaction was noted as being one of the main topics which has been a priority for our stakeholders since 2017. Indeed, our customers are central to our company's strategy and business model, mainly focused on retail clients. We measure customer satisfaction annually and we have set our target to 95% of satisfied clients. Our three brands (Belfius, DVV and Corona), whose value propositions are complementary, ensure an insurance experience in line with our clients' profiles. We are committed to fulfilling our customers' needs and ensuring the transparency of our products. We have a dedicated complaints process and we firmly believe that it is not only our duty to solve our customers' problems, but that it is also a business opportunity to adapt our processes.

As mentioned in principle 1, we offer a range of sustainable solutions and services that will help our customers in their transition to a low carbon economy and society, improving their resilience to climate hazards and other life hazards. We continuously inform them on ESG-related risks and, to support them with their daily operations, regularly develop a series of sustainable solutions to help them prepare for the potential negative effects of climate change (cf. Section 5.3.). Increasing our customers' awareness is a key priority for Belfius and to do so we provide additional information on our investment products (Life Invest products) to increase our clients' knowledge of ESG risks. With regards to our property products and mortgages, we regularly inform clients on the different climate associated risks they may face (flooding and drought for instance) and how to help mitigate these.

Our suppliers

Our business partners also play an important role in our transition to a low-carbon economy. Belfius is aware of the need to manage its supply chain in a sustainable manner and to ensure that we maintain a constant dialogue with our suppliers so that they may take appropriate mitigating actions. This is crucial in terms of continuity, reputation and cost, as we have the ambition to make affordable insurance solutions available to all of our clients. Within this context, we have selected EcoVadis as our partner to screen our existing and new suppliers and advocate for these changes. We believe it is not only important for Belfius Insurance to understand our suppliers' exposures related to ESG risks, but it is also considered by our suppliers as an opportunity to understand and improve their own processes. Modifications have been made accordingly, including to our tender process, to screen new suppliers so as to embark on the sustainability journey together from the very beginning.

Insurers, reinsurers and intermediaries

In order to maintain the reputation of the Insurance industry, we work together with other organisations to increase our expertise in the sector. To this effect, Belfius Insurance played a central role together with AXA, AG Insurance and Ethias in the development of the ESG Action Plan aimed at helping the entire sector to endorse more sustainable behaviours. The Action Plan has been validated and we continue working with our peers to strengthen sustainability in the sector.

Furthermore, Belfius Insurance has always seen reinsurance as an indispensable risk mitigator. Reinsurers help us to measure and assess, amongst others, risks associated with natural catastrophes. Following the July 2021 flooding in Belgium, it appeared how crucial and efficient our reinsurance plan was.

Principle 3: We will work together with governments, regulators and other key stakeholders to promote widespread action across society on environmental, social and governance issues.

Governments, regulators and other policymakers

The EU Commission has developed an ambitious action plan that makes the European Union the first in the world to answer to the commitments made during the Paris Agreement in 2015. The first regulations that have been issued in that regard are the SFDR (Sustainable Finance Disclosure Regulation) and the EU Taxonomy. Other existing regulations have been amended such as the IDD (Insurance Distribution Directive), Solvency II and the NFRD (Non-Financial Reporting Directive), which will be replaced by the CSRD (Corporate Sustainability Reporting Directive) in the future. This is mainly aimed at redirecting financial flows where they can have a positive impact, enhancing our risk management and increasing transparency in the financial sector, allowing for better investment decisions.

To this effect, Belfius developed a dedicated project to adequately respond to the different regulatory requirements it is subject to. A dedicated team operates the legal watch. Regular dialogue with different stakeholders such as Assuralia, Insurance Europe, EIOPA (European Insurance & Occupational Pensions Authority) and FSMA (Financial Services & Markets Authority) aims to facilitate the implementation of these regulations. The National Bank of Belgium has also carried out an inspection of the management of our Climate Risk roadmap.

Philantropic Organisations

Belfius has a strong tradition of supporting social projects - social commitment is in our DNA and at the heart of our strategy. Every year, Belfius staff actively support various charities and other initiatives. In line with our strategy, we work to create a favourable social atmosphere through meaningful and long-term partnerships with organisations in Belgium that work for those who have been given fewer opportunities in life. We implement projects and initiatives to support children, young people and the disadvantaged, and promote access to culture for all.

- Red Nose Day: One out of every five Flemish youths suffer from mental health problems, often with serious consequences - yet tens of thousands of young people do not find the care they need, or have not yet received it. In collaboration with VTM, Qmusic and Het Laatste Nieuws, Belfius has supported Red Nose Day, which focusses on remedying this situation, from its inception (see also section 9.1.1.)

- Viva for Life: Belgium has one of the highest rates of child poverty in Europe. This social issue concerns around 80,000 children in our country. Combatting child poverty must therefore be a strategic priority because we, as Belfius, believe children are the future. That is why Belfius has been supporting Viva for Life, the biggest end-of-year charity initiative in French-speaking Belgium that is committed to the fight against child poverty. It is run by the Belgian radio and television station RTBF, in partnership with charity Cap 48 and Belfius, who has been its main sponsor since 2016.

Principle 4: We will demonstrate accountability and transparency in regularly disclosing publicly our progress in implementing the Principles.

Once a year we publish an extended Sustainability Report in which we provide further information on our annual accomplishments. All our reports and continuous progress are also available on the Belfius website . Our yearly engagement report with regards to our investment portfolio is also published.

In 2021, we developed an ESG Dashboard in which a series of our Key Performance Indicators (KPIs) in line with our strategy will be disclosed.

Additionally, Belfius collaborates with other external stakeholders, such as non-governmental associations or environmental, social & governance (ESG) rating agencies, with the ambition to enhance our existing policies and increase transparency within the insurance sector.

UNEP FI Principles for Responsible Banking reporting

Belfius Bank signed the United Nations Environment Programme Finance Initiative (UNEP FI) Principles for Responsible Banking (PRB) in April 2020. The first UNEPFI PRB report, published in december 2021 provides Belfius' stakeholders an understanding on Belfius' progress and commitment towards the Principles in line with the UN Sustainable Development Goals (SDGs) and the Paris Climate Agreement. This first report is published in full below, except for the references which have been updated with new 2021 reporting material.

Reporting and Self-Assessment Requirements	High-level summary of bank's response	Reference(s)/ Link(s) to bank's full response/ relevant information
PRINCIPLE 1: ALIGNMENT We will align our business strategy to be consistent with and contribute to individuals' needs and society's goals, as expressed in the Sustainable Development Goals, the Paris Climate Agreement and relevant national and regional frameworks.		
1.1. DESCRIBE (high-level) your bank's business model, including the main customer segments served, types of products and services provided, the main sectors and types of activities, and where relevant the technologies financed across the main geographies in which your bank has operations or provides products and services.	Belfius Bank is licensed as a credit institution in accordance with the Belgian Banking Law. As a Belgian bank-insurer, Belfius serves all segments of the Belgian economy, including individuals, small and medium enterprises (SMEs), corporates, and public and social sectors. As of 31 December 2020, Belfius was positioned as the second largest retail bank-insurer in Belgium with 3.7 million customers; the third largest bank for SMEs with approximately 0.3 million professional customers; the largest bank in the public sector with almost 100% penetration; and the third largest bank for corporates, serving approximately 50% of the companies in the Belgian market with a turnover equal to or above EUR 10 million. Belfius serves approximately 30% of the Belgian population. Belfius' integrated business model is based on creating and leveraging synergies across these client segments, as well as its products and businesses. Believing in its role in the sustainable development of Belgium, Belfius strongly invests in all segments of the society: → The public and social sector such as local and federal authorities, inter-municipal companies, hospitals, care homes, social housings and education centres are offered wide and integrated range of products and services, including but not limited to credit lending, treasury management and financial markets products. → Belfius equally provides financing to business and corporate banking clients ranging from the self-employed, liberal professions and small enterprises to the medium-sized and large corporates. Belfius seeks to support them throughout their entire lifecycle with a comprehensive package of products and services for both business and private needs (credits, transaction banking, financial market products, pension insurance, digital accessibility etc.). → Moreover, Belfius finances individuals including private and wealth management clients. As a bank-insurer, Belfius helps customers protect and develop their assets through cross-selling along the whole product range such as payments, savings, mortgages and consumer finance, non-life and life insurances, investments and insurance-investments.	Annual report 2021 Profile of Belfius, p 5 A fair taxpayer p. 63 Segment report p 128 - 130

Reporting and Self-Assessment Requirements	High-level summary of bank's response	Reference(s)/ Link(s) to bank's full response/ relevant information
1.1. CONTINUED	With an essentially Belgian balance sheet for its commercial activities, Belfius is committed to maximal customer satisfaction and added social value by offering products and services with added value through a modern omni-channel distribution model, which includes branches, bankers, Belfius Connect, and digital channels. Belfius is a proud leader in mobile banking in Belgium. Belfius Bank that signed the United Nations Environmental Programme Finance Initiative (UNEP FI) Principles for Responsible Banking (PRB) is the parent company of the Belfius Group. Its major commercial subsidiaries focus on the Belgian market: Belfius Insurance (BI, insurer), Belfius Investment Partners (BIP, asset manager), Belfius Lease & Lease Services (leasing), Belfius Autolease (car leasing), Belfius Commercial Finance (factoring), Crefius (servicing and managing mortgage loans). For some very specific activities, entities are maintained in Luxembourg and Ireland: → Belfius Financing Company SA issues certain securities to external investors. For technical and operational reasons, it has been decided that these issuances take place in Luxembourg. Belfius Insurance Finance manages a portfolio of shares and bonds there in full transparency vis-à-vis the Belgian tax authorities after receiving a positive ruling in Belgium. → Ireland-based Belfius Ireland controls a historical long-term bond portfolio, however this portfolio is currently being wound down. Belfius' Irish presence does not constitute a case of tax optimisation as there is no shift of taxable base from Belgium to Ireland.	
1.2. DESCRIBE how your bank has aligned and/or is planning to align its strategy to be consistent with and contribute to society's goals, as expressed in the Sustainable Development Goals (SDGs), the Paris Climate Agreement, and relevant national and regional frameworks.	The 17 Sustainable Development Goals (SDGs or Global Goals) adopted by all United Nations Member States in 2015 is a universal call to action for sustainable development to end poverty, protect the planet and ensure peace and prosperity. The SDGs serve as guiding principles for Belfius' corporate sustainability strategy. Considering its business context and core activities, Belfius prioritised five SDGs (SDG 7-Affordable and Clean Energy, SDG 8-Decent Work and Economic Growth, SDG 9-Industry, Innovation & Infrastructure, SDG 11-Sustainable Cities and Communities, SDG12-Responsible Consumption & Production), where we believe we can and aim to create the greatest positive impact. Always aligning its business strategy with its values, Belfius strives to contribute to the SDGs through its product and service offering when possible. Belfius has historically been a bank that is active in public and social sector in Belgium, financing core infrastructure investments in the country for an inclusive and prosperous society. While many of the banking and insurance activities of Belfius contribute to the SDGs, Belfius' Funds of the Future, first launched in 2019, is a particular example where Belfius invests in different social and environmental themes that contribute to at least one of the Global Goals. Acknowledging the urgency of climate crisis, Belfius actively participates in local and international initiatives to better align its business with the objectives of the Paris Climate Agreement. At Belgian level, Belfius participated in the launch of the Belgian Alliance for Climate Action (BACA) in 2020, a joint initiative of the Belgian sustainable development network (The Shift) and WWF Belgium. The alliance brings together companies and organisations with a strong intention to pave the way to a low carbon economy by increasing their climate ambitions in line with the Paris Climate Agreement. To that end, Belfius has committed to set 'science-based targets' as part of its decarbonisation strategy. Belfius already achieved carbon neutrality for its own operations by investing in projects to offset its carbon emissions, and is planning on accounting and decreasing its climate impact of its financed emissions in the future.	Annual report 2020 p. 22 - 23

Reporting and Self-Assessment Requirements	High-level summary of bank's response	Reference(s)/ Link(s) to bank's full response/ relevant information

PRINCIPLE 2: IMPACT AND TARGET SETTING

We will continuously increase our positive impacts while reducing the negative impacts on, and managing the risks to, people and environment resulting from our activities, products and services. To this end, we will set and publish targets where we can have the most significant impacts.

2.1. IMPACT ANALYSIS

Show that your bank has identified the areas in which it has its most significant (potential) positive and negative impact through an impact analysis that fulfills the following elements:

a) Scope: The bank's core business areas, products/services across the
b) main geographies that the bank operates in have been as described under 1.1. have been considered in the scope of the analysis.
c) Scale of Exposure: In identifying its areas of most significant impact the bank has considered where its core business/its major activities lie in terms of industries, technologies and geographies.
d) Context & Relevance: Your bank has taken into account the most relevant challenges and priorities related to sustainable development in the countries/regions in which it operates.
e) Scale and intensity/salience of impact: In identifying its areas of most significant impact, the bank has considered the scale and intensity/salience of the (potential) social, economic and environmental impacts resulting from the bank's activities and provision of products and services.
(your bank should have engaged with relevant stakeholders to help inform your analysis under elements c) and d))

Show that building on this analysis, the bank has

→ Identified and disclosed its areas of most significant (potential) positive and negative impact
→ Identified strategic business opportunities in relation to the increase of positive impacts / reduction of negative impacts

Serving approximately one third of the population, Belfius is a major player in the Belgian financial sector and is continuously monitoring the social, economic and environmental impacts resulting from its activities. In order to assess and understand its positive and negative impacts, Belfius utilised the second iteration of the Portfolio Impact Analysis Tool for Banks that is jointly developed by signatories of the PRB and UNEP FI Member Banks.

Through its impact analysis, based on the loan portfolio as of 30 June 2021, Belfius worked towards identifying its impacts related to its consumer, investment, business and corporate and public banking activities in Belgium. The main sectors and industries financed by Belfius were public administration, construction and real estate, activities of holding companies and retail.

Considering Belgium's country needs (as pre-defined in UNEP FI Impact Analysis tool) and Belfius' portfolio exposure, the analysis conducted through the Portfolio Impact Analysis Tool generated the following results:

→ The potential positive impacts areas associated with Belfius' portfolios include : access to decent housing, public debt management, quality and availability of water, waste management, the efficient use of resources (water, energy, raw materials etc.) and climate change.
→ The potential negative impacts areas associate with Belfius' portfolios include : public debt management, quality and availability of water, waste management, the efficient use of resources (water, energy, raw materials etc.) and climate change.

This first UN PRB report of Belfius Bank presents an overview of activities carried out by Belfius in implementing the Principles in 2021 to fully align itself with the Principles within 4 years timeframe. In the following years, Belfius will conduct an assessment of its performance with regard to potential positive and negative impacts enlisted above to finalise its portfolio impact analysis.

Additionally, Belfius will focus on helping its clients to facilitate the transition to more sustainable opportunities in the sectors with higher exposure to social and environmental impacts.

PLEASE PROVIDE YOUR BANK'S CONCLUSION/STATEMENT IF IT HAS FULFILLED THE REQUIREMENTS REGARDING IMPACT ANALYSIS.
Belfius Bank started to conduct its impact analysis exercise using the Portfolio Impact Analysis Tool and identified its potential positive and negative impacts that are associated with its consumer, investments, business and corporate and public banking portfolios considering its sectoral and client exposure as well as Belgium's country needs. The next step in this process will be to finalise the impact analysis based on Belfius' performance assessment with regard to the potential positive and negative impacts identified in this first step.

Reporting and Self-Assessment Requirements	High-level summary of bank's response	Reference(s)/ Link(s) to bank's full response/ relevant information
2.2. TARGET SETTING Show that the bank has set and published a minimum of two Specific, Measurable (can be qualitative or quantitative), Achievable, Relevant and Time-bound (SMART) targets, which address at least two of the identified "areas of most significant impact", resulting from the bank's activities and provision of products and services. Show that these targets are linked to and drive alignment with and greater contribution to appropriate Sustainable Development Goals, the goals of the Paris Agreement, and other relevant international, national or regional frameworks. The bank should have identified a baseline (assessed against a particular year) and have set targets against this baseline. Show that the bank has analysed and acknowledged significant (potential) negative impacts of the set targets on other dimensions of the SDG/climate change/society's goals and that it has set out relevant actions to mitigate those as far as feasible to maximize the net positive impact of the set targets.	Belfius has been communicating on its sustainability efforts for some years now and listed overall ESG ambitions in its 2019 Sustainability Report. In the meantime, Belfius has increasingly been channeling its sustainability DNA into its strategic vision and is now working on the elaboration of a new ESG core dashboard. Following the completion of the portfolio impact analysis exercise as part of Belfius' engagement with UN PRB, Belfius Bank will further review its targets. As a group, Belfius already firmly committed to the following ambitions until now: → Achieve a 44% representation of women at senior management level by 2025. → Maintain CO_2-neutrality for Belfius' own operations (i.e. excluding financed emissions).	Annual report 2021 p. 41

PLEASE PROVIDE YOUR BANK'S CONCLUSION/STATEMENT IF IT HAS FULFILLED THE REQUIREMENTS REGARDING TARGET SETTING.
Belfius Bank is gradually putting in place time-bound targets around climate and diversity. Belfius Bank is currently in the process of finalising its first impact analysis that will allow Belfius Bank to set targets in the following years to address positive and negative impacts associated with its portfolio.

2.3. PLANS FOR TARGET IMPLEMENTATION AND MONITORING Show that your bank has defined actions and milestones to meet the set targets. Show that your bank has put in place the means to measure and monitor progress against the set targets. Definitions of key performance indicators, any changes in these definitions, and any rebasing of baselines should be transparent.	Belfius' actions towards achieving its overall ESG targets have been communicated in its 2020 Annual Report and will again be reported on in the 2021 Annual Report. Following the completion of the portfolio impact analysis exercise as part of Belfius' engagement with UN PRB, Belfius Bank will review its targets and develop additional action plans as needed.	

PLEASE PROVIDE YOUR BANK'S CONCLUSION/STATEMENT IF IT HAS FULFILLED THE REQUIREMENTS REGARDING TARGET SETTING.
Belfius Bank is gradually putting in place time-bound targets around climate and diversity. Belfius Bank is currently in the process of finalising its first impact analysis that will allow it to set targets in the following years to address positive and negative impacts associated with its portfolio and report on actions undertaken to reach these targets.

Reporting and Self-Assessment Requirements	High-level summary of bank's response	Reference(s)/ Link(s) to bank's full response/ relevant information
2.4. PROGRESS ON IMPLEMENTING TARGETS For each target separately: Show that your bank has implemented the actions it had previously defined to meet the set target. Or explain why actions could not be implemented / needed to be changed and how your bank is adapting its plan to meet its set target. Report on your bank's progress over the last 12 months (up to 18 months in your first reporting after becoming a signatory) towards achieving each of the set targets and the impact your progress resulted in. (where feasible and appropriate, banks should include quantitative disclosures)	Belfius' progress towards achieving its overall ESG targets have been communicated in its 2020 Annual Report and will again be communicated in the 2021 Annual Report. Following the completion of the portfolio impact analysis exercise as part of Belfius' engagement with UN PRB, Belfius Bank will review its targets and report on the progress and actions undertaken to meet the set targets.	

PLEASE PROVIDE YOUR BANK'S CONCLUSION/STATEMENT IF IT HAS FULFILLED THE REQUIREMENTS REGARDING TARGET SETTING.
Belfius Bank is gradually putting in place time-bound targets around climate and diversity. Belfius Bank is currently in the process of finalising its first impact analysis that will allow it to set targets in the following years to address positive and negative impacts associated with its portfolio and monitor progress towards these targets.

Reporting and Self-Assessment Requirements	High-level summary of bank's response	Reference(s)/ Link(s) to bank's full response/ relevant information
PRINCIPLE 3: CLIENTS AND CUSTOMERS We will work responsibly with our clients and our customers to encourage sustainable practices and enable economic activities that create shared prosperity for current and future generations.		
3.1. PROVIDE an overview of the policies and practices your bank has in place and/or is planning to put in place to promote responsible relationships with its customers. This should include high-level information on any programmes and actions implemented (and/or planned), their scale and, where possible, the results thereof.	Customers are at the heart of Belfius' business strategy. Establishing a lasting relationship with customers and engaging with them in a responsible and transparent way is a key factor in building long-term relationships. Belfius **Customer Acceptance Policy** and **Transition Acceleration Policy** are the cornerstones of Belfius' responsible engagements with its clients. Belfius aims to ensure that sustainable and responsible business practices are adopted and implemented by all business lines and customers. In addition to its internal policies Belfius adheres to the code of conduct of Febelfin, the Belgian financial sector federation, to remain true to the values of the sector in its daily interactions with customers. Belfius also follows the code of conduct of BeCommerce, the federation of Belgian companies active in e-commerce to enable consumers to make online purchases reliably and securely. In line with its values as a responsible bank-insurer, Belfius expects that its principles of responsibility, honesty and professionalism are adopted and embraced by all of its employees. To that end, **Belfius Code of Conduct, Anti-Discrimination Policy and Whistleblowing Policy** serve as guiding principles for its employees while engaging with Belfius customers. Each year Belfius employees receive compulsory trainings on ethical and compliance-related issues. The training courses are refreshed every two to three years, with ad hoc training cycles also organised for certain profiles. Each employee has his or her own dashboard in which all planned and completed training courses are displayed and monitored by HR and Compliance. The above-mentioned policies are available on Policies & Charter website, which provides an overview of all relevant Belfius policies in the field of sustainability.	Annual report 2021 p. 61 - 63
3.2. DESCRIBE how your bank has worked with and/or is planning to work with its clients and customers to encourage sustainable practices and enable sustainable economic activities. This should include information on actions planned / implemented, products and services developed, and, where possible, the impacts achieved.	**Belfius' engagement activities** As a key bank-insurer in Belgium, Belfius believes that it has a crucial role within the society to facilitate and promote transition of the Belgian economy to sustainable economic activities in line with the vision of a European Green Deal. To achieve this objective Belfius developed its Transition Acceleration Policy that aims to both exclude certain activities that are considered unsustainable (e.g. tobacco production and gambling) and to support clients' transition to a low carbon and just economy, while respecting United Nations Global Compact principles. The scope of the policy covers all processes of Belfius Group such as client onboarding, loan and leasing origination, and investment offer amongst others. Belfius' ambition is to have all client relations, products and portfolios come in line with this policy by 31 December 2022, provided this is legally and contractually allowed. It is Belfius' ambition to further develop the Transition Acceleration Policy's reach over time, timely addressing emerging societal or market evolutions as well as covering voluntary commitments (e.g. Science Based Targets Initiative-SBTi, UNEP FI) and upcoming legislations (the EU taxonomy, corporate due diligence and vigilance). The majority of funds distributed by Belfius are produced and managed by either its subsidiary Belfius Investment Partners (IP) or its strategic partner Candriam. Fund managers in both organisations maintain an active and constructive dialogue with the companies in which their respective funds invest. By making their views, concerns and ideas known to the management of these companies, asset managers seek to influence decisions made by top management towards more sustainable business practices. In line with this approach Belfius Investment Partners, a signatory to the United Nations Principles for Responsible Investment (UNPRI) constantly monitors its investment portfolios and integrates ESG criteria when selecting underlying instruments (funds, trackers). For more detailed information on Belfius IP's engagement approach please see Belfius IP Engagement Policy.	Annual report 2021 p 47 - 60 p 62 - 63

Reporting and Self-Assessment Requirements	High-level summary of bank's response	Reference(s)/ Link(s) to bank's full response/ relevant information
3.2. CONTINUED	**Belfius' product and service offering** In line with its sustainability vision, Belfius constantly develops and offers financial solutions that enable its clients and customers to adopt more sustainable activities and business models. Major new strategic initiatives launched by Belfius Bank over the course of 2021, guided by its desire to contribute to a more sustainable Belgian economy and society are as follows: → Re=Bel, a brand new investment application that is accessible to all, allows investing that contribute to an ESG cause → Beats, an innovative payment and telecom offer for retail customers with a societal angle that enables the customers to select the causes (health, planet or people) they want Belfius to support for them → Banx, platform imagined by Proximus, powered by Belfius allowing users to more consciously manage their banking activities and understand which of their purchases are good for the planet and which are not through a personal CO_2 footprint dashboard Furthermore, Belfius Bank actively participates in sustainable lending programs offered by European institutions such as the European Investment Bank (EIB) or European Investment Fund (EIF) to contribute to sustainable economic activities of its clients and customers. Major programs to which Belfius participated are as follows: → In collaboration with EIB as part of the European Private Finance for Energy Efficiency program, Belfius Bank launched Belfius Energy Efficiency Package (BEEP), which is a unique financing package for companies, public authorities, educational institutions and social profit organisations who wish to invest in reducing their energy consumption, switching to alternative energy sources or producing their own energy. → Belfius Bank was also awarded a grant from European Local Energy Assistance (ELENA) initiative to actively assist its public and social profit customers in the development of energy efficiency and building-linked renewable energy programmes. → Belfius Bank is in a preferential credit partnership with the EIB on projects/investments related to smart cities, climate action and circular economy. Belfius also offers its retail customers green products and services such as its Green Renovation Loan for financing construction and renovation projects that contribute to energy-savings in the Belgian households, Eco (Plus) Car loan, bicycle loan as well as reductions in Belfius Car premiums for customers who limit their ecological footprint. Understanding the positive impact that can be achieved through capital markets in May 2021 Belfius issued its inaugural green bond in line with the ICMA Green Bond Principles (2018), with an issuance of EUR 500 million. The proceeds of the issuance will be utilised towards financing/refinancing green projects/investments that contribute to renewable energy, energy efficiency, clean transportation, green real estate or waste and water management. Building on its expertise and experience Belfius also supports green and sustainability bond issuances of its clients, helping them to strengthen their sustainability policies.	

Reporting and Self-Assessment Requirements	High-level summary of bank's response	Reference(s)/ Link(s) to bank's full response/ relevant information

PRINCIPLE 4: STAKEHOLDERS
We will proactively and responsibly consult, engage and partner with relevant stakeholders to achieve society's goals.

4.1. DESCRIBE which stakeholders (or groups/ types of stakeholders) your bank has consulted, engaged, collaborated or partnered with for the purpose of implementing these Principles and improving your bank's impacts. This should include a high-level overview of how your bank has identified relevant stakeholders and what issues were addressed/results achieved.	Belfius regularly consults and engages with its stakeholders, more specifically customers, employees and unions, civil society, shareholder, sectoral organisations, prudential supervisors as well as rating agencies and sustainability analysts. The aforementioned stakeholders were identified considering relevant stakeholders that are impacted by Belfius' activities as well as their impact on Belfius. These interactions with stakeholders take place on regular basis through different channels depending on the nature of Belfius' relationship with them. The dialogue with stakeholders allows Belfius to understand their expectations regarding Belfius' environmental and social impact as well as inform them about Belfius' sustainability strategy and objectives. Belfius first conducted a materiality analysis in 2017 to determine which topics should be considered as "material" for Belfius with regard to sustainability. The results of this exercise were presented in a materiality matrix, which highlighted the list of material topics. These topics, along with those having a strategic impact on Belfius, were incorporated to a maximum extent in the definition of ESG risk management, the development of sustainability policies and the formulation of Belfius' overall strategy. Belfius is currently (Q4 2021) engaging with stakeholders (a selection of customers, suppliers & partners, NGO, academics, trade unions and employees) through a questionnaire with a double objective : to confirm that Belfius' group-wide strategy and sustainability commitments are tackling issues that stakeholders consider relevant towards a sustainable Belgian society, as well as to identify any additional topics that are material to Belfius' stakeholders and might not be included in Belfius' strategy yet. The results of this assessment will be published in the 2021 Sustainability Report and will serve as a basis for further inspiration to refine Belfius' ESG strategy and structure its actions to address the changing world around Belfius. In the purpose of implementing the Principles and improving Belfius' impact on society and environment, Belfius actively engages with several sustainability initiatives and sectoral organisations both at local and international level. Acknowledging the United Nations' role, on top of being a signatory to the UN PRB initiative, Belfius is also a signatory to the United Nations Global Compact, UN Principles for Sustainable Insurance (Belfius Insurance) and the PRI (Belfius Investment Partners). Participation in these initiatives allow Belfius to be part of a collective action and share experiences around sustainable finance. With regard to sectoral organisations, while Belfius Bank actively participates in and contributes to workgroup activities organised around sustainability by Febelfin, Belfius Insurance engages in workgroups at Assuralia, the sectoral federation of insurance companies operating in the Belgian market. In 2020 as part of its commitment to climate action and to better align with the objectives of the Paris Climate Agreement, Belfius participated in the launch of the BACA. This participation underscores Belfius' ambition to better fulfil expectations of the Principles. Accordingly, Belfius is also member of Partnership for Carbon Accounting Financials (PCAF), a global partnership of financial institutions for greenhouse gas accounting and disclosure in the sector that will allow Belfius to identify its impacts and set credible targets. At the local level Belfius is a member of the sustainability community The Shift as well as Belgian Institute for Sustainable IT (ISIT-BE), a think and do tank bringing together Belgian companies, organizations and individuals to help them succeed in their digital transition while reducing the environmental and social footprint of their IT services and usages. Further confirming Belfius' commitment to the SDG 5 on gender equality Belfius is also a signatory to the Women in Finance Diversity Charter for a more balanced and fair financial service industry.	Annual report 2021 p. 41 - 46

Reporting and Self-Assessment Requirements	High-level summary of bank's response	Reference(s)/ Link(s) to bank's full response/ relevant information
PRINCIPLE 5: GOVERNANCE & CULTURE We will implement our commitment to these Principles through effective governance and a culture of responsible banking.		
5.1. DESCRIBE the relevant governance structures, policies and procedures your bank has in place/is planning to put in place to manage significant positive and negative (potential) impacts and support effective implementation of the Principles.	The Board of Directors of Belfius Bank defines and supervises the strategy and objectives of the Bank, as well as the risk management, including the level of risk appetite, at the proposal or recommendation of the Management Board. This also includes the ESG strategy and risks. Also, as Belfius Bank is head of the Belfius Financial Conglomerate, Belfius Bank's Board of Directors is responsible for the general policy, risk appetite and strategy (including ESG) of the Belfius Group and the compliance of the subsidiaries herewith. The Risk Committee at Board of Directors level has advisory powers and responsibilities with regard to the Board of Directors on setting current and future risk appetite and strategy, including on ESG and climate risk, as well as monitoring its implementation. The Management Board is responsible for the effective management of the Bank, directing and coordinating the activities of the various business lines and support departments within the framework of the objectives, strategy, risk and general policy set by the Board of Directors. Belfius' Group Committee manages and oversees group strategic matters including the sustainability strategy and its implementation for the banking and insurance group. It is responsible for the implementation of the mandatory regulations and voluntary commitments on ESG, such as the Principles for Responsible Banking or Principles for Sustainable Insurance. In 2021 Belfius Group Committee comprised of five members of the Management Board of Belfius Bank, the chairman and CFO of the Management Board of Belfius Insurance and three associated members of the Management Board of Belfius Bank, who join the Committee in an advisory capacity. At executive level, both Belfius Bank CEO and Belfius Insurance CEO sponsor the ESG strategy. An ESG program and steering was set-up to monitor the implementation of the ESG strategy as well as the mandatory and voluntary commitments. Twelve ESG workstreams were formed, responsibilities for the streams were assigned to the members of the Management Board, and each workstream has a tracker on senior management level. A monthly steering ('strategic domain committee' ESG), bringing together the various trackers and covering the whole Belfius organisation, closely follows up on progress of each of these streams. At Belfius Bank, the Head of Sustainability is accountable to the CEO. She heads the ESG Coordination Team and is in charge of the overall coordination of the group-wide ESG strategy. She works in close collaboration with the Sustainability Manager of Belfius Insurance. Both parties conduct a systematic dialogue on ESG affairs with key internal and external stakeholders. As a result of Belfius' engagement with voluntary initiatives as well as the integration of ESG matters into existing or new regulatory requirements by regulators and prudential supervisors, Belfius attributed responsibilities around sustainable finance to existing decision-making structures. Nevertheless, Belfius is in the process of assessing the benefit of a more dedicated governance approach for the upcoming year.	Annual report 2021 p 70 - 71 p 204 - 207 p 220 - 221

Reporting and Self-Assessment Requirements	High-level summary of bank's response	Reference(s)/ Link(s) to bank's full response/ relevant information
5.2. DESCRIBE the initiatives and measures your bank has implemented or is planning to implement to foster a culture of responsible banking among its employees. This should include a high-level overview of capacity building, inclusion in remuneration structures and performance management and leadership communication, amongst others.	Belfius' corporate culture relies on four overarching values: customer orientation, authenticity, fairness and entrepreneurship spirit. These values ensure that customer expectations are at the centre of Belfius' business, each person's individuality and differences are respected. Belfius seeks a fair balance between the interests of all stakeholders, to create sustainable long-term value for its customers, society as a whole, the environment and Belfius' organisation. In line with its core values, sustainability lies at the heart of Belfius' business strategy. Belfius 2025 Strategy, shared across the internal organisation, puts forward the need to integrate sustainability in all aspects of its business. This is an aspect that is fundamental to Belfius' purpose "Belfius, meaningful and inspiring for Belgian society. Together." Belfius also integrates ESG-related objectives to the senior managers' variable remuneration. The ESG-related objectives cover the topics on customer satisfaction, employee engagement & well-being, diversity, leadership development and Belfius Group's ESG rating performance. Moreover, Belfius strives to integrate and adopt all aspects of sustainability in Belfius' work environment. Hence, in 2019 Belfius became a signatory to the Women in Finance Diversity Charter, an initiative to improve gender equality in the financial sector. Adopting the principles of the Charter, Belfius actively promotes gender equality at the workplace through several activities such as webinars and awareness-raising communications via its intranet. When it comes to Belfius' operational environmental impact, Belfius' building management seeks continuously to increase efficiency in energy and water consumption, while reducing waste generation. Lastly, as a firm believer of promoting behavioural change within and ownership by the employees on ESG related topics, Belfius encourages employees with an interest in sustainability to share this passion through the "Train Your Colleagues sessions".	ESG and remuneration policy Annual report 2021 p 38 - 40 p 61 - 63 p 102
5.3. GOVERNANCE STRUCTURE FOR IMPLEMENTATION OF THE PRINCIPLES Show that your bank has a governance structure in place for the implementation of the PRB, including: a) target-setting and actions to achieve targets set b) remedial action in the event of targets or milestones not being achieved or unexpected negative impacts being detected.	As stated in section 5.1. Belfius' Group Committee manages and oversees group-wide strategic matters such as the sustainability strategy, mandatory regulations and voluntary commitments on ESG, including the UN PRB. Sponsored by the CEO, Belfius' sustainability manager drives the implementation of UN Principles for Responsible Banking, leveraging the ESG Program and steering. However, Belfius is in the process of assessing the benefit of a more dedicated governance approach for the upcoming year.	

PLEASE PROVIDE YOUR BANK'S CONCLUSION/ STATEMENT IF IT HAS FULFILLED THE REQUIREMENTS REGARDING GOVERNANCE STRUCTURE FOR IMPLEMENTATION OF THE PRINCIPLES.
Belfius' Group Committee oversees the implementation of the Principles. Belfius is in the process of assessing the benefit of a more dedicated governance approach for the upcoming year.

Reporting and Self-Assessment Requirements	High-level summary of bank's response	Reference(s)/ Link(s) to bank's full response/ relevant information

PRINCIPLE 6: TRANSPARENCY & ACCOUNTABILITY
We will periodically review our individual and collective implementation of these Principles and be transparent about and accountable for our positive and negative impacts and our contribution to society's goals.

Reporting and Self-Assessment Requirements	High-level summary of bank's response	Reference(s)/ Link(s) to bank's full response/ relevant information
6.1. PROGRESS ON IMPLEMENTING THE PRINCIPLES Show that your bank has progressed on implementing the six Principles over the last 12 months (up to 18 months in your first reporting after becoming a signatory) in addition to the setting and implementation of targets in minimum two areas (see 2.1-2.4). Show that your bank has considered existing and emerging international/regional good practices relevant for the implementation of the six Principles for Responsible Banking. Based on this, it has defined priorities and ambitions to align with good practice. Show that your bank has implemented/is working on implementing changes in existing practices to reflect and be in line with existing and emerging international/regional good practices and has made progress on its implementation of these Principles.	To better implement the Principles and the good practices, Belfius signed the UN PRB as Belfius Bank and UN Principles for Sustainable Insurance (UN PSI) as Belfius Insurance in April 2020. As a member of The Shift, Belfius also participated in the launch of the BACA. In line with the Principles, the engagement with BACA and its strategy around climate action, Belfius has adhered to PCAF in October 2021 and officially committed to set science-based targets in December 2021. These voluntary commitments will help Belfius in meeting regulatory and prudential requirements such as the EU Taxonomy, EBA Pillar III and Corporate Sustainability Reporting Directive (CSRD). Over the course of 2021 the revised Transition Acceleration Policy was rolled out. Belfius does not support companies that systematically or seriously violate one or more of the 10 UN Global Compact principles. The Transition Acceleration Policy imposes exclusions or restrictions on activities in many more sensitive economic sectors than was previously the case: tobacco, gambling, weapons, fossil energy, mining, palm oil and soy, and speculation on agricultural raw materials. Activities that are considered intrinsically unsustainable are fully excluded, in other sectors customers are encouraged to transition to a low carbon and just business model. The scope of the policy covers all processes of Belfius Group such as client onboarding, loan and leasing origination, and investment offer amongst others. It is Belfius' ambition to further develop the Transition Acceleration Policy's reach over time. Belfius also redacted a human rights policy in 2021, inspired by the United Nations Global Compact but also acknowledging the Universal Declaration of Human Rights and the International Labour Organization's (ILO) Declaration on Fundamental Principles and Rights at Work (signed by Belgium). Following up on its commitment to diversity, Belfius signed the Inclusive Panels Charter in 2021, which aims to raise awareness of the importance of diverse panels in terms of gender, age and background.	

PLEASE PROVIDE YOUR BANK'S CONCLUSION/STATEMENT IF IT HAS FULFILLED THE REQUIREMENTS REGARDING PROGRESS ON IMPLEMENTING THE PRINCIPLES FOR RESPONSIBLE BANKING.
Belfius has made important progress in the reporting year to implement the Principles. Belfius reviewed its Transition Acceleration Policy to better manage its ESG risks as well as guide its clients towards sustainable business practices. Belfius also joined several initiatives on sustainability and started developing financed emissions accounting as a first step towards setting its climate targets aligned with the Science Based Target Initiative (SBTi) requirements. Additionally, Belfius redacted its human rights policy.

Abbreviations

Acronym	
ABS	Asset-Backed Securities
ALM	Asset-Liability Management
AUM	Assets Under Management
BACA	Belgian Alliance for Climate Action
BIP	Belfius Investment Partners
BP	Basis Point
BRRD	Bank Recovery and Resolution Directive
B/S	Balance Sheet
C/I	Cost-Income
CCF	Credit Conversion Factor
CET 1	Common Equity Tier 1
COR	Cost of Risk
CPRS	Climate Policy Relevant Sectors
CRD	Capital Requirements Directive
CRR	Capital Requirements Regulation
CVA	Credit Value Adjustment
DCM	Debt Capital Markets
EAD	Exposure At Default
EBA	European Banking Authority
ECB	European Central Bank
ECM	Equity Capital Markets
EIF	European Investment Fund
EL	Expected Loss
EPC	Energy Performance Certificate
ESG	Environmental, Social & Governance
FEAD	Full Exposure At Default
FHIC	Federal Holding and Investment Company
GAR	Green Asset Ratio
GDP	Gross Domestic Product
GHG	Greenhouse Gas
GRI	Global Reporting Initiative
IRBA	Internal Rating-Based Approach
IRS	Internal Rating System
LCM	Liquidity and Capital Management
LCR	Liquidity Coverage Ratio
LGD	Loss Given Default
LRE	Leverage Ratio Exposure
LT	Long-Term
LTRO	Long-Term Refinancing Operations

Acronym	
MREL	Minimum Requirement for own funds and Eligible Liabilities
NBB	National Bank of Belgium
NFR	Non-Financial Risks
NGFS	Network for Greening the Financial System
NIG	Non-Investment Grade
NPS	Non Preferred Senior Bonds
NSFR	Net Stable Funding Ratio
P&L	Profit and Losses
PACTA	Paris Agreement Capital Transition Assessment
PCAF	Partnership for Carbon Accounting Financials
PD	Probability of Default
PS	Preferred Senior Bonds
RAF	Risk Appetite Framework
RICAP	Risk Identification & Cartography Assessment
RMBS	Residential Mortgage-Backed Securities
ROA	Return On Assets
ROE	Return On Equity
RONRE	Return on Normative Regulatory Equity
SARIC	Self-Assessment of Risks & Internal Controls
SBTI	Science-Based Target initiative
SFDR	Sustainable Finance Disclosure Regulation
SME	Small and Medium Enterprises
SRB	Single Resolution Board
SREP	Supervisory Review and Evaluation Process
SRM	Single Resolution Mechanism
TAP	Transition Acceleration Policy
TCFD	Taskforce on Climate-related Financial Disclosures
TLOF	Total Liabilities and Own Funds
TREA	Total Risk Exposure Amount
TRIM	Targeted Review of Internal Models
T-LTRO	Targeted Long-Term Refinancing Operations
UNEP FI	United Nations Environment Programme Finance Initiative
UNEP FI PRB	United Nations Environment Programme Finance Initiative - Principles for Responsible Banking
UNEP FI PSI	United Nations Environment Programme Finance Initiative - Principles for Sustainable Insurance
VAR	Value at Risk
WACI	Weighted Average Carbon Intensity

Additional information

Additional addresses of Belfius Bank and Belfius Insurance's main subsidiaries and branch(1)

Belfius Auto Lease
Operational vehicle leasing and car fleet management, maintenance and claims management services
Place Charles Rogier 11 – BE-1210 Brussels
Tel.: +32 2 285 35 94 – *www.belfius-autolease.be*

Belfius Commercial Finance
Financing commercial loans to debtors, debtor insolvency risk cover and debt recovery from debtors
Place Charles Rogier 11 – BE-1210 Brussels
Tel.: +32 2 285 26 11 – *www.belfius-commercialfinance.be*

Belfius Insurance
Insurance company marketing life and non-life insurance products, savings products and investments for individuals, the self-employed, liberal professions, companies and the public and social sector
Place Charles Rogier 11 – BE-1210 Brussels
Tel.: +32 2 286 76 11
www.dvvlap.be – www.belfius-insurance.be

Belfius Investment Partners
Collective Investment Management Company
Place Charles Rogier 11 – BE-1210 Brussels
Tel.: +32 2 222 12 01 – *www.belfiusip.be*

Belfius Ireland Unlimited Company
Managing part of the GC portfolios in run off
23, Shelbourne Road – Ballsdridge – IE-Dublin 4
Tel.: +353 15 31 15 00

Belfius Lease
Financial leasing and renting of professional capital goods to the public sector
Place Charles Rogier 11 – BE-1210 Brussels
Tel.: +32 2 222 37 08 – *www.belfius-lease.be*

Belfius Lease Services
Financial leasing and renting of professional capital goods to the self-employed, companies and liberal professions
Place Charles Rogier 11 – BE-1210 Brussels
Tel.: +32 2 222 37 08 – *www.belfius-lease.be*

Corona
Direct life and non-life insurance products for individuals
Place Charles Rogier 11 – BE-1210 Brussels
Tel.: +32 2 244 23 23 – *www.coronadirect.be*

Crefius
Granting and managing mortgage loans
Registered office
Place Charles Rogier 11 – BE-1210 Brussels
Tél.: +32 51 23 21 11 – *www.crefius.com*

Elantis
Granting and managing mortgage loans and consumer loans through a network of brokers
Registered office
Rue des Clarisses 38 – BE-4000 Liège
Tel.: +32 4 232 45 45 – *www.elantis.be*

The Studio
Digital lab aimed to develop and commercialize digital products & services
Place Charles Rogier 11 – BE-1210 Brussels
Tel.: +32 2 222 09 36

(1) Included in this list: all subsidiaries and the branches operating in the banking and insurance sector (or whose operations contribute to banking and insurance activities).

General information about Belfius Bank

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Belfius Bank SA

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Registered office
Place Charles Rogier 11 – B-1210 Brussels

Main postal address
Place Charles Rogier 11 – B-1210 Brussels

Company number
RPM Brussels VAT BE 403.201.185

FSMA number
19649 A

Website
www.belfius.be

Complaints

If you encounter a problem, you can take it initially to your branch or your relationship manager. If your problem is not resolved, then contact the Complaints department.

Belfius Bank
Complaints department – Colis 7908
Place Charles Rogier 11 – B-1210 Brussels
E-mail: *complaints@belfius.be*

If you are not satisfied with the response you receive, you can turnto the Negotation department of Belfius Bank

Belfius Bank
Negotiation – Colis 7913
Place Charles Rogier 44 – B-1210 Brussels
E-mail: *negotiation@belfius.be*

If you are a natural person acting in a private capacity and you are not satisfied with the responses you have received from the Bank's official bodies mentioned above, you can take your complaint to the Ombudsman in financial conflicts if it relates to banking products.

Ombudsman in financial conflicts
North Gate II
Boulevard du Roi Albert II 8, boîte 2 – B-1000 Brussels
Tel.: +32 2 545 77 70 – Fax: +32 2 545 77 79
E-mail: *Ombudsman@Ombudsfin.be*

For insurance products, you can take your complaint to the Insurance Ombudsman.

Insurance Ombudsman
Square de Meeûs 35 – B-1000 Brussels
E-mail: *info@ombudsman.as*

For further general info over Belfius Bank & Insurance, feel free to surf www.belfius.com.

Surf www.belfius.com.

Got a question about Belfius Bank's results or strategy?
Then please e-mail financialcommunication@belfius.be.

Any other queries?
Then call +32 2 222 12 01
(Mon-Fri: 8 am-10 pm/Sat: 9 am-5 pm).

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